

An Act

ENROLLED SENATE
BILL NO. 1877

By: Hall of the Senate

and

Caldwell (Trey) of the
House

An Act relating to state government; amending 2 O.S. 2021, Sections 5-10, 5-85, as amended by Section 2, Chapter 174, O.S.L. 2025, 5-507, 3, Chapter 391, O.S.L. 2022, 6, Chapter 297, O.S.L. 2023, 14, Chapter 297, O.S.L. 2023, and 19, Chapter 297, O.S.L. 2023 (2 O.S. Supp. 2025, Sections 5-85, 11-13, 4006, 4014, and 4019), which relate to agriculture; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; amending Section 1, Chapter 126, O.S.L. 2024 (3 O.S. Supp. 2025, Section 415), which relates to the Long-Term Aerospace and Aeronautics Infrastructure Sustainability Revolving Fund; directing submission of certain report to utilize certain centralized filing system; amending 3A O.S. 2021, Sections 204, 619, 733, as amended by Section 4, Chapter 332, O.S.L. 2023, and 734 (3A O.S. Supp. 2025, Section 733), which relate to amusement and sports; directing submission of certain reports to utilize certain centralized filing system; amending 6 O.S. 2021, Section 212, which relates to the Banking Department; directing submission of certain report to utilize certain centralized filing system; amending 10 O.S. 2021, Sections 22.1, 405.1, 601.5, as amended by Section 3, Chapter 347, O.S.L. 2024, 601.6, as amended by Section 1, Chapter 178, O.S.L. 2025, 601.6a, as amended by Section 4, Chapter 347, O.S.L. 2024, 601.6b, as amended by Section 5, Chapter 347, O.S.L. 2024, 601.6c, 601.81, 2, Chapter 35, 1st Extraordinary Session, O.S.L. 2023, 1150.2, as last amended by Section 10, Chapter 347, O.S.L. 2024, and 1411.1 (10 O.S. Supp. 2025, Sections 601.5, 601.6,

601.6a, 601.6b, 802, and 1150.2), which relate to children; removing certain obsolete report; directing submission of certain reports to utilize certain centralized filing system; amending 10A O.S. 2021, Sections 1-2-111, 1-6-105, 1-8-111, 1-9-105, 1-9-120, as amended by Section 2, Chapter 28, O.S.L. 2023, 2-7-311, 2-7-606, 2-7-705, 2-7-905, and 2-10-103 (10A O.S. Supp. 2025, Section 1-9-120), which relate to the children and juvenile codes; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; amending 11 O.S. 2021, Sections 49-100.8, 49-100.9, 50-105.3, and 50-105.4, which relate to municipal firefighter and police pension and retirement systems; directing submission of certain reports to utilize certain centralized filing system; amending 14A O.S. 2021, Sections 6-104 and 6-504, which relate to the Department of Consumer Credit; directing submission of certain reports to utilize certain centralized filing system; amending 17 O.S. 2021, Sections 40.1, 253, 325, 1, Chapter 403, O.S.L. 2022, and 802.3, as last amended by Section 2, Chapter 31, O.S.L. 2024 (17 O.S. Supp. 2025, Sections 801.9 and 802.3), which relate to the Corporation Commission; directing submission of certain reports to utilize certain centralized filing system; amending 19 O.S. 2021, Section 215.28, which relates to the creation of the District Attorneys Council; directing submission of certain report to utilize certain centralized filing system; amending 20 O.S. 2021, Sections 3.3, 1103.1, 1108, 1225, and 1656, which relate to courts; directing submission of certain reports to utilize certain centralized filing system; amending 21 O.S. 2021, Sections 142.15 and 1290.16, which relate to crimes and punishments; directing submission of certain reports to utilize certain centralized filing system; amending 22 O.S. 2021, Sections 34.5, 116, 988.15, as amended by Section 1, Chapter 14, O.S.L. 2023, 991a, as last amended by Section 1, Chapter 306, O.S.L. 2025, 991f-1.1, 1355.4, 1601, as amended by Section 1, Chapter 51, O.S.L. 2024, and 2002, as amended by Section 2,

Chapter 327, O.S.L. 2025 (22 O.S. Supp. 2025, Sections 988.15, 991a, 1601, and 2002), which relate to criminal procedure; directing submission of certain reports to utilize certain centralized filing system; amending 27A O.S. 2021, Sections 1-1-202, as last amended by Section 1, Chapter 164, O.S.L. 2023, 1-2-101, 2-3-101, 2-3-109, 2-6-501.4, 2-7-307, 2-10-802, 2-11-401.6, as amended by Section 22, Chapter 282, O.S.L. 2022, 2-11-607, 3-2-106, as amended by Section 1, Chapter 326, O.S.L. 2025, 3-2-107, and 3-2-108 (27A O.S. Supp. 2025, Sections 1-1-202, 2-11-401.6, and 3-2-106), which relate to environment and natural resources; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; amending 29 O.S. 2021, Sections 3-103, as amended by Section 1, Chapter 6, O.S.L. 2024, and 3-306 (29 O.S. Supp. 2025, Section 3-103), which relate to game and fish; directing submission of certain reports to utilize certain centralized filing system; amending 36 O.S. 2021, Sections 312.1 and 924.2, which relate to insurance; directing submission of certain reports to utilize certain centralized filing system; amending 40 O.S. 2021, Sections 6-204, as amended by Section 6, Chapter 346, O.S.L. 2023, and 5, Chapter 361, O.S.L. 2023, as amended by Section 1, Chapter 408, O.S.L. 2025 (40 O.S. Supp. 2025, Sections 6-204 and 904), which relate to labor; directing submission of certain reports to utilize certain centralized filing system; amending 43 O.S. 2021, Section 107.2, which relates to actions where a minor child is involved; directing submission of certain report to utilize certain centralized filing system; amending 43A O.S. 2021, Sections 2-205, 4, Chapter 201, O.S.L. 2023, as amended by Section 1, Chapter 230, O.S.L. 2025, 1, Chapter 202, O.S.L. 2024, 10-112, and 12-105, as amended by Section 1, Chapter 317, O.S.L. 2025 (43A O.S. Supp. 2025, Sections 2-312.4, 3-335, and 12-105), which relate to mental health; directing submission of certain reports to utilize certain centralized filing system; amending 47 O.S. 2021, Sections 2-107, 2-146, as amended by Section 1,

Chapter 370, O.S.L. 2022, 2-303.1, 3, Chapter 282, O.S.L. 2022, as amended by Section 3, Chapter 47, 1st Extraordinary Session, O.S.L. 2023, 1, Chapter 265, O.S.L. 2024, as amended by Section 1, Chapter 104, O.S.L. 2025, 7-606.1, 7-606.2, 156.1, as last amended by Section 55, Chapter 452, O.S.L. 2024, 1104.1, as last amended by Section 8, Chapter 171, O.S.L. 2025, and 1140.3 (47 O.S. Supp. 2025, Sections 2-146, 3-103, 6-212.7, 156.1, and 1104.1), which relate to motor vehicles; directing submission of certain reports to utilize certain centralized filing system; amending 52 O.S. 2021, Section 87.2, which relates to application protests; directing submission of certain report to utilize certain centralized filing system; amending 53 O.S. 2021, Sections 1.9 and 166, which relate to Oklahoma Historical Society and associations; directing submission of certain reports to utilize certain centralized filing system; amending 56 O.S. 2021, Sections 71, 162, 198.11b, 198.16, 229, 230.50, 230.65, 239, 241.4, 1008, 1011.5, 1017.4, 3002, and 17, Chapter 395, O.S.L. 2022, as amended by Section 3, Chapter 386, O.S.L. 2025 (56 O.S. Supp. 2025, Section 4002.12b), which relate to poor persons; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete task force; removing certain obsolete reports; amending 57 O.S. 2021, Sections 95, 115, 521, 530.3, and 541, which relate to prisons and reformatories; directing submission of certain reports to utilize certain centralized filing system; amending 59 O.S. 2021, Sections 858-705.1, 1000.4, as last amended by Section 1, Chapter 321, O.S.L. 2025, 1000.25, as amended by Section 4, Chapter 225, O.S.L. 2025, 3024, and 4000.1, as last amended by Section 9, Chapter 227, O.S.L. 2024 (59 O.S. Supp. 2025, Sections 1000.4, 1000.25, and 4000.1), which relate to professions and occupations; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; amending 60 O.S. 2021, Sections 177.2, 178, and 1, Chapter 220, O.S.L. 2024 (60 O.S. Supp. 2025, Section 1403), which

relate to property; directing submission of certain reports to utilize certain centralized filing system; amending 61 O.S. 2021, Sections 65, as amended by Section 11, Chapter 238, O.S.L. 2022, 130, as amended by Section 27, Chapter 238, O.S.L. 2022, and 328 (61 O.S. Supp. 2025, Sections 65 and 130), which relate to public buildings and public works; directing submission of certain reports to utilize certain centralized filing system; amending 62 O.S. 2021, Sections 34.2, as amended by Section 1, Chapter 86, O.S.L. 2025, 34.6, as amended by Section 2, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022, 34.11.1, as amended by Section 1, Chapter 193, O.S.L. 2024, 34.32, as amended by Section 25, Chapter 228, O.S.L. 2022, 34.36, as amended by Section 2, Chapter 199, O.S.L. 2025, 34.37, 34.42, as last amended by Section 3, Chapter 199, O.S.L. 2025, 34.52, 34.88, 34.94, 34.95, 34.200-1, 34.301, as last amended by Section 1, Chapter 319, O.S.L. 2025, 35.9, 36, 45.3, 45.11, 48.2, as amended by Section 1, Chapter 313, O.S.L. 2019, 49, 71.1, as amended by Section 4, Chapter 308, O.S.L. 2025, 88.4, 89.2, as amended by Section 5, Chapter 308, O.S.L. 2025, 89.7, 91.5, 166d, 1, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022, 690.19, 695.7, 847, 901, as amended by Section 1, Chapter 439, O.S.L. 2025, 901.1, 2309, 7004, as amended by Section 2, Chapter 125, O.S.L. 2023, 7005, as amended by Section 3, Chapter 125, O.S.L. 2023, and 9010.4 (62 O.S. Supp. 2025, Sections 34.2, 34.6, 34.11.1, 34.32, 34.36, 34.42, 34.301, 71.1, 89.2, 255.1, 901, 7004, and 7005), which relate to public finance; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; updating statutory reference; amending 63 O.S. 2021, Sections 1-110.1, 2, Chapter 439, O.S.L. 2024, 1-227.2, 1-227.3, 1-229.8, 1-237, 1-238, 1-270.2, as amended by Section 1, Chapter 111, O.S.L. 2024, 1-534.1, 1-550.3, 1-552, 1-556, 1-740.11, 1-753, 1-756.8, 1-2530.9, 1-2712, 1-2721, as last amended by Section 1, Chapter 184, O.S.L. 2024, 1-2731, 2-805, 2-904, 2-1001, as last amended by Section 1, Chapter 198, O.S.L. 2025, 10,

Chapter 322, O.S.L. 2023, 1, Chapter 321, O.S.L. 2024, 683.4, 2565, 3208, 3220, 3224, 3229, 3240.6, 3240.7, 3250.6, 3250.7, 3276, as amended by Section 2, Chapter 334, O.S.L. 2023, 1, Chapter 112, O.S.L. 2023, as amended by Section 1, Chapter 295, O.S.L. 2024, 3285, 3290, as amended by Section 3, Chapter 334, O.S.L. 2023, 5007, 5010, 5013, 1, Chapter 162, O.S.L. 2022, 5061.2, and 7301, as amended by Section 1, Chapter 328, O.S.L. 2023 (63 O.S. Supp. 2025, Sections 1-114.22, 1-270.2, 1-2721, 2-1001, 427.17a, 427.29, 3276, 3278.1, 3290, 5026.1, and 7301), which relate to public health and safety; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete reports; amending 64 O.S. 2021, Section 1013, as amended by Section 40, Chapter 228, O.S.L. 2022 (64 O.S. Supp. 2025, Section 1013), which relates to investment of permanent school funds and other educational funds and property; directing submission of certain reports to utilize certain centralized filing system; amending 65 O.S. 2021, Section 3-114, which relates to deposit of publications with publishing clearinghouse; directing submission of certain report to utilize certain centralized filing system; amending 66 O.S. 2021, Sections 190 and 304, as amended by Section 556, Chapter 486, O.S.L. 2025 (66 O.S. Supp. 2025, Section 304), which relate to railroads; directing submission of certain reports to utilize certain centralized filing system; amending 67 O.S. 2021, Section 315, which relates to the delivery of records for disposition; directing submission of certain report to utilize certain centralized filing system; amending 68 O.S. 2021, Sections 102.3, 120, 205, as last amended by Section 2, Chapter 204, O.S.L. 2025, 270, 291, 400.1, as amended by Section 3, Chapter 285, O.S.L. 2023, 1357.21, as last amended by Section 1, Chapter 353, O.S.L. 2025, 2357.1A-2, 2357.7A, 2357.22, as last amended by Section 153, Chapter 452, O.S.L. 2024, 2357.32A, 2357.65, 2357.76, 2370.1, as amended by Section 1, Chapter 223, O.S.L. 2024, 3507, 3610, 3633, as amended by Section 2, Chapter 341, O.S.L.

2025, 4, Chapter 66, O.S.L. 2022, as amended by Section 1, Chapter 1, O.S.L. 2023, 3808, 3910, 3920, 4206, 4210, 4310, 4510, and 50016 (68 O.S. Supp. 2025, Sections 205, 400.1, 1357.21, 2357.22, 2370.1, 3633, and 3645.4), which relate to revenue and taxation; directing submission of certain reports to utilize certain centralized filing system; amending 69 O.S. 2021, Sections 322, 1705.6, 1728, and 1912, which relate to roads, bridges, and ferries; removing certain obsolete reports; directing submission of certain report to utilize certain centralized filing system; amending 70 O.S. 2021, Sections 3-104, as last amended by Section 1, Chapter 445, O.S.L. 2025, 3-104.10, 3-117.3, 3-118, 3-127, 3-129.10, 5-141, 5-146, 6-186, 6-211, 11-103.6, as last amended by Section 1, Chapter 384, O.S.L. 2024, 11-103.6a, 1, Chapter 280, O.S.L. 2022, as last amended by Section 45, Chapter 59, O.S.L. 2024, 1, Chapter 336, O.S.L. 2022, 17-106.1, 17-116.7, 18-162, 24-158, as amended by Section 2, Chapter 281, O.S.L. 2022, 625.14, as amended by Section 15, Chapter 407, O.S.L. 2022, 695.20, 697.2, as amended by Section 17, Chapter 407, O.S.L. 2022, 697.25, 698.1, as last amended by Section 1, Chapter 249, O.S.L. 2023, 1, Chapter 155, O.S.L. 2023, 1210.228, 1210.258, 1210.307, 1210.405, 1210.407, 1210.508C, as last amended by Section 2, Chapter 297, O.S.L. 2025, 2, Chapter 288, O.S.L. 2023, as amended by Section 9, Chapter 411, O.S.L. 2024, 1210.509, 1210.516, 1210.544, 1210.591, 2120, as amended by Section 3, Chapter 18, O.S.L. 2022, 2607, 2632, as amended by Section 1, Chapter 129, O.S.L. 2025, 3206, 3206.6a, as amended by Section 2, Chapter 84, O.S.L. 2025, 3218.2, 3219.1, 3224, 3903, 3909, as amended by Section 575, Chapter 486, O.S.L. 2025, 3954, 3970.11, 3980.4, as amended by Section 4, Chapter 186, O.S.L. 2023, and 4705 (70 O.S. Supp. 2025, Sections 3-104, 11-103.6, 11-202, 14-201, 24-158, 625.14, 697.2, 698.1, 1210.210, 1210.508C, 1210.508H, 2120, 2632, 3206.6a, 3909, and 3980.4), which relate to schools; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete report; amending 71

O.S. 2021, Section 1-601, as last amended by Section 1, Chapter 225, O.S.L. 2023 (71 O.S. Supp. 2025, Section 1-601), which relates to the Oklahoma Securities Commission; directing submission of certain report to utilize certain centralized filing system; amending 73 O.S. 2021, Sections 179, 2, Chapter 1, 1st Extraordinary Session, O.S.L. 2023, as amended by Section 1, Chapter 393, O.S.L. 2024, 3, Chapter 441, O.S.L. 2024, as amended by Section 2, Chapter 439, O.S.L. 2025, and 2, Chapter 441, O.S.L. 2024, as amended by Section 3, Chapter 439, O.S.L. 2025 (73 O.S. Supp. 2025, Sections 187B, 188A, and 188B), which relate to the state capital and State Capitol Building; directing submission of certain reports to utilize certain centralized filing system; amending 74 O.S. 2021, Sections 18b, as last amended by Section 2, Chapter 335, O.S.L. 2025, 20i, as last amended by Section 1, Chapter 212, O.S.L. 2024, 51.1a, as last amended by Section 2, Chapter 257, O.S.L. 2024, 51.2b, as last amended by Section 5, Chapter 257, O.S.L. 2024, 61.8, as amended by Section 1, Chapter 194, O.S.L. 2025, 63.3, 63.5, 78, as amended by Section 1, Chapter 351, O.S.L. 2023, 78d, as amended by Section 2, Chapter 351, O.S.L. 2023, 85.5, as amended by Section 1, Chapter 102, O.S.L. 2024, 85.7, as last amended by Section 1, Chapter 339, O.S.L. 2023, 85.43, 85.44D.1, 85.45f, 85.45j.11, 150.5, 150.38, 212, as amended by Section 1, Chapter 93, O.S.L. 2022, 213.2, 214, 324.2, 325.1, 450, 452.8, 452.10, 452.13, 452.14, 464, 471, 484, 500.2, as amended by Section 1, Chapter 63, O.S.L. 2022, 500.18, as last amended by Section 1, Chapter 325, O.S.L. 2022, 3, Chapter 414, O.S.L. 2024, 589, 669, 2, Chapter 201, O.S.L. 2024, 840-1.6A, as amended by Section 4, Chapter 243, O.S.L. 2022, 840-2.17, as amended by Section 13, Chapter 243, O.S.L. 2022, 840-2.27C, as last amended by Section 1, Chapter 341, O.S.L. 2024, 909.1, 942, 1207, 1332.1, as amended by Section 8, Chapter 245, O.S.L. 2024, 2109, 2205, 2220, 2236, 2276.2, 2901.4, 2, Chapter 22, 1st Extraordinary Session, O.S.L. 2023, 4, Chapter 22, 1st Extraordinary Session, O.S.L. 2023, 3117, 3122,

3601.2, 3602, 3917, 5003.7, as last amended by Section 3, Chapter 133, O.S.L. 2025, 5003.9, 5003.10, as amended by Section 6, Chapter 377, O.S.L. 2024, 5003.10a, as amended by Section 7, Chapter 377, O.S.L. 2024, 5010.3, 5040.4, as amended by Section 7, Chapter 375, O.S.L. 2024, 5060.22, 5062.19, 5066.7, 5079, 5156, 5402, 6112, 8303, 9053, 9076, 5, Chapter 229, O.S.L. 2022, as amended by Section 1, Chapter 336, O.S.L. 2023, 6, Chapter 229, O.S.L. 2022, 3, Chapter 231, O.S.L. 2022, and 4, Chapter 231, O.S.L. 2022 (74 O.S. Supp. 2025, Sections 18b, 20i, 51.1a, 51.2b, 61.8, 78, 78d, 85.5, 85.7, 212, 500.2, 500.18, 583.1, 692, 840-1.6A, 840-2.17, 840-2.27C, 1332.1, 2903.1, 2903.3, 5003.7, 5003.10, 5003.10a, 5040.4, 9204, 9205, 12003, and 12004), which relate to state government; directing submission of certain reports to utilize certain centralized filing system; removing certain obsolete reports; removing certain requirement to follow certain procedure; amending 75 O.S. 2021, Sections 250.6, 252, 253, as last amended by Section 6, Chapter 258, O.S.L. 2025, 303.1, as amended by Section 3, Chapter 38, O.S.L. 2023, and 308, as last amended by Section 2, Chapter 420, O.S.L. 2025 (75 O.S. Supp. 2025, Sections 253, 303.1, and 308), which relate to statutes and reports; directing submission of certain reports to utilize certain centralized filing system; updating statutory language; directing the Office of the Secretary of State to create and maintain certain centralized filing system; requiring the Secretary of State to provide certain notification in certain circumstance; requiring the Secretary of State to submit certain report; amending 76 O.S. 2021, Section 17, which relates to medical malpractice; directing submission of certain report to utilize certain centralized filing system; amending 82 O.S. 2021, Sections 863.3, 1085.14, 1085.62, 1085.82, 1, Chapter 268, O.S.L. 2023, and 1623 (82 O.S. Supp. 2025, Section 1086.7), which relate to water and water rights; directing submission of certain reports to utilize certain centralized filing system; amending 85 O.S. 2021, Section 380, as amended by Section 1, Chapter 256,

O.S.L. 2024, and as renumbered by Section 3, Chapter 256, O.S.L. 2024 (74 O.S. Supp. 2025, Section 85.70), which relates to volunteer fire departments; directing submission of certain reports to utilize certain centralized filing system; amending 85A O.S. 2021, Sections 17, as amended by Section 10, Chapter 199, O.S.L. 2025, 50, 60, 101, 121, and 400, as amended by Section 3, Chapter 279, O.S.L. 2024 (85A O.S. Supp. 2025, Sections 17 and 400), which relate to workers' compensation; directing submission of certain reports to utilize certain centralized filing system; updating statutory language; making language gender neutral; repealing Section 6, Chapter 222, O.S.L. 2024 (2 O.S. Supp. 2025, Section 5-606), which relates to reports; repealing 2 O.S. 2021, Sections 18-34 and 18-192, which relate to reports; repealing 10 O.S. 2021, Section 630.2, which relates to coordinated database system; repealing Section 1, Chapter 288, O.S.L. 2024 (17 O.S. Supp. 2025, Section 294), which relates to Southwest Power Pool report; repealing 19 O.S. 2021, Section 547.2, which relates to the Sheriffs' Personnel Task Force; repealing 20 O.S. 2021, Sections 127 and 1103H, which relate to reports; repealing Section 1, Chapter 333, O.S.L. 2023, as amended by Section 4, Chapter 329, O.S.L. 2025 (21 O.S. Supp. 2025, Section 2200), which relates to the Oklahoma Organized Retail Crime Task Force; repealing 36 O.S. 2021, Sections 6057.5, 6060.9c, 6060.13, and Section 5, Chapter 151, O.S.L. 2022 (36 O.S. Supp. 2025, Section 6060.44), which relate to reports; repealing 40 O.S. 2021, Section 800.1, as amended by Section 1, Chapter 401, O.S.L. 2022 (40 O.S. Supp. 2025, Section 800.1), which relates to the Occupational Licensing Advisory Commission; repealing Section 1, Chapter 232, O.S.L. 2023 (47 O.S. Supp. 2025, Section 173.1), which relates to the State Task Force on Motor Carrier Regulation and Enforcement; repealing 56 O.S. 2021, Sections 162.1b, 245, 245.1, and 3121, which relate to reports; repealing 57 O.S. 2021, Section 521.1, which relates to the Reentry Policy Council; repealing 62 O.S. 2021, Section 46.5, which relates

to the State Revenue Apportionment Evaluation Commission; repealing 63 O.S. 2021, Sections 2-112, 2175.1, 5009.6, and 5030.4A, which relate to reports; repealing 70 O.S. 2021, Sections 3-116.5, 3-123.1, 628.19, and 7001, which relate to reports; repealing 74 O.S. 2021, Sections 201, 30c, 30.2, 2900.3, and 9100, which relate to reports; repealing 82 O.S. 2021, Section 1088.14, which relates to the Water for 2060 Advisory Council; providing for codification; and providing an effective date.

SUBJECT: Centralized report system

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 2 O.S. 2021, Section 5-10, is amended to read as follows:

Section 5-10. A. To implement the Made in Oklahoma Program and the Grown in Oklahoma Program, the State Department of Agriculture shall:

1. Design a "Made in Oklahoma" logo and a "Grown in Oklahoma" logo for use by Oklahoma processors, providers, or growers;

2. Establish standards and requirements for logos;

3. Establish fees for logos; provided any Oklahoma processor, provider, or grower may acquire use of the logos on their foods, products, or services free of charge for the first year after authorization for use;

4. Establish a task force to assist in ascertaining strengths and weaknesses of the program;

5. Cooperate with other state agencies and other organizations as needed in development of the program;

6. Foster conferences, institutes, and exhibits on Oklahoma-made products and services or Oklahoma-grown foods;

7. Publish reports, surveys, news bulletins, or other materials pertaining to its findings, recommendations, and work; and

8. ~~Report~~ Electronically report, utilizing the centralized filing system provided for in Section 378 of this act, to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate areas needing legislative or procedural changes to help promote the purchase and use of Oklahoma-made products and services and Oklahoma-grown foods or to attract manufacturers to supply processors with needed materials.

B. The Department may apply for, accept, and use any gift, grant, or bequest from any source for the purpose of discharging its duties.

SECTION 2. AMENDATORY 2 O.S. 2021, Section 5-85, as amended by Section 2, Chapter 174, O.S.L. 2025 (2 O.S. Supp. 2025, Section 5-85), is amended to read as follows:

Section 5-85. A. The State Treasurer is authorized to issue guidelines and administer the Oklahoma Agricultural Linked Deposit Program.

B. The State Treasurer shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report outlining the status of the Oklahoma Agricultural Linked Deposit Program to the Governor, the Lieutenant Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

SECTION 3. AMENDATORY 2 O.S. 2021, Section 5-507, is amended to read as follows:

Section 5-507. If state funds are utilized, unless otherwise required by federal law, the Oklahoma Cooperative Extension Service shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the Oklahoma Senate a copy of any report or other document that it provides to the United States Department of Agriculture concerning the Oklahoma AgrAbility Project.

SECTION 4. AMENDATORY Section 3, Chapter 391, O.S.L. 2022 (2 O.S. Supp. 2025, Section 11-13), is amended to read as follows:

Section 11-13. A. The Oklahoma Department of Agriculture, Food, and Forestry shall develop a grant program for the purpose of providing grants to incorporated municipalities to mitigate extreme purchase costs, extraordinary costs, or both, incurred by the incorporated municipality's owned or controlled unregulated utility affected by the extreme weather event that began February 7, 2021. To qualify for a grant, the following requirements shall be met:

1. The incorporated municipality ~~must~~ shall show proof of extreme purchase costs, extraordinary costs, or both incurred by the incorporated municipality's owned or controlled unregulated utility;

2. The population of the incorporated municipality shall be no greater than three thousand five hundred (3,500) persons according to the most recent Federal Decennial Census or most recent annual estimate of the population by the United States Census Bureau; and

3. The incorporated municipality's owned or controlled unregulated utility has had no costs mitigated through securitization as provided by Sections 9070 through 9081 of Title 74 of the Oklahoma Statutes.

B. The Department shall promulgate rules necessary for determining the eligibility and priority of applicants for the grants. In determining the priority of applicants, the Department shall consider the implications of the extraordinary costs and extreme purchase costs regarding the incorporated municipality's solvency and the amount of the incorporated municipality's extraordinary costs and extreme purchase costs on a per capita basis.

~~C. On or before February 1, 2023, the Oklahoma Department of Agriculture, Food, and Forestry shall provide a report to the Governor, President Pro Tempore of the Senate, and the Speaker of the House of Representatives that includes the list of municipalities who applied for the grant, the amount requested by each municipality, municipalities that were awarded grants, the~~

~~amount of each grant awarded, and any other information the Department determines to be necessary.~~

SECTION 5. AMENDATORY Section 6, Chapter 297, O.S.L. 2023 (2 O.S. Supp. 2025, Section 4006), is amended to read as follows:

Section 4006. A. On and after July 1, 2023, the Authority shall have the power and duty to:

1. Adopt bylaws and promulgate rules for the regulation of its affairs and the conduct of its business;

2. Adopt an official seal;

3. Maintain an office at a location to be determined by the Authority;

4. Sue and be sued, subject to the provisions of the Governmental Tort Claims Act;

5. Enter into cooperative agreements with the Board of Regents for the Oklahoma Agricultural and Mechanical Colleges ~~and/or~~ or other Oklahoma State University agencies, authorities, trusts or entities for educational programs, professional staffing, research and other veterinary activities;

6. Make and enter into all contracts necessary or incidental to the performance of its duties and the execution of its powers pursuant to the Oklahoma State University Veterinary Medicine Authority Act;

7. Purchase or lease equipment, furniture, materials, and supplies, and incur such other expenses as may be necessary to maintain and operate animal hospitals or clinics, or to discharge its duties and responsibilities or to make any of its powers effective;

8. Acquire by purchase, lease, gift, or by any other manner, and to maintain, use and operate or to contract for the maintenance, use and operation of or lease of any and all property of any kind, real, personal, or mixed or any interest therein unless otherwise

provided by the Oklahoma State University Veterinary Medicine Authority Act;

9. Appoint such officers, agents, and employees, including but not limited to attorneys, as it deems necessary and to prescribe their duties and to fix their compensation;

10. Accept grants from the United States of America, or from any corporation or agency created or designed by the United States of America, and, in connection with any grant, to enter into such agreements as the United States of America or such corporation or agency may require;

11. Make and issue bonds and to pledge revenues of the Authority subject to the Oklahoma Bond Oversight and Reform Act. Nothing in the Oklahoma State University Veterinary Medicine Authority Act shall authorize the issuance of any bonds of the Authority payable other than from revenues of the Authority. Authority revenue bonds issued under the provisions of this act shall not at any time be deemed to constitute a debt of the state or of any political subdivision thereof, or a pledge of the faith and credit of the state or of any political subdivision, but such bonds shall be payable solely from the funds herein provided. Such revenue bonds shall contain on the face thereof a statement to the effect that neither the state nor the Authority shall be obligated to pay the same or the interest thereon except from the revenues of the project or projects for which they are issued and that neither the faith and credit nor the taxing power of the state or any political subdivision thereof is pledged, or may hereafter be pledged, to the payment of the principal of or the interest on such bonds. The maximum amount of outstanding bonds at any time shall not exceed Fifty Million Dollars (\$50,000,000.00) unless a greater amount is expressly approved by the Legislature by a concurrent resolution adopted prior to commencing any action in anticipation of issuance of revenue bonds of the Oklahoma State University Veterinary Medicine Authority for the greater amount;

12. Provide for complete financial audits on all accounts of the Oklahoma State University Veterinary Medicine Authority and to authorize periodic audits by an independent external auditing agency. Such audits shall be performed annually in a format approved by the State Auditor and Inspector, and all such audits

shall be submitted to the State Auditor and Inspector for review. Such audits shall be made in accordance with generally accepted auditing standards and government auditing standards. Financial statements shall be prepared in accordance with generally accepted accounting principles;

13. Engage in long-term planning for the operation and management of the Authority;

14. Establish petty cash funds and provide for appropriate accounting procedures and controls;

15. Contract with national manufacturers and distributors of drugs and medical supplies when appropriate to carry out the purposes of this act;

16. Do all other things necessary and proper to implement the provisions of the Oklahoma State University Veterinary Medicine Authority Act;

17. Provide funding to other entities related to public health, animal health, teaching, research, and the purposes of the Oklahoma State Veterinary Medicine Authority Act when provided funding for such purposes by the Legislature;

18. Waive, by such means as the Authority deems appropriate, the exemption from federal income taxation of interest on the Authority's bonds provided by the Internal Revenue Code of 1986, as amended, or any other federal statute providing a similar exemption; 19. Arrange for guaranties or insurance of its bonds by the federal government or by any private insurer, and to pay any premiums therefor; and

~~20.~~ 19. Make a declaration of necessity as provided in Section 3 of this act. The Authority may, in its exclusive judgment, make a declaration of necessity when such a declaration is deemed necessary to effectuate the purposes of the Oklahoma State University Veterinary Medicine Authority Act.

B. The Oklahoma State University Veterinary Medicine Authority shall be subject to the Oklahoma State Finance Act.

C. The Authority shall prepare monthly a "budget vs. actual" report which shows by budget activity the monthly and year-to-date revenues and expenditures compared to budgeted revenues and expenditures. Such report shall be electronically submitted to the Office of Management and Enterprise Services and to the Directors of the House of Representatives Fiscal Division and the Senate Fiscal Division utilizing the centralized filing system provided for in Section 378 of this act.

D. The Authority shall be subject to the professional risk management program provided for in Section 85.58A of Title 74 of the Oklahoma Statutes.

SECTION 6. AMENDATORY Section 14, Chapter 297, O.S.L. 2023 (2 O.S. Supp. 2025, Section 4014), is amended to read as follows:

Section 4014. The Oklahoma State University Veterinary Medicine Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate. Such report shall be submitted in accordance with the requirements for financial statement audits in Section 212A of Title 74 of the Oklahoma Statutes and shall include an account of the operations and actions of the Authority and an accounting of all revenue received and disbursed by the Authority for the previous fiscal year. The report shall include an accounting of expenses related to each of the following:

1. Education and training of students of the Oklahoma State University College of Veterinary Medicine, resident veterinarians and others;
2. Care and treatment of animal patients for whom the Authority receives any form of state or federal reimbursement; and
3. Research.

SECTION 7. AMENDATORY Section 19, Chapter 297, O.S.L. 2023 (2 O.S. Supp. 2025, Section 4019), is amended to read as follows:

Section 4019. A. The State of Oklahoma expressly approves the creation of a public trust to be named the "Oklahoma State University Veterinary Medical Trust", of which the State of Oklahoma shall be the beneficiary, provided such approval shall be contingent upon satisfaction of the following conditions:

1. Finalizing of the declaration of trust;
2. Adoption of the declaration of trust by an official action of the trustees of the Trust;
3. Submission of the Trust for acceptance of the beneficial interest and approval as required by Section 177 of Title 60 of the Oklahoma Statutes; and
4. The approved declaration of trust shall:
 - a. clearly state that the principal purpose of the Oklahoma State University Veterinary Medical Trust is to effectuate the purposes of the Oklahoma State University Veterinary Medicine Authority as established in the Oklahoma State University Veterinary Medicine Authority Act,
 - b. except as otherwise provided by law, provide that the title to real property held by the Oklahoma State University Veterinary Medicine Authority shall not be transferred, conveyed, or assigned to the Oklahoma State University Veterinary Medical Trust without the express consent of the Legislature as the governing entity of the beneficiary pursuant to Section 176 of Title 60 of the Oklahoma Statutes,
 - c. provide that any indebtedness incurred by the Oklahoma State University Veterinary Medical Trust or the trustees of the Trust shall not be secured with or create a lien upon real property to which title is held by the Oklahoma State University Veterinary Medicine Authority and shall not involve the bonding capacity of the Oklahoma State University Veterinary Medicine Authority,

- d. provide that the trust estate of the Oklahoma State University Veterinary Medical Trust shall not include fee simple title to real property owned by the Oklahoma State University Veterinary Medicine Authority,
- e. clearly state that the creation of the Oklahoma State University Veterinary Medical Trust shall not in any way reduce, limit, or interfere with the power granted to the Oklahoma State University Veterinary Medicine Authority in the Oklahoma State University Veterinary Medicine Authority Act,
- f. provide that any lease or contractual agreement involving use of the real property to which title is held by the Oklahoma State University Veterinary Medicine Authority and any improvements thereto shall contain a provision and covenants requiring the proper maintenance and upkeep of the real property and improvements,
- g. provide that the trustees of the Oklahoma State University Veterinary Medical Trust shall be the acting members of the Oklahoma State University Veterinary Medicine Authority as provided in the Oklahoma State University Veterinary Medicine Authority Act, and
- h. provide that the trustees of the Oklahoma State University Veterinary Medical Trust shall have the duty to, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate. The report shall be submitted by January 1 of each year and shall include an account of all operations, actions of the Trust, and an account of all revenue received and disbursed by the Trust for the previous fiscal year. The report shall also provide a complete accounting of how the Trust meets its primary function

of effectuating the purposes of the Oklahoma State University Veterinary Medicine Authority, as established in the Oklahoma State University Veterinary Medicine Authority Act.

B. The Oklahoma State University Veterinary Medical Trust shall require any agreements which it enters into with any entity pursuant to Section 22 of this act for the operations of facilities leased by the Oklahoma State University Veterinary Medicine Authority to the Trust to include, but not be limited to:

1. The inclusion of all the members of the Trust, representing the State of Oklahoma in a governing committee;

2. Binding arbitration shall not be required by such agreements for resolving issues under consideration by the governing committee; and

3. Major decisions shall be resolved by the governing committee, and approval of any major decision by the governing committee ~~must~~ shall include the approval of a majority of the state appointees and the approval of a majority of the private entity appointees to the governing committee. Major decisions shall include:

- a. approval of the operating and capital budgets,
- b. sale or disposition of assets over Two Hundred Fifty Thousand Dollars (\$250,000.00),
- c. the termination, transfer, material addition, or material diminution of animal medical services at the Oklahoma State University Veterinary Hospital related to and part of a teaching program of the Oklahoma State University College of Veterinary Medicine, and
- d. other major decisions as may be agreed upon by the Trust and the private entity.

C. To the extent it is determined by legislative enactment that the Trust has expended funds in contravention of its mission as set forth in this section, the Trust shall remit, upon a thirty (30) day

written notice from the Oklahoma State University Veterinary Medicine Authority, such sum or sums to the Oklahoma State University Veterinary Medicine Authority.

SECTION 8. AMENDATORY Section 1, Chapter 126, O.S.L. 2024 (3 O.S. Supp. 2025, Section 415), is amended to read as follows:

Section 415. There is hereby created in the State Treasury a revolving fund for the Oklahoma Department of Aerospace and Aeronautics to be designated the "Long-Term Aerospace and Aeronautics Infrastructure Sustainability Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the Department from appropriations designated for the purpose of construction, maintenance, or other capital projects. The Director of the Oklahoma Department of Aerospace and Aeronautics shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide at the end of each month,~~provide a~~ current balance and statement of encumbrances of the fund to the Chair of the Senate Appropriations Committee and the Chair of the House of Representatives Appropriations and Budget Committee. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Oklahoma Department of Aerospace and Aeronautics for the sole purpose provided for in this section. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

SECTION 9. AMENDATORY 3A O.S. 2021, Section 204, is amended to read as follows:

Section 204. A. The Oklahoma Horse Racing Commission shall:

1. Have supervision of:

- a. all race meetings held in this state; provided, for non-pari-mutuel race meetings and training races held at non-pari-mutuel tracks jurisdiction of the Commission shall be limited to a period of time beginning twelve (12) hours before the commencement of

the first race on a race day and ending four (4) hours after the finish of the last race on a race day,

- b. all occupation and organization licensees in this state, and
- c. all persons on the property of an organization licensee; provided, for non-pari-mutuel race meetings and training races held at non-pari-mutuel tracks supervision of such persons shall be limited to the period set out in subparagraph a of this paragraph;

2. Have the authority to promulgate rules for the purpose of administering the provisions of the Oklahoma Horse Racing Act;

3. Administer and enforce the provisions of the Oklahoma Horse Racing Act and the rules of the Commission;

4. Adjudicate controversies arising from the enforcement of the provisions of the Oklahoma Horse Racing Act and the rules of the Commission;

5. Allocate racing days of not to exceed six (6) days per calendar week, dates, and hours which are in the best interests of the people of this state to organization licensees;

6. Promulgate rules for the granting or refusing and the suspension or revoking of licenses;

7. Promulgate rules for the holding, conducting, and operating of all race meetings held in this state; provided, the rules of the American Quarter Horse Association for regulation of the holding, conducting and operating of non-pari-mutuel race meetings and training races held at non-pari-mutuel tracks shall serve as the rules for the holding, conducting and operating of non-pari-mutuel race meetings and training races held at non-pari-mutuel tracks, except that appeals from decisions of the stewards shall be to the Commission, until such time as the Commission has promulgated substantially similar rules for regulation of the holding, conducting and operating of non-pari-mutuel race meetings and training races held at non-pari-mutuel tracks;

8. Have supervision and control of the pari-mutuel machines and all other equipment at all race meetings held in this state;

9. Check the making of pari-mutuel pools and the distribution of such pools and shall:

- a. contract with the Office of the State Auditor and Inspector to conduct an annual audit and inspection of live race meets in this state, and
- b. reimburse the Office of the State Auditor and Inspector for the cost of these services;

10. Promulgate rules governing:

- a. bids on leases,
- b. the rate charged by an organization licensee for admission to races, and
- c. the rate charged for the performance of any service or for the sale of any article on the premises of an organization licensee;

11. Approve all contracts and agreements for the payment of money and all salaries, fees, and compensations by any organization licensee;

12. Have the authority to exclude, or compel the exclusion, from any race meeting:

- a. any person who violates the provisions of any rule or order of the Commission or any law of this state, any other state, or the United States,
- b. any person who has been previously convicted of violating any law of this state, any other state, the United States, or
- c. any other person, licensed or unlicensed, whose conduct or reputation is such that his or her presence at the race meeting may, in the opinion of the

Commission reflect on the honesty and integrity of horse racing or interfere with the orderly conduct of the race meeting. No person shall be excluded or ejected from a race meeting solely on the grounds of race, color, creed, sex, national origin, or ancestry;

13. Have investigatory powers and authority to place attendants and such other persons as may be deemed necessary by the Commission in the offices, on the tracks, or in places of business of any organization licensee for the purpose of determining whether an organization or occupation licensee is complying with the provisions of the Oklahoma Horse Racing Act and the rules of the Commission;

14. Have authority to acquire or contract with, or establish, maintain, and operate testing laboratories and related facilities for the purpose of conducting:

- a. human substance abuse testing on occupation licensees who may affect the outcome of race results. Human substance abuse tests and the laboratories performing such tests ~~must~~ shall meet the nationally recognized standards specified in the Mandatory Guidelines for Federal Workplace Drug Testing Programs adopted by the United States Department of Health and Human Services. The Commission may require any occupation licensee to submit to a human substance abuse test if the Commission has probable cause to believe that such licensee is possessing or using any controlled dangerous substance or any other drug in violation of any federal or state law. Provided, on and after July 1, 1994, such testing shall be in compliance with the provisions of the Standards for Workplace Drug and Alcohol Testing Act, and
- b. a saliva test, a blood test, a urine test, or other tests or combinations of tests on the horses run or to be run in any race meeting. Prior to the Commission entering into any contract pursuant to this paragraph, the Attorney General shall review and approve the contract. Any contract entered into pursuant to this paragraph shall contain the specifications that were in the request for bid for the contract;

15. Approve of all proposed construction on property owned or leased by an organization licensee;

16. Have authority to require that all financial, employment, or other records of an organization licensee shall be kept in such manner as prescribed by the Commission and shall be subject to inspection by the Commission. The organization licensee shall submit to the Commission an annual balance sheet, profit-and-loss statement, and any other information the Commission deems necessary in order to administer the provisions of the Oklahoma Horse Racing Act;

17. Have the authority to suspend or revoke a license or impose fines in amounts not to exceed Ten Thousand Dollars (\$10,000.00) against individuals for each violation and in amounts not to exceed Twenty Thousand Dollars (\$20,000.00) against organization licensees for each violation of any provision of the Oklahoma Horse Racing Act, any rules adopted by the Commission, or any order of the Commission, or for any other action which, in the discretion of the Commission, is a detriment or impediment to horse racing or both such suspension or revocation and fine. Each day upon which such violation or other action by the organization licensee occurs shall constitute a separate offense;

18. Have authority to suspend a horse from participating in races if the horse has been involved in any violation of the rules promulgated by the Commission or the provisions of the Oklahoma Horse Racing Act; and

19. Prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate. The report shall include an account of the operations, actions, and orders of the Commission, and an accounting of all revenue received by the Commission.

B. 1. The Commission may delegate to stewards or the Executive Director, those of its powers and duties as it deems necessary to fully implement and effectuate the purposes of the Oklahoma Horse Racing Act.

2. The Commission, upon appeal or due consideration, may overrule any decision of a steward except decisions regarding disqualifications for interference during the running of a race if a preponderance of evidence indicates:

- a. the stewards mistakenly interpreted the law,
- b. new evidence of a convincing nature is produced, or
- c. the best interests of racing and the state may be better served.

3. Any decision pertaining to the finish of a race, as used for purposes of pari-mutuel pool distribution to winning ticket holders, may not be overruled. Any decision pertaining to the distribution of purses may be changed only if a claim is made in writing to the Commission by one of the involved owners or trainers, and a preponderance of evidence clearly indicates to the Commission that one or more of the grounds for protest, as provided for in the rules prepared by the Commission, has been substantiated.

SECTION 10. AMENDATORY 3A O.S. 2021, Section 619, is amended to read as follows:

Section 619. Beginning February 1, 2000, the Oklahoma State Athletic Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file an annual report of combative sports activities in Oklahoma with the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives. ~~Said~~ Such report shall include, but not be limited to, the amount of revenue collected, the number of permits and licenses issued and revoked, the number of violations of the Oklahoma State Athletic Commission Act, and the number of professional combative sports events, amateur mixed martial arts events and amateur kickboxing events conducted.

SECTION 11. AMENDATORY 3A O.S. 2021, Section 733, as amended by Section 4, Chapter 332, O.S.L. 2023 (3A O.S. Supp. 2025, Section 733), is amended to read as follows:

Section 733. To ensure the financial integrity of the lottery, the Oklahoma Lottery Commission through its board of trustees shall:

1. ~~Submit~~ Electronically submit annual reports, utilizing the centralized filing system provided for in Section 378 of this act, to the Governor, State Auditor and Inspector, Oklahoma State Bureau of Investigation, Attorney General, and the oversight committee created by Section 734 of this title, disclosing the total lottery revenues, prize disbursements, operating expenses, and administrative expenses of the Commission. The annual report shall additionally describe the organizational structure of the Commission and summarize the functions performed by each organizational division within the Commission;

2. Adopt a system of internal audits;

3. Maintain weekly or more frequent records of lottery transactions, including the distribution of tickets or shares to retailers, revenues received, claims for prizes, prizes paid, prizes forfeited, and other financial transactions of the Commission;

4. Contract with a certified public accountant or firm for an annual financial audit of the Commission. The certified public accountant or firm shall have no financial interest in any vendor with whom the Commission is under contract. The certified public accountant or firm shall present an audit report not later than seven (7) months after the end of the fiscal year. The certified public accountant or firm shall evaluate the internal auditing controls in effect during the audit period. The cost of this annual financial audit shall be an operating expense of the Commission. The State Auditor and Inspector may at any time conduct an audit of any phase of the operations of the Commission at the expense of the Commission and shall receive a copy of the annual independent financial audit. A copy of any audit performed by the certified public accountant or firm or the State Auditor and Inspector shall be electronically transmitted to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the State Auditor and Inspector, and the cochairs of the oversight committee created in Section 734 of this title utilizing the centralized filing system provided for in Section 378 of this act;

5. ~~Submit~~ Electronically submit, utilizing the centralized filing system provided for in Section 378 of this act, to the Office of Management and Enterprise Services and the State Auditor and Inspector by June 30 of each year a copy of the annual operating budget for the Commission for the next fiscal year. This annual operating budget shall be approved by the board and be on such forms as prescribed by the Office of Management and Enterprise Services; and

6. ~~Submit~~ Electronically submit, utilizing the centralized filing system provided for in Section 378 of this act, to the Office of Management and Enterprise Services by October 1 of each year a proposed estimate of the net proceeds to be deposited into the Oklahoma Education Lottery Trust Fund during the succeeding fiscal year. The estimate shall be on such forms as prescribed by the Office of Management and Enterprise Services.

SECTION 12. AMENDATORY 3A O.S. 2021, Section 734, is amended to read as follows:

Section 734. A. There is hereby created as a joint committee of the Legislature the Oklahoma Lottery Commission Legislative Oversight Committee, to be composed of the members of the House Revenue and Taxation Committee and the Senate Finance Committee. The chairs of the committees shall serve as cochairs of the oversight committee. The oversight committee shall periodically inquire into and review the operations of the Oklahoma Lottery Commission, as well as periodically review and evaluate the success with which the Commission is accomplishing its statutory duties and functions as provided in the Oklahoma Education Lottery Act. The oversight committee may conduct any independent audit or investigation of the Commission it deems necessary.

B. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the oversight committee not later than December 1 of each year with a complete report of the level of participation of minority businesses in all retail and major procurement contracts awarded by the Commission.

SECTION 13. AMENDATORY 6 O.S. 2021, Section 212, is amended to read as follows:

Section 212. A. Commissioner's Report - Contents. The Commissioner shall report to the Governor annually. The report shall be a public document and shall include such matters as the Commissioner deems advisable.

B. Copies furnished to Legislature and Oklahoma Publishing Clearing House. Copies of the annual reports not previously so submitted shall be electronically submitted to the Legislature at the opening of each regular session and to the Oklahoma Publishing Clearing House utilizing the centralized filing system provided for in Section 378 of this act. A copy of the annual report shall also be published on the Oklahoma State Banking Department's website.

SECTION 14. AMENDATORY 10 O.S. 2021, Section 22.1, is amended to read as follows:

Section 22.1. A. The Oklahoma Legislature recognizes that:

1. Children who have been abused, who are dependent or neglected, or whose parents, for whatever reason, may be unable or unwilling to provide care for their children, are best served when they can be cared for by grandparents or other suitable relatives instead of placing those children in foster care with the State of Oklahoma; and

2. While grandparents or other relatives are often willing to provide for the care of children who can no longer remain with their parents, there may exist financial obstacles to the provision of such care, or there may be a need for other services to enable the children to remain with their grandparents or other relatives in order to prevent the entry of those children into the foster care system.

B. It is the intent of the Oklahoma Legislature in enacting this section to:

1. Recognize family relationships in which a grandparent or other relative within the third degree of relationship to the child is the head of a household that includes a child otherwise at risk of foster care placement by the Department of Human Services;

2. Enhance family preservation and stability by recognizing that most children in placements with grandparents and other relatives within the third degree of relationship to the child do not need intensive supervision of the placement by the courts or by the Department;

3. Provide additional placement options and incentives that will achieve permanency and stability for many children who are otherwise at risk of foster care placement by the Department because of abuse, abandonment, or neglect, but who may successfully be able to reside in the care of relatives within the third degree of relationship to the child; and

4. Reserve the limited casework and supervisory resources of the Department and the courts expended to care for children in state custody for those cases in which children do not have the option for safe, stable care within their immediate family.

C. The Department of Human Services shall establish and operate a relative support program pursuant to eligibility guidelines established in this section and by rules of the Department promulgated thereto which will divert children from the foster care program operated by the Department. The relative support program shall provide assistance to relatives within the third degree of relationship to a child who are caring for the child on a full-time basis, regardless of whether there is a court order granting custody of the child to the relative.

D. Grandparents or other such relatives who qualify for and participate in the relative support program are not required to be certified as foster parents or to meet the foster care requirements but shall be capable of providing a physically safe environment and a stable, supportive home for the children under their care.

E. Upon request by grandparents or other relatives who are caring for a child on a full-time basis, the Department shall complete a needs assessment on such grandparents or other relatives to determine the appropriate services and support needed by the child and the grandparents or other such relatives.

F. Within available funding specified by this section, the relative support program may provide grandparents or other suitable relatives with:

1. Case management services;
2. Monthly stipends or other financial assistance, family support and preservation services;
3. Flexible funds to enable the grandparents or other relatives to meet unusual or crisis expenditures, including but not limited to, making housing deposits, utility deposits, or to purchase beds, clothing and food;
4. Subsidized child care and after school care;
5. Respite care;
6. Transportation;
7. Counseling;
8. Support groups;
9. Assistance in accessing parental child support payments;
10. Aid in accessing food stamps, Social Security and other public benefits;
11. Information about legal options for relative caregivers;
12. Assistance for establishing a relative guardianship or relative custodianship for the child;
13. Available volunteer attorney services;
14. Mediation/family group conferencing; and
15. Community-based services and state or federal programs available to the child and relatives to support the child's safety, growth and health development.

G. Children living with grandparents or other relatives within the third degree of relationship to the child who are receiving assistance pursuant to this section shall be eligible for Medicaid coverage.

H. Subject to availability of funding, and as may be permitted by federal law or regulations governing the Department of Human Services' block grant for Temporary Assistance for Needy Families (TANF), the Department is specifically authorized to provide funding assistance from such block grant or other available funds for the development and operation of the relative support program by providing available funds which are not otherwise committed to or necessary for the provision of the Statewide Temporary Assistance Responsibility System. In addition, the Department may use any other state, federal or private funds available to the Department for such purposes to implement the provisions of this section.

I. 1. In order to qualify for the receipt of any monthly stipend, the grandparent or other relative shall meet any eligibility criteria determined by the Department of Human Services.

2. Within limits of available funding, monthly stipends may be paid to grandparents or other relatives with the third degree of relationship to the child who have physical full-time custody of a child who would be unable to serve in that capacity without a monthly stipend because of inadequate financial resources, thus exposing the child to the trauma of potential placement in a shelter or in foster care placement by the Department of Human Services. The statewide average monthly rate for children in the legal custody of grandparents or other relatives who are not certified as foster homes shall not exceed the cost of providing foster care.

J. Additional assistance may be made available to qualified grandparents or other relatives within the third degree of relationship and children, based upon specific needs of the grandparent or other relative of the child and the specific needs of the child. Such assistance shall also be subject to available funding.

K. The relative support program established by the Department pursuant to this section may receive referrals from district courts of this state, from social service or child advocate agencies, from

any other agency of this state, or other states or federal programs. In addition, the relative support program may be accessed directly by the grandparents or other relatives of the affected children by application made to the Department of Human Services.

L. The Department of Human Services may provide any services necessary to effectuate the purposes of this section by contract with any person or with any public or private entity.

M. The provisions of this section shall also be available to a legal guardian of a child who is within the fifth degree of relation to the child.

N. The Department of Human Services shall, pursuant to the provisions of the Administrative Procedures Act, promulgate any rules necessary to implement the provisions of this section.

O. As a part of the relative support program, the Department shall develop, publish, and distribute an informational brochure for grandparents and other relatives who provide full-time care for children. The information provided under the program authorized by this section may include, but is not limited to, the following:

1. The benefits available to children and grandparents or other relatives pursuant to this section providing full-time care;

2. The procedures to access the relative support program;

3. A list of support groups and resources located throughout the state;

4. Such other information deemed necessary by the Department; and

5. The brochure may be distributed through municipal and district courts, hospitals, public health nurses, child protective services, medical professional offices, county health departments, elementary and secondary schools, senior citizens centers, public libraries, local, city, county and state offices and community action agencies selected by the Department.

~~P. The Department of Human Services shall submit a report of the outcomes associated with the relative support program established pursuant to this section to the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the State Senate on or before January 15, 2002.~~

SECTION 15. AMENDATORY 10 O.S. 2021, Section 405.1, is amended to read as follows:

Section 405.1. A. The Department of Human Services shall collaborate with other appropriate agencies to develop a comprehensive Oklahoma state plan for child care.

B. The comprehensive plan shall:

1. Meet all requirements for child care state plans as periodically determined by the United States Department of Health and Human Services Administration for Children and Families Child Care Bureau; and

2. Be electronically submitted to the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the Senate on a biannual basis utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 16. AMENDATORY 10 O.S. 2021, Section 601.5, as amended by Section 3, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 601.5), is amended to read as follows:

Section 601.5. A. The Oklahoma Commission on Children and Youth shall appoint a Director who shall be a person having experience in the operation and administration of services to children and youth. Such Director shall be appointed for a term of two (2) years and may be reappointed. Such Director may be dismissed only for cause. The Director shall:

1. Employ such staff as may be necessary to perform the duties of the Commission, with the advice and approval of the Commission;

2. Prepare an annual report summarizing the activities of the Oklahoma Commission on Children and Youth for the previous fiscal

year, other reports as necessary and appropriate, and an annual budget for the approval of the Commission;

3. Formulate and recommend rules and regulations for approval or rejection by the Commission;

4. Serve as chief executive officer of the Oklahoma Commission on Children and Youth; and

5. Act as agent as authorized for the Commission in the performance of its duties.

B. The Director may periodically convene issue-specific task groups for the purpose of improving services for children and youth. A copy of any report or recommendations which result from meetings of a task group shall be electronically provided to the Commission, Governor, Speaker of the House of Representatives, President Pro Tempore of the Senate, and the director of each state agency affected by the report or recommendations utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 17. AMENDATORY 10 O.S. 2021, Section 601.6, as amended by Section 1, Chapter 178, O.S.L. 2025 (10 O.S. Supp. 2025, Section 601.6), is amended to read as follows:

Section 601.6. A. For purposes of this section, the term "children and youth service system" shall have the same meaning as it is defined in Section 600 of this title.

B. The Office of Juvenile System Oversight shall have the responsibility of inspecting and investigating misfeasance and malfeasance within the children and youth service system, as directed by the Oklahoma Commission on Children and Youth, to ascertain compliance with established responsibilities.

C. The Office shall conduct not less than one but not more than two regular, periodic, unannounced inspections of state-operated children's institutions and facilities annually. The Office is further authorized to inspect privately operated children's institutions and facilities that receive state or federal funding, on a periodic basis or as needed.

D. The Office shall investigate complaints filed with the Office regarding the children and youth service system.

E. The Office of Juvenile System Oversight shall have the authority to:

1. Access all facilities within the children and youth service system for the purpose of conducting inspections and investigations;

2. Examine and copy all records and budgets pertaining to the children and youth service system and to review inspection reports of the State Fire Marshal, State Department of Health, and any other agency that accredits such institutions and facilities;

3. Interview the residents of institutions and facilities within the children and youth service system;

4. Subpoena witnesses and hold public hearings;

5. Establish, in accordance with the Dispute Resolution Act, Sections 1801 through 1813 of Title 12 of the Oklahoma Statutes, a voluntary program for foster parents to mediate complaints concerning the rights of foster parents, as provided for in Section 1-9-119 of Title 10A of the Oklahoma Statutes, that relate to certain actions, inactions or decisions of the Department of Human Services, the Department of Juvenile Justice, or child-placing agencies that may adversely affect the safety and well-being of children in the custody of the state;

6. Receive any complaint alleging that an employee of the Department of Human Services or a child-placing agency has threatened a foster parent with removal of a child from the foster parent, harassed a foster parent, or refused to place a child in a licensed or certified foster home, or disrupted a child placement as retaliation or discrimination towards a foster parent who has:

- a. filed a grievance pursuant to Section 1-9-120 of Title 10A of the Oklahoma Statutes,
- b. provided information to any state official or Department employee, or

- c. testified, assisted, or otherwise participated in an investigation, proceeding, or hearing against the Department or child-placing agency.

The Office of Juvenile System Oversight shall forward the complaints to the Office of Client Advocacy for investigation pursuant to subsection D of Section 1-9-112 of Title 10A of the Oklahoma Statutes. The Office of Juvenile System Oversight shall work with the Office of Client Advocacy to ensure the complaints are investigated and resolved in accordance with the grievance procedures provided in Section 1-9-120 of Title 10A of the Oklahoma Statutes. The provisions of this paragraph shall not apply to any complaint by a foster parent regarding the result of a criminal, administrative, or civil proceeding for a violation of any law, rule, or contract provision by that foster parent, or the action taken by the Department or a child-placing agency in conformity with the result of any such proceeding;

7. ~~Issue~~ Electronically issue reports, utilizing the centralized filing system provided for in Section 378 of this act, to the Governor, Speaker of the House of Representatives, President Pro Tempore of the Senate, Chief Justice of the Supreme Court of the State of Oklahoma, any appropriate prosecutorial agency, the director of the agency under consideration, and other persons as necessary and appropriate; and

8. Provide recommendations to the Oklahoma Commission on Children and Youth on or before May 1 of each year.

F. The Office of Juvenile System Oversight shall not release information that would identify a person who makes a complaint to the Office, unless a court of competent jurisdiction orders release of the information for good cause shown.

SECTION 18. AMENDATORY 10 O.S. 2021, Section 601.6a, as amended by Section 4, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 601.6a), is amended to read as follows:

Section 601.6a. The Office of Planning and Coordination for Services to Children and Youth shall:

1. Convene meetings of public and private agencies that provide services to children and youth for the purpose of facilitating and implementing joint planning and service coordination among ~~said~~ such agencies;

2. Prepare, with input from the Parent Partnership Board and affected public and private agencies, a State Plan for Services to Children and Youth for the upcoming three (3) years for the approval of the Commission;

3. Make recommendations, to be included in the State Plan, for the development and improvement of services provided to children and youth, including homeless children and youth and youth at risk of homelessness; and

4. ~~Issue~~ Electronically issue reports, utilizing the centralized filing system provided for in Section 378 of this act, to the Governor, Speaker of the House of Representatives, President Pro Tempore of the Senate, Chief Justice of the Supreme Court of the State of Oklahoma, public and private agencies, and such other persons as necessary and appropriate.

SECTION 19. AMENDATORY 10 O.S. 2021, Section 601.6b, as amended by Section 5, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 601.6b), is amended to read as follows:

A. On or before July 1, 2024, and on or before July 1 of every third year thereafter, the Oklahoma Commission on Children and Youth shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically transmit to the Director of the Office of Management and Enterprise Services, the director of each affected agency, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor a copy of the State Plan for Services to Children and Youth for the next three (3) fiscal years.

B. The Office of Planning and Coordination, with the assistance of the Office of Management and Enterprise Services and affected agencies, may assemble topic-specific reports regarding services to children, youth, and families to include program descriptions, past and current expenditures, future budget requests, and a description

of program outcomes as directed by the Legislature or the Commission.

SECTION 20. AMENDATORY 10 O.S. 2021, Section 601.6c, is amended to read as follows:

Section 601.6c. A. The Office of Planning and Coordination for Services to Children and Youth Steering Committee shall:

1. Review data and propose policy solutions relating to the issue of child homelessness; and

2. Update the Oklahoma State Legislature on existing programs to reduce child homelessness including, but not limited to, programs administered or financed in whole or in part by any agency of this state, nonprofit organizations, or private-sector entities.

B. The Steering Committee shall include an examination of the following in its assessment and recommendations:

1. State trends in the number of children who are homeless or are at risk of becoming homeless;

2. The state's role in providing services to children and youth who are homeless or at risk for becoming homeless;

3. State policy regarding homeless children and youth; and

4. Existing services, resources, and capacity including, but not limited to, the availability of publicly or privately provided resources to children and youth who are homeless or at risk of becoming homeless.

C. The Steering Committee shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the President Pro Tempore of the Senate and Speaker of the House of Representatives by December 31, 2015, and annually thereafter, describing assessment and recommendations provided for by this act.

SECTION 21. AMENDATORY 10 O.S. 2021, Section 601.81, is amended to read as follows:

Section 601.81. A. The departments that provide home-visiting services may adopt and promulgate rules by which the home-visiting program shall operate.

B. The departments shall provide a framework for service delivery and accountability across all home-visiting programs to promote a continuum of care that targets families at the greatest risk for experiencing adverse childhood outcomes.

C. A home-visiting program shall provide face-to-face visits by specially trained parent educators to provide home-based family support services.

D. The departments shall ensure home-visiting programs work in partnership to serve children, thereby maximizing the opportunities for families to receive services that best fit their needs.

E. A home-visiting program shall achieve two or more of the following:

1. Improve prenatal, maternal, infant or child health outcomes, including, but not limited to, indicators such as preterm birth rates, substance abuse, and tobacco use;
2. Reduce entry into the child welfare system;
3. Improve positive parenting and relationship skills;
4. Improve parental self-sufficiency, including increased employment and educational attainment;
5. Improve children's readiness to succeed in school; and
6. Improve children's social-emotional, cognitive and language and physical development, including efforts at early identification of delays.

F. The departments shall work with community partners, researchers, model developers, program providers and interested private entities to develop processes that provide for a greater

ability to collaborate, as well as share best practices and information as necessary and appropriate.

G. When the departments authorize funds through payments, contracts or grants that are used for home-visiting programs, they shall include language regarding home visiting in the funding agreement contract or grant that is consistent with the provisions of the Family Support Accountability Act.

H. State and local agencies administering home-visiting programs as defined in this act, providers of home-visiting services and experts in home-visiting program evaluation shall collaborate with the Early Childhood Advisory Council created in Section 640.1 of Title 10 of the Oklahoma Statutes to:

1. Jointly develop an outcomes measurement plan which includes indicators related to the objectives established in subsection E of this section in order to monitor outcomes for children and families receiving home-visiting programs and determine the efficiency of agency program implementation;

2. Complete and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit the outcomes measurement plan for state-funded home-visiting programs by January 1, 2016, to the Governor, the Legislature, the Oklahoma Commission on Children and Youth and the Early Childhood Advisory Council and complete and submit an updated plan every subsequent five (5) years; and

3. Develop a process for collecting and reporting outcomes measures to maintain privacy and security.

I. Beginning December 1, 2017, and annually thereafter, the departments shall allocate resources to collaborate with the Early Childhood Advisory Council to, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual outcomes report to the Governor and the Legislature.

J. The annual outcomes report shall include:

1. Achieved outcomes as agreed upon and described in the previously submitted outcomes measurement plan pursuant to subsection H of this section for all state-funded family support programs;

2. Combined program data regarding:

- a. the cost per family served,
- b. the number of families served,
- c. demographic data on families served, and
- d. the number and type of programs that the departments have funded; and

3. Recommendations for quality improvements and future program investments.

SECTION 22. AMENDATORY Section 2, Chapter 35, 1st Extraordinary Session, O.S.L. 2023 (10 O.S. Supp. 2025, Section 802), is amended to read as follows:

Section 802. A. There is hereby created in the State Treasury a revolving fund for the Administrative Office of the Courts to be designated the "Family Representation and Advocacy Program Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the Administrative Office of the Courts for child and indigent parent, legal guardian, and Indian custodian legal and interdisciplinary representation services to be provided by the Family Representation and Advocacy Program. The revolving fund shall include funds appropriated to the fund, federal funds, gifts, donations, and grants. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Administrative Office of the Courts for the purpose of administering the Family Representation and Advocacy Program and for the provision of legal and interdisciplinary services to indigent parents and children by and through the Family Representation and Advocacy Program. By January 31, 2024, and by January 31 of each year thereafter, the Administrative Office of the Courts shall disburse funds from the

Family Representation and Advocacy Program Revolving Fund to the contracted eligible organization.

B. The Administrative Office of the Courts shall allocate and expend funds from the Family Representation and Advocacy Program Revolving Fund to provide for the necessary operating costs of the Family Representation and Advocacy Program including court-appointed legal and interdisciplinary representation to children, indigent parents, legal guardians, or Indian custodians in proceedings governed by the Oklahoma Children's Code, to the extent that funds are available from the Family Representation and Advocacy Program Revolving Fund. The Administrative Office of the Courts shall allocate and expend these funds pursuant to the contract with the eligible organization. The Administrative Office of the Courts may charge an administrative fee as provided in subsection D of this section for administering the contract.

C. The eligible organization that contracts to operate and manage the Family Representation and Advocacy Program to provide legal and interdisciplinary services shall maintain books and records in accordance with generally accepted accounting principles. The books and records shall account for the receipt and expenditure of all funds paid pursuant to contract. Books and records shall be maintained for a period of five (5) years from the close of the fiscal year of the contract period. The State Auditor and Inspector may audit each organization annually. The necessary expense of each audit including but not limited to the cost of typing, printing, and binding shall be paid from funds of the organization.

D. The Administrative Office of the Courts may use up to two and one-half percent (2.5%) of the funds deposited in the Family Representation and Advocacy Program Revolving Fund in any given fiscal year to provide financial support staff, financial data entry staff and facilities, and operating assistance for the Family Representation Program Advisory Board.

E. An annual report issued by the Administrative Office of the Courts outlining performance measures for the Family Representation and Advocacy Program and recommendations for ongoing appropriations shall be electronically transmitted to the Governor, the President Pro Tempore of the Oklahoma Senate and the Speaker of the House of

Representatives no later than December 31 of each year utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 23. AMENDATORY 10 O.S. 2021, Section 1150.2, as last amended by Section 10, Chapter 347, O.S.L. 2024 (10 O.S. Supp. 2025, Section 1150.2), is amended to read as follows:

Section 1150.2. A. There is hereby re-created until July 1, 2026, in accordance with the Oklahoma Sunset Law, the Child Death Review Board within the Oklahoma Commission on Children and Youth. The Board shall have the power and duty to:

1. Conduct case reviews of deaths and near deaths of children in this state;

2. Develop accurate statistical information and identification of deaths of children due to abuse and neglect;

3. Improve the ability to provide protective services to the surviving siblings of a child or children who die of abuse or neglect and who may be living in a dangerous environment;

4. Improve policies, procedures and practices within the agencies that serve children including the child protection system;

5. Enter into agreements with regional teams established by the Board to carry out such duties and responsibilities as the Board shall designate including assigned cases in the geographical area for that regional team. The Commission, with the advice of the Board, shall promulgate rules necessary for the implementation of the provisions of this paragraph; and

6. Enter into agreements with other state, local, or private entities as necessary to carry out the duties of the Board including, but not limited to, conducting joint reviews with the Domestic Violence Fatality Review Board on domestic violence cases involving child death or child near-death incidents.

B. In carrying out its duties and responsibilities the Board shall:

1. Establish criteria for cases involving the death or near death of a child subject to specific, in-depth review by the Board. As used in this section, the term "near death" means a child is in serious or critical condition, as certified by a physician, as a result of abuse or neglect;

2. Conduct a specific case review of those cases where the cause of death or near death is or may be related to abuse or neglect of a child;

3. Establish and maintain statistical information related to the deaths and near deaths of children including, but not limited to, demographic and medical diagnostic information;

4. Establish procedures for obtaining initial information regarding near deaths of children from the Department of Human Services and law enforcement agencies;

5. Review the policies and procedures of the child protection system and make specific recommendations to the entities comprising the system as to actions necessary for improvement;

6. Review the extent to which the state child protection system is coordinated with foster care and adoption programs and evaluate whether the state is efficiently discharging its child protection responsibilities under the federal Child Abuse Prevention and Treatment Act State Plan;

7. As necessary and appropriate, for the protection of the siblings of a child who dies and whose siblings are deemed to be living in a dangerous environment, refer specific cases to the Department of Human Services or the appropriate district attorney for further investigation;

8. Request and obtain a copy of all records and reports pertaining to a child whose case is under review including, but not limited to:

- a. the report of the medical examiner,
- b. hospital records,

- c. school records,
- d. court records,
- e. prosecutorial records,
- f. local, state, and federal law enforcement records including, but not limited to, the Oklahoma State Bureau of Investigation (OSBI),
- g. fire department records,
- h. State Department of Health records including birth certificate records,
- i. medical and dental records,
- j. Department of Mental Health and Substance Abuse Services and other mental health records,
- k. emergency medical service records,
- l. files of the Department of Human Services, and
- m. records in the possession of the Domestic Violence Fatality Review Board when conducting a joint review pursuant to paragraph 6 of subsection A of this section.

Confidential information provided to the Board shall be maintained in a confidential manner as required by state and federal law. Any person damaged by disclosure of such information by the Board, its regional teams or their members, not authorized by law, may maintain an action for damages, costs, and attorney fees;

9. Maintain all confidential information, documents and records in possession of the Board as confidential and not subject to subpoena or discovery in any civil or criminal proceedings; provided, however, information, documents and records otherwise available from other sources shall not be exempt from subpoena or discovery through those sources solely because such information, documents and records were presented to or reviewed by the Board;

10. Conduct reviews of specific cases of deaths and near deaths of children and request the preparation of additional information and reports as determined to be necessary by the Board including, but not limited to, clinical summaries from treating physicians, chronologies of contact, and second-opinion autopsies;

11. ~~Report~~ Electronically report, utilizing the centralized filing system provided for in Section 378 of this act, if recommended by a majority vote of the Board, to the President Pro Tempore of the Senate and the Speaker of the House of Representatives any gross neglect of duty by any state officer or state employee, or any problem within the child protective services system discovered by the Board while performing its duties;

12. Recommend, when appropriate, amendment of the cause or manner of death listed on the death certificate; and

13. Subject to the approval of the Commission, exercise all incidental powers necessary and proper for the implementation and administration of the Child Death Review Board Act.

C. The review and discussion of individual cases of death or near death of a child shall be conducted in executive session and in compliance with the confidentiality requirements of Section 1-6-102 of Title 10A of the Oklahoma Statutes. All other business shall be conducted in accordance with the provisions of the Oklahoma Open Meeting Act. All discussions of individual cases and any writings produced by or created for the Board and recommended by the Board, as the result of a review of an individual case of the death or near death of a child, shall be privileged and shall not be admissible in evidence in any proceeding. The Board shall periodically conduct meetings to discuss organization and business matters and any actions or recommendations aimed at improvement of the child protection system which shall be subject to the Oklahoma Open Meeting Act. Part of any meeting of the Board may be specifically designated as a business meeting of the Board subject to the Oklahoma Open Meeting Act.

D. 1. The Board shall submit an annual statistical report on the incidence and causes of death and near death of children in this state for which the Board has completed its review during the past

calendar year, including its recommendations, to the Oklahoma Commission on Children and Youth on or before May 1 of each year. The Board shall also prepare and make available to the public, on an annual basis, a report containing a summary of the activities of the Board relating to the review of deaths and near deaths of children, the extent to which the state child protection system is coordinated with foster care and adoption programs, and an evaluation of whether the state is efficiently discharging its child protection responsibilities. The report shall be completed no later than December 31 of each year.

2. The Commission shall review the report of the Board and, as appropriate, incorporate the findings and recommendations into the State Plan for Services to Children and Youth.

SECTION 24. AMENDATORY 10 O.S. 2021, Section 1411.1, is amended to read as follows:

Section 1411.1. A. Beginning January 1, 1999, and on January 1 each year thereafter, the Department of Human Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor and the Legislature an annual report of the administrative activities of the Developmental Disabilities Services Division. The report shall include a clear and complete description of the administrative procedures utilized by the Developmental Disabilities Services Division including, but not limited to:

1. Accounting and budgeting practices;
2. Client statistical data gathering and management;
3. Data processing procedures;
4. Development and maintenance of program service plans;
5. Provide contracting and evaluation procedures;
6. Incorporation of advisory committee assessment recommendations; and

7. Any other area of activity that is not related to direct delivery of services to applicants and clients.

B. The report shall also include, but not be limited to, previous year performance data on:

1. The number of clients:

- a. who applied for service,
- b. accepted for service,
- c. for whom plans for service were approved or denied,
- d. receiving services by classification of service objective, and
- e. who were provided a type of service that differed from the objective contained in the client's service plan;

2. The cost of services;

3. The total cost for clients who received services;

4. The average cost and percentile cost distribution of purchased services for all clients served; and

5. a. The average cost for all clients who received:

- (1) at least eight hours of care,
- (2) between eight and sixteen hours of care, and
- (3) between sixteen and twenty-four hours of care.

b. In determining such averages, the Department shall include, but not be limited to, the following costs:

- (1) laboratory and x-ray services,
- (2) dental services,

- (3) occupational therapy,
- (4) speech therapy,
- (5) physical therapy,
- (6) doctor services,
- (7) nursing services,
- (8) hospitalization,
- (9) optometry services,
- (10) housing services,
- (11) utilities,
- (12) food,
- (13) transportation,
- (14) clothing, and
- (15) administrative costs of providing such services.

C. Beginning January 1, 1999, and on or before January 1 each year thereafter, the Department shall prepare a report outlining the Department's two-year plan for providing individualized services to clients with developmental disabilities. The report shall include any new federal mandates and an estimate of any costs associated with such mandates, and recommendations for any needed statutory or constitutional changes. The Commission for Human Services shall review, amend if necessary and approve the report. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically transmit the approved report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

SECTION 25. AMENDATORY 10A O.S. 2021, Section 1-2-111,
is amended to read as follows:

Section 1-2-111. A. The Department of Human Services may, subject to available funding and in consultation with an evaluation team created pursuant to this section, create a pilot program to improve socioeconomic outcomes for children in state custody.

B. If implemented by the Department, the pilot program shall:

1. Identify the populations of children in state custody and the characteristics of those children including, but not limited to, populations in which parental drug ~~and/or~~ or alcohol abuse, mental illness, mental ~~and/or~~ or physical disability and domestic abuse are an issue;

2. Develop and design programs to provide services to children in state custody;

3. Develop methods for coordinating state and local services to assist children and their families;

4. Allow and provide for participation of both urban and rural concerns in developing and designing such programs;

5. Monitor, evaluate and review the programs implemented to serve populations of children in state custody; and

6. Include such other areas, programs, services, and information deemed necessary by the Department to provide a comprehensive assessment of the needs and programs necessary to provide assistance to children in state custody.

C. An evaluation team shall determine the effectiveness of the pilot program and ~~make~~, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Legislature and to the Department annually thereafter. Such report shall cover:

1. Effective programs that will serve children in state custody;

2. The potential for statewide expansion of programs;

3. Funding sources from public and private partnerships;

4. Training of professionals to serve children in state custody;

5. Monitoring, evaluating, and reviewing continued effectiveness of such programs;

6. Special needs of children in state custody from parental addiction to drugs and alcohol and parental mental illness and mental ~~and/or~~ or physical disability and from domestic abuse; and

7. Recommendations regarding the issuance of grants and contracts for serving such populations.

D. The evaluation team shall consist of not more than two (2) representatives from the following entities who have expertise in child abuse prevention, juvenile delinquency, or a related field and who have an understanding of program evaluation techniques:

1. The Department of Human Services;

2. The Department of Mental Health and Substance Abuse Services;

3. The Oklahoma Commission on Children and Youth;

4. A statewide organization advocating for children's issues;

5. A statewide organization representing children in court;

6. The University of Oklahoma;

7. Oklahoma State University; and

8. The Office of Juvenile Affairs.

E. Upon receipt of recommendations from the evaluation team established pursuant to this section, which indicate that the expansion of the pilot project on a statewide basis would be economically feasible and practical, the Department for Human Services may promulgate rules for developing a statewide program based on the findings of the pilot program.

F. The Department may:

1. Contract for services necessary to carry out the duties of the Department pursuant to the provisions of this section; and

2. Accept the services of volunteer workers or consultants, provided no compensation be provided for such services.

G. The Department of Human Services may promulgate rules to implement the provisions of this section.

SECTION 26. AMENDATORY 10A O.S. 2021, Section 1-6-105, is amended to read as follows:

Section 1-6-105. A. When used in this section, unless the context otherwise requires:

1. "Abuse" means harm or threatened harm or failure to protect from harm or threatened harm to the health, safety, or welfare of a child by a person responsible for the child, including but not limited to nonaccidental physical or mental injury, sexual abuse, or sexual exploitation. Provided, however, that nothing contained in this act shall prohibit any parent from using ordinary force as a means of discipline including, but not limited to, spanking, switching, or paddling;

2. "Identifying information" means information that identifies an individual, including the individual's:

- a. name, address, date of birth, occupation, place of employment and telephone number,
- b. employer identification number, mother's maiden name, Social Security number, or any identification number issued by a governmental entity, or
- c. unique biometric data, including the fingerprints, voice print, or retina or iris image of the individual;

3. "Near death" means a child is in serious or critical condition as verified by a physician, a registered nurse or other licensed health care provider. Verification of medical condition of a child may be given in person or by telephone, mail, electronic mail or facsimile;

4. "Neglect" means:

- a. the failure or omission to provide any of the following:
 - (1) adequate nurturance and affection, food, clothing, shelter, sanitation, hygiene, or appropriate education,
 - (2) medical, dental, or behavioral health care,
 - (3) supervision or appropriate caretakers, or
 - (4) special care made necessary by the physical or mental condition of the child,
- b. the failure or omission to protect a child from exposure to any of the following:
 - (1) the use, possession, sale, or manufacture of illegal drugs,
 - (2) illegal activities, or
 - (3) sexual acts or materials that are not age-appropriate, or
- c. abandonment.

Nothing in this paragraph shall be construed to mean a child is abused or neglected for the sole reason the parent, legal guardian or person having custody or control of a child, in good faith, selects and depends upon spiritual means alone through prayer, in accordance with the tenets and practice of a recognized church or religious denomination, for the treatment or cure of disease or remedial care of such child. Nothing contained in this paragraph

shall prevent a court from immediately assuming custody of a child, pursuant to the Oklahoma Children's Code, and ordering whatever action may be necessary, including medical treatment, to protect the child's health or welfare; and

5. "Person responsible for a child" means "person responsible for a child's health, safety or welfare" as provided in Section 1-1-105 of this title but shall also include any person who has voluntarily accepted the duty of supervising a child or who has been directed or authorized to supervise a child by the person responsible for the child's health, safety or welfare.

B. Department of Human Services information shall be maintained by the Department as required by federal law as a condition of the allocation of federal monies to the state. All exceptions for the public release of Department information shall be construed as openly as possible consistent with federal law.

C. If the Department has reasonable cause to suspect that a child death or near death is the result of abuse or neglect, the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically notify the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives or their designees of the initial investigative findings of the child protective services review. Notice shall be communicated securely no later than twenty-four (24) hours after determination of the reasonable suspicion.

D. Once the Department has reasonable cause to suspect that a child death or near death is the result of abuse or neglect, the Department shall, upon request, release to the public the following information:

1. The age and sex of the child;
2. The date of death or near-death incident;
3. Whether the child was in the custody of the Department at the time of the child's death or near death;

4. Whether the child resided with the child's parent, guardian, or person responsible for the care of the child at the time of the child's death or near death; and

5. Whether the child was under the supervision of the child's parent, guardian, or person responsible for the child at the time of the death or near death of the child.

E. If, after a child abuse or neglect investigation is completed, the Department determines a child's death or near death was the result of abuse or neglect, the Department shall, upon request, release to the public the following information:

1. The information described in subsection D of this section;

2. The name of the abused or neglected child; provided, that the name shall not be disclosed in a case of a near death unless the name has previously been disclosed;

3. The name of the offender if due process has been satisfied or if the offender has been arrested and charged with a crime associated with the death or near death of the child;

4. In cases in which the death or near death of the child occurred while the child was living with the child's parent, guardian, or person responsible for the care of the child:

a. the circumstances of the death or near death of the child,

b. a summary of the child's involvement with the Department while the child was living with the parent, guardian, or person responsible for the care of the child,

c. the disposition of any report created as a result of the child's involvement with the Department while the child was living with the parent, guardian, or person responsible for the care of the child,

d. a description of the services, if any, that were provided by the Department as a result of the child's

involvement with the Department while the child was living with the parent, guardian, or person responsible for the care of the child,

- e. the results of any risk or safety assessment completed by the Department relating to the child,
- f. the date each report was assessed and completed,
- g. whether the Department confirmed abuse or neglect,
- h. whether any reports were referred to the district attorney and the date of the referrals,
- i. the dates of any judicial proceedings prior to the death or near death of the child,
- j. a summary of the recommendations submitted by each participant at the judicial proceedings including recommendations made at the hearing as they relate to custody or placement of the child,
- k. the rulings of the court,
- l. specific recommendations made and services rendered by the Department described in any progress reports of a pending case submitted to the court,
- m. a summary of the status of the child's case at the time of the death or near death, including, without limitation, whether the child's case was closed by the Department before the death or near death,
- n. similar information for any other investigations concerning that child, or other children while living in the same household,
- o. a summary of statutory and policy violations, including notice of any personnel actions taken by the Department, and

- p. recommendations for policy changes or practice improvements based upon the interactions between the Department, the child who died or nearly died and the person responsible for the care of the child; and

5. In cases in which the death or near death of the child occurred while the child was in the custody of the Department and the person responsible for the supervision of the child was the suspected perpetrator, the following information:

- a. the circumstances of the death or near death of the child,
- b. information regarding the certification of the person with whom the child was residing at the time of death or near death,
- c. a summary of any previous reports of abuse or neglect investigated by the Department relating to the person responsible for the supervision of the child, including the disposition of any investigation resulting from a report,
- d. any policy violations, including notice of any action taken by the Department regarding a violation,
- e. records of any training completed by the person responsible for the supervision of the child,
- f. similar information for any other investigations concerning that child, or other children while living in the same household,
- g. a summary of licensing actions taken by the Department, and
- h. recommendations for policy changes or practice improvements based upon the interactions between the Department and the child who died or nearly died.

F. If the Department is unable to release the information required by subsection E of this section before forty-five (45) days

after receiving a report of the death or near death of a child, the Department shall notify the person requesting the information of the delay and provide the reason for the delay and the expected date the Department will release the report.

G. At any time subsequent to seven (7) days, but no more than forty-five (45) days, of the date the person responsible for the child has been criminally charged, the district attorney, the district court clerk, and the judge having jurisdiction over the case, upon request, shall release certain information to the public as follows:

1. The dates of any relevant judicial proceedings prior to the death or near death of the child;

2. Recommendations submitted by each participant in writing at the relevant judicial proceedings including recommendations made at the hearing as they relate to custody or placement of a child; and

3. The relevant rulings of the court.

H. 1. At any time subsequent to seven (7) days after the date the person responsible for the child has been criminally charged, the Oklahoma Commission on Children and Youth shall, upon request, release certain information to the public within sixty (60) days of the request as follows:

- a. a confirmation shall be provided by the Commission as to whether a report of suspected child abuse or neglect has been made concerning the alleged victim or other children while living in the same household and whether an investigation has begun,
- b. confirmation shall be provided by the Commission as to whether previous reports of suspected child abuse or neglect have been made concerning the alleged victim of the death or near death or against the person responsible for the child and the dates thereof, a summary of those previous reports, the dates and outcome of any investigations or actions taken by the Department and the Commission in response to any previous report of child abuse or neglect, and the

specific recommendation made to the district attorney and any subsequent action taken by the district attorney,

- c. the dates of any relevant judicial proceedings prior to the death or near death of the child,
- d. recommendations submitted by the Department and the Commission shall be provided in writing including relevant recommendations made at the hearing as they relate to custody or placement of a child,
- e. the relevant rulings of the court, and
- f. any relevant information listed in subsections E and G of this section.

2. Specific recommendations made by the Commission described in any progress reports of a pending case submitted to the court may be disclosed by the Commission.

I. Unless specifically authorized by this section, any public disclosure of information pursuant to this section shall not:

1. Identify or provide any identifying information of any complainant or reporter of child abuse or neglect;

2. Identify or provide any identifying information of the victim, the child victim's siblings or other children living in the same household, the parent or other person responsible for the child, or any other member of the household, or the person criminally charged or Department employees, agents or contractors. Nonspecific descriptors, such as father, mother, stepparent, or sibling may be used; or

3. Violate other state or federal law as required pursuant to subsection A of Section 1-6-102 of this title.

J. Any and all statements, affirmations, gestures, or conduct expressing apology, sympathy, commiseration, condolence, compassion, sorrow or a general sense of benevolence which are made by the Department of Human Services or an employee of the Department to the

public or to the family or foster parents of a child which relate solely to discomfort, pain, suffering, injury, tragedy, near death or death of a child shall be inadmissible as evidence of an admission of liability or wrongdoing or as evidence of an admission against interest.

SECTION 27. AMENDATORY 10A O.S. 2021, Section 1-8-111, is amended to read as follows:

Section 1-8-111. ~~A.~~ The Department of Human Services shall provide each youth in its custody fourteen (14) years and older an annual credit report. The Department shall inform the court with jurisdiction over the youth of any inaccuracies in a credit report displaying evidence of identity theft or any other activity fraudulently made on behalf of the youth in custody. The Department may implement the requirements of this section in stages beginning with youth in the independent living program whose credit rating may inhibit employment and housing opportunities when the child is no longer in custody.

~~B. Within one (1) year of November 1, 2014, the Department of Human Services shall submit annual reports on the implementation of the provisions of this section to the Chair and Vice Chair of the Senate Health and Human Services Committee and the Chair and Vice Chair of the House Human Services Committee. Such reports shall include, but not be limited to, the number of youths in the Department's custody receiving credit score reports, the frequency of such reports and administrative issues faced by the Department in the implementation of this section. Such reports shall continue to be issued by the Department until November 1, 2018.~~

SECTION 28. AMENDATORY 10A O.S. 2021, Section 1-9-105, is amended to read as follows:

Section 1-9-105. A. The Department of Human Services shall carefully define the children and youth programs of the Department as to their purpose, the population served, and performance expectations. Planning for new programs and services and major modifications to existing ones shall include evaluation of their effect on other programs and services and communication and coordination with other public and private children and youth service providers in order to assure successful and cost-effective

implementation of the program. An evaluation component that includes monitoring and evaluation of client outcomes shall be incorporated into all of the Department's programs and services to children and youth, whether provided directly by the agency or through a contract.

1. All programs and services shall be designed to ensure the accessibility of the program to the persons served. Provision for transportation, child care and similar services necessary in order to assist persons to access the services shall be made. If the service is provided in an office setting, the service shall be available during the evening.

2. Programs and services shall be targeted to the areas of the state having the greatest need for them. The programs and services shall be designed to meet the needs of the area in which they are located. Programs and services intended for statewide implementation shall be implemented first in those areas that have the greatest need for them.

3. As a part of the Department's program planning and monitoring processes, the Department shall examine its programs and services to children and youth to ensure that the practices within them do not operate to detriment of minority children and youth.

4. All child care services and facilities operated by the Department shall be accredited by the National Council on Accreditation, when applicable.

B. The Department shall develop a five-year plan for children and youth services provided by the agency. The plan shall be reviewed annually and modified as necessary. Agency budget recommendations of the Department for services to children and youth shall be based upon documented needs, and the development of budget recommendations and priorities shall be closely integrated with agency and interagency program planning and management.

C. The Department shall annually review its programs and services and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Supreme Court of the State of

Oklahoma, analyzing and evaluating the effectiveness of the programs and services being carried out by the Department. Such report shall include, but not be limited to:

1. An analysis and evaluation of programs and services continued, established, and discontinued during the period covered by the report;

2. A description of programs and services which should be implemented;

3. Statutory changes necessary;

4. Relevant information concerning the number of children in the Department's custody during the period covered by the report; and

5. Such other information as will enable a user of the report to ascertain the effectiveness of the Department's programs and services.

D. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, on or before January 31 of each year, electronically submit a report to the Governor, President Pro Tempore of the Senate, Speaker of the House of Representatives, and the Oklahoma Supreme Court which shall include:

1. Information concerning the number of children in the Department's custody that are placed in nonfamily settings, including but not limited to the types of settings utilized and the duration of the children's stays in such settings;

2. A census of approved foster homes and the number of children placed in those homes and a comparative review of foster home room-and-board rates; and

3. Information concerning child welfare staff workloads and comparative salaries for such staff.

SECTION 29. AMENDATORY 10A O.S. 2021, Section 1-9-120, as amended by Section 2, Chapter 28, O.S.L. 2023 (10A O.S. Supp. 2025, Section 1-9-120), is amended to read as follows:

Section 1-9-120. A. The Office of Client Advocacy and child-placing agencies shall each establish grievance procedures for foster parents with whom the Department of Human Services or child-placing agencies contract. The Office of Client Advocacy shall work with the Office of Juvenile System Oversight to track foster parent complaints through the grievance procedures and ensure a resolution of the complaint.

B. The procedures established shall contain the following minimum requirements:

1. Resolution of disputes with foster parents shall be accomplished quickly, informally, and at the lowest possible level, but shall provide for access to impartial arbitration by management level personnel within the central office;

2. Prompt resolution of grievances no more than sixty (60) days after receipt of the grievance or complaint; and

3. Notification to all foster parents upon placement of a child about the grievance procedures and how to file a complaint.

C. The Office of Client Advocacy and each child-placing agency shall designate one employee at the central office to receive and process foster care grievances received by the Office of Juvenile System Oversight.

D. The Office of Client Advocacy and each child-placing agency shall maintain records of each grievance filed as well as summary information about the number, nature and outcome of all grievances filed. The Office of Client Advocacy and the Office of Juvenile System Oversight shall compile an annual report ~~for~~ to be electronically submitted to the Legislature, utilizing the centralized filing system provided for in Section 378 of this act, that details the number of complaints received, the number of complaints resolved, the nature of the complaints and any other information requested by the Legislature. The Office of Client Advocacy and child-placing agencies shall keep records of grievances separate and apart from other foster parent files. A foster parent or a former foster parent shall have a right of access to the record

of grievances such person filed after the procedure has been completed.

E. 1. Each foster parent shall have the right, without fear of reprisal or discrimination, to present grievances with respect to the providing of foster care services.

2. The Department of Human Services shall promptly initiate a plan of corrective discipline including, but not limited to, dismissal of any Department employee or cancellation or nonrenewal of the contract of a child-placing agency determined by the state agency, through an investigation to have retaliated or discriminated against a foster parent who has:

- a. filed a grievance pursuant to the provisions of this section,
- b. provided information to any official or Department employee, or
- c. testified, assisted, or otherwise participated in an investigation, proceeding or hearing against the Department or the child-placing agency.

3. The provisions of this subsection shall not be construed to include any complaint by the foster parent resulting from an administrative, civil, or criminal action taken by the employee or child-placing agency for violations of law or rules, or contract provisions by the foster parent.

SECTION 30. AMENDATORY 10A O.S. 2021, Section 2-7-311, is amended to read as follows:

Section 2-7-311. A. The Office of Juvenile Affairs shall from time to time, but not less often than annually, review its programs and services and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Supreme Court of the State of Oklahoma, the Board of Juvenile Affairs, and the Oklahoma Commission on Children and Youth analyzing and evaluating the

effectiveness of its programs and services. The report shall include, but not be limited to:

1. An analysis and evaluation of programs and services continued, established, and discontinued during the period covered by the report;

2. A description of programs and services which should be implemented;

3. Relevant information concerning the number of children comprising the population of any facility operated by the Office of Juvenile Affairs during the period covered by the report;

4. An analysis and evaluation, by age, of the number of children assessed for literacy skills, the number who failed to demonstrate age-appropriate reading skills, and the number who were required to participate in a literacy skills improvement program; and

5. Such other information as will enable a user of the report to ascertain the effectiveness of the programs, services, and facilities.

B. The Office of Juvenile Affairs shall annually analyze and evaluate the implementation of the Youthful Offender Act, the effectiveness of the Youthful Offender Act and any problems which have occurred which have limited the effectiveness of the Youthful Offender Act. The annual analysis and evaluation shall be incorporated in the report required by subsection A of this section.

SECTION 31. AMENDATORY 10A O.S. 2021, Section 2-7-606, is amended to read as follows:

Section 2-7-606. A. The Office of Juvenile Affairs shall have the supervision, management, operation, and control of the institution for children located at Tecumseh, formerly known and designated as Girls' Town and now known as Central Oklahoma Juvenile Center, and all property, equipment and supplies related thereto.

B. The Central Oklahoma Juvenile Center shall maintain facilities and bed-space capacity for programs that are consistent

with providing statewide juvenile justice and delinquency prevention services.

C. It shall be the duty of the State Fire Marshal and the State Commissioner of Health, to cause regular, periodic, not less than quarterly, unannounced inspections of ~~said~~ such institution, utilizing adequately trained and qualified inspection personnel, to determine and evaluate conditions and programs being maintained and carried on at ~~said~~ such institution in their respective areas of agency jurisdiction. Such inspections shall include, but not be limited to, the following: compliance with minimum fire, life, and health safety standards; compliance with minimum standards governing general sanitation of the institution, with particular emphasis upon food storage, preparation, serving and transportation, respectively. Reports of such inspections will be made in writing, itemizing and identifying any deficiencies and recommending corrective measures, and shall be electronically filed with the Board of Juvenile Affairs, the Executive Director of the Office of Juvenile Affairs, the Attorney General, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Office of Juvenile System Oversight, and the Oklahoma Commission on Children and Youth utilizing the centralized filing system provided for in Section 378 of this act. The Office of Juvenile Affairs shall file copies of the reports of the inspections and recommendations of the accrediting agencies listed in subsection D of this section with the Office of Juvenile System Oversight.

D. The Office of Juvenile Affairs is authorized and directed to establish, subject to the limits of funds available therefor, a diversity of placement alternatives for children committed to the custody of the Office including, but not limited to, foster family homes, foster family group homes, and group homes. All child care services and facilities operated by the Office shall be accredited by the American Correctional Association, the Joint Commission on Accreditation of Hospitals or the Child Welfare League of America, as appropriate for the service or facility. The Office may directly contract for accreditation fees, training or training conferences with the organization accrediting the service or facility as required by this subsection.

SECTION 32. AMENDATORY 10A O.S. 2021, Section 2-7-705,
is amended to read as follows:

Section 2-7-705. A. The Office of Juvenile Affairs shall have the responsibility for implementation and evaluation of the Delinquency and Youth Gang Intervention and Prevention Act and any modifications thereto.

B. Any contract executed by the Office of Juvenile Affairs with an eligible entity on and after the effective date of this act for delinquency prevention and early intervention programs, subject to the Delinquency and Youth Gang Intervention and Prevention Act, shall require the eligible entity to prepare and submit to the Office, in a manner prescribed by the Office, an outcome-based performance report including, but not limited to, the following:

1. A description of the target population, service eligibility criteria, and risk factors;

2. A description of program services, the number of clients referred each year, the number of clients served each year, and the number of clients discharged each year;

3. The average cost per client participating in program services each year; and

4. Performance measures referencing service completion and recidivism which employ uniform definitions developed by the Office.

C. The Office of Juvenile Affairs shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor by January 15 of each year, an annual report, including a summary detailing the following information derived from the outcome-based performance reports submitted by the eligible entities pursuant to the provisions of subsection A of this section and other information available to the Office:

1. Total amount of funds per state fiscal year expended for the delinquency prevention programs subject to the Delinquency and Youth Gang Intervention and Prevention Act;

2. Average expenditures per juvenile during the most recent state fiscal year;

3. Analyses of the nature and effectiveness of gang-related delinquency prevention and early intervention programs provided by eligible entities pursuant to contracts;

4. Effectiveness of each of the programs provided by the eligible entities;

5. Recommendations regarding distribution of the funds based upon the effectiveness of the programs provided by the eligible entities; and

6. Any other information or recommendations deemed necessary by the Board of Juvenile Affairs.

SECTION 33. AMENDATORY 10A O.S. 2021, Section 2-7-905, is amended to read as follows:

Section 2-7-905. A. For the purpose of information sharing and management of the Juvenile Offender Tracking Program, there is hereby created the Juvenile Justice Information System. The information system shall be an automated, data-based, system for tracking juvenile offenders from arrest through final closure of the case and shall include information provided by all of the components of the juvenile justice system in accordance with the provisions of the Juvenile Offender Tracking Program. The information system shall be fully integrated with other information systems related to services to children and youth and shall:

1. Be based upon the integration, utilization, and modification, as necessary, of existing information systems;

2. Provide for the accuracy of the information and for the security of and limited access to the information;

3. Include case specific information, including client outcomes, and have the ability to monitor juveniles in the juvenile justice system; and

4. Be capable of providing management reports and information to the various components of the juvenile justice system, and of providing aggregate information necessary for planning, monitoring, evaluating, and managing programs and services provided to youthful offenders as well as for system-wide analysis of the Juvenile Offender Tracking Program.

B. The Office of Juvenile Affairs, the juvenile bureaus, the Oklahoma State Bureau of Investigation, the Office of the Court Administrator, and other agencies and programs comprising the juvenile justice system, including but not limited to law enforcement and district attorneys, in accordance with guidelines established by the Juvenile Offender Tracking Program, shall jointly:

1. Identify information to be shared by agencies on a regular basis;

2. Develop procedures for processing case-profiles as cases move through agencies that come in contact with juvenile offenders;

3. Establish training programs in the use of the system;

4. Conduct a pilot project to test the system; and

5. At least annually, evaluate the plan for full statewide implementation of the Juvenile Justice Information System and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit any necessary modifications of the existing plan to the Juvenile Offender Tracking Program and to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and each agency affected by ~~said~~ such plan.

SECTION 34. AMENDATORY 10A O.S. 2021, Section 2-10-103, is amended to read as follows:

Section 2-10-103. The Oklahoma Commission on Children and Youth shall prepare annually a report describing the Oklahoma Mentoring Children of Incarcerated Parents Program and measuring its effectiveness. The report shall be electronically submitted to the President Pro Tempore of the Senate, the Speaker of the House of

Representatives, and the Governor of this state no later than March 1 of each applicable year utilizing the centralized filing system provided for in Section 378 of this act. The report may be used for the purpose of determining whether to continue or sunset the Oklahoma Mentoring Children of Incarcerated Parents Program.

SECTION 35. AMENDATORY 11 O.S. 2021, Section 49-100.8, is amended to read as follows:

Section 49-100.8. The State Board shall certify and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Director of the Office of Management and Enterprise Services, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate, on or before July 15 of each year, an actuarially determined estimate of the rate of contribution which will be required, together with all accumulated contributions and other assets of the System to pay by level-dollar payments all liabilities which shall exist or accrue pursuant to the provisions of the System, including amortization of the unfunded accrued liability over a period of not to exceed thirty (30) years beginning July 1, 2014.

SECTION 36. AMENDATORY 11 O.S. 2021, Section 49-100.9, is amended to read as follows:

Section 49-100.9. A. The Oklahoma Firefighters Pension and Retirement Board shall discharge their duties with respect to the System solely in the interest of the participants and beneficiaries and:

1. For the exclusive purpose of:

- a. providing benefits to participants and their beneficiaries, and
- b. defraying reasonable expenses of administering the System;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

3. By diversifying the investments of the System so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

4. In accordance with the laws, documents and instruments governing the System.

B. The State Board may procure insurance indemnifying the members of the State Board from personal loss or accountability from liability resulting from a member's action or inaction as a member of the State Board.

C. The State Board may establish an investment committee. The investment committee shall be composed of not more than five (5) members of the State Board appointed by the chairman of the State Board. The committee shall make recommendations to the full State Board on all matters related to the choice of custodians and managers of the assets of the System, on the establishment of investment and fund management guidelines, and in planning future investment policy. The committee shall have no authority to act on behalf of the State Board in any circumstances whatsoever. No recommendation of the committee shall have effect as an action of the State Board nor take effect without the approval of the State Board as provided by law.

D. The Board shall retain qualified investment managers to provide for the investment of the monies of the System. The investment managers shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the State Board. Subject to the overall investment guidelines set by the State Board, the investment managers shall have full discretion in the management of those monies of the System allocated to the investment managers. The State Board shall manage those monies not specifically allocated to the investment managers. The monies of the System allocated to the investment managers shall be actively managed by the investment managers, which may include selling investments and realizing losses if such action is considered advantageous to longer term return maximization. Because of the total return objective, no distinction shall be made for management and performance evaluation purposes between realized and unrealized capital gains and losses.

E. Funds and revenues for investment by the investment managers or the State Board shall be placed with a custodian selected by the State Board. The custodian shall be a bank or trust company offering pension fund master trustee and master custodial services and any related custodial agreement or trust agreement is incorporated herein by reference. The custodian shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the State Board. In compliance with the investment policy guidelines of the State Board, the custodian bank or trust company shall be contractually responsible for ensuring that all monies of the System are invested in income-producing investment vehicles at all times. If a custodian bank or trust company has not received direction from the investment managers of the System as to the investment of the monies of the System in specific investment vehicles, the custodian bank or trust company shall be contractually responsible to the State Board for investing the monies in appropriately collateralized short-term interest-bearing investment vehicles. Any assets of the System may be invested in a collective investment fund or group trust that satisfies the requirements of Revenue Ruling 81-100, as further amended by Revenue Ruling 2004-67, Revenue Ruling 2008-40, and Revenue Ruling 2011-1, and as subsequently amended by future guidance. Each such collective investment fund or group trust is adopted, with respect to any monies invested therein, as part of the System, its trust, and custodial account and each such declaration of trust or trust agreement and related adoption, participation, investment management, subtrust, or other agreements, as amended from time to time, with respect to any monies invested therein, are incorporated by reference into the System, its trust agreement(s) or custodial agreement(s), upon approval by the State Board.

F. By November 1, 1988, and prior to August 1 of each year thereafter, the State Board shall develop a written investment plan for the System.

G. The State Board shall compile a quarterly financial report of all the funds of the System on a fiscal year basis. The report shall be compiled pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall include several relevant measures of investment value, including acquisition cost and current fair market

value with appropriate summaries of total holdings and returns. The report shall contain combined and individual rate of returns of the investment managers by category of investment, over periods of time. The State Board shall include in the quarterly reports all commissions, fees or payments for investment services performed on behalf of the State Board. The report shall be electronically distributed to the Governor, the Oklahoma State Pension Commission, the Legislative Service Bureau, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

H. After July 1 and before December 1 of each year, the State Board shall publish widely an annual report presented in simple and easily understood language pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Oklahoma State Pension Commission, and the members of the System utilizing the centralized filing system provided for in Section 378 of this act. The annual report shall cover the operation of the System during the past fiscal year, including income, disbursements, and the financial condition of the System at the end of the fiscal year. The annual report shall also contain the information issued in the quarterly reports required pursuant to subsection G of this section as well as a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or over funded status, contributions and any other information deemed relevant by the State Board. The annual report shall be written in such a manner as to permit a readily understandable means for analyzing the financial condition and performance of the System for the fiscal year.

I. Effective July 1, 2000, the State Board is hereby authorized to do all acts and things necessary and proper to carry out the purpose of the System and to make the least costly amendments and changes, if any, as may be necessary to qualify the System under the applicable sections of the Internal Revenue Code of 1986, as amended.

SECTION 37. AMENDATORY 11 O.S. 2021, Section 50-105.3,
is amended to read as follows:

Section 50-105.3. The State Board shall certify and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit such certification to the Director of the Office of Management and Enterprise Services, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate, on or before November 1 of each year, an actuarially determined estimate of the rate of contribution which will be required, together with all accumulated contributions and other assets of the System to pay by level-dollar payments all liabilities which shall exist or accrue pursuant to the provisions of the System, including amortization of the unfunded accrued liability over a period of not to exceed thirty (30) years beginning July 1, 1988.

SECTION 38. AMENDATORY 11 O.S. 2021, Section 50-105.4,
is amended to read as follows:

Section 50-105.4. A. The Oklahoma Police Pension and Retirement Board shall discharge their duties with respect to the System solely in the interest of the participants and beneficiaries and:

1. For the exclusive purpose of:

- a. providing benefits to participants and their beneficiaries, and
- b. defraying reasonable expenses of administering the System;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

3. By diversifying the investments of the System so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

4. In accordance with the laws, documents and instruments governing the System.

B. The State Board may procure insurance indemnifying the members of the State Board from personal loss or accountability from liability resulting from a member's action or inaction as a member of the State Board.

C. The State Board may establish an investment committee. The investment committee shall be composed of not more than five (5) members of the State Board appointed by the chairman of the State Board. The committee shall make recommendations to the full State Board on all matters related to the choice of custodians and managers of the assets of the System, on the establishment of investment and fund management guidelines, and in planning future investment policy. The committee shall have no authority to act on behalf of the State Board in any circumstances whatsoever. No recommendation of the committee shall have effect as an action of the State Board nor take effect without the approval of the State Board as provided by law.

D. The State Board shall retain qualified investment managers to provide for the investment of the monies of the System. The investment managers shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the State Board unless the State Board deems it necessary and prudent to do otherwise to fulfill its fiduciary responsibility. Subject to the overall investment guidelines set by the State Board, the investment managers shall have full discretion in the management of those monies of the System allocated to the investment managers. The State Board shall manage those monies not specifically allocated to the investment managers. The monies of the System allocated to the investment managers shall be actively managed by the investment managers, which may include selling investments and realizing losses if such action is considered advantageous to longer term return maximization. Because of the total return objective, no distinction shall be made for management and performance evaluation purposes between realized and unrealized capital gains and losses.

E. Funds and revenues for investment by the investment managers or the State Board shall be placed with a custodian selected by the State Board. The custodian shall be a bank or trust company

offering pension fund master trustee and master custodial services and any related custodial agreement or trust agreement is incorporated herein by reference. The custodian shall be chosen by a solicitation of proposals on a competitive basis pursuant to standards set by the State Board. In compliance with the investment policy guidelines of the State Board, the custodian bank or trust company shall be contractually responsible for ensuring that all monies of the System are invested in income-producing investment vehicles at all times. If a custodian bank or trust company has not received direction from the investment managers of the System as to the investment of the monies of the System in specific investment vehicles, the custodian bank or trust company shall be contractually responsible to the State Board for investing the monies in appropriately collateralized short-term interest-bearing investment vehicles. Any assets of the System may be invested in a collective investment fund or in a group trust that satisfies the requirements of Rev. Rul. 81-100, as further amended by Rev. Rul. 2004-67, Rev. Rul. 2008-40, and Rev. Rul. 2011-1, and as subsequently amended by future guidance. Each such collective investment fund or group trust is adopted, with respect to any monies invested therein, as part of the System, its trust, and custodial account and each such declaration of trust or trust agreement and related adoption, participation, investment management, subtrust, or other agreements, as amended from time to time, with respect to any monies invested therein, are incorporated by reference into the System, its trust agreement(s) or custodial agreement(s), upon approval by the State Board.

F. By November 1, 1988, and prior to August 1 of each year thereafter, the State Board shall develop a written investment plan for the System.

G. After July 1 and before November 1 of each year, the State Board shall publish widely an annual report presented in simple and easily understood language pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Oklahoma State Pension Commission, and the members of the System utilizing the centralized filing system provided for in Section 378 of this act. The annual report shall cover the operation of the System during the past

fiscal year, including income, disbursements, and the financial condition of the System at the end of the fiscal year. The annual report shall also contain a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or over funded status, contributions and any other information deemed relevant by the State Board. The annual report shall be written in such a manner as to permit a readily understandable means for analyzing the financial condition and performances of the System for the fiscal year.

H. The State Board shall adopt a cost of living adjustment actuarial assumption in its annual actuarial valuation report.

SECTION 39. AMENDATORY 14A O.S. 2021, Section 6-104, is amended to read as follows:

Section 6-104. (1) In addition to other powers granted by this title, the Administrator of Consumer Credit may, within the limitations provided by law:

- (a) receive and act on complaints, take action designed to obtain voluntary compliance with this title, or commence proceedings on the Administrator's own initiative,
- (b) counsel persons and groups on their rights and duties under this title,
- (c) establish programs for the education of consumers with respect to credit practices and problems,
- (d) make studies appropriate to effectuate the purposes and policies of this title and make the results available to the public,
- (e) with approval by the Commission on Consumer Credit adopt, amend, and repeal substantive rules when specifically authorized by this title, and adopt, amend, and repeal procedural rules to carry out the provisions of this title, all as provided by the Administrative Procedures Act, and

(f) enforce the disclosure provisions of the Federal Consumer Credit Protection Act as defined in Section 1-302 of this title.

(2) Except for refund of an excess charge, no liability is imposed under this title for an act done or omitted in conformity with a rule of the Administrator or written opinion of the Administrator stating rights and duties issued on the Administrator's own motion or in response to a request under paragraph (b) of subsection (1) of this section notwithstanding that after the act or omission the rule or opinion may be amended or repealed or be determined by judicial or other authority to be invalid for any reason. The opinions of the Administrator shall be compiled and published no less often than annually.

(3) The Administrator shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report annually on or before January 1 to the Governor and Legislature on the operation of the Administrator's office, on the use of consumer credit in the state, and on the problems of persons of small means obtaining credit from persons regularly engaged in extending sales or loan credit. For the purpose of making the report, the Administrator is authorized to conduct research and make appropriate studies. The report shall include a description of the examination and investigation procedures and policies of the Administrator's office, a statement of policies followed in deciding whether to investigate or examine the offices of credit suppliers subject to this title, a statement of the number and percentages of offices which are periodically investigated or examined, a statement of the types of consumer credit problems of both creditors and debtors which have come to the Administrator's attention through examinations and investigations and the disposition of them under existing law, and a general statement of the activities of the Administrator's office and of others to promote the purposes of this title. The report shall not identify the creditors against whom action is taken by the Administrator.

(4) The Administrator may enter into cooperative, coordinating and information-sharing agreements with any other agencies that have supervisory or regulatory responsibility over any entity that has been or may be licensed by the Department of Consumer Credit or any organization affiliated with or representing one or more agencies

with supervisory or regulatory responsibility over any entity that has been or may be licensed by the Department, and the Administrator may accept reports of examination and reports of investigation from any such agency or organization in lieu of conducting the Administrator's own examinations or investigations. The Administrator may cooperate, coordinate, and enter into information-sharing agreements with the Oklahoma State Banking Department and other state agencies with whom the agreements may be mutually beneficial.

(5) The Administrator shall have the authority to adopt rules, not inconsistent with the provisions of this title, to limit the amount of the additional charges that lenders are permitted to impose under subsections (1) and (2) of Section 3-202 of this title and Section 3-203.2 of this title, or to limit the amount of deferral charges that sellers and lenders may impose under subsections (2) and (3) of Section 2-204 of this title and subsections (2) and (3) of Section 3-204 of this title. The Administrator shall:

- (a) in promulgating, amending or repealing rules pursuant to this section, take into consideration whether limits on the additional charges permitted under subsections (1) and (2) of Section 3-202 of this title and Section 3-203.2 of this title, or limits on deferral charges that sellers and lenders may impose under subsections (2) and (3) of Section 2-204 of this title and subsections (2) and (3) of Section 3-204 of this title, would:
 - (i) place lenders located in this state at a competitive disadvantage, with respect to the additional charges, as compared to out-of-state credit card lenders or place sellers and lenders in this state at a competitive disadvantage with respect to the deferral charges, as compared to out-of-state sellers and lenders,
 - (ii) require sellers or lenders located in this state to impose higher finance charges, or

(iii) impede the growth of consumer credit sales or the consumer lending industry in this state, and

(b) adopt rules limiting the dollar amounts of the additional charges permitted under subsections (1) and (2) of Section 3-202 of this title and Section 3-203.2 of this title, or the deferral charges permitted under subsections (2) and (3) of Section 2-204 of this title and subsections (2) and (3) of Section 3-204 of this title, in the event that the Administrator determines that such limits are necessary to protect debtors in this state from being subjected to charges which are unreasonable or excessive as compared to the prevailing charges being imposed by out-of-state lenders and sellers.

SECTION 40. AMENDATORY 14A O.S. 2021, Section 6-504, is amended to read as follows:

Section 6-504. The Commission shall select a chair and is hereby authorized to adopt rules for conducting its proceedings. A majority of the voting members shall constitute a quorum for transacting Commission business. The Commission may meet monthly on such date as it may designate and may meet at such other times as it may deem necessary, or when called by the chair or by any two members. Complete minutes of each meeting shall be kept and filed in the Department of Consumer Credit and shall be available for public inspection during reasonable office hours. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report annually to the Governor and to the Speaker of the House of Representatives and the President Pro Tempore of the Senate. The report shall contain a summary of the minutes of the meetings held during the year, legislative recommendations, a summary of violations of the Uniform Consumer Credit Code and action taken thereon, and such other data and information as may be deemed necessary or appropriate. Each member of the Commission shall have unrestricted access to all offices and records of the Department. The Commission may review, repeal, amend or modify any rule or regulation adopted or promulgated by the Administrator.

SECTION 41. AMENDATORY 17 O.S. 2021, Section 40.1, is amended to read as follows:

Section 40.1. A. For the purpose of accepting, processing, and hearing applications for oil and gas well development, administrative applications, and for any other related matters, the Corporation Commission shall divide the state into two regional service areas. By September 1, 1990, the Corporation Commission shall establish and maintain in each regional service area, a regional service office located within the corporate limits of any municipality having a population of more than two hundred fifty thousand (250,000) inhabitants according to the last Federal Decennial Census to implement their duties pursuant to law. The State Office of the Corporation Commission located in Oklahoma City shall serve as the regional service office for the regional service area in which Oklahoma City is located. The regional service office shall service the regional service area in which such office is located or as otherwise provided by the Corporation Commission for public convenience.

B. 1. Applications for oil and gas well development, administrative applications and any other related matters may be filed in any regional service office.

2. The central record of all filings with all regional service offices shall be maintained in the State Office of the Corporation Commission located in Oklahoma City and all initial dockets shall be simultaneously announced in Oklahoma City and transmitted to regional offices.

3. All hearings on any application including but not limited to appellate hearings shall be held in the regional service office where the application is filed unless:

- a. in the case of an application protested by a respondent mineral owner, or surface owner having standing to protest by statute or by Rule of the Corporation Commission, holding the hearing in the regional service office would not be at the convenience of such respondent mineral owner, or surface owner, ~~or~~

- b. the applicant and all protestants agree to have the Commission proceed to hear any case, or any portion thereof, during any stage of the proceedings, at any regional service office, or by telecommunication hearings, or
- c. the applicant, all protestants and the Commission agree to have the Commission proceed to hear any case, or any portion thereof, during any stage of the proceedings, at another location other than a regional service office.

C. 1. The Corporation Commission shall provide for an adequately staffed regional service office in each regional service area to conduct the business of the regional service office as herein provided.

2. In order to implement the provisions of this subsection for the regional service office located within the corporate limits of a municipality having a population of more than two hundred fifty thousand (250,000) inhabitants, the Commission shall utilize the following positions from existing FTE for such service office:

POSITION	MINIMUM
	FTE
Office Administrator	1.0
Hearing Officers	2.0
Court Reporters	2.0
Docket Clerks	2.5
Secretary	1.0

3. The Corporation Commission shall maintain electronic data equipment capable of retrieving and printing information by cause number, applicant name, relief requested, or by county.

D. The Corporation Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate by February 1 of each year detailing the number of applications filed by county, hearings held and other activities performed by each regional service office.

E. The Corporation Commission shall promulgate rules, pursuant to the Administrative Procedures Act, to implement the provisions of this section.

F. The Corporation Commission shall develop and maintain a system for providing telephonic communication service for hearings related to oil and gas matters in municipalities having a population of more than eighty-five thousand (85,000) inhabitants according to the last Federal Decennial Census. In order to implement the provisions of this subsection, the Commission shall utilize from existing FTE the following position for such telephonic communication service:

POSITION	FTE
Docket Clerk	.5

SECTION 42. AMENDATORY 17 O.S. 2021, Section 253, is amended to read as follows:

Section 253. A. No proposed monthly fuel adjustment, purchased power adjustment or purchased gas adjustment shall become effective until after the Corporation Commission has had an opportunity to determine that the adjustment is calculated in accordance with the terms and conditions of the applicable fuel adjustment clause.

B. The Commission shall promulgate rules requiring each company as a necessary part of the monthly filing with the Commission and condition to consideration of any adjustment application to submit the following information:

1. A statement by each company subject to a fuel adjustment clause of the items and costs making up the average cost of fuel per

million BTU and associated costs in dollars and cents or fraction thereof;

2. A summary of its fuel and gas purchase invoices and its computations of the proposed monthly fuel adjustment or purchased gas adjustment charges;

3. A summary of inventory records of fuel and gas going into and taken out of stockpile or storage;

4. A report containing the average unit price, the change in the average unit price, the volume purchased and a brief explanation of such unit cost increase; and

5. Any other records deemed necessary by the Commission including, but not limited to, the heat rate efficiency and delivery efficiency for affected electric public utilities and the actual capacity factor for each generating facility utilized to produce electric power.

The records and computations filed shall be open to public inspection at the office of the Commission.

C. The Commission shall have five (5) business days after the records and computations prescribed in subsection B of this section have been filed to determine the necessity of an administrative proceeding thereon. If the Commission does not determine that a hearing is required, the proposed adjustment charge shall become effective as filed. In the event the Commission decides to hold a hearing on the information filed, it shall notify the public utility within such five-day period, set the matter for a public hearing to commence within thirty (30) business days thereafter, and give notice thereof at least three (3) days prior to the commencement of such hearing by publication in a newspaper of general circulation in the area served by such company. The issue to be determined at such hearing shall be either or both of the following determinations:

1. Whether charges or credits made under the fuel adjustment clauses are based upon the actual prices paid for fuel, purchased gas, or purchased power and are properly computed in accordance with the applicable adjustment clause; or

2. Whether the fuel adjustment clauses should be discontinued, amended, or suspended. In the event that the Commission determines that it is necessary to set any proposed adjustment charge for hearing, the proposed charge shall nevertheless become effective at the option of the utility following the expiration of the five-day period after its records and computations have been filed, pending the Commission's finding with respect to such charges. However, in the discretion of the Commission, the effectiveness of the proposed charge may be conditioned upon the filing by the utility with the Commission of an assurance satisfactory to the Commission, which may include a bond with surety, of the utility's ability and willingness to refund to its customers any such amounts as the utility may collect from them in excess of the charge approved by the Commission in its finding. If the Commission has not approved, in whole or in part, or denied the proposed charge within a seven-day period subsequent to the commencement of such hearing, the Commission shall promptly, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a written explanation of the Commission's failure to do so to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the office of the Governor.

SECTION 43. AMENDATORY 17 O.S. 2021, Section 325, is amended to read as follows:

Section 325. A. The Director of the Petroleum Storage Tank Division shall make a written report and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit such report on an annual basis to the Corporation Commissioners, the Storage Tank Advisory Council, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate detailing the following:

1. The total number of storage tank applicants requesting disbursement from the Indemnity Fund during the preceding year;

2. The total number of storage tank applicants receiving payment during the preceding year and total amount disbursed for such payments;

3. The average time frame for providing disbursements to applicants;

4. The total amount of funds needed to complete the corrective action and achieve closure of all release cases; and

5. Any other information requested by the Speaker of the House of Representatives or the President Pro Tempore of the Senate regarding the Indemnity Fund program.

B. The Oklahoma Tax Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate detailing the amount of assessments collected for deposit to the Indemnity Fund and to the State Transportation Fund.

C. The Oklahoma Department of Transportation shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate detailing the expenditures made from the revenue received from the assessment levied pursuant to Section 327.1 of this title.

D. The Oklahoma Department of Environmental Quality shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate detailing the expenditures made from the revenue received from the assessment levied pursuant to Section 327.1 of this title.

E. By December 1, 1998, and every year thereafter, the State Auditor and Inspector shall conduct an independent audit of the books, records, files, and other such documents of the Corporation Commission pertaining to and which relate to the administration of the Petroleum Storage Tank Indemnity Fund. The audit shall include but shall not be limited to a review of agency compliance with state statutes regarding the Indemnity Fund, internal control procedures, adequacy of claim process expenditures from and debits of the Indemnity Fund regarding administration, personnel, operating and other expenses charged by the Corporation Commission; the duties performed in detail by agency personnel and Indemnity Fund personnel for which payment is made from the Indemnity Fund, and recommendations for improving claim processing, equipment needed for

claim processing, internal control or structure for administering the Indemnity Fund; and such other areas deemed necessary by the State Auditor and Inspector.

F. The cost of the audit shall be borne by the Indemnity Fund.

G. Copies of the audit shall be electronically submitted to the State Auditor and Inspector, the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Chairs of the Appropriation Committees of both the Oklahoma House of Representatives and the Oklahoma State Senate utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 44. AMENDATORY Section 1, Chapter 403, O.S.L. 2022 (17 O.S. Supp. 2025, Section 801.9), is amended to read as follows:

Section 801.9. A. The State of Oklahoma shall set a hydrogen fuel production standard that will serve as an annual goal to be reached each year through 2028 to increase the production of hydrogen fuel in the state. Such hydrogen fuel production standard shall be to produce Two Million Metric Tons (2 MMT) of hydrogen fuel using a low or zero carbon source of energy annually by 2028.

B. Every qualified hydrogen fuel production facility that produces hydrogen fuel in this state shall report to the Corporation Commission by March 1 each year the amount of hydrogen fuel produced in the preceding calendar year and the low or zero carbon source of energy used to produce the hydrogen fuel. The Commission shall begin collecting the reports no later than March 1, 2024, and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report annually to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor the annual hydrogen fuel production amount produced by qualified hydrogen production facilities for the preceding calendar year, gathered from reports submitted pursuant to this subsection, no later than May 1 of the first year of collection and each year thereafter. The Commission shall promulgate rules to effectuate the provisions of this subsection.

C. For purposes of this section, qualifying hydrogen fuel production shall include:

1. Hydrogen fuel produced from low carbon sources such as natural gas;
2. Hydrogen fuel produced from zero carbon sources such as:
 - a. wind,
 - b. photovoltaic,
 - c. hydropower,
 - d. geothermal, and
 - e. biomass, which projects may include agricultural crops, wastes, and residues, wood, animal, and other degradable organic wastes, municipal solid waste, and landfill gas; and
3. Other low or zero carbon sources approved by the Commission.

SECTION 45. AMENDATORY 17 O.S. 2021, Section 802.3, as last amended by Section 2, Chapter 31, O.S.L. 2024 (17 O.S. Supp. 2025, Section 802.3), is amended to read as follows:

Section 802.3. A. The Oklahoma Low Carbon Energy Initiative shall be administered and governed by the Oklahoma Low Carbon Energy Initiative Board, made up of representatives of the contributing institutions and entities of the Initiative which shall include but not be limited to the University of Oklahoma, Oklahoma State University, and the University of Tulsa. Additional contributing members may be added at the discretion of the Board, if they contribute to the purpose, objectives, and research coordinated by the Initiative.

B. The Board shall consist of thirteen (13) members as follows:

1. One member, who shall serve as the chair of the Board, shall be the Secretary of Energy and Environment or a member otherwise appointed by the Governor;

2. One member shall be the Vice President for Research from the University of Oklahoma or a member otherwise appointed by the President of the University of Oklahoma;

3. One member shall be the Vice President for Research from Oklahoma State University or a member otherwise appointed by the President of Oklahoma State University;

4. One member shall be the Vice President for Research and Economic Development from the University of Tulsa or a member otherwise appointed by the President of the University of Tulsa;

5. One member who shall represent the Oklahoma Department of Commerce, appointed by the Director of the Department of Commerce;

6. One member who shall represent the Department of Labor, appointed by the Commissioner of Labor;

7. One member who shall represent the Department of Environmental Quality, appointed by the Executive Director of the Department of Environmental Quality;

8. One member who shall represent the Corporation Commission, appointed by the Chair of the Commission;

9. One member who shall represent the Department of Transportation, appointed by the Director of the Department of Transportation;

10. One member who shall represent the Oklahoma Water Resources Board, appointed by the Executive Director of the Oklahoma Water Resources Board;

11. One member who shall represent the Oklahoma Center for the Advancement of Science and Technology, appointed by the Executive Director of the Center for the Advancement of Science and Technology;

12. One member, who shall represent an electric utility or cooperative regulated by the Corporation Commission, appointed by the President Pro Tempore of the Senate; and

13. One member, who shall represent the nuclear energy industry, appointed by the Speaker of the House of Representatives.

C. 1. The Board shall establish an Energy Industry Advisory Council, appointed by the chair, for the purposes of providing industry expertise and knowledge, assisting the Board with annual report requirements, providing general recommendations, and other support as needed to advance the efforts of the Board.

2. Members appointed to the Council shall serve at the pleasure of the chair of the Board.

D. Board members shall serve for a term of four (4) years, which shall begin on January 1 of the first year of the appointment and end on December 31 of the fourth year. There shall be no limit to the number of consecutive terms served. If a vacancy should occur during a member's term, the appointing authority for the vacant position shall appoint a new member to fill the remainder of the unexpired term. Board members shall serve without compensation but may be eligible for necessary travel expenses pursuant to the State Travel Reimbursement Act.

E. The Board shall be responsible for establishing procedures for the Initiative and operations of the Board and the Advisory Council. The rules may provide for protection from public disclosure of trade secrets and proprietary information of any kind including, but not limited to, data, processes, and technology, as the Board determines necessary.

F. The Board shall undertake activities and commission programs, through the contributing institutions and entities, to achieve the purpose and satisfy the objectives of the Initiative as provided in the Oklahoma Energy Initiative Act. The Board shall have authority to distribute funding for such activities and programs. The Board may employ staff as it deems necessary.

G. The Board, in consultation with the Advisory Council and any other party deemed necessary, shall submit and publish electronically an annual, written report to summarize the annual progress of the Initiative including summaries of its programs and their progress and outcomes. The report shall be made available to the public and shall be distributed electronically to the Governor,

the President Pro Tempore of the Senate, and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

H. The provisions of the Oklahoma Central Purchasing Act shall not apply to any project, activity or contract of the Initiative or the Board.

I. No Board member or any person acting on behalf of the Board, Advisory Council, or Initiative executing any contracts, commitments or agreements issued by or on behalf of the Oklahoma Low Carbon Energy Initiative shall be personally liable for the contracts, commitments, or agreements or be subject to any personal liability or accountability by reason thereof. No director or any person acting on behalf of the Board or Initiative shall be personally liable for damage or injury resulting from the performance of duties hereunder.

SECTION 46. AMENDATORY 19 O.S. 2021, Section 215.28, is amended to read as follows:

Section 215.28. A. There is hereby created the District Attorneys Council which shall be organized and administered as herein provided. Any reference in the Oklahoma Statutes to the District Attorneys Training Coordination Council shall mean the District Attorneys Council.

B. The chief executive officer of the office of the Council is the Executive Coordinator who shall be appointed and supervised by the Council. The Executive Coordinator shall serve at the pleasure of the Council. The Executive Coordinator shall be licensed to practice law in Oklahoma and shall have been a district attorney or assistant district attorney or have held an equivalent position in state or federal government for at least three (3) years prior to appointment. The Executive Coordinator may appoint an Assistant Coordinator, both of whom shall be in the unclassified service of the state. The Executive Coordinator and the Assistant Coordinator, who shall also be licensed to practice law in Oklahoma, shall devote full time to their duties and shall not engage in the private practice of law. The Executive Coordinator shall perform the functions and duties as may be assigned by the Council. The Executive Coordinator shall be named the project director and fiscal

officer of any grant or fund received by the Council. The Executive Coordinator and the Assistant Coordinator shall receive compensation for their services within the pay scale limits for district attorneys.

C. 1. The Council shall be composed of the following members:

- a. the Attorney General, or a designated representative of the Attorney General,
- b. the President of the Oklahoma District Attorneys Association,
- c. the President-elect of the Oklahoma District Attorneys Association,
- d. one district attorney selected by the Court of Criminal Appeals for a three-year term, and
- e. one district attorney selected by the Board of Governors of the Oklahoma Bar Association for a three-year term.

2. A member of the Council shall vacate the appointment upon termination of the member's official position as Attorney General or district attorney. A vacancy shall be filled in the same manner as the original appointment. A member appointed to fill a vacancy created other than by expiration of a term shall be appointed for the unexpired term of the member whom the appointed member is to succeed in the same manner as the original appointment. Any member may serve more than one term.

D. The Council shall designate from among its members a Chairman and Vice Chairman who shall serve for one-year terms and who may be reelected. Membership on the Council shall not constitute holding a public office. The Council shall not have the right to exercise any portion of the sovereign power of the state. A member of the Council shall not be disqualified from holding any public office or employment by reason of appointment or membership on the Council, nor shall the member forfeit the office or employment, by reason of appointment to the Council.

E. The Council shall meet at least four times in each year and shall hold special meetings when called by the Chairman, or, in the absence of the Chairman, by the Vice Chairman or when called by the Chairman upon the written request of two members of the Council. The Council shall establish its own procedures and requirements with respect to quorum, place and conduct of its meetings and other matters.

F. The members of the Council shall not receive a salary for duties performed as members of the Council but shall be entitled to be reimbursed for their travel expenses in accordance with the State Travel Reimbursement Act.

G. The Council shall ~~make~~, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the President of the Oklahoma District Attorneys Association regarding its efforts to implement the purposes of this section.

H. The Council shall have the power to perform such functions as in its opinion shall strengthen the criminal justice system in Oklahoma, to provide a professional organization for the education, training and coordination of technical efforts of all state prosecutors and to maintain and improve prosecutor efficiency and effectiveness in enforcing the laws of this state including, but not limited to, the following:

1. Organize, supervise, and perform functions consistent with this section;

2. Convene regional or statewide conferences and training seminars for the purpose of implementing the provisions of this section;

3. Accept and expend monies, gifts, grants, or services from any public or private source; contract or enter into agreements with educational institutions or state or federal agencies; and employ personnel as the Council in its judgment finds necessary to effectively carry out the provisions of this section. Such employees shall be in the unclassified service of the state;

4. Serve in an advisory capacity to the district attorneys of the state;

5. Provide and coordinate training and continuing legal education for district attorneys and their assistants, including participation in nationally recognized prosecutorial seminars conducted in other states. Subject to available funding, curriculum for training required under this paragraph shall include, but not be limited to:

- a. dynamics of domestic violence,
- b. the impact of domestic violence on victims and their children including victim trauma and the neurobiology of trauma,
- c. identifying dominant aggressor,
- d. tactics and behavior of batterers,
- e. victim protection orders and full faith and credit under the Violence Against Women Act of 1994,
- f. rights of victims, and
- g. evidence-based practices regarding behavioral health and treatment of those with substance abuse or mental health needs;

6. Gather and disseminate information to district attorneys relative to their official duties, including changes in the law relative to their office;

7. Coordinate with law enforcement officers, the courts and corrections workers providing interdisciplinary seminars to augment the effectiveness of the criminal justice system;

8. Require statistical reports from district attorneys' offices relating to functions and workload performance;

9. Recommend additional legislation necessary to upgrade the Oklahoma District Attorneys System to professional status;

10. Establish an equitable distribution plan for allocation of any funds or gifts received from public or private sources for state prosecution and distribute such funds in accordance with such plan; and

11. Appoint a larger Advisory Council made up of district attorneys and assistant district attorneys to discuss problems and hear recommendations concerning necessary research, minimum standards, educational needs, and other matters imperative to upgrading Oklahoma prosecution to professional status.

I. There is hereby created in the State Treasury a revolving fund for the Council, to be designated the "District Attorneys Council Revolving Fund". The fund shall consist of all monies received by the Council other than appropriated funds. The revolving fund shall be a continuing fund not subject to fiscal year limitations and shall be under the control and management of the Council. Expenditures from this fund shall be made pursuant to the purposes of this act and without legislative appropriation. Warrants for expenditures shall be drawn by the State Treasurer based on claims signed by the authorized employee or employees of the Council and approved for payment by the Director of the Office of Management and Enterprise Services.

J. The Council may accept operation and supervision of the Law Enforcement Assistance Administration grants presently being administered by the Oklahoma District Attorneys Association.

SECTION 47. AMENDATORY 20 O.S. 2021, Section 3.3, is amended to read as follows:

Section 3.3. A. The Board on Judicial Compensation shall meet on the third Tuesday of September in every odd-numbered year in the Administrative Office of the Courts, at which meeting the Board shall review the compensation paid to members of the State Judiciary and, if necessary, change the compensation. In its review, the Board shall consider various factors, including judicial compensation in other states, with an emphasis on states within the region, the value of comparable services performed in the private sector, compensation of attorneys in the private and public sectors, compensation of other state, county and municipal public officials,

and changes in the cost of living. The Board may, at the call of the chair or upon a majority vote of its membership, hold such additional meetings as are necessary to carry out its official duties. Any change in judicial compensation shall be made by the Board not later than the third Tuesday of November in the odd-numbered year. Four members of the Board shall constitute a quorum and a majority vote of the quorum shall be necessary for the Board to act. If the Board recommends a change in judicial compensation, notice of such recommendation shall be provided electronically to the Governor, the President Pro Tempore and the Chair of the Appropriations Committee of the Senate, and the Speaker and the Chair of the Appropriations and Budget Committee of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

B. Any change in judicial compensation, unless rejected or amended as provided for in Section 3.2 of this title, shall become effective on July 1 of the following calendar year. Any amendment passed by a majority vote of each house of the Legislature shall become effective as provided by the amendment unless vetoed by the Governor.

SECTION 48. AMENDATORY 20 O.S. 2021, Section 1103.1, is amended to read as follows:

Section 1103.1. A. On and after January 1, 2001, the Administrative Director of the Courts, in addition to the members' contributions, shall transfer monthly amounts for deposit in the State Judicial Retirement Fund as set out in Section 1309 of this title equal to two percent (2.0%) of the monthly total actual paid gross salaries of the members of the Uniform Retirement System for Justices and Judges. Effective July 1, 2005, such amounts transferred by the Administrative Director of the Courts shall be as follows:

Fiscal Year Ending	Percentage of Contribution
June 30, 2006	3.0%
June 30, 2007	4.0%
June 30, 2008	5.5%

June 30, 2009	7.0%
June 30, 2010	8.5%
June 30, 2011	10.0%
June 30, 2012	11.5%
June 30, 2013	13.0%
June 30, 2014	14.5%
June 30, 2015	16.0%
June 30, 2016	17.5%
June 30, 2017	19.0%
June 30, 2018	20.5%
June 30, 2019 and thereafter	22.0%

B. The State Judicial Retirement Fund should have a funded ratio at or near ninety percent (90%) or be receiving sufficient contributions to amortize any unfunded liability of the fund according to the amortization schedule adopted by the Board of Trustees of the Oklahoma Public Employees Retirement System. The Board of Trustees shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a copy of the annual actuarial report to the Governor, the Chief Justice of the Supreme Court, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate. In addition to this report, the Board shall provide a letter setting forth the amount of the actuarially required contributions for the System and any other recommendations that the Board may deem necessary.

C. The Administrative Director of the Courts shall remit to the System all statutorily required retirement contributions due on a monthly basis. All required court and employee contributions and supporting documentation are due and ~~must~~ shall be received by the

System on or before the fifteenth day of the month following the month for which the contributions are due. Court and employee contributions remitted to the System after thirty (30) days from the above due date shall be subject to a monthly late charge of one and one-half percent (1.5%) of the unpaid balance to be paid by the Administrative Director of the Courts to the System.

SECTION 49. AMENDATORY 20 O.S. 2021, Section 1108, is amended to read as follows:

Section 1108. A. The Board of Trustees of the Oklahoma Public Employees Retirement System shall have the responsibility for management of the Uniform Retirement System for Justices and Judges and the State Judicial Retirement Fund. All benefits payable under The Uniform Retirement System for Justices and Judges, refunds of contributions and overpayments, purchases or investments under the law, and all expenses in connection with the System shall be paid from the Oklahoma Judicial Retirement Fund. The State Judicial Retirement Fund shall be invested and managed in the same manner as now or hereinafter provided by law for the investment and management of funds belonging to the Oklahoma Public Employees Retirement System. The Uniform Retirement System for Justices and Judges shall be an instrumentality of the State of Oklahoma. The System shall be vested with the powers and duties specified in this act and such other powers as may be necessary to enable it, its officers, employees, and agents to carry out fully and effectively the purposes and intent of this act.

1. The Board shall distribute the corpus and income of the System to the members and their beneficiaries in accordance with the System's law. At no time prior to the satisfaction of all liabilities with respect to members and their beneficiaries shall any part of the corpus and income be used for, or diverted to, purposes other than the exclusive benefit of the members and their beneficiaries.

2. The Board may not engage in a transaction prohibited by Section 503(b) of the federal Internal Revenue Code.

3. The Board shall be responsible for the policies and rules for the general administration of the System, subject to the provisions of this act. Except as specifically provided in this

act, the Uniform Retirement System for Justices and Judges shall generally be managed in the same manner as now or hereinafter provided by law or by rule for the management of the Oklahoma Public Employees Retirement System.

4. The Board shall establish rules for the administration of the System and for the transaction of its business consistent with law, which rules shall be promulgated in compliance with the Administrative Procedures Act.

5. The Board may adopt all necessary actuarial tables to be used in the operation of the System as recommended by the actuary and may compile such additional data as may be necessary for required actuarial valuation calculations.

6. All decisions of the Board as to questions of fact shall be final and conclusive on all persons except for the right of review as provided by law and except for fraud or such gross mistake of fact as to have effect equivalent to fraud.

7. Any person who shall knowingly make any false statement, or who shall falsify or permit to be falsified any record necessary for carrying out the intent of this act for the purpose of committing fraud, shall be guilty of a misdemeanor, and upon conviction shall be punished by a fine not exceeding Five Hundred Dollars (\$500.00) or by imprisonment for not exceeding one (1) year. Should any error in any records of the Uniform Retirement System for Justices and Judges result in any member or beneficiary receiving more or less than he or she would have been entitled to receive had the records been correct, the Board shall correct such error, and, as far as practicable, make future payments in such manner that the actuarial equivalent of the benefit to which such member or beneficiary was entitled shall be paid, and to this end, may recover any overpayments.

B. The Board of Trustees of the Oklahoma Public Employees Retirement System shall compile a quarterly financial report of all the funds of the State Judicial Retirement Fund on a fiscal year basis. The report shall be compiled pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall include several relevant measures of investment value, including acquisition cost

and current fair market value with appropriate summaries of total holdings and returns. The report shall contain combined and individual rate of returns of the investment managers by category of investment, over periods of time. The Board of Trustees shall include in the quarterly reports all commissions, fees or payments for investment services performed on behalf of the Board of Trustees with respect to the State Judicial Retirement Fund. The report shall be electronically distributed to the Governor, the Oklahoma State Pension Commission, the Legislative Service Bureau, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act. In lieu of compiling and distributing the quarterly report, the Board may provide the Pension Commission with direct access to the same data from the custodian bank for the System.

C. There is hereby created the Retirement Medical Benefit Fund. The fund shall be maintained as a subaccount of the State Judicial Retirement Fund. The Retirement Medical Benefit Fund is composed of all assets which may be contributed to this subaccount to pay the retirement system's portion of the monthly retiree health insurance premium benefit described by Section 1316.2 of Title 74 of the Oklahoma Statutes. All such allocated assets and any earnings thereon in the Retirement Medical Benefit Fund shall be held for the exclusive purpose of providing retiree medical benefits. The Retirement Medical Benefit Fund is to be administered in accordance with the requirements of Section 401(h) of the Internal Revenue Code of 1986, as amended from time to time. The Board of Trustees may promulgate such rules as are necessary to implement the funding and administration of the fund pursuant to the provisions of this subsection.

D. After July 1 and before December 1 of each year, the Board of Trustees of the Oklahoma Public Employees Retirement System shall publish widely an annual report presented in simple and easily understood language pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Oklahoma State Pension Commission, and the members of the System utilizing the centralized filing system provided for in Section 378 of this act. The annual

report shall cover the operation of the System during the past fiscal year, including income, disbursements, and the financial condition of the System at the end of the fiscal year. The annual report shall also contain the information issued in the quarterly reports required pursuant to subsection B of this section as well as a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or overfunded status, contributions and any other information deemed relevant by the Board of Trustees. The annual report shall be written in such a manner as to permit a readily understandable means for analyzing the financial condition and performance of the System for the fiscal year.

E. The Board shall adopt a cost of living adjustment actuarial assumption in its annual actuarial valuation report.

SECTION 50. AMENDATORY 20 O.S. 2021, Section 1225, is amended to read as follows:

Section 1225. The State Auditor and Inspector shall enforce all of the provisions of this act and, utilizing the centralized filing system provided for in Section 378 of this act, electronically report any violations thereof to the Chief Justice, the President Pro Tempore of the Senate, and the Speaker of the House.

SECTION 51. AMENDATORY 20 O.S. 2021, Section 1656, is amended to read as follows:

Section 1656. A. The members of the Council on Judicial Complaints shall qualify by taking the constitutional oath of office.

B. The Council shall elect a chair and vice-chair. The chair and vice-chair shall serve for terms of office set by the Council, not to exceed their terms as members of the Council.

C. The Council shall adopt rules pursuant to the Administrative Procedures Act.

D. The Council shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide to the President Pro Tempore of the Senate and the Speaker of the House

of Representatives quarterly reports of the number of judicial complaints filed, dismissed, and referred for further disciplinary action.

SECTION 52. AMENDATORY 21 O.S. 2021, Section 142.15, is amended to read as follows:

Section 142.15. The Board shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically transmit annually to the Governor and the Speaker of the House of Representatives and the President Pro Tempore of the Senate, a report of its activities, including the amount of compensation awarded and a statistical summary of claims and awards made and denied.

SECTION 53. AMENDATORY 21 O.S. 2021, Section 1290.16, is amended to read as follows:

Section 1290.16.

STATISTICAL REPORT

By January 15, 1997, and by January 15 of each year thereafter, the Bureau shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a statistical report for the preceding calendar year to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives, including, but not limited to, data on the numbers of handgun licenses approved and issued and the numbers of licenses suspended, revoked or denied in the following categories: age, sex, race, county, and any other category deemed relevant by the Bureau.

SECTION 54. AMENDATORY 22 O.S. 2021, Section 34.5, is amended to read as follows:

Section 34.5. A. The Attorney General's Office of Civil Rights Enforcement shall promulgate rules establishing procedures for filing a racial profiling complaint with the Attorney General's Office of Civil Rights Enforcement and the district attorney and the process for delivering a copy of the complaint by the Attorney General to the employing agency. The Attorney General's Office of Civil Rights Enforcement, in consultation with the Governor's

Cabinet Secretary for Safety and Security, shall promulgate forms for complaints of racial profiling.

B. The Attorney General shall compile an annual report of all complaints received for racial profiling and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit the report on or before January 31 of each year to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives; provided, the names of the complainants shall be redacted and shall not be forwarded with the report.

SECTION 55. AMENDATORY 22 O.S. 2021, Section 116, is amended to read as follows:

Section 116. A. District attorneys shall prepare and submit an annual report to the District Attorneys Council showing total deposits and total expenditures in the Bogus Check Restitution Program.

B. By September 15 of each year, the District Attorneys Council shall publish an annual report for the previous fiscal year of the Bogus Check Restitution Program. A copy of the report shall be electronically distributed to the President Pro Tempore of the Senate ~~and~~, the Speaker of the Oklahoma House of Representatives, and the chairmen of the House and Senate Appropriations Committees utilizing the centralized filing system provided for in Section 378 of this act. Each district attorney shall submit information requested by the District Attorneys Council regarding the Bogus Check Restitution Program. This report shall include the number of checks processed and the total dollar amount of such checks, the number of checks for which some restitution was made and the total amount of the restitution, the total amount of fees collected, the total cost of the program, and such other information as required by the District Attorneys Council. The report shall provide totals by county and district.

SECTION 56. AMENDATORY 22 O.S. 2021, Section 988.15, as amended by Section 1, Chapter 14, O.S.L. 2023 (22 O.S. Supp. 2025, Section 988.15), is amended to read as follows:

Section 988.15. The Community Sentencing Division within the Department of Corrections shall have the duty to:

1. Administer a statewide community sentencing system pursuant to the provisions of the Oklahoma Community Sentencing Act and other provisions of law;

2. Establish goals and standards for the statewide community sentencing system and the local community sentencing systems;

3. Promulgate rules pursuant to the Administrative Procedures Act for the implementation and operation of the Oklahoma Community Sentencing Act;

4. Provide technical assistance and administrative support to each local community sentencing system. The technical assistance shall include, but not be limited to, information on:

- a. corrections system design,
- b. administration,
- c. development, monitoring, and evaluating of programs and services,
- d. program identification and specifications,
- e. offender risk management,
- f. supervision of offenders,
- g. planning and budgeting,
- h. grant applications, and
- i. preparation and submission of documents, data, budgets, and system plans;

5. Coordinate and collaborate with other state agencies for services and technical assistance to each local community sentencing system;

6. Apply for and accept money and other assets to be utilized for support of a statewide community sentencing system and to allocate and disburse appropriated funds to local community sentencing systems through an appropriate funding method;

7. Review, analyze and fund local system plans within budgetary limitations;

8. Contract with local service providers and state agencies for services to the local system;

9. Identify and solicit other funding sources and resources to support the statewide community sentencing system;

10. Request post-audits of state funds;

11. Monitor and coordinate local systems;

12. Provide performance-based evaluations for all service providers of the statewide system;

13. ~~Report~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report annually by January 15 to the Legislature and Governor on the statewide system. The report shall provide an evaluation of the effectiveness of the Oklahoma Community Sentencing Act in terms of public safety, appropriate range of community punishments, cost-effectiveness, performance-based effectiveness in reducing recidivism, utilization by the judiciary, resource allocation, reduced state and local institutional receptions, if any, and statistical data, including, but not limited to, community sentencing participation by county, total number of qualifying and nonqualifying community sentences per month for each local community sentencing system, total number of community sentences ordered per month, program participation and the annual average cost per offender. A copy of the report shall also be submitted to the Oklahoma Statistical Analysis Center, a unit of the Oklahoma State Bureau of Investigation, which shall publish the annual report on the website of the Bureau; and

14. Disseminate information to local administrators and community sentencing systems concerning corrections issues including, but not limited to:

- a. punishment options,
- b. disciplinary sanctions,
- c. resource allocation,
- d. administration,
- e. legal issues,
- f. supervision and risk management,
- g. treatment methodology and services,
- h. education and vocational services,
- i. service and program monitoring and evaluation methods,
- j. grants and funding assistance,
- k. data and record keeping, and
- l. offender characteristics.

SECTION 57. AMENDATORY 22 O.S. 2021, Section 991a, as last amended by Section 1, Chapter 306, O.S.L. 2025 (22 O.S. Supp. 2025, Section 991a), is amended to read as follows:

Section 991a. A. Except as otherwise provided in the Elderly and Incapacitated Victim's Protection Program, when a defendant is convicted of a crime and no death sentence is imposed, the court shall either:

1. Suspend the execution of sentence in whole or in part, with or without probation. The court, in addition, may order the convicted defendant at the time of sentencing or at any time during the suspended sentence to do one or more of the following:

- a. to provide restitution to the victim as provided by Section 991f et seq. of this title or according to a schedule of payments established by the sentencing

court, together with interest upon any pecuniary sum at the rate of twelve percent (12%) per annum, if the defendant agrees to pay such restitution or, in the opinion of the court, if the defendant is able to pay such restitution without imposing manifest hardship on the defendant or the immediate family and if the extent of the damage to the victim is determinable with reasonable certainty,

- b. to reimburse any state agency for amounts paid by the state agency for hospital and medical expenses incurred by the victim or victims, as a result of the criminal act for which such person was convicted, which reimbursement shall be made directly to the state agency, with interest accruing thereon at the rate of twelve percent (12%) per annum,
- c. to engage in a term of community service without compensation, according to a schedule consistent with the employment and family responsibilities of the person convicted,
- d. to pay a reasonable sum into any trust fund established pursuant to the provisions of Sections 176 through 180.4 of Title 60 of the Oklahoma Statutes and which provides restitution payments by convicted defendants to victims of crimes committed within this state wherein such victim has incurred a financial loss,
- e. to confinement in the county jail for a period not to exceed six (6) months,
- f. to confinement as provided by law together with a term of post-imprisonment community supervision for not less than three (3) years of the total term allowed by law for imprisonment, with or without restitution; provided, however, the authority of this provision is limited to Section 843.5 of Title 21 of the Oklahoma Statutes when the offense involved sexual abuse or sexual exploitation; Sections 681, 741 and 843.1 of Title 21 of the Oklahoma Statutes when the offense

involved sexual abuse or sexual exploitation; and Sections 865 et seq., 885, 886, 888, 891, 1021, 1021.2, 1021.3, 1040.13a, 1087, 1088, 1111.1, 1115 and 1123 of Title 21 of the Oklahoma Statutes,

- g. to repay the reward or part of the reward paid by a local certified crime stoppers program and the Oklahoma Reward System. In determining whether the defendant shall repay the reward or part of the reward, the court shall consider the ability of the defendant to make the payment, the financial hardship on the defendant to make the required payment and the importance of the information to the prosecution of the defendant as provided by the arresting officer or the district attorney with due regard for the confidentiality of the records of the local certified crime stoppers program and the Oklahoma Reward System. The court shall assess this repayment against the defendant as a cost of prosecution. The term "certified" means crime stoppers organizations that annually meet the certification standards for crime stoppers programs established by the Oklahoma Crime Stoppers Association to the extent those standards do not conflict with state statutes. The term "court" refers to all municipal and district courts within this state. The "Oklahoma Reward System" means the reward program established by Section 150.18 of Title 74 of the Oklahoma Statutes,
- h. to reimburse the Oklahoma State Bureau of Investigation for costs incurred by that agency during its investigation of the crime for which the defendant pleaded guilty, nolo contendere or was convicted including compensation for laboratory, technical or investigation services performed by the Bureau if, in the opinion of the court, the defendant is able to pay without imposing manifest hardship on the defendant, and if the costs incurred by the Bureau during the investigation of the defendant's case may be determined with reasonable certainty,

- i. to reimburse the Oklahoma State Bureau of Investigation and any authorized law enforcement agency for all costs incurred by that agency for cleaning up an illegal drug laboratory site for which the defendant pleaded guilty, nolo contendere or was convicted. The court clerk shall collect the amount and may retain five percent (5%) of such monies to be deposited in the Court Clerk's Revolving Fund to cover administrative costs and shall remit the remainder to the Oklahoma State Bureau of Investigation to be deposited in the OSBI Revolving Fund established by Section 150.19a of Title 74 of the Oklahoma Statutes or to the general fund wherein the other law enforcement agency is located,
- j. to pay a reasonable sum to the Crime Victims Compensation Board, created by Section 142.2 et seq. of Title 21 of the Oklahoma Statutes, for the benefit of crime victims,
- k. to reimburse the court fund for amounts paid to court-appointed attorneys for representing the defendant in the case in which the person is being sentenced,
- l. to participate in an assessment and evaluation by an assessment agency or assessment personnel certified by the Department of Mental Health and Substance Abuse Services pursuant to Section 3-460 of Title 43A of the Oklahoma Statutes and, as determined by the assessment, participate in an alcohol and drug substance abuse course or treatment program or both, pursuant to Sections 3-452 and 3-453 of Title 43A of the Oklahoma Statutes, or as ordered by the court,
- m. to be placed in a victims impact panel program, as defined in subsection H of this section, or victim/offender reconciliation program and payment of a fee to the program of Seventy-five Dollars (\$75.00) as set by the governing authority of the program to offset the cost of participation by the defendant. Provided, each victim/offender reconciliation program shall be required to obtain a written consent form

voluntarily signed by the victim and defendant that specifies the methods to be used to resolve the issues, the obligations and rights of each person and the confidentiality of the proceedings. Volunteer mediators and employees of a victim/offender reconciliation program shall be immune from liability and have rights of confidentiality as provided in Section 1805 of Title 12 of the Oklahoma Statutes,

- n. to install, at the expense of the defendant, an ignition interlock device approved by the Board of Tests for Alcohol and Drug Influence. The device shall be installed upon every motor vehicle operated by the defendant, and the court shall require that a notation of this restriction be affixed to the defendant's driver license. The restriction shall remain on the driver license not exceeding two (2) years to be determined by the court. The restriction may be modified or removed only by order of the court and notice of any modification order shall be given to Service Oklahoma. Upon the expiration of the period for the restriction, Service Oklahoma shall remove the restriction without further court order. Failure to comply with the order to install an ignition interlock device or operating any vehicle without a device during the period of restriction shall be a violation of the sentence and may be punished as deemed proper by the sentencing court. As used in this paragraph, "ignition interlock device" means a device that, without tampering or intervention by another person, would prevent the defendant from operating a motor vehicle if the defendant has a blood or breath alcohol concentration of two-hundredths (0.02) or greater,
- o. to be confined by electronic monitoring administered and supervised by the Department of Corrections or a community sentence provider, and payment of a monitoring fee to the supervising authority, not to exceed Three Hundred Dollars (\$300.00) per month. Any fees collected pursuant to this subparagraph shall be deposited with the appropriate supervising authority. Any willful violation of an order of the court for the

payment of the monitoring fee shall be a violation of the sentence and may be punished as deemed proper by the sentencing court. As used in this paragraph, "electronic monitoring" means confinement of the defendant within a specified location or locations with supervision by means of an electronic device approved by the Department of Corrections which is designed to detect if the defendant is in the court-ordered location at the required times and which records violations for investigation by a qualified supervisory agency or person,

- p. to perform one or more courses of treatment, education or rehabilitation for any conditions, behaviors, deficiencies or disorders which may contribute to criminal conduct including but not limited to alcohol and substance abuse, mental health, emotional health, physical health, propensity for violence, antisocial behavior, personality or attitudes, deviant sexual behavior, child development, parenting assistance, job skills, vocational-technical skills, domestic relations, literacy, education or any other identifiable deficiency which may be treated appropriately in the community and for which a certified provider or a program recognized by the court as having significant positive impact exists in the community. Any treatment, education or rehabilitation provider required to be certified pursuant to law or rule shall be certified by the appropriate state agency or a national organization,
- q. to submit to periodic testing for alcohol, intoxicating substance or controlled dangerous substances by a qualified laboratory,
- r. to pay a fee or costs for treatment, education, supervision, participation in a program or any combination thereof as determined by the court, based upon the defendant's ability to pay the fees or costs,

- s. to be supervised by a Department of Corrections employee, a private supervision provider or other person designated by the court,
- t. to obtain positive behavior modeling by a trained mentor,
- u. to serve a term of confinement in a restrictive housing facility available in the community,
- v. to serve a term of confinement in the county jail at night or during weekends pursuant to Section 991a-2 of this title or for work release,
- w. to obtain employment or participate in employment-related activities,
- x. to participate in mandatory day reporting to facilities or persons for services, payments, duties or person-to-person contacts as specified by the court,
- y. to pay day fines not to exceed fifty percent (50%) of the net wages earned. For purposes of this paragraph, "day fine" means the offender is ordered to pay an amount calculated as a percentage of net daily wages earned. The day fine shall be paid to the local community sentencing system as reparation to the community. Day fines shall be used to support the local system,
- z. to submit to blood or saliva testing as required by subsection I of this section,
- aa. to repair or restore property damaged by the defendant's conduct, if the court determines the defendant possesses sufficient skill to repair or restore the property and the victim consents to the repairing or restoring of the property,
- bb. to restore damaged property in kind or payment of out-of-pocket expenses to the victim, if the court is able

to determine the actual out-of-pocket expenses suffered by the victim,

- cc. to attend a victim-offender reconciliation program if the victim agrees to participate and the offender is deemed appropriate for participation,
- dd. to prioritize payments for restitution to the victim,
- ee. in the case of a person convicted of prostitution pursuant to Section 1029 of Title 21 of the Oklahoma Statutes, require such person to receive counseling for the behavior which may have caused such person to engage in prostitution activities. Such person may be required to receive counseling in areas including but not limited to alcohol and substance abuse, sexual behavior problems or domestic abuse or child abuse problems,
- ff. in the case of a sex offender sentenced after November 1, 1989, and required by law to register pursuant to the Sex Offender Registration Act, the court shall require the person to comply with sex offender specific rules and conditions of supervision established by the Department of Corrections and require the person to participate in a treatment program designed for the treatment of sex offenders during the period of time while the offender is subject to supervision by the Department of Corrections. The treatment program shall include polygraph examinations specifically designed for use with sex offenders for purposes of supervision and treatment compliance, and shall be administered not less than each six (6) months during the period of supervision. The examination shall be administered by a certified licensed polygraph examiner. The treatment program ~~must~~ shall be approved by the Department of Corrections or the Department of Mental Health and Substance Abuse Services. Such treatment shall be at the expense of the defendant based on the defendant's ability to pay,

- gg. in addition to other sentencing powers of the court, the court in the case of a defendant being sentenced for a felony conviction for a violation of Section 2-402 of Title 63 of the Oklahoma Statutes which involves marijuana may require the person to participate in a drug court program, if available. If a drug court program is not available, the defendant may be required to participate in a community sanctions program, if available,
- hh. in the case of a person convicted of any false or bogus check violation, as defined in Section 1541.4 of Title 21 of the Oklahoma Statutes, impose a fee of Twenty-five Dollars (\$25.00) to the victim for each check, and impose a bogus check fee to be paid to the district attorney. The bogus check fee paid to the district attorney shall be equal to the amount assessed as court costs plus Twenty-five Dollars (\$25.00) for each check upon filing of the case in district court. This money shall be deposited in the Bogus Check Restitution Program Fund as established in subsection B of Section 114 of this title. Additionally, the court may require the offender to pay restitution and bogus check fees on any other bogus check or checks that have been submitted to the Bogus Check Restitution Program, and
- ii. any other provision specifically ordered by the court.

However, any such order for restitution, community service, payment to a local certified crime stoppers program, payment to the Oklahoma Reward System or confinement in the county jail, or a combination thereof, shall be made in conjunction with probation and shall be made a condition of the suspended sentence.

However, unless under the supervision of the district attorney, the offender shall be required to pay Forty Dollars (\$40.00) per month to the district attorney during the first two (2) years of probation to compensate the district attorney for the costs incurred during the prosecution of the offender and for the additional work of verifying the compliance of the offender with the rules and conditions of his or her probation. The district attorney may waive

any part of this requirement in the best interests of justice. The court shall not waive, suspend, defer or dismiss the costs of prosecution in its entirety. However, if the court determines that a reduction in the fine, costs and costs of prosecution is warranted, the court shall equally apply the same percentage reduction to the fine, costs and costs of prosecution owed by the offender;

2. Impose a fine prescribed by law for the offense, with or without probation or commitment and with or without restitution or service as provided for in this section, Section 991a-4.1 of this title or Section 227 of Title 57 of the Oklahoma Statutes;

3. Commit such person for confinement provided for by law with or without restitution as provided for in this section;

4. Order the defendant to reimburse the Oklahoma State Bureau of Investigation for costs incurred by that agency during its investigation of the crime for which the defendant pleaded guilty, nolo contendere or was convicted including compensation for laboratory, technical or investigation services performed by the Bureau if, in the opinion of the court, the defendant is able to pay without imposing manifest hardship on the defendant, and if the costs incurred by the Bureau during the investigation of the defendant's case may be determined with reasonable certainty;

5. Order the defendant to reimburse the Oklahoma State Bureau of Investigation for all costs incurred by that agency for cleaning up an illegal drug laboratory site for which the defendant pleaded guilty, nolo contendere or was convicted. The court clerk shall collect the amount and may retain five percent (5%) of such monies to be deposited in the Court Clerk's Revolving Fund to cover administrative costs and shall remit the remainder to the Oklahoma State Bureau of Investigation to be deposited in the OSBI Revolving Fund established by Section 150.19a of Title 74 of the Oklahoma Statutes;

6. In the case of nonviolent felony offenses, sentence such person to the Community Service Sentencing Program;

7. In addition to the other sentencing powers of the court, in the case of a person convicted of operating or being in control of a

motor vehicle while the person was under the influence of alcohol, other intoxicating substance or a combination of alcohol or another intoxicating substance, or convicted of operating a motor vehicle while the ability of the person to operate such vehicle was impaired due to the consumption of alcohol, require such person:

- a. to participate in an alcohol and drug assessment and evaluation by an assessment agency or assessment personnel certified by the Department of Mental Health and Substance Abuse Services pursuant to Section 3-460 of Title 43A of the Oklahoma Statutes and, as determined by the assessment, participate in an alcohol and drug substance abuse course or treatment program or both, pursuant to Sections 3-452 and 3-453 of Title 43A of the Oklahoma Statutes,
- b. to attend a victims impact panel program, as defined in subsection H of this section, and to pay a fee of Seventy-five Dollars (\$75.00) as set by the governing authority of the program and approved by the court, to the program to offset the cost of participation by the defendant, if in the opinion of the court the defendant has the ability to pay such fee,
- c. to both participate in the alcohol and drug substance abuse course or treatment program, pursuant to subparagraph a of this paragraph and attend a victims impact panel program, pursuant to subparagraph b of this paragraph,
- d. to install, at the expense of the person, an ignition interlock device approved by the Board of Tests for Alcohol and Drug Influence, upon every motor vehicle operated by such person and to require that a notation of this restriction be affixed to the person's driver license at the time of reinstatement of the license. The restriction shall remain on the driver license for such period as the court shall determine. The restriction may be modified or removed by order of the court and notice of the order shall be given to Service Oklahoma. Upon the expiration of the period for the restriction, Service Oklahoma shall remove the

restriction without further court order. Failure to comply with the order to install an ignition interlock device or operating any vehicle without such device during the period of restriction shall be a violation of the sentence and may be punished as deemed proper by the sentencing court, or

- e. beginning January 1, 1993, to submit to electronically monitored home detention administered and supervised by the Department of Corrections, and to pay to the Department a monitoring fee, not to exceed Seventy-five Dollars (\$75.00) a month, to the Department of Corrections, if in the opinion of the court the defendant has the ability to pay such fee. Any fees collected pursuant to this subparagraph shall be deposited in the Department of Corrections Revolving Fund. Any order by the court for the payment of the monitoring fee, if willfully disobeyed, may be enforced as an indirect contempt of court;

8. In addition to the other sentencing powers of the court, in the case of a person convicted of prostitution pursuant to Section 1029 of Title 21 of the Oklahoma Statutes, require such person to receive counseling for the behavior which may have caused such person to engage in prostitution activities. Such person may be required to receive counseling in areas including but not limited to alcohol and substance abuse, sexual behavior problems or domestic abuse or child abuse problems;

9. In addition to the other sentencing powers of the court, in the case of a person convicted of any crime related to domestic abuse, as defined in Section 60.1 of this title, the court may require the defendant to undergo the treatment or participate in the counseling services necessary to bring about the cessation of domestic abuse against the victim. The defendant may be required to pay all or part of the cost of the treatment or counseling services;

10. In addition to the other sentencing powers of the court, the court, in the case of a sex offender sentenced after November 1, 1989, and required by law to register pursuant to the Sex Offenders Registration Act, shall require the defendant to participate in a treatment program designed specifically for the treatment of sex

offenders, if available. The treatment program will include polygraph examinations specifically designed for use with sex offenders for the purpose of supervision and treatment compliance, provided the examination is administered by a certified licensed polygraph examiner. The treatment program ~~must~~ shall be approved by the Department of Corrections or the Department of Mental Health and Substance Abuse Services. Such treatment shall be at the expense of the defendant based on the ability of the defendant to pay;

11. In addition to the other sentencing powers of the court, the court, in the case of a person convicted of abuse or neglect of a child, as defined in Section 1-1-105 of Title 10A of the Oklahoma Statutes, may require the person to undergo treatment or to participate in counseling services. The defendant may be required to pay all or part of the cost of the treatment or counseling services;

12. In addition to the other sentencing powers of the court, the court, in the case of a person convicted of cruelty to animals pursuant to Section 1685 of Title 21 of the Oklahoma Statutes, may require the person to pay restitution to animal facilities for medical care and any boarding costs of victimized animals;

13. In addition to the other sentencing powers of the court, a sex offender who is habitual or aggravated as defined by Section 584 of Title 57 of the Oklahoma Statutes and who is required to register as a sex offender pursuant to the Sex Offenders Registration Act shall be supervised by the Department of Corrections for the duration of the registration period and shall be assigned to a global position monitoring device by the Department of Corrections for the duration of the registration period. The cost of such monitoring device shall be reimbursed by the offender;

14. In addition to the other sentencing powers of the court, in the case of a sex offender who is required by law to register pursuant to the Sex Offenders Registration Act, the court may prohibit the person from accessing or using any Internet social networking website that has the potential or likelihood of allowing the sex offender to have contact with any child who is under the age of eighteen (18) years;

15. In addition to the other sentencing powers of the court, in the case of a sex offender who is required by law to register pursuant to the Sex Offenders Registration Act, the court shall require the person to register any electronic mail address information, instant message, chat or other Internet communication name or identity information that the person uses or intends to use while accessing the Internet or used for other purposes of social networking or other similar Internet communication; or

16. In addition to the other sentencing powers of the court, and pursuant to the terms and conditions of a written plea agreement, the court may prohibit the defendant from entering, visiting or residing within the judicial district in which the defendant was convicted until after completion of his or her sentence; provided, however, the court shall ensure that the defendant has access to those services or programs for which the defendant is required to participate as a condition of probation. When seeking to enter the prohibited judicial district for personal business not related to his or her criminal case, the defendant shall be required to obtain approval by the court.

B. Notwithstanding any other provision of law, any person who is found guilty of a violation of any provision of Section 761 or 11-902 of Title 47 of the Oklahoma Statutes or any person pleading guilty or nolo contendere for a violation of any provision of such sections shall be ordered to participate in, prior to sentencing, an alcohol and drug assessment and evaluation by an assessment agency or assessment personnel certified by the Department of Mental Health and Substance Abuse Services for the purpose of evaluating the receptivity to treatment and prognosis of the person. The court shall order the person to reimburse the agency or assessor for the evaluation. The fee shall be the amount provided in subsection C of Section 3-460 of Title 43A of the Oklahoma Statutes. The evaluation shall be conducted at a certified assessment agency, the office of a certified assessor or at another location as ordered by the court. The agency or assessor shall, within seventy-two (72) hours from the time the person is assessed, submit a written report to the court for the purpose of assisting the court in its final sentencing determination. No person, agency or facility operating an alcohol and drug substance abuse evaluation program certified by the Department of Mental Health and Substance Abuse Services shall solicit or refer any person evaluated pursuant to this subsection

for any treatment program or alcohol and drug substance abuse service in which such person, agency or facility has a vested interest; however, this provision shall not be construed to prohibit the court from ordering participation in or any person from voluntarily utilizing a treatment program or alcohol and drug substance abuse service offered by such person, agency or facility. If a person is sentenced to the custody of the Department of Corrections and the court has received a written evaluation report pursuant to this subsection, the report shall be furnished to the Department of Corrections with the judgment and sentence. Any evaluation report submitted to the court pursuant to this subsection shall be handled in a manner which will keep such report confidential from the general public's review. Nothing contained in this subsection shall be construed to prohibit the court from ordering judgment and sentence in the event the defendant fails or refuses to comply with an order of the court to obtain the evaluation required by this subsection.

C. When sentencing a person convicted of a crime, the court shall first consider a program of restitution for the victim, as well as imposition of a fine or incarceration of the offender. The provisions of paragraph 1 of subsection A of this section shall not apply to defendants being sentenced upon their third or subsequent to their third conviction of a felony. Provided, the court may waive these prohibitions upon written application of the district attorney. Both the application and the waiver shall be made part of the record of the case.

D. When sentencing a person convicted of a crime, the judge shall consider any victim impact statements if submitted to the jury, or the judge in the event a jury is waived.

E. Probation, for purposes of subsection A of this section, is a procedure by which a defendant found guilty of a crime, whether upon a verdict or plea of guilty or upon a plea of nolo contendere, is released by the court subject to conditions imposed by the court and subject to supervision by the Department of Corrections, a private supervision provider or other person designated by the court. Such supervision shall be initiated upon an order of probation from the court, and shall not exceed two (2) years, unless a petition alleging a violation of any condition of deferred judgment or seeking revocation of the suspended sentence is filed

during the supervision, or as otherwise provided by law. In the case of a person convicted of a sex offense, supervision shall begin immediately upon release from incarceration or if parole is granted and shall not be limited to two (2) years. Provided further, any supervision provided for in this section may be extended for a period not to exceed the expiration of the maximum term or terms of the sentence upon a determination by the court or the Division of Probation and Parole of the Department of Corrections that the best interests of the public and the release will be served by an extended period of supervision.

F. The Department of Corrections, or such other agency as the court may designate, shall be responsible for the monitoring and administration of the restitution and service programs provided for by subparagraphs a, c and d of paragraph 1 of subsection A of this section, and shall ensure that restitution payments are forwarded to the victim and that service assignments are properly performed.

G. 1. The Department of Corrections is hereby authorized, subject to funds available through appropriation by the Legislature, to contract with counties for the administration of county Community Service Sentencing Programs.

2. Any offender eligible to participate in the Program pursuant to this section shall be eligible to participate in a county Program; provided, participation in county-funded Programs shall not be limited to offenders who would otherwise be sentenced to confinement with the Department of Corrections.

3. The Department shall establish criteria and specifications for contracts with counties for such Programs. A county may apply to the Department for a contract for a county-funded Program for a specific period of time. The Department shall be responsible for ensuring that any contracting county complies in full with specifications and requirements of the contract. The contract shall set appropriate compensation to the county for services to the Department.

4. The Department is hereby authorized to provide technical assistance to any county in establishing a Program, regardless of whether the county enters into a contract pursuant to this subsection. Technical assistance shall include appropriate

staffing, development of community resources, sponsorship, supervision, and any other requirements.

5. The Department shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically make a report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House on the number of such Programs, the number of participating offenders, the success rates of each Program according to criteria established by the Department and the costs of each Program.

H. As used in this section:

1. "Ignition interlock device" means a device that, without tampering or intervention by another person, would prevent the defendant from operating a motor vehicle if the defendant has a blood or breath alcohol concentration of two-hundredths (0.02) or greater;

2. "Electronically monitored home detention" means incarceration of the defendant within a specified location or locations with monitoring by means of a device approved by the Department of Corrections that detects if the person leaves the confines of any specified location; and

3. "Victims impact panel program" means a program conducted by a corporation registered with the Secretary of State in Oklahoma for the sole purpose of operating a victims impact panel program. The program shall include live presentations from presenters who will share personal stories with participants about how alcohol, drug abuse, the operation of a motor vehicle while using an electronic communication device or the illegal conduct of others has personally impacted the lives of the presenters. A victims impact panel program shall be attended by persons who have committed the offense of driving, operating or being in actual physical control of a motor vehicle while under the influence of alcohol or other intoxicating substance, operating a motor vehicle while the ability of the person to operate such vehicle was impaired due to the consumption of alcohol or any other substance or operating a motor vehicle while using an electronic device or by persons who have been convicted of furnishing alcoholic beverage to persons under twenty-one (21) years of age, as provided in Sections 6-101 and 6-120 of Title 37A of the

Oklahoma Statutes. Persons attending a victims impact panel program shall be required to pay a fee of Seventy-five Dollars (\$75.00) to the provider of the program. A certificate of completion shall be issued to the person upon satisfying the attendance and fee requirements of the victims impact panel program. The certificate of completion shall contain the business identification number of the program provider. A certified assessment agency, certified assessor or provider of an alcohol and drug substance abuse course shall be prohibited from providing a victims impact panel program and shall further be prohibited from having any proprietary or pecuniary interest in a victims impact panel program. The provider of the victims impact panel program shall carry general liability insurance and maintain an accurate accounting of all business transactions and funds received in relation to the victims impact panel program. Beginning October 1, 2020, and each October 1 thereafter, the provider of the victims impact panel program shall provide to the District Attorneys Council the following:

- a. proof of registration with the Oklahoma Secretary of State,
- b. proof of general liability insurance,
- c. end-of-year financial statements prepared by a certified public accountant,
- d. a copy of federal income tax returns filed with the Internal Revenue Service,
- e. a registration fee of One Thousand Dollars (\$1,000.00). The registration fee shall be deposited in the District Attorneys Council Revolving Fund created in Section 215.28 of Title 19 of the Oklahoma Statutes, and
- f. a statement certifying that the provider of the victims impact panel program has complied with all of the requirements set forth in this paragraph.

I. A person convicted of a felony offense or receiving any form of probation for an offense in which registration is required pursuant to the Sex Offenders Registration Act, shall submit to

deoxyribonucleic acid (DNA) testing for law enforcement identification purposes in accordance with Section 150.27 of Title 74 of the Oklahoma Statutes and the rules promulgated by the Oklahoma State Bureau of Investigation for the OSBI Combined DNA Index System (CODIS) Database. Subject to the availability of funds, any person convicted of a misdemeanor offense of assault and battery, domestic abuse, stalking, possession of a controlled substance prohibited under the Uniform Controlled Dangerous Substances Act, outraging public decency, resisting arrest, escape or attempting to escape, eluding a police officer, Peeping Tom, pointing a firearm, threatening an act of violence, breaking and entering a dwelling place, destruction of property, negligent homicide or causing a personal injury accident while driving under the influence of any intoxicating substance, or any alien unlawfully present under federal immigration law, upon arrest, shall submit to DNA testing for law enforcement identification purposes in accordance with Section 150.27 of Title 74 of the Oklahoma Statutes and the rules promulgated by the Oklahoma State Bureau of Investigation for the OSBI Combined DNA Index System (CODIS) Database. Any defendant sentenced to probation shall be required to submit to testing within thirty (30) days of sentencing either to the Department of Corrections or to the county sheriff or other peace officer as directed by the court. Defendants who are sentenced to a term of incarceration shall submit to testing in accordance with Section 530.1 of Title 57 of the Oklahoma Statutes, for those defendants who enter the custody of the Department of Corrections or to the county sheriff, for those defendants sentenced to incarceration in a county jail. Convicted individuals who have previously submitted to DNA testing under this section and for whom a valid sample is on file in the OSBI Combined DNA Index System (CODIS) Database at the time of sentencing shall not be required to submit to additional testing. Except as required by the Sex Offenders Registration Act, a deferred judgment does not require submission to DNA testing.

Any person who is incarcerated in the custody of the Department of Corrections after July 1, 1996, and who has not been released before January 1, 2006, shall provide a blood or saliva sample prior to release. Every person subject to DNA testing after January 1, 2006, whose sentence does not include a term of confinement with the Department of Corrections shall submit a blood or saliva sample. Every person subject to DNA testing who is sentenced to unsupervised

probation or otherwise not supervised by the Department of Corrections shall submit for blood or saliva testing to the sheriff of the sentencing county.

J. Samples of blood or saliva for DNA testing required by subsection I of this section shall be taken by employees or contractors of the Department of Corrections, peace officers, or the county sheriff or employees or contractors of the sheriff's office. The individuals shall be properly trained to collect blood or saliva samples. Persons collecting blood or saliva for DNA testing pursuant to this section shall be immune from civil liabilities arising from this activity. All collectors of DNA samples shall ensure the collection of samples are mailed to the Oklahoma State Bureau of Investigation within ten (10) days of the time the subject appears for testing or within ten (10) days of the date the subject comes into physical custody to serve a term of incarceration. All collectors of DNA samples shall use sample kits provided by the OSBI and procedures promulgated by the OSBI. Persons subject to DNA testing who are not received at the Lexington Assessment and Reception Center shall be required to pay a fee of Fifteen Dollars (\$15.00) to the agency collecting the sample for submission to the OSBI Combined DNA Index System (CODIS) Database. Any fees collected pursuant to this subsection shall be deposited in the revolving account or the service fee account of the collection agency or department.

K. When sentencing a person who has been convicted of a crime that would subject that person to the provisions of the Sex Offenders Registration Act, neither the court nor the district attorney shall be allowed to waive or exempt such person from the registration requirements of the Sex Offenders Registration Act.

SECTION 58. AMENDATORY 22 O.S. 2021, Section 991f-1.1, is amended to read as follows:

Section 991f-1.1. A. Each district attorney shall create within the district attorney's office a Restitution and Diversion Program and assign sufficient staff and resources for the efficient operation of such program. The purpose of the Restitution and Diversion Program is to allow the district attorney the discretion to divert criminal complaints involving property crimes from criminal court and to monitor restitution payments. At the

discretion of the district attorney, the program may be administered by the Bogus Check Restitution Program operated by the county.

B. 1. Referral of a criminal complaint to the Restitution and Diversion Program shall be at the discretion of the district attorney. This act shall not limit the power of the district attorney to prosecute criminal complaints.

2. Upon receipt of a criminal complaint involving property, the district attorney shall determine if the complaint is one which is appropriate for deferred prosecution.

3. In determining whether to defer prosecution and refer a case to the Restitution and Diversion Program, the district attorney shall consider the following factors:

- a. whether the criminal complaint alleges an offense involving property,
- b. whether the alleged offense was committed in an aggressive, violent, premeditated or willful manner,
- c. the prospects for adequate protection of the public if the accused person is processed through deferred prosecution in the Restitution and Diversion Program,
- d. the number of criminal complaints against the defendant previously received by the district attorney,
- e. whether or not there are other criminal complaints currently pending against the defendant,
- f. the strength of the evidence of the particular criminal complaint, and
- g. the wishes of the victim.

C. Upon referral of a complaint to the Restitution and Diversion Program, a notice of the complaint shall be forwarded by mail to the accused person. The notice shall contain:

1. The date the act which is the subject of the complaint occurred;

2. The name of the victim;

3. The date before which the accused person ~~must~~ shall contact the office of the district attorney concerning the complaint; and

4. A statement of the penalty for the crime which is the subject of the complaint.

D. The district attorney may enter into a written agreement with the accused person to defer prosecution on the criminal complaint for a period to be determined by the district attorney, not to exceed three (3) years pending restitution being made to the victim of the complaint and payment of necessary fees.

E. Each restitution agreement shall include a provision requiring the accused person to pay to the district attorneys office a fee equal to the amount which would have been assessed as court costs upon the filing of the case in district court plus Twenty-five Dollars (\$25.00) for each criminal complaint covered by the agreement. This fee may be deposited in a special fund with the county treasurer to be known as the "Restitution and Diversion Program Fund" or in the Bogus Check Restitution Fund. The monies deposited in the Restitution and Diversion Program Fund shall be used by the district attorney to make any lawful expenditure associated with the district attorney's office. The district attorney shall keep records of all monies deposited to and disbursed from these funds. The records of these funds shall be audited at the same time the records of county funds are audited.

F. 1. Restitution to be paid by the accused person to the victim shall include out-of-pocket expenses the victim incurred as a direct result of the crime having been committed. A restitution agreement may include provisions for restitution in an amount up to treble the amount of property involved except such restitution shall not apply to false or bogus checks. If, instead of paying restitution directly to the victim, the accused person delivers restitution funds to the office of the district attorney, the district attorney shall deposit such funds in a depository account in the office of the county treasurer to be disbursed to the victim

by a warrant signed by the district attorney or a member of the district attorney's staff assigned to the Restitution and Diversion Program. The district attorney shall keep full records of all restitution monies received and disbursed. These records shall be audited at the same time the county funds are audited;

2. If the accused person fails to comply with the provisions of the Restitution and Diversion Program agreement, the district attorney may file an information and proceed with the prosecution of the accused person as provided by law.

G. Members of the district attorney's staff shall perform duties in connection with the Restitution and Diversion Program in addition to any other duties which may be assigned by the district attorney.

H. 1. District attorneys shall prepare and submit an annual report to the District Attorneys Council showing total deposits and total expenditures in the Restitution and Diversion Program.

2. By September 15 of each year, the District Attorneys Council shall publish an annual report for the previous fiscal year of the Restitution and Diversion Program. A copy of the report shall be electronically distributed to the President Pro Tempore of the Senate ~~and~~, the Speaker of the House of Representatives, and the chairs of the House and Senate Appropriations Committees utilizing the centralized filing system provided for in Section 378 of this act. Each district attorney shall submit information requested by the District Attorneys Council regarding the Restitution and Diversion Program. This report shall include the number of cases processed, the total dollar amount for which restitution was made, the total amount of the restitution collected, the total amount of fees collected, the total cost of the program, and such other information as required by the District Attorneys Council.

I. For the purposes of the Restitution and Diversion Program, the following definitions shall apply:

1. "Property Crime" shall include, but not be limited to the following:

a. embezzlement offenses,

- b. larceny offenses,
- c. theft offenses,
- d. malicious injury to property, and
- e. any offense which results in economic loss, but does not result in physical injury to another human being, and which is not enumerated in Section 571 of Title 57 of the Oklahoma Statutes;

- 2. "Victim" is defined by Section 991f of this title;
- 3. "Restitution" is defined by Section 991f of this title; and
- 4. "Economic loss" is defined by Section 991f of this title.

J. The victim shall promptly provide to the Restitution and Diversion Program all documentation and evidence of compensation or reimbursement from insurance companies or agencies of this state, any other state, or the federal government received as a direct result of the crime for injury, loss of earnings or out-of-pocket loss.

SECTION 59. AMENDATORY 22 O.S. 2021, Section 1355.4, is amended to read as follows:

Section 1355.4. A. The chief executive officer of the Oklahoma Indigent Defense System shall be the Executive Director, who shall be appointed by the Board and serve at the pleasure of the Board. The Executive Director shall be an attorney who has practiced law for at least four (4) years preceding the appointment and who is licensed to practice law in this state or is eligible to become so licensed within one (1) year of the appointment. The Executive Director shall have experience in the representation of persons accused or convicted of crimes.

B. The Executive Director shall perform administrative functions which serve the Board.

C. The Executive Director shall have the following powers and duties:

1. To prepare and administer an annual budget approved by the Board and to process claims for the System;

2. To enter into contracts to provide counsel in cases in which the defendant is indigent and unable to employ counsel, to enter into contracts with individuals, educational institutions, or state or federal agencies for other purposes, and to approve or disapprove the provisions of any such contract;

3. To review and approve or disapprove claims for expenditures of monies;

4. To take such actions as shall strengthen the criminal justice system in this state;

5. To promote the education and training of all attorneys representing indigent criminal defendants including, subject to available funding, nationally recognized defense seminars and evidence-based practices regarding behavioral health and treatment of defendants with substance abuse or mental health needs;

6. To maintain and improve effective representation for the indigent criminal defendant;

7. To employ personnel as necessary to carry out the duties imposed upon the System by law and to set the salaries of such personnel, subject to the salary schedules adopted by the Board;

8. To solicit and maintain a current list of attorneys licensed to practice law in this state who are willing to accept case assignments from the System and who meet any other qualifications as set by the Board;

9. To solicit and maintain a separate list of persons eligible for appointment to capital cases, who meet the qualifications set by the System;

10. To establish reasonable hourly rates of compensation for attorneys appointed in accordance with the Indigent Defense Act, subject to approval by the Board;

11. To establish maximum caseloads for attorneys employed by the System, subject to approval by the Board;

12. To reduce caseloads through reassignment of cases to private attorneys, as necessary;

13. To approve the sharing of office space, equipment, or personnel among the separate indigent defense programs within the System;

14. To prepare and submit to the Board an annual report for the preceding fiscal year regarding the efforts of the System to implement the purposes of the Indigent Defense Act, and, utilizing the centralized filing system provided for in Section 378 of this act, to electronically file that report with the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the Chief Justice of the Oklahoma Supreme Court, and the Presiding Judge of the Oklahoma Court of Criminal Appeals;

15. To conduct regional or statewide conferences and training seminars for the purpose of implementing the provisions of the Indigent Defense Act;

16. To provide System personnel who serve in an advisory capacity to the indigent defenders and defense attorneys who represent indigents pursuant to contract or who agree to accept cases assigned by the System to represent indigents of this state;

17. To gather and disseminate information to indigent defenders, including, but not limited to, changes in the law;

18. To recommend additional legislation necessary to upgrade the Oklahoma Indigent Defense System or to improve the justice system; and

19. To operate a cost-effective system by:

- a. implementing procedures to track System expenditures to show costs by case and client and to track time and expenses by attorney if the attorney is employed by the System,
- b. adopting written policies regarding when employees are to be in travel status and making efforts to reduce travel costs, and
- c. reviewing assignment of indigency status to identify clients who have available resources, and collecting costs of representation when feasible.

D. 1. The Executive Director is hereby authorized to develop, establish, and maintain lists of approved contractors who have agreed to provide expert services to the System. The lists shall include any expert who desires to furnish services to the System and who has filed a schedule of fees for services with, and on a form approved by, the Executive Director. Any deviation in excess of the published schedule of fees shall require the prior written approval of the Executive Director. Any attorney appointed or assigned cases in accordance with the Indigent Defense Act may request expert services from the list of experts maintained by the Executive Director. The Executive Director or designee may, in ~~said~~ such person's sole discretion, approve requests for expert services; provided, however, that nothing contained in the Indigent Defense Act shall be construed to render the Executive Director a member of the defense team in any System client's case for strategic purposes.

2. Attorneys appointed or assigned cases in accordance with the Indigent Defense Act may request investigative or other nonexpert witness services from the Executive Director on a form provided by the Executive Director. The Executive Director or designee may, in ~~said~~ such person's sole discretion, approve requests for such services at a reasonable hourly rate of compensation; provided, however, that nothing contained in the Indigent Defense Act shall be construed to render the Executive Director a member of the defense team in any System client's case for strategic purposes.

3. Services obtained under this section may be obtained as sole source contracts and are specifically exempt from the requirements

of soliciting no less than three quotations found in paragraph 7 of subsection A of Section 85.45j of Title 74 of the Oklahoma Statutes.

E. Each individual performing the services provided for in subsection D of this section may, with the approval of the Executive Director, be reimbursed for necessary travel expenses up to the amount permitted by the State Travel Reimbursement Act.

F. Requests for expenses not included in subsections D and E of this section shall require preapproval by the Executive Director.

SECTION 60. AMENDATORY 22 O.S. 2021, Section 1601, as amended by Section 1, Chapter 51, O.S.L. 2024 (22 O.S. Supp. 2025, Section 1601), is amended to read as follows:

Section 1601. A. There is hereby created the Domestic Violence Fatality Review Board within the Office of the Attorney General. The Board shall have the power and duty to:

1. Coordinate and integrate state and local efforts to address fatal domestic violence and create a body of information to prevent domestic violence deaths;

2. Collect, analyze, and interpret state and local data on domestic violence deaths;

3. Develop a state and local database on domestic violence deaths;

4. Improve the ability to provide protective services to victims of domestic violence who may be living in a dangerous environment;

5. Improve policies, procedures and practices within the agencies that serve victims of domestic violence; and

6. Enter into agreements with other state, local or private entities as necessary to carry out the duties of the Domestic Violence Fatality Review Board including, but not limited to, conducting joint reviews with the Child Death Review Board on domestic violence cases involving child death or child near-death incidents.

B. In carrying out its duties and responsibilities, the Board shall:

1. Promulgate rules establishing criteria for identifying cases involving a domestic violence death subject to specific, in-depth review by the Board;

2. Conduct a specific case review of those cases where the cause of death is or may be related to domestic violence;

3. Establish and maintain statistical information related to domestic violence deaths, including, but not limited to, demographic and medical diagnostic information;

4. Establish procedures for obtaining initial information regarding domestic violence deaths from law enforcement agencies;

5. Review the policies, practices, and procedures of the domestic violence protection and prevention system and make specific recommendations to the entities comprising the domestic violence prevention and protection system for actions necessary for the improvement of the system;

6. Review the extent to which the state domestic violence prevention and protection system is coordinated with law enforcement and the court system and evaluate whether the state is efficiently discharging its domestic violence prevention and protection responsibilities;

7. Request and obtain a copy of all records and reports pertaining to a domestic violence death case of the victim, perpetrator, or any other person cohabitating in the domicile at the time of the fatality that is under review, including, but not limited to:

- a. the report of the medical examiner,
- b. hospital records,
- c. school records,

- d. court records,
- e. prosecutorial records,
- f. local, state, and federal law enforcement records, including, but not limited to, the Oklahoma State Bureau of Investigation (OSBI),
- g. fire department records,
- h. State Department of Health records, including birth certificate records,
- i. medical and dental records,
- j. Department of Mental Health and Substance Abuse Services and other mental health records,
- k. emergency medical service records,
- l. files of the Department of Human Services,
- m. records of the Oklahoma Department of Corrections, and
- n. records in the possession of the Child Death Review Board when conducting a joint review pursuant to paragraph 6 of subsection A of this section.

Confidential information provided to the Board shall be maintained by the Board in a confidential manner as otherwise required by state and federal law. Any person damaged by disclosure of such confidential information by the Board or its members which is not authorized by law may maintain an action for damages, costs, and attorney fees pursuant to The Oklahoma Governmental Tort Claims Act;

8. Maintain all confidential information, documents and records in possession of the Board as confidential and not subject to subpoena or discovery in any civil or criminal proceedings; provided, however, information, documents and records otherwise available from other sources shall not be exempt from subpoena or discovery through those sources solely because such information, documents and records were presented to or reviewed by the Board;

9. Conduct reviews of specific cases of domestic violence deaths and request the preparation of additional information and reports as determined to be necessary by the Board including, but not limited to, clinical summaries from treating physicians, chronologies of contact, and second opinion autopsies;

10. Report, if recommended by a majority vote of the Board, to the President Pro Tempore of the Senate and the Speaker of the House of Representatives any gross neglect of duty by any state officer or state employee, or any problem within the domestic violence prevention and protection system discovered by the Board while performing its duties. Such report shall be made electronically utilizing the centralized filing system provided for in Section 378 of this act; and

11. Exercise all incidental powers necessary and proper for the implementation and administration of the Domestic Violence Fatality Review Board.

C. The review and discussion of individual cases of a domestic violence death shall be conducted in executive session. All other business shall be conducted in accordance with the provisions of the Oklahoma Open Meeting Act. All discussions of individual cases and any writings produced by or created for the Board in the course of determining a remedial measure to be recommended by the Board, as the result of a review of an individual case of a domestic violence death, shall be privileged and shall not be admissible in evidence in any proceeding. The Board shall periodically conduct meetings to discuss organization and business matters and any actions or recommendations aimed at improvement of the domestic violence prevention and protection system which shall be subject to the Oklahoma Open Meeting Act. Part of any meeting of the Board may be specifically designated as a business meeting of the Board subject to the Oklahoma Open Meeting Act.

D. The Board shall submit an annual statistical report on the incidence and causes of domestic violence deaths in this state for which the Board has completed its review during the past calendar year including its recommendations, if any, to the domestic violence prevention and protection system. The Board shall also prepare and make available to the public, on an annual basis, a report

containing a summary of the activities of the Board relating to the review of domestic violence deaths, the extent to which the state domestic violence prevention and protection system is coordinated and an evaluation of whether the state is efficiently discharging its domestic violence prevention and protection responsibilities. The report shall be completed no later than February 1 of the subsequent year.

SECTION 61. AMENDATORY 22 O.S. 2021, Section 2002, as amended by Section 2, Chapter 327, O.S.L. 2025 (22 O.S. Supp. 2025, Section 2002), is amended to read as follows:

Section 2002. A. Disclosure of Evidence by the State.

1. Upon request of the defense, the state shall disclose the following:

- a. the names and addresses of witnesses which the state intends to call at trial, together with their relevant, written, or recorded statement, if any, or if none, significant summaries of any oral statement,
- b. law enforcement reports made in connection with the particular case,
- c. any written or recorded statements and the substance of any oral statements made by the accused or made by a codefendant,
- d. any reports or statements made by experts in connection with the particular case, including results of physical or mental examinations and of scientific tests, experiments, or comparisons,
- e. any books, papers, documents, photographs, tangible objects, buildings, or places which the prosecuting attorney intends to use in the hearing or trial or which were obtained from or belong to the accused,
- f. any record of prior criminal convictions of the defendant, or of any codefendant, and

- g. Oklahoma State Bureau of Investigation (OSBI) rap sheet/records check on any witness listed by the state or the defense as a witness who will testify at trial, as well as any convictions of any witness revealed through additional record checks if the defense has furnished Social Security numbers or date of birth for their witnesses, except OSBI rap sheet/record checks shall not provide date of birth, Social Security number, home phone number, or address.

2. The state shall provide the defendant any evidence favorable to the defendant if such evidence is material to either guilt or punishment.

3. The prosecuting attorney's obligations under this standard extend to:

- a. material and information in the possession or control of members of the prosecutor's staff,
 - b. any information in the possession of law enforcement agencies that regularly report to the prosecutor of which the prosecutor should reasonably know, and
 - c. any information in the possession of law enforcement agencies who have reported to the prosecutor with reference to the particular case of which the prosecutor should reasonably know.
4. a. If the state intends to introduce testimony of a jailhouse informant, the state shall disclose at least ten (10) days prior to trial:
- (1) the complete criminal history of such informant, including any dismissed charges,
 - (2) any deal, promise, inducement, or benefit that the state or law enforcement agency has made or may make in the future to the jailhouse informant in connection with the testimony of such informant,

- (3) the specific statements or recordings made by the suspect or defendant and the time, place, and manner of the disclosure to the jailhouse informant,
 - (4) all other filed cases in which the state intended to introduce the testimony of the jailhouse informant in connection with a deal, promise, inducement or benefit, the nature of the deal, promise, inducement or benefit, and whether the testimony was admitted in the case,
 - (5) whether at any time the jailhouse informant recanted the testimony or statement, and if so, a transcript or copy of such recantation, if any, and
 - (6) any other information relevant to the credibility of the informant.
- b. Each district attorney's office shall maintain a central record that tracks each case in which the state intended to introduce the testimony of the jailhouse informant against a suspect or defendant in connection with a deal, promise, inducement or benefit, the nature of the deal, promise, inducement, or benefit and whether such testimony or statements were admitted in the case. Such record shall be sent to the District Attorneys Council which shall maintain a statewide record of such information. Records maintained pursuant to this paragraph shall only be accessible to prosecutors and shall not be subject to the Oklahoma Open Records Act. By September 15 of each year, the District Attorneys Council shall publish an annual report of aggregate, de-identified data regarding the total number of cases tracked pursuant to this section, and the number of cases added during the previous fiscal year pursuant to this section by each district attorney's office. A copy of the report shall be electronically distributed to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the

chairs of the Senate and House Judiciary Committees utilizing the centralized filing system provided for in Section 378 of this act.

- c. For purposes of this paragraph, "jailhouse informant" means a person who provides, or who the prosecutor intends to provide, testimony about admissions or other relevant information made to him or her by the suspect or defendant while both persons were detained or incarcerated in a penal institution.

B. Disclosure of Evidence by the Defendant.

1. Upon request of the state, the defense shall be required to disclose the following:

- a. the names and addresses of witnesses which the defense intends to call at trial, together with their relevant, written, or recorded statement, if any, or if none, significant summaries of any oral statement,
- b. the name and address of any witness, other than the defendant, who will be called to show that the defendant was not present at the time and place specified in the information or indictment, together with the witness' statement to that fact, and
- c. the names and addresses of any witness the defendant will call, other than himself, for testimony relating to any mental disease, mental defect, or other condition bearing upon his mental state at the time the offense was allegedly committed, together with the witness' statement of that fact, if the statement is redacted by the court to preclude disclosure of privileged communication.

2. A statement filed under subparagraph a, b, or c of paragraph 1 of subsection A or B of this section is not admissible in evidence at trial. Information obtained as a result of a statement filed under subsection A or B of this section is not admissible in evidence at trial except to refute the testimony of a witness whose identity subsection A of this section requires to be disclosed.

3. Upon the prosecuting attorney's request after the time set by the court, the defendant shall allow him access at any reasonable times and in any reasonable manner to inspect, photograph, copy, or have reasonable tests made upon any book, paper, document, photograph, or tangible object which is within the defendant's possession or control and which:

- a. the defendant intends to offer in evidence, except to the extent that it contains any communication of the defendant, or
- b. is a report or statement as to a physical or mental examination or scientific test or experiment made in connection with the particular case prepared by and relating to the anticipated testimony of a person whom the defendant intends to call as a witness, provided the report or statement is redacted by the court to preclude disclosure of privileged communication.

C. Continuing Duty to Disclose.

If, prior to or during trial, a party discovers additional evidence or material previously requested or ordered, which is subject to discovery or inspection under the Oklahoma Criminal Discovery Code, such party shall promptly notify the other party, the attorney of the other party, or the court of the existence of the additional evidence or material.

D. Time of Discovery.

1. Motions for discovery may be made at the time of the district court arraignment or thereafter; provided that requests for police reports may be made subject to the provisions of Section 258 of this title. However, a request pursuant to Section 258 of this title shall be subject to the discretion of the district attorney. All issues relating to discovery, except as otherwise provided, will be completed at least ten (10) days prior to trial. The court may specify the time, place, and manner of making the discovery and may prescribe such terms and conditions as are just.

2. Within thirty (30) days of the filing of an endorsed complaint, indictment, or information in a court of record, law enforcement shall provide to the prosecuting agency the following records, if such records exist:

- a. body camera videos at the time of arrest,
- b. vehicle-mounted camera videos at the time of arrest, and
- c. a recording of the administration of a sobriety test.

3. Within ninety (90) days of the filing of an endorsed complaint, indictment, or information, the prosecuting agency shall make available the records described in paragraph 2 of this subsection to the defendant or his or her representative.

4. Failure of a law enforcement agency to comply with the provisions of paragraph 2 of this subsection may be punished by contempt.

5. The following information may be redacted by the prosecuting agency from the records provided to a defendant or his or her representative as required by the provisions of paragraph 3 of this subsection; provided that, notice of such redactions are given to the defendant or to his or her representative:

- a. information that would violate any requirement to keep certain juvenile records confidential as provided for in Title 10A of the Oklahoma Statutes,
- b. information that would materially compromise an ongoing criminal investigation or ongoing criminal prosecution other than the case involving the defendant,
- c. information that would undermine the assertion of a privilege to keep the identity of an informant confidential as provided for in Section 2510 of Title 12 of the Oklahoma Statutes,

- d. information that would identify any person who provides information to law enforcement or the information provided by that person when that person requests anonymity or where disclosure of the identity of the person or the information provided could reasonably be expected to threaten or endanger the physical safety or property of the person or the physical safety or property of others, or
- e. require production of records or videos that fall outside the scope permitted under the provisions of paragraph 2 of this subsection.

E. Regulation of Discovery.

1. Protective and Modifying Orders. Upon motion of the state or defendant, the court may at any time order that specified disclosures be restricted, or make any other protective order. If the court enters an order restricting specified disclosures, the entire text of the material restricted shall be sealed and preserved in the records of the court to be made available to the appellate court in the event of an appeal.

2. Failure to Comply with a Request. If at any time during the course of the proceedings it is brought to the attention of the court that a party has failed to comply with this rule, the court may order such party to permit the discovery or inspection, grant continuance, or prohibit the party from introducing evidence not disclosed, or it may enter such other order as it deems just under the circumstances.

3. The discovery order shall not include discovery of legal work product of either attorney which is deemed to include legal research or those portions of records, correspondence, reports, or memoranda which are only the opinions, theories, or conclusions of the attorney or the attorney's legal staff.

F. Reasonable cost of copying, duplicating, videotaping, developing or any other cost associated with this Code for items requested shall be paid by the party so requesting; however, any item which was obtained from the defendant by the state of which copies are requested by the defendant shall be paid by the state.

Provided, if the court determines the defendant is indigent and without funds to pay the cost of reproduction of the required items, the cost shall be paid by the Indigent Defender System, unless otherwise provided by law.

SECTION 62. AMENDATORY 27A O.S. 2021, Section 1-1-202, as last amended by Section 1, Chapter 164, O.S.L. 2023 (27A O.S. Supp. 2025, Section 1-1-202), is amended to read as follows:

Section 1-1-202. A. Each state environmental agency shall:

1. Be responsible for fully implementing and enforcing the laws and rules within its jurisdictional areas of environmental responsibility;

2. Utilize and enforce the Oklahoma Water Quality Standards established by the Department of Environmental Quality;

3. Seek to strengthen relationships between state, regional, local, and federal environmental planning, development, and management programs;

4. Specifically facilitate cooperation across jurisdictional lines of authority with other state environmental agencies regarding programs to resolve environmental concerns;

5. Cooperate with all state environmental agencies, other state agencies and local or federal governmental entities to protect, foster, and promote the general welfare, and the environment and natural resources of this state;

6. Have the authority to engage in environmental and natural resource information dissemination and education activities within their respective areas of environmental jurisdiction; and

7. Participate in every hearing conducted by the Department of Environmental Quality for the consideration, adoption, or amendment of the classification of waters of the state and standards of purity and quality thereof, and shall have the opportunity to present written comment to the members of the Environmental Quality Board at the same time staff recommendations are submitted to those members for Board review and consideration.

B. 1. In addition to the requirements of subsection A of this section, each state environmental agency shall have promulgated by July 1, 2001, a Water Quality Standards Implementation Plan for its jurisdictional areas of environmental responsibility in compliance with the Administrative Procedures Act and pursuant to the provisions of this section. Each agency shall review its plan at least every three (3) years thereafter to determine whether revisions to the plan are necessary.

2. Upon the request of any state environmental agency, the Department of Environmental Quality shall provide consulting assistance to such agency in developing a Water Quality Standards Implementation Plan as required by this subsection.

3. Each Water Quality Standards Implementation Plan shall:

- a. describe, generally, the processes, procedures, and methodologies the state environmental agency will utilize to ensure that programs within its jurisdictional areas of environmental responsibility will comply with anti-degradation standards and lead to:
 - (1) maintenance of water quality where beneficial uses are supported,
 - (2) removal of threats to water quality where beneficial uses are in danger of not being supported, and
 - (3) restoration of water quality where beneficial uses are not being supported,
- b. include the procedures to be utilized in the application of use support assessment protocols to make impairment determinations,
- c. list and describe programs affecting water quality,

- d. include technical information and procedures to be utilized in implementing the Water Quality Standards Implementation Plan,
- e. describe the method by which the Water Quality Standards Implementation Plan will be integrated into the water quality management activities within the jurisdictional areas of environmental responsibility of the state environmental agency,
- f. detail the manner in which the agency will comply with mandated statewide requirements affecting water quality developed by other state environmental agencies including, but not limited to, total maximum daily load development, water discharge permit activities, and nonpoint source pollution prevention programs,
- g. include a brief summary of the written comments and testimony received pursuant to all public meetings held or sponsored by the state environmental agency for the purpose of providing the public and other state environmental agencies an opportunity to comment on the plan, and
- h. describe objective methods and means to evaluate the effectiveness of activities conducted pursuant to the Water Quality Standards Implementation Plan to achieve Oklahoma Water Quality Standards.

C. 1. Each state environmental agency with groundwater protection authority pursuant to Article III of the Oklahoma Environmental Quality Act shall be the groundwater protection agency for activities within its jurisdictional areas of environmental responsibility.

2. The Department of Environmental Quality shall cooperate with other state environmental agencies, as appropriate and necessary, in the protection of such unassigned activities.

3. Groundwater regulatory agencies shall develop groundwater protection practices to prevent groundwater contamination from

activities within their respective jurisdictional areas of environmental responsibility.

4. Each groundwater protection agency shall promulgate such rules, and issue such permits, policies, directives, or any other appropriate requirements, as necessary, to implement the requirements of this subsection.

5. Groundwater protection agencies shall take such action as may be necessary to assure that activities within their respective jurisdictional areas of environmental responsibility protect groundwater quality to support the uses of the state's water quality.

6. In addition, each groundwater protection agency with enforcement authority is hereby authorized to:

- a. engage the voluntary cooperation of all persons in the maintenance and protection of groundwater, and to advise, consult and cooperate with all persons, all agencies of the state, universities and colleges, the federal government or other states, and with interstate agencies in the furtherance of the purposes of this subsection, and to this end and for the purposes of studies, scientific or other investigations, research, experiments and demonstrations pertaining thereto, receive and spend funds as appropriated by the Legislature, and from such agencies and other officers and persons on behalf of the state,
- b. encourage the formulation and execution of plans to maintain and protect groundwater by cooperative groups or associations of municipal corporations, industries, industrial users, and other users of groundwaters of the state, who, jointly or severally, are or may be impacting on the maintenance and protection of groundwater,
- c. encourage, participate in or conduct or cause to be conducted studies, scientific or other investigations, research, experiments and demonstrations relating to

the maintenance and protection of groundwater, and to collect data with respect thereto, all as may be deemed advisable and necessary to carry out the purposes of this subsection, and to make reports and recommendations with respect thereto,

- d. conduct groundwater sampling, data collection, analyses, and evaluations with sufficient frequency to ascertain the characteristics and quality of groundwater and the sufficiency of the groundwater protection programs established pursuant to this subsection, and
- e. develop a public education and promotion program to aid and assist in publicizing the need of, and securing support for, the maintenance and protection of groundwater.

D. Each state environmental agency and each state agency with limited environmental responsibilities shall participate in the information management system developed by the Department of Environmental Quality, pursuant to Section 1-4-107 of this title, with such information as the Department shall reasonably request.

E. In each even-numbered year, in cooperation with other state environmental agencies participating in the monitoring of water resources, the Department of Environmental Quality shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report on the status of water quality monitoring to the Legislature for review.

SECTION 63. AMENDATORY 27A O.S. 2021, Section 1-2-101, is amended to read as follows:

Section 1-2-101. A. The Secretary of Environment or successor cabinet position having authority over the Department of Environmental Quality shall have the following jurisdictional areas of environmental responsibility:

1. Powers and duties for environmental areas designated to such position by the Governor;

2. The recipient of federal funds disbursed pursuant to the Federal Water Pollution Control Act, provided the Oklahoma Water Resources Board is authorized to be the recipient of federal funds to administer the State Revolving Fund Program. The federal funds received by the Secretary of Environment shall be disbursed to each state environmental agency and state agency with limited environmental responsibilities based upon its statutory duties and responsibilities relating to environmental areas as determined by the Secretary of Environment in consultation with the Secretary of Agriculture. Such funds shall be distributed to the appropriate state environmental agency or state agency with limited environmental responsibilities within thirty (30) days of its receipt by the Secretary or as otherwise provided by grant or contract terms without any assessment of administrative fees or costs. Disbursement of other federal environmental funds shall not be subject to this section. The Secretary of Environment shall ~~make~~ electronically submit, utilizing the centralized filing system provided for in Section 378 of this act, an annual written report no later than November 1 to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Chair of each environmental committee of both the House of Representatives and Senate detailing the disbursement of federal funds;

3. Coordinate pollution control and complaint management activities of the state carried on by all state agencies to avoid duplication of effort including but not limited to the development of a common data base for water quality information with a uniform format for use by all state agencies and the public; and

4. Act on behalf of the public as trustee for natural resources under the federal Oil Pollution Act of 1990, the federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, as amended, the federal Water Pollution Control Act and any other federal laws providing that a trustee for the natural resources is to be designated. The Secretary is authorized to make claims against federal funds, receive federal payments, establish and manage a revolving fund in relation to duties as the natural resources trustee consistent with the federal enabling acts and to coordinate, monitor and gather information from and enter into agreements with the appropriate state environmental agencies or state agencies with limited environmental responsibilities in

carrying out the duties and functions of the trustee for the natural resources of this state.

B. 1. The Secretary of the Environment or successor cabinet position having authority over the Department of Environmental Quality shall develop and implement, by January 1, 2000, public participation procedures for the development ~~and/or~~ or modification of:

- a. the federally required list of impaired waters (303(d) report),
- b. the federally required water quality assessment (305(b) report),
- c. the federally required nonpoint source state assessment (319 report), and
- d. the continuing planning process document.

2. The procedures shall provide for the documents to be submitted for formal public review with a published notice consistent with the Administrative Procedures Act, providing for a thirty-day comment period and the preparation of a responsiveness summary by the applicable state environmental agency.

3. Information from current research shall be considered when made available to the agency.

SECTION 64. AMENDATORY 27A O.S. 2021, Section 2-3-101, is amended to read as follows:

Section 2-3-101. A. There is hereby created the Department of Environmental Quality.

B. Within its jurisdictional areas of environmental responsibility, the Department of Environmental Quality, through its duly designated employees or representatives, shall have the power and duty to:

- 1. Perform such duties as required by law; and

2. Be the official agency of the State of Oklahoma, as designated by law, to cooperate with federal agencies for point source pollution, solid waste, hazardous materials, pollution, Superfund, water quality, hazardous waste, radioactive waste, air quality, drinking water supplies, wastewater treatment, and any other program authorized by law or executive order.

C. Any employee of the Department in a technical, supervisory or administrative position relating to the review, issuance or enforcement of permits pursuant to this Code who is an owner, stockholder, employee or officer of, or who receives compensation from, any corporation, partnership, or other business or entity which is subject to regulation by the Department of Environmental Quality shall disclose such interest to the Executive Director. Such disclosure shall be submitted for Board review and shall be made a part of the Board minutes available to the public. This subsection shall not apply to financial interests occurring by reason of an employee's participation in the Oklahoma State Employees Deferred Compensation Plan or publicly traded mutual funds.

D. The Executive Director, Deputy Director, and all other positions and employees of the Department at the Division Director level or higher shall be in the unclassified service.

E. The following programs are hereby established within the Department of Environmental Quality:

1. An air quality program which shall be responsible for air quality;

2. Water programs which shall be responsible for water quality, including, but not limited to point source and nonpoint source pollution within the jurisdiction of the Department, public and private water supplies, public and private wastewater treatment, water protection, and discharges to waters of the state;

3. Land protection programs which shall be responsible for hazardous waste, solid waste, radiation, and municipal, industrial, commercial, and other waste within its jurisdictional areas of environmental responsibility pursuant to Section 1-3-101 of this title; and

4. Special projects and services programs which shall be responsible for duties related to planning, interagency coordination, technical assistance programs, laboratory services and laboratory certification, recycling, education, and dissemination of information.

F. Within the Department there are hereby created:

1. The complaints program which shall be responsible for intake processing, investigation, mediation and conciliation of inquiries and complaints received by the Department and which shall provide for the expedient resolution of complaints within the jurisdiction of the Department; and

2. The customer assistance program which shall be responsible for advising and providing to licensees, permittees and those persons representing businesses or those persons associated with and representing local political subdivisions desiring a license or permit, the necessary forms, and the information necessary to comply with the Oklahoma Environmental Quality Code. The customer assistance program shall coordinate with other programs of the Department to assist businesses and municipalities in complying with state statutes and rules governing environmental areas.

The customer assistance program shall also be responsible for advising and providing assistance to persons desiring information concerning the Department's rules, laws, procedures, licenses or permits, and forms used to comply with the Oklahoma Environmental Quality Code.

G. The Department shall be responsible for holding administrative hearings as defined in Section 2-1-102 of this title and shall provide support services related to them, including, but not limited to, giving required notices, maintaining the docket, scheduling hearings, and maintaining legal records.

H. 1. The Department shall prepare and submit an annual report assessing the status of the Department's programs to the Board, the Governor, the President Pro Tempore of the State Senate, and the Speaker of the Oklahoma House of Representatives by January 1 of each year. The annual status report shall include: the number of

environmental inspections made within the various regulatory areas under the Department's jurisdiction; the number of permit applications submitted within the various regulatory areas under the Department's jurisdiction; the number of permits issued within the various regulatory areas under the Department's jurisdiction; the number and type of complaints filed with the Department; the number of resolved and unresolved Department complaints; a list of any permits and complaints which failed to be either completed or resolved within the Department's established time frames and an explanation of why the Department was unable to meet said time frames; the number and kinds of services provided corporations, businesses, cities, towns, schools, citizen groups, and individuals by the customer assistance programs; a summary of the Department's environmental education efforts; the number and type of administrative hearings held and their outcomes; a detailed description of any promulgated and pending emergency or permanent rules requested by the Department and the current status of pending rules within the rulemaking process; the number of notices of violations issued by the Department within the various regulatory areas under its jurisdiction; the amount of penalties collected by the Department within the various regulatory areas under its jurisdiction; and any other information which the Department believes is pertinent.

2. Beginning January 1, 1995, and on or before January 1 of every year thereafter, the Department shall prepare an Oklahoma Environmental Quality Report which outlines the Department's annual needs for providing environmental services within its jurisdictional areas. The report shall reflect any new federal mandates and any state statutory or constitutional changes recommended by the Department within its jurisdictional areas. The Oklahoma Environmental Quality Report shall be reviewed, amended, and approved by the Board. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically transmit an approved copy of the Oklahoma Environmental Quality Report to the Governor, President Pro Tempore of the State Senate, and Speaker of the House of Representatives.

3. The Executive Director shall establish such divisions and such other programs and offices as the Executive Director may determine necessary to implement and administer programs and

functions within the jurisdiction of the Department pursuant to the Oklahoma Environmental Quality Code.

I. 1. The Department may contract with other governmental entities to provide environmental services. Such contracts may include duties related to providing information to the public regarding state environmental services, resources, permitting requirements and procedures based upon the ability, education, and training of state environmental agency employees.

2. The Department, in conjunction with the state environmental agencies, may develop a program for the purpose of training government employees to provide any needed environmental services; provided, that the investigation of complaints regarding, or inspections of, permitted sites or facilities shall not be performed by employees of other agencies, unless otherwise authorized by law.

SECTION 65. AMENDATORY 27A O.S. 2021, Section 2-3-109, is amended to read as follows:

Section 2-3-109. A. There is hereby created the "Oklahoma Energy Efficiency and Emission Reduction Program", to be administered by the Department of Environmental Quality. The purpose of the Oklahoma Energy Efficiency and Emission Reduction Program is to fund activities and projects designed to reduce regional air pollution.

B. The Oklahoma Legislature finds that any activity or project that reduces regional air pollution is desirable and advantageous and serves a compelling public interest. Further, improved air quality enhances the health and quality of life for the citizens of Oklahoma, helps maintain the abundant natural beauty and resources of the state, and fosters the economic well-being of the state by reducing the potential that the federal government will designate some or all of the state as in air-quality "nonattainment" status, resulting in extremely burdensome additional regulatory requirements.

C. 1. Any funds made available for the Oklahoma Energy Efficiency and Emission Reduction Program shall be used by the Department for matching grants to governmental and nongovernmental entities in Oklahoma to encourage the implementation of recognized

air pollution reduction measures, including, but not limited to, the retrofitting of truck and bus fleets or locomotives to use cleaner fuels and the installation and implementation of energy efficiency measures.

2. Grants awarded under the Program shall be limited to ninety-five percent (95%) of the direct project costs in the case of governmental entities and seventy-five percent (75%) of the direct project costs in the case of nongovernmental entities.

3. In making grant awards, the Department shall enter into a contract or memorandum of agreement with the grantee that includes conditions and safeguards to ensure that the matching funds are expended for the purposes specified and that the state receives a clear benefit from the expenditure. In addition to any other conditions and safeguards deemed necessary and appropriate:

- a. the Department shall require grant recipients to submit a report within a reasonable time after construction, installation, or implementation of the project that summarizes the results, including emissions reductions achieved and "lessons learned". Information from the reports may be used by the Department in evaluation of future grant applications or proposals for the Oklahoma Energy Efficiency and Emission Reduction Program or any similar grant program and to determine the viability of other projects or programs that may be proposed to control or reduce air pollution in the state, and
- b. to secure the maximum possible benefit by increasing awareness of the Oklahoma Energy Efficiency and Emission Reduction Program, the Department may require any grant recipient to post notice in a conspicuous place of participation in the Program and the nature of the funded project.

4. Before making any grants, the Department shall determine to its satisfaction that the proposed project will significantly reduce air pollution within the state. The Department is authorized to set a deadline for grant applications, and if the total grant funding sought exceeds the amount available under the Program, the

Department shall give priority to those projects that appear to achieve the maximum public health benefit for citizens of the state.

5. Not more than twenty-five percent (25%) of the total sum available for grants under the Program shall be awarded to any single entity. Application of this limit shall not preclude participation by the recipient in any similar grant program in the future.

D. If funds are appropriated by the Legislature for the Oklahoma Energy Efficiency and Emission Reduction Program, not more than One Hundred Thousand Dollars (\$100,000.00) annually of the funds shall be used by the Department for personnel and other costs associated with administration and management of the Program, and for providing technical assistance to entities applying for and participating in the Program.

E. On or before September 1, 2009, and by September 1 each year thereafter, the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate a report on the Oklahoma Energy Efficiency and Emission Reduction Program. The report shall outline program expenditures, estimate emission reductions achieved, and health or environmental benefits associated with those reductions for the previous fiscal year, and any other information the Department determines is necessary to aid the Governor and Legislature in evaluating the Program.

SECTION 66. AMENDATORY 27A O.S. 2021, Section 2-6-501.4, is amended to read as follows:

Section 2-6-501.4. A. ~~1-~~ The Department shall not approve any sludge management plan or issue any permit for the land application of sludge which contains heavy metal concentrations significantly above concentration ranges normal to sludges with demonstrated effectiveness on Oklahoma soils as determined by the Department. Rules promulgated by the Board for applications for sludge management plans and permits shall require a study of the effects of the sludge on the various types of soils and crops found at the location of the proposed sludge application site. Such study shall

encompass the effects of the sludge on the soils and crops during four (4) growing seasons.

~~2- B.~~ Any municipality having a sludge management plan approved prior to May 25, 1992, for the land application of sludge containing heavy metal concentrations significantly above acceptable concentration ranges may discontinue such land application of the sludge or shall develop a corrective action plan containing a schedule of compliance for reducing the heavy metal concentration to an acceptable range. The municipality shall submit the corrective action plan to the Department for approval. If the Department disapproves of the plan or the municipality fails to comply with the plan so approved, the Department may require that any such land applications of sludge by the municipality be discontinued pursuant to Article II of the Administrative Procedures Act.

~~B. For developing statewide criteria for application of sludge which contains heavy metal concentrations significantly above concentration ranges normal to sludge, the Department shall utilize a comprehensive study of the potential adverse effects of such sludge on the soils of this state completed by a qualified research institute familiar with the crops and soils of this state. Such study shall be completed by September 1, 1996, and a report of the findings shall be delivered to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives and the Executive Director no later than September 1, 1996.~~

SECTION 67. AMENDATORY 27A O.S. 2021, Section 2-7-307, is amended to read as follows:

Section 2-7-307. The Department shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a written report on the use and disposition of the fund to the Oklahoma State Legislature.

SECTION 68. AMENDATORY 27A O.S. 2021, Section 2-10-802, is amended to read as follows:

Section 2-10-802. A. 1. Owners or operators of landfill disposal sites which are not generator-owned and -operated nonhazardous industrial waste monofills and owners or operators of commercial incinerators shall install scales. Such scales shall be

installed on or within five (5) miles of the landfill disposal site or incinerator and shall be tested and certified as required by Section 14-35 of Title 2 of the Oklahoma Statutes relating to the authority of the State Board of Agriculture to test the standards of weights and measures within the state and to approve if found to be correct. For purposes of this section, any reference to "incinerator" or "incineration" shall encompass waste-to-energy facilities that produce recoverable energy by high-temperature combustion.

2. The owner or operator shall upon receipt weigh all waste received and record the weight in writing. If scales at a disposal site or incinerator are not operative, tonnage shall be estimated on a volume basis whereby the volume reported shall be no less than the volume capacity of the containers or, if none, of the vehicles delivering the waste, and one cubic yard of solid waste shall be calculated to weigh one-third (1/3) ton. The owner or operator shall place notice in the operating record of the disposal site or incinerator of the time and date at which the scales became inoperable, describe the steps taken to repair them, and note the date use was resumed. If daily use has not resumed within thirty (30) days after the scales became inoperable, the owner or operator shall give written notice to the Department of Environmental Quality.

3. The owner or operator shall also maintain a written record of the weight or volume of any solid waste received which is productively reused or recovered in materially the same form as when received and sold in accordance with the permit for the landfill disposal site or incinerator.

4. The scale location restriction of this subsection shall not apply to federal or state military installations so long as:

- a. the scales are located within the physical boundary of that installation, and
- b. the disposal site or incinerator receives waste only from that military installation.

B. 1. Except as otherwise provided by this subsection:

- a. owners and operators of landfill disposal sites or commercial incinerators which receive an average of less than one hundred (100) tons of solid waste per operating day shall assess a fee of One Dollar and fifty cents (\$1.50) per ton of solid waste received for disposal or incineration. A total of fifty cents (\$.50) per ton of such fee shall be retained by the owner or operator and used exclusively for capital improvement to their facilities and for the projects required pursuant to the Oklahoma Solid Waste Management Act or the permit for the disposal site or incinerator for such period of time necessary to recoup a capital investment, plus the interest costs expended in purchasing the scales, of a total of Forty Thousand Dollars (\$40,000.00),
 - b. when the owner or operators have recouped a capital investment of the total specified in subparagraph a of this paragraph, the fee to be assessed shall be One Dollar and twenty-five cents (\$1.25) per ton of solid waste received for disposal or incineration. At such time, for a return with remittance filed on or before the due date, the owner or operator may deduct and retain ten percent (10%) of the fees collected, and
 - c. records documenting the projects and use of the funds shall be included with each return.
2. a. Owners and operators of landfill disposal sites or commercial incinerators which receive an average of more than one hundred (100) tons of solid waste per operating day shall assess a fee of One Dollar and fifty cents (\$1.50) per ton of solid waste received for disposal or incineration, retaining twenty-five cents (\$0.25) per ton for a period of time necessary to recoup a capital investment, plus the interest costs expended in purchasing the scales, of Forty Thousand Dollars (\$40,000.00). At the end of such period the fee shall revert to One Dollar and twenty-five cents (\$1.25) per ton. For a return with remittance filed on or before the due date, the owner

or operator may deduct and retain ten percent (10%) of the fees collected.

- b. Records documenting the capital investment and the use of the funds shall be included with each return.

3. Owners and operators of commercial composting facilities shall assess a fee of One Dollar and twenty-five cents (\$1.25) per ton of all composting material received.

- 4. a. Owners and operators of landfill disposal sites or commercial incinerators may be reimbursed for capital investment costs that have been or will be expended for the purchase and installation of a wheel wash system for use at the landfill disposal site or commercial incinerator facility. To be eligible to claim this reimbursement, the owner or operator ~~must~~ shall notify the Department no later than January 1, 2011, of the intent to claim the reimbursement, and the wheel wash system ~~must~~ shall be in place and operational no later than January 1, 2012. Reimbursement shall be paid only after the wheel wash system is installed and operational and each landfill disposal site or commercial incinerator shall be eligible for reimbursement for only one wheel wash system.
- b. The owner or operator shall provide records documenting the capital investment costs of the wheel wash system to the Department.
- c. At such time as the wheel wash system is in place and operational and the capital investment costs have been approved by the Department, the Department shall reimburse the owner or operator the approved costs, subject to the limitations in subparagraph d of this paragraph. The Department shall reimburse eligible applicants in the order of approval until that limitation has been reached. If there are multiple eligible applicants awaiting reimbursement, the Department shall apportion the reimbursement amount

among the eligible applicants according to the capital investment costs approved by the Department.

- d. If the total amount reimbursed to all eligible owners and operators reaches Fifty Thousand Dollars (\$50,000.00) within any state fiscal year, the Department shall notify the owners and operators, and thereafter the owners and operators shall not receive any reimbursement until the next state fiscal year.
- e. The Environmental Quality Board is authorized to promulgate rules as necessary to implement the provisions of the Solid Waste Management Act, including rules specifying minimum standards or other criteria for wheel wash systems necessary to qualify for the reimbursement.

5. The fee assessed by paragraph 1 or 2 of this subsection shall not be imposed on:

- a. the solid waste received which is productively reused or recovered in materially the same form as when received in accordance with the permit for the landfill disposal site or incinerator. The owner or operator shall include records pertaining to this fee exemption in the quarterly return of fees to the Department,
- b. generator-owned and -operated nonhazardous waste land disposal monofills and waste subject to a fee pursuant to Section 2-10-803 of this title. For emergencies and other special events, the Department and the owner or operator of a site subject to this section may enter into a formal agreement to waive the fee, and
- c. ash produced as a result of the combustion in a commercial incinerator of waste on which the fee imposed by this section has been paid.

6. Large industrial waste generators who generate over ten thousand (10,000) tons of nonhazardous industrial solid waste in the state in a calendar year may annually apply to the Department for a

certificate exempting the disposal or incineration of such generated waste in excess of ten thousand (10,000) tons from the disposal and incineration fee authorized by this section. An applicant ~~must~~ shall have implemented a pollution prevention plan for such waste and filed it with the Department, provided operational documentation regarding such plan and paid the disposal and incineration fee on ten thousand (10,000) tons of the waste during the calendar year of application. The Department-issued exemption certificates shall be valid for the remainder of the calendar year of application, may contain conditions, and, upon presentation by authorized persons, shall be recognized by owners or operators of landfill disposal sites and incinerators subject to this section. If a generator operates a landfill or incinerator solely for waste from that generator, and if that generator chooses to seek the exemption authorized by this paragraph, the generator shall not be required to install scales or keep records relative to quantity of waste received for the landfill or incinerator.

7. The fee assessed by paragraph 1 or 2 of this subsection shall be imposed for all nonhazardous solid wastes accepted for disposal at a site or facility to which a solid waste or hazardous waste permit has been issued by the Department of Environmental Quality, and is to be a charge to waste producers in addition to any charges specified in any contract or elsewhere. The fee shall be imposed upon and passed through to disposers of waste using the facility.

8. The owner or operator of a solid waste disposal site or incinerator and the owner or operator of a commercial composting facility shall collect the fee levied pursuant to this subsection as trustee for the state and shall prepare and file with the Department quarterly returns indicating:

- a. the total tonnage of solid wastes or material for composting received for disposal, incineration or composting at the gate of the site, and
- b. the total amount of the fees collected pursuant to this section.

9. Not later than thirty (30) days after the end of the quarter to which such a return applies, the owner or operator shall mail to

the Department the return for that quarter together with the fees collected during that quarter as indicated on the return.

10. The owner or operator may receive an extension of not more than thirty (30) days for filing the return and remitting the fees, provided that:

- a. the owner or operator has submitted a request for an extension in writing to the Department together with a detailed description of why the extension is requested,
- b. the Department has received the request not later than the day on which the return is required to be filed, and
- c. the Department has approved the request.

11. For any quarterly return filed more than thirty (30) days after the last day of the quarter or extension date, the owner or operator shall remit an additional five percent (5%) of the fees collected during the month to which the return applies. If the fees are not remitted within sixty (60) days of the last day of the quarter during which they were collected, the owner or operator shall pay an additional fifteen percent (15%) of the amount of the fees for each month that they are late.

12. If the owner or operator misrepresents, or fails to properly measure or record, the amount of waste received or fails to remit fees within sixty (60) days after the last day of the quarter during which they were collected, the permit for the landfill disposal site, incinerator or commercial composting facility shall be summarily suspended by order and the Department shall initiate the process of revoking the permit and may require closure of the landfill, incinerator or commercial composting facility.

C. 1. The Department shall expend funds collected pursuant to the provisions of this section solely for the administration and enforcement of the provisions of the Oklahoma Solid Waste Management Act and for the development of solid waste technical assistance programs, solid waste public environmental education programs and educational curricula, solid waste studies, development of a

statewide solid waste plan, solid waste recycling and litter prevention programs, and other environmental improvements.

2. In order to assist the Department of Environmental Quality regarding its responsibilities relating to the promotion of recycling of solid waste, each fiscal year the Department shall contract with units of local government, political subdivisions of this state, components of The Oklahoma State System of Higher Education, local and statewide organizations representing municipalities or counties, or substate planning districts recognized by the Oklahoma Department of Commerce, for up to a total of One Hundred Thousand Dollars (\$100,000.00) and to the extent such monies are available for projects promoting the recycling of solid waste. Local governments, political subdivisions of this state, components of The Oklahoma State System of Higher Education, local and statewide organizations representing municipalities and counties and substate planning districts recognized by the Oklahoma Department of Commerce desiring to contract with the Department for such projects shall meet the application requirements of rules promulgated by the Environmental Quality Board and the criteria established by a recycling priorities plan prepared annually by the Department after review and comment by the Solid Waste Management Advisory Council. Except as otherwise provided by this section, contracts for such projects shall not be granted to state agencies.

3. Any litter prevention program shall be developed by the Department in conjunction with the Department of Transportation.

4. a. To the extent that funds are available, the Department may also reimburse any governmental entity for equipment other than motor vehicles or buildings to separate, process, modify, convert or treat solid waste or recovered materials so that the resulting product is being used in a productive manner.
- b. The reimbursements shall be from solid waste fee funds and shall not exceed twenty-five percent (25%) of the person's total project costs. No reimbursement may be larger than Twenty Thousand Dollars (\$20,000.00).
- c. Reimbursements ~~must~~ shall be expended in accordance with rules promulgated by the Environmental Quality

Board and criteria established through the Department's annual recycling priorities plan. The Department shall not expend more than Two Hundred Thousand Dollars (\$200,000.00) in each fiscal year for such reimbursements, nor shall the Department reimburse used tire recycling facilities that may be eligible for compensation from the Used Tire Recycling Indemnity Fund.

5. a. The Department, in conjunction with the Corporation Commission, the Oklahoma Energy Resources Board and the Oklahoma Conservation Commission, may develop a plan to use suitable portions of the solid waste stream to reclaim Oklahoma lands damaged by oil and gas exploration and production or by mining activities.
- b. To the extent that funds are available, the Department may use up to ten percent (10%) of the annual income from the fees received pursuant to the provisions of this section to implement the plan. The Department may use its discretion in administering the funds for the purpose of this paragraph, but shall keep records subject to audit by the State Auditor and Inspector for good business practices.
6. a. To the extent that funds are available, after having reasonably met other specified uses of the solid waste fund, the Department is authorized to expend up to five percent (5%) of the total annual solid waste fee income for the purpose of making incentive payments to any person, firm or corporation located in this state generating energy by utilizing solid waste landfill methane or steam produced by a commercial incinerator.
- b. The Environmental Quality Board shall promulgate rules to administer the provisions of this paragraph.
- c. No person, firm or corporation shall be eligible to receive incentive payments as provided in subparagraph a of this paragraph for more than three (3) years. The amount of such payments shall be determined by the

Department based on the amount of energy generated and the cost of production.

D. The provisions of this section shall not apply to landfill disposal sites that receive only ash generated by the burning of coal.

E. On or before September 1 of each year, the Department of Environmental Quality shall prepare a report of income and expenditures for the period of each fiscal year in which solid waste fee monies authorized by this section were received and such report shall be distributed to members of the Solid Waste Management Advisory Council for review. By November 1 of each year, the Council shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Executive Director, Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate its written comments on the comparison of income with program expenditures.

SECTION 69. AMENDATORY 27A O.S. 2021, Section 2-11-401.6, as amended by Section 22, Chapter 282, O.S.L. 2022 (27A O.S. Supp. 2025, Section 2-11-401.6), is amended to read as follows:

Section 2-11-401.6. A. 1. The Oklahoma Tax Commission shall promulgate rules to carry out the provisions of the Oklahoma Used Tire Recycling Act which pertain to the remittance of fees and to the payment of monies accruing to the Used Tire Recycling Indemnity Fund.

2. Upon receipt of any referral from the Department of Environmental Quality, as set out in paragraph 7 of subsection B of this section, it shall be the duty of the Tax Commission to promptly undertake proceedings in accordance with the recommendations of the Department. The Tax Commission shall timely report the results of the proceedings to the Department.

3. On a monthly basis, the Tax Commission shall provide to the Department a report of the fees remitted by each tire dealer and licensed operator pursuant to Section 2-11-401.2 of this title.

B. 1. The Department of Environmental Quality shall prescribe forms, containing documentation as required by the Oklahoma Used

Tire Recycling Act, to be used by a used tire recycling facility, TDF facility, or person, corporation or other legal entity authorized to receive reimbursement.

2. On at least a monthly basis, the Department shall evaluate and process applications and shall report to the Tax Commission compliance and allocation information necessary for the Tax Commission to issue payment of monies from the fund.

3. The Department shall make periodic inspections of applicants for compensation to ensure compliance with the provisions of Section 2-11-401.4 of this title. The Department shall submit a summary of the results of those inspections in an annual report to the office of the State Auditor and Inspector.

4. The Environmental Quality Board shall promulgate rules for the permitting of used tire recycling facilities under the Oklahoma Solid Waste Management Act and for the certification of any entity to receive compensation under the provisions of the Oklahoma Used Tire Recycling Act.

5. The Department shall file a report with the Legislature and the Governor detailing the administration of the Oklahoma Used Tire Recycling Act and its effectiveness in bringing about the cleanup of existing used tire dumps and in preventing the development of new dumps. The first report shall be filed by no later than December 31, 1992. Subsequent reports shall be filed every three (3) years thereafter.

6. In developing the priority cleanup list, the Department shall prioritize those dumps where the landowner was a victim of illegal dumping. Any other tire dump may be placed on the priority cleanup list in cases where the administrative enforcement process has been exhausted, and in such case, the Department may provide for the cleanup of the dump pursuant to Section 2-11-401.7 of this title.

7. The Department shall make periodic inspections of tire dealers and licensed operators throughout this state to ensure compliance with the provisions of Section 2-11-401.2 of this title. Upon a finding of any failure to properly remit the appropriate fee to the Tax Commission, the Department shall give written notice to

the alleged violator and may commence administrative enforcement proceedings or civil proceedings in conformance with the provisions of Sections 2-3-502 and 2-3-504 of this title. If the Department determines that the fee has not been paid and there is no reasonable cause for the nonpayment, the Department may assess a penalty of double the amount that should have been remitted, to be added to the delinquent fee. If the Department determines any tire dealer or licensed operator has demonstrated a flagrant or repeated disregard of the provisions of Section 2-11-401.2 of this title, it shall refer such determination to the Tax Commission.

C. 1. By August 1, 1994, and every even year thereafter, the State Auditor and Inspector shall perform or shall contract with an auditor or auditing company to perform an independent audit, as defined in paragraph 4 of subsection B of Section 212 of Title 74 of the Oklahoma Statutes, of the books, records, files and other such documents of the Tax Commission and the Department pertaining to the administration of the Fund. The audit shall include, but shall not be limited to, a review of agency and claimant compliance with state statutes regarding the Fund, internal control procedures, adequacy of claim process expenditures from and debits of the Fund regarding reimbursements, administration, personnel, operating and other expenses charged by the Tax Commission and Department, and the duties performed in detail by agency personnel and Fund personnel for which payment is made from the Fund. In addition the audit shall include recommendations for improving claim processing, equipment needed for claim processing, internal control, or structure for administering the Fund, and such other areas deemed necessary by the State Auditor and Inspector.

2. The cost of the audit shall be borne by the Fund, pursuant to the limits and provisions of Section 2-11-401.4 of this title.

3. Copies of the audit shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Chairs of the Appropriations Committee of both the Oklahoma House of Representatives and the Oklahoma State Senate utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 70. AMENDATORY 27A O.S. 2021, Section 2-11-607,
is amended to read as follows:

Section 2-11-607. A. The Department of Environmental Quality shall assist in educating consumers about collection and recovery of covered devices. This shall include hosting, or designating another person to host, a web site for consumers about the collection and recovery of covered devices. The web site shall provide information about and links to manufacturers' collection and recovery information, including their recovery plans, and information about and links to information for covered devices, including information about collection events, collection sites, and community recycling programs. Inclusion on such web site is not a determination by the state that the manufacturer's recovery plan or practices are in compliance with this act or other laws.

B. The Department shall maintain and make available:

1. A list of registered manufacturers who have adopted and implemented a recovery plan, as required by this act; and

2. A separate list of manufacturers whose registered recovery plan permits consumers to return for collection and recovery other manufacturers' brands of covered devices, including orphan devices. Manufacturers shall be included on this list of beyond-brand collection plans if such plan:

- a. provides recycling grants or collection events for covered devices other than that manufacturer's covered devices,
- b. requires a consumer who purchases a new covered electronic device from the manufacturer to return another manufacturer's branded covered device, in which case the manufacturer may require the consumer to pay for transportation or shipping, or
- c. provides for use of other collection or recovery methods that are approved by the Department.

C. The Department shall file each recovery plan and annual report submitted by a manufacturer. The Department shall make recovery plans and annual reports available to the public pursuant to the Oklahoma Open Records Act.

D. The Department shall produce a schedule of collection events, based on the manufacturers' submitted recovery plans.

E. The Department shall by July 1 of each year produce and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor, the President Pro Tempore of the Senate, and Speaker of the House of Representatives a summary of the recovery program annual reports filed by the manufacturers.

F. The Department may conduct audits and inspections to determine compliance with the provisions of this act and take enforcement action against any manufacturer, retailer, or recoverer for failure to comply with any provisions of this act.

G. In addition to any other remedies provided by law, the Department may assess a penalty of up to One Thousand Dollars (\$1,000.00) for the first violation, and up to Five Thousand Dollars (\$5,000.00) for the second and each subsequent violation, against any manufacturer who fails to label its covered devices or to adopt and implement a recovery plan as required by this act.

H. The Environmental Quality Board may promulgate rules necessary to implement the provisions of this act, including the adoption of fees pursuant to the provisions of Section 2-3-402 of Title 27A of the Oklahoma Statutes as necessary to cover the costs of administering the program. The Board may adopt by reference standards developed by the Institute of Scrap Recycling Industries, Inc., or other recognized practices, procedures, or standards.

SECTION 71. AMENDATORY 27A O.S. 2021, Section 3-2-106, as amended by Section 1, Chapter 326, O.S.L. 2025 (27A O.S. Supp. 2025, Section 3-2-106), is amended to read as follows:

Section 3-2-106. A. In addition to other powers and duties specified by law and except as otherwise provided by law, the Oklahoma Conservation Commission shall have the power and duty to:

1. Offer the assistance as may be appropriate to the directors of conservation districts in the carrying out of any of their powers and programs and to:

- a. assist and guide districts in the preparation and carrying out of programs for resource conservation authorized under the Conservation District Act,
- b. review district programs,
- c. coordinate the programs of the several districts and resolve any conflicts in such programs, and
- d. facilitate, promote, assist, harmonize, coordinate, and guide the resource conservation programs and activities of districts as they relate to other special purpose districts, counties, and other public agencies;

2. Keep the directors of each of the several districts informed of the activities and experience of all other districts, and facilitate an interchange of advice and experience between the districts and cooperation between them;

3. Enter into contracts and agreements and execute such instruments in the judgment of the Commission as are necessary, beneficial, or convenient toward the exercise of any of the Commission's powers conferred upon it by law. This includes, but is not limited to, creating shared positions, administering statewide programs with districts, and exploring funding sources for conservation programs, practices, and pilot projects;

4. Review agreements, or forms of agreements, proposed to be entered into by districts with other districts or with any state, federal, tribal, interstate, or other public or private agency, organization, or individual, and advise the districts concerning the agreements or forms of agreements;

5. Secure the cooperation and assistance of the United States and any of its agencies, any tribe, agencies of this state, other entities, or individuals in the work of the Commission or districts;

6. Accept donations, grants, gifts and contributions in money, services, or otherwise from the United States or any of its agencies, tribes, the state or any of its agencies, other entities,

or individuals in order to carry out the purposes of the Conservation District Act;

7. Disseminate information throughout the state concerning the activities and programs of the conservation districts and make available information concerning the needs and the work of the conservation districts and Commission to the Governor, the Legislature, executive agencies of the government of this state, political subdivisions of this state, cooperating federal agencies, and the general public;

8. Serve along with conservation districts as the official state agencies for cooperating with the Natural Resources Conservation Service of the United States Department of Agriculture and carrying on conservation operations within the boundaries of conservation districts;

9. Cooperate with and give such assistance as it deems necessary and proper to conservancy districts, watershed associations, and other special purpose districts in the State of Oklahoma for the purpose of cooperating with the United States through the Secretary of Agriculture in the furtherance of conservation pursuant to the provisions of the Federal Watershed Protection and Flood Prevention Act, as amended;

10. Recommend the inclusion in annual and longer-term budgets and appropriation legislation of the State of Oklahoma of funds necessary for appropriation by the Legislature to finance the activities of the Commission and the conservation districts and to:

- a. administer the provisions of the Conservation District Act hereafter enacted by the Legislature appropriating funds for expenditure in connection with the activities of conservation districts,
- b. distribute to conservation districts funds, equipment, supplies, and services received by the Commission for that purpose from any source, subject to such conditions as shall be made applicable thereto in any state or federal statute or local ordinance making available such funds, property, or services,

- c. issue guidelines and suitable controls to govern the use by conservation districts of funds, property, and services, and
- d. review all budgets, administrative procedures, and operations of such districts and advise the districts concerning their conformance with applicable laws and regulations;

11. Enlist the cooperation and collaboration of state, federal, tribal, regional, interstate, local, public, and private agencies with the conservation districts and facilitate arrangements under which the conservation districts may serve county governing bodies and other agencies as their local operating agencies in the administration of any activity concerned with the conservation of renewable natural resources;

12. Pursuant to procedures developed mutually by the Commission and federal, tribal, state, and local agencies that are authorized to plan or administer activities significantly affecting the conservation of renewable natural resources, receive from these agencies for review and comment suitable descriptions of their plans, programs, and activities for purposes of coordination with district conservation programs and to arrange for and participate in conferences necessary to avoid conflict among plans and programs, to call attention to omissions, and to avoid duplication of effort;

13. Compile information and make studies, summaries, and analyses of district programs in relation to each other and to other resource conservation programs on a statewide basis;

14. Except as otherwise assigned by law, carry out the policies of this state in programs at the state level for the conservation of the renewable natural resources of this state and represent the state in matters affecting such resources;

15. Assist conservation districts in obtaining legal services from state and local legal officers;

16. Require annual reports from conservation districts, the form and content of which shall be developed by the Commission in consultation with the district directors;

17. Establish by rules, with the assistance and advice of the State Auditor and Inspector, adequate and reasonably uniform accounting and auditing procedures that shall be used by conservation districts;

18. Conduct workshops for district directors to instruct them on the subjects of district finances, the Conservation District Law and related laws, and their duties and responsibilities as directors;

19. Assist and supervise districts in carrying out their responsibilities in accordance with Oklahoma laws;

20. Have power, by administrative order, upon the written request of the board of directors of the conservation district or districts involved, with a showing that such request has been approved by a majority vote of the members of each of the boards involved, to:

- a. transfer lands and assign easements from one district established under the provisions of the Conservation District Act to another,
- b. divide a single district into two or more districts, each of which shall thereafter operate as a separate district under the provisions of the Conservation District Act, and
- c. consolidate two or more districts established under the provisions of the Conservation District Act, which consolidated area shall operate thereafter as a single district under the provisions of the Conservation District Act;

21. Except as otherwise provided by law, act as the management agency having jurisdiction over and responsibility for directing nonpoint source pollution prevention programs outside the jurisdiction or control of cities or towns in Oklahoma. The Commission, otherwise, shall be responsible for all identified nonpoint source categories except silviculture, urban stormwater runoff and industrial runoff;

22. Establish and maintain an Equipment Revolving Fund for the purpose of loaning conservation districts funds to purchase equipment to be used for the installation of conservation practices. The fund shall consist of all monies appropriated to, deposited in or credited to the fund;

23. Administer cost-share programs to carry out conservation or best management practices on the land to benefit the public through the prevention or reduction of soil erosion and nonpoint source pollution and general resource management. The Commission is not authorized to implement mandatory compliance with management practices, except as otherwise provided by law, to abate agricultural nonpoint source pollution;

24. Plan watershed-based nonpoint source pollution control activities, including the development and implementation of conservation plans for the improvement and protection of the resources of the state;

25. Assist the Oklahoma Water Resources Board on lake projects through stream and river monitoring, assessing watershed activities impacting lake water quality, and assisting in the development of a watershed management plan;

26. Maintain the activities of the state's nonpoint source working group;

27. Prepare, revise, and review Oklahoma's nonpoint source management program and nonpoint source assessment report in coordination with other state environmental agencies and compile a comprehensive assessment for the state every five (5) years. The management program and assessment report shall be electronically distributed to the Governor, Secretary of Energy and Environment, the President Pro Tempore of the Oklahoma State Senate, and the Speaker of the Oklahoma House of Representatives utilizing the centralized filing system provided for in Section 378 of this act;

28. Under the direction of the Office of the Secretary of Energy and Environment, develop and implement the state's nonpoint source water quality monitoring strategy in coordination with other environmental agencies;

29. Monitor, evaluate, and assess the waters of the state to determine the condition of streams and rivers impacted by nonpoint source pollution. In carrying out this area of responsibility, the Conservation Commission shall serve as the technical lead agency for nonpoint source pollution categories as defined in Section 319 of the Federal Clean Water Act or other subsequent federal or state nonpoint source programs;

30. Administer the Blue Thumb Program;

31. Enter into agreements or contracts for services with any of the substate planning districts recognized by the Oklahoma Department of Commerce;

32. Cooperate with the federal government, or any agency thereof, to participate in and coordinate with federal programs that will yield additional federal funds to the state for programs within the jurisdiction of the Conservation Commission. This participation shall be subject to the availability of state funds;

33. Implement pilot projects and programs, subject to the availability of funds, that will demonstrate the latest technologies and applications in conservation programs that may provide direct or residual benefits to conservation practices in the state; and

34. Promulgate rules necessary, expedient, or appropriate to carry out the purposes, objectives, or provisions or appropriate to the performance of the Conservation District Act and the Oklahoma Carbon Sequestration Enhancement Act and:

- a. may establish and collect fees for services provided pursuant to the Conservation District Act and the Oklahoma Carbon Sequestration Enhancement Act, including any services for the certification or verification of sustainable agricultural production practices, including but not limited to, the Natural Resources Conservation Service Soil Condition Index, and
- b. shall promulgate all rules establishing fees in accordance with the Administrative Procedures Act,

which fees shall be fair and equitable to all parties concerned.

B. Nothing in this act shall take away any of the present duties or responsibilities delegated by law or constitution to other environmental agencies.

SECTION 72. AMENDATORY 27A O.S. 2021, Section 3-2-107, is amended to read as follows:

Section 3-2-107. A. The Conservation Commission may establish and maintain an environmental and natural resources geographic data base system. Such system shall include but not be limited to pollution complaints filed with the state environmental agencies and state agencies with limited environmental responsibilities, resolutions of complaints and such other data as funds become available and as may be desirable and necessary to provide public access to specific site information.

B. Not more than once each month, each state environmental agency and state agency with limited environmental responsibilities shall submit to the Conservation Commission a report listing the environmental pollution complaints received during the previous month. The report shall include the name of the complainant, if known, the address of the complainant, the location involved in the complaint, the name of the person or company and address thereof alleged to be responsible for the pollution and how the complaint was resolved. The report shall be in such form and made in such manner as is required by the Commission. The report shall be in writing or may be submitted in electronic data or machine-readable form at the discretion of the Commission.

C. The Commission shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor containing the total number of pollution complaints filed, the total number of complaints and type of complaints addressed by each state environmental agency, the total number of such complaints resolved, the total number of complaints remaining to be resolved, the average time frame for resolving such complaints, and the historical comparison of complaint resolution in previous years, and

any other information which the Commission believes is pertinent in regard to pollution complaints.

D. The Conservation Commission may recover costs incurred in duplicating any reports made pursuant to the provisions of this section.

E. The Department of Environmental Quality shall routinely provide the Conservation Commission with a list of permit approvals for inclusion in the Commission's data base.

SECTION 73. AMENDATORY 27A O.S. 2021, Section 3-2-108, is amended to read as follows:

Section 3-2-108. A. The Commission is hereby given exclusive jurisdiction to prepare a Wetlands Management Strategy for the State of Oklahoma. The Strategy shall:

1. Define wetlands;
2. Enumerate their beneficial uses;
3. Identify and inventory wetlands within this state;
4. Recommend measures to mitigate losses of wetlands;
5. Provide measures to protect wetlands; and
6. Define standards for critical wetlands and measures to ensure protection of property rights of landowners.

B. Upon completion, the Conservation Commission is to forward the Wetlands Management Strategy for the State of Oklahoma and to, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit ~~said~~ such Strategy to the President Pro Tempore of the Oklahoma Senate, the Speaker of the Oklahoma House of Representatives, and to the Secretary of the Environment or successor secretary position.

SECTION 74. AMENDATORY 29 O.S. 2021, Section 3-103, as amended by Section 1, Chapter 6, O.S.L. 2024 (29 O.S. Supp. 2025, Section 3-103), is amended to read as follows:

Section 3-103. A. The Oklahoma Wildlife Conservation Commission shall constitute an advisory, administrative, and policymaking board for the protection, restoration, perpetuation, conservation, supervision, maintenance, enhancement, and management of wildlife in this state as provided in the Oklahoma Wildlife Conservation Code.

B. The Director shall consult with the Commission regarding the administration of the affairs of the Department of Wildlife Conservation. The Commission is authorized and empowered to require from the Director complete reports and information relative to the affairs of the Department at the time and in the manner the Commission may deem advisable.

C. The Commission shall meet in regular session at least nine times per year not to exceed one meeting per month with not more than two consecutive calendar months between meetings and in special sessions as may be called by the Chair or a majority of the Commission. The Commission may hold any regular or special session at any location within this state. Should a location be chosen other than Commission headquarters in Oklahoma City for a regular or special meeting, notice shall be posted at Commission headquarters in Oklahoma City and advertised in the local newspaper of the city in which the meeting is to be held, at least one time during each of the two (2) weeks prior to the meeting. The advertisements shall include time, date, and address of location of the meeting.

D. In addition to the other powers and duties prescribed by law, the Commission shall:

1. Institute an affirmative action plan for hiring women and minorities throughout the agency;

2. Elect a chair, vice chair, and secretary, who shall perform the duties required of them by statutes, rules of the Commission, and the Constitution of the State of Oklahoma. The chair, vice chair, and secretary shall receive no extra compensation;

3. Appoint a Director, and determine the qualifications of the Director and all assistants and employees. A Commissioner shall not be eligible for employment in any position within the Department;

4. Prescribe rules and policies for the transaction of its business and the control of the Department;

5. Develop and implement a plan to provide step raises for Commission employees so that discrepancies of pay levels within a pay grade are eliminated;

6. Acquire by purchase, lease, gift, or devise, waters, real property, and personal property incident to the exercise of its functions and to maintain, operate, and dispose of the same;

7. Acquire real property by condemnation only when the Attorney General or other counsel deems it an appropriate means of clearing title from willing or unavailable sellers;

8. Supervise the establishment, extension, improvement, and operation of the wildlife refuges, propagation areas or stations, public hunting areas, public fishing areas, game management areas, and fish hatcheries;

9. Prescribe the manner of cooperation with the Oklahoma Tourism and Recreation Department, colleges and universities within the state, other state agencies, any agency of the federal government, and any city, town, school district, or any other agency or organization in study of conservation and propagation of wildlife and in the establishment, maintenance, and operation of visual educational facilities, recreational facilities, and hunting and fishing facilities, in the study and propagation of wildlife;

10. Supervise the letting of all contracts and purchases for the Department, with all purchases of personal property to be made through the Office of Management and Enterprise Services;

11. Authorize all claims or expenditures prior to incurring payment except as otherwise provided in this Code;

12. Prescribe rules on the use of Department-owned vehicles by the Director, department heads and other essential employees as the Commission deems necessary in order to perform their duties;

13. Prescribe rules for the sale of all regular or special licenses;

14. Publicize and encourage the conservation and appreciation of wildlife and all other natural resources;

15. Regulate the seasons and harvest of wildlife;

16. Promulgate rules to sell fishing and hunting licenses via the Internet;

17. Annually report, by electronic submission utilizing the centralized filing system provided for in Section 378 of this act, to the Governor and the Legislature on the complete operation, activities, and plans of the Department, together with such recommendations for future activities as the Commission may deem to be in the best interest of the state; and

18. Provide the Governor and the Legislature with an annual inventory of all property and equipment.

E. Five (5) years after the effective date of this act, and every five (5) years thereafter, the Commission shall prepare a report for the Legislature with proposed licensing fees based on the latest Consumer Price Index year-to-date percent change release as of the date of the annual average county wage data release from the Bureau of Economic Analysis of the U.S. Department of Commerce for Legislature approval or rejection.

SECTION 75. AMENDATORY 29 O.S. 2021, Section 3-306, is amended to read as follows:

Section 3-306. A. There is hereby created an Oklahoma Wildlife Conservation Department Retirement Fund for the purpose of providing revenues for any retirement plan adopted by the Commission for the employees of the Department.

B. The method of calculation of benefits shall be the same for all employees covered under any plan adopted pursuant to this section.

C. No retirement plan adopted pursuant to this section shall pay any benefits or vest any benefits based on years of service credit related to years a plan member did not work or provide other public service.

D. The Oklahoma Department of Wildlife Conservation shall compile a quarterly financial report of all the funds of the Oklahoma Wildlife Conservation Department Retirement Fund on a fiscal year basis. The report shall be compiled pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall include several relevant measures of investment value, including acquisition cost and current fair market value with appropriate summaries of total holdings and returns. The report shall contain combined and individual rate of returns of the investment managers by category of investment, over periods of time. The Department shall include in the quarterly reports all commissions, fees or payments for investment services performed on behalf of the Department. The report shall be electronically distributed to the Governor, the Oklahoma State Pension Commission, the Legislative Service Bureau, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

E. Except as otherwise provided by this section, the right of a person to an annuity or a retirement allowance, to the return of contributions, annuity, or retirement allowance itself, any optional benefit, or any other right accrued or accruing to any person under the provisions of this section, the monies in the Oklahoma Wildlife Conservation Department Retirement Fund, are hereby exempt from levy and sale, garnishment, attachment or any other process whatsoever, and shall be unassignable except as in this section specifically provided.

F. 1. The provisions of subsection E of this section shall not apply to a qualified domestic order as provided pursuant to this subsection.

2. The term "qualified domestic order" means an order issued by a district court of this state, pursuant to the domestic relations laws of the State of Oklahoma, which relates to the provision of marital property rights to a spouse or former spouse of a member of

any retirement fund created pursuant to subsection A of this section, or to the provision of support for a minor child or children, and which creates or recognizes the existence of the right of an alternate payee, or assigns to an alternate payee the right, to receive a portion of the benefits payable with respect to a member and amounts payable to a plan participant of any retirement plan created pursuant to subsection A of this section.

3. For purposes of the payment of marital property, to qualify as an alternate payee, a spouse or former spouse ~~must~~ shall have been married to the related member for a period of not less than thirty (30) continuous months immediately preceding the commencement of the proceedings from which the qualified domestic order issues.

4. A qualified domestic order is valid and binding on the Commission or the entity responsible for the Retirement Fund and the related member only if it meets the requirements of this subsection.

5. A qualified domestic order shall clearly specify:

- a. the name and last-known mailing address, if any, of the member and the name and mailing address of the alternate payee covered by the order,
- b. the amount or percentage of the member's benefits to be paid by the Commission or the entity responsible for the Retirement Fund to the alternate payee,
- c. the number of payments or period to which such order applies,
- d. the characterization of the benefit as to marital property rights or child support, and
- e. each plan to which such order applies.

6. A qualified domestic order meets the requirements of this subsection only if such order:

- a. does not require the Commission or the entity responsible for the Retirement Fund to provide any type or form of benefit, or any option not otherwise

provided under state law as relates to the retirement plan,

- b. does not require the Commission or the entity responsible for the Retirement Fund to provide increased benefits, and
- c. does not require the payment of benefits to an alternate payee which are required to be paid to another alternate payee pursuant to another order previously determined to be a qualified domestic order or an order recognized by the retirement plan as a valid order prior to the effective date of this section.

7. A qualified domestic order shall not require payment of benefits to an alternate payee prior to the actual retirement date or withdrawal of the related member.

8. The obligation of the Commission or the entity responsible for the Retirement Fund to pay an alternate payee pursuant to a qualified domestic order shall cease upon the death of the related member.

9. This subsection shall not be subject to the provisions of the Employee Retirement Income Security Act of 1974 (ERISA), 29 U.S.C.A., Section 1001 et seq., as amended from time to time, or rules promulgated thereunder, and court cases interpreting said act.

10. The Oklahoma Wildlife Conservation Commission shall promulgate such rules as are necessary to implement the provisions of this subsection.

11. An alternate payee who has acquired beneficiary rights pursuant to a valid qualified domestic order shall fully comply with all provisions of the rules promulgated by the Commission pursuant to this section in order to continue receiving benefits.

SECTION 76. AMENDATORY 36 O.S. 2021, Section 312.1, is amended to read as follows:

Section 312.1. A. For the fiscal year ending June 30, 2004, the Insurance Commissioner shall report and disburse one hundred percent (100%) of the fees and taxes collected under Section 624 of this title to the State Treasurer to be deposited to the credit of the Education Reform Revolving Fund of the State Department of Education. The Insurance Commissioner shall keep an accurate record of all such funds and make an itemized statement and furnish same to the State Auditor and Inspector, as to all other departments of this state. The report shall be accompanied by an affidavit of the Insurance Commissioner or the Chief Clerk of such office certifying to the correctness thereof.

B. The Insurance Commissioner shall apportion an amount of the taxes and fees received from Section 624 of this title, which shall be at least One Million Two Hundred Fifty Thousand Dollars (\$1,250,000.00) each year, but which shall also be computed on an annual basis by the Commissioner as the amount of insurance premium tax revenue loss attributable to the provisions of subsection H of Section 625.1 of this title and increased if necessary to reflect the annual computation, and which shall be apportioned before any other amounts, as follows:

1. The following amounts shall be paid to the Oklahoma Firefighters Pension and Retirement Fund in the manner provided for in Sections 49-119, 49-120 and 49-123 of Title 11 of the Oklahoma Statutes:

Fiscal Year	Amount
FY 2006 through FY 2020	65.0%
FY 2021 as follows:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	65.0%
b. for the month beginning September 1, 2020, through the month ending June 30, 2021	45.5%
FY 2022 and each fiscal year thereafter	65.0%;

2. The following amounts shall be paid to the Oklahoma Police Pension and Retirement System pursuant to the provisions of Sections 50-101 through 50-136 of Title 11 of the Oklahoma Statutes:

Fiscal Year	Amount
FY 2006 through FY 2020	26.0%
FY 2021 as follows:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	26.0%
b. for the month beginning September 1, 2020, through the month ending June 30, 2021	18.2%
FY 2022 and each fiscal year thereafter	26.0%;

3. The following amounts shall be paid to the Law Enforcement Retirement Fund:

Fiscal Year	Amount
FY 2006 through FY 2020	9.0%
FY 2021 as follows:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	9.0%
b. for the month beginning September 1, 2020, through the month ending June 30, 2021	6.3%
FY 2022 and each fiscal year thereafter	9.0%; and

4. The following amounts shall be paid to the Education Reform Revolving Fund of the State Department of Education:

Fiscal Year

Amount

FY 2021 as follows:

for the month beginning September 1, 2020, through the month ending June 30, 2021	30.0%.
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C. After the apportionment required by subsection B of this section, for the fiscal years beginning July 1, 2004, and ending June 30, 2009, the Insurance Commissioner shall report and disburse all of the fees and taxes collected under Section 624 of this title and Section 2204 of this title, and the same are hereby apportioned as follows:

1. Thirty-four percent (34%) of the taxes collected on premiums shall be allocated and disbursed for the Oklahoma Firefighters Pension and Retirement Fund, in the manner provided for in Sections 49-119, 49-120 and 49-123 of Title 11 of the Oklahoma Statutes;

2. Seventeen percent (17%) of the taxes collected on premiums shall be allocated and disbursed to the Oklahoma Police Pension and Retirement System pursuant to the provisions of Sections 50-101 through 50-136 of Title 11 of the Oklahoma Statutes;

3. Six and one-tenth percent (6.1%) of the taxes collected on premiums shall be allocated and disbursed to the Law Enforcement Retirement Fund; and

4. All the balance and remainder of the taxes and fees provided in Section 624 of this title shall be paid to the State Treasurer to the credit of the General Revenue Fund of the state to provide revenue for general functions of state government. The Insurance Commissioner shall keep an accurate record of all such funds and make an itemized statement and furnish same to the State Auditor and Inspector, as to all other departments of this state. The report shall be accompanied by an affidavit of the Insurance Commissioner or the Chief Clerk of such office certifying to the correctness thereof.

D. After the apportionment required by subsection B of this section, the Insurance Commissioner shall report and disburse all of the fees and taxes collected under Section 624 of this title and Section 2204 of this title, and the same are hereby apportioned as follows:

1. Of the taxes collected on premiums the following shall be allocated and disbursed for the Oklahoma Firefighters Pension and Retirement Fund, in the manner provided for in Sections 49-119, 49-120 and 49-123 of Title 11 of the Oklahoma Statutes:

Fiscal Year	Amount
FY 2006 through FY 2020	36.0%
FY 2021 as follows:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	36.0%
b. for the month beginning September 1, 2020, through the month ending June 30, 2021	25.2%
FY 2022	36.0%
FY 2023 through FY 2027	37.8%
FY 2028 and each fiscal year thereafter	36.0%;

2. Of the taxes collected on premiums the following shall be allocated and disbursed to the Oklahoma Police Pension and Retirement System pursuant to the provisions of Sections 50-101 through 50-136 of Title 11 of the Oklahoma Statutes:

Fiscal Year	Amount
FY 2006 through FY 2020	14.0%
FY 2021 as follows:	

- a. for the month beginning July 1,
2020, through the month ending
August 31, 2020 14.0%
- b. for the month beginning September
1, 2020, through the month ending
June 30, 2021 9.8%

FY 2022 14.0%

FY 2023 through FY 2027 14.7%

FY 2028 and each fiscal year thereafter 14.0%;

3. Of the taxes collected on premiums the following shall be allocated and disbursed to the Law Enforcement Retirement Fund:

Fiscal Year	Amount
FY 2006 through FY 2020	5.0%

FY 2021 as follows:

- a. for the month beginning July 1,
2020, through the month ending
August 31, 2020 5.0%
- b. for the month beginning September
1, 2020, through the month ending
June 30, 2021 3.5%

FY 2022 5.0%

FY 2023 through FY 2027 5.25%

FY 2028 and each fiscal year thereafter 5.0%;

4. The following amounts shall be paid to the Education Reform Revolving Fund of the State Department of Education:

Fiscal Year	Amount
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FY 2021 as follows:

for the month beginning September 1,
2020, through the month ending June 30,
2021 16.5%;

5. In addition to the allocations made pursuant to paragraphs 1, 2 and 3 of this subsection, of the taxes collected on premiums the following amounts shall be allocated and disbursed annually for FY 2023 through FY 2027:

- a. Forty Thousand Six Hundred Twenty-five Dollars (\$40,625.00) to the Oklahoma Firefighters Pension and Retirement Fund,
- b. Sixteen Thousand Two Hundred Fifty Dollars (\$16,250.00) to the Oklahoma Police Pension and Retirement System, and
- c. Five Thousand Six Hundred Twenty-five Dollars (\$5,625.00) to the Oklahoma Law Enforcement Retirement Fund; and

6. All the balance and remainder of the taxes and fees provided in Section 624 of this title shall be paid to the State Treasurer to the credit of the General Revenue Fund of the state to provide revenue for general functions of state government. The Insurance Commissioner shall keep an accurate record of all such funds and make an itemized statement and furnish same to the State Auditor and Inspector, as to all other departments of this state. The report shall be accompanied by an affidavit of the Insurance Commissioner or the Chief Clerk of such office certifying to the correctness thereof.

E. The disbursements provided for in subsections A, B, C and D of this section shall be made monthly. The Insurance Commissioner shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report annually to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the State Auditor and Inspector, the amounts collected and disbursed pursuant to this section.

F. Notwithstanding any other provision of law to the contrary, no tax credit authorized by law enacted on or after July 1, 2008, which may be used to reduce any insurance premium tax liability shall be used to reduce the amount of insurance premium tax revenue apportioned to the Oklahoma Firefighters Pension and Retirement System, the Oklahoma Police Pension and Retirement System, the Oklahoma Law Enforcement Retirement System, or the Education Reform Revolving Fund.

SECTION 77. AMENDATORY 36 O.S. 2021, Section 924.2, is amended to read as follows:

Section 924.2. A. Any rate, schedule of rates or rating plan for workers' compensation insurance submitted to or filed with the Insurance Commissioner, or fixed by the Board of Directors of CompSource Mutual Insurance Company, and premiums, by whatever name, for workers' compensation for self-insureds except for group self-insured associations shall provide for an appropriate reduction in premium charges, by whatever name, for those eligible insured employers who have successfully participated in the occupational safety and health consultation, education and training program administered by the Commissioner of the Department of Labor pursuant to Section 414 of Title 40 of the Oklahoma Statutes.

B. All insurance companies writing workers' compensation insurance in this state and all self-insureds providing workers' compensation insurance except for group self-insured associations, shall allow an appropriate reduction in premium charges to all eligible employers who qualify for the reduction pursuant to the provisions of this section.

C. Eligible employers shall be those employers:

1. Who are insured by an insurance company writing workers' compensation insurance in this state; or

2. Who are self-insured.

D. In order to qualify for the reduction in workers' compensation insurance premium, an employer shall successfully participate annually in the occupational safety and health

consultation, education and training program administered by the Department of Labor. Successful participation shall be defined as:

1. Undergoing a safety and health hazard survey of the workplace, including an evaluation of the employer's safety and health program and onsite interviews with employees by the Department's consultant;
2. Correcting all hazards identified during the onsite visit within a reasonable period of time as established by the Department;
3. Establishing an effective workplace safety and health program and implementing program provisions within a reasonable period of time as established by the Department. The program shall include:
 - a. demonstration of management commitment to worker safety and health,
 - b. procedures for identifying and controlling workplace hazards,
 - c. development and communication of safety plans, rules and work procedures, and
 - d. training for supervisors and employees in safe and healthful work practices;
4. Reducing by one-third (1/3) or more the extent to which the lost workday case rate, as measured by the Department of Labor, was above the national average for the industry at the time the employer elected to participate in the occupational safety and health consultation, education and training program, or maintaining a rate at or below the national average for the industry; and
5. Documenting a reduction in workers' compensation claims for the preceding year by showing one of the following:
 - a. a ten percent (10%) reduction in the dollar amount of claims,

- b. a ten percent (10%) reduction in the severity of claims, or
- c. no reported claims,

as a result of attending the occupational safety and health consultation, education and training program administered by the Department of Labor.

E. 1. Upon successful participation in the occupational safety and health consultation, education and training program as defined in subsection D of this section, an employer shall be issued a certificate by the Commissioner of the Department of Labor which shall be the basis of qualification for the reduction in workers' compensation insurance premium, by whatever name. The certificate shall qualify the employer for a premium reduction for a one-year period.

2. Upon issuance of a certificate to an employer, the Commissioner of the Department of Labor shall mail a copy of the certificate to the employer's insurer. Any insurer required by this section to allow an appropriate reduction in premium charges to a qualified employer which willfully fails to allow such reduction after receiving a copy of the certificate shall be subject, after notice and hearing, to an administrative fine, imposed by the Insurance Commissioner, which shall be not less than Ten Thousand Dollars (\$10,000.00) or three times the amount of the premium reduction, whichever is greater. The Insurance Commissioner shall promulgate rules necessary to carry out the provisions of this paragraph.

F. The Insurance Commissioner and the Administrator of the Workers' Compensation Court shall maintain records documenting reductions in workers' compensation insurance premiums granted pursuant to this section and shall ~~make~~, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report of such reductions to the President Pro Tempore of the Senate and the Speaker of the House of Representatives by May 1 of each year. Insurers shall report such premium reductions in their annual statement.

SECTION 78. AMENDATORY 40 O.S. 2021, Section 6-204, as amended by Section 6, Chapter 346, O.S.L. 2023 (40 O.S. Supp. 2025, Section 6-204), is amended to read as follows:

Section 6-204. TECHNOLOGY REINVESTMENT APPORTIONMENT.

A. 1. For the period beginning January 1, 2023, and ending December 31, 2027, each employer subject to the provisions of Sections 3-109, 3-110.1, and 3-113 of this title shall be required to pay an OESC Technology Reinvestment Apportionment equal to five percent (5%) of the unemployment taxes that would be owed to the Oklahoma Employment Security Commission before any rate reduction is made pursuant to Section 3-109.3 of this title. This apportionment shall be in addition to any contribution which that employer is required to make pursuant to the provisions of the Employment Security Act of 1980.

2. The apportionment provided for in this section shall not be considered part of any unemployment taxes required of an individual employer pursuant to the Employment Security Act of 1980, nor shall it be considered for purposes of determining the individual employer's tax rate.

B. Employers assigned a tax rate pursuant to Section 3-110.1 of this title shall pay an OESC Technology Reinvestment Apportionment equal to the rate reduction granted them pursuant to Section 3-109.3 of this title.

C. Employers making payments in lieu of contributions pursuant to Sections 3-702, 3-705, and 3-806 of this title shall be exempt from the provisions of this section.

D. The apportionment shall be made and collected by the Oklahoma Employment Security Commission for deposit, on a monthly basis, to the credit of the OESC Technology Fund. Provided, all monies received by the Oklahoma Employment Security Commission for the account of the OESC Technology Fund, upon receipt, shall be deposited in a clearance account.

E. The Oklahoma Employment Security Commission shall promulgate such rules as may be necessary to implement the provisions of Sections 3-109.3 and 6-201 through 6-205 of this title.

F. The Oklahoma Employment Security Commission shall create an annual report detailing the collection of the apportionment funds and the expenditures from the OESC Technology Fund. The report shall be filed on or before March 31 of each year following the effective date of this act. The report shall be electronically filed with the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the State Treasurer, the State Auditor and Inspector, and the Director of the Office of Management and Enterprise Services utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 79. AMENDATORY Section 5, Chapter 361, O.S.L. 2023, as amended by Section 1, Chapter 408, O.S.L. 2025 (40 O.S. Supp. 2025, Section 904), is amended to read as follows:

Section 904. The Oklahoma Workforce Commission shall have the following powers, duties, and responsibilities:

1. To administer the provisions of the Oklahoma Workforce Transformation Act or any duty as directed by statute;
2. To establish an office for the Commission within this state;
3. To elect whatever other officers may be necessary to direct operations of the Commission;
4. To employ or contract for personnel and administrative support as the Commission deems appropriate to carry out the purpose and provisions of the Oklahoma Workforce Transformation Act, including, but not limited to, a nonprofit corporation to carry out the Commission's objectives, an executive director or other chief executive officer, and any other employees or contractors the Commission deems appropriate, and to prescribe their duties and fix their compensation;
5. To administer the Workforce Coordination Revolving Fund created in Section 255.4 of Title 62 of the Oklahoma Statutes;
6. To administer the Oklahoma Workforce Commission Revolving Fund created in Section 3 of this act;

7. To approve or disapprove the budget of the Commission;

8. To promulgate rules to carry out the provisions of the Oklahoma Workforce Transformation Act;

9. To enter into contracts or agreements for studies, professional services, grant administration and procurement, research projects, supplies, or any other services the Commission deems necessary to carry out its purpose, and to incur those expenses necessary to carry out those purposes;

10. To cooperate with any private, local, state, or national commission, organization, agency, or group and to make contracts and agreements for joint programs beneficial to Oklahoma's workforce development efforts;

11. To accept donations, grants, contributions, and gifts from any public or private source and deposit such in the Oklahoma Workforce Commission Revolving Fund, created in Section 3 of this act;

12. To oversee and direct to the extent permitted by law the activities and administration of the Governor's Council for Workforce and Economic Development, including, but not limited to, the creation and submission of state plans to the federal government pursuant to the provisions of the Workforce Innovation and Opportunity Act;

13. To collect data from federal, state, and local agencies, departments, educational institutions, boards, commissions, or any other entities including, but not limited to:

- a. number of participants in workforce development programming,
- b. cost per participant,
- c. wages before and after participation in programs,
- d. degree or certificate conferred on each participant,
- e. number of jobs open needing degrees or certificates,

- f. labor force and economic information, and
- g. any other information the Commission deems appropriate to guide funding decisions, facilitate its work or the work of workforce development entities in the state, or to understand the impact of the state's workforce efforts and programming;

14. To create and maintain a public dashboard and create reports with data concerning workforce development efforts in the state. All state and local agencies, departments, educational institutions, boards, commissions, and other public entities shall cooperate with information and data requests from the Commission or its designees. The Oklahoma Workforce Commission shall serve as the centralized data and information repository for workforce development activities for the state;

15. To make recommendations to the Legislature to improve workforce development programs in the state. Such recommendations shall be submitted electronically utilizing the centralized filing system provided for in Section 378 of this act;

16. To implement programs designed to expand workforce development; and

17. To work with, use and provide data the legislatively created map developed to help make decisions on economic development and workforce needs in the state.

SECTION 80. AMENDATORY 43 O.S. 2021, Section 107.2, is amended to read as follows:

Section 107.2. A. Except as provided in subsection B of this section, in all actions for divorce, separate maintenance, guardianship, paternity, custody or visitation, including modifications or enforcements of a prior court order, where the interest of a child under eighteen (18) years of age is involved, the court may require all adult parties to attend an educational program concerning, as appropriate, the impact of separate parenting and coparenting on children, the implications for visitation and conflict management, development of children, separate financial

responsibility for children and such other instruction as deemed necessary by the court. The program shall be educational in nature and not designed for individual therapy.

B. In actions for divorce based upon incompatibility filed on or after November 1, 2014, where the interest of a child under eighteen (18) years of age is involved, the adult parties shall attend, either separately or together, an educational program concerning the impact of divorce on children. The program shall include the following components:

1. Short-term and longitudinal effects of divorce on child well-being;
2. Reconciliation as an optional outcome;
3. Effects of family violence;
4. Potential child behaviors and emotional states during and after divorce including information on how to respond to the child's needs;
5. Communication strategies to reduce conflict and facilitate cooperative coparenting; and
6. Area resources, including but not limited to nonprofit organizations or religious entities available to address issues of substance abuse or other addictions, family violence, behavioral health, individual and couples counseling, and financial planning.

Program attendees shall be required to pay a fee of not less than Ten Dollars (\$10.00) and not more than Sixty Dollars (\$60.00) to the program provider to offset the costs of the program. The fee may be waived by the court if an attendee uses a qualified program that is provided free of charge. Nothing in this paragraph shall prohibit a third party from paying the fee to the program provider for an attendee. A certificate of completion shall be issued upon satisfying the attendance and fee requirements of the program, and the certificate of completion shall be filed with the court. The program provider shall carry general liability insurance and maintain an accurate accounting of all business transactions and funds received in relation to the program. The program shall be

completed prior to the temporary order or within forty-five (45) days of receiving a temporary order. However, and in all events, a final disposition of child custody shall not be granted until the parties complete the program required by this subsection. The court may waive attendance of the program for good cause shown which shall include, but not be limited to, where domestic violence, stalking or harassment as defined by paragraph 2 of subsection I of Section 109 of this title occurred during the marriage.

C. Each judicial district may adopt its own local rules governing the programs.

D. The Administrative Office of the Courts may enter into a memorandum of understanding with a state entity or other organization in order to compile data including but not limited to the number of actions for divorce that were dismissed after participating in the program, the number of programs that were completed and the number of program participants for each fiscal year. The report shall include data collected from each judicial district. The report shall be published on the Administrative Office of the Courts website and electronically distributed to the Governor, Speaker of the House of Representatives, Minority Leader of the House of Representatives, President Pro Tempore of the Senate, and Minority Leader of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 81. AMENDATORY 43A O.S. 2021, Section 2-205, is amended to read as follows:

Section 2-205. The Department of Mental Health and Substance Abuse Services is hereby directed to employ one or more internal auditors to establish and perform an effective and comprehensive internal audit program. Such program shall include, but not be limited to, reviews of accounting procedures, internal control, financial management and compliance with laws, regulations, policies and executive and legislative directives for the Department's administrative offices, institutions, community mental health centers, and contractors. Internal audit final reports shall be made available to the Governor, the State Auditor and Inspector, the Legislative Service Bureau, the Board of Mental Health and Substance Abuse Services, and the Commissioner of Mental Health and Substance

Abuse Services by electronic submission utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 82. AMENDATORY Section 4, Chapter 201, O.S.L. 2023, as amended by Section 1, Chapter 230, O.S.L. 2025 (43A O.S. Supp. 2025, Section 2-312.4), is amended to read as follows:

Section 2-312.4. A. Subject to availability of funds under Section 2-312.1 of this title, the Department of Mental Health and Substance Abuse Services shall annually issue a request for proposals by which county governments or multi-county partnerships may apply for funds for the development and implementation of evidence-based:

1. Mental health and substance abuse treatment programs or other health care programs provided in the community;
2. Pretrial diversion programs, mental health, and substance use jail intake screenings, or jail reentry programs;
3. Employment programs;
4. Education programs; or
5. Housing programs.

B. The request for proposals shall include, but not be limited to, the proposed services, number of individuals to be served by the proposed services or programs, and the manner in which the services or programs will partner with or be supported by local Department-contracted or -certified entities.

C. For a proposal to be considered, the applying county government or multi-county partnership ~~must~~ shall submit all necessary documents to meet the requirements outlined in the request for proposals.

D. The number of awards and funding amounts of each award shall be at the discretion of the Department and shall be based on total available funds, total county population, and the criteria in subsection B of this section. Each county government or multi-

county partnership shall be allocated at least half of one percent (0.5%) of the total amount appropriated for the award cycle.

E. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the President Pro Tempore of the Senate and the Speaker of the House of Representatives that includes the amount awarded to each county government or multi-county partnership and a summary of services provided by each county government or multi-county partnership.

F. The Board of Mental Health and Substance Abuse Services shall promulgate rules to implement the provisions of this section and Sections 2-312.1, 2-312.2, and 2-312.3 of this title including, but not limited to, rules that set qualifications for programs eligible to receive funds under this section.

SECTION 83. AMENDATORY Section 1, Chapter 202, O.S.L. 2024 (43A O.S. Supp. 2025, Section 3-335), is amended to read as follows:

Section 3-335. A. As used in this section:

1. "Board" means any of the following:

- a. the State Board of Examiners of Psychologists,
- b. the State Board of Behavioral Health Licensure,
- c. the Oklahoma State Board of Licensed Social Workers,
or
- d. the Oklahoma Board of Licensed Alcohol and Drug Counselors;

2. "Licensed mental health professional" means an individual who holds any type of license pursuant to the:

- a. Psychologists Licensing Act,
- b. Psychology Interjurisdictional Compact,

- c. Licensed Professional Counselors Act,
- d. Janet Phillips Act of 2023,
- e. Marital and Family Therapist Licensure Act,
- f. Social Worker's Licensing Act, or
- g. Licensed Alcohol and Drug Counselors Act; and

3. "Certified mental health professional" means an individual who holds any type of certification pursuant to the Unified Community Mental Health Services Act.

B. Every applicant for a behavioral health certification or license issued by a designated board shall provide the following information:

1. Demographic information, including race, ethnicity, gender, date of birth, and languages spoken;

2. Educational background, training information, internship information, if applicable, and location of internship or program attended; and

3. If the applicant has any other mental health certifications or licenses.

C. Every mental health professional who is renewing a behavioral health certification or license issued by a designated board shall report the following information:

1. Changes to demographic information required upon initial application for licensure or certification;

2. Workforce retention information, including, but not limited to, anticipated changes in licensure status or retirement; and

3. Workforce practice trends, including, but not limited to:

- a. practice specialization, if applicable,

- b. practice location and physical address, if applicable,
- c. service delivery area, by county,
- d. if the licensee is currently using their license and if its average use is between one (1) through ten (10), eleven (11) through twenty (20), twenty-one (21) through thirty (30), or over thirty-one (31) hours of client-facing hours per week, and
- e. the use of telehealth.

D. The boards designated in subsection A of this section shall promulgate rules to effectuate the provisions of this section.

E. The boards designated in subsection A of this section shall furnish de-identified annual licensure and certification data to the Oklahoma Department of Mental Health and Substance Abuse Services.

F. The Oklahoma Department of Mental Health and Substance Abuse Services shall compile the de-identified information collected in this section into an annual report. The report shall not contain any personal identifying information. The annual report shall be posted on the agency's website and electronically submitted to the President Pro Tempore of the Oklahoma State Senate, the Speaker of the Oklahoma House of Representatives, and the chairs of the committees with responsibility over public health in both chambers of the Legislature utilizing the centralized filing system provided for in Section 378 of this act.

G. Nothing in this section shall be interpreted to expand the amount of public-facing data about Oklahoma's individual behavioral health licensees.

SECTION 84. AMENDATORY 43A O.S. 2021, Section 10-112, is amended to read as follows:

Section 10-112. A. The Department of Human Services, together with the Department of Mental Health and Substance Abuse Services, shall develop and implement a Vulnerable Adult Intervention Task Force. The purpose of the task force shall be to study and examine how to best provide interdisciplinary community assistance,

intervention, and referral services for persons with mental or physical illnesses or disabilities, dementia, or other related disease or condition.

B. The task force shall consist of at least eleven (11) members as follows:

1. One member who shall be a member of the Oklahoma House of Representatives, to be appointed by the Speaker of the Oklahoma House of Representatives, and one member who shall be a member of the Oklahoma Senate, to be appointed by the President Pro Tempore of the Oklahoma Senate;

2. Commissioner of the Department of Mental Health and Substance Abuse Services, or designee;

3. Commissioner of the State Department of Health, or designee;

4. Director of the State Department of Rehabilitation Services, or designee;

5. One member who shall be a representative from law enforcement, to be appointed by the Senate President Pro Tempore;

6. One member who shall be a current or former municipal employee who worked as a code enforcement officer, to be appointed by the Speaker of the House of Representatives;

7. One member who shall be a public defender, or designee, to be appointed by the Governor;

8. One member who shall be a citizen of this state and a current or former member of an advocacy organization that represents vulnerable adults or persons with mental illness, to be appointed by the House Minority Leader;

9. One member who shall be a physician licensed to practice in this state, to be appointed by the Senate Minority Leader; and

10. The Director of the Department of Human Services, or designee.

Members of the task force shall serve for a thirty-month term.

C. Appointments to the task force shall be made by July 1, 2010. The first meeting shall be convened on or before August 1, 2010. A majority of the members present at a meeting shall constitute a quorum to do business. Members of the task force shall receive no compensation for their service, but shall receive travel reimbursement by the appointing authority pursuant to the State Travel Reimbursement Act.

D. The task force is authorized to meet as necessary in order to perform the duties imposed on it.

E. The task force shall recommend a curriculum, which at a minimum should include training for individuals on the symptoms, causes and evidence-based services and interventions for illnesses and conditions contained herein. The training should also address possible crisis situations arising from these illnesses and conditions and steps to support an individual in a crisis situation.

F. On or before December 31, 2010, and annually thereafter, the task force shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Legislature stating the recommendations and findings of the task force including but not limited to suggested legislative action, funding sources, state agency action, and numbers of potential participants in recommended programs, either as a team member who promotes services or a recipient of services, and any recommendations for improvement of the program.

G. The task force shall be subject to the provisions of the Open Records Act and the Open Meeting Act. Staff assistance for the task force shall be provided by the staff of the Oklahoma House of Representatives and the Oklahoma State Senate.

SECTION 85. AMENDATORY 43A O.S. 2021, Section 12-105, as amended by Section 1, Chapter 317, O.S.L. 2025 (43A O.S. Supp. 2025, Section 12-105), is amended to read as follows:

Section 12-105. A. The Department of Mental Health and Substance Abuse Services shall act as the lead agency in implementing the provisions of the Suicide Prevention Act.

B. The Department shall have primary responsibility for evaluating the effectiveness of efforts designed to reduce the number of attempted suicides and suicides, and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an evaluation report to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor no later than July 1 of each year.

SECTION 86. AMENDATORY 47 O.S. 2021, Section 2-107, is amended to read as follows:

Section 2-107. In addition to the salaries or wages of assistants or other employees in the Department of Public Safety when deemed necessary in connection with the discharge of their duties respectively assigned or delegated to them, such assistants or employees shall be allowed and paid traveling expenses incurred in the discharge of their respective duties, in accordance with the provisions of the State Travel Reimbursement Act, Sections 500.1 through 500.19 of Title 74 of the Oklahoma Statutes, which shall be paid from the same fund and in the same manner as the payment of all other salaries and expenses of the Department; provided, however, when deemed necessary by the Commissioner of Public Safety, it shall be and he or she is hereby authorized and empowered to purchase motor vehicles and other equipment for use by ~~said~~ the Department. The Commissioner of Public Safety shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically deliver to the Governor, President Pro Tempore of the Senate, and the Speaker of the House of Representatives a current vehicle fleet management and replacement plan and a complete inventory of all vehicles in use by the Department on the first legislative day of each year. The provisions of this act are to supersede all existing law; provided only that all provisions of this section are subject to provisions of general law governing appropriation, expenditure, and availability of funds.

SECTION 87. AMENDATORY 47 O.S. 2021, Section 2-146, as amended by Section 1, Chapter 370, O.S.L. 2022 (47 O.S. Supp. 2025, Section 2-146), is amended to read as follows:

Section 2-146. A. There is hereby created in the State Treasury a revolving fund for the Department of Public Safety, to be

designated the "Department of Public Safety Patrol Academy Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations. All monies accruing to the credit of said fund are hereby appropriated and shall be budgeted and expended by the Department of Public Safety for the exclusive purpose of Oklahoma Highway Patrol Trooper Academies. Expenditures from said fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. On or before December 1 of each year, the Department of Public Safety shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a written report on all Oklahoma Highway Patrol Trooper Academies conducted in the then current and preceding state fiscal year to the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, the Chair of the Appropriations and Budget Committee of the Oklahoma House of Representatives, and the Chair of the Appropriations Committee of the Oklahoma State Senate. Such report shall include, but not be limited to, the following information for the then current and preceding state fiscal year:

1. A description of all expenditures from the Department of Public Safety Patrol Academy Revolving Fund;

2. A description of the source of all monies accruing to the credit of the Department of Public Safety Patrol Academy Revolving Fund;

3. A description of all expenditures, including the source of funds for said expenditures, used to conduct each academy;

4. The total number of applicants for each academy;

5. The total number of persons admitted for each academy;

6. The total number of persons graduating from each academy;

7. The total number of persons graduating from each academy that do not accept a position within the Oklahoma Highway Patrol;

8. The total number of persons graduating from each academy that, upon accepting a position within the Oklahoma Highway Patrol, do not complete service of an initial probationary period as determined by the Department of Public Safety;

9. The net number of troopers added to the Oklahoma Highway Patrol in a calendar year;

10. A description of any academies planned to be conducted in the upcoming state fiscal year; and

11. A description of any planned academy or academies to be conducted within the remaining fiscal year that includes, but is not limited to, the estimated cost of the academy and the proposed source or sources of funding.

SECTION 88. AMENDATORY 47 O.S. 2021, Section 2-303.1, is amended to read as follows:

Section 2-303.1. A. The Oklahoma Law Enforcement Retirement Board shall discharge its duties with respect to the System solely in the interest of the participants and beneficiaries and:

1. For the exclusive purpose of:

- a. providing benefits to participants and their beneficiaries, and
- b. defraying reasonable expenses of administering the System;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

3. By diversifying the investments of the System so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

4. In accordance with the laws, documents and instruments governing the System.

B. The Board may procure insurance indemnifying the members of the Board from personal loss or accountability from liability resulting from a member's action or inaction as a member of the Board.

C. The Board may establish an investment committee. The investment committee shall be composed of not more than five (5) members of the Board appointed by the president of the Board. The committee shall make recommendations to the full Board on all matters related to the choice of custodians and managers of the assets of the System, on the establishment of investment and fund management guidelines, and in planning future investment policy. The committee shall have no authority to act on behalf of the Board in any circumstances whatsoever. No recommendation of the committee shall have effect as an action of the Board nor take effect without the approval of the Board as provided by law.

D. The Board shall retain qualified investment managers to provide for the investment of the monies of the System. The investment managers shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Board. Subject to the overall investment guidelines set by the Board, the investment managers shall have full discretion in the management of those monies of the System allocated to the investment managers. The Board shall manage those monies not specifically allocated to the investment managers. The monies of the System allocated to the investment managers shall be actively managed by the investment managers, which may include selling investments and realizing losses if such action is considered advantageous to longer term return maximization. Because of the total return objective, no distinction shall be made for management and performance evaluation purposes between realized and unrealized capital gains and losses.

E. All assets of the System shall be held in trust for the exclusive purpose of providing benefits for the members and beneficiaries of the System, including defraying reasonable expenses of administering the System, and shall not be encumbered for or diverted to any other purposes. Funds and revenues for investment by the investment managers or the Board shall be placed with a custodian selected by the Board. The custodian shall be a bank or trust company offering pension fund master trustee and master

custodial services, and any related custodial agreement or trust agreement is incorporated herein by reference. The custodian shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Board. In compliance with the investment policy guidelines of the Board, the custodian bank or trust company shall be contractually responsible for ensuring that all monies of the System are invested in income-producing investment vehicles at all times. If a custodian bank or trust company has not received direction from the investment managers of the System as to the investment of the monies of the System in specific investment vehicles, the custodian bank or trust company shall be contractually responsible to the Board for investing the monies in appropriately collateralized short-term interest-bearing investment vehicles. Any assets of the System may be invested in a collective investment fund or in a group trust provided the investment in such collective investment fund or group trust is in compliance with the provisions of Rev. Rul. 81-100, as further amended by Rev. Rul. 2004-67, Rev. Rul. 2008-40, and Rev. Rul. 2011-1, or any successor ruling, regulation, or similar pronouncement. Each such collective investment fund or group trust is adopted with respect to any monies invested therein, as part of the System, its trust and custodial agreement, and the provisions of such trust agreement or such declaration of trust and related adoption, participation, investment management, subtrust or other agreements, as amended from time to time, with respect to any monies invested therein, are incorporated by reference into the System, its trust agreement(s) or custodial agreement(s), upon approval by the Board.

F. Prior to August 1 of each year, the Board shall develop a written investment plan for the System.

G. The Board shall compile a quarterly financial report of all the funds of the System on a fiscal year basis. The report shall be compiled pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall include several relevant measures of investment value, including acquisition cost and current fair market value with appropriate summaries of total holdings and returns. The report shall contain combined and individual rate of returns of the investment managers by category of investment, over periods of time. The Board shall include in the quarterly reports all commissions, fees or payments for investment services performed on behalf of the

Board. The report shall be electronically distributed to the Governor, the Oklahoma State Pension Commission, the Legislative Service Bureau, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

H. After July 1 and before October 31 of each year, the Board shall publish widely an annual report presented in simple and easily understood language pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Oklahoma State Pension Commission, and the members of the System utilizing the centralized filing system provided for in Section 378 of this act. The annual report shall cover the operation of the System during the past fiscal year, including income, disbursements, and the financial condition of the System at the end of the fiscal year. The annual report shall also contain the information issued in the quarterly reports required pursuant to subsection G of this section as well as a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or over funded status, contributions and any other information deemed relevant by the Board. The annual report shall be written in such a manner as to permit a readily understandable means for analyzing the financial condition and performance of the System for the fiscal year. The annual financial statements ~~must~~ shall be audited and filed in accordance with the requirements set forth for financial statement audits in Section 212A of Title 74 of the Oklahoma Statutes.

I. The Board may retain an attorney licensed to practice law in this state. The attorney shall serve at the pleasure of the Board for such compensation as set by the Board. The Attorney General shall furnish such legal services as may be requested by the Board.

J. All information, documents, and copies thereof contained in a member's retirement file shall be given confidential treatment and shall not be made public by the System without the prior written consent of the member to which it pertains, but shall be subject only to court order. Provided, the System, its employees, or its

attorneys, may use such records in defense of any action brought against the System.

K. Effective July 1, 1999, the Board is hereby authorized to do all acts and things necessary and proper to carry out the purpose of the System and to make the least costly amendments and changes, if any, as may be necessary to qualify the System under the applicable sections of the Internal Revenue Code of 1986, as amended.

L. The Executive Director and such employees of the System as the Executive Director may designate are hereby authorized to prepare certified copies of records of the System and every such certified copy shall be admissible in any proceeding in any court in like manner as the original thereof.

M. On or after July 1, 2011, the Board may permit, effective for applicable notices, elections and consents provided or made for a member, beneficiary, alternate payee, or individual entitled to benefits under the System, the use of electronic media to provide applicable notices and make such elections and consents as described in Section 1.401(a)-21 of the Income Tax Regulations.

N. The Board shall develop such procedures and may require such information from the distributing plan as it deems necessary to reasonably conclude that a potential rollover contribution is a valid rollover contribution under Section 1.401(a)(31)-1, Q&A-14(b)(2), of the Income Tax Regulations.

SECTION 89. AMENDATORY Section 3, Chapter 282, O.S.L. 2022, as amended by Section 3, Chapter 47, 1st Extraordinary Session, O.S.L. 2023 (47 O.S. Supp. 2025, Section 3-103), is amended to read as follows:

Section 3-103. A. The Executive Director of Service Oklahoma shall be appointed by the Governor with the advice and consent of the Senate. The Executive Director shall serve at the pleasure of the Governor and may be removed or replaced without cause. Compensation for the Executive Director shall be determined pursuant to Section 3601.2 of Title 74 of the Oklahoma Statutes. The Executive Director may be removed from office by a two-thirds (2/3) vote of the members elected to and constituting each chamber of the Oklahoma Legislature.

B. The Executive Director of Service Oklahoma shall be the chief executive officer of Service Oklahoma and shall act for Service Oklahoma in all matters except as may be otherwise provided by law. The powers and duties of the Executive Director shall include, but not be limited to:

1. Organize Service Oklahoma in a manner to efficiently achieve the objectives of Service Oklahoma;
2. Supervise all activities of Service Oklahoma;
3. Administer programs and policies of Service Oklahoma;
4. Employ, discharge, appoint, contract, and fix duties and compensation of employees at the discretion of the Executive Director;
5. Appoint assistants, deputies, officers, investigators, attorneys, and other employees as may be necessary to carry out functions of Service Oklahoma;
6. Prescribe rules and regulations for the operation of Service Oklahoma;
7. Provide input and recommendations to the Service Oklahoma Operator Board on all matters including branding and physical standardization requirements, customer service metrics, analysis, and improvement processes for licensed operators, and processes for termination of licensed operators for failure to comply with the customer service metrics;
8. Establish internal policies and procedures;
9. Prescribe and provide suitable forms deemed necessary to carry out the functions of Service Oklahoma and any other laws the enforcement and administration of which are vested in Service Oklahoma;
10. Establish such divisions, sections, committees, advisory committees, offices, and positions in Service Oklahoma as the

Executive Director deems necessary to carry out the functions of Service Oklahoma;

11. Accept and disburse grants, allotments, gifts, devises, bequests, funds, appropriations, and other property made or offered to Service Oklahoma; and

12. Create the budget for Service Oklahoma to be submitted to the Legislature each year.

C. The salary and other expenses for the Executive Director shall be budgeted as a separate line item through Service Oklahoma. The operating expenses of Service Oklahoma shall be set by the Executive Director and shall be budgeted as a separate line item through Service Oklahoma.

D. 1. The Executive Director of Service Oklahoma shall direct all purchases, hiring, procurement, and budget for Service Oklahoma and establish, implement, and enforce policies and procedures related thereto, consistent with the Oklahoma Central Purchasing Act. Service Oklahoma and the Executive Director shall be subject to the requirements of the Public Competitive Bidding Act of 1974, the Oklahoma Lighting Energy Conservation Act, and the Public Facilities Act.

2. The Executive Director of Service Oklahoma, or any employee or agent of the Executive Director of Service Oklahoma acting within the scope of delegated authority, shall have the same power and authority related to purchases, hiring, procurement, and budget for Service Oklahoma as outlined in paragraph 1 of this subsection for Service Oklahoma as the State Purchasing Director has for all acquisitions used or consumed by state agencies as established in the Oklahoma Central Purchasing Act. Such authority shall, consistent with the authority granted to the State Purchasing Director, include the power to designate financial or proprietary information submitted by a bidder confidential and reject all requests to disclose the information so designated, if the Executive Director of Service Oklahoma requires the bidder to submit the financial or proprietary information with a bid, proposal, or quotation.

E. Service Oklahoma shall determine the compensation to be retained by licensed operators.

1. Before the last day in September in every even-numbered year, Service Oklahoma shall review the compensation paid to licensed operators and, if necessary, change the compensation. Service Oklahoma shall engage an independent third party to evaluate the compensation paid to licensed operators who shall provide any recommendations no later than November 1 in the even-numbered year. Any recommended change in licensed operator compensation shall be finalized by Service Oklahoma no later than the third Tuesday of November in the even-numbered year. Notice of such recommendation shall be electronically provided to the Governor, the President Pro Tempore and the Chair of the Appropriations Committee of the Senate, and the Speaker and the Chair of the Appropriations and Budget Committee of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

2. Any change in licensed operator compensation, unless rejected or amended as provided by this subsection, shall become effective on July 1 of the following calendar year. Any amendment passed by a majority vote of each house of the Legislature shall become effective as provided by the amendment unless vetoed by the Governor.

SECTION 90. AMENDATORY Section 1, Chapter 265, O.S.L. 2024, as amended by Section 1, Chapter 104, O.S.L. 2025 (47 O.S. Supp. 2025, Section 6-212.7), is amended to read as follows:

Section 6-212.7. A. There is hereby created the Impaired Driving Prevention Advisory Committee. The Committee shall be comprised of:

1. The Commissioner of Public Safety, or a designee, who shall act as the chair;

2. The Chief of the Oklahoma Highway Patrol, or a designee;

3. A member appointed by the District Attorneys Council;

4. A member appointed by the Administrative Office of the Courts;

5. The Commissioner of Mental Health and Substance Abuse Services, or a designee;

6. The Director of the Oklahoma State Bureau of Investigation, or a designee;

7. The State Director of Tests for Alcohol and Drug Influence, or a designee;

8. The Director of the Oklahoma Highway Safety Office, or a designee;

9. The President of the Oklahoma Association of Chiefs of Police, or a designee;

10. The President of the Oklahoma Sheriff's Association, or a designee;

11. The Executive Director of Service Oklahoma, or a designee;

12. A member of the Board of Directors of Safety and Advocacy For Empowerment (SAFE);

13. A representative designated by a victim advocacy group to be selected by the Commissioner of Public Safety;

14. A member of the House of Representatives appointed by the Speaker of the House of Representatives;

15. A member of the Senate appointed by the President Pro Tempore of the Senate;

16. The State Commissioner of Health, or a designee;

17. The Executive Director of the Department of Transportation, or a designee;

18. The Executive Director of the Oklahoma Medical Marijuana Authority, or a designee;

19. The Executive Director of the State Board of Pharmacy, or a designee;

20. The Executive Director of the Alcoholic Beverage Laws Enforcement Commission, or a designee;

21. The Executive Director of the Oklahoma Turnpike Authority, or a designee; and

22. The Executive Director of the Oklahoma Indigent Defense System, or a designee.

B. The Department of Public Safety shall provide administrative support necessary for the Committee to accomplish the goals and objectives assigned by this section.

C. The Committee shall meet at the direction of the chair, and shall meet not less than once a year, but not more than four times a year. A vice chair shall be elected by the Committee from among its members. The vice chair shall act as chair of the Committee in the absence of the chair.

D. The Committee is authorized to collect, analyze, and interpret relevant crash data on impaired driving and associated traffic crashes. In addition, the Committee is authorized to review, evaluate, and monitor the impaired driving system of this state and provide a network of communication and cooperation among the various stakeholders to coordinate and integrate efforts and resources to reduce the incidence and severity of impaired driving crashes.

E. The Committee shall annually complete a statewide strategic plan to reduce the incidents of impaired driving and impaired driving crashes. The plan shall be electronically submitted no later than December 31 of each year to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

F. Members of the Committee who are otherwise employed by a state agency or political subdivision shall serve without additional compensation. Members of the Committee who are otherwise employed

by a state agency or political subdivision shall be entitled to reimbursement for any actual and necessary traveling expenses in accordance with the State Travel Reimbursement Act from the employing agency.

SECTION 91. AMENDATORY 47 O.S. 2021, Section 7-606.1, is amended to read as follows:

Section 7-606.1. A. There is hereby created the Uninsured Vehicle Enforcement Program.

B. The Uninsured Vehicle Enforcement Program shall be implemented and administered by the district attorneys of the State of Oklahoma within their respective districts or at the District Attorneys Council. To implement this program, the use of technology and software to aid in detection of offenses involving uninsured motorists is necessary and district attorneys and participating law enforcement agencies shall have the authority to enter into contractual agreements with automated license plate reader providers to provide necessary technology, equipment, and maintenance thereof.

C. 1. Participating law enforcement agencies may use automatic license plate reader systems utilizing individual automatic license plate reader system units to access and collect data for the investigation, detection, analysis, or enforcement of Oklahoma's Compulsory Insurance Law.

2. To accomplish the purposes of the program, law enforcement agencies shall be allowed to access the online verification system for motor vehicle liability policies to establish compliance with the Compulsory Insurance Law as provided in Section 7-600.2 of Title 47 of the Oklahoma Statutes.

3. Access to the system shall be restricted to authorized law enforcement agency users in the program; provided, any entity with which a contract is executed to provide necessary technology, equipment and maintenance for purposes of the program shall be authorized, as necessary, to collaborate for required updates and maintenance of their software.

4. Any data collected and stored by law enforcement pursuant to the program shall be considered evidence if noncompliance with the Compulsory Insurance Law is confirmed.

D. A law enforcement officer may verify by sworn affidavit that a photograph generated by an automatic license plate reader system unit identifies a particular vehicle operating on or having been operated on a public road, highway, street, turnpike, other public place or upon any private road, street, alley or lane which provides access to one or more single-family or multifamily dwellings and that the online verification system shows that the vehicle was uninsured at the time such vehicle was being operated. The affidavit shall constitute probable cause for prosecution under applicable state law.

E. Data collected or retained through the use of an automated license plate reader system pursuant to the program shall be retained by a law enforcement agency when the data is being used as evidence of a violation of the Compulsory Insurance Law; provided, when the data is no longer needed as evidence of a violation, the data shall be deleted or destroyed.

F. Data collected or retained through the use of an automated license plate reader system shall not be used by any individual or agency for purposes other than enforcement of the Compulsory Insurance Law or as otherwise permitted by law.

1. No law enforcement agency or other entity authorized to operate under this program shall sell captured license plate data for any purpose or share it for any purpose not expressly authorized by this section.

2. Any and all data collected, retained, or shared through the use of an automated license plate reader system, except data retained as evidence of a violation of the Compulsory Insurance Law, shall be exempt from the Oklahoma Open Records Act.

G. The provisions of the program shall not apply to, or be construed or interpreted in a manner to prohibit the use of, any other automated license plate reader system by an individual or private legal entity for purposes not otherwise prohibited by law.

H. The provisions of the program shall not be implemented until such time that the Insurance Department verifies that the following conditions have been met:

1. At least Ninety-Five Percent (95%) of the personal lines auto insurance market in the state participates in the Oklahoma Compulsory Insurance Verification System using a real-time web portal system; and

2. The Oklahoma Compulsory Insurance Verification System is updated in such a way to allow for the provisions of the program to be implemented without interrupting or impeding any other lawful uses of the system.

I. Following the implementation of the program and every year thereafter, the District Attorneys Council shall publish an annual report for the previous fiscal year of the Uninsured Vehicle Enforcement Program by September 1. An electronic copy of the report shall be distributed to the President Pro Tempore of the Senate and the Speaker of the House of Representatives and the chairs of the House and Senate Appropriations Committees utilizing the centralized filing system provided for in Section 378 of this act. The report shall comprise an evaluation of program operations, and may include any information and recommendations for improvement of the program deemed appropriate by the entity submitting the report.

J. For purposes of this section:

1. "Automatic license plate reader system" means a system of one or more mobile or law-enforcement-controlled cameras combined with computer algorithms to convert images of registration plates into computer-readable data;

2. "Law enforcement agency" includes the district attorney's office of any county, the Department of Public Safety, the sheriff's office of any county, and the chiefs of police of any city or town having a population of more than one hundred thousand (100,000) residents; and

3. "Program" means the Uninsured Vehicle Enforcement Program.

SECTION 92. AMENDATORY 47 O.S. 2021, Section 7-606.2, is amended to read as follows:

Section 7-606.2. A. Each district attorney may create within the district attorney's office an Uninsured Vehicle Enforcement Diversion Program and assign sufficient staff and resources for the efficient operation of the program. The purpose of the Uninsured Vehicle Enforcement Diversion Program is to authorize the district attorney to divert complaints involving the failure to comply with mandatory vehicle liability insurance coverage from criminal court to the Uninsured Vehicle Enforcement Diversion Program and to enhance public safety and security through increased compliance with mandatory vehicle liability insurance coverage.

B. 1. Referral of a criminal complaint to the Uninsured Vehicle Enforcement Diversion Program shall be at the discretion of the district attorney. This act shall not limit the power of the district attorney to prosecute Compulsory Insurance Law complaints.

2. Upon receipt of a complaint for failure to comply with the Compulsory Insurance Law, the district attorney shall determine if the complaint is one which is appropriate for deferred prosecution.

3. In determining whether to defer prosecution and refer a case to the Uninsured Vehicle Enforcement Diversion Program, the district attorney shall consider the following factors:

- a. whether the criminal complaint alleges an offense involving the failure to maintain required vehicle liability insurance coverage,
- b. whether it is in the best interest of the accused for the accused person to be processed through deferred prosecution in the Uninsured Vehicle Enforcement Diversion Program,
- c. the prospects for adequate protection of the public if the accused person is processed through deferred prosecution in the Uninsured Vehicle Enforcement Diversion Program,

- d. the number of criminal complaints against the defendant previously received by the district attorney,
- e. whether or not there are other criminal complaints currently pending against the defendant, and
- f. the strength of the evidence of the particular criminal complaint.

C. Upon referral of a complaint to the Uninsured Vehicle Enforcement Diversion Program, a notice of the complaint shall be forwarded by mail to the last known address of the record owner of the vehicle. The notice shall contain:

1. The date the act which is the subject of the complaint occurred;

2. A statement of the penalty for the violation of the Compulsory Insurance Law which is the subject of the complaint;

3. A statement that the records of the State of Oklahoma indicate that the owner of the vehicle is not in compliance with the provisions of the Compulsory Vehicle Insurance Law and that the complaint against the owner has been referred to the Uninsured Vehicle Enforcement Diversion Program; and

4. The date before which the owner ~~must~~ shall contact the office of the district attorney concerning the complaint.

D. If the owner fails to comply with the letter, the district attorney may file the information and proceed with the prosecution of the owner as provided by law.

E. The district attorney may enter into a written agreement with the owner pursuant to the provisions of Sections 305.1 through 305.6 of Title 22 of the Oklahoma Statutes to defer prosecution on the complaint for a period to be determined by the district attorney, not to exceed two (2) years. The conditions of an agreement to defer prosecution shall include:

1. The owner shall provide verification of current insurance upon request of the district attorney;

2. The owner shall comply with the provisions of the Compulsory Insurance Law for the full term of the agreement; and

3. The owner shall not own or operate any vehicle in violation of the Compulsory Insurance Law during the full term of the agreement.

F. Each diversion agreement shall include a provision requiring the owner to pay to the district attorney's office or District Attorneys Council a fee equal to the amount which would have been assessed as court costs upon the filing of the case in district court pursuant to the provisions of Section 153 of Title 28 of the Oklahoma Statutes. This fee shall be deposited in a special district attorney fund with the county treasurer to be known as the "Uninsured Vehicle Enforcement Diversion Program Fund". Diversion fees paid to the District Attorneys Council shall be deposited in a special fund to be known as the "Uninsured Vehicle Enforcement Diversion Program Fund".

1. Each diversion agreement shall also include a provision requiring the owner to pay an additional fee of Twenty Dollars (\$20.00) to the District Attorneys Council, of which Five Dollars (\$5.00) will be used in processing the payment, Ten Dollars (\$10.00) will be used in operating and maintaining the Compulsory Insurance Verification System and Five Dollars (\$5.00) will be deposited in the Oklahoma Pension Improvement Revolving Fund created by section 2 of Enrolled Senate Bill No. 1128 of the 2nd Session of the 55th Oklahoma Legislature.

2. The monies deposited in the Uninsured Vehicle Enforcement Diversion Program Fund of a district attorney or the District Attorneys Council shall be used by the district attorney and District Attorneys Council to pay for all expenses and costs of equipping, operating and monitoring the vehicle insurance program, including but not limited to, contractual payments to third-party entities providing essential services ~~and/or~~ or equipment for detection of violations of Compulsory Insurance Law, and payment of reasonable compensation to authorized and participating law enforcement agencies as may be agreed between such entities, law

enforcement agencies and the district attorney or District Attorneys Council.

3. Proceeds from the Uninsured Vehicle Enforcement Diversion Program administered by the District Attorneys Council may be used to pay for any lawful expenditures associated with the operation of the diversion program by the District Attorneys Council. The net proceeds shall be allocated and distributed to the district attorneys by the District Attorneys Council. District attorneys may use proceeds from this diversion program to pay for any lawful expenditure associated with the operation of the district attorney's office.

4. The district attorney and District Attorneys Council shall keep records of all monies deposited to and disbursed from the Uninsured Vehicle Enforcement Diversion Program Fund. The records of these funds shall be audited at the same time the records of the district attorney and District Attorneys Council, respectively, are audited.

5. If the owner furnishes proof to the satisfaction of the district attorney's office or District Attorneys Council that the required vehicle liability insurance coverage was in effect at the time of the alleged violation, no fee shall be required.

G. Members of the district attorney's staff shall perform duties in connection with the Uninsured Vehicle Enforcement Diversion Program in addition to any other duties which may be assigned by the district attorney.

H. District attorneys shall prepare and submit an annual report to the District Attorneys Council showing total deposits and total expenditures in the Uninsured Vehicle Enforcement Diversion Program. Each district attorney shall submit information requested by the District Attorneys Council regarding the Uninsured Vehicle Enforcement Diversion Program.

By September 15 of each year following the implementation of the Uninsured Vehicle Enforcement Program, the District Attorneys Council shall publish an annual report for the previous fiscal year of the Uninsured Vehicle Enforcement Diversion Program. An electronic copy of the report shall be distributed to the Governor,

President Pro Tempore of the Senate, Speaker of the House of Representatives, and the chairs of the House and Senate Appropriations Committees utilizing the centralized filing system provided for in Section 378 of this act. The report required by this paragraph shall include the number of cases processed, the total amount of fees collected, the total cost of the program and such other information as required by the District Attorneys Council.

SECTION 93. AMENDATORY 47 O.S. 2021, Section 156.1, as last amended by Section 55, Chapter 452, O.S.L. 2024 (47 O.S. Supp. 2025, Section 156.1), is amended to read as follows:

Section 156.1. A. It shall be unlawful for any state official, officer, or employee, except any essential employees approved by the Governor and those officers or employees authorized in subsection B of this section, to ride to or from the place of residence of the employee in a state-owned or state-leased automobile, truck, or pickup, except in the performance of the official duty of the employee, or to use or permit the use of any such automobile, truck, ambulance, or pickup for other personal or private purposes. Any person convicted of violating the provisions of this section shall be guilty of a misdemeanor and shall be punished by a fine of not more than One Hundred Dollars (\$100.00) or by imprisonment in the county jail for a period to not exceed thirty (30) days, or by both said fine and imprisonment, and in addition thereto, shall be discharged from state employment.

B. 1. Any state employee, other than the individuals provided for in paragraph 2 of this subsection and any employee of the Department of Public Safety who is a wrecker inspector or auditor of the Wrecker Services Division as provided for in paragraph 3 of this subsection, who receives emergency telephone calls regularly at the residence of the employee when the employee is not on duty and is regularly called upon to use a vehicle after normal work hours in response to such emergency calls, may be permitted to use a vehicle belonging to the state to provide transportation between the residence of the employee and the assigned place of employment, provided such distance does not exceed seventy-five (75) miles in any round trip or is within the county where the assigned place of employment is located. Provided further, an employee may be permitted to use a state-owned or state-leased vehicle to provide

temporary transportation between a specific work location other than the assigned place of employment and the residence of the employee, if such use shall result in a monetary saving to the agency, and such authorization shall not be subject to the distance or area restrictions provided for in this paragraph. Authorization for temporary use of a state-owned or state-leased vehicle for a specific project shall be in writing stating the justification for this use and the saving expected to result. Such authorization shall be valid for not to exceed sixty (60) days. Any state entity other than law enforcement that avails itself of this provision shall keep a monthly record of all participating employees, the number of emergency calls received and the number of times that a state vehicle was used in the performance of such emergency calls.

2. Any employee of the Department of Public Safety, Oklahoma Department of Corrections, Office of the Attorney General, Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, Oklahoma State Bureau of Investigation, Alcoholic Beverage Laws Enforcement Commission, Oklahoma Horse Racing Commission, Oklahoma Department of Agriculture, Food, and Forestry, Office of the Inspector General within the Department of Human Services or Office of the State Fire Marshal, who is a law enforcement officer or criminalist, Public Information officer, Special Investigator or Assistant Director of the Oklahoma State Bureau of Investigation, the Executive Director of CLEET, CLEET-certified Investigator for a state board, or any employee of a district attorney who is a law enforcement officer, may be permitted to use a state-owned or state-leased vehicle to provide transportation between the residence of the employee and the assigned place of employment and between the residence and any location other than the assigned place of employment to which the employee travels in the performance of the official duty of the employee.

3. Any employee of the Department of Public Safety who is a wrecker inspector or auditor of the Wrecker Services Division, or a noncommissioned pilot may be permitted, as determined by the Commissioner, to use a state-owned or state-leased vehicle to provide transportation between the residence of the employee and the assigned place of employment and between the residence and any location other than the assigned place of employment to which the employee travels in the performance of the official duty of the employee.

4. The Director, department heads and other essential employees of the Department of Wildlife Conservation, as authorized by the Wildlife Conservation Commission, may be permitted to use a state-owned or state-leased vehicle to provide transportation between the residence of the employee and the assigned place of employment and between the residence and any location other than the assigned place of employment to which the employee travels in the performance of the official duty of the employee.

5. The Director, department heads, emergency responders, and other essential employees of the Department of Corrections, as authorized by the Director, may be permitted to use a state-owned or state-leased vehicle to provide transportation between the residence of the employee and the assigned place of employment and between the residence and any location other than the assigned place of employment to which the employee travels in the performance of the official duty of the employee.

6. Designated Examiner Auditors, Designated Examiner Supervisors, Commercial Driver License Examiners, Commercial Driver License Auditors, Commercial Driver License Supervisors, and Driver License Supervisors, as an employee of Service Oklahoma may be permitted, as determined by the Director of Service Oklahoma, to use a state-owned or state-leased vehicle to provide transportation between the residence of the employee and the assigned place of employment and between the residence and any location other than the assigned place.

7. The Attorney General, division heads, emergency responders, agents, assistant attorneys general, and other essential employees of the Office of the Attorney General, as authorized by the Attorney General, may be permitted to use a state-owned or state-leased vehicle to provide transportation between the residence of the employee and the assigned place of employment and between the residence and any location other than the assigned place of employment to which the employee travels in the performance of the official duty of the employee.

C. The principal administrator of the state agency with which the employee is employed shall so designate the status of the employee in writing or, utilizing the centralized filing system

provided for in Section 378 of this act, electronically provide a copy of the temporary authorization to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives. Such employee status report shall also be provided to the State Fleet Manager of the Division of Fleet Management if the motor vehicle for emergency use is provided by said Division.

SECTION 94. AMENDATORY 47 O.S. 2021, Section 1104.1, as last amended by Section 8, Chapter 171, O.S.L. 2025 (47 O.S. Supp. 2025, Section 1104.1), is amended to read as follows:

Section 1104.1. A. Twenty-three Dollars (\$23.00) of the fee authorized by Section 1135.5 of this title for university or college supporter license plates which are received each year by Service Oklahoma or its licensed operators shall be apportioned as follows:

1. Twenty Dollars (\$20.00) of the fee for each license plate designating a particular state university or college shall be apportioned to the particular state university or college so designated on the license plate. Twenty Dollars (\$20.00) of the fee for each license plate designating a particular private university or college shall be apportioned to the particular private university or college so designated on the license plate and may be used by the private university or college as compensation for use of the symbols, words, or letters authorized by the private university or college for use on the license plate; and

2. Three Dollars (\$3.00) shall be deposited to the Adaptive Grant Program for Oklahomans with Intellectual Disabilities Revolving Fund created by this section to be used for educational purposes.

B. There is hereby created in the State Treasury a revolving fund for the Department of Human Services to be designated the "Adaptive Grant Program for Oklahomans with Intellectual Disabilities Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all funds deposited therein pursuant to the provisions of paragraph 2 of subsection A of this section. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Department of Human Services for the administration of the

Adaptive Grant Program for Oklahomans with Intellectual Disabilities.

C. The Director of the Department of Human Services is hereby directed to promulgate rules to create the Adaptive Grant Program for Oklahomans with Intellectual Disabilities Program to provide financial assistance in adaptation of furnishings, fixtures, vehicles, equipment, or structures in order to meet any special needs of Oklahomans with intellectual disabilities; provided, recipients of grants awarded pursuant to the program shall be limited to those programs, projects, or persons not otherwise qualifying for state or federal funding. The Department of Human Services is authorized to contract with a statewide private, nonprofit foundation certified to be a 501(c)(3) organization by the Internal Revenue Service for administration of the program.

D. The Director of Human Services shall prepare an annual report on the Program. Such report shall be electronically submitted to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 95. AMENDATORY 47 O.S. 2021, Section 1140.3, is amended to read as follows:

Section 1140.3. The Oklahoma Tax Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a monthly report of the apportionment reimbursed out of the License and ID Apportionment Reimbursement Revolving Fund, created in Section 5 of this act, to the Chair of the Senate Appropriations Committee and Chair of the House of Representatives Appropriations and Budget Committee.

SECTION 96. AMENDATORY 52 O.S. 2021, Section 87.2, is amended to read as follows:

Section 87.2. A. Except as provided in subsection B of this section, only those persons, or the duly authorized agent, representative or attorney of those persons, who are mineral owners or owners of the right to drill a well for oil and gas on the lands embraced within the subject area of an application or the owners of correlative rights within the common source of supply or supplies

embraced within an application to the extent such owners are directly affected by such application, shall be proper parties to:

1. ~~protest~~ Protest any application to establish, reestablish, or reform a spacing unit~~;~~;

2. ~~protest~~ Protest any application requesting authority for an additional well or wells within an established spacing unit brought pursuant to the provisions of paragraph (a) or (d) of Section 87.1 of Title 52 of the Oklahoma Statutes~~;~~; or

3. ~~present~~ Present testimony or evidence at any hearing arising thereunder or relating thereto.

B. No other person shall be entitled to notice of such proceeding or shall be entitled to appear as a party of record therein, except that the Corporation Commission may permit persons other than those specified in subsection A of this section leave to intervene in a proceeding upon a finding, based upon clear and convincing evidence, that such person has a substantial right intended to be protected by Section 87.1 of Title 52 of the Oklahoma Statutes which may adversely be affected by the outcome of such proceeding. Any finding required by this section shall be made by the Corporation Commission, sitting en banc, within ten (10) days of the filing of a motion to intervene by such person and such proceeding shall be stayed during such ten-day period.

C. At the end of each calendar quarter the Corporation Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a written report with the Office of the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate describing all such findings made by the Corporation Commission pursuant to this section during such period.

SECTION 97. AMENDATORY 53 O.S. 2021, Section 1.9, is amended to read as follows:

Section 1.9. The title to any locally owned historic or recreational site or improvements thereon shall not be acquired by or conferred to the Oklahoma Historical Society to qualify for state funding without prior approval of both the Senate and the House of

Representatives. Before such approval is given, proposals for acquisitions shall be made to the Board ~~of Directors~~ of Directors of the Oklahoma Historical Society. Within sixty (60) days after receiving a proposal, the Board of Directors shall have a study made of the proposed acquisition. The study shall evaluate the historical background and significance of the property, the educational value of the property, the accessibility of the property to the public, and any other factors the Board of Directors deems pertinent. The study shall also include an estimate of the cost of restoring the property if restoration is necessary, an estimate of the cost of providing access to the property if additional access is necessary, and an estimate of the cost of operating and maintaining the property for at least five (5) fiscal years subsequent to the proposed date of acquisition of the property. A written report of the results of the study shall be submitted by the Board of Directors to the Historic Preservation Review Committee appointed by the Governor to comply with rules and procedures prescribed by the Secretary of the Interior pursuant to Public Law 89-665. The Historic Preservation Review Committee, or its successor, shall evaluate the results of the study and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit, within thirty (30) days of receiving the report, a written recommendation to the Speaker of the House, President Pro Tempore of the Senate, and Governor as to the advisability of the acquisition.

SECTION 98. AMENDATORY 53 O.S. 2021, Section 166, is amended to read as follows:

Section 166. The Oklahoma Arts Council shall be responsible for the acquisition, exhibition, management, and care of the State Art Collection and is empowered and directed to exercise these powers and duties:

(a) Consider the whole state of the arts, cultural activities, and cultural heritage of Oklahoma. The purview of the Council shall not be limited but shall include music, theater, dance, opera, graphic arts, plastic arts, architecture, poetry, plays, or any other art, regardless of period, school, or type. Full attention shall also be given to art, art museums, live performances, or concerts, art exhibits, and other like endeavors.

(b) Survey the artistic and cultural activities and facilities of the state, and the institutions, organizations, or individuals engaged in these undertakings.

(c) Study information collected and prepare proposals for the study, practice, and presentation of the arts.

(d) Foster conferences, institutes, and exhibits on the arts and hold or cooperate in such ventures.

(e) ~~Report~~ Electronically submit a report biennially to the Governor and Legislature on or before January 31 of each odd-numbered year utilizing the centralized filing system provided for in Section 378 of this act. Reports shall include recommendations and suggestions for the expansion and improvement of the arts and for wider opportunity of participation in these activities by our citizens.

(f) Publish any reports, surveys, news bulletins, or other materials pertaining to its findings, recommendations, and work.

(g) Perform or engage in all else necessary or desirable to give full force and effect to the provisions of this act.

SECTION 99. AMENDATORY 56 O.S. 2021, Section 71, is amended to read as follows:

Section 71. A. Except as provided in subsection C of this section or where exempted by federal law, every agency or a political subdivision of this state shall verify the lawful presence in the United States of any natural person fourteen (14) years of age or older who has applied for state or local public benefits, as defined in 8 U.S.C., Section 1621, or for federal public benefits, as defined in 8 U.S.C., Section 1611, that is administered by an agency or a political subdivision of this state.

B. The provisions of this section shall be enforced without regard to race, religion, gender, ethnicity, or national origin.

C. Verification of lawful presence under the provisions of this section shall not be required:

1. For any purpose for which lawful presence in the United States is not restricted by law, ordinance, or regulation;

2. For assistance for health care items and services that are necessary for the treatment of an emergency medical condition, as defined in 42 U.S.C., Section 1396b(v)(3), of the alien involved and are not related to an organ transplant procedure;

3. For short-term, noncash, in-kind emergency disaster relief;

4. For public health assistance for immunizations with respect to diseases and for testing and treatment of symptoms of communicable diseases whether or not such symptoms are caused by a communicable disease;

5. For application of special volunteer health care licenses that specify the eligible volunteer shall be either retired from practice in this state or actively licensed with a clean record in another state and that such eligible volunteer shall not receive or have the expectation to receive any payment or compensation, either direct or indirect, for any services rendered in this state under the special volunteer license; or

6. For programs, services, or assistance such as soup kitchens, crisis counseling and intervention, and short-term shelter specified by the United States Attorney General, in the sole and unreviewable discretion of the United States Attorney General after consultation with appropriate federal agencies and departments which:

- a. deliver in-kind services at the community level, including through public or private nonprofit agencies,
- b. do not condition the provision of assistance, the amount of assistance provided, or the cost of assistance provided on the income or resources of the individual recipient, and
- c. are necessary for the protection of life or safety.

D. Verification of lawful presence in the United States by the agency or political subdivision required to make such verification

shall require that the applicant execute an affidavit under penalty of perjury that:

1. He or she is a United States citizen; or

2. He or she is a qualified alien under the federal Immigration and Nationality Act and is lawfully present in the United States.

The agency or political subdivision providing the state or local public benefits shall provide notary public services at no cost to the applicant.

E. For any applicant who has executed the affidavit described in paragraph 2 of subsection D of this section, eligibility for benefits shall be verified through the Systematic Alien Verification for Entitlements (SAVE) Program operated by the United States Department of Homeland Security or an equivalent program designated by the United States Department of Homeland Security. Until such eligibility verification is made, the affidavit may be presumed to be proof of lawful presence for the purposes of this section.

F. Any person who knowingly and willfully makes a false, fictitious, or fraudulent statement of representation in an affidavit executed pursuant to subsection D of this section shall be subject to criminal penalties applicable in this state for fraudulently obtaining public assistance program benefits. If the affidavit constitutes a false claim of U.S. citizenship under 18 U.S.C., Section 911, a complaint shall be filed by the agency requiring the affidavit with the United States Attorney General for the applicable district based upon the venue in which the affidavit was executed.

G. Agencies or political subdivisions of this state may adopt variations to the requirements of the provisions of this section which demonstrably improve the efficiency or reduce delay in the verification process, or to provide for adjudication of unique individual circumstances where the verification procedures in this section would impose unusual hardship on a legal resident of Oklahoma.

H. It shall be unlawful for any agency or a political subdivision of this state to provide any state, local, or federal

benefit, as defined in 8 U.S.C., Section 1621, or 8 U.S.C., Section 1611, in violation of the provisions of this section.

I. Each state agency or department which administers any program of state or local public benefits shall ~~provide~~ electronically submit, utilizing the centralized filing system provided for in Section 378 of this act, an annual report to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives with respect to its compliance with the provisions of this section. Each agency or department shall monitor the Systematic Alien Verification for Entitlements Program for application verification errors and significant delays and shall provide an annual public report on such errors and significant delays and recommendations to ensure that the application of the Systematic Alien Verification of Entitlements Program is not erroneously denying benefits to legal residents of Oklahoma. Errors shall also be reported to the United States Department of Homeland Security by each agency or department.

SECTION 100. AMENDATORY 56 O.S. 2021, Section 162, is amended to read as follows:

Section 162. A. The Governor shall have the power and duty to select a Director of Human Services who shall serve as executive and administrative officer of the Department of Human Services. The Director shall be appointed wholly on the basis of ability, training and experience qualifying him or her for public welfare administration. The Director shall serve, subject to the confirmation of the Senate, at the pleasure of the Governor. The salary of the Director shall be fixed by the Governor.

B. The Director shall formulate the policies and adopt rules and regulations for the effective administration of the duties of the Department.

C. 1. The Director shall take the appropriate steps to ensure rules and policies are promulgated to conduct appropriate background searches of individuals both prior to and, if necessary, during their employment with the Department. The job categories within the Department that are subject to background searches prior to employment shall be determined at the Director's discretion. Such background checks shall include, but not be limited to:

- a. a search of the Oklahoma State Courts Network, including Oklahoma District Court records,
- b. a search of the Restricted Registry maintained by the Department pursuant to Section 405.3 of Title 10 of the Oklahoma Statutes,
- c. a search of the Department of Corrections files maintained by the Department pursuant to the Sex Offender Registration Act,
- d. a search of the Department of Corrections Violent Offender Registry, also known as the Mary Rippey Violent Crime Offender Registry,
- e. a search of all applicable out-of-state child abuse and neglect registries if the subject of the search has not lived continuously in Oklahoma for the past five (5) years,
- f. a search of the community services worker registry maintained by the Department pursuant to Section 1025.3 of this title~~+~~1 and
- g. a fingerprint-based national criminal history record check. The Department may directly request a national criminal history record check as defined by Section 150.9 of Title 74 of the Oklahoma Statutes from the Oklahoma State Bureau of Investigation for the purpose of investigating the criminal history of any employee or applicant of the Department.

2. In addition, the Director shall ensure rules and policies are promulgated to conduct a search of the Department's records of abuse and neglect both prior to and, if necessary, during the employment of any person with the Department and whose scope of employment will bring that individual into direct contact with any vulnerable population.

D. The Director shall require and set the amount of the bond for employees.

E. The Director shall cooperate with the federal Department of Health and Human Services, or other similar agencies created by Congress, in any reasonable manner as may be necessary to qualify for federal aid to states in providing assistance to needy persons in conformity with the provisions of this title, including the making of reports in the form and containing information as a federal agency may from time to time require, and comply with any other similar federal agency requirements necessary to ensure the correctness and verification of the reports.

F. The Director shall publish an annual report, not later than four (4) months after the close of each fiscal year. The report shall be ~~presented~~ electronically submitted to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act. Annual reports shall provide information about the operations and programs administered by the Department and shall include, but shall not be limited to:

1. Statistical information regarding services provided and the number of persons served by Department programs;

2. Financial data including a reasonable amount of detailed information regarding revenues and expenditures and a breakdown and comparison of the Department budget with actual expenditures;

3. Status of the workforce and productivity of the Department;

4. Information about Department efforts to ensure program accountability and service delivery quality and integrity;

5. Demographic data and trends and their anticipated impact on demand for services; and

6. Information regarding public and private institution-based services.

G. The Director shall assume the statutory duties of the Commission for Human Services.

SECTION 101. AMENDATORY 56 O.S. 2021, Section 198.11b,
is amended to read as follows:

Section 198.11b. ~~A.~~ It is the public policy of the State of Oklahoma to:

1. Recognize and support individuals with disabilities by treating them with dignity and respect as productive members of our society in Oklahoma;

2. Acknowledge their contributions as productive and independent citizens in the state and the useful work they perform in their local communities;

3. Support a service delivery system for individuals with disabilities ensuring that the individuals, their families, or guardians are well informed as to the types of services and resources available to such individuals in order to encourage their independence, self-esteem, and self-worth, regardless of the severity of the disability; and

4. Recognize that self-choice on the part of individuals with disabilities is critical and that the most appropriate setting for meeting their needs should be a paramount consideration when determining appropriate placement of such individuals in community-based programs, residential care facilities, or any other placement or service that benefits the needs and well-being of individuals with disabilities.

~~B. There is hereby created the Strategic Planning Committee on the Olmstead Decision to continue until July 1, 2010. The purpose of the Committee is to monitor the implementation of the comprehensive, strategic plan for the State of Oklahoma regarding the Olmstead Decision.~~

~~C. The Strategic Planning Committee on the Olmstead Decision shall be composed of fifteen (15) appointed members, eighteen (18) ex officio members, and representatives from disability-related organizations, all of whom shall be voting members, as follows:~~

~~1. a. The Governor shall appoint:~~

- ~~(1) one person who is a community placement service provider for persons with disabilities,~~
- ~~(2) one person who is an advocate for persons with disabilities,~~
- ~~(3) one parent or personal representative of a person with disabilities,~~
- ~~(4) one member from an organization that provides direct care services within the Advantage Waiver Program, and~~
- ~~(5) one member who is a consumer of disability services.~~

~~b. The President Pro Tempore of the Senate shall appoint:~~

- ~~(1) two members of the State Senate,~~
- ~~(2) two members who are consumers of disability services, and~~
- ~~(3) one member with a disability who has moved from an institutional setting into the community.~~

~~c. The Speaker of the House of Representatives shall appoint:~~

- ~~(1) two members of the House of Representatives,~~
- ~~(2) one parent or personal representative of a person with disabilities,~~
- ~~(3) one member who is a consumer of disability services, and~~
- ~~(4) one member with a disability who has moved from an institutional setting into the community;~~

~~2. The ex officio voting members shall be:~~

- ~~a. the Attorney General, or designee,~~
- ~~b. the Director of the Department of Human Services, or designee,~~
- ~~c. the Division Director of the Developmental Disabilities Division of the Department of Human Services, if not the designee of the Director of Human Services,~~
- ~~d. the State Commissioner of Health, or designee,~~
- ~~e. the Commissioner of the Department of Mental Health and Substance Abuse Services, or designee,~~
- ~~f. the Administrator of the Oklahoma Health Care Authority, or designee,~~
- ~~g. the Director of the Office of Management and Enterprise Services, or designee,~~
- ~~h. the Director of the State Department of Rehabilitation Services, or designee,~~
- ~~i. the Director of the Office of Disability Concerns, or designee,~~
- ~~j. the Director of the Oklahoma Employment Security Commission, or designee,~~
- ~~k. the state coordinator for the federal Ticket To Work and Work Incentive Act, if not the designee of the Oklahoma Employment Security Director,~~
- ~~l. the Executive Director of a local housing authority, or designee,~~
- ~~m. the Executive Director of the Oklahoma Housing Finance Agency, or designee,~~
- ~~n. the State Superintendent of Public Instruction, or designee,~~

~~o. the Director of the Department of Transportation, or designee,~~

~~p. the Commissioner of Labor, or designee,~~

~~q. a representative from a local transit authority, or from a Community Action Agency, that provides transportation services to individuals with disabilities, and~~

~~r. the Director of the Oklahoma Commission on Children and Youth, or designee; and~~

~~3. The membership shall also include as voting members:~~

~~a. one representative from the Developmental Disabilities Council,~~

~~b. one representative from the Statewide Independent Living Council,~~

~~c. two representatives from the Centers for Independent Living,~~

~~d. one representative from the Center for Learning and Leadership,~~

~~e. one representative from the Oklahoma Disability Law Center,~~

~~f. one representative from ABLE-Tech,~~

~~g. one representative from the Oklahoma Mental Health Consumer Council, and~~

~~h. a representative of a nonprofit agency, in a county of five hundred thousand (500,000) or more population, that collaborates on programs and services for persons with disabilities.~~

~~D. 1. Members shall serve at the pleasure of their appointing authorities. A vacancy on the Committee shall be filled by the original appointing authority.~~

~~2. A majority of the members of the Committee shall constitute a quorum. A majority of the members present at a meeting may act for the Committee.~~

~~3. The President Pro Tempore and the Speaker shall each designate a cochair from among the members of the Committee.~~

~~4. The cochairs of the Committee shall annually establish a schedule of each year's meetings. The Committee shall meet at least four times annually.~~

~~5. Proceedings of all meetings of the Committee shall comply with the provisions of the Oklahoma Open Meeting Act.~~

~~6. The Committee may divide into subcommittees in furtherance of its purpose.~~

~~E. 1. The Department of Human Services and the Office of the Attorney General shall serve as lead agencies and as such shall provide primary staffing for the Committee. Appropriate personnel from the Oklahoma Health Care Authority and the Department of Mental Health and Substance Abuse Services shall also assist with the work of the Committee.~~

~~2. The Committee may use the expertise and services of the staffs of the State Senate and the House of Representatives and may, as necessary, employ and contract for the advice and services of experts in the field as well as other necessary professional and clerical staff.~~

~~F. All departments, officers, agencies, and employees of this state shall cooperate with the Committee in fulfilling its duties and responsibilities including, but not limited to, providing any information, records, or reports requested by the Committee.~~

~~G. Members of the Committee shall receive no compensation for their service, but shall receive travel reimbursement as follows:~~

~~1. Legislative members of the Committee shall be reimbursed for necessary travel expenses incurred in the performance of their duties in accordance with the provisions of Section 456 of Title 74 of the Oklahoma Statutes; and~~

~~2. Nonlegislative members of the Committee shall be reimbursed by their appointing authorities or respective agencies for necessary travel expenses incurred in the performance of their duties in accordance with the State Travel Reimbursement Act.~~

~~H. The duties and responsibilities of the Strategic Planning Committee on the Olmstead Decision shall include, but need not be limited to:~~

- ~~a. monitoring the implementation of the comprehensive, strategic plan for Oklahomans with disabilities, pursuant to the Olmstead Decision,~~
- ~~b. reviewing the service delivery system within the state and the way in which persons with disabilities currently access the services,~~
- ~~c. reviewing existing statutes, policies, programs, services and funding sources that affect Oklahomans with disabilities, including, but not limited to, identifying unique approaches and strategies to funding,~~
- ~~d. identifying and reviewing funding and resource information available to persons with disabilities and their families in this state,~~
- ~~e. identifying gaps and barriers in programs and services to individuals with disabilities and making any recommendations to enhance programs and the delivery system for persons with disabilities in Oklahoma,~~
- ~~f. examining the feasibility of expanding the eligibility criteria for people served by the Developmental Disabilities Services Division of the Department of Human Services to include people with disabilities who are not eligible for the Advantage Waiver program~~

~~through the Aging Services Division and those with other diagnoses who are at risk of out-of-home placement,~~

~~g. studying the feasibility and impact of requiring that assistive technology suppliers in this state meet national certification requirements, and~~

~~h. taking all other actions necessary to monitor and assist with the implementation of the comprehensive strategic plan.~~

~~i. The Committee shall prepare and submit a report of its findings and recommendations to the Legislature and Governor by July 15, 2007, and each July 15 thereafter, and shall submit a final report by July 1, 2010.~~

SECTION 102. AMENDATORY 56 O.S. 2021, Section 198.16, is amended to read as follows:

Section 198.16. A. In order to implement the Oklahoma Self-Directed Care Act:

1. The Oklahoma Health Care Authority Board and the Commission for Human Services are hereby authorized to promulgate rules necessary to enact the provisions of this act;

2. The Oklahoma Health Care Authority shall take all actions necessary to ensure state compliance with federal regulations;

3. The Authority shall apply for any necessary federal waivers or waiver amendments required to implement the program;

4. The Legislature intends that, as consumers relocate from institutional settings to community-based options, funds used to serve consumers in institutional settings shall follow consumers to cover the cost of community-based services; and

5. The Department of Human Services or other applicable state entity for the population served may develop an electronic benefit transfer feature for the provision of self-directed care services to consumers.

B. The Oklahoma Self-Directed Care Act, at a minimum, shall meet the following requirements:

1. The cost in the aggregate of the services offered through the self-directed care plan shall be equal to or less than the cost of a home- and community-based waiver or comparable waiver program;

2. The baseline level of consumer satisfaction shall be measured by a third party prior to initiation of the Oklahoma Self-Directed Care Act;

3. The scope of services offered within the Self-Directed Care Program shall comply with current state statutes and rules, and federal regulations; and

4. Program evaluation which shall include an indication of whether consumer satisfaction for Self-Directed Care Program consumers is higher than or equal to consumer satisfaction for home- and community-based waiver clients or other comparable waiver programs, as measured by a third party.

C. Upon the approval of the Centers for Medicare and Medicaid Services and the availability of funds, the Authority and the Department shall implement the Self-Directed Care Program statewide if the evaluation provided for in subsection B of this section demonstrates consumer satisfaction with and cost-effectiveness in the delivery of the program.

D. The Authority and the Department shall conduct a feasibility study on the future design and implementation of expanding the home- and community-based waiver program to include additional people with developmental disabilities, spinal cord injury or traumatic brain injury; provided, however, before allocating any new monies to such program, the Department and the Authority shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Legislature the results of the feasibility study and a fiscal impact statement.

E. The Authority and the Department of Human Services shall each, on an ongoing basis, review and assess the implementation of the Self-Directed Care Program. By January 15 of each year, the

Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a written report to the Governor and Legislature that includes each agency's review of the program.

F. The Department of Human Services shall appoint a committee to assist the Department in the development of waivers and rules related to self-directed services, including the functional needs assessment used for determination of eligibility for the Self-Directed Services program. The committee shall be composed of two self advocates or adults with developmental disabilities; two parents or family members of consumers; two advocates; two representatives of an agency providing Developmental Disabilities Services Division waiver services; one representative from the Oklahoma Parent Center; and one representative from the University of Oklahoma Health Sciences Center for Learning and Leadership. The committee shall sunset no later than four (4) years after implementation of programs indicated in this act. The Governor, President Pro Tempore of the Senate and the Speaker of the House of Representatives shall each appoint an at-large representative to the Committee.

The Authority is hereby directed to modify the state Medicaid program Personal Care Program to allow any person to self-direct his or her own personal care services who:

1. Is eligible to receive Personal Care Program services;
2. Chooses to receive Personal Care Program services; and
3. Is able to direct his or her own care or to designate an eligible representative to assist in directing such care.

SECTION 103. AMENDATORY 56 O.S. 2021, Section 229, is amended to read as follows:

Section 229. There is hereby created in the State Treasury a revolving fund for the Department of Human Services to be designated the "OK Benefits Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies designated to the fund by law. The Director of the Department of Human Services shall, at the end of each month,

electronically provide a current balance and statement of encumbrances of the fund to the Chair of the Senate Appropriations Committee and the Chair of the House of Representatives Committee on Appropriations and Budget utilizing the centralized filing system provided for in Section 378 of this act. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Department of Human Services for the sole purpose of the acquisition, operation, maintenance, repair, and replacement of the OK Benefits system at the Department of Human Services. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

SECTION 104. AMENDATORY 56 O.S. 2021, Section 230.50, is amended to read as follows:

Section 230.50. A. Sections 230.50 through 230.73 and 241.1 through 241.3 of this title shall be known and may be cited as the "Statewide Temporary Assistance Responsibility System (STARS)".

B. 1. There is hereby established the Statewide Temporary Assistance Responsibility System (STARS) which shall consist of programs and services to be offered by the state with funds provided by the temporary assistance for needy families block grant authorized by Section 103 of the federal Personal Responsibility and Work Opportunity Reconciliation Act of 1996, P.L. 104-193, in addition to other monies appropriated by law.

2. The STARS shall consist of integrated and coordinated programs and services that will provide recipients with the necessary tools to enable them to make the transition from reliance on public assistance programs to becoming independent, self-sufficient citizens who are capable of supporting themselves and their families. Such programs and services include but are not limited to: career guidance and employment preparation, job referral, vocational and technical training, child care initiatives, literacy development, adult basic education, and medical assistance.

3. The Oklahoma Legislature further recognizes the importance of encouraging establishment of statewide, One-stop Career/Employment Centers that would link existing resources and

federal and state programs for utilization by persons receiving temporary assistance, and underemployed and unemployed persons.

C. The Department of Human Services shall be responsible for:

1. Implementing the federal Temporary Assistance for Needy Families Act (TANF);

2. Carrying out the projects and programs specified in the STARS. The Department shall implement the provisions of the STARS to the fullest extent permitted by law and in accordance with the terms and conditions specified by the federal government;

3. Expediting the acquisition of any federal waivers necessary to implement the provisions of STARS through amendments, combined waivers, requests, and in any other such manner authorized by federal law and regulations;

4. Working in close and continuous coordination with appropriate federal officials and preparing and submitting completely and in a timely manner all forms and data required by federal officials to implement STARS; and

5. Continuing to explore and expand opportunities for the state to pursue agreements with additional service providers including but not limited to community colleges, technology centers, and community resources in order to provide direct referral and link recipients with career and technology education and training programs.

D. In administering the STARS, the Department shall collaborate with the Oklahoma Employment Security Commission, the Department of Commerce, the State Department of Health and the State Department of Education and any other state or federal agency necessary to implement the provisions of the STARS.

E. In submitting any state plan or amendments to the state plan to the federal government in order to obtain a temporary assistance for needy families block grant or child care and development block grant, the Department shall seek the maximum block grant funding and federal contingency fund allocations that are available pursuant to the federal Personal Responsibility and Work Opportunity Reconciliation Act of 1996, P.L. 104-193.

F. The Department for Human Services shall promulgate rules for developing any projects and programs to implement the STARS.

G. 1. The Department of Human Services is directed to file with the Speaker of the House of Representatives and the President Pro Tempore of the Senate a copy of any waiver application or request for amendment or exemption filed with the federal government, copies of correspondence to and from the federal government explaining and elaborating upon said applications, and final documentation of any waivers, amendments, and exemptions granted by the federal government pursuant to the STARS.

2. On or before February 1, 1998, for the previous six-month period, and on or before February 1 of each year, for the previous fiscal year, the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a written report on each project and program specified in the STARS to the Legislature and the Governor which identifies:

- a. total number of new applications received by the Department for TANF, food stamps and child care, and the number of cases actually certified,
- b. number of recipients who signed a personal responsibility agreement pursuant to the TANF program,
- c. number of cases closed by the Department and the reasons for the case closures,
- d. the number of persons who reapplied for benefits pursuant to the TANF program after a case had been closed,
- e. number of recipients who completed an employability assessment by level of education,
- f. the total number of recipients who completed an employability assessment, and the number who were initially referred for:

- (1) literacy assessment,

- (2) adult basic education or remediation classes,
 - (3) job skills development or vocational training,
 - (4) employment, or
 - (5) other,
- g. of the total number of recipients assessed for literacy skills, the number who scored:
 - (1) at or below 6th grade level,
 - (2) at 7th or 8th grade level,
 - (3) at 9th or 10th grade level, or
 - (4) above 10th grade level,
- h. number of sanctions imposed for violations of the provisions of the STARS or rules promulgated pursuant thereto or any other provision of law or rule relating to receipt of benefits by a recipient and the reasons for imposing the sanction,
- i. percentage of recipients in allowable work activities,
- j. number of recipients in each allowable work activity and the length of time spent in that activity,
- k. number of recipients employed by state agencies and contract service providers,
- l. number of recipients entering the workforce by occupation types,
- m. estimated average monthly earnings for employed aid recipients,
- n. average monthly number of hours worked by recipients,

- o. number of qualified aliens applying for assistance pursuant to the STARS and number of applications certified by the Department, and
- p. such other information deemed necessary by the Department.

SECTION 105. AMENDATORY 56 O.S. 2021, Section 230.65, is amended to read as follows:

Section 230.65. A. 1. The Department of Human Services shall conduct an employability assessment of the education, training, skills, prior work experience, and supportive service needs of individuals applying for and receiving assistance pursuant to the Temporary Assistance for Needy Families (TANF) program.

2. The Department shall arrange for administration of a recognized literacy screening for individuals who have not obtained a high school diploma or General Educational Development (GED) credential and have exhibited a lack of literacy skills. If, in the opinion of the Department, the applicant or recipient who has obtained a high school diploma or GED lacks reading skills to the extent that such insufficiency limits the applicant's or recipient's ability to become self-supporting, the Department shall refer the individual for a literacy assessment.

3. The Department shall utilize existing community resources, including, but not limited to, volunteer literacy groups and adult basic education programs, when arranging for literacy assessments and remediation of clients who lack sufficient reading skills.

B. The Department of Human Services shall require services to be provided to each applicant or recipient of benefits in any program according to a written personal responsibility agreement. The agreement shall reflect the education, training, skills, prior work experience and supportive service needs of the applicant or recipient and shall be:

1. Written in English, or translated into Spanish or other language, according to the applicant's or recipient's needs;

2. Signed by the applicant or recipient;

3. Signed by the parent of the applicant or recipient if the applicant or recipient is under eighteen (18) years of age;

4. Signed by the case manager; and

5. Reviewed by both the applicant or recipient and the case manager at least once a year. The agreement may be revised from time to time according to the needs of the recipient, the recipient's family, and the program.

C. The personal responsibility agreement shall set forth the specific responsibilities of the recipient, at a minimum, to:

1. Develop a detailed plan for achieving self-sufficiency;

2. Participate in any educational or training program required by the Department pursuant to the results of the employability and literacy assessments;

3. Participate in life-skills training including, but not limited to, financial management classes, conflict resolution training, and social skills development;

4. Be available for and actively seek and maintain employment, and accept any reasonable employment as soon as it becomes available as required by the TANF program;

5. Participate in a community service, public works or private sector job pursuant to the requirements of the Statewide Temporary Assistance Responsibility System and the results of the employability and literacy assessments;

6. If the recipient is a minor parent, live in a supervised adult setting;

7. Accept responsibility for ensuring that the recipient's child complies with the attendance requirements of the local school district and attends school until the child of the recipient either:

a. graduates from high school or attains a high school equivalency certificate, or

b. becomes nineteen (19) years of age,
whichever occurs first;

8. Accept responsibility for attending any classes required by a program at least ninety percent (90%) of the time;

9. Immunize the recipients' minor children pursuant to the State Department of Health's immunization schedule; and

10. a. Undergo a literacy skills assessment utilizing a testing instrument which measures whether such recipient is reading at a minimum of an eighth grade reading level, where the recipient has the capacity to read at such level or, regardless of reading level, which indicates that the recipient would benefit from compulsory participation in a literacy skills improvement program.
- b. Based on the results of the assessment, the recipient shall agree to enroll and actively participate in a literacy skills improvement program and provide documentation of substantial quantifiable literacy improvement. Any recipient who is reading at less than an eighth grade level shall be required to continue to substantially and quantifiably improve his or her reading skills until such recipient demonstrates a level of reading proficiency that is at least equal to an eighth grade reading level.
- c. On or before December 31 of each year, the Department of Human Services shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives a written report outlining by age the number of recipients:
- (1) assessed for literacy skills,

- (2) who failed to demonstrate eighth grade reading level proficiency,
- (3) who agreed to enroll and participate in a literacy skills improvement program, and
- (4) who either provided documentation of substantial quantifiable literacy skills improvement or whose case was closed prior to completion.

D. The Department may sanction or impose financial penalties on a recipient for failure to comply with the provisions of the personal responsibility agreement.

SECTION 106. AMENDATORY 56 O.S. 2021, Section 239, is amended to read as follows:

Section 239. On or before December 31 of each year, the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a written report with the Division of the Budget and Division of Central Accounting and Reporting, the Director of the Legislative Service Bureau, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives, containing an accounting of all monies received by the Department from the federal programs pursuant to Title IV-D of the Social Security Act, as amended, and all monies received pursuant to orders for child support or administrative determinations of the Department for the preceding federal fiscal year. The report shall also specify any expenditures made by the Department pursuant to orders for child support or administrative determinations of the Department for the preceding federal fiscal year.

SECTION 107. AMENDATORY 56 O.S. 2021, Section 241.4, is amended to read as follows:

Section 241.4. A. No debit or electronic benefit transfer cards that contain state or federal funds from programs including, but not limited to, Temporary Assistance for Needy Families (TANF) may be used in any transaction in:

- 1. Any liquor store;

2. Any casino, gambling casino or gaming establishment;

3. Any retail establishment which provides adult-oriented entertainment in which performers disrobe or perform in an unclothed state for entertainment; or

4. Any retail establishment whose principal business is that of selling cigarettes, cigar or tobacco products.

B. For the purposes of this act:

1. "Liquor store" means any retail establishment that sells exclusively or primarily intoxicating liquor but does not include a grocery store that sells both intoxicating liquor and groceries;

2. "Casino", "gambling casino" and "gaming establishment" do not include:

a. a grocery store that sells groceries and that also offers, or is located within the same building or complex as an establishment that offers casino, gambling or gaming activities, or

b. any other establishment that offers casino, gambling or gaming activities incidental to the principal purpose of the business; and

3. "Electronic benefit transfer transaction" means the use of a credit or debit card service, automated teller machine, point-of-sale terminal, or access to an online system for the withdrawal of funds or the processing of a payment for merchandise or service.

C. An individual who violates the provisions of this section shall be subject to a reduction in Temporary Assistance for Needy Families (TANF) benefits as follows:

1. For the first violation, twenty-five percent (25%) of the individual's TANF payment standard for a period of three (3) months;

2. A second violation following the three (3) month reduction in benefits shall result in a thirty-five percent (35%) reduction in TANF benefits for six (6) subsequent months;

3. A third violation following the six (6) month reduction in benefits shall result in a fifty percent (50%) reduction in TANF benefits for twelve (12) subsequent months; and

4. Subsequent violations shall result in the individual being deemed permanently ineligible for TANF benefits. Individuals with children receiving TANF benefits shall only be eligible to receive benefit payments for dependent children as provided by state and federal law.

~~D. By August 1, 2013, the Oklahoma Department of Human Services shall report on the status of an implementation plan pursuant to the provisions of this section. The President Pro Tempore of the Senate and the Speaker of the House of Representatives shall be provided with updates on the status of implementation on a quarterly basis until provisions of this section are fully implemented by the Department.~~

SECTION 108. AMENDATORY 56 O.S. 2021, Section 1008, is amended to read as follows:

Section 1008. The Attorney General shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report, due by July 1 of each year, to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Governor, and the Secretary of State detailing the number of Medicaid fraud cases investigated and litigated and the amount of monies collected in the previous fiscal year.

SECTION 109. AMENDATORY 56 O.S. 2021, Section 1011.5, is amended to read as follows:

Section 1011.5. A. 1. The Oklahoma Health Care Authority shall develop an incentive reimbursement rate plan for nursing facilities focused on improving resident outcomes and resident quality of life.

2. Under the current rate methodology, the Authority shall reserve Five Dollars (\$5.00) per patient day designated for the quality assurance component that nursing facilities can earn for improvement or performance achievement of resident-centered outcomes metrics. To fund the quality assurance component, Two Dollars (\$2.00) shall be deducted from each nursing facility's per diem rate, and matched with Three Dollars (\$3.00) per day funded by the Authority. Payments to nursing facilities that achieve specific metrics shall be treated as an "add back" to their net reimbursement per diem. Dollar values assigned to each metric shall be determined so that an average of the five-dollar-quality incentive is made to qualifying nursing facilities.

3. Pay-for-performance payments may be earned quarterly and based on facility-specific performance achievement of four equally-weighted, Long-Stay Quality Measures as defined by the Centers for Medicare and Medicaid Services (CMS).

4. Contracted Medicaid long-term care providers may earn payment by achieving either five percent (5%) relative improvement each quarter from baseline or by achieving the National Average Benchmark or better for each individual quality metric.

5. Pursuant to federal Medicaid approval, any funds that remain as a result of providers failing to meet the quality assurance metrics shall be pooled and redistributed to those who achieve the quality assurance metrics each quarter. If federal approval is not received, any remaining funds shall be deposited in the Nursing Facility Quality of Care Fund authorized in Section 2002 of this title.

6. The Authority shall establish an advisory group with consumer, provider, and state agency representation to recommend quality measures to be included in the pay-for-performance program and to provide feedback on program performance and recommendations for improvement. The quality measures shall be reviewed annually and shall be subject to change every three (3) years through the agency's promulgation of rules. The Authority shall insure adherence to the following criteria in determining the quality measures:

- a. provides direct benefit to resident care outcomes,

- b. applies to long-stay residents, and
- c. addresses a need for quality improvement using the Centers for Medicare and Medicaid Services (CMS) ranking for Oklahoma.

7. The Authority shall begin the pay-for-performance program focusing on improving the following CMS nursing home quality measures:

- a. percentage of long-stay, high-risk residents with pressure ulcers,
- b. percentage of long-stay residents who lose too much weight,
- c. percentage of long-stay residents with a urinary tract infection, and
- d. percentage of long-stay residents who got an antipsychotic medication.

B. The Oklahoma Health Care Authority shall negotiate with the Centers for Medicare and Medicaid Services to include the authority to base provider reimbursement rates for nursing facilities on the criteria specified in subsection A of this section.

C. The Oklahoma Health Care Authority shall audit the program to ensure transparency and integrity.

D. The Oklahoma Health Care Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide an annual report of the incentive reimbursement rate plan to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate by December 31 of each year. The report shall include, but not be limited to, an analysis of the previous fiscal year including incentive payments, ratings, and notable trends.

SECTION 110. AMENDATORY 56 O.S. 2021, Section 1017.4, is amended to read as follows:

Section 1017.4. A. The Oklahoma Health Care Authority is directed to create a system of enrollment, Medicaid eligibility, and certification for home- and community-based services provided by the ADvantage Waiver Program that provides for presumptive Medicaid eligibility and certification that is the same as that which exists for nursing facilities as provided for in administrative rules promulgated by the Oklahoma Health Care Authority Board. The system shall facilitate the provision of home- and community-based services to persons at risk of placement in a nursing facility but who elect to be served in a home- and community-based setting in lieu of nursing facility services.

B. The Department of Human Services is directed to make such changes in its regulations, policies and procedures as are necessary to implement the enrollment, Medicaid eligibility, and certification requirements established pursuant to subsection A of this section.

~~C. The Oklahoma Health Care Authority shall develop and submit for approval no later than November 1, 2011, applications for waivers or amendments to waivers of applicable federal laws and regulations as necessary to implement the provisions of the Oklahoma Choices for Long-Term Care Act. Copies of all waivers submitted to the United States Centers for Medicare and Medicaid Services shall be provided to the Governor, the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the Oklahoma State Senate within ten (10) days of their submissions. Waivers and amendments to waivers approved by the United States Centers for Medicare and Medicaid Services as provided in this section shall be provided to the Governor, the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the Oklahoma State Senate within ten (10) days of their approval. The Oklahoma Health Care Authority shall implement any waivers and amendments to waivers approved by the United States Centers for Medicare and Medicaid Services no later than January 1, 2012, or within sixty (60) days of their approval. The Oklahoma Health Care Authority shall report the savings as the result of the Oklahoma Choices for Long-Term Care Act each year in its annual report.~~

SECTION 111. AMENDATORY 56 O.S. 2021, Section 3002, is amended to read as follows:

Section 3002. A. The following agencies are directed to jointly design and implement a coordinated system of information, referral, and follow-up services for older Oklahomans:

1. The Aging Services Division of the Department of Human Services;

2. The State Department of Health;

3. The Department of Mental Health and Substance Abuse Services;

4. The Oklahoma Health Care Authority;

5. The Oklahoma Department of Veterans Affairs; and

6. The Office of Management and Enterprise Services.

B. 1. The Aging Services Division of the Department of Human Services shall be the lead agency for the design and implementation of the system required by the Coordination of Services for Older Oklahomans Act and shall be responsible for convening meetings and providing meeting space, administrative, staff and other necessary support services. The Division shall convene the first meeting of the agencies on or before July 1, 1996.

2. The remaining agencies listed in subsection A of this section shall be responsible for providing information, staff, and other assistance as necessary to design and implement the system required by the Coordination of Services for Older Oklahomans Act.

3. The Aging Services Division shall invite representatives of the Area Agencies on Aging, Eldercare, managed health care organizations and other appropriate public and private entities to participate in the design of the system required by the Coordination of Services for Older Oklahomans Act.

4. The Office of Management and Enterprise Services shall provide technical assistance and support necessary for the development of the shared, computerized data base required by the Coordination of Services for Older Oklahomans Act.

C. On or before December 1 of each year, the agencies listed in subsection A of this section shall jointly submit a report electronically to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the chairs of the appropriate legislative committees utilizing the centralized filing system provided for in Section 378 of this act. The report shall include, but not be limited to:

1. A statement on the progress in the design and implementation of the system required by the Coordination of Services for Older Oklahomans Act; and

2. Identification of any statutory changes and funding necessary to implement the system.

SECTION 112. AMENDATORY Section 17, Chapter 395, O.S.L. 2022, as amended by Section 3, Chapter 386, O.S.L. 2025 (56 O.S. Supp. 2025, Section 4002.12b), is amended to read as follows:

Section 4002.12b. A. The Oklahoma Health Care Authority shall ensure the sustainability of the transformed Medicaid delivery system.

B. The Authority shall ensure that existing revenue sources designated for the state share of Medicaid expenses are designed to maximize federal matching funds for the benefit of providers and the state.

C. The Authority shall develop a plan, utilizing waivers or Medicaid state plan amendments as necessary, to preserve or increase supplemental payments available to providers with existing revenue sources as provided in the Oklahoma Statutes including, but not limited to:

1. Hospitals that participate in the supplemental hospital offset payment program as provided by Section 3241.3 of Title 63 of the Oklahoma Statutes;

2. Hospitals in this state that have Level I trauma centers, as defined by the American College of Surgeons, that provide inpatient and outpatient services, along with comprehensive pediatric services, and are owned, operated, or in partnership with the

University Hospitals Trust or the Oklahoma State University Medical Trust, or affiliates or locations of those hospitals designated by the University Hospitals Trust or the Oklahoma State University Medical Trust as part of the hospital trauma system. The qualified entities in the Oklahoma City metropolitan area shall be a hospital owned, operated, or in partnership with the University Hospitals Authority or University Hospitals Trust. The qualified entities in the Tulsa metropolitan area shall be a hospital owned, operated, or in partnership with the Oklahoma State University Medical Authority, or Oklahoma State University Medical Trust; and

3. Providers employed by or contracted with, or otherwise a member of the faculty practice plan of:

- a. a public, accredited Oklahoma medical school, or
- b. a hospital or health care entity directly or indirectly owned or operated by the University Hospitals Trust or the Oklahoma State University Medical Trust.

D. Subject to approval by the Centers for Medicare and Medicaid Services, the Authority shall preserve and, to the maximum extent permissible under federal law, improve existing levels of funding through directed payments or other mechanisms outside the capitated rate to contracted entities, including, where applicable, the use of a directed payment program with an average commercial rate methodology under the Supplemental Hospital Payment Program Act.

~~E. On or before January 31, 2023, the Authority shall submit a report to the Oklahoma Health Care Authority Board, the Chair of the Appropriations Committee of the Oklahoma State Senate, and the Chair of the Appropriations and Budget Committee of the Oklahoma House of Representatives that includes the Authority's plans to continue supplemental payment programs and implement a managed care directed payment program for hospital services that complies with the reforms required by this act. If Medicaid-specific funding cannot be maintained as currently implemented and authorized by state law, the Authority shall propose to the Legislature any modifications necessary to preserve supplemental payments and managed care directed payments to prevent budgetary disruptions to providers.~~

~~F.~~ The Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the President Pro Tempore of the Oklahoma State Senate and the Speaker of the Oklahoma House of Representatives that includes at a minimum:

1. A description of the selection process of the contracted entities;

2. Plans for enrollment of Medicaid members in health plans of contracted entities;

3. Medicaid member network access standards;

4. Performance and quality metrics;

5. Maintenance of existing funding mechanisms described in this section;

6. A description of the requirements and other provisions included in capitated contracts; and

7. A full and complete copy of each executed capitated contract.

~~G.~~ F. 1. Each contracted entity shall report to the Authority in time intervals determined by the Authority and through a process determined by the Authority all claims data, expenditures, and such other financial reporting information as may be required by the Authority.

2. The Authority shall compile and analyze the information described in paragraph 1 of this subsection and annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report summarizing such information, devoid of any personally identifying information, to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Oklahoma Health Care Authority Board.

SECTION 113. AMENDATORY 57 O.S. 2021, Section 95, is amended to read as follows:

Section 95. A. Any person convicted of an offense against the laws of this state and sentenced to imprisonment that is not to be served in a county jail shall be transported by the sheriff of the county where the person is sentenced, or transported by a designated representative of the sheriff, to the Department of Corrections at the Lexington Assessment and Reception Center or other location designated by the Director of the Department of Corrections.

B. Any person convicted of an offense against the laws of this state and sentenced to imprisonment that is not to be served in a county jail and who is not housed in a county jail shall be transported by the detention center, or transported by a designated representative of the detention center, to the Department of Corrections at the Lexington Assessment and Reception Center or other location designated by the Director of the Department of Corrections.

C. The sheriff shall deliver the person to the Department at such center together with:

1. A certified copy of the judgment and sentence from the court ordering such imprisonment, unless the judgment and sentence previously has been sent electronically by an authorized clerk of the court;

2. A certificate setting forth the number of days served in the county jail after the pronouncement of judgment and rendering of sentence for the offenses committed;

3. A copy of any medical, dental, or mental health records of the defendant for conditions reviewed or treated while in the custody of the sheriff;

4. Any medication or medical or dental device prescribed for the defendant while in the custody of the sheriff or for a preexisting condition; and

5. A copy of the presentence investigation report, if a report was prepared.

D. The Department of Corrections shall give the sheriff a receipt for each person received into the custody of the Department.

The receipt shall be filed by the sheriff in the office of the clerk of the court where the sentence was made.

E. The Department of Corrections shall reimburse the transporting agency as follows:

1. Mileage from the county sheriff's office to the appropriate reception center and back to the county sheriff's office; and

2. Hourly wage reimbursement for the transporting officer for the hours of transport travel and time spent at the reception center based on the transporting officer's normal hourly wage. Reimbursement shall not exceed Thirty Dollars (\$30.00) an hour per officer. Documentation of the officer's hourly wage shall accompany all reimbursement requests to the Department.

The Department of Corrections shall have the authority to promulgate rules and forms for the reimbursement procedures provided in this section.

The Department of Corrections shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a quarterly report to the Chair of the Senate Appropriations Committee and Chair of the House of Representatives Appropriations and Budget Committee.

SECTION 114. AMENDATORY 57 O.S. 2021, Section 115, is amended to read as follows:

Section 115. A. A reentry program is hereby authorized to be created within the Department of Corrections by January 1, 2005, for offenders who need structured release prior to completion of the sentence. The reentry program shall be designed to provide structure and control as offenders near release to the community without supervision. No offender otherwise eligible for any community placement, halfway house, work release program, or minimum security placement shall be eligible for this program. The program shall not receive state appropriations and shall be fully funded by federal or private funds.

B. The reentry program shall begin in a county or counties selected by the Department and may expand or change to other

locations within the state at the discretion of the Department. The program shall provide a continuum of services to meet the needs of offenders assigned or required to complete the program. The program duration shall be eighteen (18) months composed of twelve (12) months at minimum security level and six (6) months at community placement prior to release. The inmate is required to complete twelve (12) months at minimum security level prior to completing the six (6) months at community placement. The Department is authorized to use monitoring and supervision in all levels of security as necessary to ensure structure, control, and compliance.

C. The Department shall designate at least one medium, minimum and community security level facility capable of serving male and female offenders assigned or required to complete the program. Male and female offenders shall not be housed in the same facility. Each of the designated facilities shall be solely devoted to the program. Nothing in this act shall require all offenders to be assigned to a reentry program prior to release without supervision.

D. Any offender assigned or required to complete a reentry program who subsequently fails, refuses or is noncompliant in the reentry program shall be removed from the program, after notice of a program failure, and placed in a higher security level facility according to the rules established for the program. Earned credits may be withheld for those inmates who fail to satisfactorily complete the program as provided by rule.

E. All services available in the reentry program shall be selected after open bid and the Department shall actively solicit faith-based and secular providers in all service provider categories. Offenders assigned to the reentry program shall choose a provider of services for each service category.

F. All service providers contracting for the reentry program shall be required to meet outcome-based standards and evaluations and are required to measure recidivism for all offenders placed for services with that provider according to the rules of the Department.

G. The Department shall consider offenders with long-term incarceration, violent offenses, repeat offenders with multiple incarcerations, offenders ineligible for parole who will be released

without supervision, offenders with parole stipulations, and offenders having consecutive sentences longer than the calculation of a life sentence for purposes of ~~determining~~ determining parole eligibility.

H. The Governor and the Pardon and Parole Board shall work together with the Department of Corrections within the capabilities of the reentry program and shall have the authority to stipulate that an offender shall be paroled, conditioned upon completion of the program, without further hearing recommendation or approval.

I. No offender shall be placed in the reentry program until the offender is within eighteen (18) months of release from the custody of the Department or is granted, by stipulation or otherwise, a parole release upon completion of the reentry program. Nothing in this act shall operate to reduce the length of a sentence to incarceration, except completion of the reentry program.

J. The Department shall establish rules and procedures to implement the provisions of this act. An annual report shall be generated at the completion of each calendar year. This report shall reflect the evaluation of the program based on the outcomes designated by the Department. Copies of ~~said~~ such report shall be forwarded by electronic submission, utilizing the centralized filing system provided for in Section 378 of this act, to the Governor, the Chair of the Sentencing Commission, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the majority and minority leaders of the Legislature.

SECTION 115. AMENDATORY 57 O.S. 2021, Section 521, is amended to read as follows:

Section 521. A. Whenever a person is convicted of a felony and is sentenced to imprisonment that is not to be served in a county jail, the person shall be committed to the custody of the Department of Corrections and shall be classified and assigned to a correctional facility or program designated by the Department and authorized by law.

B. It is the intent of the Legislature that inmates in the custody of the Department of Corrections, prior to leaving the custody of the Department, be reintegrated into society through the

use of work release programs, work centers, community corrections centers, intermediate sanctions facilities, accredited halfway houses, and transitional living centers, subject to the availability of space and funding.

C. All persons who have nonassaultive institutional records and who are convicted of only previous and current nonviolent offenses and have a nonviolent juvenile record and are sentenced to the custody of the Department of Corrections shall be processed for assignment to a work release program, a work center, a community corrections center, an intermediate sanctions facility, an accredited halfway house, a transitional living facility, or any combination of such placements not less than two hundred ten (210) calendar days immediately prior to release from the custody of the Department of Corrections, unless the offender is currently participating in another approved program based upon the offender's needs assessment. Other persons may be processed for assignment according to the offender's needs and security classification not more than one hundred eighty (180) days prior to release from the custody of the Department. This assignment shall be for the purpose of assisting the person in obtaining gainful employment, receiving reintegration skills, and locating a suitable post-release residence. For purposes of this subsection, assistance in obtaining employment, receiving reintegration skills, and a post-release residence shall be part of the function of the placement and shall not be construed to require or authorize any financial assistance or expenditure of state funds to any inmate or to any contract provider for additional program services to an individual inmate.

D. The provisions of subsections B and C of this section shall not be applicable to inmates, as determined on an individual basis by the Department of Corrections, who otherwise constitute a serious or immediate risk to public health and safety.

E. Nothing in this section shall require a county jail to provide any services that are not currently being provided.

F. Not later than February ~~1st~~ 1 of each year beginning February 1, 2011, the Director of the Department of Corrections shall post on the Department's website and, utilizing the centralized filing system provided for in Section 378 of this act, electronically transmit to the President Pro Tempore of the Senate,

the Speaker of the House of Representatives, and the Governor, a report on the progress of the Department in meeting the goals and intent of subsections B and C of this section. Such report shall, at a minimum, include the following information:

1. A listing of all facilities owned, operated, ~~and/or~~ or contracted to the Department by security level together with the number of inmates released from each facility during the preceding calendar year;

2. A total of the number of inmates released from physical custody during the preceding calendar year;

3. A total of the number of inmates employed by private employers prior to the inmate's release from physical custody; and

4. A total of the number of inmates exiting the Department's system who have spent less than one hundred eighty (180) calendar days in a halfway house.

The report shall be in such form and contain such other information as may be required or desired by the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor.

SECTION 116. AMENDATORY 57 O.S. 2021, Section 530.3, is amended to read as follows:

Section 530.3. It is the intent of the Legislature that the Department of Corrections vigorously provide assistance to the United States Department of Justice:

1. For the identification of foreign-born nationals who are in the custody of the Department of Corrections;

2. In conducting interviews of and processing foreign-born nationals or suspected foreign-born nationals who are in the custody of the Department of Corrections; and

3. In conducting and completing the deportation process of inmates whom the United States Department of Justice determines to be aliens deportable from the United States. The Department of

Corrections shall assist the Immigration and Naturalization Service in obtaining court certified copies of any records requested for use in official criminal or administrative proceedings.

The Department of Corrections shall implement rules for the determination of the place of birth of all inmates in the custody of the Department. This determination shall be completed by January 1, 1997. Upon completion of this determination, the Department of Corrections shall report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives how many inmates in the custody of the Department are not citizens of the United States. The Department of Corrections shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit updated reports to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives on a quarterly basis.

The Department of Corrections shall also implement rules for the notification of the Immigration and Naturalization Service of the identity of all inmates in the custody of the Department of Corrections who are foreign-born nationals or that the Department of Corrections suspects are foreign-born nationals. The Department of Corrections shall convene a working group and include the Immigration and Naturalization Service in the formulation of rules for implementation of this section.

SECTION 117. AMENDATORY 57 O.S. 2021, Section 541, is amended to read as follows:

Section 541. A. There is hereby created in the State Treasury an Industries Revolving Fund for the Department of Corrections.

B. The revolving fund shall consist of earnings derived from prison industries operated by the Department of Corrections and from that portion of the prisoner's income apportioned and paid into the prison system to recover the cost of incarceration of the prisoners as provided by law. Funds derived from prisoner wages shall be maintained and accounted for separately in this fund. The Industries Revolving Fund shall be a continuing fund, not subject to fiscal year limitations, and shall be under the control and management of the State Board of Corrections.

C. Expenditures from the Industries Revolving Fund shall be budgeted and expended pursuant to the laws of the state and the statutes relating to public finance and to the institution. The fund may be used to purchase, maintain, and repair machinery, to purchase materials and supplies for the prison industries, and to defray any other expenses necessary to operation of the industries, with first priority being given to repairs, replacement, and modernization of industrial or agricultural machinery or equipment. These funds may also be used to support the overall operation of the Department of Corrections subject to approval of the Director of the Department of Corrections. Expenditures from the fund derived from prisoner's income may be used for the maintenance of prisoners in prison institutions and all expenses related thereto under such rules as may be established by the State Board of Corrections. Warrants for expenditures from the Industries Revolving Fund shall be based on claims signed by an authorized employee or employees of the Department, and approved for payment by the Director of the Office of Management and Enterprise Services. The Department shall maintain a separate accounting of receipts and expenditures for each industry for periodic review by the Legislature. The fund may not be used to employ personnel in excess of those authorized by legislative action.

D. All funds in the Department of Corrections' Industries Revolving Funds not encumbered or obligated upon the operative date of this section shall be transferred to a single Industries Revolving Fund of the Department of Corrections.

E. The Administrator of Industrial Production will determine the prices of all goods produced through the state prison industries, and the Administrator of Agri-Services will determine the prices of all goods produced by Agri-Service units. These prices will be filed with the Budget Office.

When industrial or agricultural items or products are furnished to the institutions of the Department, or sold to other governmental agencies, payment therefor shall be made within thirty (30) days for deposit in the revolving account to be used in purchasing expendable items, raw materials or other items needed to produce additional such products or items, and for such other purposes as are authorized by law. The Administrator of Industrial Production or Administrator of Agri-Services may establish higher prices for sale

of products to governmental agencies, according to the current market value of each product.

F. The Department of Corrections is authorized to pay inmates for productive work in accordance with policies set by the State Board of Corrections. The State Board of Corrections shall certify the positions to be paid and the rate of pay in accordance with the responsibilities and skills required for the position. The Department of Corrections shall develop policies for payment of inmates in the Industries Program that promote productivity as well as compensate for responsibilities and skills. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file such policy statements with the Chairs of the appropriate committees of both the Senate and the House of Representatives as designated by the President Pro Tempore of the Senate and the Speaker of the House of Representatives. Any change in this policy by the State Board of Corrections may be voided by legislative action to rescind such policy.

SECTION 118. AMENDATORY 59 O.S. 2021, Section 858-705.1, is amended to read as follows:

Section 858-705.1. A. In addition to the seven (7) appointed members of the Board, the Insurance Commissioner shall serve as ex-officio Chairperson of the Board, voting only in case of a tie.

B. As Chairperson, the Insurance Commissioner, in addition to his duties prescribed by law as Insurance Commissioner on September 1, 1991, shall be required to perform the following duties, for which duties he or she shall be paid an additional Twelve Thousand Dollars (\$12,000.00) annually, payable monthly from appropriations made to the Insurance Department:

1. Keep records of the proceedings of the Board;
2. Call special meetings of the Board when in the judgment of the chairperson it is necessary or proper to do so;
3. Procure appropriate examination questions and answers which shall meet criteria established by the Appraisal Qualifications Board of the Appraisal Foundation and approved by the Board;

4. Prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically file an annual report with the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor detailing the number of applicants for the examination and the pass/fail rate;

5. Establish and maintain a recordkeeping system approved by the Board to monitor compliance with the continuing education requirements imposed by law;

6. Make recommendations to the Board concerning the establishment of administrative procedures for conducting disciplinary proceedings pursuant to the provisions of the Oklahoma Certified Real Estate Appraisers Act;

7. Develop a procedure approved by the Board whereby persons aggrieved by the actions of a licensed or certified appraiser may file complaints with the Board;

8. Annually compile and, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the House of Representatives, President Pro Tempore of the Senate, and the Governor detailing the number of complaints received by the Board, the resulting number of investigations and hearings conducted and the final disposition of these matters; and

9. Prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor evaluating the impact of the voluntary licensure/certification program on future appraisers and recommend whether an appraiser trainee or apprenticeship program should be instituted; ~~and~~

~~10. Submit to the Speaker of the House of Representatives, the President Pro Tempore of the Senate and the Governor on or before January 1, 1994, a report evaluating the impact of the licensure/certification requirements imposed by the Oklahoma Certified Real Estate Appraisers Act on the appraiser and banking industry and include in the report any recommendations for~~

~~amendments to the Oklahoma Certified Real Estate Appraisers Act.~~

SECTION 119. AMENDATORY 59 O.S. 2021, Section 1000.4, as last amended by Section 1, Chapter 321, O.S.L. 2025 (59 O.S. Supp. 2025, Section 1000.4), is amended to read as follows:

Section 1000.4. A. 1. Pursuant to and in compliance with Article I of the Administrative Procedures Act, the Construction Industries Board shall have the power to adopt, amend, repeal, and promulgate rules as may be necessary to regulate the plumbing, electrical, roofing, and mechanical trades, building and construction inspectors and home inspectors. All rules promulgated by the Board shall be reviewed and approved as provided in subsection F of Section 308 of Title 75 of the Oklahoma Statutes.

2. The Board shall have the power to enforce the provisions of the Construction Industries Board Act, The Plumbing License Law of 1955, the Oklahoma Inspectors Act, the Electrical License Act, the Mechanical Licensing Act, the Home Inspection Licensing Act, and the Roofing Contractor Registration Act, as provided in the respective acts.

B. The Board shall have the following powers:

1. Exercise all incidental powers and duties which are necessary to effectuate the provisions of The Plumbing License Law of 1955, the Oklahoma Inspectors Act, the Electrical License Act, the Mechanical Licensing Act, the Home Inspection Licensing Act, and the Roofing Contractor Registration Act, including but not limited to authorizing the Board chair, vice-chair, administrator, or designee to determine good reason for and to cancel a scheduled meeting or reschedule meetings of a licensing or registration act advisory examining committee of the Board pursuant to state requirements. Such canceling or rescheduling meetings authority provided for in this section shall supersede all other meeting scheduling requirements for acts administered by the Board;

2. Serve as a code variance and appeals board for the trades and industries it regulates which do not have statutory code variance and appeals boards;

3. Order or subpoena the attendance of witnesses, the inspection of records and premises, and the production of relevant books and papers for the investigation of matters that may come before the Board;

4. Initiate disciplinary proceedings, request prosecution of and initiate injunctive proceedings against any person who violates any of the provisions of The Plumbing License Law of 1955, the Oklahoma Inspectors Act, the Electrical License Act, the Mechanical Licensing Act, the Home Inspection Licensing Act, and the Roofing Contractor Registration Act;

5. Maintain an administrative staff including, but not limited to, a Construction Industries Administrator whose appointment shall be made as provided in Section 1000.6 of this title;

6. Establish and levy administrative fines and penalties for violations of law or rule in the trades and industries the Board licenses or regulates or against any person or entity denying the Board or its representatives access to a job site for purposes of enforcing any of the provisions of The Plumbing License Law of 1955, the Oklahoma Inspectors Act, the Electrical License Act, the Mechanical Licensing Act, the Home Inspection Licensing Act, or the Roofing Contractor Registration Act; provided, however, the Board is not authorized to inspect or issue administrative violations or fines for public utilities, public service corporations, intrastate gas pipeline companies, gas gathering pipeline companies, gas processing companies, rural electric associations, municipal utilities or their subsidiaries, chemical plants, gas processing plants or petroleum refineries where the entity uses their employees or contractors to work on their own facilities or equipment; provided further, that any fines established by the Board pursuant to the authority granted in this subsection for any second or subsequent violation of a law or rule shall be set at five times the amount of the fine set by the Board for initial violations. The Board shall amend its rules to be consistent with the fine amounts set forth herein;

7. Direct such other expenditures as may be necessary in the performance of its duties including, but not limited to, expenditures for office space, equipment, furnishings and contracts

for legal services. All expenditures shall be made pursuant to the Oklahoma Central Purchasing Act; and

8. Enforce provisions of the plumbing, electrical and mechanical codes as adopted by the Oklahoma Uniform Building Code Commission pursuant to the Oklahoma Uniform Building Code Commission Act.

C. The Board shall account for all receipts and expenditures of the monies of the Board, including annually preparing and publishing a statement of receipts and expenditures of the Board for each fiscal year. The Board's annual statement of receipts and expenditures shall be audited by the State Auditor and Inspector or an independent accounting firm in accordance with the provisions of subsection B of Section 212 of Title 74 of the Oklahoma Statutes, and the audit report shall be certified to the Governor of this state to be true and correct, under oath, by the chair and vice-chair of the Board. A Such certified report shall be electronically submitted to the Governor utilizing the centralized filing system provided for in Section 378 of this act. In addition, a copy of such certified report, if not already available online, shall be delivered electronically submitted, utilizing the centralized filing system provided for in Section 378 of this act, to the chairs of the respective Senate and House of Representatives Committees having authority over matters relating to business, labor, and construction industry licensing or regulation not later than February 1 each year.

D. The Board shall account for all fines, penalties and fees assessed and collected pursuant to the Administrative Procedures Act or any rule promulgated for regulation of any industry and trade under the authority of the Construction Industries Board. All fines, penalties, and fees assessed for any violation of law or rule shall be automatically reviewed and brought before the entire Board for consideration and vote not later than ninety (90) days from which it was imposed. The Construction Industries Administrator shall present to the Board a written recommendation and summary for each case in which an assessment of a fine, penalty, or fee was imposed after administrative proceedings. The Board shall consider the recommendations for each case at the next meeting date and at such meeting shall either vote to affirm the recommendations or vote to deny the recommendations and remand the case for further

administrative hearing, with or without instructions. No administrative case shall be delayed or continued by the Board after being placed on an agenda for final Board review, except with the consent of all parties. The licensee or persons affected by the imposition of an administrative fine, penalty, or fee on final review by the Board shall have all rights of appeal preserved pursuant to the Administrative Procedures Act until final action by the Board. Collection of unpaid, finalized administrative fines by the Board, directly or through contracted services unless otherwise provided in law, may be sought beginning ninety (90) days after final disposition and order of the matter through the processes established by this act and the Administrative Procedures Act.

E. The Construction Industries Board shall hear all appeals timely made from an administrative ruling relating to an industry and trade regulated by the Board; however, this appeal authority shall not be in addition to the appeal process authorized by the Administrative Procedures Act. Any ruling by the Board from an administrative hearing may be further appealed to the district court of Oklahoma County. The district court, upon conclusion of an appeal from a Board ruling, shall be authorized to award reasonable legal fees to the prevailing party.

SECTION 120. AMENDATORY 59 O.S. 2021, Section 1000.25, as amended by Section 4, Chapter 225, O.S.L. 2025 (59 O.S. Supp. 2025, Section 1000.25), is amended to read as follows:

Section 1000.25. A. The Oklahoma Uniform Building Code Commission shall establish a system of fees to be charged for the issuance and renewal of any construction permits issued by any agency, municipality, or other political subdivision of this state.

B. This provision is subject to the following limitations:

1. No schedule of fees may be established or amended by the Commission except during such times as the Legislature is in session; provided, the Commission may establish or amend a schedule of fees at a time when the Legislature is not in session if the fees or schedule of fees has been specifically authorized by the Legislature pursuant to paragraphs 3 and 4 of this subsection. The Commission ~~must~~ shall follow the procedures required by Article I of

the Administrative Procedures Act for adoption of rules in establishing or amending any such schedule of fees;

2. The Commission shall charge fees for construction permits and renewal of such permits issued by any state agency, municipality, or other political subdivision of this state which authorized work governed by codes within the purview of the Commission only within the following ranges:

- a. for issuance of permit not to exceed \$5.00, and
- b. for renewal of permit not to exceed \$5.00;

3. Fees shall be remitted to the Oklahoma Uniform Building Code Commission within thirty (30) days after the end of the preceding calendar month. The Oklahoma Uniform Building Code Commission shall report electronically, utilizing the centralized filing system provided for in Section 378 of this act, to the Governor, President Pro Tempore of the Senate, and the Speaker of the House semiannually its collections for the six (6) months preceding the report;

4. Fees shall be collected by any state agency, municipality, or other political subdivision issuing construction permits within this state. The fees shall be deposited in an account created by the collecting entity for that purpose;

5. The state agency, municipality, or other political subdivision shall remit the monies in the account on a monthly basis directly to the State Treasury for deposit in the Oklahoma Uniform Building Code Commission Revolving Fund created pursuant to Section 1000.28 of this title. Along with the deposits required by this paragraph, each state agency, municipality, or other political subdivision shall also submit a report stating the total amount of funds collected and the total number of fees imposed during the preceding month. The report shall be made on computerized or manual disposition reports as provided by rule of the Commission;

6. Any state agency, municipality, or other political subdivision collecting and remitting fees pursuant to this section may levy a fee up to fifty cents (\$0.50) for every construction permit or renewal permit issued. These monies shall be deposited into an account for the sole use of the state agency, municipality,

or other political subdivision. The state agency, municipality, or other political subdivision shall state the total amount of funds collected and the total number of fees imposed to the State Treasury in the report required by paragraph 5 of this subsection;

7. It shall be the responsibility of the state agency, municipality, or other political subdivision to account for and ensure the correctness and accuracy of payments made to the State Treasury pursuant to this title;

8. Funds collected by a state agency, municipality, or other political subdivision and remitted to the State Treasury pursuant to the Oklahoma Uniform Building Code Commission Act shall be deposited in the Oklahoma Uniform Building Code Commission Revolving Fund and shall be used solely for the purposes of the Oklahoma Uniform Building Code Commission Act; and

9. Nothing in the Oklahoma Uniform Building Code Commission Act shall prevent the Oklahoma Uniform Building Code Commission from offering incentives for prompt payment.

SECTION 121. AMENDATORY 59 O.S. 2021, Section 3024, is amended to read as follows:

Section 3024. A. The Commissioner of Labor shall have the following powers and duties:

1. The Commissioner shall:

- a. adopt or determine standards of elevator safety,
- b. license elevator contractors, elevator mechanics, and elevator inspectors,
- c. register elevator apprentices,
- d. determine qualifications for examination, establish application processes, and examine applicants for licensure,
- e. establish terms of licensure and renewal procedures,

- f. attempt to achieve reciprocity agreements whereby licenses issued by other jurisdictions may be accepted in this state in lieu of examination,
- g. establish grounds for revocation, suspension, and nonrenewal of licenses and policies for reinstatement of licenses and for imposition of lesser disciplinary measures,
- h. establish continuing education requirements,
- i. provide for the inspection and certification of elevators,
- j. provide for the enforcement of the Elevator Safety Act,
- k. hear appeals pursuant to the Administrative Procedures Act,
- l. establish a procedure for the reporting and investigation of accidents, and
- m. establish a procedure to allow variances from the literal requirement of the code;

2. The Commissioner shall publish informational brochures about license examinations that indicate the scope of the examinations, include suggestions about how to prepare for the examinations, and may include sample questions of the type to be expected, but shall never include test items that will be used in future examinations. In no case shall information about forthcoming examinations, that is not generally available, be given to any school, coaching service, or individual privately; and

3. The Commissioner shall have subpoena powers and shall have the right to seek injunctive relief to prevent the operation of elevators lacking a certificate of operation after November 1, 2006, or failing inspection. For any violation of the Elevator Safety Act, the Commissioner may assess an administrative fine, which fine may be assessed in addition to any other penalties provided pursuant to the Elevator Safety Act. The Commissioner of Labor may

promulgate rules establishing a schedule of administrative fines for violations of the Elevator Safety Act. Upon collection of an assessed fine, the funds shall be deposited in the Department of Labor Administrative Penalty Revolving Fund created in Section 11 of this act.

B. The Commissioner of Labor may promulgate rules establishing a schedule of administrative fees for the implementation of the Elevator Safety Act. The following fees shall remain in effect until such rules become effective, at which time the fees contained in this subsection shall be superseded by rule. Fees shall be as follows:

1. Elevator contractor examination	\$100.00
2. Elevator inspector examination	\$100.00
3. Elevator mechanic examination	\$100.00
4. Initial and renewal elevator contractor license	\$100.00
5. Initial and renewal elevator inspector License	\$ 75.00
6. Initial and renewal elevator mechanic License	\$ 50.00
7. Annual elevator apprentice registration	\$ 25.00
8. Late renewal - in addition to license fee	\$ 10.00
9. Replacement of lost or mutilated license	\$ 10.00
10. Reinstatement - in addition to license fee	\$100.00
11. Existing elevator - certification of operation	\$ 25.00

12.	New elevator - inspection and certification	\$150.00
13.	Elevator temporary certification	\$ 25.00
14.	Elevator temporary mechanic license for 30 days	\$ 10.00
15.	Labor for chief elevator inspector or deputy elevator inspector to perform inspection for issuance of certificate of operation:	
a.	any escalator or moving walkway	\$125.00
b.	elevator, two-four floors	\$ 75.00
c.	elevator, five-ten floors	\$100.00
d.	elevator, eleven floors and over	\$125.00
e.	wheelchair lift	\$ 25.00

C. All revenues received shall be deposited to the Department of Labor Revolving Fund. It is the intent of the Legislature that fees charged pursuant to the Elevator Safety Act be adjusted to provide sufficient income, but not substantially more than sufficient income, to ensure elevator safety as provided by the Elevator Safety Act. Accordingly, the Commissioner of Labor shall make an annual study of the revenues to and expenditures from the Department of Labor Revolving Fund related to elevator safety and shall prepare a report indicating what fee adjustments, if any, shall be recommended. The report shall be electronically submitted by September 1 each year, utilizing the centralized filing system provided for in Section 378 of this act, to the Director of the Office of Management and Enterprise Services, the Chair of the Appropriations Committee of the Senate, and the Chair of the Appropriations and Budget Committee of the House of Representatives, and shall be filed with the Department of Labor.

D. Licenses and certifications issued in accordance with the provisions of the Elevator Safety Act shall be renewed according to the following schedule:

1. Elevator contractor, elevator inspector, elevator mechanic licenses, and elevator apprentice registration shall be renewed annually prior to the last day of the calendar month in which the license or registration was initially issued;

2. Any such license, registration or certificate required by the Elevator Safety Act not renewed by the last day of the calendar month in which renewal is required shall be subject to a late fee as provided by this act;

3. Any elevator contractor, elevator inspector, elevator mechanic license, or apprentice registration having been expired for a period of not less than thirty (30) days nor more than three hundred sixty-five (365) days shall be subject to a reinstatement fee as provided for in the Elevator Safety Act; and

4. Any elevator contractor, elevator inspector, elevator mechanic license, or apprentice registration being expired for a period of one (1) year or longer from the last day of the month in which renewal was required shall be considered void and the licensee shall be subject to all requirements for new issuance.

SECTION 122. AMENDATORY 59 O.S. 2021, Section 4000.1, as last amended by Section 9, Chapter 227, O.S.L. 2024 (59 O.S. Supp. 2025, Section 4000.1), is amended to read as follows:

Section 4000.1. A. As used in this section:

1. "Substantially relate" means the nature of the criminal conduct for which the person was convicted has a direct bearing on the fitness or ability to perform one or more of the duties or responsibilities necessarily related to the occupation; and

2. "Pose a reasonable threat" means the nature of the criminal conduct for which the person was convicted involved an act or threat of harm against another and has a bearing on the fitness or ability to serve the public or work with others in the occupation.

B. Notwithstanding any other provision of law, a conviction, plea of guilty or nolo contendere, or pending criminal charge of a crime may be grounds for the denial of an applicant for a state license or state certification to practice an occupation only if the underlying offense substantially relates to the duties and responsibilities of the occupation and poses a reasonable threat to public safety, health, or welfare. When making a determination pursuant to this subsection, a licensing or certification authority shall consider:

1. The nature and seriousness of the offense;
2. The amount of time that has passed since the offense;
3. The age of the person at the time the offense was committed;
4. Evidence relevant to the circumstances of the offense including any aggravating or mitigating circumstances of social conditions surrounding the commission of the offense;
5. The nature of the specific duties and responsibilities for which the license or certification is required; and
6. Any evidence of rehabilitation submitted by the applicant including, but not limited to, evidence related to the person's compliance with any conditions of community supervision, parole, or mandatory supervision, the conduct and work activity of the person, programming, or treatment undertaken by the person, and testimonials or personal reference statements.

C. Notwithstanding any other provision of law, a licensing or certification authority shall not deny a state license or state certification to practice an occupation due to:

1. An arrest that was not followed by a valid plea of guilty or nolo contendere unless charges are currently pending;
2. A conviction that has been sealed, or expunged;
3. A conviction or plea of guilty or nolo contendere for which more than five (5) years have elapsed since the date of conviction, plea, or release from incarceration, whichever is later, so long as

the person has not been convicted of a new crime. This paragraph shall not apply to any conviction or plea of guilty or nolo contendere for:

- a. an offense enumerated in Section 571 of Title 57 of the Oklahoma Statutes,
- b. a felony involving domestic assault, domestic assault and battery, or domestic abuse as defined in Section 644 of Title 21 of the Oklahoma Statutes,
- c. an offense that would require registration as a sex offender pursuant to the Sex Offenders Registration Act, or
- d. any equivalent law enumerated in this paragraph from another jurisdiction; or

4. A finding that an applicant lacks good character or fails to meet any other similarly vague standard where a criminal conviction is the basis for the finding.

D. Before a state licensing or state certification authority makes a final determination that a criminal conviction, plea of guilty or nolo contendere, or pending criminal charge may disqualify an applicant for licensure, that authority shall provide written notice of:

1. The specific offense that is the basis for the intended denial;

2. The reasons the offense was determined to substantially relate to the duties and responsibilities of the occupation and posed a reasonable threat to public safety, health, or welfare, including findings for each of the factors in subsection B of this section that the licensing or certification authority deemed relevant to the determination; and

3. The right to submit additional evidence relevant to each of the factors listed in subsection B of this section within thirty (30) days, which the licensing or certification authority shall consider before issuing a final determination.

E. A final determination that a criminal conviction, plea of guilty or nolo contendere, or pending criminal charge may prevent a person from receiving a license shall be in writing and include notice of the right to appeal the determination pursuant to the Administrative Procedures Act, or a more specific statutory authority, and notice of the earliest date the applicant may reapply for a license.

F. A person with a criminal history record may request a determination of whether his or her criminal history record may disqualify him or her from obtaining the desired license or certification in the occupation from a state licensing or state certification authority at any time, including before obtaining any required education or training for such occupation. The request shall be in writing and shall include either a copy of the person's criminal history record with explanation of each conviction mentioned in the criminal history record or a statement describing each criminal conviction including the date of each conviction, the court of jurisdiction and the sentence imposed. The person may include a statement with his or her request describing additional information for consideration by the licensing or certification authority including, but not limited to, information relevant to any of the factors for consideration described in subsection B of this section.

G. Upon receipt of a written request for consideration of a criminal history record for an occupation as provided in subsection F of this section, the licensing or certification authority shall evaluate the request and make a determination based upon the information provided in such request whether the stated conviction is a disqualifying offense for the occupation. A notice of the determination shall be issued to the petitioner within sixty (60) days from the date such request was received by the licensing or certification authority; except, however, a licensing or certification authority regulating fifty thousand or more members in its occupation shall be allowed ninety (90) days to make its initial determination and issue notice to the requestor.

H. A determination made pursuant to subsection F of this subsection that a person may not be disqualified for licensure or certification due to criminal history shall be binding upon a

licensing or certification authority unless, at the time a full application for a license is submitted, the applicant has subsequently pled guilty or nolo contendere to a crime, has pending criminal charges, or has previously undisclosed criminal convictions.

I. The notice of a determination made pursuant to subsection F of this section shall be in writing and mailed to the requestor at the address provided in his or her request, and shall contain the following statements:

1. Whether the person is eligible for licensure or certification in the occupation at the current time based upon the information submitted by the requestor;

2. Whether there is a disqualifying offense that would disqualify the person from engaging in the occupation at the current time and a statement identifying such offense in the criminal history record or information submitted for consideration;

3. Any actions the person may take to remedy a disqualification, if any;

4. The earliest date the person may submit another request for consideration, if any; and

5. A statement that the determination may be rescinded if, at the time a full application for a license is submitted, the applicant has subsequently pled guilty or nolo contendere to a crime, has pending criminal charges, or has previously undisclosed criminal convictions.

J. A state entity charged with oversight of an occupational license or certification may promulgate forms for requests for determinations for the occupation as authorized in subsection F of this section. Each state licensing or certification authority may charge a fee not to exceed Ninety-five Dollars (\$95.00) for each initial determination of eligibility it makes for the occupation based upon the information provided by the requestor.

K. Each state licensing or state certification authority shall include in its application for a license or certification and publish on its public website the following information:

1. Whether the criminal offenses of applicants may be used as a basis for denial;

2. If criminal history may be used as a basis for denial as listed in subsection B of this section, which offenses the licensing or certification authority shall consider; and

3. Notice of the right to request a determination pursuant to subsection F of this section.

L. Each state licensing or state certification authority authorized to consider the criminal conviction of an applicant shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide to the Legislature, and publish on its public website, the following:

1. The number of license applications received;

2. The number of applications that resulted in a license being granted;

3. The number of applications that resulted in a license being denied;

4. The number of applications that were denied due to criminal history;

5. A list of criminal offenses reported by individuals who were granted a license;

6. A list of criminal offenses reported by individuals who were denied a license due to criminal history along with the time elapsed since the commission of the offense; and

7. The number of petitions received by the licensing or certification authority pursuant to subsection F of this section.

M. The provisions of this section shall not be construed to apply to the Council on Law Enforcement Education and Training, the Bail Bonds Division of the Insurance Department, the State Board of Education, the boards of examiners which are established in Title 20 of the Oklahoma Statutes, the State Board of Medical Licensure and Supervision, or individuals applying to these authorities for licensure or certification.

SECTION 123. AMENDATORY 60 O.S. 2021, Section 177.2, is amended to read as follows:

Section 177.2. A. No public trust, school district, or county shall issue any bonds, notes, certificates of participation, certificates of indebtedness, or any other evidence of indebtedness, excluding nonpayable warrants and agreements with a depository bank to honor payment of checks when there are insufficient funds, for the purpose of short-term cash management by any school district or county unless such school district or county shall have been approved for participation by the Oklahoma Commission on School and County Funds Management.

As used in this section, "short-term cash management" means any borrowing or any method employed by a school district or county to obtain funds in advance of the receipt of tax revenue, and shall include, but not be limited to, the issuance of certificates of indebtedness, certificates of participation, tax-anticipation notes, bonds, notes, or any other evidence of indebtedness. It shall not include debt issued pursuant to a vote of the electors of the school district or county pursuant to the Constitution.

B. The Oklahoma Commission on School and County Funds Management, shall consist of the State Superintendent of Public Instruction, the Director of the Oklahoma Department of Career and Technology Education, and the State Bond Advisor. The Commission shall:

1. Receive requests of school districts and counties for authorization to participate in a short-term cash management program where the proceeds will be used to facilitate cash-flow management. The requests ~~must~~ shall be received by the Commission on or before April 1 in order for the school district or county to be considered

for participation during the next fiscal year, unless such date is extended by the Commission;

2. Within five (5) business days of receiving a request, forward the request to the appropriate certifying authority. If the request and accompanying material meet the requirements of this act, the certifying authority ~~must~~ shall return the request and accompanying information to the Commission with a written review and comment within sixty (60) days of receipt of the request from the Commission. The certifying authority for school districts shall be the State Superintendent of Public Instruction and for technology center school districts, shall be the Director of the Oklahoma Department of Career and Technology Education and for counties, shall be the State Board of Equalization;

3. Approve or reject each request for participation, and forward notice of the decision of the Commission to the requesting school district or county and to the Office of the Governor. The Commission shall approve or reject a request within thirty (30) days following the date it receives the request and accompanying information with a written review and comment from a certifying authority;

4. Certify the need for funds generated by the proposed short-term cash management based on the financial projections of the school district or county, including the projected cash-flow shortfall, estimated income, and anticipated surplus balances on June 30 of the current fiscal year in the general and building funds of the school district or county. Accumulative cash-flow shortfall projections ~~must~~ shall be determined using the method specified by Section 148 of the Internal Revenue Code;

5. Establish reasonable limits for fees, commissions and other compensation paid to any person or firm involved with the proposed short-term cash management program;

6. Establish participation limitations for a school district or a county using the method specified in Section 148 of the Internal Revenue Code. No school district or county shall participate in a short-term cash management program in an amount which exceeds the determination of need pursuant to the accumulative cash-flow projections as specified in paragraph 4 of this subsection or forty

percent (40%) of the approved annual budget of the school district or county, whichever is less;

7. Establish limitations which prohibit school districts and counties which are participating in a short-term cash management program from issuing nonpayable warrants if proceeds are available from the short-term cash management program;

8. ~~Submit~~ Electronically submit, utilizing the centralized filing system provided for in Section 378 of this act, an annual report, by December 15 of each year, to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Governor, the State Auditor and Inspector, and the Attorney General, detailing the participation of each school district and county for the prior fiscal year in the short-term cash management programs authorized by this act; and

9. Prescribe methods and procedures by which school districts or counties may request authorization to participate in short-term cash management programs.

C. School districts and counties desiring to participate in a short-term cash management program as provided in subsection A of this section shall file a request with the Commission on such forms as the Commission shall prescribe. Such request shall be accompanied by:

1. A resolution adopted by the board of education of the school district or by the county commissioners of a county. Such resolution shall state that the school district or county intends to and has need to participate in a short-term cash management program and that the board of education or county commission has authorized the submission of such request;

2. A letter signed by the underwriter of the short-term cash management program that specifies the name and address of all persons and firms receiving compensation, directly or indirectly, involved with the proposed short-term cash management program. All persons and firms designated shall not be paid out of school or county funds. For purposes of this paragraph, school or county funds shall not include the proceeds from certificates of

indebtedness or certificates of participation generated from a short-term cash management program;

3. A verification from the Administrator of the Oklahoma Department of Securities that all persons receiving compensation, directly or indirectly, for providing advice to the school districts or counties concerning participation in the program or for endorsing participation in the program are appropriately registered with the Oklahoma Department of Securities as investment advisers or investment adviser representatives, as applicable, and that all persons receiving compensation, directly or indirectly, for the placement of the certificates of participation or like securities with investors are registered as broker-dealers or agents, as applicable;

4. The estimated income and expenditures of the school district or county for the year for which the school district or county wishes to participate in a short-term cash management program. The appropriate certifying authority shall develop and provide an income and expenditure disclosure form for use by a school district or county which desires to participate in a short-term cash management program which follows the applicable portions of the information return required by Section 148 of the Internal Revenue Code. The information supplied in the disclosure form ~~must~~ shall reflect the ability of the school district or county to pay off an amount equal to the district's or county's liability on the program from the income from the fiscal year of participation, prior to approval for participation by the Commission. If the Commission determines that a question exists concerning any information submitted pursuant to this subsection, the Commission may request any additional information from the school district or county that it deems necessary;

5. A copy of the most recent information return for a short-term cash management program filed with the Internal Revenue Service pursuant to Section 149(e) of the Internal Revenue Code;

6. An affidavit by all persons, firms, corporations, or business enterprises of any kind which provide services for compensation on any financing to implement a short-term cash management program, which shall be signed under oath on a form approved by the Commission and which shall state that such persons,

firms, corporations, or business enterprises have not given any money or other thing of value, other than a bona fide campaign contribution, to any public official or to any public employee of a school district or county participating in such a cash management program. Any such person, firm, corporation, or business enterprise shall also file a disclosure statement on a form approved by the Commission, which shall disclose all campaign contributions of any kind made to any public official of a school district or county participating in such a short-term cash management program and shall also disclose the identity of any officer, director, agent, or employee of such person, firm, corporation, or business enterprise who is an officer or employee of a school or county participating in a short-term cash management program, or who is related to such officers or employees within the third degree of affinity or consanguinity;

7. A notarized sworn affidavit executed by each member of a board of education of a school district, the superintendent of schools, and the treasurer of the school district or by each county commissioner of a county and the county treasurer, which states that the person or any member of the immediate family of the person has no direct or indirect financial interest in the short-term cash management program being requested. The affidavit shall be on a form prescribed by the Commission;

8. A summary report detailing all expenses incurred by a school district or county in participating in a short-term cash management program. The report shall be on a form prescribed by the Commission; and

9. Any application and other materials including any other necessary financial information, as may be required by the Commission.

D. If the information required to be submitted pursuant to this section meets all requirements established by the Commission and the Commission has approved such information and participation, and the participation is otherwise in accordance with law, the Oklahoma Commission on School and County Funds Management shall authorize the participation of the school district or county in the short-term cash management program. The Commission shall notify the school

district or county in writing, whether the requirements of this section have been satisfied and approved.

E. School districts and counties participating in a short-term cash management program authorized by this section shall report to the Commission the probable income and expenses of anticipated investment income. The report shall not include probable income or expenses related to participation in a short-term cash management program.

F. The ability of a school district or county to issue general obligation bonds shall not be modified by this act.

G. The Office of the Attorney General shall provide legal assistance to the Oklahoma Commission on School and County Funds Management.

SECTION 124. AMENDATORY 60 O.S. 2021, Section 178, is amended to read as follows:

Section 178. A. The instrument or will creating such trust may provide for the appointment, succession, powers, duties, term, manner of removal, and compensation of the trustee or trustees subject to the provisions of subsections C and E of this section, and in all such respects the terms of said instrument or will shall be controlling. Trustees, who are public officers, shall serve without compensation, but may be reimbursed for actual expenses incurred in the performance of their duties as trustees. If the said instrument or will makes no provisions in regard to any of the foregoing, then the general laws of the state shall control as to such omission or omissions. Every person hereafter becoming a trustee of a public trust first shall take the oath of office required of an elected public officer and every officer and employee who handles funds of a public trust shall furnish a good and sufficient fidelity bond in an amount and with surety as may be specified and approved by the persons constituting a majority of each of the governing bodies of the beneficiaries of the trust, such bond to be in a surety company authorized to transact surety business in the State of Oklahoma but in no event shall any bond be required of a trustee. The cost of said bond shall be paid from funds of the trust authority. The oaths of office shall be administered by any person authorized to administer oaths in the

State of Oklahoma, and shall be filed with the Secretary of State in trusts wherein the State of Oklahoma is the beneficiary; in the office of the county clerk in a trust wherein any county is beneficiary; and in the office of the clerk of the municipality in a trust wherein any municipality is the beneficiary.

B. Unless otherwise specified in another state law authorizing the creation of a state-beneficiary public trust, any public trust that hereafter names the State of Oklahoma as the beneficiary shall have five (5) trustees appointed by the Governor of the State of Oklahoma with the advice and consent of the Senate. The terms of the trustees shall be as follows: of the trustees first appointed, one member shall be appointed for a term of one (1) year; one member shall be appointed for a term of two (2) years; one member shall be appointed for a term of three (3) years; one member shall be appointed for a term of four (4) years; and one member shall be appointed for a term of five (5) years. At the expiration of the term of each member and of each succeeding member, the Governor shall appoint a successor who shall serve for a term of five (5) years. Whenever a vacancy on such trust shall occur by death, resignation or otherwise, the Governor shall fill the same by appointment and the appointee shall hold office during the unexpired term. Each member shall hold office until his successor has been appointed and qualified.

C. Any instrument or will creating a trust which is not within the scope of subsection B of this section shall provide for the appointment of a minimum of three trustees, their succession, powers, duties, term, manner of removal and compensation subject to the provisions of subsection E of this section, and in all such respects the terms of said instrument or will shall be controlling. If the instrument or will makes no provision in regard to any of the foregoing, then the general laws of the state shall control as to the omissions.

D. Meetings of trustees of all public trusts shall be open to the public to the same extent as is required by law for other public boards and commissions. Such meetings shall also be open to the press and any such equipment deemed necessary by the press to record or report the activities of the meetings. In such trusts wherein the State of Oklahoma is the beneficiary, a written notice of trustees' meetings shall be filed with the office of the Secretary

of State at least three (3) days prior to the meeting date. Records of the trust and minutes of the trust meetings of any public trust shall be written and kept in a place, the location of which shall be recorded in the office of the county clerk of each county, wherein the trust instrument shall be recorded. Such records and minutes shall be available for inspection by any person during regular business hours. Every trust created under Sections 176 et seq. of this title shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a monthly report of all expenditures of bond proceeds with the governing body of each beneficiary and with the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate in the case of a public trust having the State of Oklahoma as beneficiary.

E. Trustees of any public trust may be removed from office for cause, including incompetency, neglect of duty, or malfeasance in office, by a district court having jurisdiction. In the case of persons appointed by the Governor, such persons shall be appointed for terms not in excess of five (5) years, and shall be subject to removal for cause. In the event of removal of a trustee under this subsection, a successor trustee shall be appointed as provided in the trust instrument. Provided, however, in the event a trustee is so removed who is also a member of the governing board of a municipal beneficiary, the successor trustee shall be appointed by the judge of the court wherein the removal occurred; said successor trustee shall serve only until the removed trustee ceases to serve as a member of the governing board of the municipal beneficiary and his successor on said board has qualified.

F. The provisions of this section shall be inapplicable to any public trust created and existing prior to July 1, 1988, if the instrument or will creating such public trust shall have been held to be a valid and binding agreement in an opinion of the Supreme Court of the State of Oklahoma; and nothing in this section shall impair or be deemed to impair the trust indenture or existing or future obligations of such public trust.

SECTION 125. AMENDATORY Section 1, Chapter 220, O.S.L. 2024 (60 O.S. Supp. 2025, Section 1403), is amended to read as follows:

Section 1403. A. There is hereby created the Task Force on Trust Administration Review and Reform. The Task Force shall be composed of the following seven (7) members:

1. The Governor shall appoint three members, one of whom shall be a member of the Oklahoma State Chamber, and one of whom shall be a member of the Oklahoma Bankers Association;

2. The President Pro Tempore of the Oklahoma State Senate shall appoint two members; and

3. The Speaker of the Oklahoma House of Representatives shall appoint two members.

B. The Task Force shall review and make recommendations for changing Oklahoma's trust administration statutes in order to provide an efficient framework for the administration of trusts.

C. The Task Force shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report to the Governor, the President Pro Tempore of the Oklahoma State Senate, and the Speaker of the Oklahoma House of Representatives with its recommendations for legislation by November 1 of each year in which changes are recommended.

D. A majority of the members shall constitute a quorum for the purpose of conducting the business of the Task Force. The Task Force shall meet quarterly and at such other times as may be called by the chair.

E. Members of the Task Force shall serve without compensation but shall be reimbursed for expenses incurred in the performance of their duties in accordance with the provisions of the State Travel Reimbursement Act.

F. Administrative support for the Task Force including, but not limited to, personnel necessary to ensure the proper performance of the duties and responsibilities of the Task Force shall be provided by the Oklahoma Legislative Office of Fiscal Transparency.

SECTION 126. AMENDATORY 61 O.S. 2021, Section 65, as amended by Section 11, Chapter 238, O.S.L. 2022 (61 O.S. Supp. 2025, Section 65), is amended to read as follows:

Section 65. A. In addition to the conditions prescribed pursuant to subsection C of this section, the provisions of Section 62 of this title shall not apply whenever the Office of Management and Enterprise Services with concurrence of the chief administrative officer of the public agency affected declares that an emergency exists. The construction manager or consultant shall be selected by the Director of the Office of Management and Enterprise Services. The resulting construction manager or consultant contract shall not exceed Fifty Thousand Dollars (\$50,000.00). The reasons for the emergency shall be recorded in the official records of the Office.

B. Emergency as used in this section shall be limited to conditions resulting from any of the following:

1. A sudden unexpected happening or unforeseen occurrence if it is impossible for the provisions of Section 62 of this title to be observed because of the time factor and if the public health or safety is endangered; and

2. A condition or situation which, if allowed to continue, would lead to economic loss to the state or to further damage of state property.

C. The provisions of Section 62 of this title shall not apply to the process for construction of a correctional facility whenever the State Board of Corrections informs the Office that an emergency condition threatens the security of the state correctional system, including inmate population growth, and the condition requires expeditious treatment for the review, approval, and bid process as it relates to construction or expansion of correctional facilities. The Office and the Department of Corrections are authorized to implement an expedited competitive bid process for the contracting of construction managers or consultants and construction of new or expanded correctional facilities that adequately respond to the emergency. The State Board of Corrections shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide written notification to the Governor, the

Speaker of the House of Representatives, and to the President Pro Tempore of the Senate of the emergency conditions.

SECTION 127. AMENDATORY 61 O.S. 2021, Section 130, as amended by Section 27, Chapter 238, O.S.L. 2022 (61 O.S. Supp. 2025, Section 130), is amended to read as follows:

Section 130. A. The provisions of the Public Competitive Bidding Act of 1974 with reference to notice and bids shall not apply to an emergency if:

1. The governing body of a public agency declares by a two-thirds (2/3) majority vote of all of the members of the governing body that an emergency exists;

2. The Transportation Commission and the Oklahoma Tourism and Recreation Commission, by majority vote of all the members of each Commission, declare that an emergency exists; or

3. The chief administrative officer of a public agency without a governing body declares that an emergency exists.

B. The governing body of a public agency may, upon approval of two-thirds (2/3) majority of all of the members of the governing body, delegate to the chief administrative officer of a public agency the authority to declare an emergency whereby the provisions of the Public Competitive Bidding Act of 1974 with reference to notice and bids shall not apply to contracts less than One Hundred Fifty Thousand Dollars (\$150,000.00) in amount; provided, such authority of the Department of Transportation and the Oklahoma Turnpike Authority shall not extend to any contract exceeding Seven Hundred Fifty Thousand Dollars (\$750,000.00) in amount and such authority of the Department of Corrections shall not extend to any contract exceeding Two Hundred Fifty Thousand Dollars (\$250,000.00) in amount for situations in which the emergency impacts the conditions of confinement, health and safety of correctional officers and inmates in the custody of the Department of Corrections.

C. Upon approval of a two-thirds (2/3) majority vote, the Oklahoma Conservation Commission may delegate to the Executive Director the authority to declare an emergency and set a monetary

limit for the declaration. The provisions of this subsection may only be used for the purpose of responding to an emergency involving the reclamation of abandoned coal mines or the repair of damaged upstream floodwater retarding structures.

D. An emergency declared by the Board of Corrections pursuant to subsection C of Section 65 of this title shall exempt the Department of Corrections from the limits which would otherwise be imposed pursuant to subsection B of this section for the contracting and construction of new or expanded correctional facilities.

E. The chief administrative officer of a public agency with a governing body shall notify the governing body within ten (10) days of the declaration of an emergency if the governing body did not approve the emergency. The notification shall contain a statement of the reasons for the action, and shall be recorded in the official minutes of the governing body.

F. Emergency as used in this section shall be limited to conditions resulting from a sudden unexpected happening or unforeseen occurrence or condition whereby the public health or safety is endangered or further damage to state property is likely if the situation is not addressed promptly.

G. The chief administrative officer of a public agency shall report an emergency within ten (10) days of the emergency declaration and include the official minutes of the governing body of the public agency, if applicable, to the Office of Management and Enterprise Services which shall compile an annual report detailing all emergencies declared pursuant to this section during the previous calendar year. The report shall be electronically submitted to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives, utilizing the centralized filing system provided for in Section 378 of this act, upon request.

H. The Risk Management Administrator of the Office of Management and Enterprise Services may declare an emergency on behalf of a public agency when an insurable loss has occurred which would lead to further economic loss or additional property damage if not addressed promptly. Such declaration shall not relieve the

public agency of fiscal responsibility for its deductible, uninsured losses, and other related expenses.

SECTION 128. AMENDATORY 61 O.S. 2021, Section 328, is amended to read as follows:

Section 328. The Office of Management and Enterprise Services may:

1. Research and identify available facilities management software applications and existing facilities management software systems in other state agencies;
2. Procure facilities management software in accordance with the requirements of The Oklahoma Central Purchasing Act; and
3. Implement a comprehensive statewide facilities management software program in order to effectively identify state-owned real property and to efficiently and fiscally manage the long-range deferred maintenance funding requirements of such real property.

State agencies that have existing facilities management software systems shall cooperate with the Office in the integration of existing and future maintenance data into the statewide system database. It shall not be a requirement that the software directly interface with any other computer system. After full operational status of the management program is achieved, the Office of Management and Enterprise Services shall make an annual facilities condition assessment report to the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the State Senate, and the Governor by electronic submission utilizing the centralized filing system provided for in Section 378 of this act. Provisions of this section shall not apply to the physical assets, buildings, and equipment of the Oklahoma State Regents for Higher Education.

SECTION 129. AMENDATORY 62 O.S. 2021, Section 34.2, as amended by Section 1, Chapter 86, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.2), is amended to read as follows:

Section 34.2. A. Agencies responsible for the collection of monies deposited to the credit of the General Revenue Fund and each of the Special Revenue Funds shall be subject to the provisions of

this act. Upon request of the Director of the Office of Management and Enterprise Services, these agencies shall provide the Director of the Office of Management and Enterprise Services an itemized estimate of funds expected to accrue to the General Revenue Fund and each of the Special Revenue Funds for the ensuing fiscal year in the manner and form established by the Director, in accordance with the duties assigned to the State Board of Equalization in Section 23 of Article X of the Oklahoma Constitution. Each of these agencies shall also provide to the Director, as requested, a written explanation of the methodology and relevant assumptions used in developing the current and future revenue estimates submitted, a statement of:

1. The prior year's actual revenue collections;

2. A projection of the current year's revenue collections; and

3. Estimated revenue collections for the ensuing fiscal year.

No expenditure shall be made from any General Revenue Fund or Special Revenue Fund until such fund has been assigned to an agency by law or by the Director of the Office of Management and Enterprise Services.

B. In addition to providing the information listed above, the Oklahoma Tax Commission shall also provide to the Director of the Office of Management and Enterprise Services a comprehensive economic report no later than two (2) weeks prior to each of the meetings of the State Board of Equalization pursuant to paragraphs 1 and 3 of Section 23 of Article X of the Constitution of the State of Oklahoma. Each report shall include a summary of recent national and state economic performance and a forecast of national and state economic performance for the current fiscal year and the ensuing fiscal year. These reports shall be considered a basis upon which the itemized revenue estimates of the Commission are developed. The report shall include an analysis of the relative accuracy of the economic forecasts on which the previous and current fiscal years' revenue estimates were based.

C. The Tax Commission shall also, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide all estimates, explanations, statements, projections, reports, and other documents required by this section

to the President Pro Tempore of the Senate, members of the Senate Appropriations and Finance Committees, the Speaker of the House of Representatives, and members of the House Appropriations and Budget Committee at the same time that such documents are provided to the Director of the Office of Management and Enterprise Services.

SECTION 130. AMENDATORY 62 O.S. 2021, Section 34.6, as amended by Section 2, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022 (62 O.S. Supp. 2025, Section 34.6), is amended to read as follows:

Section 34.6. A. The Director of the Office of Management and Enterprise Services shall have the power and duty under the direction of the Governor to:

1. Prepare the budget document and assist in the drafting of legislation to make it effective;
2. Make field surveys and studies of governmental agencies, looking toward economy and greater efficiency;
3. Make allotments to control expenditures;
4. Authorize transfers of appropriation authorized by law;
5. Study accounting and other reports rendered by the Division of Central Accounting and Reporting;
6. Enter into agreements with the United States Secretary of the Treasury for the purpose of implementing federal law;
7. Aid the Governor in the economical management of state affairs; and
8. Adopt such rules and regulations concerning the exercise of powers and duties as the Director shall deem appropriate, in accordance with the Administrative Procedures Act.

B. In addition to other duties, the Director of the Office of Management and Enterprise Services shall, upon request, advise and consult with members of the Legislature and legislative committees concerning revenue and expenditures of state agencies.

C. The Director of the Office of Management and Enterprise Services shall publish daily reports of all expenditures of funds from the Coronavirus Aid, Relief, and Economic Security (CARES) Act on the Oklahoma Checkbook page on the state website.

D. The Director of the Office of Management and Enterprise Services shall report weekly on the status of all grant agreements, as provided for in Section 1 of this act.

E. The Director of the Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report quarterly to the chairs of the Joint Committee on Pandemic Relief Funding and make available to the public on the state's website, a quarterly report of all expenditures of federal funds drawn down from the American Rescue Plan Act 2021 (ARPA), Public Law 117-2.

F. The Director of the Office of Management and Enterprise Services shall provide technical assistance to agencies seeking to comply with state law and federal guidelines as a recipient of federal funds. Technical assistance shall include, but not be limited to, procurement and competitive bidding requirements assistance, capital expenditure assistance, model templates, model agreements, grants management software or other advice, recommended reporting, and accounting of federal funds, to all state agencies who request technical assistance.

SECTION 131. AMENDATORY 62 O.S. 2021, Section 34.11.1, as amended by Section 1, Chapter 193, O.S.L. 2024 (62 O.S. Supp. 2025, Section 34.11.1), is amended to read as follows:

Section 34.11.1. A. There is hereby created the position of Chief Information Officer who shall be appointed by the Governor. The Chief Information Officer, in addition to having authority over the Information Services Division of the Office of Management and Enterprise Services, shall also serve as Secretary of Information Technology and Telecommunications or successor cabinet position and shall have jurisdictional areas of responsibility related to information technology and telecommunications systems of all state agencies as provided for in state law. The salary of the Chief Information Officer shall not be less than One Hundred Thirty

Thousand Dollars (\$130,000.00) or more than One Hundred Sixty Thousand Dollars (\$160,000.00).

B. Any person appointed to the position of Chief Information Officer shall meet the following eligibility requirements:

1. A baccalaureate degree in Computer Information Systems, Information Systems or Technology Management, Business Administration, Finance, or other similar degree;

2. A minimum of ten (10) years of professional experience with responsibilities for management and support of information systems and information technology, including seven (7) years of direct management of a major information technology operation;

3. Familiarity with local and wide-area network design, implementation, and operation;

4. Experience with data and voice convergence service offerings;

5. Experience in developing technology budgets;

6. Experience in developing requests for proposal and administering the bid process;

7. Experience managing professional staff, teams, and consultants;

8. Knowledge of telecommunications operations;

9. Ability to develop and set strategic direction for information technology and telecommunications and to manage daily development and operations functions;

10. An effective communicator who is able to build consensus;

11. Ability to analyze and resolve complex issues, both logical and interpersonal;

12. Effective verbal and written communications skills and effective presentation skills, geared toward coordination and education;

13. Ability to negotiate and defuse conflict; and

14. A self-motivator, independent, cooperative, flexible and creative.

C. The salary and any other expenses for the Chief Information Officer shall be budgeted as a separate line item through the Office of Management and Enterprise Services. The operating expenses of the Information Services Division shall be set by the Chief Information Officer and shall be budgeted as a separate line item through the Office of Management and Enterprise Services. The Office of Management and Enterprise Services shall provide adequate office space, equipment, and support necessary to enable the Chief Information Officer to carry out the information technology and telecommunications duties and responsibilities of the Chief Information Officer and the Information Services Division.

D. 1. Within twelve (12) months of appointment, the first Chief Information Officer shall complete an assessment, which shall be modified annually pursuant to Section 35.5 of this title, of the implementation of the transfer, coordination, and modernization of all information technology and telecommunication systems of all state agencies in the state as provided for in the Oklahoma Information Services Act. The assessment shall include the information technology and telecommunications systems of all institutions within The Oklahoma State System of Higher Education, the Oklahoma State Regents for Higher Education and the telecommunications network known as OneNet as assembled and submitted by the Oklahoma Higher Education Chief Information Officer, as designated by the Oklahoma State Regents for Higher Education.

~~2. Within twelve (12) months of appointment, the first Chief Information Officer shall issue a report setting out a plan of action which will include the following:~~

- ~~a. define the shared service model organization structure and the reporting relationship of the recommended organization,~~
- ~~b. the implementation of an information technology and telecommunications shared services model that defines the statewide infrastructure environment needed by most state agencies that is not specific to individual agencies and the shared applications that are utilized across multiple agencies,~~
- ~~c. define the services that shall be in the shared services model under the control of the Information Services Division of the Office of Management and Enterprise Services,~~
- ~~d. define the roadmap to implement the proposed shared services model. The roadmap shall include recommendations on the transfer, coordination, and modernization of all information technology and telecommunication systems of all the state agencies in the state,~~
- ~~e. recommendations on the reallocation of information technology and telecommunication resources and personnel,~~
- ~~f. a cost benefit analysis to support the recommendations on the reallocation of information technology and telecommunication resources and personnel,~~
- ~~g. a calculation of the net savings realized through the reallocation and consolidation of information technology and telecommunication resources and personnel after compensating for the cost of contracting with a private consultant as authorized in paragraph 4 of this subsection, implementing the plan of action, and ongoing costs of the Information Services Division of the Office of Management and Enterprise Services, and~~

~~h. the information required in subsection B of Section 35.5 of this title.~~

~~3. The plan of action report shall be presented to the Governor, Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate.~~

4. The Chief Information Officer may contract with a private consultant or consultants to assist in the assessment ~~and development of the plan of action report~~ as required in this subsection.

E. The Chief Information Officer shall be authorized to employ personnel, fix the duties and compensation of the personnel, not otherwise prescribed by law, and otherwise direct the work of the personnel in performing the function and accomplishing the purposes of the Information Services Division of the Office of Management and Enterprise Services.

F. The Information Services Division of the Office of Management and Enterprise Services shall be responsible for the following duties:

1. Formulate and implement the information technology strategy for all state agencies;

2. Define, design, and implement a shared services statewide infrastructure and application environment for information technology and telecommunications for all state agencies;

3. Direct the development and operation of a scalable telecommunications infrastructure that supports data and voice communications reliability, integrity, and security;

4. Supervise the applications development process for those applications that are utilized across multiple agencies;

5. Provide direction for the professional development of information technology staff of state agencies and oversee the professional development of the staff of the Information Services Division of the Office of Management and Enterprise Services;

6. Evaluate all technology and telecommunication investment choices for all state agencies;

7. Create a plan to ensure alignment of current systems, tools, and processes with the strategic information technology plan for all state agencies;

8. Set direction and provide oversight for the support and continuous upgrading of the current information technology and telecommunication infrastructure in the state in support of enhanced reliability, user service levels, and security;

9. Direct the development, implementation, and management of appropriate standards, policies and procedures to ensure the success of state information technology and telecommunication initiatives;

10. Recruit, hire and transfer the required technical staff in the Information Services Division of the Office of Management and Enterprise Services to support the services provided by the Division and the execution of the strategic information technology plan;

11. Establish, maintain, and enforce information technology and telecommunication standards;

12. Delegate, coordinate, and review all work to ensure quality and efficient operation of the Information Services Division of the Office of Management and Enterprise Services;

13. Create and implement a communication plan that disseminates pertinent information to state agencies on standards, policies, procedures, service levels, project status, and other important information to customers of the Information Services Division of the Office of Management and Enterprise Services and provide for agency feedback and performance evaluation by customers of the Division;

14. Develop and implement training programs for state agencies using the shared services of the Information Services Division of the Office of Management and Enterprise Services and recommend training programs to state agencies on information technology and telecommunication systems, products and procedures;

15. Provide counseling, performance evaluation, training, motivation, discipline, and assign duties for employees of the Information Services Division of the Office of Management and Enterprise Services;

16. For all state agencies, approve the purchasing of all information technology and telecommunication services and approve the purchase of any information technology and telecommunication product except the following:

- a. a purchase less than or equal to Five Thousand Dollars (\$5,000.00) if such product is purchased using a state purchase card and the product is listed on either the Approved Hardware or Approved Software list located on the Office of Management and Enterprise Services website, or
- b. a purchase over Five Thousand Dollars (\$5,000.00) and less than or equal to Twenty-five Thousand Dollars (\$25,000.00) if such product is purchased using a state purchase card, the product is listed on an information technology or telecommunications statewide contract, and the product is listed on either the Approved Hardware or Approved Software list located on the Office of Management and Enterprise Services website;

17. Develop and enforce an overall infrastructure architecture strategy and associated roadmaps for desktop, network, server, storage, and statewide management systems for state agencies;

18. Effectively manage the design, implementation and support of complex, highly available infrastructure to ensure optimal performance, on-time delivery of features, and new products, and scalable growth;

19. Define and implement a governance model for requesting services and monitoring service level metrics for all shared services; and

20. Create the budget for the Information Services Division of the Office of Management and Enterprise Services to be submitted to the Legislature each year.

G. The State Governmental Technology Applications Review Board shall provide ongoing oversight of the implementation of the plan of action required in subsection D of this section. Any proposed amendments to the plan of action shall be approved by the Board prior to adoption.

H. 1. The Chief Information Officer shall act as the Information Technology and Telecommunications Purchasing Director for all state agencies and shall be responsible for the procurement of all information technology and telecommunication software, hardware, equipment, peripheral devices, maintenance, consulting services, high technology systems, and other related information technology, data processing, telecommunication, and related peripherals and services for all state agencies. The Chief Information Officer shall establish, implement, and enforce policies and procedures for the procurement of information technology and telecommunication software, hardware, equipment, peripheral devices, maintenance, consulting services, high technology systems, and other related information technology, data processing, telecommunication, and related peripherals and services by purchase, lease-purchase, lease with option to purchase, lease, and rental for all state agencies. The procurement policies and procedures established by the Chief Information Officer shall be consistent with The Oklahoma Central Purchasing Act.

2. The Chief Information Officer, or any employee or agent of the Chief Information Officer acting within the scope of delegated authority, shall have the same power and authority regarding the procurement of all information technology and telecommunication products and services as outlined in paragraph 1 of this subsection for all state agencies as the State Purchasing Director has for all acquisitions used or consumed by state agencies as established in The Oklahoma Central Purchasing Act. Such authority shall, consistent with the authority granted to the State Purchasing Director pursuant to Section 85.10 of Title 74 of the Oklahoma Statutes, include the power to designate financial or proprietary information submitted by a bidder confidential and reject all requests to disclose the information so designated, if the Chief

Information Officer requires the bidder to submit the financial or proprietary information with a bid, proposal, or quotation.

I. The Information Services Division of the Office of Management and Enterprise Services and the Chief Information Officer shall be subject to the Oklahoma Central Purchasing Act for the approval and purchase of all equipment, products, and services and shall also be subject to the requirements of the Public Competitive Bidding Act of 1974, the Oklahoma Lighting Energy Conservation Act and the Public Building Construction and Planning Act. The Chief Information Officer shall be authorized to delegate all or some of the procurement of information technology and telecommunication products and services and construction of facilities and telecommunication networks to another state entity if the Chief Information Officer determines it to be cost-effective and in the best interest of the state. The Chief Information Officer shall have authority to designate information technology and telecommunication contracts as statewide contracts and mandatory statewide contracts pursuant to Section 85.5 of Title 74 of the Oklahoma Statutes and to negotiate consolidation contracts, enterprise agreements, and high technology systems contracts. Any contract entered into by a state agency for which the Chief Information Officer has not acted as the Information Technology and Telecommunications Purchasing Director as required in this subsection or subsection H of this section, shall be deemed to be unenforceable and the Office of Management and Enterprise Services shall not process any claim associated with the provisions thereof.

J. The Chief Information Officer shall establish, implement, and enforce policies and procedure for the development and procurement of an interoperable radio communications system for state agencies. The Chief Information Officer shall work with local governmental entities in developing the interoperable radio communications system.

K. The Chief Information Officer shall develop and implement a plan to utilize open source technology and products for the information technology and telecommunication systems of all state agencies.

L. All state agencies and authorities of this state and all officers and employees of those entities shall work and cooperate

with and lend assistance to the Chief Information Officer and the Information Services Division of the Office of Management and Enterprise Services and provide any and all information requested by the Chief Information Officer.

M. The Chief Information Officer shall prepare an annual report detailing the ongoing net saving attributable to the reallocation and consolidation of information technology and telecommunication resources and personnel and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit the report to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate.

N. For purposes of the Oklahoma Information Services Act, unless otherwise provided for, "state agencies" shall include any office, officer, bureau, board, commission, counsel, unit, division, body, authority, or institution of the executive branch of state government, whether elected or appointed; provided, except with respect to the provisions of subsection D of this section, the term "state agencies" shall not include institutions within The Oklahoma State System of Higher Education, the Oklahoma State Regents for Higher Education and the telecommunications network known as OneNet.

O. As used in this section:

1. "High technology system" means advanced technological equipment, software, communication lines, and services for the processing, storing, and retrieval of information by a state agency;

2. "Consolidation contract" means a contract for several state or public agencies for the purpose of purchasing information technology and telecommunication goods and services; and

3. "Enterprise agreement" means an agreement for information technology or telecommunication goods and services with a supplier who manufactures, develops, and designs products and provides services that are used by one or more state agencies.

SECTION 132. AMENDATORY 62 O.S. 2021, Section 34.32, as amended by Section 25, Chapter 228, O.S.L. 2022 (62 O.S. Supp. 2025, Section 34.32), is amended to read as follows:

Section 34.32. A. The Information Services Division of the Office of Management and Enterprise Services shall create a standard security risk assessment for state agency information technology systems that complies with the International Organization for Standardization (ISO) and the International Electrotechnical Commission (IEC) Information Technology - Code of Practice for Security Management (ISO/IEC 27002).

B. Each state agency that has an information technology system shall obtain an information security risk assessment to identify vulnerabilities associated with the information system. The Information Services Division of the Office of Management and Enterprise Services shall approve not less than two firms which state agencies may choose from to conduct the information security risk assessment.

C. A state agency with an information technology system that is not consolidated under the Information Technology Consolidation and Coordination Act or that is otherwise retained by the agency shall additionally be required to have an information security audit conducted by a firm approved by the Information Services Division that is based upon the most current version of the NIST Cyber-Security Framework, and shall submit a final report of the information security risk assessment and information security audit findings to the Information Services Division each year on a schedule set by the Information Services Division. Agencies shall also submit a list of remedies and a timeline for the repair of any deficiencies to the Information Services Division within ten (10) days of the completion of the audit. The final information security risk assessment report shall identify, prioritize, and document information security vulnerabilities for each of the state agencies assessed. The Information Services Division may assist agencies in repairing any vulnerabilities to ensure compliance in a timely manner.

D. Subject to the provisions of subsection C of Section 34.12 of this title, the Information Services Division shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report the results of the state agency assessments and information security audit findings required pursuant to this section to the Governor, the Speaker of the House

of Representatives, and the President Pro Tempore of the Senate by the first day of January of each year. Any state agency with an information technology system that is not consolidated under the Information Technology Consolidation and Coordination Act that cannot comply with the provisions of this section shall consolidate under the Information Technology Consolidation and Coordination Act.

E. This section shall not apply to state agencies subject to mandatory North American Electric Reliability Corporation (NERC) cybersecurity standards and institutions within The Oklahoma State System of Higher Education, the Social Security Disability Determination Services Division of the Department of Rehabilitation Services, and the Oklahoma State Regents for Higher Education and the telecommunications network known as OneNet that follow the International Organization for Standardization (ISO), the Oklahoma Military Department (OMD) and the International Electrotechnical Commission (IEC)-Security techniques-Code of Practice for Information Security Controls or National Institute of Standards and Technology.

SECTION 133. AMENDATORY 62 O.S. 2021, Section 34.36, as amended by Section 2, Chapter 199, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.36), is amended to read as follows:

Section 34.36. A. On the first day of October preceding each regular session of the Legislature, each state agency, including those created or established pursuant to constitutional provisions, shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Director of the Office of Management and Enterprise Services and the Chair and Vice Chair of the Legislative Oversight Committee on State Budget Performance an itemized request showing the amount needed for the ensuing fiscal year beginning with the first day of July.

B. The forms which ~~must~~ shall be used in making these reports shall be approved by the Director of the Office of Management and Enterprise Services and the Legislative Oversight Committee on State Budget Performance.

C. The forms shall be uniform, and shall clearly designate the information to be given.

D. The information provided shall include, but not be limited to:

1. A budget analysis of existing and proposed programs utilizing performance-informed budgeting techniques. Such analysis shall be included as a part of the estimate of funds needed;

2. A statement listing any other state, federal or local agencies which administer a similar or cooperating program and an outline of the interaction among such agencies;

3. A statement of the statutory authority for the missions and quantified objectives of each program;

4. A description of the groups of people served by each program in the agency;

5. A quantification of the need for the program;

6. A description of the tactics which are intended to accomplish each objective;

7. A list of quantifiable program outcomes which measure the efficiency and effectiveness of each program;

8. A ranking of these programs by priority;

9. Actual program expenditures for the current fiscal year and prior fiscal years and the number of personnel required to accomplish each program;

10. Revenues expected to be generated by each program, if any;

11. With respect to appropriated state agencies, a detailed listing of all employees and resources dedicated to the provision of financial services including but not limited to procurement, payroll, accounts receivable, and accounts payable. The provisions of this paragraph shall not be applicable to the Oklahoma State Regents for Higher Education or to any institutions within The Oklahoma State System of Higher Education; and

12. A certification that following the effective date of this act and prior to July 1, 2011, no expenditure shall have been made or funds encumbered for the purchase, lease, lease-purchase or rental of any computers, software, telecom, information technology hardware, firmware, or information technology services, including support services without the prior written approval of the State Comptroller or his or her designee.

E. These appropriated agencies shall make an itemized estimate of needs for the ensuing fiscal year and the following two (2) fiscal years and request for funds for the ensuing fiscal year and an estimate of the revenues from all sources to be received by the agency during the ensuing fiscal year and the following two (2) fiscal years.

F. The Director of the Office of Management and Enterprise Services shall submit to the Governor and the Legislative Oversight Committee on State Budget Performance no later than the fifth day of October a complete list of all spending agencies which have failed to submit budgets by October 1.

G. The reports required by this section shall include an itemized listing of outstanding capital lease debt and estimated capital lease needs for the ensuing fiscal year and the following two (2) fiscal years, and shall be provided on forms prescribed by the Director of the Office of Management and Enterprise Services.

H. For the purposes of this section, "capital lease" means a lease-purchase agreement which provides an option for the State of Oklahoma or its agencies to purchase property, including personal and real property, which is the subject thereof ~~and/or~~ or a lease agreement that provides an option for the State of Oklahoma or its agencies to lease such property, which is the subject thereof, at a nominal annual amount, after a period in which leased property is rented at fair market value.

I. Not later than January 1, the Director of the Office of Management and Enterprise Services shall publish a shared services cost-performance assessment report documenting the amount of each state agency's cost for providing shared services. The lowest ranking state agencies shall enter into a contract with the Office of Management and Enterprise Services for the provision of shared

financial services, provided that the Director of the Office of Management and Enterprise Services determines that implementation of such a contract would be feasible and documents that the contractual agreement will result in cost savings or efficiencies to the state. Contracts required by this subsection shall be entered into at the start of the next fiscal year. When a state agency is contracted with the Office of Management and Enterprise Services for the provision of shared financial services, the agency may discontinue using shared services when documentation showing that the agency can provide the services at a lower cost to the state is provided to and approved by the Director of the Office of Management and Enterprise Services. As used in this subsection, "shared services" means process, resource utilization, or action as defined by administrative rule. On a yearly basis the Director of the Office of Management and Enterprise Services shall compile and publish a report documenting the cost savings resulting from shared services contracts. The provisions of this subsection shall not be applicable to the Oklahoma State Regents for Higher Education or to any institutions within The Oklahoma State System of Higher Education.

SECTION 134. AMENDATORY 62 O.S. 2021, Section 34.37, is amended to read as follows:

Section 34.37. Immediately after the beginning of each regular session of the Legislature, the Governor shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the presiding officer of each house, copies of the budget based upon the investigations and conclusions of the Office of Management and Enterprise Services. Such budget document shall contain a complete and itemized plan of all proposed expenditures for each agency or undertaking classified according to the various cabinet areas designated by the Governor or otherwise created by law. Such expenditures shall be further classified by function, character, and object, and in the event such proposed expenditures exceed the estimate made by the State Board of Equalization, the Governor shall accompany the budget document with a proposal of new revenue raising measures sufficient to effect a balanced budget for the ensuing fiscal year.

SECTION 135. AMENDATORY 62 O.S. 2021, Section 34.42, as last amended by Section 3, Chapter 199, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.42), is amended to read as follows:

Section 34.42. A. On or before the first day of June in each year, or as soon thereafter as possible, all agencies shall file agency budgets with the Director of the Office of Management and Enterprise Services. Copies of all agency budgets shall also be made available electronically to the staff of the Joint Legislative Committee on Budget and Program Oversight utilizing the centralized filing system provided for in Section 378 of this act.

B. The required instructions, content, and format of agency budgets shall be developed by the staff of the Budget Division of the Office of Management and Enterprise Services.

C. 1. The agency budget shall include a description of all funds available to the agency for expenditure and set out allotments requested by the agency by quarter and the entire fiscal year.

2. The agency budget shall be accompanied by an organizational chart of the agency, a statement of agency mission, and program objectives.

3. The agency budget shall delineate agency spending by such categories and with at least as much detail as is specified in the legislative appropriation and as prescribed by the Director of the Office of Management and Enterprise Services.

4. Agency budgets shall be signed by the executive officer of each agency.

5. The executive officer shall certify that the agency is in complete compliance with the requirements of Section 34.11.3 of this title and Section 3-114 of Title 65 of the Oklahoma Statutes.

D. A "request officer" shall be designated by each state agency for the purpose of making program and allotment requests.

E. Executive officers of agencies shall cooperate with the Office of Management and Enterprise Services staff and Joint Committee staff in developing program budgeting categories.

F. All funds available or expected to be made available to any agency, including nonfiscal appropriations, shall not be available for expenditure until the request officer of the agency has complied with the applicable provisions of the Oklahoma State Finance Act and has received approval of such request for funds from the Director of the Office of Management and Enterprise Services.

SECTION 136. AMENDATORY 62 O.S. 2021, Section 34.52, is amended to read as follows:

Section 34.52. A. The administrative head of any agency or the request officer may request that any current item of appropriation, allotment, or budget category be transferred to any other budget category within the same agency.

B. The administrative head shall make a request for budget transfer to the Director of the Office of Management and Enterprise Services in writing and file a revised agency budget.

C. Copies of the request for budget transfer and corresponding agency budget revisions shall also be electronically filed, utilizing the centralized filing system provided for in Section 378 of this act, with the Joint Legislative Committee on Budget and Program Oversight as created by Section 34.96 of this title.

D. The Director of the Office of Management and Enterprise Services shall approve the request for transfer unless both the Chair and Vice Chair of the Joint Legislative Committee on Budget and Program Oversight provide written notification to the Director of the Office of Management and Enterprise Services within twelve (12) calendar days of receipt of transfer request that the transfer subverts the intention and objectives of the Legislature in establishing the original appropriation, or unless the transfer does not meet the requirements of this section or Section 34.49 of this title. Notification of noncompliance with legislative intent shall be electronically transmitted, utilizing the centralized filing system provided for in Section 378 of this act, to the Director of the Office of Management and Enterprise Services within twelve (12) calendar days of receipt of the transfer request. The Director of the Office of Management and Enterprise Services shall give written notice of approval or disapproval of each budget transfer by

electronic transmission, utilizing the centralized filing system provided for in Section 378 of this act, to the agency, the Governor, and the Chair and Vice Chair of the Joint Legislative Committee on Budget and Program Oversight within eighteen (18) calendar days of receiving the request.

E. Transfers shall be subject to the following limitations:

1. The amount to be transferred, together with all previous transfers, shall not exceed twenty-five percent (25%) of the total appropriation of the least of the items of appropriation, allotment or agency budget involved in the transfer; and

2. If the amount to be transferred, and all previous transfers, is greater than twenty-five percent (25%) of the least items of appropriation, allotment or agency budget involved in the transfer request, the agency may make an application to the Director of the Office of Management and Enterprise Services, and the Chair and Vice Chair of the Joint Legislative Committee on Budget and Program Oversight. If the agency obtains written approval from the Director of the Office of Management and Enterprise Services and the Chair and Vice Chair of the Joint Legislative Committee Budget and Program Oversight, an additional fifteen percent (15%) may be transferred.

SECTION 137. AMENDATORY 62 O.S. 2021, Section 34.88, is amended to read as follows:

Section 34.88. A. The Office of Accountability shall separately account for and report monthly revenues which it determines accrued to the Education Reform Revolving Fund which were attributable to the tax increases contained in Enrolled House Bill No. 1017 of the 1st Extraordinary Session of the 42nd Oklahoma Legislature.

B. Funds separately accounted for herein shall be used only to fund the reforms provided for in Enrolled House Bill No. 1017 of the 1st Extraordinary Session of the 42nd Oklahoma Legislature and for no other purpose. Any appropriation or expenditure of any of such funds for any other purpose shall be null and void and of no effect.

C. The Office of Accountability shall track apportionment of revenues which are deposited to the credit of the Education Reform

Revolving Fund of the State Treasury which are attributable to the changes contained in Enrolled House Bill No. 1017 of the 1st Extraordinary Session of the 42nd Oklahoma Legislature on a fiscal year basis and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide an accounting to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate, within thirty (30) days after the end of the fiscal year.

SECTION 138. AMENDATORY 62 O.S. 2021, Section 34.94, is amended to read as follows:

Section 34.94. The Office of Management and Enterprise Services shall separately account for and report monthly revenues which it determines are attributable to fees collected by the Oklahoma Board of Private Vocational Schools pursuant to Section 21-106 of Title 70 of the Oklahoma Statutes. The Office of Management and Enterprise Services shall track the fee revenue deposited by the Board on a fiscal year basis and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide an accounting to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate within thirty (30) days after the end of the fiscal year.

SECTION 139. AMENDATORY 62 O.S. 2021, Section 34.95, is amended to read as follows:

Section 34.95. A. The Appropriations and Budget Committee of the Oklahoma House of Representatives and the Appropriations Committee of the State Senate shall:

1. Utilize information collected by the Office of Management and Enterprise Services pursuant to Section 34.36 of this title and any reports issued by the Legislative Oversight Committee on State Budget Performance to evaluate management programs, operations and fiscal needs of state agencies, boards, commissions, departments, divisions, offices, bureaus, institutions, and other spending agencies, including those created or established pursuant to constitutional provisions; and

2. File an evaluation report no later than March 1 of each fiscal year with the Chief Clerk of the Oklahoma House of

Representatives and the Clerk of the State Senate which shall include, but not be limited to, the following information:

- a. a review of the agency's programs, performance, and management,
- b. whether the agency has demonstrated a public need for the services and programs justifying the agency's continued existence, and
- c. whether the agency is the most appropriate provider of the programs and services furnished by the agency.

B. The Appropriations and Budget Committee of the Oklahoma House of Representatives and the Appropriations Committee of the State Senate shall utilize information contained in the evaluation report in determining final appropriations for state agencies and in any future adjustments in funding levels.

C. No action shall be taken on a measure making an appropriation unless the evaluation report described by paragraph 2 of subsection A of this section with respect to the entity to which the appropriation is made has first been filed with the applicable clerk.

D. Each subcommittee of the Appropriations Committee of the Oklahoma State Senate and the Appropriations and Budget Committee of the Oklahoma House of Representatives shall establish budget performance measurements for each spending agency under its jurisdiction. The performance measurements shall be developed in order to allow the Legislature and the Governor to obtain ~~measurable~~ measurable data to determine if the agency is performing its duties in the most cost-effective manner possible.

Each spending agency, whether or not it receives state appropriations, shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit analysis reports as required by the subcommittee in order to enable the subcommittee to make a determination as to whether the agency has met the established performance measurements.

Such requirements may be established for the forthcoming fiscal year and for such additional fiscal years in the future as the subcommittees deem appropriate.

SECTION 140. AMENDATORY 62 O.S. 2021, Section 34.200-1, is amended to read as follows:

Section 34.200-1. A. The State Treasurer in cooperation with the Office of Management and Enterprise Services shall produce a written debt affordability study (study) to be presented to the Legislature and the Governor.

B. The study shall be used to determine Oklahoma's debt position relative to its benchmark debt ratio of debt service as a percentage of revenues. The study shall incorporate information available in other sources, such as the Annual Bonded Indebtedness Report produced by the State Treasurer, into an analysis of Oklahoma's debt position.

C. The study shall include the net tax-supported and net revenue-supported debt of this state for the most recently concluded fiscal year. It shall also include the debt for the most recently concluded fiscal year of state agencies and state-beneficiary public trusts which are authorized to issue debt.

D. The study shall include the following:

1. Projections of debt service, future debt issuance, and debt to capacity, such as debt service as a percentage of revenues. Each projection shall extend at least five (5) years from the study's fiscal year of publication;

2. A discussion of Oklahoma's unfunded pension liabilities and the impact of these liabilities on the state's ability to borrow and cost of debt;

3. An identification and calculation of relevant metrics including, but not limited to, debt service as a percentage of revenues, total debt as a percentage of state personal income, and total debt per capita;

4. A comparison of debt metrics to a select group of at least ten other states so that Oklahoma may be able to measure and contextualize its debt relative to other states;

5. A sensitivity analysis to understand the effects of uncertain conditions. This sensitivity analysis may include analysis on the impact of debt ratios of revenues being above or below expectations or interest rates increasing or decreasing from positions at time of publication; and

6. An estimate of available debt capacity the state may issue over the next five (5) years without causing the benchmark debt ratio of debt service as a percentage of revenues to exceed five percent (5%). This estimate is based on the state's net tax-supported debt and the debt of the relevant state units and agencies.

E. In preparing any authorization of new debt, the debt-issuing entity, the Legislature, and the Governor shall take the study's recommendations and estimates into consideration. In addition, the study's recommendations and estimates shall be taken into consideration by the Legislature and the Governor during capital planning and budgeting processes.

F. The State Treasurer and the Office of Management and Enterprise Services shall report the results of the study to the Legislature by electronically transmitting, utilizing the centralized filing system provided for in Section 378 of this act, a copy of such study to the Speaker of the House of Representatives, the President Pro Tempore of the State Senate, and to the Governor on or before January 15 of each year.

G. The study's recommendations and estimates shall be advisory and not binding.

SECTION 141. AMENDATORY 62 O.S. 2021, Section 34.301, as last amended by Section 1, Chapter 319, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.301), is amended to read as follows:

Section 34.301. A. This act shall be known and may be cited as the "Civil Service and Human Capital Modernization Act".

B. The Human Capital Management Division and the Civil Service Division of the Office of Management and Enterprise Services shall:

1. Establish and maintain a State Employee Dispute Resolution Program, which may include mediation, to provide dispute resolution services for state agencies and state employees. Actions agreed to through the State Employee Dispute Resolution Program shall be consistent with applicable laws and rules and shall not alter, reduce, or modify any existing right or authority as provided by statute or rule;

2. Establish rules pursuant to the Administrative Procedures Act as may be necessary to perform the duties and functions of this act, including creating an Office of Veterans Placement to offer counseling, assessment, and assistance to veterans seeking state employment;

3. Receive and only act on complaints by state employees arising from disciplinary action;

4. Use administrative law judges as independent contractors or administrative law judges provided by the Office of the Attorney General to exercise the provisions of this act;

5. ~~Submit~~ Electronically submit, utilizing the centralized filing system provided for in Section 378 of this act, quarterly reports on workload statistics to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate containing the following information:

- a. the number of cases, complaints and requests for hearings filed, disposed of, and pending with the Divisions for each month of the quarter, and
- b. a numerical breakdown of the methods of disposition of such cases, complaints, and requests for hearing.

Quarterly reports shall be submitted within thirty (30) days following the last day of the month of the appropriate quarter;

6. Create a confidential whistleblower program and serve as the chief administrator of such program whereby a state employee may

confidentially report claims of agency or employee mismanagement as well as criminal misuse of state funds or property. Mismanagement includes fraudulent activity or abuse or violation of a well-established, articulated, clear, and compelling public policy. The Office of the Attorney General shall have the authority to investigate and determine whether to prosecute such whistleblower claims. The Attorney General shall also have the power to refer such claims to the appropriate district attorney; and

7. Receive and act upon complaints from disciplinary action and grievances filed by state employees employed to perform duties as outlined in paragraph 6 of subsection E of Section 3311 of Title 70 and Section 2-105 of Title 47 of the Oklahoma Statutes and to establish rules pursuant to the Administrative Procedures Act as may be necessary to carry out this objective and the right to be heard.

C. Complaints shall be filed with the Civil Service Division within ten (10) business days of the date of when such action occurred and hearings shall take place within thirty (30) business days from the filing of the complaint, with the exception of actions filed pursuant to paragraph 7 of subsection B of this section.

D. Employees filing a complaint with the Civil Service Division shall prove that there was no reasonable basis for the disciplinary action by the state agency. The review of the merits of the complaint may be limited to the employee disciplinary file directly at issue. In the event documents needed are not maintained in the disciplinary file, or additional witnesses are requested by the parties, the administrative law judge shall have the discretion to allow additional documentation or witnesses regarding the disciplinary action taken. Complaints relating to punitive transfers shall be administrated through mediation first and shall only proceed to a hearing if mediation is unsuccessful. Employees who were offered a relocation incentive as set forth in administrative rule shall not be deemed as being subject to a punitive transfer. Complaints relating to written reprimands shall be administered through mediation exclusively, and state employees employed to perform duties as outlined in paragraph 6 of subsection E of Section 3311 of Title 70 and Section 2-105 of Title 47 of the Oklahoma Statutes shall be permitted to proceed to a hearing if mediation is unsuccessful. Mediation may also be available for other disciplinary actions.

E. Claimants shall be permitted to secure and utilize representation during the adverse action process.

F. The presiding officer of any proceeding before the Civil Service Division may require payment of reasonable attorney fees and costs to the prevailing party if the position of the nonprevailing party was without reasonable basis or was frivolous.

G. For purposes of this section, "disciplinary actions" means termination, suspension without pay, involuntary demotion, punitive transfers, or written reprimand.

H. Nothing in this section shall apply to:

1. Persons employed by the Governor, Lieutenant Governor, Oklahoma House of Representatives, Oklahoma State Senate, Legislative Service Bureau, or the Legislative Office of Fiscal Transparency;

2. Elected officials;

3. Political appointees;

4. District attorneys, assistant district attorneys or other employees of the district attorney's office, and the District Attorneys Council;

5. The state judiciary or persons employed by the state judiciary;

6. Not more than five percent (5%) of an agency's employees designated as executive management as determined by the agency director and the agency shall designate the status of the employee as state employee or executive management in the State of Oklahoma's Human Resources Information System, maintained by the Human Capital Management Division;

7. Temporary employees employed to work less than one thousand (1,000) hours in any twelve-month period;

8. Seasonal employees employed to work less than one thousand six hundred (1,600) hours in any twelve-month period;

9. Employees in a trial period; or

10. State employees whose employment status is otherwise provided by law.

I. Except as provided by subsection H of this section, effective January 1, 2022, all state employee positions shall be administered by the Human Capital Management Division of the Office of Management and Enterprise Services, without reference to prior classified or unclassified status.

J. In collaboration with executive branch agencies, and their human resources personnel, the Human Capital Management Administrator shall establish and define statewide minimum standards for human resource business processes, based on industry standards and statewide best practices, to be followed by all executive branch agencies. The Human Capital Management Administrator has the authority to grant exceptions to the statewide minimum standards. Additionally, the Human Capital Management Administrator shall establish and maintain a statewide job catalog and pay structure for executive branch jobs and establish policies and procedures for a market-based pay system, pay-for-performance system, and dispute resolution process for issues that do not rise to a disciplinary action as provided by the Civil Service and Human Capital Modernization Act. The Human Capital Management Administrator shall promulgate rules necessary to carry out the authority set forth in this section.

K. The Civil Service Division is authorized to employ attorneys or contract with private attorneys to serve as legal counsel to the Civil Service Division. The attorneys shall be authorized to appear for and represent the Civil Service Division in all litigation that may arise from the discharge of its duties, including the representation of the Civil Service Division when its decisions are appealed to higher courts. Attorneys employed by the Office of Management and Enterprise Services to represent the Civil Service Division shall represent the Civil Service Division notwithstanding its representation of the Office of Management and Enterprise Services in the same or related matters pending before the Civil

Service Division or before any court. The Office of Management and Enterprise Services shall establish internal administrative procedures to ensure that all departments within the Office of Management and Enterprise Services are provided independent legal representation, and such simultaneous representation shall not, of itself, be deemed to constitute a conflict of interest.

L. The Civil Service Division shall be exempt from the requirements set forth in Section 20i of Title 74 of the Oklahoma Statutes when carrying out the duties and functions of this act.

SECTION 142. AMENDATORY 62 O.S. 2021, Section 35.9, is amended to read as follows:

Section 35.9. In addition to any other reporting requirements required by law, the Chief Information Officer shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit quarterly progress reports to the Director of the Office of Management and Enterprise Services, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate. The reports shall be submitted not later than January 31, April 30, July 31, and October 31 of each year and shall include, but not be limited to, the following information:

1. The status of the implementation of the plan of action required in paragraph 2 of subsection D of Section 34.11.1 of this title;

2. A list of information technology assets and positions transferred to the Information Services Division of the Office of Management and Enterprise Services pursuant to the provisions of subsection C of Section 35.5 of this title;

3. After July 1, 2012, and until the information technology consolidation is completed, an annual reduction of three percent (3%) in operational information technology and telecommunications expenditures realized in the aggregate by all consolidated state agencies;

4. A list of all state agencies which are not using the shared services as required in Section 35.6 of this title;

5. A list of all exemptions or extensions granted pursuant to the provisions of Section 35.7 of this title; and

6. Any other information as deemed appropriate by the Chief Information Officer.

SECTION 143. AMENDATORY 62 O.S. 2021, Section 36, is amended to read as follows:

Section 36. A. There is hereby created in the State Treasury a fund for the Office of Management and Enterprise Services to be designated the "Digital Transformation Program Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of monies designated to the fund by law. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Office of Management and Enterprise Services for the purpose of implementing digital transformation initiatives, and upon request of the Oklahoma Department of Commerce, to pay for administrative support expenses for the Rural Broadband Expansion Council as provided by Section 3 of this act. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. Monthly the Director of the Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit reports to the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, the Chair of the Appropriations and Budget Committee of the Oklahoma House of Representatives, and the Chair of the Appropriations Committee of the Oklahoma State Senate detailing:

1. Expenditures from the Digital Transformation Program Revolving Fund; and

2. Projects under consideration for future expenditures from the fund.

SECTION 144. AMENDATORY 62 O.S. 2021, Section 45.3, is amended to read as follows:

Section 45.3. A. Each state agency shall make a strategic plan for its operations. The first strategic plans will be due October 1, 2001, and in each subsequent even-numbered year. Each state agency plan shall cover five (5) fiscal years beginning with the next odd-numbered fiscal year.

B. The Office of Management and Enterprise Services shall determine the elements required to be included in each agency's strategic plan. Unless modified by the Office of Management and Enterprise Services, and except as provided by subsection C of this section, a plan ~~must~~ shall include, but is not limited to, the following items:

1. A statement of the mission and goals of the state agency;
2. A description of the indicators developed under this act and used to measure the output and outcome of the agency and its programs;
3. Identification of the groups of people served by the agency, including those having service priorities, or other service measures established by law, and estimates of changes in those groups expected during the term of the plan;
4. An analysis of the use of the agency's resources to meet the agency's mission, including future needs, and an estimate of additional resources that may be necessary to achieve said mission;
5. An analysis of expected changes in the services provided by the agency because of changes in state or federal law;
6. A description of the means and strategies, including cost-containment strategies and efficiency proposals, for meeting the agency's needs, including future needs, and achieving the goals for each area of state government for which the agency provides services;
7. A summary of the capital improvement needs of the agency which were provided to the Long-Range Capital Planning Commission as required by Section 901 of this title; and

8. Other information that may be required.

C. A state agency's plan that does not include an item described by subsection B of this section ~~must~~ shall include the reason the item does not apply to the agency.

D. Each state agency's plan shall be submitted at the same time as the estimate of funds needed developed pursuant to Section 34.36 of this title.

E. A state agency shall ~~send one~~, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a copy of the plan ~~each~~ to:

1. The Governor;
2. The President Pro Tempore of the State Senate;
3. The Speaker of the House of Representatives;
4. The Legislative Oversight Committee on State Budget Performance;
5. The Chair and Vice Chair of the Joint Committee on Accountability in Government;
6. The Director of the Office of Management and Enterprise Services; and
7. The State Auditor and Inspector.

F. In this section, "capital improvement" means any building or infrastructure project that will be owned by the state and built with direct appropriations or with the proceeds of state-issued bonds or paid from revenue sources other than general revenue at a cost of at least Twenty-five Thousand Dollars (\$25,000.00) and has a useful life of at least five (5) years.

SECTION 145. AMENDATORY 62 O.S. 2021, Section 45.11, is amended to read as follows:

Section 45.11. A. No later than October 1 of each year, each state agency shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a program management and performance report to the Chair and Vice Chair of the House Appropriations and Budget Committee, the Chair and Vice Chair of the Senate Appropriations Committee, the Chair and Vice Chair of the Senate Finance Committee, and the Director of the Office of Management and Enterprise Services. The report shall contain, at a minimum, detailed data for each agency program relating to each of the evaluation factors set out in Section 45.9 of Title 62 of the Oklahoma Statutes. It shall also list:

1. Specific cost avoidance and cost containment measures implemented during the previous fiscal year;
2. The agency's methodology for:
 - a. determining its fee structure,
 - b. calculating fees, and
 - c. measuring customer satisfaction;
3. Programs or operations not required for the agency's core function; and
4. Details showing the actual cost of any programs or operations listed under paragraph 3 of this subsection.

B. For purposes of this section:

1. "State agency" means a governmental agency as defined in Section 34.29 of Title 62 of the Oklahoma Statutes that receives an appropriation and is authorized to adopt a fee; and
2. "Program" means a service, contract, operation or procedure of an agency.

SECTION 146. AMENDATORY 62 O.S. 2021, Section 48.2, as amended by Section 1, Chapter 313, O.S.L. 2019, is amended to read as follows:

Section 48.2. A. There is hereby created in the State Treasury a revolving fund for the Oklahoma Department of Commerce to be designated the Oklahoma Quick Action Closing Fund. The fund shall be a continuing fund, not subject to fiscal year limitations and shall consist of:

1. All monies apportioned or allocated to the fund pursuant to law;

2. Any amounts appropriated by the Legislature to the fund;

3. Interest earned on the investment of money in the fund;

4. Gifts, grants, and other donations received for the fund;
and

5. Five percent (5%) of all funds paid by the Tax Commission to establishments that execute contracts for payment of incentives pursuant to the Oklahoma Quality Jobs Program Act and the 21st Century Quality Jobs Incentive Act if the contract is executed on or after the August 2, 2018.

B. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Governor for the purposes of economic development and related infrastructure development in instances in which expenditure of such funds would likely be a determining factor in locating a high-impact business project or facility in Oklahoma, in retaining such project or facility within the state or for payment of rebates to a high impact production pursuant to the Oklahoma Film Enhancement Rebate Program. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

C. In order to qualify for any funds from the Oklahoma Quick Action Closing Fund, the establishment making application shall be engaged in a business activity described by a North American Industry Classification System (NAICS) Code used to define eligibility for incentive payments from the Oklahoma Quality Jobs Program Act as defined in Section 3603 of Title 68 of the Oklahoma Statutes or a business activity described by Section 3603 of Title

68 of the Oklahoma Statutes or be engaged in a "basic industry" used to define eligibility for incentive payments from the 21st Century Quality Jobs Incentive Act as prescribed by Section 3913 of Title 68 of the Oklahoma Statutes or a high impact production company which has been approved for a rebate pursuant to the provisions of Section 3624 of Title 68 of the Oklahoma Statutes.

D. Except in the case of a high impact production company which has been approved for a rebate pursuant to the provisions of Section 3624 of Title 68 of the Oklahoma Statutes, the Governor shall not approve payments from the Oklahoma Quick Action Closing Fund unless the Department of Commerce has conducted a complete analysis of the potential impact of the applicant's business activity which shall include, but not be limited to:

1. The number of jobs to be created by a new business establishment;

2. The number of jobs to be retained by an existing business establishment;

3. The average salary of jobs to be created by a new establishment;

4. The average salary of jobs to be retained by an existing business establishment;

5. The total capital investment to be made by the business establishment;

6. The likelihood of other business establishments locating within the same vicinity or within the state as a result of the business activity to be conducted by the entity to receive payments from the Oklahoma Quick Action Closing Fund;

7. The impact on the economy of the area or community in which the business activity of the applicant is or will be conducted; and

8. Such other factors as the Governor and the Department of Commerce determine to be relevant.

E. The Oklahoma Department of Commerce shall administer the Oklahoma Quick Action Closing Fund, and expenditures from the fund shall be recommended by the Director of the Oklahoma Department of Commerce to the Governor after a thorough evaluation of selected projects or facilities or after a rebate is approved for payment to a high impact production company pursuant to the provisions of Section 3624 of Title 68 of the Oklahoma Statutes. Except for rebates approved pursuant to the provisions of Section 3624 of Title 68 of the Oklahoma Statutes, the Director of the Oklahoma Department of Commerce shall only recommend expenditures that the Director determines are expected to result in a net economic benefit to the state through the following:

1. The creation of new jobs which offer a basic health benefit plan, as defined in the Oklahoma Quality Jobs Program Act;
2. The maintenance of existing jobs which are at a risk for termination;
3. Investment in new real property, plant or equipment or in the improvement or retooling of existing plant or equipment; or
4. Additional revenues in either ad valorem, income or sales and use taxes.

F. The Oklahoma Department of Commerce shall develop rules for the process of reviewing proposed expenditures from the Oklahoma Quick Action Closing Fund and for the determination of whether or not proposed expenditures meet the criteria identified in subsection E of this section. Criteria shall include, but not be limited to, requirements for economic impact, local participation in the project, capital investment, and average wage thresholds.

G. Upon receipt of an evaluation that recommends an expenditure from the Oklahoma Quick Action Closing Fund from the Director of the Oklahoma Department of Commerce, the Governor shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the evaluation and recommendation to the President Pro Tempore of the State Senate and the Speaker of the Oklahoma House of Representatives before giving final approval for the expenditure on the project. The Executive Office of the Governor shall recommend final approval of an expenditure on a

project pursuant to consultation with the President Pro Tempore of the State Senate and the Speaker of the Oklahoma House of Representatives.

H. Upon approval by the Governor, the Oklahoma Department of Commerce shall enter into an agreement that sets forth the conditions for payment of monies from the Oklahoma Quick Action Closing Fund. The agreement ~~must~~ shall include:

1. The total amount of funds awarded;

2. Except in the case of a rebate approved for payment to a high impact production company pursuant to the provisions of Section 3624 of Title 68 of the Oklahoma Statutes, the performance conditions that ~~must~~ shall be met to obtain the award including, but not limited to, net new employment in the state, average salary, and total capital investment;

3. If appropriate, a baseline of current service and measure of enhanced capability;

4. The methodology of validating performance;

5. The schedule of payments from the fund, and claw-back provisions for failure to meet performance conditions; and

6. A requirement that no monies paid from the Oklahoma Quick Action Closing Fund shall be used by a recipient or any other person or entity for purposes of any political contribution to or on behalf of any candidate or for the support of or opposition to any measure including but not limited to an initiative petition or referendum.

I. The Department of Commerce shall make available on its website or other website dedicated for this purpose a complete disclosure of all payments made from the Oklahoma Quick Action Closing Fund. The disclosure shall include a description of the expenditures made by the business establishment with the payments made from the fund. No proprietary information of the business establishment shall be subject to the requirements of this subsection.

J. If any or all of the amount to be awarded is used to build a capital improvement, except in the case of an amount approved for payment to a high impact production company pursuant to the provisions of Section 3624 of Title 68 of the Oklahoma Statutes:

1. The funds used for the capital improvement shall be deemed to be held in trust for the benefit of the state and shall be considered as a priority claim for purposes of federal bankruptcy law; and

2. If the capital improvement is sold, the recipient of the award shall:

- a. repay the state the money awarded to pay for the capital improvement, with interest at the rate and according to the other terms provided by the agreement, and
- b. share with the state a proportionate amount of any profit realized from the sale.

K. If, as of the date certain provided in the agreement, the award recipient has not used monies awarded for the intended purposes, the recipient shall repay that amount and any related interest to the state at the agreed rate and on the agreed terms and any such amounts shall be deemed to be held in trust for the benefit of the state and shall be considered as a priority claim for purposes of federal bankruptcy law.

SECTION 147. AMENDATORY 62 O.S. 2021, Section 49, is amended to read as follows:

Section 49. On or before November 1 of each year, the Office of Management and Enterprise Services shall develop and publish a multi-year trend analysis of the state's budget outlook which includes the current fiscal year, the ensuing fiscal year and the following two (2) fiscal years. The trend analysis shall include projections of revenues and expenditures reflecting the best available information concerning economic activity, population change, policy developments, and other factors affecting the state budget. The analysis shall be electronically provided to the President Pro Tempore of the Senate, members of the Senate

Appropriations and Finance Committees, the Speaker of the House of Representatives and members of the House Appropriations and Budget Committee utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 148. AMENDATORY 62 O.S. 2021, Section 71.1, as amended by Section 4, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025, Section 71.1), is amended to read as follows:

Section 71.1. A. There is hereby created the Invest in Oklahoma Board. The Board shall consist of five (5) members as follows:

1. The Governor, or designee;
2. The Lieutenant Governor, or designee;
3. The State Treasurer, or designee;
4. An appointee of the Speaker of the House of Representatives who shall serve at the Speaker's pleasure; and
5. An appointee of the President Pro Tempore of the Oklahoma State Senate who shall serve at the President Pro Tempore's pleasure.

B. The appointed and designated members shall have no direct or indirect business relationship with the State Treasurer or the State Treasurer's Office.

C. The Governor or Governor's designee shall serve as chairperson.

D. The Board shall hold regular meetings not less than one per quarter, and at such other times as it deems necessary for the performance of its duties. The date, time, and place of the meetings shall be set by the chairperson. The State Treasurer shall provide the administrative support required by the Board. The Board shall be staffed by efforts under the control of the State Treasurer who shall prepare all materials and information needed by the Board to perform its duties and responsibilities. Meetings of the Board

shall be subject to the Oklahoma Open Meeting Act, and their records shall be public records pursuant to the Oklahoma Open Records Act.

E. The Board shall develop a standardized and uniform reporting system which the State Treasurer shall use to make the reports required by Section 89.7 of this title. The Board shall prescribe such forms in order to obtain an objective and accurate analysis of the investment of state funds by the State Treasurer and to obtain an accurate analysis of investment performance according to an objective standard established by the Board. The Board shall not be subject to the provisions of the Administrative Procedures Act for purposes of developing the reporting system required by this subsection. The Board shall review the reports prepared by the State Treasurer pursuant to Section 89.7 of this title. The Board shall review with the State Treasurer investment strategies and practices and the development of internal auditing procedures and practices. The Board shall review the reports submitted by the State Treasurer and shall identify any event, transaction, or trend which the Board determines to represent a violation or potential violation of law or public policy regarding the investment of state funds. The Board shall specifically identify its concerns or objections and shall communicate such concerns or objections in writing to the State Treasurer.

F. The State Treasurer shall maintain a report available to each member of the Board which specifically identifies entities with whom or with which the State Treasurer has transacted business related to investment of any state funds. Any person or entity to whom or to which any form of compensation has been or will be paid for services rendered to the State Treasurer's Office related to the investment of state funds shall be identified in such report. Such report shall also be available electronically to the Director of the Office of Management and Enterprise Services, the State Auditor and Inspector, the Speaker of the House of Representatives, the President Pro Tempore of the Senate and the Governor utilizing the centralized filing system provided for in Section 378 of this act.

G. Members of the Board shall serve without compensation, except for travel, pursuant to the State Travel Reimbursement Act, to be paid by the appointing authority.

H. The Board shall establish and adopt investment parameters related to investments in Oklahoma-based private equity funds, venture capital funds, growth funds, and direct investments in Oklahoma companies authorized under the Invest in Oklahoma program; provided that by a unanimous vote of the Board such parameters may be exceeded with regard to investments to the extent allowable under the Oklahoma Constitution.

I. The Board shall exercise confirmation and approval authority over the appointment and contractual relationships of qualified investment advisors and fiduciary managers engaged by the State Treasurer to assist in the selection of the investments authorized under the Invest in Oklahoma program.

SECTION 149. AMENDATORY 62 O.S. 2021, Section 88.4, is amended to read as follows:

Section 88.4. A. The State Treasurer is hereby authorized to administer the Oklahoma Small Business Linked Deposit Program. The State Treasurer is further authorized to issue guidelines in a manner similar to the Administrative Procedures Act, Section 250 et seq. of Title 75 of the Oklahoma Statutes.

B. The State Treasurer shall take any and all steps necessary to implement the Oklahoma Small Business Linked Deposit Program and monitor compliance of eligible lending institutions and eligible participants, including the development of guidelines as necessary.

C. The State Treasurer shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report outlining the status of the Oklahoma Small Business Linked Deposit Program to the Governor, the Lieutenant Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

SECTION 150. AMENDATORY 62 O.S. 2021, Section 89.2, as amended by Section 5, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025, Section 89.2), is amended to read as follows:

Section 89.2. A. The State Treasurer is directed to invest the maximum amount of funds under control of the State Treasurer consistent with good business practices. Except as otherwise

provided for by law, the investments shall earn not less than the rate for comparable maturities on United States Treasury obligations. Except as otherwise provided for by law, the State Treasurer may purchase and invest only in:

1. Obligations of the United States Government, its agencies and instrumentalities, or other obligations fully insured or unconditionally guaranteed as to the payment of principal and interest by the United States government or any of its agencies and instrumentalities;

2. Collateralized or insured certificates of deposit and other evidences of deposit at banks, savings banks, savings and loan associations, and credit unions located in this state;

3. Negotiable certificates of deposit issued by a nationally or state-chartered bank, a savings bank, a savings and loan association, or a state-licensed branch of a foreign bank. Purchases of negotiable certificates of deposit shall not exceed ten percent (10%) of the cash available for investment which may be invested pursuant to this section. Not more than one-half (1/2) of the ten percent (10%) limit shall be invested in any one financial institution specified in this paragraph;

4. Prime banker's acceptances which are eligible for purchase by the Federal Reserve System and which do not exceed two hundred seventy (270) days' maturity. Purchases of prime banker's acceptances shall not exceed ten percent (10%) of the cash available for investment which may be invested pursuant to this section. Not more than three-fourths (3/4) of the ten percent (10%) limit shall be invested in any one commercial bank pursuant to this paragraph;

5. Prime commercial paper which shall not have a maturity that exceeds one hundred eighty (180) days nor represent more than ten percent (10%) of the outstanding paper of an issuing corporation. Purchases of prime commercial paper shall not exceed seven and one-half percent (7 1/2%) of the cash available for investment which may be invested pursuant to this section;

6. Investment grade obligations of state and local governments, including obligations of Oklahoma state public trusts which possess the highest rating from at least one nationally recognized rating

agency acceptable to the State Treasurer. Purchases of investment grade obligations of state and local governments shall not exceed ten percent (10%) of the cash available for investment which may be invested pursuant to this section;

7. Repurchase agreements, provided that such agreements are included within the written investment policy required by subsection D of this section that have underlying collateral consisting of those items and those restrictions specified in paragraphs 1 through 6 of this subsection;

8. Money market funds and short term bond funds regulated by the Securities and Exchange Commission and which investments consist of those items and those restrictions specified in paragraphs 1 through 7 of this subsection; and

9. Bonds, notes, debentures, or other similar obligations of a foreign government which the International Monetary Fund lists as an industrialized country and for which the full faith and credit of such nation has been pledged for the payment of principal and interest; provided, that any such security shall be rated at least A- or better by Standard & Poor's Corporation or A3 or better by Moody's Investors Service, or an equivalent investment grade by a securities ratings organization accepted by the National Association of Insurance Commissioners; and provided further, that the total investment in such foreign securities at any one time shall not exceed five percent (5%) of the cash available for investment which may be invested pursuant to this section. In no circumstance shall investments be made in bonds, notes, debentures or any similar obligations of a foreign government that:

- a. is identified as a state sponsor of terrorism by the United States Department of State, or
- b. any authoritarian or totalitarian government the sovereign powers of which are exercised through a single person or group of persons who are not elected by any form of legitimate popular voting.

B. Investments shall be made with judgment and care, under circumstances then prevailing, which persons of prudence, discretion, and intelligence exercise in the management of their own

affairs, not for speculation, but for investment, considering the probable safety of their capital as well as the probable income to be derived.

C. The State Treasurer shall appoint an investment officer who shall perform duties related to the investment of state funds in the Office of the State Treasurer. The investment officer shall not perform or supervise any accounting functions, data processing functions or duties related to the documentation or settlement of investment transactions.

D. Investments of public funds by the State Treasurer shall be made in accordance with written policies developed by the State Treasurer. The written investment policies shall address:

1. Liquidity;
2. Diversification;
3. Safety of principal;
4. Yield;
5. Maturity and quality; and
6. Capability of investment management.

The State Treasurer shall place primary emphasis on safety and liquidity in the investment of public funds. To the extent practicable taking into account the need to use sound investment judgment, the written investment policies shall include provision for utilization of a system of competitive bidding in the investment of state funds. The written investment policies shall be designed to maximize yield within each class of investment instrument, consistent with the safety of the funds invested.

E. Except as provided in subsection H of this section, the State Treasurer shall select one custodial bank to settle transactions involving the investment of state funds under the control of the State Treasurer. The State Treasurer shall review the performance of the custodial bank at least once every year. The State Treasurer shall require a written competitive bid every five

(5) years. The custodial bank shall have a minimum of Five Hundred Million Dollars (\$500,000,000.00) in assets to be eligible for selection. Any out-of-state custodial bank shall have a service agent in the State of Oklahoma so that service of summons or legal notice may be had on such designated agent as is now or may hereafter be provided by law. In order to be eligible for selection, the custodial bank shall allow electronic access to all transaction and portfolio reports maintained by the custodial bank involving the investment of state funds under control of the State Treasurer. The access shall be given to the State Treasurer. The requirement for electronic access shall be incorporated into any contract between the State Treasurer and the custodial bank. Neither the State Treasurer nor the custodial bank shall permit any of the funds under the control of the State Treasurer or any of the documents, instruments, securities, or other evidence of a right to be paid money to be located in any place other than within a jurisdiction or territory under the control or regulatory power of the United States Government.

F. The investment policy shall specify the general philosophy, policies, and procedures to be followed in the investment of state monies by the State Treasurer. The investment policy shall include, but not be limited to, the following:

1. Policy objectives;
2. Performance measure objectives;
3. Authority for investment program;
4. Possible use of an investment advisory committee;
5. Reporting and documentation of investments;
6. Authorized investment instruments;
7. Diversification of investment risk;
8. Maturity limitations;
9. Selections of financial institutions;

10. Interest controls;
11. Safekeeping of investments;
12. Investment ethics; and
13. Formal adoption of policy.

G. The State Treasurer may invest cash balance amounts as defined and limited by Section 2402 of this title in the Invest in Oklahoma program.

H. The State Treasurer is hereby authorized to establish internal custodial accounts within the State Treasury, and enter contractual relationships for custodial account services with private institutions as needed, for the implementation and administration of the Invest in Oklahoma program.

I. Not later than July 1 of each year, the State Treasurer shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically forward a copy of the written investment policy to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Attorney General, the Bank Commissioner, and the Director of the Office of Management and Enterprise Services. In addition, the State Treasurer shall maintain one copy of the investment policy in the office of the State Treasurer for public inspection during regular business hours. Copies of any modifications to the investment policy shall be forwarded electronically to the Governor, Speaker of the House of Representatives, President Pro Tempore of the Senate, and each member of the Cash Management and Investment Oversight Commission utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 151. AMENDATORY 62 O.S. 2021, Section 89.7, is amended to read as follows:

Section 89.7. A. The State Treasurer shall prepare monthly and annual investment performance reports of the State Treasurer's Office in the form and manner required by the Cash Management and Investment Oversight Commission after consultation with the State Treasurer which summarize recent market conditions, economic

developments, and anticipated investment conditions and the investment plan performance, including portfolio diversification and rates of return measured against the investment plan of the State Treasury. The annual investment performance report shall be submitted to the Commission and shall be made within ninety (90) calendar days after the end of the fiscal year. The monthly investment performance reports shall be submitted to the Executive Review Committee and shall be made within thirty (30) days after the end of the applicable month. The investment performance reports shall specify the investment strategies employed in the most recent reporting period and describe the investment portfolio of the state in terms of:

1. Securities;
2. Maturities;
3. Fund type;
4. Financial institutions from which securities were purchased, including the amounts and the city and state of location;
5. Investment return compared to budgetary expectations;
6. Average yield; and
7. Average life of the portfolio.

The investment performance reports shall also indicate any areas of concern which the State Treasurer has concerning the basic investment strategies being employed. The investment performance reports shall contain:

- a. combined and individual rates of return and a list of all losses by category of investment, over periods of time^{7, 1}
- b. the rate of return on deposits and all fees and expenses charged as to all depository financial institutions of the State Treasury and a specific review of the adequacy of the collateralization^{7, 1}

- c. any other information that the State Treasurer may include~~+~~, and
- d. such other information that the Cash Management and Investment Oversight Commission created by Section 71.1 of this title may request and that the State Treasurer agrees to include in the investment performance reports.

B. To the extent that the State Treasurer should have reason to know, the State Treasurer shall also include in the investment performance reports a listing of all payments, fees, commissions, or other compensation received by any person, including but not limited to individuals, financial institutions, or investment companies or corporations, which have an investment agreement, contract, or other arrangement with the State Treasurer, or who receive any compensation as a result of a transaction involving the investment of state monies or funds or the purchase, sale, or trade of securities or bonds involving the Office of the State Treasurer. Said listings shall also include the social security or federal identification number of any person, including but not limited to individuals, financial institutions, or investment companies or corporations, receiving payments, fees, commissions, or other compensation.

C. The annual investment performance report shall be written in simple and easily understood language containing:

a. ~~an~~

1. An analysis of the written investment plans developed by the Treasurer as required by law;

b. ~~a~~

2. A quantitative analysis of the performance of all depository financial institutions approved by the State Treasurer, with regard to monies deposited;

c. ~~the~~

3. The result of the analyses prepared pursuant to ~~subparagraphs a and b~~ paragraphs 1 and 2 of this ~~paragraph~~ subsection compared with similar data for other states;

~~d. — recommendations~~

4. Recommendations on administrative and legislative changes which are necessary to improve the performance of the State Treasury in accordance with current standards for large public fund portfolio management; and

~~e. — a~~

5. A listing by object code of the expenses of the State Treasury as audited by the independent auditor provided by Section 89.10 of this title.

D. The State Treasurer shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically distribute the investment performance reports to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the State Auditor and Inspector, the Attorney General, and members of the Cash Management and Investment Oversight Commission. Upon request, the State Treasurer shall make the annual investment performance report available to the members of the Legislature and the general public. The annual investment performance report shall also include an investment plan for the ensuing fiscal year.

E. The State Treasurer shall require all employees in the State Treasury to sign an anti-collusion affidavit. Execution of a false affidavit shall make such employees subject to disciplinary action, including but not limited to termination, criminal prosecution or both.

F. The State Treasurer shall require an anti-collusion affidavit from brokers or other persons offering investment services to the State Treasury. The State Treasurer shall be prohibited from employing or doing business with any brokers or persons offering investment services to the State Treasury who have not executed such an affidavit.

G. The Cash Management and Investment Oversight Commission shall certify that the State Treasurer has delivered to the Commission the monthly and annual investment performance reports and the annual financial report required by this section. If the Commission determines that these reports have not been delivered by the State Treasurer as required by law, the Commission shall notify in writing the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Attorney General, and the State Auditor and Inspector.

SECTION 152. AMENDATORY 62 O.S. 2021, Section 91.5, is amended to read as follows:

Section 91.5. A. The State Treasurer is hereby authorized to administer the Oklahoma Rural and Affordable Housing Linked Deposit Program. The State Treasurer and the certifying agency shall be exempt from Articles I and II of the Administrative Procedures Act when taking actions pursuant to this act. The State Treasurer and the certifying agency are authorized to issue guidelines in a manner similar to the Administrative Procedures Act, Section 250.1 et seq. of Title 75 of the Oklahoma Statutes.

B. The certifying agency will develop guidelines which, after review and approval by the State Treasurer, will address maximum possible participation amounts per each unit of single-family or multifamily housing for land acquisition, site development, and construction, as well as eligibility requirements as to sale or rental price limitations and type of housing.

C. The State Treasurer shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report outlining the status of the Oklahoma Rural and Affordable Housing Linked Deposit Program to the Governor, the Lieutenant Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

SECTION 153. AMENDATORY 62 O.S. 2021, Section 166d, is amended to read as follows:

Section 166d. All royalty monies received upon behalf of this state, any and all bonus monies received upon behalf of this state, and any and all delay rentals received upon behalf of this state, in

connection with or pursuant to the provisions of any oil and gas lease covering any of the lands occupied by, or assigned to the use of, the Southern Oklahoma Resource Center of Pauls Valley, entered into by the Office of Management and Enterprise Services, shall be deposited in the revolving fund of the Southern Oklahoma Resource Center of Pauls Valley and shall be expended by said institution in the same manner that other treasury funds of said institution are expended as long as the Southern Oklahoma Resource Center of Pauls Valley remains in operation and for three (3) months thereafter. Upon expiration of the three (3) months after closure, the revenue shall be placed in a special agency clearing account to be used for establishing and maintaining community households for people with intellectual disabilities served by Developmental Disabilities Services at the Department of Human Services. The Department of Human Services shall promulgate rules for the administration of the fund and specific items allowed. The Department of Human Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an itemized report of all income and expenditures to the account to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives annually.

SECTION 154. AMENDATORY Section 1, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022 (62 O.S. Supp. 2025, Section 255.1), is amended to read as follows:

Section 255.1. A. Pursuant to the American Rescue Plan Act of 2021 (ARPA), Public Law 117-2, the State of Oklahoma is the recipient of the federal ARPA funds drawn down by the Office of Management and Enterprise Services (OMES). The Oklahoma Legislature shall not be considered a subrecipient of the ARPA funds. The Office of Management and Enterprise Services shall be the responsible entity for any claw back penalties, legal, or other recoupment costs for the state.

B. 1. The Legislature authorizes the Office of Management and Enterprise Services to manage federal APRA funds by requiring all receiving entities known as subrecipients to sign a grant agreement. Any entity, without exception, including state agencies receiving an appropriation from the Statewide Recovery Fund or a similar fund with federal requirement attached to its use shall have a fully executed grant agreement in place within sixty (60) days after

enactment of any legislation that appropriates funding from the Statewide Recovery Fund of the State Treasury created in Section 1, Chapter 319, O.S.L. 2022, and be in compliance with such agreement before a disbursement can be made. The mutually agreed upon grant agreement, as reviewed and approved by the subrecipient's legal counsel or advisor, shall be between the Office of Management and Enterprise Services and the subrecipient. The grant agreement shall be standard for all receiving entities and shall be executed by an executive officer of the Office of Management and Enterprise Services and the subrecipient. The grant agreement shall outline the disbursement schedule, the subrecipient's efforts for compliance with the federal requirements for the use of the funds, including auditing, reporting, further disbursement, and cash management procedures as well as compliance with the Oklahoma laws governing the administration of the subrecipient. The requirements of this subsection shall also apply when a receiving entity has been designated as both a pass-through entity and a subrecipient.

2. The Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically publish a weekly report, to the Chairs of the Joint Committee on Pandemic Relief Funding and make available to the public on the state's website, of the status of all grant agreements, until such agreements are fully executed.

C. The Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide to Chairs of the Joint Committee on Pandemic Relief Funding and make available to the public on the state's website, a quarterly report of all expenditures of ARPA funds. The quarterly report shall include, but not be limited to, any impediments to distribution and corrective action necessary.

SECTION 155. AMENDATORY 62 O.S. 2021, Section 690.19, is amended to read as follows:

Section 690.19. The Oklahoma Department of Commerce shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically produce an annual report by October 15 of each year for the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate regarding the performance of the zones. Information in the report

shall include but not be limited to the amount of tax credits granted, jobs added, if known, and the impact on unemployment rates within the zones. The information concerning the tax credits shall be provided to the Department of Commerce by the Oklahoma Tax Commission. The report shall include those zones in existence prior to the passage of this act.

The county commissioners, municipal governing body, or enterprise district management authority of any enterprise zone, or enterprise district shall submit to the Department of Commerce the name and address of the individual in charge of supervising such enterprise zones by July 1 of each year.

SECTION 156. AMENDATORY 62 O.S. 2021, Section 695.7, is amended to read as follows:

Section 695.7. A. The State Treasurer shall engage the services of a person knowledgeable in the current state of the art of national and international standards for the issuance of obligations by governmental entities and experienced in the negotiation of fees for various goods and services requisite to or deemed desirable in the issuance of such obligations as well as the negotiation of other matters essential to provide the best current price and terms of the issuance of such obligations for the benefit of the State of Oklahoma, who shall have the title "Deputy Treasurer for Debt Management".

When hiring a person to the position of Deputy Treasurer for Debt Management, the State Treasurer shall conduct a national search in seeking requests for proposals for the position.

B. The State Treasurer may employ the necessary staff to carry out the duties related to debt management and the Council of Bond Oversight.

C. 1. Except as provided in Section 695.8 of this title, prior to engaging the services of underwriters, bond or other legal counsel, financial advisors, consultants, a financial institution to serve as trustee, paying agent, or in any fiduciary capacity in connection with any program, indenture, or general resolution of the State Governmental Entity, or any other experts, except as provided in Section 5062.8 of Title 74 of the Oklahoma Statutes, the State

Governmental Entity shall, in conjunction with a State Governmental Entity Financing, request proposals for such services from a plurality of persons engaged in the particular activity for such services and the selection of such persons shall be made on the basis of the response to the request which is the most economical and will provide competent service which furthers the best interest of the State Governmental Entity and the state. In negotiating requests for proposals to engage such services, the State Governmental Entity shall seek the advice and assistance of the Deputy Treasurer for Debt Management. Under no circumstances shall proprietary inducements be granted. The Deputy Treasurer for Debt Management shall provide assistance and advice to State Governmental Entities with respect to the issuance of obligations by the State Governmental Entities, review, negotiate, and approve or disapprove the fees and expenses for goods and services requisite to or deemed desirable in the issuance of State Governmental Entity obligations and State Governmental Entity Financing and shall represent the interests of the state before rating agencies and credit enhancement providers.

2. Any State Governmental Entity or Local Governmental Entity proposing to make a significant modification to the terms of any State Governmental Entity Financing, including modification of collateral by substitution, swap, or other derivative product shall first obtain the written approval of the Deputy Treasurer for Debt Management. If the Deputy Treasurer for Debt Management denies approval, the State Governmental Entity or Local Governmental Entity may request the Council of Bond Oversight to review and approve proposed modifications.

D. The Deputy Treasurer for Debt Management shall serve as an advisor to the Governor and to the Legislature with respect to issuance of indebtedness reviewed by the Council and shall prepare an annual report to be electronically submitted to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives as of January 15 each year utilizing the centralized filing system provided for in Section 378 of this act. The report shall contain a summary of the issuance of indebtedness by State Governmental Entities during the preceding year.

E. The Deputy Treasurer for Debt Management or any member of the immediate family of the Deputy Treasurer for Debt Management

shall not have any direct or indirect financial or contractual relationship with any firm or corporation or any officer, partner or principal stockholder of any firm or corporation directly involved in public finance.

SECTION 157. AMENDATORY 62 O.S. 2021, Section 847, is amended to read as follows:

Section 847. A. The Oklahoma Tax Commission shall maintain a record of state local enterprise matching payments and state local government matching payments made pursuant to Section 844 of this title. Local sales taxes apportioned under the applicable project plan shall be reported, collected, remitted, and disbursed in the same manner as other local sales taxes under Title 68 of the Oklahoma Statutes.

B. The Tax Commission shall prepare a report separately identifying the amounts described in subsection A of this section and data collection and analysis prepared by the Oklahoma Department of Commerce pursuant to subsection J of Section 842 of this title. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit the report prior to April 1 each year to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate.

SECTION 158. AMENDATORY 62 O.S. 2021, Section 901, as amended by Section 1, Chapter 439, O.S.L. 2025 (62 O.S. Supp. 2025, Section 901), is amended to read as follows:

Section 901. A. There is hereby created a Long-Range Capital Planning Commission to advise and assist the Legislature in providing for real property capital facility needs for this state. The Commission shall consist of nine (9) members as follows:

1. Three members appointed by the President Pro Tempore of the Senate;

2. Three members appointed by the Speaker of the House of Representatives; and

3. Three members appointed by the Governor.

All appointees shall be from the public at large. Within thirty (30) days of July 1, 2013, the appointing authorities shall appoint new members to the Commission; provided, a member serving on July 1, 2013, may be reappointed if he or she is otherwise qualified. Of the members initially appointed by each appointing authority after July 1, 2013, one shall be appointed for a one-year term, one shall be appointed for a two-year term and one shall be appointed for a three-year term. Thereafter, their successors shall be appointed for four-year terms. Any vacancy shall be filled for the remainder of the unexpired term in the same manner as the original appointment. The appointing authorities shall appoint members who possess knowledge, skills, and abilities to perform the duties of the Commission. No member of the Commission shall be interested, directly or indirectly, in any contract entered into for a project approved by the Commission during the period of service of the member, nor shall any person be appointed as a member of the Commission if such person is interested, directly or indirectly, in a contract entered into for a project approved prior to the appointment. An indirect interest shall include, but not be limited to, an interest of an immediate family member of the member of the Commission or a business with which the member of the Commission is associated.

B. A chair of the Commission shall be elected from its membership. Five members of the Commission shall constitute a quorum. Members of the Commission shall serve without compensation, but shall be entitled to reimbursement, pursuant to the State Travel Reimbursement Act, for expenses incurred in the performance of their duties.

C. Initial appointments to the Commission shall be made within thirty (30) days of May 28, 1992.

D. The Commission shall have the authority to promulgate rules and regulations necessary to implement the provisions of the State Capital Improvement Planning Act.

E. The Office of Management and Enterprise Services, with the advice and assistance of the Deputy Treasurer for Debt Management, shall provide staffing for the Commission and other such assistance as the Commission may require.

F. 1. The Commission shall prepare each year an annual capital plan budget and a state capital plan for addressing state capital facility needs for the next ensuing eight (8) years. The Oklahoma State Regents for Higher Education and each state governmental entity as defined in Section 695.3 of this title shall cooperate with the Commission in the preparation of the state plan. Each year, on or about December 1, the plan shall be electronically submitted to the Governor, Speaker of the House of Representatives and President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act. The Long-Range Capital Planning Commission shall annually update the eight-year plan. The Office of Management and Enterprise Services shall perform routine services to support the eight-year plan, including, but not limited to, agency-level planning, real estate services, construction services, and facility operations as provided by law.

2. In addition to the requirements set forth in Section 901.1 of this title, the capital plan should:

- a. supplement and integrate, not replace, existing capital planning processes,
- b. assess long-term needs for capital facilities to support state government needs as determined by the Commission,
- c. review and assess the inventory of capital facilities held by the state, and make recommendations on reallocation, reuse or liquidation of properties for incorporation into the annual capital plan,
- d. include a projection of economic and demographic trends likely to influence the needs of state government during the eight-year period,
- e. address agency strategic facility plans for new, improved, renovated, or expanded capital facilities or facilities that should be reallocated or liquidated,
- f. include estimates of life cycle costs for new and substantially expanded or renovated facilities,

- g. evaluate the effectiveness of planning processes at the agency level to account for all capital facility costs for incorporation into the annual capital budget,
- h. account for projections of debt service and revenues available from general obligation bonds and other sources, including, but not limited to, the Maintenance of State Buildings Revolving Fund,
- i. analyze the capacity of the state to incur debt or finance public capital facilities,
- j. include a comprehensive listing of all capital expenditures of the state which the Commission recommends be undertaken or continued for any state agency in the next two (2) fiscal years, together with information as to the effect of such capital projects on future operating expenses of the state, and with recommendations as to the priority of such capital projects and the means of funding them,
- k. forecast the requirements for capital projects of state agencies for the eight-year period and for such additional periods, if any, as may be necessary or desirable for adequate presentation of particular capital projects, and include a schedule for the planning and implementation or construction of such capital projects,
- l. set forth a proposed itemized budget for the next fiscal year of recommended capital expenditures inclusive of all funding sources, for each agency, including facility rent and lease payments, energy and utility expenditures, operations and maintenance, capital improvements and capital development projects as necessary to optimize and preserve the state's capital assets,
- m. include the findings of the Oklahoma State Government Asset Reduction and Cost Savings Program and the

indexing of the most necessary capital improvements to the expenditure of funds from the Maintenance of State Buildings Revolving Fund,

- n. include such other information as the Commission deems relevant to its duties, and
- o. include findings of the Oklahoma State Government Asset Reduction and Cost Savings Program and the indexing of the most necessary capital improvements to the expenditure of funds from the Maintenance of State Buildings Revolving Fund.

G. The capital plan budget shall include, for each expenditure and class of expenditures, the capital facility costs to be incurred during the next ensuing fiscal year, inclusive of the annual operating and maintenance costs of such facilities and a schedule of depreciation calculated in accordance with the principles and standards of capital budgeting authorized by subsection H of this section.

H. The Commission, with the assistance of the Office of Management and Enterprise Services, shall prepare and publish rules and regulations that set forth principles and standards for capital planning and budgeting to be used by state agencies. The rules and regulations shall set forth definitions of relevant terms to be used in the capital planning and budgeting processes, establish accounting standards, and standards for costs and benefits of public facility investments.

I. 1. The Commission, the Office of Management and Enterprise Services, and the Deputy Treasurer for Debt Management may request the assistance of such personnel of any state agency in order to perform their duties pursuant to the State Capital Improvement Planning Act and such agencies shall respond and provide any such assistance as may be required. The Commission may use existing studies, surveys, plans, data, and other materials in the possession of any state agency. Each such agency shall make the same available to the Commission so that the Commission may have available to it current information with respect to the capital plans and programs of each such agency.

2. The officers and personnel of any state agency may serve at the request of the Commission upon such advisory committees as the Commission may create and such officers and personnel may serve upon such committees without forfeiture of office or employment and with no loss or diminution of the compensation, status, rights, and privileges which they otherwise enjoy.

J. This section shall not be applicable to the following or their lands, properties, buildings, funds, or revenue:

1. The Oklahoma Ordnance Works Authority; and
2. The Commissioners of the Land Office.

K. The Commission shall develop plans, adopt authorizations, and fulfill the duties required pursuant to Section 188A of Title 73 of the Oklahoma Statutes.

SECTION 159. AMENDATORY 62 O.S. 2021, Section 901.1, is amended to read as follows:

Section 901.1. A. The Long-Range Capital Planning Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an itemized list of the proposed projects set forth in its annual capital plan to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives within the first seven (7) legislative days of a regular legislative session. The list shall be in the order of the priority of the projects as determined by the Commission. The submission to such elected officials shall occur upon the same date for purposes of computing the time within which action ~~must~~ shall be taken as further prescribed by this subsection. The Legislature shall have a period of forty-five (45) calendar days from the date on which the list is submitted to pass a concurrent resolution disapproving any or all of the proposed projects. If the Legislature does not disapprove any proposed project by concurrent resolution by the end of the forty-fifth day following the date upon which the proposed issuance is submitted, the proposed projects shall be deemed to have been approved by the Legislature.

B. Upon approval of all or any part of the list of proposed projects, the Office of Management and Enterprise Services may

expend funds in the Maintenance of State Buildings Revolving Fund for approved projects in the order of priority set forth in its annual capital plan.

C. In the event an emergency has been declared as provided for in Section 130 of Title 61 of the Oklahoma Statutes, and as a result thereof, repair or maintenance of a capital facility held by the state is required, a state agency may submit a request to the Director of the Office of Management and Enterprise Services to substitute the emergency project for any other project or projects of the state agency on the approved current fiscal year's Capital Improvement Plan list, or to add the emergency project if the state agency does not have any projects on the approved current fiscal year's Capital Improvement Plan list; provided:

1. The Director determines that there are funds available in the Maintenance of State Buildings Revolving Fund to cover all or part of the cost of the emergency project; and

2. The Director, utilizing the centralized filing system provided for in Section 378 of this act, electronically submits information on the emergency project and the cost thereof to the President Pro Tempore of the Senate and the Speaker of the House of Representatives and they approve the substitution within five (5) calendar days of such submission.

D. The Director has authority to redirect funds within the Maintenance of State Buildings Revolving Fund for emergency projects approved by the President Pro Tempore of the Senate and the Speaker of the House of Representatives.

SECTION 160. AMENDATORY 62 O.S. 2021, Section 2309, is amended to read as follows:

Section 2309. A. The Board of Directors of the Tobacco Settlement Endowment Trust Fund shall be empowered to:

1. Appoint an executive director and other staff necessary to perform the duties of the Board of Directors;

2. Make and execute contracts and other instruments necessary or convenient to the exercise of its powers on such terms and for such period of time as the Board of Directors shall determine; and

3. Promulgate rules in accordance with the Administrative Procedures Act and not inconsistent with the Tobacco Settlement Endowment Trust Fund Act to implement its duties and responsibilities as provided by law.

B. Funding for capital expenditures and operating expenses incurred by the University of Oklahoma Health Sciences Center and the Oklahoma State University College of Osteopathic Medicine, for educational programs and residency training to maintain or improve the health of Oklahomans or to enhance the provision of health care services to Oklahomans, is hereby deemed to be an allowable purpose for which earnings from the trust fund may be expended pursuant to the provisions of paragraph 3 of subsection E of Section 40 of Article X of the Oklahoma Constitution. Pursuant to its authority as set forth in subsection G of Section 40 of Article X of the Oklahoma Constitution, the Legislature hereby authorizes the Board to expend earnings from the trust fund for such purposes, in addition to other purposes provided by law.

C. The Board shall develop a multiyear strategy by January 1, 2002, and annually update it in order to guide the Board's funding for those programs set forth in Section 40 of Article X of the Oklahoma Constitution. The strategy shall be used to maximize the outcomes of the grants awarded by the Board of Directors.

D. The Board of Directors shall develop grant programs for private, nonprofit, and public entities for the purposes set forth in Section 40 of Article X of the Oklahoma Constitution.

1. The selection and awarding of grants, whether in the form of professional service contracts or any other funding mechanism developed by the Board of Directors, awarded pursuant to grant programs developed under this subsection, shall be exempt from the requirements of The Oklahoma Central Purchasing Act.

2. The Board of Directors shall develop competitive processes for awarding grants under programs developed under this subsection. Such competitive processes for selection shall not be required for

contracts awarded for program support services, including, but not limited to, professional service contracts to evaluate, audit or provide budgeting, accounting, auditing, or legal services for specific programs or program grantees, contractors, or participants.

3. The Board of Directors may promulgate rules to assist in the implementation and administration of grant programs developed under this subsection.

4. The terms of any request for proposals, request for applications, invitation for bid, bid notice, or grant proposal or any other solicitation issued by the Board of Directors to solicit or invite applications, proposals, bids, or responses to obtain funding under grant programs developed under this subsection shall be confidential until the date and time at which the solicitation is to be made equally and uniformly known to all prospective applicants and the public, at which point all such documents and information shall be uniformly known to all prospective applicants and the public, at which point all such documents and information shall be subject to the Oklahoma Open Records Act and Oklahoma Open Meeting Act. Any application, proposal, bid, or any other document to obtain funding responsive to any solicitation of the Board of Directors under grant programs developed under this subsection shall be confidential until the date and time of award of the grant or contract, at which point all such documents and information shall be subject to the Oklahoma Open Records Act and Oklahoma Open Meeting Act. Any unsolicited application, proposal, bid, or any other document to obtain funding shall not be considered to be confidential and shall be subject to the Oklahoma Open Records Act and Oklahoma Open Meeting Act at all times.

E. The Board of Directors shall encourage grantees to match grant monies awarded with monetary commitments and in-kind matches.

F. The Board of Directors shall be required to develop a performance evaluation component for the Board of Directors' activities and those of its grantees so that the performance of grantees can be measured by their attainment of outcomes.

G. The Board of Directors shall contract periodically for performance evaluations. Copies of the evaluations shall be filed

with the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate.

H. The Board of Directors shall prepare an annual report detailing the Board of Directors' activities and reporting its expenditures and the outcomes achieved by the expenditures. A copy of the report shall be electronically submitted to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

I. All records associated with the expenditure of monies received by the Board of Directors or its grantees pursuant to the Tobacco Settlement Endowment Trust Fund Act shall be subject to the Oklahoma Open Records Act.

SECTION 161. AMENDATORY 62 O.S. 2021, Section 7004, as amended by Section 2, Chapter 125, O.S.L. 2023 (62 O.S. Supp. 2025, Section 7004), is amended to read as follows:

Section 7004. A. For calendar years 2024 through 2027 and every four (4) years thereafter, the Incentive Evaluation Commission shall ensure that each incentive is evaluated within the four-year evaluation period unless the Commission determines that the incentive is exempt from evaluation. The Commission may exempt from evaluation any incentive that it concludes has a minimal fiscal impact. The Commission shall determine a specific threshold amount which shall be considered as a minimal fiscal impact for the current evaluation cycle. The Commission may also conduct an expedited evaluation for any incentive that has been evaluated at least two times from calendar years 2016 through 2023 and has not had a material change to the program since its prior evaluation. The expedited evaluation will update the prior evaluation's financial and economic impact and findings and recommendations.

B. For calendar years 2016 through 2023, the Incentive Evaluation Commission shall develop a four-year schedule for evaluating incentives. The development of the schedule for evaluating the incentives shall take into consideration fiscal impacts to revenues of this state, including but not limited to the General Revenue Fund, the opportunity to group incentives with similar goals and objectives for evaluation, and the ability to

obtain sufficient data related to the incentives for evaluation. Each schedule shall include a list of all incentives in the state, including any it exempts from evaluation. In determining whether a program is an incentive, the Incentive Evaluation Commission may consider legislative intent and may also consider whether the program is promoted as an incentive by any state agency. For each incentive listed in the schedule, the Commission shall attempt to identify the goal or goals of the incentive.

C. Upon approval of the schedule, the Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the schedule to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives.

SECTION 162. AMENDATORY 62 O.S. 2021, Section 7005, as amended by Section 3, Chapter 125, O.S.L. 2023 (62 O.S. Supp. 2025, Section 7005), is amended to read as follows:

Section 7005. A. The Commission may contract with a private company, nonprofit, or academic institution to assist with evaluation of each incentive. The Commission shall develop a scope of services for a request for proposals issued pursuant to the Oklahoma Central Purchasing Act, Section 85.1 et seq. of Title 74 of the Oklahoma Statutes, for professional services necessary to complete incentive evaluations pursuant to the Incentive Evaluation Act. The scope of services shall include a provision requiring the contractor to provide at least one draft report for each incentive prior to the issuance of the final report; provided, the contractor may determine the timing and frequency of draft reports based on the availability of information and the potential for draft reports to assist the Commission in making a final recommendation. The cost of such contract shall be paid by the Office of Management and Enterprise Services. No recipient or potential recipient of an incentive or representative of a recipient or potential recipient shall contact the entity or individual with whom the Commission contracts pursuant to this subsection unless the entity or individual specifically requests information or documentation for purposes of the incentive evaluation process; provided, this shall not be construed to prevent participation in a public hearing conducted pursuant to subsection B of this section.

B. By October 1 of each year beginning in calendar year 2023, the Commission or the Commission's chosen contractor shall evaluate each incentive scheduled for review that year. The Commission or the Commission's chosen contractor shall conduct each incentive evaluation in consultation with the Oklahoma Department of Commerce division of Research and Economic Analysis Services using criteria developed pursuant to subsection D of this section. Between October 1 and November 30 of each year beginning in 2017, the Commission shall hold at least one public meeting to review, allow for public comment, and vote to approve, disapprove, or modify each incentive evaluation conducted that year. By December 15 of each year beginning in 2016, the Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the results of each incentive evaluation, a review of prior Commission recommendations, and changes to statute or incentive administration related to incentive evaluation recommendations in a written report to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives. If the Commission votes to modify an incentive evaluation as provided in this subsection, such modification and the original evaluation shall be documented in the annual written report. The report shall be made publicly available on the Oklahoma Department of Commerce website, the Commission website, and documents.ok.gov.

C. Each evaluation shall include the following:

1. An estimate of the economic and fiscal impact of the incentive. This estimate shall take into account the following considerations in addition to other relevant factors:

- a. the extent to which the incentive changes business behavior,
- b. the results of the incentive for the economy of Oklahoma as a whole. This consideration includes both positive direct and indirect impacts and any negative effects on other Oklahoma businesses, and
- c. a comparison to the results of other incentives or other economic development strategies with similar goals;

2. An assessment of whether adequate protections are in place to ensure the fiscal impact of the incentive does not increase substantially beyond the state's expectations in future years;

3. An assessment of whether the incentive is being administered effectively;

4. An assessment of whether the incentive is achieving its goals;

5. Recommendations for how the state can most effectively achieve the incentive's goals, including recommendations on whether the incentive should be retained, reconfigured, or repealed; and

6. Recommendations for any changes to state policy, rules, or statutes that would allow the incentive to be more easily or conclusively evaluated in the future. These recommendations may include changes to collection, reporting, and sharing of data, and revisions or clarifications to the goal of the incentive.

D. Evaluation criteria shall be developed for each incentive evaluated by the Commission. Each incentive shall be evaluated using criteria specific to the individual incentive. The criteria shall be developed by the Commission through the administrative rulemaking process pursuant to the Administrative Procedures Act, Section 250 et seq. of Title 75 of the Oklahoma Statutes, and codified in the administrative code of the Oklahoma Department of Commerce.

E. At the request of the Incentive Evaluation Commission, unless prohibited by the Oklahoma Constitution, Oklahoma Statutes, or federal law, state agencies shall provide any records, information, data, or data analysis necessary for the Commission or contractors to effectively evaluate incentives. The Commission and contractors shall not disclose or release any data received from other state agencies, except as permitted under law.

SECTION 163. AMENDATORY 62 O.S. 2021, Section 9010.4, is amended to read as follows:

Section 9010.4. A. An agency or agencies may enter into a pay-for-success contract with a private entity or entities to receive

up-front capital to fund a service or program. The agency or agencies may not enter into a pay-for-success contract until each state agency head entering into the contract determines with reasonable certainty that the contract will result in a public benefit to the state.

B. Each pay-for-success contract shall:

1. Require a private entity to underwrite or secure up-front capital from private funding sources, including foundations, financial institutions, businesses, or individuals;

2. Identify the specific service or program to be funded under the contract;

3. Identify performance targets and outcome measures against which the service or program's success can be measured to determine whether the service or program has achieved quantifiable public benefits or monetary savings;

4. Require and specify an independent third-party evaluator to review and issue reports annually at specific times during the contract term specifying the degree to which the service or program has met the identified performance targets and outcome measures specified in the contract;

5. Identify the calculation or algorithm to be used by the agency or agencies in determining the amount and timing of reimbursable success payments to the private entity;

6. Contain a statement that the independent third-party evaluator will annually provide a report to the agency or agencies that includes data deemed relevant by the agency or agencies; and

7. State that the amount of funds to be reimbursed to the private entity is contingent upon the degree to which the service or program has met the performance targets and outcome measures as evaluated by the independent third-party evaluator.

C. No later than April 1 annually, the agency or agencies shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report to the

chairs of the legislative appropriations committees that contains the evaluation from the independent third-party evaluator.

D. Payments to private entities for the delivery of performance targets and outcome measures as authorized in this section shall be made only in accordance with the terms of the pay-for-success contract. Payments may be made utilizing the Pay for Success Innovation Fund created in Section 5 of this act or utilizing other appropriated agency funds in accordance with Oklahoma law.

SECTION 164. AMENDATORY 63 O.S. 2021, Section 1-110.1, is amended to read as follows:

Section 1-110.1. A. There is hereby created in the State Treasury a revolving fund for the State Department of Health to be designated the "Children First Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies deposited to the credit of the fund by law. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the State Department of Health for operation of Children First family resource programs. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. The State Department of Health shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor by January 15 of each year, an annual report, including a full accounting of administrative expenditures from the fund for the prior fiscal year, and a summary detailing the demographic characteristics of families served including, but not limited to, the following:

1. Age and marital status of parent(s);
2. Household composition of families served;
3. Number of families accepted into the program, by location, and average length of time enrolled;

4. Referrals made on behalf of families not accepted into the program; and

5. Average actual expenditures per child during the most recent state fiscal year.

C. Projects shall comply with the uniform components of the State Plan for the Prevention of Child Abuse.

D. The Department shall forward to the Oklahoma Health Care Authority a report of the total number of hours of nursing services provided to families under Children First family resource programs. The Oklahoma Health Care Authority shall submit such information to the Centers for Medicaid and Medicare Services for purposes of applying for federal matching funds and shall submit any necessary applications for waivers to accomplish the provisions of this subsection.

E. The State Department of Health shall contract with a university-related program for a performance-based evaluation of programs. Program sites shall fully cooperate and comply with the evaluation process, and sites shall provide weekly caseload and referral information to the State Department of Health.

SECTION 165. AMENDATORY Section 2, Chapter 439, O.S.L. 2024 (63 O.S. Supp. 2025, Section 1-114.22), is amended to read as follows:

Section 1-114.22. A. The State Department of Health may award grants to public schools from the Public School Vision Screening Modernization Revolving Fund created in Section 1 of this act for the purpose of assisting public schools in obtaining vision screening equipment, collecting vision screening data, and obtaining related services to fulfill the requirements of Section 1210.284 of Title 70 of the Oklahoma Statutes.

B. The State Department of Health shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report on all grants awarded under this section to the President Pro Tempore of the Senate, the Speaker

of the House of Representatives, and the Governor by January 15 of each year.

SECTION 166. AMENDATORY 63 O.S. 2021, Section 1-227.2, is amended to read as follows:

Section 1-227.2. A. The Office of Child Abuse Prevention, giving consideration to the recommendations of the Infant and Children's Health Advisory Council created in Section 1-103a.1 of this title, is hereby authorized and directed to:

1. Prepare and implement a comprehensive state plan for the planning and coordination of child abuse prevention programs and services and for the establishment, development and funding of such programs and services, and to revise and update the plan pursuant to the provisions of Section 1-227.3 of this title;

2. Monitor, evaluate, and review the development and quality of services and programs for the prevention of child abuse and neglect, publish and, utilizing the centralized filing system provided for in Section 378 of this act, electronically distribute an annual report of its findings on or before January 1 of each year to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and to the chief administrative officer of each agency affected by the report. The report shall include:

- a. activities of the Office,
- b. a summary detailing the demographic characteristics of families served including, but not limited to, the following:
 - (1) age and marital status of parent(s),
 - (2) number and age of children living in the household,
 - (3) household composition of families served,
 - (4) number of families accepted into the program by grantee site and average length of time enrolled,

- (5) number of families not accepted into the program and the reason therefor,
 - (6) average actual expenditures per family during the most recent state fiscal year, and
 - (7) number of individuals whose parental rights have ever been terminated and number of children born to an individual whose parental rights have ever been terminated,
- c. recommendations for the further development and improvement of services and programs for the prevention of child abuse and neglect,
 - d. budget and program needs, and
 - e. statistics developed based on the reports received pursuant to Section 3 of this act; and

3. Conduct or otherwise provide for or make available continuing professional education and training in the area of child abuse prevention.

B. For the purpose of implementing the provisions of the Child Abuse Prevention Act, the State Department of Health is authorized to:

1. Accept appropriations, gifts, loans and grants from the state and federal government and from other sources, public or private;

2. Enter into agreements or contracts for the establishment and development of:

- a. programs and services for the prevention of child abuse and neglect,
- b. training programs for the prevention of child abuse and neglect, and

- c. multidisciplinary and discipline specific training programs for professionals with responsibilities affecting children, youth and families; and

3. Secure necessary statistical, technical, administrative and operational services by interagency agreement or contract.

C. For the purpose of implementing the provisions of the Child Abuse Prevention Act, the State Commissioner of Health, giving consideration to the recommendations of the Infant and Children's Health Advisory Council created in Section 1-103a.1 of this title, is authorized to promulgate rules and regulations as necessary to implement the duties and responsibilities assigned to the Office of Child Abuse Prevention.

D. 1. The Department of Human Services shall, as soon as reasonably possible, provide the State Department of Health access to the identifying information of all individuals who, as to any child, have had their parental rights terminated and the conditions which led to the making of the finding which resulted in the termination of parental rights.

2. The Division of Vital Records shall provide birth record information to the Office of Child Abuse Prevention for a child born to an individual whose identifying information has been provided pursuant to paragraph 1 of this subsection.

3. The Office of Child Abuse Prevention or other appropriate division of the State Department of Health shall review the information provided by the Department of Human Services and the Division of Vital Records and, when appropriate and if the resources are available, provide an assessment of the family and offer services if needed.

SECTION 167. AMENDATORY 63 O.S. 2021, Section 1-227.3, is amended to read as follows:

Section 1-227.3. A. The Oklahoma Commission on Children and Youth shall review and approve the comprehensive state plan and any subsequent revisions of ~~said~~ such plan, prior to the submission of the plan as provided in this section.

B. On or before July 1, 2007, the Oklahoma Commission on Children and Youth shall deliver the comprehensive state plan for the prevention of child abuse and neglect to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives. The plan shall include but not be limited to:

1. Specific proposals for the implementation of the comprehensive state plan which would promote the efficient use of staff, funds and other resources on the state level and improve the coordination and integration of state goals, activities, and funds for the prevention of child abuse and neglect, particularly with regard to primary and secondary prevention of child abuse and neglect; and

2. Specific proposals detailing the interagency provision of services to all populations at risk of committing child abuse. Services, especially those directed at high-risk populations including, but not limited to, those populations in which parental drug ~~and/or~~ or alcohol abuse, mental illness, and domestic abuse are an issue, shall be specifically addressed.

C. The Office of Child Abuse Prevention and the Oklahoma Commission on Children and Youth shall at least annually review the state plan and make any necessary revisions based on changing needs and program evaluation results not less than every five (5) years. Any such revisions shall be electronically delivered to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate no later than July 1 of each year utilizing the centralized filing system provided for in Section 378 of this act.

D. The Office of Child Abuse Prevention shall provide adequate opportunity for appropriate private and public agencies and organizations and private citizens and consumers to participate at the local level in the development of the state plan.

SECTION 168. AMENDATORY 63 O.S. 2021, Section 1-229.8, is amended to read as follows:

Section 1-229.8. A. As a condition to the receipt of funds under this act, a contractor shall agree to file a report with the

State Department of Health on or before ninety (90) days after the end of the agreement period as to the following:

1. Amount received as a contract and the expenditures made with the proceeds of the contract;
2. A description of the program offered and the number of individuals who initially participated in and completed the program; and
3. Specific elements of the program meeting the criteria set forth in the State Plan.

B. Any contractor failing to timely file the report required pursuant to this section shall be subject to the jurisdiction of the Attorney General for repayment of the full amount of the contract expended.

C. The State Department of Health shall review and evaluate the reports of contractors required pursuant to this section and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a written report with the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor on or before February 1 of each year on the status of the Tobacco Use Reduction Fund and the activities of the Fund for the fiscal year most recently ended. The report shall include the beginning and ending balance of the Fund for each fiscal year, payments or gifts received by the Fund, income earned and expenditures made, the name of each contractor and the amount of each contract made, the criteria used to award each contract, and whether the program implemented by each contractor met the criteria. The report shall be publicly available immediately upon its filing.

SECTION 169. AMENDATORY 63 O.S. 2021, Section 1-237, is amended to read as follows:

Section 1-237. 1. The Governor shall appoint an Interagency Coordinating Council for Coordination of Efforts for Prevention of Adolescent Pregnancy and Sexually Transmitted Diseases which shall be composed of thirty-one (31) members as follows:

- a. the chief executive officers or their designees of the:
 - (1) Commission on Children and Youth,
 - (2) State Department of Education,
 - (3) Oklahoma Department of Career and Technology Education,
 - (4) Department of Human Services,
 - (5) Department of Mental Health and Substance Abuse Services,
 - (6) Office of Volunteerism,
 - (7) State Department of Health, and
 - (8) College of Public Health,
- b. the Executive Director of the Office of Juvenile Affairs or designee,
- c. two representatives from the Maternal and Infant Health Division, two representatives from the HIV/STD Division, two representatives from the Child Health and Guidance Division of the State Department of Health,
- d. a superintendent of an independent school district,
- e. a representative of a statewide association of medical doctors,
- f. a representative of a statewide association of osteopathic physicians,
- g. a representative of a statewide association of parents and teachers,

- h. a representative of a statewide association of classroom teachers,
- i. a representative of a statewide association of school counselors,
- j. a principal of an alternative education program,
- k. a representative of business or industry,
- l. a representative of a statewide association formed for the purpose of developing leadership skills,
- m. a representative of an ecumenical association,
- n. two parents of ten- to twenty-year-old children,
- o. a teenage girl,
- p. a representative of a nonprofit statewide child advocacy organization, and
- q. the Governor or the Governor's designee, who shall chair the Coordinating Council.

Legal assistance shall be provided by the Office of the Attorney General. Staff support and assistance shall be provided by the State Department of Health as the legal agency.

2. The Coordinating Council shall:

- a. on or before December 1, 1994, complete the State Plan pursuant to the provisions of Section 1-238 of this title and present it to the Committee for approval, and
- b. after approval of the State Plan, monitor implementation of the plan, evaluate the plan, meet with the Committee concerning revisions whenever requested to do so, and on or before November 1, 1995, and November 1 of each subsequent year, electronically submit a report on the implementation and evaluation

of the State Plan to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 170. AMENDATORY 63 O.S. 2021, Section 1-238, is amended to read as follows:

Section 1-238. A. The State Plan for Coordination of Efforts for Prevention of Adolescent Pregnancy and Sexually Transmitted Diseases shall include but not necessarily be limited to:

1. A statewide public awareness campaign which extols the virtue of abstaining from premarital sexual activity. Said public awareness campaign shall not directly or indirectly condone premarital or promiscuous sexual activity;

2. Identification of effective prevention strategies;

3. Identification of resources, both within the agencies subject to the provisions of this act and within the communities;

4. Identification of sources of revenue for programs and efforts from private as well as federal and state sources;

5. Development and replication of effective model programs;

6. Empowerment of communities in developing local prevention strategies;

7. Development of recommendations for local prevention efforts and technical assistance to communities;

8. Delineation of service responsibilities and coordination of delivery of services by the agencies subject to the provisions of this act;

9. Coordination and collaboration among related efforts and programs;

10. Evaluation of prevention strategies and programs;

11. Distribution of information on prevention programs and strategies; and

12. A funding and implementation plan which shall provide for utilization of identifiable financial resources from federal, state, local, and private resources and coordination of those resources to fund related services.

B. On or before July 1, 1995, the agencies subject to the provisions of this act shall enter into interagency agreements for the purpose of implementing the State Plan.

C. On or before September 1, 1995, and each September 1 thereafter, a joint funding plan shall be electronically submitted to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives by the agencies subject to the provisions of this act utilizing the centralized filing system provided for in Section 378 of this act. The individual components of the plan as they relate to individual agencies shall be incorporated annually into each affected agency's budget request in accordance with the provisions of Section 41.29 of Title 62 of the Oklahoma Statutes.

SECTION 171. AMENDATORY 63 O.S. 2021, Section 1-270.2, as amended by Section 1, Chapter 111, O.S.L. 2024 (63 O.S. Supp. 2025, Section 1-270.2), is amended to read as follows:

Section 1-270.2. A. For the purposes of the Advancement in Stem Cell Cures and Therapies Act, "human embryo" means a living organism of the species *Homo sapiens* at the earliest stage of development, including the single-cell stage, that is not located in the body of a woman.

B. Research on human tissue regeneration and human diseases using adult stem cells and stem cells obtained from umbilical cord blood and amniotic fluid may be conducted in this state, provided that the research is performed:

1. Safely and ethically;

2. Only on embryonic stem cell lines created prior to August 1, 2001, and in accordance with federal law as it existed on November 1, 2007; and

3. Without the use of a human embryo, including a human embryo produced using cloning technology.

C. When research is performed in accordance with the Advancement in Stem Cell Cures and Therapies Act, a person or governmental body shall not:

1. Restrict public funds designated for the stem cell research; or

2. Obstruct or provide disincentives for the stem cell research.

D. The State Department of Health shall establish a reporting system that collects information regarding all activities carried out in accordance with this section.

E. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report with all information collected pursuant to subsection D of this section to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate no later than December 31 of each year.

F. Provided that there is no stem cell research to report that year, the Department does not need to file a report.

SECTION 172. AMENDATORY 63 O.S. 2021, Section 1-534.1, is amended to read as follows:

Section 1-534.1. ~~A.~~ The State Department of Health shall be the lead agency for the coordination of programs and services related to the Human Immunodeficiency Virus (HIV).

~~B. On or before January 1, 1994, the State Department of Health shall submit a State Plan for the Prevention and Treatment of Acquired Immune Deficiency Syndrome (AIDS) to the Governor, the President Pro Tempore of the Oklahoma State Senate, the Speaker of~~

~~the Oklahoma House of Representatives, the chairmen of the appropriate committees of the Senate and the House of Representatives, and the chief executive officer and members of the governing bodies of each agency affected by the State Plan. Copies of the State Plan for the Prevention and Treatment of AIDS shall be available to members of the Oklahoma Legislature and the general public upon request.~~

~~C. The State Plan for the Prevention and Treatment of AIDS shall be prepared jointly by the State Department of Health, the Department of Human Services, the State Department of Education, and the Department of Mental Health and Substance Abuse Services in collaboration with other appropriate public and private agencies and organizations.~~

SECTION 173. AMENDATORY 63 O.S. 2021, Section 1-550.3, is amended to read as follows:

Section 1-550.3. A. The Department of Human Services shall establish and maintain an up-to-date Record of Infants Born Exposed to Alcohol and Other Harmful Substances. Such record shall include data necessary for surveys and scientific research, and other data which is necessary and proper to further the recognition, prevention and treatment of infants born addicted to or prenatally exposed to harmful substances and shall be based upon information collected by the Department as a result of investigations made pursuant to Section 7103 of Title 10 of the Oklahoma Statutes. For purposes of this section, "harmful substances" means an intoxicating liquor or a controlled dangerous substance.

B. The Record of Infants Born Exposed to Alcohol and Other Harmful Substances shall include, but not be limited to, the following information:

1. The classification of the birth hospital, whether it is public or private;

2. Results of the toxicology report on an infant and its mother and, if positive, the type of drug or drugs involved;

3. The date of birth, birth weight, gestational age and race of the infant;

4. The county of residence;

5. The date and county of report;

6. Demographic information on the mother including, but not limited to, age, race, education level, marital status, income level, whether prenatal care was received and the type of prenatal care received, whether it was private, public health clinic, or hospital clinic;

7. Type of treatment, whether the mother was referred for inpatient or outpatient; and

8. Whether the child was recommended for removal from custody of the parent.

C. Nothing in this section shall be construed to compel any infant or mother reported pursuant to the provisions of this act to submit to any medical examination, treatment, or supervision of any kind.

D. The Commission for Human Services shall promulgate rules to carry out the provisions of this section and the Department of Human Services shall adopt agency policy directing employees of the Child Welfare Division within the Department of Human Services to collect and compile any and all data and information gathered from investigations made pursuant to Section 7103 of Title 10 of the Oklahoma Statutes necessary for the purposes of this section.

E. The Department of Human Services shall compile and evaluate information received from the reports required pursuant to this section into a report to be electronically distributed on or before January 1 of each year to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and such other persons as the Department deems advisable or necessary utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 174. AMENDATORY 63 O.S. 2021, Section 1-552, is amended to read as follows:

Section 1-552. A. The State Department of Health shall make such investigations concerning birth defects and cancer, the prevention and treatment of said diseases or impairments and the mortality resulting from them, and take such action to assist in reducing said mortality as it deems necessary and appropriate.

B. The State Department of Health shall compile and evaluate information received from the reports required pursuant to Sections 1 and 2 of this act and subsection A of this section in a report to be electronically distributed on or before January 1 of each year to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and to such other person as the Commissioner deems advisable or necessary utilizing the centralized filing system provided for in Section 378 of this act. Copies of such report shall also be made available to the federal government, and to members of the public upon written request.

SECTION 175. AMENDATORY 63 O.S. 2021, Section 1-556, is amended to read as follows:

Section 1-556. A. The State Department of Health, giving consideration to the recommendations of the Advancement of Wellness Advisory Council created in Section 1-103a.1 of this title, shall be responsible for evaluating and reporting to the Governor and the State Commissioner of Health regarding contracting for statewide services or issues related to breast cancer including, but not limited to:

1. Mammography and pap smear screening of women for breast and cervical cancer as an early detection health care measure provided by facilities which are accredited by national organizations that have formed coalitions to issue national cancer screening guidelines;

2. Medical referral of screened persons with abnormal breast findings and, to the extent practical, for additional services or assistance for such persons;

3. Education and training programs for health care professionals to improve methods for the detection and control of breast and cervical cancer, and to improve communication with breast and cervical cancer patients after diagnosis;

4. Annual public education and awareness campaigns to improve the knowledge and health care practices of all Oklahomans with respect to breast and cervical cancer;

5. Epidemiological trend studies utilizing the data from the Oklahoma Central Cancer Registry for incidence, prevalence and survival of breast and cervical cancer victims; and

6. Outreach to groups with high proportions of uninsured and underinsured women.

B. The evaluative efforts of the Advisory Committee with respect to contracts for services specified in subsection A of this section shall provide appropriate oversight and requirements that result in:

1. Enhanced quality control standards within facilities which perform diagnostic cancer screening for breast and cervical cancer; and

2. Establishment of a fee schedule for breast and cervical cancer screening and diagnosis that complies with accepted Medicare/Medicaid rates and that incorporates a sliding fee payment system to encourage self-responsibility.

C. The State Department of Health, giving consideration to the recommendations of the Advancement of Wellness Advisory Council created in Section 1-103a.1 of this title, shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the State Commissioner of Health by October 1 of every fifth year, beginning on October 1, 2021, activities completed pursuant to the Oklahoma Breast and Cervical Cancer Act during the prior five (5) fiscal years including a report of the revolving funds expended on related activities. The report may identify populations at highest risk for breast or cervical cancer, priority strategies, and emerging technologies including newly introduced therapies and preventive vaccines that are effective in preventing and controlling the risk of breast and cervical cancer, and any recommendations for additional funding, if necessary, to provide screenings and

treatment for breast and cervical cancer for uninsured and underinsured women. The report may further recommend strategies or actions to reduce the costs of breast and cervical cancer in this state.

D. The Advancement of Wellness Advisory Council shall evaluate the prospective termination or continuation of its ongoing duties on October 1, 2008. Such evaluation shall be made based on the successful implementation of breast and cervical cancer reduction plans ~~and/or~~ or achievement of significant reductions in breast and cervical cancer morbidity and mortality in this state.

SECTION 176. AMENDATORY 63 O.S. 2021, Section 1-740.11, is amended to read as follows:

Section 1-740.11. A. Before July 1, 2007, the State Department of Health shall establish and implement a program to facilitate funding to nongovernmental entities that provide alternatives-to-abortion services. The services ~~must~~ shall be outcome-based with positive outcome-based results.

B. ~~During the~~ On or before December 1, 2006 interim, and ~~annually thereafter,~~ the State Department of Health shall ~~make annual reports,~~ utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate regarding the status of the alternatives-to-abortion services funding, the first of which must be made by December 1, 2006.

C. The Department may contract with nongovernmental health care and special service organizations to provide services offered under the program. The services ~~must~~ shall be outcome-based with positive outcome-based results. The Department may not contract with a provider of adoption services not licensed by the state.

D. The State Department of Health shall promulgate rules necessary to implement the provisions of this act.

E. As used in this section, "alternatives-to-abortion services" means those services that promote childbirth instead of abortion by providing information, counseling, and support services that assist pregnant women or women who believe they may be pregnant to choose

childbirth and to make informed decisions regarding the choice of adoption or parenting with respect to their children.

The information, counseling and services provided under this program may include, but are not limited to:

1. Medical care;
2. Nutritional services;
3. Housing assistance;
4. Adoption services;
5. Educational and employment assistance, including services that support the continuation and completion of high school;
6. Child care assistance; and
7. Parenting education and support services.

SECTION 177. AMENDATORY 63 O.S. 2021, Section 1-753, is amended to read as follows:

Section 1-753. Contingent on the availability of funds being appropriated by the Legislature specifically for this purpose, the State Department of Health shall:

1. Develop and make available materials designed to provide accurate, scientifically verifiable information concerning the probable anatomical and physiological characteristics of the unborn child at two-week gestational intervals. The Department may utilize as a resource the material dealing with characteristics of the unborn child created pursuant to Section 1-738.3 of Title 63 of the Oklahoma Statutes and as located on the website www.awomansright.org under the link "Characteristics of the Unborn Child";

2. Develop and distribute educational and informational materials to provide public information through public service announcements, media, and otherwise for the purpose of achieving an abortion-free society. Such materials shall be developed from the most readily available, accurate, and up-to-date information and

shall clearly and consistently teach that abortion kills a living human being. All efforts by the Department in this regard shall be electronically reported annually to the Chair and Vice Chair of the Senate Health and Human Services Committee and the House Public Health Committee utilizing the centralized filing system provided for in Section 378 of this act;

3. Provide technical assistance to help community-based organizations in the planning and implementation of abortion prevention, alternatives to abortion referral, and education programs regarding the humanity of the unborn child;

4. Provide outreach, consultation, training, and alternatives to abortion referral services to schools, organizations, and members of the community;

5. Distribute educational and informational material concerning maternal behavior during pregnancy which is helpful to a human child in utero, including avoidance of tobacco, alcohol, and other drugs; proper nutrition and prenatal vitamins; and utilization of and resources available for prenatal medical and wellness care; and

6. Recommend to the State Department of Education scientifically verifiable information concerning the unborn child in the educational standards of science, family and consumer sciences and health classes.

SECTION 178. AMENDATORY 63 O.S. 2021, Section 1-756.8, is amended to read as follows:

Section 1-756.8. A. For the purpose of promoting maternal health and adding to the sum of medical and public health knowledge through the compilation of relevant data, a report of each drug-induced abortion performed shall be made to the State Department of Health on forms prescribed by it. The reports shall be completed by the hospital or other licensed facility in which the abortion-inducing drug was given, sold, dispensed, administered, or otherwise provided or prescribed; signed by the qualified physician who gave, sold, dispensed, administered, or otherwise provided or prescribed the abortion-inducing drug; and transmitted to the Department within fifteen (15) days after each reporting month.

B. Each report shall include, at minimum, the following information:

1. Identification of the qualified physician who provided the abortion-inducing drug;

2. Whether the chemical abortion was completed at the hospital or licensed facility in which the abortion-inducing drug was provided or at an alternative location;

3. The referring physician, agency, or service, if any;

4. The pregnant woman's age and race;

5. The number of previous pregnancies, number of live births and number of previous abortions of the pregnant woman;

6. The probable gestational age of the unborn child as determined by both patient history and by ultrasound results used to confirm the gestational age. The report shall include the date of the ultrasound and gestational age determined on that date;

7. The abortion-inducing drug or drugs used, the date each was provided to the pregnant woman and the reason for the abortion, if known;

8. Preexisting medical conditions of the pregnant woman which would complicate her pregnancy, if any;

9. Whether the woman returned for a follow-up examination to determine completion of the abortion procedure and to assess bleeding and the date and results of any such follow-up examination, and what reasonable efforts were made by the qualified physician to encourage that she return for a follow-up examination if she did not;

10. Whether the woman suffered any complications, and what specific complications arose and any follow-up treatment needed; and

11. The amount billed to cover the treatment for specific complications including whether the treatment was billed to Medicaid, private insurance, private pay, or other method. This

shall include charges for any physician, hospital, emergency room, prescription, or other drugs, laboratory tests, and any other costs for treatment rendered.

C. Reports required under this subsection shall not contain:

1. The name of the pregnant woman;

2. Common identifiers such as her social security number or driver license number; or

3. Other information or identifiers that would make it possible to identify, in any manner or under any circumstances, a woman who has obtained or seeks to obtain a chemical abortion.

D. If a qualified physician provides an abortion-inducing drug to a pregnant woman for the purpose of inducing an abortion as authorized in Sections 2 and 3 of this act, and if the qualified physician knows that the woman who uses the abortion-inducing drug for the purpose of inducing an abortion experiences, during or after the use of the abortion-inducing drug, an adverse event, the qualified physician shall provide a written report of the adverse event within three (3) days of the event to the Food and Drug Administration via the Medwatch Reporting System, and to the Department and to the State Board of Medical Licensure and Supervision.

E. Any physician, qualified physician, associated physician, or other healthcare provider who treats a woman, either contemporaneously to or at any time after the procedure, for an adverse event or complication related to a chemical abortion shall make a report of the adverse event to the Department on forms prescribed by it. The reports shall be completed by the hospital or other facility in which the adverse event treatment was provided; signed by the physician, qualified physician, or other healthcare provider who treated the adverse event; and transmitted to the Department within (15) days after each reporting month.

F. The Department shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a comprehensive annual statistical report ~~for~~ to the Legislature based upon the data gathered from reports under

this section. The aggregated data shall also be made available to the public by the Department in a downloadable format.

G. The Department shall summarize aggregate data from the reports required under this act and submit the data to the Centers for Disease Control and Prevention.

H. Reports filed pursuant to this section shall be public records and shall be available to the public in accordance with the confidentiality and public records reporting laws of this state. Copies of all reports filed under this subsection shall be available to the State Board of Medical Licensure and Supervision, State Board of Pharmacy, state law enforcement offices, and child protective services for use in the performance of their official duties.

I. Absent a valid court order or judicial subpoena, neither the Department, any other state department, agency, or office nor any employees thereof shall compare data concerning abortions or abortion complications maintained in an electronic or other information system file with data in any other electronic or other information system with the intention of identifying, in any manner or under any circumstances, a woman obtaining or seeking to obtain a drug-induced abortion.

J. Statistical information that may reveal the identity of a woman obtaining or seeking to obtain a drug-induced abortion shall not be publicly disclosed by the Department, any other state department, agency, office, or any employee or contractor thereof.

K. Copies of all reports filed under this section shall be available to the Department and the State Board of Medical Licensure and Supervision for use in the performance of its official duties.

L. The Department shall communicate the reporting requirements in this section to all medical professional organizations, licensed physicians, hospitals, emergency rooms, abortion facilities, clinics, ambulatory surgical facilities, and other healthcare facilities operating in this state.

M. Any physician including emergency medical personnel, who treats a woman for complications or adverse event arising from an

abortion, shall file a written report as required by this section of this act with the Department.

N. A physician filing a written report with the Department after treating a woman for complications or otherwise in an emergency capacity shall make reasonable efforts to include all of the required information that may be obtained without violating the privacy of the woman.

SECTION 179. AMENDATORY 63 O.S. 2021, Section 1-2530.9, is amended to read as follows:

Section 1-2530.9. A. There is hereby created in the State Treasury a revolving fund for the State Department of Health to be designated the "Trauma Care Assistance Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the State Department of Health from monies apportioned thereto for purposes of this section. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Department as follows:

1. Ninety percent (90%) of such monies shall be used to reimburse recognized trauma facilities, licensed ambulance service providers, and physicians for uncompensated trauma care expenditures as documented in the statewide emergency medical services and trauma analysis system developed pursuant to the provisions of Section 1-2511 of this title. In lieu of or in combination with reimbursement for uncompensated care, monies from the fund may also be used to support readiness costs incurred by recognized trauma facilities associated with ensuring a stable trauma care system with availability of twenty-four-hour physician services for the provision of trauma care. Any monies used for the treatment of Medicaid-eligible patients that are subsequently used to establish federal matching fund requirements shall also be reimbursed to eligible trauma facilities, licensed ambulance service providers, and physicians; and

2. Ten percent (10%) of such monies shall be used by the Department in the furtherance of its powers and duties set forth in the Oklahoma Emergency Response Systems Development Act.

B. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

C. The State Board of Health shall establish by rule a formula and procedure for the distribution of funds for uncompensated trauma care ~~and/or~~ or readiness costs that shall provide for the allocation of funds to hospitals, ambulance service providers, and physicians.

D. Annually, monies accumulated in the fund may be transferred to the Oklahoma Health Care Authority, by order of the State Commissioner of Health, to maximize Medicaid reimbursement of trauma care. The Oklahoma Health Care Authority shall use these funds with federal matching funds to reimburse hospitals, ambulance service providers and physicians for trauma care provided to severely injured patients who are participants in Medicaid.

E. An annual report detailing the disbursements from the fund shall be electronically provided on January 1 of each year to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Chair of each health-related committee of both the House of Representatives and the Senate utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 180. AMENDATORY 63 O.S. 2021, Section 1-2712, is amended to read as follows:

Section 1-2712. A. 1. The State Department of Health shall administer the Oklahoma Dental Loan Repayment Program.

2. The Program, depending upon available funding, shall provide educational loan repayment assistance for up to a total of twenty-five full-time equivalent Oklahoma licensed dentists per year including new and continuing contract renewable participants.

3. Each award shall be for a contracted period and shall be distributed to the participant by drafts made payable to the participant for deposit to an appropriate loan agency in equal monthly disbursements, not to exceed Fifty Thousand Dollars (\$50,000.00) per year for a maximum five-year period. Prior to any disbursement, the Department shall certify and properly review

monthly reports submitted by the participating dentist detailing performance of activities in accordance with the Oklahoma Dental Loan Repayment Act.

4. At the conclusion of the minimum service obligation, the Department shall review the performance in the Program of the participating dentist and determine whether an award may be granted for an additional period not to exceed a total participation in the Program of five (5) years pursuant to rules promulgated by the Department.

B. Any dentist entering the Program each year as a nonfaculty participant shall agree to provide dental care and services to Medicaid recipients as authorized by the Oklahoma Health Care Authority. The Department shall be responsible for ensuring that at least thirty percent (30%) of the patients treated by the dentist will be Medicaid recipients.

1. Any general practice dentist entering the Program each year as a nonfaculty participant shall agree to provide dental care and services in a designated Dental Health Professional Shortage Area (DHPSA) of this state.

2. Any dentist licensed to practice as a Pediatric Dentistry Specialist as defined by the State Dental Act or any dentist practicing in a Federally Qualified Health Center (FQHC), FQHC look-alike, county health department or city-county health department may be exempt from the requirement to practice in a Dental Health Professional Shortage Area (DHPSA).

C. A dentist entering the Program as a faculty participant shall agree to teach at the University of Oklahoma College of Dentistry. In the event there are no appropriate faculty applicants, the Program may award additional nonfaculty dentists.

D. A dentist shall be eligible to participate in the Program if the dentist:

1. Is a new dental school graduate. Preference will be given to graduates of the University of Oklahoma College of Dentistry;

2. Is licensed to practice dentistry in Oklahoma; and

3. Has demonstrated financial need.

E. The dentist shall execute a contract with the Department to provide dental services pursuant to the terms of the contract and in accordance with rules promulgated by the Department.

F. If the dentist does not fulfill the service obligation, the Department may collect from the participant the entire amount of loan payments made under the Program plus interest.

G. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically present a report on the operation of the Program to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate within one (1) month of the beginning of each regular session of the Legislature including but not limited to the progress made in accomplishing the goal of the Program.

SECTION 181. AMENDATORY 63 O.S. 2021, Section 1-2721, as last amended by Section 1, Chapter 184, O.S.L. 2024 (63 O.S. Supp. 2025, Section 1-2721), is amended to read as follows:

Section 1-2721. A. 1. The Health Care Workforce Training Commission shall administer the Oklahoma Medical Loan Repayment Program.

2. For the purposes of this section, "primary care physicians" shall mean physicians practicing in family medicine, geriatrics, general internal medicine, general pediatrics, obstetrics/gynecology, emergency medicine, or general surgery.

3. For the purposes of this section, "health center" shall mean a Federally Qualified Health Center as defined by 42 U.S.C., Section 1905(1) (2) (B).

4. For the purposes of this section, "teaching health center" shall mean a health center that supports the residencies of primary care physicians within the operations of the health center.

5. The program, depending upon and limited to available funding, shall provide educational loan repayment assistance to

Oklahoma-licensed primary care physicians, physician assistants, and certified nurse practitioners who agree to establish a practice in a community located in Oklahoma approved by the Commission.

6. Each award of educational loan repayment assistance shall be for a contracted period and shall be distributed to the participant by drafts made payable to the participant at the end of each contract year with disbursements not to exceed an amount to be established annually by the Commission. Prior to any disbursement, the Commission shall certify and properly review reports submitted by the participating physician, physician assistant, or certified nurse practitioner detailing performance of activities in accordance with the program.

7. The Commission shall review the performance in the program of the participating physician, physician assistant, or certified nurse practitioner and determine whether an award may be granted for additional years pursuant to rules promulgated by the Commission.

B. The physicians, physician assistants, and certified nurse practitioners entering the program each year shall agree to provide medical care and services in areas designated by the Commission to provide medical care and services to Medicaid recipients as authorized by the Oklahoma Health Care Authority.

C. A physician, physician assistant, or certified nurse practitioner shall be eligible to participate in the loan repayment program if the individual:

1. Is a physician, physician assistant, or certified nurse practitioner who holds a current Oklahoma medical license;

2. Is a new primary care graduate physician, physician assistant, or certified nurse practitioner. Preference will be given to graduates of the primary care residency programs affiliated with the Oklahoma State University College of Osteopathic Medicine, the University of Oklahoma College of Medicine, and the teaching hospitals affiliated with both schools of medicine and teaching health centers located in this state; or

3. Is a current practicing physician, physician assistant, or certified nurse practitioner and has met criteria established by the Commission.

D. The Commission may accept donations of public or private funds to assist in funding the Oklahoma Medical Loan Repayment Program. The Commission may, at its discretion, contract with other public entities and nonprofit corporations for the endowment, management, and administration of such funds.

E. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically present a report on the operation of the program to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate within one (1) month of the beginning of each regular session of the Legislature, including but not limited to the progress made in accomplishing the goal of the program.

SECTION 182. AMENDATORY 63 O.S. 2021, Section 1-2731, is amended to read as follows:

Section 1-2731. A. 1. The Department of Mental Health and Substance Abuse Services shall administer the Oklahoma Mental Health Loan Repayment Program.

2. The Program, depending upon available funding, shall provide educational loan repayment assistance for mental health or substance abuse treatment providers who provide services in Health Professional Shortage Areas (HPSAs) for mental health.

3. Each award shall be for a contracted period and shall be distributed to the participant by drafts made payable to the participant and the appropriate loan agency following a completed year of service. Prior to any disbursement, the Department shall certify and properly review reports submitted by the participating provider detailing performance of activities in accordance with this act.

4. At the conclusion of the minimum service obligation, the Department shall review the performance in the Program of the participating mental health or substance abuse provider and

determine whether an award may be granted for an additional period not to exceed a total participation in the Program of five (5) years pursuant to rules promulgated by the Board of Mental Health and Substance Abuse Services.

B. Any participating mental health or substance abuse treatment provider shall agree to provide mental health or substance abuse treatment services to Medicaid recipients as authorized by the Oklahoma Health Care Authority and individuals lacking health insurance coverage. The Department of Mental Health and Substance Abuse Services shall be responsible for ensuring that at least twenty-five percent (25%) of the patients treated by the provider are Medicaid beneficiaries, uninsured, or a combination of Medicaid and uninsured recipients.

C. The mental health or substance abuse treatment provider shall execute a contract with the Department to provide mental health or substance abuse treatment services pursuant to the terms of the contract and in accordance with rules promulgated by the Board.

D. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically present a report on the operation of the Program to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives within one (1) month of the beginning of each regular session of the Legislature, including but not limited to the progress made in accomplishing the goal of the Program.

SECTION 183. AMENDATORY 63 O.S. 2021, Section 2-805, is amended to read as follows:

Section 2-805. A. The State Commissioner of Health shall have the authority to approve physicians conducting clinical trials performed pursuant to the provisions of this act. In the event of a substantial violation of this act, the Commissioner shall provide written notice to the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control and the Governor. The Governor, upon receipt of a notice from the Commissioner, shall have the authority to terminate the operations of a clinical trial found to be in violation of any provision of this act.

B. The clinical trials and related research authorized by this act shall adhere to the highest standards of academic research including, but not limited to, peer review of research conducted pursuant to this act.

C. Clinical trials and related research authorized by this act shall conclude no later than December 31, 2017. Nothing in this act shall be construed as to permit the continuation of clinical trials after December 31, 2017, without approval by a concurrent resolution approved by the Legislature expressing approval of such continuation.

~~D. The State Commissioner of Health shall submit a report to the Chair and Vice Chair of the Senate Health and Human Services Committee, the Chair and Vice Chair of the House Alcohol, Tobacco and Dangerous Drugs Committee, and the Chair and Vice Chair of the House Public Health Committee on or before December 31, 2017. Such report shall include a summary of findings from clinical trials authorized by this act. The Commissioner shall, upon request by the Chair and Vice Chair of the Committees specified in this subsection, make available any data, excluding individual health records, relating to clinical trials authorized by this act.~~

~~E.~~ The Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, the State Board of Health, and the Oklahoma State Regents for Higher Education shall promulgate rules to implement the provisions of this act.

SECTION 184. AMENDATORY 63 O.S. 2021, Section 2-904, is amended to read as follows:

Section 2-904. A. District attorneys shall prepare and submit an annual report to the District Attorneys Council showing total deposits and total expenditures in the Drug Possession Diversion Program.

B. By September 15 of each year, the District Attorneys Council shall publish an annual report for the previous fiscal year of the Drug Possession Diversion Program. An electronic copy of the report shall be distributed to the President Pro Tempore of the Senate, the Speaker of the House of Representatives and the chairs of the House and Senate Appropriation and Budget Committees utilizing the

centralized filing system provided for in Section 378 of this act. Each district attorney shall submit information requested by the District Attorneys Council regarding the Drug Possession Diversion Program. The report shall include the number of charges referred to and accepted into the Drug Possession Diversion Program, the total amount of fees collected and such other information as required by the District Attorneys Council.

SECTION 185. AMENDATORY 63 O.S. 2021, Section 2-1001, as last amended by Section 1, Chapter 198, O.S.L. 2025 (63 O.S. Supp. 2025, Section 2-1001), is amended to read as follows:

Section 2-1001. A. The Attorney General shall have the power and duty to:

1. Coordinate and integrate state and local efforts to address overdose deaths and create a body of information to prevent overdose deaths;
2. Conduct case reviews of deaths of persons eighteen (18) years of age or older due to licit or illicit opioid use in this state;
3. Collect, analyze, and interpret state and local data on opioid overdose deaths;
4. Develop a state and local database on opioid overdose deaths;
5. Improve policies, procedures, and practices within the agencies in order to prevent fatal opioid overdoses and to serve victims of unintentional overdose; and
6. Enter into agreements with other state, local, or private entities as necessary to carry out the duties under this section, including, but not limited to, conducting joint reviews with the Child Death Review Board on unintentional overdose cases involving child death and child near-death incidents.

B. In carrying out his or her duties and responsibilities, the Attorney General shall:

1. Promulgate rules, if necessary, establishing criteria for identifying cases involving an opioid overdose death subject to specific, in-depth review by the Attorney General;

2. Conduct a specific case review of those cases where the cause of death is or may be related to overdose of opioid drugs;

3. Establish and maintain statistical information related to opioid overdose deaths including, but not limited to, demographic and medical diagnostic information;

4. Establish procedures for obtaining initial information regarding opioid overdose deaths from law enforcement agencies;

5. Review the policies, practices, and procedures of medical systems and law enforcement systems and other overdose protection and prevention systems, and make specific recommendations to those entities for actions necessary for the improvement of the system;

6. Request and obtain a copy of all records and reports pertaining to an adult whose case is under review including, but not limited to:

- a. the report of the medical examiner,
- b. hospital records,
- c. school records,
- d. court records,
- e. prosecutorial records,
- f. local, state, and federal law enforcement records including, but not limited to, the Oklahoma State Bureau of Investigation (OSBI) and Oklahoma State Bureau of Narcotics and Dangerous Drugs Control (OBN),
- g. fire department records,
- h. State Department of Health records, including birth certificate records,

- i. medical and dental records,
- j. Department of Mental Health and Substance Abuse Services and other mental health records,
- k. emergency medical service records,
- l. files of the Department of Human Services, and
- m. records in the possession of the Child Death Review Board when conducting a joint review in accordance with paragraph 6 of subsection A of this section.

Confidential information or records provided to the Attorney General shall be maintained by the Attorney General in a confidential manner as otherwise required by state and federal law. Any person damaged by disclosure of such confidential information by the Attorney General or any employees or contractors of the Office of the Attorney General which is not authorized by law may maintain an action for damages, costs, and attorney fees pursuant to The Governmental Tort Claims Act;

7. Maintain all confidential information, documents and records in possession of the Attorney General as confidential and not subject to subpoena or discovery in any civil or criminal proceedings; provided however, information, documents, and records otherwise available from other sources shall not be exempt from subpoena or discovery through those sources solely because such information, documents, and records were presented to or reviewed by the Attorney General;

8. Conduct reviews of specific cases of opioid overdose deaths and request the preparation of additional information and reports as determined to be necessary by the Attorney General including, but not limited to, clinical summaries from treating physicians, chronologies of contact, and second-opinion autopsies;

9. ~~Report~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives any information and guidance regarding the

prevention and protection system to advise on changing trends in overdose rates, substances, methods, or any other factor impacting overdose deaths, including any systemic issue within the medical, law enforcement, or other relevant systems discovered by the Attorney General while performing his or her duties; and

10. Exercise all incidental powers necessary and proper for the implementation and administration of this section.

C. All discussions of individual cases and any writings produced by or created for the Attorney General in the course of determining a remedial measure to be recommended by the Attorney General, as the result of a review of an individual case of an opioid overdose death, shall be privileged and shall not be admissible in evidence in any proceeding.

D. The Attorney General shall submit an annual statistical report on the incidence and causes of opioid overdose deaths in this state for which the Attorney General has completed his or her review during the past calendar year including his or her recommendations, if any, to the medical and law enforcement system. The Attorney General shall also prepare and make available to the public, on an annual basis, a report containing a summary of the activities relating to the review of opioid overdose deaths, the extent to which the state medical and law enforcement system is coordinated, and an evaluation of whether the state is efficiently discharging its responsibilities to prevent opioid overdose deaths. The report shall be completed no later than February 1 of the subsequent year.

E. Any entity from which the Attorney General requests records in accordance with paragraph 6 of subsection B of this section shall provide the records to the Attorney General.

F. The Attorney General may assign any of the powers and duties in this section or in Section 2-1003 of this title to any of the Attorney General's assistants or employees.

SECTION 186. AMENDATORY Section 10, Chapter 322, O.S.L. 2023 (63 O.S. Supp. 2025, Section 427.17a), is amended to read as follows:

Section 427.17a. A. The Oklahoma Medical Marijuana Authority may operate a quality assurance laboratory for the purpose of conducting compliance testing of medical marijuana businesses licensed in this state.

B. The Authority shall utilize the quality assurance laboratory to:

1. Provide recommendations for all equipment and standards to be utilized by licensed medical marijuana testing laboratories when testing samples of medical marijuana, medical marijuana concentrate, and medical marijuana products;

2. Provide standardized operating procedures when procuring, collecting, extracting, and testing medical marijuana, medical marijuana concentrate, and medical marijuana products;

3. Procure, handle, transfer, transport, and test samples taken from medical marijuana licensed businesses;

4. Implement the secret shopper program pursuant to Section 427.25 of Title 63 of the Oklahoma Statutes; and

5. Detect and analyze any compounds that are not among the targeted analytes and are unknown, unidentified, tentatively identified, or known and injurious to human health if consumed.

C. In order to fulfill the provisions of subsection A of this section, the Authority may:

1. Enter into interlocal agreements with any other government agency pursuant to Section 1001 et seq. of Title 74 of the Oklahoma Statutes;

2. Select a laboratory information system through a competitive bidding process pursuant to Section 85.7 of Title 74 of the Oklahoma Statutes; or

3. Collect samples from harvest batches that failed testing.

D. The quality assurance laboratory may transport and transfer medical marijuana, medical marijuana concentrate, and medical

marijuana product for testing between the originating medical marijuana business, the quality assurance laboratory, and other licensed medical marijuana testing laboratories pursuant to this section.

E. The quality assurance laboratory shall comply with the provisions of the Oklahoma Medical Marijuana and Patient Protection Act when transporting samples of medical marijuana, medical marijuana concentrate, and medical marijuana product for testing between the originating medical marijuana business, the quality assurance laboratory, and other licensed medical marijuana testing laboratories pursuant to this section. Nothing in this section shall require the quality assurance laboratory to apply for and receive a license.

F. The Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Legislature on quality assurance activities and results.

G. The Authority may promulgate rules necessary for the implementation of a quality assurance laboratory pursuant to this section.

SECTION 187. AMENDATORY Section 1, Chapter 321, O.S.L. 2024 (63 O.S. Supp. 2025, Section 427.29), is amended to read as follows:

Section 427.29. A. There is hereby created the Oklahoma Medical Marijuana Authority Executive Advisory Council.

B. The Oklahoma Medical Marijuana Authority Executive Advisory Council shall consist of the following members, and all appointees shall serve their terms at the pleasure of the appointing authority and may be removed or replaced without cause:

1. One member appointed by the Governor to represent all citizens of this state;

2. One member appointed by the Speaker of the Oklahoma House of Representatives, who shall be a citizen from a county with a

population under twenty-five thousand (25,000) persons, as determined by the latest Federal Decennial Census;

3. One member appointed by the President Pro Tempore of the Oklahoma State Senate, who shall be a citizen from a municipality with a population in excess of seventy-five thousand (75,000) persons, as determined by the latest Federal Decennial Census;

4. One member appointed by the Speaker of the Oklahoma House of Representatives, who is a current medical marijuana business license holder;

5. One member appointed by the President Pro Tempore of the Oklahoma State Senate, who is a current medical marijuana business license holder; and

6. One member appointed by the Governor, who holds a medical marijuana patient license.

C. The Executive Director of the Oklahoma Medical Marijuana Authority shall chair the Advisory Council and provide staff and administrative support to the Advisory Council.

D. The Advisory Council shall select a co-chair from the membership of the Advisory Council.

E. Each member of the Advisory Council shall serve a term of four (4) years from the date of appointment. Members of the Advisory Council shall not serve more than two consecutive terms.

F. A majority of the members of the Advisory Council shall constitute a quorum for the transaction of business and for taking any official actions. Official actions by the Advisory Council shall have a favorable vote by a majority of the members present.

G. Appointed members who serve on the Advisory Council shall be exempt from dual-office-holding prohibitions pursuant to Section 6 of Title 51 of the Oklahoma Statutes.

H. The Advisory Council may advise the Authority of recommended changes to state policy, rules, or statutes.

I. The Advisory Council shall prepare and issue a report of its findings and recommendations electronically to the Governor, President Pro Tempore of the Senate, and Speaker of the House by November 1, 2025, and no later than November 1 of each year thereafter utilizing the centralized filing system provided for in Section 378 of this act.

J. Members appointed pursuant to subsection B of this section shall serve without compensation but shall be reimbursed for expenses incurred in the performance of their duties in accordance with the State Travel Reimbursement Act.

K. The Oklahoma Medical Marijuana Authority Executive Advisory Council shall meet as often as necessary to conduct business but shall meet not less than four times a year, with an organizational meeting to be held prior to January 1, 2025.

L. Any vacancy occurring on the Oklahoma Medical Marijuana Authority Executive Advisory Council shall be filled for the unexpired term of office in the same manner as provided for in subsection B of this section.

M. The Advisory Council shall act in accordance with the provisions of the Oklahoma Open Meeting Act, the Oklahoma Open Records Act, and the Administrative Procedures Act.

SECTION 188. AMENDATORY 63 O.S. 2021, Section 683.4, is amended to read as follows:

Section 683.4. A. There is hereby created the Oklahoma Department of Emergency Management (OEM). The Governor shall appoint a Director of the Department, with the advice and consent of the Senate, who shall be the head of the Department. The Governor shall fix the salary of the Director, in cooperation with standards promulgated by the Office of Management and Enterprise Services.

B. The Director may employ personnel and fix their compensation in cooperation with standards promulgated by the Office of Management and Enterprise Services, and may make such expenditures within the appropriation therefor, or from such other available funds as may be necessary to carry out the purposes of the Oklahoma

Emergency Management Act of 2003 and other programs specified by law.

C. The Director and other personnel of the Department shall be provided with appropriate office space, furniture, equipment, supplies, stationery, and printing in the same manner as provided for personnel of other state agencies.

D. The Director, subject to the direction and control of the Governor, shall be the executive head of the Department and shall serve as the chief advisor to the Governor on emergency management and shall:

1. Be responsible to the Governor for carrying out the programs as required by law;

2. Coordinate the activities of all organizations for emergency management within the state;

3. Maintain liaison with and cooperate with the emergency management agencies and organizations of other states and of the federal government;

4. Develop and maintain a comprehensive all-hazards mitigation plan for this state;

5. Implement the Oklahoma Hazard Mitigation Program;

6. Have such additional authority, duties, and responsibilities authorized by the Oklahoma Emergency Management Act of 2003 and as may be prescribed by the Governor;

7. Supervise the Office of Volunteerism in accordance with Section 683.26 of this title; and

8. ~~Report~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report quarterly to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate the balance and outstanding obligations of the State Emergency Fund.

E. The Director shall supervise the formulation, execution, review, and revisions of the state Emergency Operations Plan as provided for by Section 683.2 of this title. The plan shall be reviewed annually and revised as necessary.

SECTION 189. AMENDATORY 63 O.S. 2021, Section 2565, is amended to read as follows:

Section 2565. A. Any agency making decisions on utilization management measures, coverage, reimbursement, or incentive programs shall be required to consult with:

1. Organizations representing patients and people with disabilities, including both self-advocacy organizations and organizations representing patients, prior to proceeding on any measure likely to impact the relevant patient or disability community; and

2. Organizations representing patients and people that advocate for the rights of patients to obtain treatment without regard to the patients' quality of life and representatives of organizations that advocate for the rights of older persons to receive health care.

B. Any agency making decisions on utilization management measures, coverage, reimbursement, or incentive programs shall ensure that a process is in place to ensure robust stakeholder engagement and full transparency surrounding the provision of any research and analysis relied upon for decision-making that would impact access to health care treatments and services by patient groups provided for in subsection A of this section, including:

1. Providing stakeholders with meaningful notice and opportunity to comment on the retention of any vendor providing research and analysis to the agency;

2. Subjecting research and analysis relied upon by an agency to meaningful notice and comment process;

3. Ensuring deliberation around the coverage or reimbursement for health care treatments and services occurs in open meetings;

4. Presenting and releasing any research and analysis relied upon for decision-making in public meetings or publicly released prior to deliberation;

5. Requiring full disclosure into funding sources and conflicts of interest of any third party providing research and analysis to the state;

6. Prohibiting sole-source contracts for research and analysis to ensure reliance on a range of evidence; and

7. Preparing an annual report assessing beneficiary access to health care treatments and services. The report shall assess the impact of any form of utilization management on access to care with a specific analysis of the impact on persons with disabilities, chronic illness, and advanced age. The report shall be electronically submitted to the State Legislature utilizing the centralized filing system provided for in Section 378 of this act, be posted on the state Medicaid website, and the agency shall provide an opportunity for public comment.

C. Any research and analysis relied upon for decision-making that would impact coverage and access to health care treatments and services shall measure outcomes prioritized by patients and persons with disabilities as required by this section, as well as consider meaningful differences in the characteristics, needs and preferences of patients and persons with disabilities.

SECTION 190. AMENDATORY 63 O.S. 2021, Section 3208, is amended to read as follows:

Section 3208. A. The Authority shall have the power to:

1. Adopt bylaws and promulgate rules for the regulation of its affairs and the conduct of its business;

2. Adopt an official seal;

3. Maintain an office at the University Hospitals;

4. Sue and be sued, subject to the provisions of The Governmental Tort Claims Act;

5. Establish rates of payment for hospital and clinical services, which shall provide for exceptions and adjustments in cases where the recipients of services are unable to pay and for whom no third party source of payment is available, and to establish different rates of payment for indigent and nonindigent care;

6. Enter into cooperative agreements with the Board of Regents of the University of Oklahoma for educational programs, professional staffing, research, and other medical activities and to pass through funds appropriated by the Legislature consistent with past practice;

7. Make and enter into all contracts necessary or incidental to the performance of its duties and the execution of its powers pursuant to the University Hospitals Authority Act;

8. Purchase or lease equipment, furniture, materials, and supplies, and incur such other expenses as may be necessary to maintain and operate the hospitals or clinics, or to discharge its duties and responsibilities or to make any of its powers effective;

9. Acquire by purchase, lease, gift, or by any other manner, and to maintain, use, and operate or to contract for the maintenance, use, and operation of or lease of any and all property of any kind, real, personal, or mixed or any interest therein unless otherwise provided by the University Hospitals Authority Act;

10. Appoint such officers, agents, and employees, including but not limited to attorneys, architects, and construction managers, as it deems necessary to operate and maintain the University Hospitals and to prescribe their duties and to fix their compensation;

11. Accept grants from the United States of America, or from any corporation or agency created or designated by the United States of America, and, in connection with any such grant, to enter into such agreements as the United States of America or such corporation or agency may require;

12. Make and issue bonds and to pledge revenues of the Authority subject to the Oklahoma Bond Oversight and Reform Act. Nothing in the University Hospitals Authority Act shall authorize the issuance of any bonds of the Authority payable other than from

revenues of the University Hospitals. Funds appropriated to the University Hospitals shall not be used for issuance of bonds. Authority revenue bonds issued under the provisions of the University Hospitals Authority Act shall not at any time be deemed to constitute a debt of the state or of any political subdivision thereof or a pledge of the faith and credit of the state or of any political subdivision, but such bonds shall be payable solely from the funds herein provided. Such revenue bonds shall contain on the face thereof a statement to the effect that neither the state nor the Authority shall be obligated to pay the same or the interest thereon except from the revenues of the project or projects for which they are issued and that neither the faith and credit nor the taxing power of the state or any political subdivision thereof is pledged, or may hereafter be pledged, to the payment of the principal of or the interest on such bonds. The maximum amount of outstanding bonds at any time shall not exceed Fifty Million Dollars (\$50,000,000.00) unless a greater amount is expressly approved by the Legislature by a concurrent resolution adopted prior to commencing any action in anticipation of issuance of revenue bonds of the University Hospitals Authority for the greater amount;

13. Provide for complete financial audits on all accounts of the University Hospitals Authority and to authorize periodic audits by an independent external auditing agency. Such audits to be performed annually in a format approved by the State Auditor and Inspector and all such audits shall be submitted to the State Auditor and Inspector for review. Such audits shall be made in accordance with generally accepted auditing standards and government auditing standards. Financial statements shall be prepared in accordance with generally accepted accounting principles. In addition to said audits, the State Auditor and Inspector, whenever he or she deems it appropriate, and at least once each five (5) years, or upon receipt of a request to do so from the Governor, the Attorney General, the President Pro Tempore of the Senate, the Speaker of the House of Representatives or the Authority shall conduct a special audit of the Authority and the University Hospitals;

14. Engage in long-term planning for the operation and management of the University Hospitals;

15. Establish petty cash funds and provide for appropriate accounting procedures and controls;

16. Contract with national manufacturers, wholesalers and distributors of equipment, drugs, and medical supplies when appropriate to carry out the purposes of the University Hospitals Authority Act;

17. Do all other things necessary and proper to implement the provisions of the University Hospitals Authority Act;

18. Waive, by such means as the Authority deems appropriate, the exemption from federal income taxation of interest on the Authority's bonds provided by the Internal Revenue Code of 1986, as amended, or any other federal statute providing a similar exemption;

19. Arrange for guaranties or insurance of its bonds by the federal government or by any private insurer, and to pay any premiums therefor; and

20. Adopt policies for the disposal of surplus property.

B. The University Hospitals Authority shall be subject to the Oklahoma State Finance Act, Section 34 et seq. of Title 62 of the Oklahoma Statutes.

C. The Authority shall prepare monthly a "budget vs. actual" report which shows by budget activity the monthly and year-to-date revenues and expenditures compared to budgeted revenues and expenditures. Such report shall be electronically submitted upon request to the Office of Management and Enterprise Services and to the Directors of the House of Representatives Fiscal Division and the Senate Fiscal Division utilizing the centralized filing system provided for in Section 378 of this act.

D. The Authority shall be subject to the professional risk management program provided for in Section 85.58A of Title 74 of the Oklahoma Statutes.

E. The Authority may enter into contracts for construction and remodeling projects in accordance with applicable statutes and its own administrative rules. The Authority shall have the power to

authorize the demolition of any building owned by the Authority upon a finding that the building is no longer suitable for the purposes for which it was intended and that a renovation of the building is not economically justifiable.

F. The Authority may provide space, utilities and janitorial services to the Department of Human Services Institutional Maintenance and Construction Architecture and Engineering Planning Unit.

SECTION 191. AMENDATORY 63 O.S. 2021, Section 3220, is amended to read as follows:

Section 3220. The University Hospitals Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives. Such report shall be submitted in accordance with the requirements for financial statement audits in Section 212A of Title 74 of the Oklahoma Statutes, and shall include an account of the operations and actions of the Authority and an accounting of all revenue received and disbursed by the Authority for the previous fiscal year. The report shall include an accounting of expenses related to each of the following:

1. Education and training of students of the University of Oklahoma, resident physicians and others;
2. Care and treatment of indigents for whom the Authority receives any form of state or federal reimbursement; and
3. Research.

SECTION 192. AMENDATORY 63 O.S. 2021, Section 3224, is amended to read as follows:

Section 3224. A. The State of Oklahoma expressly approves the creation of a public trust to be denominated the "University Hospitals Trust", of which the State of Oklahoma shall be the beneficiary, provided such approval shall be contingent upon the following conditions being satisfied:

1. Finalizing of the Declaration of Trust;
2. Adoption of the Declaration of Trust by an official action of the trustees of the Trust;
3. Submission of the Trust for acceptance of the beneficial interest and approval as required by Section 177 of Title 60 of the Oklahoma Statutes; and
4. The approved Declaration of Trust shall:
 - a. clearly state that the principal purpose of the University Hospitals Trust is to effectuate the purposes of the University Hospitals Authority as established in the University Hospitals Authority Act,
 - b. except as otherwise provided by law, provide that the fee simple title to real property held by the University Hospitals Authority shall not be transferred, conveyed, or assigned to the University Hospitals Trust without the express consent of the Legislature as the governing entity of the beneficiary pursuant to Section 176 of Title 60 of the Oklahoma Statutes,
 - c. provide that any indebtedness incurred by the University Hospitals Trust or the trustees of the Trust shall not be secured with or create a lien upon real property to which title is held by the University Hospitals Authority and shall not involve the bonding capacity of the University Hospitals Authority,
 - d. provide that the trust estate of the University Hospitals Trust shall not include fee simple title to real property owned by the University Hospitals Authority,
 - e. clearly state that the creation of the University Hospitals Trust shall not in any way reduce, limit or interfere with the power granted to the University Hospitals Authority in the University Hospitals Authority Act,

- f. provide that any lease or contractual agreement involving use of the real property to which title is held by the University Hospitals Authority and any improvements thereto shall contain a provision and covenants requiring the proper maintenance and upkeep of the real property and improvements,
- g. provide that the trustees of the University Hospitals Trust shall be the acting members of the University Hospitals Authority as provided in the University Hospitals Authority Act, and
- h. provide that the trustees of the University Hospitals Trust shall have the duty to, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives. The report shall be submitted by January 1 of each year and shall include an account of all operations, actions of the Trust, account of all revenue received and disbursed by the Trust for the previous fiscal year. The report shall also provide a complete accounting of how the Trust meets its primary function of effectuating the purposes of the University Hospitals Authority, as established in the University Hospitals Authority Act.

B. The University Hospitals Trust shall require any agreements which it enters into with any entity pursuant to Section 3226 of this title for the operations of facilities leased by the University Hospitals Authority to the Trust to include, but not be limited to:

1. The inclusion of four of the five members of the Trust as four of the five members representing the State of Oklahoma as state appointees to the governing committee created pursuant to a proposed agreement;

2. Binding arbitration shall not be involved in such agreements for resolving issues under consideration by the governing committee; and

3. Major decisions shall be resolved by the governing committee, and approval of any major decision by the governing committee ~~must~~ shall include the approval of a majority of the state appointees and the approval of a majority of the members of the private entity appointees to the governing committee. Major decisions shall include:

- a. approval of the annual operating and capital budgets,
- b. sale or disposition of assets that individually have a fair market value over Two Hundred Fifty Thousand Dollars (\$250,000.00),
- c. the termination or transfer or material addition or material diminution of medical services at the Oklahoma Medical Center related to and part of a teaching program of the University of Oklahoma Health Sciences Center, and
- d. other major decisions as may be agreed upon by the Trust and the private entity.

C. To the extent it is determined by legislative enactment that the Trust has expended funds in contravention of its mission as set forth in this section, the Trust shall remit, upon thirty (30) days' written notice from the University Hospitals Authority, such sum or sums to the University Hospitals Authority.

D. In the event the Trust enters into a joint venture or acquires an interest in a not-for-profit entity to effectuate the administration of the mission of the Trust, that entity shall not be subject to the Oklahoma Open Meeting Act and the Oklahoma Open Records Act. Any information submitted to or compiled by the Trust with respect to marketing plans, financial statements, trade secrets, research concepts, methods, or products or any other proprietary information submitted to or compiled by the Trust, persons, firms, associations, partnerships, agencies, corporations, institutions of higher education, nonprofit research institutions, or other entities shall be confidential, except to the extent that the person or entity which provided such information or which is the subject of such information consents to disclosure. Executive

sessions may be held to discuss such materials if deemed necessary by the Trust. The provisions of this subsection shall not apply to budgetary information related to appropriations or the appropriations process.

E. In addition to the powers and exemptions granted to state beneficiary public trusts organized under Section 176 et seq. of Title 60 of the Oklahoma Statutes, the Trust shall possess all the statutory powers and exemptions provided to the University Hospitals Authority.

F. The Trust shall have the authority or may contract with a joint operator or with a foundation supporting the programs of Oklahoma Children's Hospital to sell naming rights to property owned or leased by the Trust, provided proceeds from the sale of naming rights are used to effectuate the purposes of the University Hospitals Authority as established in the University Hospitals Authority Act and are specifically approved by the Trust, which shall have absolute discretion in granting or denying naming rights. Naming rights shall not include any interest in the property by the purchaser other than the naming rights.

SECTION 193. AMENDATORY 63 O.S. 2021, Section 3229, is amended to read as follows:

Section 3229. With respect to the provisions of paragraph 30 of Section 1356 of Title 68 of the Oklahoma Statutes as amended by Enrolled Senate Bill No. 79 of the 1st Session of the 58th Oklahoma Legislature, the University Hospitals Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report the total value of the sales tax exemption from the prior fiscal year to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Chair of the House Appropriations and Budget Committee or successor committee, and the Chair of the Senate Appropriations Committee or successor committee as part of its annual budget and performance review materials submitted for the fiscal year beginning July 1, 2024, and for fiscal years thereafter. The Authority shall further report the total number of filled resident positions and the number of nursing graduates of the University of Oklahoma Health Sciences Center compared to the baseline numbers for fiscal year 2021 as part of the same report each year. The University Hospitals Trust shall

confirm for each fiscal year beginning in fiscal year 2023 that any nonprofit entity which has entered into a joint operating agreement with the Trust and is subject to the provisions of paragraph 30 of Section 1356 of Title 68 of the Oklahoma Statutes has budgeted an amount equal to or greater than the baseline amount for fiscal year 2021 for physician and nursing workforce development, and the Trust shall verify that:

1. The nonprofit entity subject to these provisions has increased funding to the University of Oklahoma Health Sciences Center College of Medicine in a sufficient amount to support seventy additional medical residency positions by fiscal year 2025 than the baseline amount supported in fiscal year 2021;

2. The nonprofit entity subject to these provisions has increased funding to the University of Oklahoma Health Sciences Center College of Nursing in a sufficient amount to support fifty additional Nurse Practitioner graduates by fiscal year 2026 than the baseline amount supported in fiscal year 2021; and

3. The nonprofit entity subject to these provisions has increased funding to the University of Oklahoma Health Sciences Center College of Nursing in a sufficient amount to support one hundred ten additional Registered Nurse graduates by fiscal year 2024 than the baseline amount supported in fiscal year 2021.

SECTION 194. AMENDATORY 63 O.S. 2021, Section 3240.6, is amended to read as follows:

Section 3240.6. A. The Community Hospitals Authority shall have the power and duty to:

1. Adopt bylaws and promulgate rules for the regulation of its affairs and the conduct of its business;

2. Adopt an official seal;

3. Maintain an office in one of the participating hospitals for the Community Hospitals Authority at no cost to the Authority;

4. Sue and be sued;

5. Make and enter into all contracts necessary or incidental to the performance of its duties and the execution of its powers pursuant to the Community Hospitals Authority Act;

6. Purchase or lease equipment, furniture, materials, and supplies, and incur such other expenses as may be necessary to discharge its duties and responsibilities or to make any of its powers effective;

7. Accept any and all grants from persons and from the United States of America, or from any corporation or agency created or designed by the United States of America, and, in connection with any such grant, to enter into such agreements as the United States of America or such corporation or agency may require;

8. Accept grants and gifts from private individuals and organizations;

9. Provide for complete financial audits on all accounts of the Community Hospitals Authority and to authorize periodic audits by an independent external auditing agency. Such audits shall be performed annually in a format approved by the State Auditor and Inspector, and all such audits shall be submitted to the State Auditor and Inspector for review. Such audits shall be made in accordance with generally accepted auditing standards and government auditing standards. Financial statements shall be prepared in accordance with generally accepted accounting principles. In addition to the audits, the State Auditor and Inspector, whenever the State Auditor deems it appropriate, and at least once each five (5) years, or upon receipt of a request to do so from the Governor, the Attorney General, the President Pro Tempore of the Senate, the Speaker of the House of Representatives or the Authority shall conduct a special audit of the Authority;

10. Engage in long-term planning for the operation and management of the Community Hospitals Authority;

11. Establish petty cash funds and provide for appropriate accounting procedures and controls; and

12. Do all other things necessary and proper to implement the provisions of the Community Hospitals Authority Act.

B. The Community Hospitals Authority shall be subject to the Oklahoma Budget Law of 1947.

C. The Authority shall prepare monthly a "budget vs. actual" report which shows by budget activity the monthly and year-to-date revenues and expenditures compared to budgeted revenues and expenditures. Such report shall be electronically submitted to the Office of Management and Enterprise Services and to the directors of the Fiscal Divisions of the State Senate and the Oklahoma House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

D. The Authority shall be subject to the professional risk management program provided for in Section 85.58A of Title 74 of the Oklahoma Statutes.

E. The Authority shall be and is prohibited from issuing bonds or other evidences of indebtedness.

F. The Authority shall be and is prohibited from acquiring any real property.

SECTION 195. AMENDATORY 63 O.S. 2021, Section 3240.7, is amended to read as follows:

Section 3240.7. The Community Hospitals Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives. Such report shall be submitted in accordance with the requirements for financial statement audits in Section 212A of Title 74 of the Oklahoma Statutes, and shall include an account of the operations and actions of the Authority and an accounting of all revenue received and disbursed by the Authority for the previous fiscal year. The report shall include an accounting of expenses related to the care and treatment of indigent persons for whom the Authority receives any form of state or federal reimbursement.

SECTION 196. AMENDATORY 63 O.S. 2021, Section 3250.6, is amended to read as follows:

Section 3250.6. A. 1. Each community hospital public trust authority shall be a governmental entity and a body politic and corporate with powers of government and with authority to establish and operate a hospital district and to exercise the rights, privileges and functions specified by the Oklahoma Community Hospitals Public Trust Authorities Act and Sections 176 through 180.3 of Title 60 of the Oklahoma Statutes.

2. Nothing in this subsection shall be construed as authorizing any hospital district to levy or collect taxes or to pledge the credit of the state or any subdivision of this state.

B. Each community hospital public trust authority shall have the power to:

1. Adopt bylaws and promulgate rules for the regulation of its affairs and the conduct of its business;

2. Adopt an official seal;

3. Act as a vehicle for securing funds for education, indigent medical care, trauma, emergency, and other health care services;

4. Coordinate the delivery and efficiency of health care services within the hospital district established pursuant to the Oklahoma Community Hospitals Public Trust Authorities Act;

5. Sue and be sued;

6. Make and enter into all contracts necessary or incidental to the performance of its duties and the execution of its powers pursuant to the Oklahoma Community Hospitals Public Trust Authorities Act;

7. Purchase or lease equipment, furniture, materials, and supplies, and incur such other expenses as may be necessary to discharge its duties and responsibilities or to implement the provisions of the Oklahoma Community Hospitals Public Trust Authorities Act;

8. Accept grants and other funds from agencies of this state and the United States of America, from other government entities, or

from any corporation or agency created or designed by the United States or other government entity, and to enter into such agreements as the United States or such corporation or agency may require;

9. Accept grants and gifts from private individuals and organizations;

10. Accept and make intergovernmental transfers authorized by state law. A hospital district may make intergovernmental transfers to the Oklahoma Health Care Authority to the extent permitted by state or federal law;

11. Issue bonds and other evidences of indebtedness, and to secure the payment thereof by mortgage, pledge, or deed of trust of, or any other encumbrance upon, any or all of its then-owned or after-acquired real or personal property, assets, franchises, or revenues;

12. Become a member of other cooperatives, joint ventures, partnerships, corporations, or other legal entities or to own stock therein;

13. Conduct its business and exercise its powers within or without this state;

14. Assess fees, levies, assessments, or charges upon and enforce the payment of such fees, levies, assessments, or charges against any hospital located within the geographical boundaries of its hospital district and to remit such monies to the Oklahoma Health Care Authority for purposes of meeting the state's share for the supplemental Medicaid programs to the extent and manner authorized by federal law. Fees, levies, assessments, or charges may be enforced by a community hospital public trust authority through civil action brought in the district court in the county in which the community hospital public trust authority is located;

15. Appoint officers, agents, and employees, prescribe their duties and fix their compensation;

16. Engage in long-term planning for the operation and management of a community hospital public trust authority;

17. Establish petty cash funds as needed and provide for appropriate accounting procedures and controls; and

18. Do all other things necessary and proper to implement the provisions of the Oklahoma Community Hospitals Public Trust Authorities Act.

C. No director or officer of a community hospital public trust authority shall vote on any issue before the authority in which such director or officer has a direct interest in any contract or for any work by or for the community hospital public trust authority.

D. The trustees of each community hospital public trust authority created pursuant to the Oklahoma Community Hospitals Public Trust Authorities Act shall make and adopt bylaws for the due and orderly administration and regulation of the affairs of the community hospital public trust authority. All bylaws and amendments thereto of a community hospital public trust authority shall be electronically submitted in writing to each beneficiary of the community hospital public trust authority, the Governor of this state ~~and to~~, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the State Senate utilizing the centralized filing system provided for in Section 378 of this act.

E. No appropriation of state funds shall be made to any community hospital public trust authority. Each authority may receive the funds it may be entitled to receive pursuant to the Medicaid program as administered by the Oklahoma Health Care Authority.

F. Each community hospital public trust authority shall comply with:

1. The annual budget provisions of the state requiring a balanced budget. A copy of the budget shall be submitted annually to the Governor and to each beneficiary of the community hospital public trust authority;

2. The Public Competitive Bidding Act of 1974;

3. The Oklahoma Open Records Act;

4. The Oklahoma Open Meeting Act; and

5. The provisions of Sections 176 through 180.3 of Title 60 of the Oklahoma Statutes and the Community Hospitals Public Trust Authorities Act.

G. 1. Each community hospital public trust authority shall provide for complete financial audits on all accounts of the community hospital public trust authority and authorize periodic audits by an independent external auditing agency. Such audits shall be performed annually in a format approved by the State Auditor and Inspector. The audits shall be made in accordance with generally accepted auditing standards and government auditing standards. Financial statements shall be prepared in accordance with generally accepted accounting principles. Such audits shall be submitted to the State Auditor and Inspector and to the beneficiary of the community hospital public trust authority for review.

2. In addition to the audits specified by this subsection, the State Auditor and Inspector, whenever the State Auditor and Inspector deems it appropriate, and at least once each five (5) years, or upon receipt of a request to do so from the beneficiary of a community hospital public trust authority, the Governor, the Attorney General, the President Pro Tempore of the Senate, the Speaker of the House of Representatives or the community hospital public trust authority shall conduct a special audit of the authority. Such audit shall be paid from the funds of the community hospital public trust authority.

H. 1. Except for acts of dishonesty, no trustee of a community hospital public trust authority shall be charged personally with any liability whatsoever by reason of any act or omission committed or suffered in the performance of such trust or in the operation of the trust property.

2. A community hospital public trust authority established pursuant to the provisions of the Oklahoma Community Hospitals Public Trust Authorities Act shall be covered by The Governmental Tort Claims Act.

3. Officers, employees, agents, independent contractors, and employees of independent contractors of hospitals participating in

the hospital district shall not be covered by The Governmental Tort Claims Act. The provisions of this paragraph shall not affect the immunity provided to hospitals or to officers and employees of hospitals covered by Section 152 of Title 51 of the Oklahoma Statutes.

4. In no event shall the state, county, or municipality be construed to be or become liable for any act, omission, or obligation of a trustee or of the community hospital public trust authority.

I. A community hospital public trust authority may be terminated by agreement of the trustees of this state; provided, that such community hospital public trust authority shall not be terminated while there exists any outstanding contractual obligations chargeable against the trust property.

J. 1. Compliance with the provisions of Sections 176 through 180.3 of Title 60 of the Oklahoma Statutes and the Oklahoma Community Hospitals Public Trust Authorities Act by a community hospital public trust authority shall be and constitute a binding contract with the county or counties and municipality beneficiaries for the acceptance of the beneficial interest in the trust property by the designated beneficiary and the application of the proceeds of the trust property and its operation for the purposes, and in accordance with the stipulations, of the public trust instrument.

2. Each community hospital public trust authority shall be the regularly constituted authority of the beneficiary for the performance of the functions for which the community hospital public trust authority shall have been created.

K. 1. A community hospital public trust authority shall have the power and duty to make and issue bonds and to pledge revenues of the community hospital public trust authority subject to the Oklahoma Bond Oversight and Reform Act. Nothing in the Oklahoma Community Hospitals Public Trust Authorities Act shall authorize the issuance of any bonds by a community hospital public trust authority payable other than from revenues of the community hospital public trust authority.

2. Community hospital public trust authority revenue bonds issued under the provisions of this subsection shall not at any time be deemed to constitute a debt of the state or of any political subdivision thereof or a pledge of the faith and credit of the state or of any political subdivision, but such bonds shall be payable solely from the funds herein provided.

3. Such revenue bonds shall contain on the face thereof a statement to the effect that neither the state nor the community hospital public trust authority shall be obligated to pay the same or the interest thereon except from the revenues of the project or projects for which they are issued and that neither the faith and credit nor the taxing power of the state or any political subdivision thereof is pledged, or may hereafter be pledged, to the payment of the principal of or the interest on such bonds.

4. The interest income derived from any obligation issued by a community hospital public trust authority shall be exempt from the tax imposed pursuant to Section 2355 of Title 68 of the Oklahoma Statutes.

SECTION 197. AMENDATORY 63 O.S. 2021, Section 3250.7, is amended to read as follows:

Section 3250.7. Each community hospital public trust authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to each beneficiary of the authority, the Governor, the President Pro Tempore of the State Senate, and the Speaker of the Oklahoma House of Representatives. Such report shall be submitted in accordance with the requirements for financial statement audits in Section 212A of Title 74 of the Oklahoma Statutes, and shall include an account of the operations and actions of the authority and an accounting of all revenue received and disbursed by the authority for the previous fiscal year.

SECTION 198. AMENDATORY 63 O.S. 2021, Section 3276, as amended by Section 2, Chapter 334, O.S.L. 2023 (63 O.S. Supp. 2025, Section 3276), is amended to read as follows:

Section 3276. A. The Oklahoma State University Medical Authority shall have the power and duty to:

1. Adopt bylaws and promulgate rules for the regulation of its affairs and the conduct of its business;

2. Adopt an official seal;

3. Maintain an office at a location to be determined by the Authority;

4. Sue and be sued, subject to the provisions of The Governmental Tort Claims Act;

5. Enter into cooperative agreements with the Board of Regents for the Oklahoma Agricultural and Mechanical Colleges for educational programs, professional staffing, research, and other medical activities;

6. Make and enter into all contracts necessary or incidental to the performance of its duties and the execution of its powers pursuant to the Oklahoma State University Medical Authority Act;

7. Purchase or lease equipment, furniture, materials, and supplies, and incur such other expenses as may be necessary to maintain and operate hospitals or clinics, or to discharge its duties and responsibilities or to make any of its powers effective;

8. Acquire by purchase, lease, gift, or by any other manner, and to maintain, use, and operate or to contract for the maintenance, use and operation of or lease of any and all property of any kind, real, personal, or mixed or any interest therein unless otherwise provided by the Oklahoma State University Medical Authority Act;

9. Appoint such officers, agents, and employees, including but not limited to attorneys, as it deems necessary and to prescribe their duties and to fix their compensation;

10. Accept grants from the United States of America, or from any corporation or agency created or designed by the United States of America, and, in connection with any grant, to enter into such agreements as the United States of America or such corporation or agency may require;

11. Make and issue bonds and to pledge revenues of the Authority subject to the Oklahoma Bond Oversight and Reform Act. Nothing in the Oklahoma State University Medical Authority Act shall authorize the issuance of any bonds of the Authority payable other than from revenues of the Authority. Funds appropriated to the Authority shall not be used for issuance of bonds. Authority revenue bonds issued under the provisions of this act shall not at any time be deemed to constitute a debt of the state or of any political subdivision thereof or a pledge of the faith and credit of the state or of any political subdivision, but such bonds shall be payable solely from the funds herein provided. Such revenue bonds shall contain on the face thereof a statement to the effect that neither the state nor the Authority shall be obligated to pay the same or the interest thereon except from the revenues of the project or projects for which they are issued and that neither the faith and credit nor the taxing power of the state or any political subdivision thereof is pledged, or may hereafter be pledged, to the payment of the principal of or the interest on such bonds. The maximum amount of outstanding bonds at any time shall not exceed Fifty Million Dollars (\$50,000,000.00) unless a greater amount is expressly approved by the Legislature by a concurrent resolution adopted prior to commencing any action in anticipation of issuance of revenue bonds of the Oklahoma State University Medical Authority for the greater amount;

12. Provide for complete financial audits on all accounts of the Oklahoma State University Medical Authority and to authorize periodic audits by an independent external auditing agency. Such audits shall be performed annually in a format approved by the State Auditor and Inspector, and all such audits shall be submitted to the State Auditor and Inspector for review. Such audits shall be made in accordance with generally accepted auditing standards and government auditing standards. Financial statements shall be prepared in accordance with generally accepted accounting principles. In addition to said audits, whenever the State Auditor and Inspector deems it appropriate, and at least once each five (5) years, or upon receipt of a request to do so from the Governor, the Attorney General, the President Pro Tempore of the Oklahoma State Senate, the Speaker of the Oklahoma House of Representatives or the Authority, the State Auditor and Inspector shall conduct a special audit of the Authority;

13. Engage in long-term planning for the operation and management of the Authority;

14. Establish petty cash funds and provide for appropriate accounting procedures and controls;

15. Contract with national manufacturers and distributors of drugs and medical supplies when appropriate to carry out the purposes of this act;

16. Provide funding to other entities for purposes related to public health, teaching, research, and the purposes of the Oklahoma State University Medical Authority Act when provided funding for such purposes by the Legislature;

17. Do all other things necessary and proper to implement the provisions of the Oklahoma State University Medical Authority Act;

18. Waive, by such means as the Authority deems appropriate, the exemption from federal income taxation of interest on the Authority's bonds provided by the Internal Revenue Code of 1986, as amended, or any other federal statute providing a similar exemption;

19. Arrange for guaranties or insurance of its bonds by the federal government or by any private insurer, and to pay any premiums therefor; and

20. Make a declaration of necessity as provided in Section 3273 of this title. The Authority may, in its exclusive judgment, make a declaration of necessity when such a declaration is deemed necessary to effectuate the purposes of the Oklahoma State University Medical Authority Act.

B. The Oklahoma State University Medical Authority shall be subject to the Oklahoma Budget Law of 1947.

C. The Authority shall prepare monthly a "budget vs. actual" report which shows by budget activity the monthly and year-to-date revenues and expenditures compared to budgeted revenues and expenditures. Such report shall be electronically submitted to the Office of Management and Enterprise Services and to the Directors of

the House of Representatives Fiscal Division and the Senate Fiscal Division utilizing the centralized filing system provided for in Section 378 of this act.

D. The Authority shall be subject to the professional risk management program provided for in Section 85.58A of Title 74 of the Oklahoma Statutes.

SECTION 199. AMENDATORY Section 1, Chapter 112, O.S.L. 2023, as amended by Section 1, Chapter 295, O.S.L. 2024 (63 O.S. Supp. 2025, Section 3278.1), is amended to read as follows:

Section 3278.1. A. There is hereby created in the State Treasury a revolving fund for the Oklahoma State University Medical Authority to be designated the "Oklahoma State University Medical Authority Behavioral Health Workforce Development Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of appropriated revenues and private endowments. All monies accruing to the credit of said fund are hereby appropriated and may be budgeted and expended by the Oklahoma State University Medical Authority for the purpose of designing and implementing a pilot program at behavioral health facilities, the purpose of which is to provide for behavioral health workforce development and access to behavioral health professionals as provided by law. The purpose of the pilot program includes, but is not limited to, bed conversion and new beds; renovations at behavioral health facilities to accommodate new licensed acute or residential treatment beds; reallocation of beds from adult acute to child/adolescent acute beds; relocation assistance for licensed behavioral health staff currently living out of state; upskilling existing behavioral health workforce; adding new psychiatric and psychological residencies, internships and post-doctoral training programs; providing social work scholarships; providing mental health nursing scholarships; creating one-time private-sector workforce innovation grants; providing licensure preparation assistance; and creating a behavioral health trauma fund for intensive home and community-based services. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. There is hereby created in the State Treasury a revolving fund for the University Hospitals Authority to be designated the "University Hospitals Authority Behavioral Health Workforce Development Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of appropriated revenues and private endowments. All monies accruing to the credit of said fund are hereby appropriated and may be budgeted and expended by the University Hospitals Authority for the purpose of designing and implementing a pilot program at behavioral health facilities, the purpose of which is to provide for behavioral health workforce development and access to behavioral health professionals as provided by law. The purpose of the pilot program includes, but is not limited to, bed conversion and new beds; renovations at behavioral health facilities to accommodate new licensed acute or residential treatment beds; reallocation of beds from adult acute to child/adolescent acute beds; relocation assistance for licensed behavioral health staff currently living out of state; upskilling existing behavioral health workforce; adding new psychiatric and psychological residencies, internships and post-doctoral training programs; providing social work scholarships; providing mental health nursing scholarships; creating one-time private-sector workforce innovation grants; providing licensure preparation assistance; and creating a behavioral health trauma fund for intensive home and community-based services. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

C. The Oklahoma State University Medical Authority and the University Hospitals Authority shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report for to the Legislature on the results of the first year of funding, including the number of professionals retained and recruited, and the expected benefits of the program. The report shall be electronically delivered to the relevant health care committee and appropriations subcommittee chairs following the first full year of implementation utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 200. AMENDATORY 63 O.S. 2021, Section 3285, is amended to read as follows:

Section 3285. The Oklahoma State University Medical Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives. Such report shall be submitted in accordance with the requirements for financial statement audits in Section 212A of Title 74 of the Oklahoma Statutes, and shall include an account of the operations and actions of the Authority and an accounting of all revenue received and disbursed by the Authority for the previous fiscal year. The report shall include an accounting of expenses related to each of the following:

1. Education and training of students of the Oklahoma State University, resident physicians and others;

2. Care and treatment of patients for whom the Authority receives any form of state or federal reimbursement; and

3. Research.

SECTION 201. AMENDATORY 63 O.S. 2021, Section 3290, as amended by Section 3, Chapter 334, O.S.L. 2023 (63 O.S. Supp. 2025, Section 3290), is amended to read as follows:

Section 3290. A. The State of Oklahoma expressly approves the creation of a public trust to be named the "Oklahoma State University Medical Trust", of which the State of Oklahoma shall be the beneficiary, provided such approval shall be contingent upon satisfaction of the following conditions:

1. Finalizing of the declaration of trust;

2. Adoption of the declaration of trust by an official action of the trustees of the Trust;

3. Submission of the Trust for acceptance of the beneficial interest and approval as required by Section 177 of Title 60 of the Oklahoma Statutes; and

4. The approved declaration of trust shall:

- a. clearly state that the principal purpose of the Oklahoma State University Medical Trust is to effectuate the purposes of the Oklahoma State University Medical Authority as established in the Oklahoma State University Medical Authority Act,
- b. except as otherwise provided by law, provide that the title to real property held by the Oklahoma State University Medical Authority shall not be transferred, conveyed, or assigned to the Oklahoma State University Medical Trust without the express consent of the Legislature as the governing entity of the beneficiary pursuant to Section 176 of Title 60 of the Oklahoma Statutes,
- c. provide that any indebtedness incurred by the Oklahoma State University Medical Trust or the trustees of the Trust shall not be secured with or create a lien upon real property to which title is held by the Oklahoma State University Medical Authority and shall not involve the bonding capacity of the Oklahoma State University Medical Authority,
- d. provide that the trust estate of the Oklahoma State University Medical Trust shall not include fee simple title to real property owned by the Oklahoma State University Medical Authority,
- e. clearly state that the creation of the Oklahoma State University Medical Trust shall not in any way reduce, limit, or interfere with the power granted to the Oklahoma State University Medical Authority in the Oklahoma State University Medical Authority Act,
- f. provide that any lease or contractual agreement involving use of the real property to which title is held by the Oklahoma State University Medical Authority and any improvements thereto shall contain a provision and covenants requiring the proper maintenance and upkeep of the real property and improvements,

- g. provide that the trustees of the Oklahoma State University Medical Trust shall be the acting members of the Oklahoma State University Medical Authority as provided in the Oklahoma State University Medical Authority Act, and
- h. provide that the trustees of the Oklahoma State University Medical Trust shall have the duty to electronically submit an annual report to the Governor, the President Pro Tempore of the Oklahoma State Senate, and the Speaker of the Oklahoma House of Representatives utilizing the centralized filing system provided for in Section 378 of this act. The report shall be submitted by January 1 of each year and shall include an account of all operations, actions of the Trust, account of all revenue received and disbursed by the Trust for the previous fiscal year. The report shall also provide a complete accounting of how the Trust meets its primary function of effectuating the purposes of the Oklahoma State University Medical Authority, as established in the Oklahoma State University Medical Authority Act.

B. The Oklahoma State University Medical Trust shall require any agreements which it enters into with any entity pursuant to Section 3292 of this title for the operations of facilities leased by the Oklahoma State University Medical Authority to the Trust to include, but not be limited to:

1. The inclusion of all the members of the Trust, except the Chief Executive Officer of the Oklahoma Health Care Authority, as five of the six members representing the State of Oklahoma in a governing committee, and the sixth member of the governing committee representing the State of Oklahoma to be designated by the President of Oklahoma State University;

2. Binding arbitration shall not be required by such agreements for resolving issues under consideration by the governing committee; and

3. Major decisions shall be resolved by the governing committee, and approval of any major decision by the governing committee ~~must~~ shall include the approval of a majority of the state appointees and the approval of a majority of the private entity appointees to the governing committee. Major decisions shall include:

- a. approval of the operating and capital budgets,
- b. sale or disposition of assets over Five Hundred Thousand Dollars (\$500,000.00),
- c. the termination or transfer or material addition or material diminution of medical services at the Oklahoma State University Medical Center related to and part of a teaching program of the Oklahoma State University Center for Health Sciences, and
- d. other major decisions as may be agreed upon by the Trust and the private entity.

C. To the extent it is determined by legislative enactment that the Trust has expended funds in contravention of its mission as set forth in this section, the Trust shall remit, upon thirty (30) days' written notice from the Oklahoma State University Medical Authority, such sum or sums to the Oklahoma State University Medical Authority.

D. In the event the Trust enters into a joint venture or acquires an interest in a not-for-profit entity to effectuate the administration of the mission of the Trust, that entity shall not be subject to the Oklahoma Open Meeting Act and the Oklahoma Open Records Act. Any information submitted to or compiled by the Trust with respect to marketing plans, financial statements, trade secrets, research concepts, methods, or products or any other proprietary information submitted to or compiled by the Trust, persons, firms, associations, partnerships, agencies, corporations, institutions of higher education, nonprofit research institutions, or other entities shall be confidential, except to the extent that the person or entity which provided such information or which is the subject of such information consents to disclosure. Executive sessions may be held to discuss such materials if deemed necessary by the Trust. The provisions of this subsection shall not apply to

budgetary information related to appropriations or the appropriations process.

SECTION 202. AMENDATORY 63 O.S. 2021, Section 5007, is amended to read as follows:

Section 5007. A. There is hereby created the Oklahoma Health Care Authority Board which shall consist of the following nine (9) members:

1. Five members appointed by the Governor;
2. Two members appointed by the Speaker of the House of Representatives; and
3. Two members appointed by the President Pro Tempore of the Senate.

B. Each member shall serve at the pleasure of his or her appointing authority and may be removed or replaced without cause. Any member of the Board shall be prohibited from voting on any issue in which the member has a direct financial interest. The Administrator of the Oklahoma Health Care Authority shall be an ex officio member of the Board, but shall be entitled to vote only in case of a tie vote.

C. The Board shall have the power and duty to:

1. Establish the policies of the Oklahoma Health Care Authority;
2. Adopt and promulgate rules as necessary and appropriate to carry out the duties and responsibilities of the Authority. The Board shall be the rulemaking body for the Authority; and
3. Adopt, publish, and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit by January 1 of each year to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives appropriate administrative policies and the business plan for that year. All actions governed by the administrative policies and

annual business plan shall be examined annually in an independent audit.

D. A majority of the members of the Board shall constitute a quorum for the transaction of business and for taking any official action. Official action of the Board ~~must~~ shall have a favorable vote by a majority of the members present.

E. Members appointed pursuant to subsection A of this section shall serve without compensation but shall be reimbursed for expenses incurred in the performance of their duties in accordance with the State Travel Reimbursement Act.

F. The Board and the Authority shall act in accordance with the provisions of the Oklahoma Open Meeting Act, the Oklahoma Open Records Act, and the Administrative Procedures Act.

SECTION 203. AMENDATORY 63 O.S. 2021, Section 5010, is amended to read as follows:

Section 5010. A. The Oklahoma Health Care Authority shall analyze the state-purchased and state-subsidized health care programs and explore options for cost containment and delivery alternatives for those programs that are consistent with the purposes of those programs, including, but not limited to:

1. Creation of economic incentives for the persons for whom the state purchases or subsidizes health care to appropriately utilize and purchase health care services, including the development of flexible benefit plans to offset increases in individual financial responsibility;

2. Utilization of provider arrangements that encourage cost containment and ensure access to quality care, including, but not limited to, prepaid delivery systems, utilization review, and prospective payment methods;

3. Coordination of state agency efforts to purchase drugs effectively;

4. Development of recommendations and methods for purchasing medical equipment and supporting services on a volume discount basis; and

5. Development of data systems to obtain utilization data from state-purchased and state-subsidized health care programs in order to identify cost centers, utilization patterns, provider and hospital practice patterns, and procedure costs.

B. 1. The Authority shall prepare ~~for~~ and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor, the Legislature, and the Joint Legislative Oversight Committee for the Oklahoma Health Care Authority an annual report on the savings realized and all costs incurred in the implementation of any drug cost containment programs including, but not limited to:

a. development and implementation of a drug prior authorization list, and

b. other uses of prior authorizations.

2. Costs shall include direct costs such as staffing, contracts and other resources used.

SECTION 204. AMENDATORY 63 O.S. 2021, Section 5013, is amended to read as follows:

Section 5013. ~~A.~~ The Authority shall serve as a resource for information on state-purchased and state-subsidized health care access, cost containment, and related health issues, and shall:

1. Provide data and information required by the Governor, the Legislature, or its committees, and to state agencies, institutions of higher education and cities, towns, counties, and school districts and to private citizens and groups, within the limitations of the resources available to the Authority;

2. Participate with any state agency or institution of higher education in developing specific goals, programs, and performance monitoring systems to assist in the development of health care delivery in this state;

3. Conduct or contract for studies which are related to health care delivery, involving product or process innovation; and

4. Prepare, publish, and distribute such studies, reports, bulletins and other materials as it considers appropriate regarding health care studies and other relevant health care topics. Provided, that a copy of any material which evaluates health plans or health care providers shall be electronically provided to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate at least sixty (60) days prior to public dissemination utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 205. AMENDATORY Section 1, Chapter 162, O.S.L. 2022 (63 O.S. Supp. 2025, Section 5026.1), is amended to read as follows:

Section 5026.1. A. The Oklahoma Health Care Authority shall conduct an annual review of all medications and forms of treatment for sickle cell disease and services for enrollees with a diagnosis of sickle cell disease. The purpose of the annual review is to determine if the available covered medications, treatments, and services are adequate to meet the needs of enrollees with a diagnosis of sickle cell disease, and whether the Authority should seek to add or recommend additional medications, treatments, or services.

B. The review shall include, but not be limited to:

1. The extent to which healthcare transitional programs covered under the state Medicaid program prepare, transfer, and integrate emerging adults into the adult care setting from a pediatric setting;

2. The extent to which emergency department providers are adequately trained and otherwise prepared to treat and manage sickle cell patients presenting with vaso-occlusive crises including but not limited to the extent to which providers follow clinically validated algorithms and protocols regarding such treatment and management;

3. The extent to which sickle cell patients covered under the state Medicaid program are entitled to receive the same standard of care when referred or transferred to an out-of-state facility, and the extent to which the state reimburses such patients for reasonable interstate travel costs; and

4. Any additional areas identified by the Authority that impact the care and treatment of individuals in this state living with sickle cell disease or sickle cell trait.

C. When conducting the annual review required by this section, the Authority shall solicit and consider input from the general public, with specific emphasis on seeking input from persons or groups with knowledge and experience in the area of sickle cell disease treatment.

D. To the extent practicable, the Authority shall utilize the Oklahoma State Health Information Network and Exchange created under Section 1-133 of Title 63 of the Oklahoma Statutes to collect information for the purpose of implementing this section.

E. On or before January 15, 2023, and on or before January 15 each year thereafter, the Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the President Pro Tempore of the Senate and the Speaker of the House of Representatives for distribution to the appropriate subject matter committees that details the Authority's findings from the annual review required by this section and any recommendations to the Legislature based upon those findings. The Authority shall publish the annual report required by this subsection to its website in a manner accessible by the general public.

SECTION 206. AMENDATORY 63 O.S. 2021, Section 5061.2, is amended to read as follows:

Section 5061.2. A. There is hereby created in the State Treasury a revolving fund for the Oklahoma Health Care Authority to be designated the "I/T/U Shared Savings Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the Authority pursuant to this act and otherwise specified or authorized by law.

All monies accruing to the credit of the fund are hereby appropriated and shall be budgeted and expended by the Authority to increase Medicaid provider rates, unless otherwise provided by law. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. An annual report shall be prepared by the Authority's Chief Financial Officer and shall be electronically submitted to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives no later than thirty (30) days following the end of each State Fiscal Year utilizing the centralized filing system provided for in Section 378 of this act. The annual report shall account for:

1. The savings realized by the Authority as a result of the I/T/U Shared Savings Program;

2. The administrative costs incurred by the Authority as a result of the I/T/U Shared Savings Program;

3. The monies distributed to participating I/T/U facilities as a result of I/T/U Shared Savings Program including, but not limited to, a summary of all specific distributions;

4. The balance of savings realized by the Authority as a result of the I/T/U Shared Savings Program and accruing to the credit of the fund after payment of administrative costs and distributions to participating I/T/U facilities; and

5. The monies expended on increasing Medicaid provider rates including, but not limited to, identification of the types of providers affected and the percentage by which the providers' rates were increased.

SECTION 207. AMENDATORY 63 O.S. 2021, Section 7301, as amended by Section 1, Chapter 328, O.S.L. 2023 (63 O.S. Supp. 2025, Section 7301), is amended to read as follows:

Section 7301. A. The Oklahoma Health Care Authority and the State Department of Health shall collaborate to identify benchmarks and develop goals to reduce the incidence rates of, improve health care services for, and control complications resulting from diabetes.

B. The Authority and the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor by January 10 of every fifth year. Such report shall contain the following information:

1. The fiscal impact of all types of diabetes on the Authority, the Department, and county health departments including the number of persons with diabetes receiving services through the Authority, the Department, and county health departments;

2. The fiscal impact of diabetes on the Authority, the Department, and county health departments in comparison to other chronic diseases;

3. An assessment of the benefits of diabetes prevention programs including a summary of funding directed to the Authority and the Department from the Legislature;

4. A description of coordination between the Authority and the Department including, but not limited to, programs relating to the treatment and prevention of all forms of diabetes;

5. Detailed action plans for battling diabetes with actionable items for consideration by the Legislature including, but not limited to, steps to reduce the impact of diabetes, pre-diabetes, and related diabetes complications;

6. Identification of expected outcomes of the action steps and benchmarks for controlling and preventing all forms of diabetes; and

7. The development of a detailed budget blueprint identifying needs, costs, and resources required to implement the plan provided for in this section. Such blueprint shall include a budget range

for all options presented in the plan for consideration by the Legislature.

C. In addition to the complete report required by subsection B of this section, the Authority or the Department shall, to the extent practicable, provide components of the upcoming report as listed in subsection B of this section upon request to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor.

D. The provisions of this section shall be limited to diabetes information, data, initiatives, and programs within the Authority and the Department prior to November 1, 2015, unless there is available funding for diabetes in each agency that may be used for new research, data collection reporting, or other requirements of this section.

SECTION 208. AMENDATORY 64 O.S. 2021, Section 1013, as amended by Section 40, Chapter 228, O.S.L. 2022 (64 O.S. Supp. 2025, Section 1013), is amended to read as follows:

Section 1013. A. The Commissioners of the Land Office shall be responsible for the investment of the permanent school funds, other educational funds, and public building funds solely in the best interests of the current and future beneficiaries. The Commissioners of the Land Office shall make investments:

1. For the exclusive purpose of:

- a. providing maximum benefits to current and future beneficiaries, and
- b. defraying reasonable expenses of administering the trust funds;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like enterprise of a like character and with like aims would use; and

3. By diversifying the investments of the trust funds so as to minimize the risk of large losses.

B. The permanent school fund and other educational funds may only be invested in bonds issued in the United States, United States dollar denominated or other investments settled in United States dollars or traded on the United States exchange markets and real property to be owned or acquired by the Commissioners of the Land Office. The Commissioners of the Land Office shall not invest more than sixty percent (60%) of the trust fund investments in equity securities. The Commissioners of the Land Office are further authorized to acquire, purchase, exchange and grant any real property under its jurisdiction as is necessary to carry out the investment in the real property. The Commissioners of the Land Office shall not invest more than five percent (5%) of the total value of the assets of the permanent school funds in connection with investments in real property. The calculation of investments in real property within the five percent (5%) cap shall not include the value of real property under long-term lease to the State of Oklahoma, agencies of the state or subdivisions thereof. In no case shall the Commissioners of the Land Office bid against private-sector bidders above the appraised value of any property to be acquired.

C. The Commissioners shall establish an investment committee. The investment committee shall be composed of not more than three members of the Commissioners of the Land Office or their designees. The committee shall make recommendations to the Commissioners of the Land Office on all matters related to the choice of managers of the assets of the funds, on the establishment of investment and fund management guidelines, and in planning future investment policy. The committee shall have no authority to act on behalf of the Commissioners of the Land Office in any circumstances whatsoever. No recommendations of the committee shall have effect as an action of the Commissioners of the Land Office or take effect without the approval of the Commissioners as provided by law. The Commissioners shall promulgate and adopt on an annual basis an investment plan. The investment plan shall state the criteria for selecting investment managers, the allocation of assets among investment managers, and established standards of investment and fund management.

D. The Commissioners shall retain qualified investment managers to provide for investment of the fund monies and for the management of investment real property pursuant to the investment plan.

Investment managers shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Commissioners. Subject to the investment plan, each investment manager shall have full discretion in the management of the funds or investment real property allocated to the investment managers. The funds allocated to investment managers shall be actively managed by them, which may include selling investments and realizing losses if the action is considered advantageous to longer term return maximization. Because of the total return objective, no distinction shall be made for management and performance evaluation purposes between realized and unrealized capital gains and losses.

E. The Commissioners shall take any measures they deem appropriate to safeguard custody of securities and other assets of the trusts.

F. By September 1 of each year, the Commissioners shall develop a written investment plan for the trust funds.

G. The Commissioners shall compile a quarterly financial report showing the performance of all the combined funds under their control on a fiscal year basis. The report shall contain a list of all investments made by the Commissioners and a list of any commissions, fees or payments made for services regarding the investments for that reporting period. The report shall be based on market values and shall be compiled pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall be electronically distributed to the Oklahoma State Pension Commission, the Cash Management and Investment Oversight Commission, and the Legislative Service Bureau utilizing the centralized filing system provided for in Section 378 of this act.

H. Before January 1 of each year, the Commissioners shall publish an annual report of all Trust operations, presented in a simple and easily understood manner to the extent possible. The report shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the State Department of Education, and each higher education beneficiary utilizing the centralized filing system as provided for in Section 378 of this act. The annual report shall cover the operation of the Trusts during the past fiscal year

including income, disbursements, and the financial condition of the Trusts at the end of each fiscal year on a cash basis. The annual report shall also contain a summary of the assets of each trust and current market value as of the report date.

I. The Cash Management and Investment Oversight Commission shall review reports prepared by the Commissioners of the Land Office pursuant to this subsection and shall make recommendations regarding the investment strategies and practices, the development of internal auditing procedures and practices and any other matters as determined necessary and applicable.

J. The Commissioners of the Land Office shall select one or more custodial banks to settle transactions involving the investment of the funds under the control of the Commissioners of the Land Office. The Commissioners of the Land Office shall review the performance of each custodial bank at least once every year. The Commissioners of the Land Office shall require a written competitive bid every ten (10) years. The custodial bank shall have a minimum of Five Hundred Million Dollars (\$500,000,000.00) in assets to be eligible for selection. Any out-of-state custodial bank shall have a service agent in the State of Oklahoma so that service of summons or legal notice may be had on the designated agent, and the bank shall submit to the jurisdiction of Oklahoma state courts for resolution of any and all disputes. In order to be eligible for selection, the custodial bank shall allow electronic access to all transaction and portfolio reports maintained by the custodial bank involving the investment of state funds under control of the Commissioners of the Land Office and to the Cash Management and Investment Oversight Commission. The requirement for electronic access shall be incorporated into any contract between the Commissioners of the Land Office and the custodial bank. Neither the Commissioners of the Land Office nor the custodial bank shall permit any of the funds under the control of the Commissioners of the Land Office or any of the documents, instruments, securities or other evidence of a right to be paid money to be located in any place other than within a jurisdiction or territory under the control or regulatory power of the United States government.

SECTION 209. AMENDATORY 65 O.S. 2021, Section 3-114, is amended to read as follows:

Section 3-114. A. Every agency except institutions of higher education, but specifically including any board of regents for higher education, which issues a state publication shall immediately file the publication electronically, in compliance with the provision of any applicable section of Title 62 of the Oklahoma Statutes that is related to submission of state publications. If a state publication cannot be filed electronically, a maximum of twenty-five copies shall be deposited with the Publications Clearinghouse in lieu of the electronic filing and the agency shall include an explanation of the reason the document cannot be filed electronically.

B. Upon failure of an agency to comply with the provisions of this section, the Director of the Department of Libraries shall forward a written notice of the failure to the chief administrative officer of the agency. The notice shall state a reasonable time, not to exceed thirty (30) days, in which the agency shall fully comply. Further failure to comply shall be electronically reported in writing to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Attorney General utilizing the centralized filing system provided for in Section 378 of this act. The Attorney General shall immediately institute mandamus proceedings to secure compliance by the agency.

SECTION 210. AMENDATORY 66 O.S. 2021, Section 190, is amended to read as follows:

Section 190. A. As it is immediately necessary for the safety and welfare of the people, no railcar shall be brought to rest in a position which blocks vehicular traffic at a railroad intersection with a public highway or street for longer than ten (10) minutes.

B. Municipalities, county sheriffs, and the Oklahoma Highway Patrol shall have the authority to issue a citation to any person or corporation that violates a provision of this section. Such person or corporation shall be subject to a fine of up to One Thousand Dollars (\$1,000.00) for each violation. Seventy-five percent (75%) of the collected fine shall be deposited to the credit of the general fund of the entity that issued the citation and the remaining twenty-five percent (25%) shall be credited to the Corporation Commission Revolving Fund established in Section 180.7 of Title 17 of the Oklahoma Statutes. A copy of the citation, along

with any information regarding train identification, shall be sent to the Corporation Commission for enforcement of the penalty at a hearing before an administrative law judge of the Commission. The violating entity or individual may appeal the administrative law judge's decision to the Commission en banc. The Commission shall annually deliver an electronic report detailing the number of violations, number of rulings, number of appeals, and amount of fines assessed under this section. Commission reports shall be delivered to the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, and the Governor utilizing the centralized filing system provided for in Section 378 of this act. The Commission shall promulgate rules and procedures to effectuate the provisions of this section.

C. 1. Railroads or other persons, firms or corporations operating over tracks within the State of Oklahoma shall not block vehicle traffic at any railroad grade crossing for a period of time in excess of ten (10) minutes except if the train is moving in a continuous forward or backward direction, or if the train is stopped for an emergency condition, including an accident, derailment, critical mechanical failure, track or bridge washout, storm, flood or other emergency situation.

2. A one-time exception of up to, but not exceeding, ten (10) additional minutes shall be authorized under the following conditions:

- a. when a train and its crew, operating under the rules of the Federal Railroad Administration (FRA), are unable to complete a switching maneuver while setting out or picking up railcars within the ten (10) minutes as set forth in paragraph 1 of this subsection,
- b. when a train is stopped to allow the passage of a second train and the stopped train has exhausted the ten (10) minutes as set forth in paragraph 1 of this subsection, or if the arrival of the second train is imminent and separation and coupling of the stopped train would result in further unnecessary blocking of motor vehicle or pedestrian traffic, and
- c. when a train is stopped for a red train signal.

3. When a train is cut or separated to prevent blocking of motor vehicle traffic at a public crossing, and a working charging station exists, the time required for recoupling a train and performing air tests as required by the FRA shall not be considered a violation of this section.

4. Every railroad shall be operated in such a manner as to minimize obstruction of emergency vehicles at public highway grade crossings.

SECTION 211. AMENDATORY 66 O.S. 2021, Section 304, as amended by Section 556, Chapter 486, O.S.L. 2025 (66 O.S. Supp. 2025, Section 304), is amended to read as follows:

Section 304. A. The Department of Transportation is hereby authorized and empowered:

1. To acquire, construct, reconstruct, repair, replace, operate, and maintain railroad rights-of-way and trackage projects at such locations and on such routes as it shall determine to be feasible and economically sound;

2. To enter into agreements with the owners of operating railroads for the acquisition ~~and/or~~ or use of railroad rights-of-way and trackage on such terms, conditions, rates, or rentals as the Department may consider to be in the best interests of the state;

3. To enter directly into agreements with owners of operating railroads or persons intending to operate as common carriers by rail to sell, lease, or sell by lease-purchase agreement any state-owned railroad property on such terms, conditions or amounts as the Department may consider to be in the best interests of the state and to promote the purposes of the Railroad Revitalization Act;

4. Prior to the sale of any railroad asset owned by the State of Oklahoma or the Department of Transportation, a process of request for proposal shall be initiated by the Department of Transportation with consultation by the Office of Management and Enterprise Services. Upon the issue date of a request for proposal regarding the sale of any railroad asset owned by the State of Oklahoma or the Department of Transportation, interested parties

will have no less than ninety (90) days to provide a response. Following the close of the ninety-day response period, the Department of Transportation will conduct an evaluation of all submitted proposals, utilizing all available resources, and the Department of Commerce shall conduct an economic impact ~~and/or~~ or activity study of all proposals. The Secretary of Transportation, Secretary of Finance, Secretary of Commerce, Secretary of Agriculture, and Secretary of Energy shall be responsible for preparing a recommendation to the Transportation Commission, based on its evaluation of all submitted proposals including the results of the economic impact ~~and/or~~ or activity study, provided the recommendation meets all other statutory requirements needed for action by the Commission. The Secretary of Transportation, Secretary of Finance, Secretary of Commerce, Secretary of Agriculture, and Secretary of Energy will have up to ninety (90) days, upon the closing date of the request for proposal, to present its recommendation to the Transportation Commission. The Transportation Commission will be responsible for determining if the sale of railroad assets within its jurisdiction is in the best interests of the State of Oklahoma and for authorizing the sale of such assets. If a determination is rendered by the Transportation Commission that the sale of any railroad asset within its jurisdiction is appropriate, notification ~~must~~ shall be made electronically to the Speaker of the House of Representatives and the President Pro Tempore of the Senate in writing, utilizing the centralized filing system provided for in Section 378 of this act, prior to the Commission meeting where final action will take place. All proceeds from the sale shall be deposited into the Railroad Maintenance Revolving Fund;

5. To acquire and hold real or personal property in the exercise of its powers for the performance of its duties as authorized by this act. Surplus property may be disposed of by the Department;

6. To acquire in the name of the Department, by purchase or otherwise on such terms and conditions and in such manner as it may deem proper, or by exercise of the right of condemnation, such public or private lands and personalty, including public parks, playgrounds, or reservations, or parts thereof or rights therein, rights-of-way, trackage, property, rights, easements, and interests,

as it may deem necessary for carrying out the provisions of the Railroad Revitalization Act;

7. To make and enter into all contracts and agreements necessary or incidental to the performance of its duties and the execution of its powers under the Railroad Revitalization Act, and to employ rail planning and management consultants, consulting engineers, attorneys, accountants, construction and financial consultants, superintendents, managers, and such other employees and agents as may be necessary in its judgment, and to fix their compensation; provided, that all such expenses shall be payable solely from funds made available under and pursuant to the provisions of the Railroad Revitalization Act or from revenues; provided, further, no attorney employed by the Department, nor any member of any law firm of which the member may be connected, shall ever be paid any fee or compensation for any special or extraordinary services;

8. To receive, accept and expend funds from the state, any federal agency, or from private sources, for rail planning and for administration of railroad assistance projects, and for or in aid of the acquisition, construction, reconstruction, replacement, repair, maintenance, and operation of railroad rights-of-way and trackage and for rail service continuation payments to railroad companies for operating losses sustained by reasons of continuing service on a line which may otherwise be abandoned or which may experience a reduced level of service not in the public interest, where such continuation of service is carried out under a written agreement with the Department establishing the terms and conditions for such payments, and to receive and accept funds, aid, or contributions from any source of either money, property, labor, or other things of value, to be held, used and applied only for the purposes for which such funds, aid or contributions may be made;

9. To adopt such rules and to do any and all things necessary to comply with rules, regulations or requirements of the United States Department of Transportation, any successor thereof, the Surface Transportation Board or any federal agency administering any law enacted by the Congress of the United States or having funds available for the purpose of the Department that are not inconsistent with or contrary to the prohibitions and restrictions of Oklahoma law or public interest;

10. To expend, not to exceed twenty percent (20%) of the funds available in the Railroad Maintenance Revolving Fund during any one (1) year, at locations approved by the Oklahoma Corporation Commission, such Railroad Maintenance Revolving Fund monies as may be budgeted by the Department of Transportation for the purposes of installing signal lights, gate arms, or other active warning devices where any public road, street, or highway crosses a railroad right-of-way; provided, however, nothing in this act shall negate, change, or otherwise modify any existing statutory or common law duty of a railroad company;

11. To expend income and funds from the Railroad Maintenance Revolving Fund in the exercise of any or all of the foregoing powers; and

12. To do all things necessary or convenient to carry out the powers expressly granted in this act.

B. It shall be unlawful for any member, officer, or employee of the Department to transact with the Department, either directly or indirectly, any business for profit of such member, officer, or employee; and any person, firm or corporation knowingly participating therein shall be equally liable for violation of this provision.

The term "business for profit" shall include, but not be limited to, the acceptance or payment of any fee, commission, gift, or consideration to such member, officer, or employee.

Violation of this provision shall constitute a Class D1 felony offense and upon conviction shall be punishable by incarceration as provided for in subsections B through F of Section 20N of Title 21 of the Oklahoma Statutes, or by a fine of not less than Five Hundred Dollars (\$500.00) and not more than Five Thousand Dollars (\$5,000.00), or by both such imprisonment and fine.

C. All meetings of the Department shall be open public meetings, and all records shall be public records, except when considering personnel.

SECTION 212. AMENDATORY 67 O.S. 2021, Section 315, is amended to read as follows:

Section 315. Within thirty (30) days after the head of each such agency, authority, board, commission, department, institution, instrumentality, office, officer, official, or society is furnished with such a listing by the Secretary of such documents, records, papers, and archives are to be delivered to the Secretary of the Archives and Records Commission for disposition as provided.

In the event delivery is refused of such documents, records, papers, and archives the Secretary of the Archives and Records Commission is directed not later than ten (10) days after the expiration of thirty-day period of compliance to, utilizing the centralized filing system provided for in Section 378 of this act, electronically report such noncompliance to the President Pro Tempore of the Senate, ~~to~~ the Speaker of the House of the Oklahoma Legislature, and ~~to~~ the Governor of the State of Oklahoma, setting forth in detail the extent of noncompliance and the reasons assigned therefor. In addition the Secretary is directed to file a copy of such report or reports of noncompliance with the Secretary of State of Oklahoma, and the same is to be a public record open for the inspection and information of the public.

SECTION 213. AMENDATORY 68 O.S. 2021, Section 102.3, is amended to read as follows:

Section 102.3. In addition to their other duties, the members of the Oklahoma Tax Commission shall make a continuous study of the critical national energy crisis to determine its impact on the tax revenues of Oklahoma, particularly the revenues derived from the gross production taxes and gasoline and other motor fuel taxes and also to determine and project the degree of the consequent erosion of the present tax structure of the state which will be caused by the gradual change from the use of oil and natural gas as a basic fuel for energy. The Commission shall make periodic appraisals concerning the several taxes directly related to the fuels presently used by motor vehicles and other modes of travel and for heating and cooling, as well as the tax paid by those engaged in the business of producing oil and gas, as the use of substitute types of fuels evolve which undoubtedly will result in substantial changes in the

types and size of vehicles used in the business activities of many taxpayers.

The Commission shall also develop such econometric models as are deemed necessary, compile data and other information as to the possible rate of decline in tax revenue and, utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate by the second Tuesday of every year, to insure the availability of revenue to properly operate and carry on the functions of state and local government.

For the performance of such additional duties, the members of said Commission not receiving the maximum salary provided in Section 102.1 of Title 68 of the Oklahoma Statutes shall be compensated as follows:

The Chairman of said Commission shall receive Eleven Thousand Five Hundred Dollars (\$11,500.00) per annum and the Vice Chairman and Secretary-Member of ~~said~~ such Commission shall each receive Fifteen Thousand Five Hundred Dollars (\$15,500.00) per annum, payable monthly. Provided, it is the intent hereof that no member of said Commission shall receive total compensation greater than that provided in Section 102.1 of Title 68 of the Oklahoma Statutes as amended.

SECTION 214. AMENDATORY 68 O.S. 2021, Section 120, is amended to read as follows:

Section 120. A. This act shall be known and may be cited as the "Out-of-State Tax Collections Enforcement Act of 2017".

B. For the purpose of collecting taxes owed to this state, the Oklahoma Tax Commission may establish and maintain a division to be known as the "Out-of-State Tax Collections Enforcement Division". Pursuant to Section 262 of Title 68 of the Oklahoma Statutes, the Tax Commission may contract with out-of-state private auditors or audit firms and may require any person performing an audit to be first approved by the Tax Commission.

C. The Tax Commission may employ full-time, unclassified, out-of-state tax auditors or full-time-equivalent contracted auditors to staff the Division who shall perform audit functions related to enhancing:

1. Sales and use tax collections related to sales or transactions involving residents of Oklahoma and out-of-state vendors with a nexus to the State of Oklahoma; and

2. Collections of any other unpaid taxes owed the State of Oklahoma by out-of-state individuals, firms and corporations.

D. For purposes of this section, the term "audit function" includes but is not limited to the auditing of the books of individuals, firms, and corporations which the Tax Commission believes may owe the State of Oklahoma additional tax monies.

E. The Tax Commission shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives listing the number of individuals, firms, and corporations audited, the types of taxes audited, the amount of taxes assessed and the amount of taxes collected as the result of such audits.

SECTION 215. AMENDATORY 68 O.S. 2021, Section 205, as last amended by Section 2, Chapter 204, O.S.L. 2025 (68 O.S. Supp. 2025, Section 205), is amended to read as follows:

Section 205. A. The records and files of the Oklahoma Tax Commission concerning the administration of the Uniform Tax Procedure Code or of any state tax law shall be considered confidential and privileged, except as otherwise provided for by law, and neither the Tax Commission nor any employee engaged in the administration of the Tax Commission or charged with the custody of any such records or files nor any person who may have secured information from the Tax Commission shall disclose any information obtained from the records or files or from any examination or inspection of the premises or property of any person.

B. Except as provided in paragraph 26 of subsection C of this section, neither the Tax Commission nor any employee engaged in the

administration of the Tax Commission or charged with the custody of any such records or files shall be required by any court of this state to produce any of the records or files for the inspection of any person or for use in any action or proceeding, except when the records or files or the facts shown thereby are directly involved in an action or proceeding pursuant to the provisions of the Uniform Tax Procedure Code or of the state tax law, or when the determination of the action or proceeding will affect the validity or the amount of the claim of the state pursuant to any state tax law, or when the information contained in the records or files constitutes evidence of violation of the provisions of the Uniform Tax Procedure Code or of any state tax law.

C. The provisions of this section shall not prevent the Tax Commission, or with respect to the Oklahoma Department of Commerce in administration of the Oklahoma Rural Jobs Act as provided by paragraph 22 of this subsection, from disclosing the following information and no liability whatsoever, civil or criminal, shall attach to any member of the Tax Commission, or the Oklahoma Department of Commerce as applicable, or any employee thereof for any error or omission in the disclosure of such information:

1. The delivery to a taxpayer or a duly authorized representative of the taxpayer of a copy of any report or any other paper filed by the taxpayer pursuant to the provisions of the Uniform Tax Procedure Code or of any state tax law;

2. The exchange of information that is not protected by the federal Privacy Protection Act, 42 U.S.C., Section 2000aa et seq., pursuant to reciprocal agreements entered into by the Tax Commission and other state agencies or agencies of the federal government;

3. The publication of statistics so classified as to prevent the identification of a particular report and the items thereof;

4. The examination of records and files by the State Auditor and Inspector or the duly authorized agents of the State Auditor and Inspector;

5. The disclosing of information or evidence to the Oklahoma State Bureau of Investigation, Attorney General, Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, any district

attorney or agent of any federal law enforcement agency when the information or evidence is to be used by such officials to investigate or prosecute violations of the criminal provisions of the Uniform Tax Procedure Code or of any state tax law or of any federal crime committed against this state. Any information disclosed to the Oklahoma State Bureau of Investigation, Attorney General, Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, any district attorney or agent of any federal law enforcement agency shall be kept confidential by such person and not be disclosed except when presented to a court in a prosecution for violation of the tax laws of this state or except as specifically authorized by law, and a violation by the Oklahoma State Bureau of Investigation, Attorney General, Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, district attorney, or agent of any federal law enforcement agency by otherwise releasing the information shall be a felony;

6. The use by any division of the Tax Commission of any information or evidence in the possession of or contained in any report or return filed with any other division of the Tax Commission;

7. The furnishing, at the discretion of the Tax Commission, of any information disclosed by its records or files to any official person or body of this state, any other state, the United States or foreign country who is concerned with the administration or assessment of any similar tax in this state, any other state or the United States. The provisions of this paragraph shall include the furnishing of information by the Tax Commission to a county assessor to determine the amount of gross household income pursuant to the provisions of Section 8C of Article X of the Oklahoma Constitution or Section 2890 of this title. The Tax Commission shall promulgate rules to give guidance to the county assessors regarding the type of information which may be used by the county assessors in determining the amount of gross household income pursuant to Section 8C of Article X of the Oklahoma Constitution or Section 2890 of this title. The provisions of this paragraph shall also include the furnishing of information to the State Treasurer for the purpose of administration of the Uniform Unclaimed Property Act;

8. The furnishing of information to other state agencies for the limited purpose of aiding in the collection of debts owed by individuals to such requesting agencies;

9. The furnishing of information requested by any member of the general public and stated in the sworn lists or schedules of taxable property of public service corporations organized, existing, or doing business in this state which are submitted to and certified by the State Board of Equalization pursuant to the provisions of Section 2858 of this title and Section 21 of Article X of the Oklahoma Constitution, provided such information would be a public record if filed pursuant to Sections 2838 and 2839 of this title on behalf of a corporation other than a public service corporation;

10. The furnishing of information requested by any member of the general public and stated in the findings of the Tax Commission as to the adjustment and equalization of the valuation of real and personal property of the counties of the state, which are submitted to and certified by the State Board of Equalization pursuant to the provisions of Section 2865 of this title and Section 21 of Article X of the Oklahoma Constitution;

11. The furnishing of information as to the issuance or revocation of any tax permit, license or exemption by the Tax Commission as provided for by law. Such information shall be limited to the name of the person issued the permit, license or exemption, the name of the business entity authorized to engage in business pursuant to the permit, license or exemption, the address of the business entity and the grounds for revocation;

12. The posting of notice of revocation of any tax permit or license upon the premises of the place of business of any business entity which has had any tax permit or license revoked by the Tax Commission as provided for by law. Such notice shall be limited to the name of the person issued the permit or license, the name of the business entity authorized to engage in business pursuant to the permit or license, the address of the business entity and the grounds for revocation;

13. The furnishing of information upon written request by any member of the general public as to the outstanding and unpaid amount due and owing by any taxpayer of this state for any delinquent tax,

together with penalty and interest, for which a tax warrant or a certificate of indebtedness has been filed pursuant to law;

14. After the filing of a tax warrant pursuant to law, the furnishing of information upon written request by any member of the general public as to any agreement entered into by the Tax Commission concerning a compromise of tax liability for an amount less than the amount of tax liability stated on such warrant;

15. The disclosure of information necessary to complete the performance of any contract authorized by this title to any person with whom the Tax Commission has contracted;

16. The disclosure of information to any person for a purpose as authorized by the taxpayer pursuant to a waiver of confidentiality. The waiver shall be in writing and shall be made upon such form as the Tax Commission may prescribe;

17. The disclosure of information required in order to comply with the provisions of Section 2369 of this title;

18. The disclosure to an employer, as defined in Sections 2385.1 and 2385.3 of this title, of information required in order to collect the tax imposed by Section 2385.2 of this title;

19. The disclosure to a plaintiff of a corporation's last-known address shown on the records of the Franchise Tax Division of the Tax Commission in order for such plaintiff to comply with the requirements of Section 2004 of Title 12 of the Oklahoma Statutes;

20. The disclosure of information directly involved in the resolution of the protest by a taxpayer to an assessment of tax or additional tax or the resolution of a claim for refund filed by a taxpayer, including the disclosure of the pendency of an administrative proceeding involving such protest or claim, to a person called by the Tax Commission as an expert witness or as a witness whose area of knowledge or expertise specifically addresses the issue addressed in the protest or claim for refund. Such disclosure to a witness shall be limited to information pertaining to the specific knowledge of that witness as to the transaction or relationship between taxpayer and witness;

21. The disclosure of information necessary to implement an agreement authorized by Section 2702 of this title when such information is directly involved in the resolution of issues arising out of the enforcement of a municipal sales tax ordinance. Such disclosure shall be to the governing body or to the municipal attorney, if so designated by the governing body;

22. The furnishing of information regarding incentive payments made pursuant to the provisions of Sections 3601 through 3609 of this title, incentive payments made pursuant to the provisions of Sections 3501 through 3508 of this title, or tax credits claimed pursuant to the provisions of Sections 3930 through 3937 of this title;

23. The furnishing to a prospective purchaser of any business, or his or her authorized representative, of information relating to any liabilities, delinquencies, assessments or warrants of the prospective seller of the business which have not been filed of record, established or become final and which relate solely to the seller's business. Any disclosure under this paragraph shall only be allowed upon the presentment by the prospective buyer, or the buyer's authorized representative, of the purchase contract and a written authorization between the parties;

24. The furnishing of information as to the amount of state revenue affected by the issuance or granting of any tax permit, license, exemption, deduction, credit, or other tax preference by the Tax Commission as provided for by law. Such information shall be limited to the type of permit, license, exemption, deduction, credit or other tax preference issued or granted, the date and duration of such permit, license, exemption, deduction, credit, or other tax preference and the amount of such revenue. The provisions of this paragraph shall not authorize the disclosure of the name of the person issued such permit, license, exemption, deduction, credit or other tax preference, or the name of the business entity authorized to engage in business pursuant to the permit, license, exemption, deduction, credit, or other tax preference;

25. The examination of records and files of a person or entity by the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, district attorney, or the Attorney General pursuant to a court order by a magistrate in whose territorial jurisdiction the

person or entity resides, or where the Tax Commission records and files are physically located. Such an order may only be issued upon a sworn application by an agent of the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control or the Attorney General, certifying that the person or entity whose records and files are to be examined is the target of an ongoing investigation of a felony violation of the Uniform Controlled Dangerous Substances Act and that information resulting from such an examination would likely be relevant to that investigation. Any records or information obtained pursuant to such an order may only be used by the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, district attorney or the Attorney General in the investigation and prosecution of a felony violation of the Uniform Controlled Dangerous Substances Act or money laundering pursuant to Section 2001 of Title 21 of the Oklahoma Statutes. Any such order issued pursuant to this paragraph, along with the underlying application, shall be sealed and not disclosed to the person or entity whose records were examined, for a period of ninety (90) days. The issuing magistrate may grant extensions of such period upon a showing of good cause in furtherance of the investigation. Upon the expiration of ninety (90) days and any extensions granted by the magistrate, a copy of the application and order shall be served upon the person or entity whose records were examined, along with a copy of the records or information actually provided by the Tax Commission;

26. The disclosure of information, as prescribed by this paragraph, which is related to the proposed or actual usage of tax credits pursuant to Section 2357.7 of this title, the Small Business Capital Formation Incentive Act or the Rural Venture Capital Formation Incentive Act. Unless the context clearly requires otherwise, the terms used in this paragraph shall have the same meaning as defined by Section 2357.7, 2357.61 or 2357.72 of this title. The disclosure of information authorized by this paragraph shall include:

- a. the legal name of any qualified venture capital company, qualified small business capital company, or qualified rural small business capital company,
- b. the identity or legal name of any person or entity that is a shareholder or partner of a qualified venture capital company, qualified small business

capital company, or qualified rural small business capital company,

- c. the identity or legal name of any Oklahoma business venture, Oklahoma small business venture, or Oklahoma rural small business venture in which a qualified investment has been made by a capital company, or
- d. the amount of funds invested in a qualified venture capital company, the amount of qualified investments in a qualified small business capital company or qualified rural small business capital company and the amount of investments made by a qualified venture capital company, qualified small business capital company, or qualified rural small business capital company;

27. The disclosure of specific information as required by Section 46 of Title 62 of the Oklahoma Statutes;

28. The disclosure of specific information as required by Section 205.5 of this title;

29. The disclosure of specific information as required by Section 205.6 of this title;

30. The disclosure of information to the State Treasurer necessary to implement Section 2368.27 of this title;

31. The disclosure of specific information to the Oklahoma Health Care Authority for purposes of determining eligibility for current or potential recipients of assistance from the Oklahoma Medicaid Program;

32. The disclosure of information to the Oklahoma Department of Veterans Affairs including but not limited to the name and basis for eligibility of each individual who qualifies for the sales tax exemption authorized in paragraph 34 of Section 1357 of this title;

33. The disclosure of information to the Oklahoma Medical Marijuana Authority for the purposes of compliance with the Oklahoma

Medical Marijuana and Patient Protection Act or Section 420 et seq. of Title 63 of the Oklahoma Statutes; or

34. The disclosure of information required in order to comply with the provisions of subsection H of Section 2902 of this title.

D. The Tax Commission shall cause to be prepared and made available for public inspection in the office of the Tax Commission in such manner as it may determine an annual list containing the name and post office address of each person, whether individual, corporate, or otherwise, making and filing an income tax return with the Tax Commission.

It is specifically provided that no liability whatsoever, civil or criminal, shall attach to any member of the Tax Commission or any employee thereof for any error or omission of any name or address in the preparation and publication of the list.

E. The Tax Commission shall prepare or cause to be prepared a report on all provisions of state tax law that reduce state revenue through exclusions, deductions, credits, exemptions, deferrals, or other preferential tax treatments. The report shall be prepared not later than October 1 of each even-numbered year and shall be electronically submitted to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act. The Tax Commission may prepare and submit supplements to the report at other times of the year if additional or updated information relevant to the report becomes available. The report shall include, for the previous fiscal year, the Tax Commission's best estimate of the amount of state revenue that would have been collected but for the existence of each such exclusion, deduction, credit, exemption, deferral, or other preferential tax treatment allowed by law. The Tax Commission may request the assistance of other state agencies as may be needed to prepare the report. The Tax Commission is authorized to require any recipient of a tax incentive or tax expenditure to report to the Tax Commission such information as requested so that the Tax Commission may fulfill its obligations as required by this subsection. The Tax Commission may require this information to be submitted in an electronic format. The Tax Commission may disallow any claim of a person for a tax

incentive due to its failure to file a report as required under the authority of this subsection.

F. It is further provided that the provisions of this section shall be strictly interpreted and shall not be construed as permitting the disclosure of any other information contained in the records and files of the Tax Commission relating to income tax or to any other taxes.

G. Unless otherwise provided for in this section, any violation of the provisions of this section shall constitute a misdemeanor and shall be punishable by the imposition of a fine not exceeding One Thousand Dollars (\$1,000.00) or by imprisonment in the county jail for a term not exceeding one (1) year, or by both such fine and imprisonment, and the offender shall be removed or dismissed from office.

H. Offenses described in Section 2376 of this title shall be reported to the appropriate district attorney of this state by the Tax Commission as soon as the offenses are discovered by the Tax Commission or its agents or employees. The Tax Commission shall make available to the appropriate district attorney or to the authorized agent of the district attorney its records and files pertinent to prosecutions, and such records and files shall be fully admissible as evidence for the purpose of such prosecutions.

SECTION 216. AMENDATORY 68 O.S. 2021, Section 270, is amended to read as follows:

Section 270. A. Notwithstanding any other provisions of this section, the Oklahoma Tax Commission shall, upon request of any taxpayer or the taxpayer's authorized agent, representative, or attorney, provide certification in writing of qualification for the credits in the following sections of law:

1. Section 2357.7 of this title;
2. Section 2357.11 of this title;
3. Section 2357.32A of this title;
4. Section 2357.41 of this title; and

5. Section 2357.42 of this title.

B. On or before November 1 of each year subsequent to the effective date of this section, the Oklahoma Tax Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the State Senate, and the Director of the Office of Management and Enterprise Services, stating the amount of credits claimed and allowed.

SECTION 217. AMENDATORY 68 O.S. 2021, Section 291, is amended to read as follows:

Section 291. A. At the request of the Chair of the Finance Subcommittee of the House Appropriations and Budget Committee or the Senate Finance Committee, the Oklahoma Tax Commission shall prepare an incidence impact analysis of a bill or a proposal to change the tax system which increases, decreases, or redistributes taxes by more than Twenty Million Dollars (\$20,000,000.00). To the extent data is available on the changes in the distribution of the tax burden that are affected by the bill or proposal, the analysis shall report on the incidence effects that would result if the bill were enacted. The report may present information using systemwide measures, such as the Suits or other similar indexes, by income classes, taxpayer characteristics, or other relevant categories. The report may include analyses of the effect of the bill or proposal on representative taxpayers. The analysis ~~must~~ shall include a statement of the incidence assumptions that were used in computing the burdens. The report shall be electronically submitted to the requestor utilizing the centralized filing system provided for in Section 378 of this act.

B. The incidence analyses shall use the broadest measure of economic income for which reliable data is available.

SECTION 218. AMENDATORY 68 O.S. 2021, Section 400.1, as amended by Section 3, Chapter 285, O.S.L. 2023 (68 O.S. Supp. 2025, Section 400.1), is amended to read as follows:

Section 400.1. A. For the purpose of enforcing the tobacco tax laws of this state, the Oklahoma Tax Commission is authorized, contingent upon the availability of funds, to establish and maintain a unit to be known as the "Tobacco Products Tax Enforcement Unit". The unit shall enforce the tobacco tax laws of this state and ensure that all taxes are paid on tobacco products by:

1. Confirming that all entities selling tobacco products in this state are properly licensed as provided in Section 400 et seq. of Title 68 of the Oklahoma Statutes;

2. Verifying that all retailers are only purchasing tobacco products from wholesalers licensed by the Tax Commission;

3. Providing a dedicated telephone line and email address for licensed wholesalers, licensed retailers, and the general public to report suspected violations of tobacco tax laws; provided, no entity, individual, or those who report violations on behalf of a licensed wholesaler or retailer shall be required to disclose their identity;

4. Auditing licensed wholesalers and retailers to ensure all tobacco product taxes are paid;

5. Issuing fines for violations as provided in Section 400 et seq. of Title 68 of the Oklahoma Statutes;

6. Conducting wholesale and retail tobacco inspections to find and confiscate untaxed tobacco products;

7. Establishing data-sharing programs with tax departments in surrounding states related to tobacco product taxes;

8. Creating an industry advisory committee including licensed wholesalers and retailers who may represent the entity related to tobacco products tax enforcement concerns and suggestions. The industry advisory committee shall be composed of five (5) members as follows:

- a. two members who are licensed wholesalers to be appointed by the Governor,

- b. one member who is a licensed retailer to be appointed by the President Pro Tempore of the Oklahoma Senate,
- c. one member who is a licensed retailer to be appointed by the Speaker of the Oklahoma House of Representatives, and
- d. one member who is a licensed wholesaler to be appointed by the four members provided for in subparagraphs a through c of this paragraph.

The committee shall meet quarterly. The Oklahoma Tax Commission shall promulgate rules establishing minimum requirements as may be deemed necessary to carry out the purposes of the committee; and

9. Working with law enforcement and conducting investigations to stop illegal acquisition and shipment of tobacco products by persons not licensed to sell tobacco products in this state.

B. The Tax Commission shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives listing the number of wholesale and retail tobacco inspections conducted, the amount of untaxed tobacco products confiscated, the number of tobacco products tax audits conducted, the amount of taxes assessed and the amount of taxes collected as the result of audits and confiscations, the number of suspected violations reported and the actions taken in response, and the number of fines issued and the amount of fines collected.

SECTION 219. AMENDATORY 68 O.S. 2021, Section 1357.21, as last amended by Section 1, Chapter 353, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1357.21), is amended to read as follows:

Section 1357.21. A. The exemption authorized by the provisions of paragraph 43 of Section 1357 of this title shall be administered as a rebate. The rebate program shall be administered by the Oklahoma Broadband Office and the Oklahoma Tax Commission.

B. No claim for a rebate shall be approved unless the equipment was purchased in order to establish or expand broadband services in

underserved or unserved areas. As used in this subsection and for purposes of the exemption authorized by paragraph 43 of Section 1357 of this title, "broadband", "underserved", and "unserved" shall mean those services and areas as defined in Section 139.102 of Title 17 of the Oklahoma Statutes.

C. No claim for rebate shall be approved unless the claimant establishes that as a result of the equipment purchase there has been net growth in the number of potential customers served in underserved or unserved areas.

D. In order to qualify for rebate payments for equipment or other items qualifying for the exemption authorized by paragraph 43 of Section 1357 of this title, the items shall be purchased and placed in service between January 1, 2022, and December 31, 2023. Claims for rebates of sales tax or use tax paid for such equipment purchased in calendar year 2022 shall be filed with the Oklahoma Tax Commission not later than September 1, 2023, and in subsequent calendar years shall be filed with the Oklahoma Tax Commission not later than September 1 of the following year. Beginning in calendar year 2025, claims for rebates for sales or use tax paid for such equipment purchased in calendar year 2025 and subsequent calendar years shall be filed with the Oklahoma Broadband Office not later than September 1 of the following year.

E. The Oklahoma Broadband Office shall approve or disapprove all claims for a rebate payment beginning with claims for rebates for sales or use tax paid for such equipment purchased in calendar year 2025 and subsequent calendar years and shall notify the Oklahoma Tax Commission. Upon notification of approval from the Oklahoma Broadband Office, the Tax Commission shall issue a rebate payment for all approved claims from funds in the Oklahoma Broadband Rebate Revolving Fund, created pursuant to Section 2 of this act.

F. Qualifying purchases do not include supporting or ancillary functions, such as office operations, field operations, marketing, transportation, warehousing, data storage, or similar operations that do not directly result in the distribution of broadband Internet service. Property directly used or consumed in or during the provision, creation, or production of a data processing service or information service, or property the provider grants, sells, or

leases to the customer for use within the home or establishment receiving broadband is not eligible for a rebate under this section.

G. The total amount of rebates that may be paid shall not exceed Fourteen Million Seventy-one Thousand Six Hundred Ninety-one Dollars (\$14,071,691.00).

H. The amount of rebates paid to each claimant shall be computed by dividing the applicable total rebate pool amount by the dollar amount of claims timely received by the Tax Commission with respect to each fiscal year, and paying in full the amount of the claims submitted if the amount of claims are equal to, or less than, the total rebate pool, or a pro rata share if the total amount of claims submitted exceed the rebate pool.

I. The total amount of rebates that may be paid shall not exceed Fourteen Million Seventy-one Thousand Six Hundred Ninety-one Dollars (\$14,071,691.00).

J. Claims for rebate shall be on such forms as the Oklahoma Tax Commission may prescribe for such purpose and shall contain any required information or supporting documentation the Commission requires to verify eligibility for the rebate payment. Claims for rebate for sales or use tax paid for equipment purchased in calendar year 2025 and subsequent calendar years shall be on such forms as the Oklahoma Broadband Office may prescribe for such purpose.

K. The Oklahoma Department of Commerce shall use information provided by the Oklahoma Tax Commission and the Oklahoma Broadband Office to prepare a report to identify the qualifying rural broadband projects completed with the equipment purchased together with the location of the equipment and the geographic areas served as a result of the equipment purchases, including the total number of potential new customers receiving qualifying broadband services resulting from the project. The report shall not identify any entity by name that purchased equipment.

L. The report shall be filed not later than April 1, 2025, with respect to rebates paid for equipment purchases made during calendar years 2022 and 2023 and April 1 of the second succeeding year for equipment purchases made in subsequent calendar years. The Oklahoma Tax Commission and the Oklahoma Broadband Office shall make

information available as required by subsection K of this section as claims are completed to assist with the timely preparation of the report.

M. The report shall be electronically filed with the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act and posted on the Oklahoma Broadband Office website.

SECTION 220. AMENDATORY 68 O.S. 2021, Section 2357.1A-2, is amended to read as follows:

Section 2357.1A-2. A. Notwithstanding any other provision of law, the transfer or allocation of any tax credit authorized pursuant to the provisions of this title, except as provided in this section, shall be reported to the Oklahoma Tax Commission and any tax credit authorized pursuant to the provisions of Title 36 of the Oklahoma Statutes shall be reported to the Oklahoma Insurance Department as provided in subsection B of this section.

B. The transfer or allocation of any tax credit shall be reported to the Tax Commission or Insurance Department by the entity transferring or allocating the credit on or before the twentieth day of the second month after the tax year in which an act occurs which allows the tax credit to eventually be claimed. If the credit is transferable, the report shall state whether the credit will or may be transferred to another taxpayer and the names of the taxpayers to whom the credit is transferred. The report shall also provide whether the credit will or may be allocated by a pass-through entity to one or more of the shareholders, partners or members of the pass-through entity and the identity of the shareholders, partners, or members of the pass-through entity to whom the credit was allocated. Further, the report shall include the tax type, the amount of the credit, the statutory or other legal authority which forms the basis for the credit, and other information that may be required by the Tax Commission or the Insurance Department. The report to the Tax Commission or to the Insurance Department shall be on such form as the Commission or Department may prescribe. The Tax Commission and the Insurance Department shall be authorized to require the report to be filed electronically.

C. Notwithstanding the provisions of Section 205 of Title 68 of the Oklahoma Statutes the Tax Commission and the Insurance Department shall compile a list of all tax credits reported as required by this section and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the list to the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the State Senate, and the Director of the Office of Management and Enterprise Services not later than June 1 of each year. Not later than five (5) working days after the report has been provided to the Governor, the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the State Senate, the Oklahoma Tax Commission shall publish the report on its website.

D. The compiled list shall identify the tax credits reported pursuant to subsection A of this section and shall separately identify the amount of tax credits that may be claimed against each separate state tax under the jurisdiction of the administering agency and the name of the entity that will be claiming the credit.

E. To the extent possible, the Tax Commission and the Insurance Department shall make an estimate of the revenue impact to the State of Oklahoma resulting from the credits reported on a separate fiscal year by fiscal year basis. Each agency shall make its estimate only for tax credits under the jurisdiction of each administering agency.

F. If a taxpayer claims a credit on any state tax return that was not previously reported to the Tax Commission or Insurance Department pursuant to this section, the Tax Commission or Insurance Department shall disallow the credit and recompute the applicable tax liability including any penalty or interest; provided, upon the filing of the report required by this section, the credit shall be allowed.

G. This section shall not be applicable to the following tax credits:

1. The sales tax relief credit authorized by Section 5011 of this title;

2. The low income property tax relief credit authorized by Section 2907 of this title;

3. The earned income tax credit authorized by Section 2357.43 of this title;

4. The child care/child tax credit authorized by Section 2357 of this title;

5. The credit for taxes paid to another state authorized by Section 2357 of this title; and

6. The credit for property taxes paid on tornado damaged residential property authorized by Section 2357.29 of this title.

SECTION 221. AMENDATORY 68 O.S. 2021, Section 2357.7A, is amended to read as follows:

Section 2357.7A. On or before November 1 of each year subsequent to the effective date of this act, the Oklahoma Tax Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the House of Representatives and the President Pro Tempore of the Senate. The report shall state the amount of credits actually claimed and allowed pursuant to the provisions of Section 2357.7 of Title 68 of the Oklahoma Statutes during the previous calendar year, statistical information on the qualified investments made by qualified venture capital companies during the previous year, an estimate of the number of jobs created in this state during the previous year pursuant to qualified investments made by qualified venture capital companies, and such other information as the Tax Commission may deem relevant.

SECTION 222. AMENDATORY 68 O.S. 2021, Section 2357.22, as last amended by Section 153, Chapter 452, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2357.22), is amended to read as follows:

Section 2357.22. A. For tax years 2028 and before, there shall be allowed a one-time credit against the income tax imposed by Section 2355 of this title for investments in qualified clean-burning motor vehicle fuel property placed in service on or after January 1, 1991, or with respect to a hydrogen fuel cell, on or after the effective date of this act.

B. As used in this section, "qualified clean-burning motor vehicle fuel property" means:

1. Equipment installed to modify a motor vehicle which is propelled by gasoline or diesel fuel so that the vehicle may be propelled by compressed natural gas, a hydrogen fuel cell, liquefied natural gas, or liquefied petroleum gas. The equipment covered by this paragraph ~~must~~ shall:

- a. be new, not previously used to modify or retrofit any vehicle propelled by gasoline or diesel fuel and be installed by an alternative fuels equipment technician who is certified in accordance with the Alternative Fuels Technician Certification Act,
- b. meet all Federal Motor Vehicle Safety Standards set forth in 49 CFR 571, or
- c. for any commercial motor vehicle (CMV), follow the Federal Motor Carrier Safety Regulations or Oklahoma Intrastate Motor Carrier Regulations;

2. A motor vehicle originally equipped so that the vehicle may be propelled by compressed natural gas, a hydrogen fuel cell, or liquefied natural gas or liquefied petroleum gas but only to the extent of the portion of the basis of such motor vehicle which is attributable to the storage of such fuel, the delivery to the engine of such motor vehicle of such fuel, and the exhaust of gases from combustion of such fuel;

3. Property, not including a building and its structural components, which is:

- a. directly related to the delivery of compressed natural gas, liquefied natural gas or liquefied petroleum gas, or hydrogen for commercial purposes or for a fee or charge, into the fuel tank of a motor vehicle propelled by such fuel including compression equipment and storage tanks for such fuel at the point where such fuel is so delivered but only if such property is not used to deliver such fuel into any other type of storage tank or receptacle and such fuel is not used

for any purpose other than to propel a motor vehicle,
or

- b. a metered-for-fee, public access recharging system for motor vehicles propelled in whole or in part by electricity. The property covered by this paragraph ~~must~~ shall be new, and ~~must~~ shall not have been previously installed or used to refuel vehicles powered by compressed natural gas, liquefied natural gas or liquefied petroleum gas, hydrogen, or electricity;

4. Property which is directly related to the compression and delivery of natural gas from a private home or residence, for noncommercial purposes, into the fuel tank of a motor vehicle propelled by compressed natural gas. The property covered by this paragraph ~~must~~ shall be new and ~~must~~ shall not have been previously installed or used to refuel vehicles powered by natural gas; or

5. For tax years 2010 and 2023 through 2028, a motor vehicle originally equipped so that the vehicle may be propelled by a hydrogen fuel cell electric fueling system.

C. As used in this section, "motor vehicle" means a motor vehicle originally designed by the manufacturer to operate lawfully and principally on streets and highways.

D. The credit provided for in subsection A of this section shall be as follows:

1. For the qualified clean-burning motor vehicle fuel property defined in paragraphs 1, 2, or 5 of subsection B of this section, the amount of the credit shall be as follows based upon gross vehicle weight of the qualified vehicle:

- a. for vehicles up to or below six thousand (6,000) pounds, the credit shall be a maximum of Five Thousand Five Hundred Dollars (\$5,500.00),
- b. for vehicles between six thousand one (6,001) pounds to ten thousand (10,000) pounds, the credit shall be a maximum amount of Nine Thousand Dollars (\$9,000.00),

- c. for vehicles of ten thousand one (10,001) pounds, but not in excess of twenty-six thousand five hundred (26,500) pounds, the credit shall be a maximum amount of Twenty-six Thousand Dollars (\$26,000.00), and
- d. for vehicles in excess of twenty-six thousand five hundred one (26,501) pounds, the credit shall be a maximum amount of One Hundred Thousand Dollars (\$100,000.00);

2. For qualified clean-burning motor vehicle fuel property defined in paragraph 3 of subsection B of this section, a per-location credit of forty-five percent (45%) of the cost of the qualified clean-burning motor vehicle fuel property; and

3. For qualified clean-burning motor vehicle fuel property defined in paragraph 4 of subsection B of this section, a per-location credit of the lesser of fifty percent (50%) of the cost of the qualified clean-burning motor vehicle fuel property or Two Thousand Five Hundred Dollars (\$2,500.00).

E. In cases where no credit has been claimed pursuant to paragraph 1 of subsection D of this section by any prior owner and in which a motor vehicle is purchased by a taxpayer with qualified clean-burning motor vehicle fuel property installed by the manufacturer of such motor vehicle and the taxpayer is unable or elects not to determine the exact basis which is attributable to such property, the taxpayer may claim a credit in an amount not exceeding the lesser of ten percent (10%) of the cost of the motor vehicle or One Thousand Five Hundred Dollars (\$1,500.00).

F. If the tax credit allowed pursuant to subsection A of this section exceeds the amount of income taxes due or if there are no state income taxes due on the income of the taxpayer, the amount of the credit not used as an offset against the income taxes of a taxable year may be carried forward, in order, as a credit against subsequent income tax liability for a period not to exceed five (5) years. The tax credit authorized pursuant to the provisions of this section shall not be used to reduce the tax liability of the taxpayer to less than zero (0).

G. A husband and wife who file separate returns for a taxable year in which they could have filed a joint return may each claim only one-half (1/2) of the tax credit that would have been allowed for a joint return.

H. The Oklahoma Tax Commission is herein empowered to promulgate rules by which the purpose of this section shall be administered including the power to establish and enforce penalties for violations thereof.

I. Notwithstanding the provisions of Section 2352 of this title, for the fiscal year beginning on July 1, 2014, through fiscal year 2023, the Tax Commission shall calculate an amount that equals five percent (5%) of the cost of qualified clean-burning motor vehicle fuel property as provided for in paragraph 1 of subsection D of this section for tax year 2012. For each subsequent fiscal year thereafter, the Tax Commission shall perform the same computation with respect to the second tax year preceding the beginning of each subsequent fiscal year. For fiscal year 2024, the Tax Commission shall calculate an amount that equals twelve percent (12%) of the credit for qualified clean-burning motor vehicle fuel property as provided in paragraph 1 of subsection D of this section for tax year 2021. For each subsequent fiscal year, the Tax Commission shall perform the same calculation for credits claimed in the second preceding tax year. The Tax Commission shall then transfer an amount equal to the amount calculated in this subsection from the revenue derived pursuant to the provisions of subsections A, B and E of Section 2355 of this title to the Compressed Natural Gas Conversion Safety and Regulation Fund created in Section 130.25 of Title 74 of the Oklahoma Statutes.

J. For the tax years 2020 through 2022, the total amount of credits authorized by this section used to offset tax shall be adjusted annually to limit the annual amount of credits to Twenty Million Dollars (\$20,000,000.00). The Tax Commission shall annually calculate and publish by the first day of the affected taxable year a percentage by which the credits authorized by this section shall be reduced so the total amount of credits used to offset tax does not exceed Twenty Million Dollars (\$20,000,000.00) per year. The formula to be used for the percentage adjustment shall be Twenty Million Dollars (\$20,000,000.00) divided by the credits claimed in

the second preceding year, with respect to any changes to the future of the credit.

K. Pursuant to subsection J of this section, in the event the total tax credits authorized by this section exceed Twenty Million Dollars (\$20,000,000.00) in any calendar year, the Tax Commission shall permit any excess over Twenty Million Dollars (\$20,000,000.00) but shall factor such excess into the percentage adjustment formula for subsequent years with respect to any changes to the future of the credit.

L. For the tax years 2023 through 2028, the total amount of credits authorized by this section used to offset tax shall be adjusted annually to limit the annual amount of credits to:

1. Ten Million Dollars (\$10,000,000.00) for qualified clean burning fuel property propelled by compressed natural gas, liquefied natural gas, or liquefied petroleum gas, property related to the delivery of compressed natural gas, liquefied natural gas or liquefied petroleum gas, and property directly related to the compression and delivery of natural gas;

2. Ten Million Dollars (\$10,000,000.00) for property originally equipped so that the vehicle may be propelled by a hydrogen fuel cell electric fueling system and property directly related to the delivery of hydrogen; and

3. Ten Million Dollars (\$10,000,000.00) for property which is a metered-for-fee, public access recharging system for motor vehicles propelled in whole or in part by electricity.

The Tax Commission shall annually calculate and publish by the first day of the affected taxable year a percentage by which the credits authorized by this section shall be reduced so the total amount of credits used to offset tax does not exceed each of the limits provided in paragraphs 1 through 3 of this subsection. The formula to be used for the percentage adjustment shall be Ten Million Dollars (\$10,000,000.00) divided by the credits claimed in the second preceding year, with respect to any changes to the future of the credit.

M. Pursuant to subsection L of this section, in the event the tax credits authorized by this section exceed any of the limits provided in paragraphs 1 through 3 of subsection L of this section in any year, the Tax Commission shall permit any excess over Ten Million Dollars (\$10,000,000.00) but shall factor such excess into the percentage adjustment formula for subsequent years with respect to any changes to the future of the credit.

N. The Tax Commission shall notify the Office of the State Secretary of Energy and Environment at any time when the amount of claims for credits allowed pursuant to this section reaches eighty percent (80%) of the total annual limit provided in subsection J of this section. Upon such notification, the Secretary shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide notice to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives.

SECTION 223. AMENDATORY 68 O.S. 2021, Section 2357.32A, is amended to read as follows:

Section 2357.32A. A. Except as otherwise provided in subsection H of this section, for tax years beginning on or after January 1, 2003, but with respect to tax credits for eligible renewable resources described by subparagraphs b, c and d of paragraph 2 of this subsection, for tax years ending not later than December 31, 2021, there shall be allowed a credit against the tax imposed by Section 2355 of this title to a taxpayer for the taxpayer's production and sale to an unrelated person of electricity generated by zero-emission facilities located in this state. As used in this section:

1. "Electricity generated by zero-emission facilities" means electricity that is exclusively produced by any facility located in this state with a rated production capacity of one megawatt (1 mw) or greater, constructed for the generation of electricity and placed in operation after June 4, 2001, and with respect to electricity generated by wind for any facility placed in operation not later than July 1, 2017, which utilizes eligible renewable resources as its fuel source. The construction and operation of such facilities shall result in no pollution or emissions that are or may be harmful

to the environment, pursuant to a determination by the Department of Environmental Quality; and

2. "Eligible renewable resources" means resources derived from:

- a. wind,
- b. moving water,
- c. sun, or
- d. geothermal energy.

B. For facilities placed in operation on or after January 1, 2003, and before January 1, 2007, the amount of the credit for the electricity generated on or after January 1, 2003, but prior to January 1, 2004, shall be seventy-five one-hundredths of one cent (\$0.0075) for each kilowatt-hour of electricity generated by zero-emission facilities. For electricity generated on or after January 1, 2004, but prior to January 1, 2007, the amount of the credit shall be fifty one-hundredths of one cent (\$0.0050) per kilowatt-hour for electricity generated by zero-emission facilities. For electricity generated on or after January 1, 2007, but prior to January 1, 2012, the amount of the credit shall be twenty-five one-hundredths of one cent (\$0.0025) per kilowatt-hour of electricity generated by zero-emission facilities. For facilities placed in operation on or after January 1, 2007, and before January 1, 2021, or with respect to electricity generated by wind for any facility placed in operation not later than July 1, 2017, the amount of the credit for the electricity generated on or after January 1, 2007, shall be fifty one-hundredths of one cent (\$0.0050) for each kilowatt-hour of electricity generated by zero-emission facilities.

C. Credits may be claimed with respect to electricity generated on or after January 1, 2003, during a ten-year period following the date that the facility is placed in operation on or after June 4, 2001.

D. 1. For credits generated prior to January 1, 2014, if the credit allowed pursuant to this section exceeds the amount of income taxes due or if there are no state income taxes due on the income of the taxpayer, the amount of the credit allowed but not used in any

tax year may be carried forward as a credit against subsequent income tax liability for a period not exceeding ten (10) years.

2. Except as provided by paragraph 3 of this subsection, for credits generated, but not used, on or after January 1, 2014, the Oklahoma Tax Commission shall refund, at the taxpayer's election, directly to the taxpayer eighty-five percent (85%) of the face amount of such credits. The direct refund of the credits pursuant to this paragraph shall be available to all taxpayers, including, without limitation, pass-through entities, and taxpayers subject to Section 2355 of this title, but shall not be available to any entities falling within the provisions of subsection E of this section. The amount of any direct refund of credits actually received at the eighty-five percent (85%) level by the taxpayer pursuant to this paragraph shall not be subject to the tax imposed by Section 2355 of this title. If the pass-through entity does not file a claim for a direct refund, the pass-through entity shall allocate the credit to one or more of the shareholders, partners or members of the pass-through entity; provided, the total of all credits refunded or allocated shall not exceed the amount of the credit or refund to which the pass-through entity is entitled. For the purposes of this paragraph, "pass-through entity" means a corporation that for the applicable tax year is treated as an S corporation under the Internal Revenue Code of 1986, as amended, general partnership, limited partnership, limited liability partnership, trust or limited liability company that for the applicable tax year is not taxed as a corporation for federal income tax purposes.

3. With respect to credits claimed for the first time on or after July 1, 2019, or the effective date of this act, whichever date last occurs, a taxpayer may irrevocably elect to not receive a direct refund for a given tax year. Any credits not directly refunded may be carried forward as a credit against subsequent income tax liability for a period not exceeding ten (10) years. If a taxpayer makes the irrevocable election to carry over credits for a given tax year pursuant to this paragraph, any credits remaining in the tenth year of carry forward shall be refunded at eighty-five percent (85%).

E. Any nontaxable entities, including agencies of the State of Oklahoma or political subdivisions thereof, shall be eligible to

establish a transferable tax credit in the amount provided in subsection B of this section. Such tax credit shall be a property right available to a state agency or political subdivision of this state to transfer or sell to a taxable entity, whether individual or corporate, who shall have an actual or anticipated income tax liability under Section 2355 of this title. These tax credit provisions are authorized as an incentive to the State of Oklahoma, its agencies, and its political subdivisions to encourage the expenditure of funds in the development, construction, and utilization of electricity from zero-emission facilities as defined in subsection A of this section.

F. For credits generated prior to January 1, 2014, the amount of the credit allowed, but not used, shall be freely transferable at any time during the ten (10) years following the year of qualification. Any person to whom or to which a tax credit is transferred shall have only such rights to claim and use the credit under the terms that would have applied to the entity by whom or by which the tax credit was transferred. The provisions of this subsection shall not limit the ability of a tax credit transferee to reduce the tax liability of the transferee, regardless of the actual tax liability of the tax credit transferor, for the relevant taxable period. The transferor initially allowed the credit and any subsequent transferees shall jointly file a copy of any written transfer agreement with the Oklahoma Tax Commission within thirty (30) days of the transfer. The written agreement shall contain the name, address and taxpayer identification number or Social Security number of the parties to the transfer, the amount of the credit being transferred, the year the credit was originally allowed to the transferor, and the tax year or years for which the credit may be claimed. The Tax Commission may promulgate rules to permit verification of the validity and timeliness of the tax credit claimed upon a tax return pursuant to this subsection but shall not promulgate any rules that unduly restrict or hinder the transfers of such tax credit. The tax credit allowed by this section, upon the election of the taxpayer, may be claimed as a payment of tax, a prepayment of tax or a payment of estimated tax for purposes of Section 1803 or Section 2355 of this title.

G. For electricity generation produced and sold in a calendar year, the tax credit allowed by the provisions of this section, upon election of the taxpayer, shall be treated and may be claimed as a

payment of tax, a prepayment of tax or a payment of estimated tax for purposes of Section 2355 of this title on or after July 1 of the following calendar year.

H. No credit otherwise authorized by the provisions of this section may be claimed for any event, transaction, investment, expenditure, or other act occurring on or after July 1, 2010, for which the credit would otherwise be allowable until the provisions of this subsection shall cease to be operative on July 1, 2011. Beginning July 1, 2011, the credit authorized by this section may be claimed for any event, transaction, investment, expenditure, or other act occurring on or after July 1, 2010, according to the provisions of this section. Any tax credits which accrue during the period of July 1, 2010, through June 30, 2011, may not be claimed for any period prior to the taxable year beginning January 1, 2012. No credits which accrue during the period of July 1, 2010, through June 30, 2011, may be used to file an amended tax return for any taxable year prior to the taxable year beginning January 1, 2012.

I. For tax years beginning on or after January 1, 2019, the total amount of credits authorized by this section with respect to eligible renewable resources described by subparagraphs b, c and d of paragraph 2 of subsection A of this section used to offset tax or paid as a refund shall be adjusted annually to limit the annual amount of credits to Five Hundred Thousand Dollars (\$500,000.00). The Tax Commission shall annually calculate and publish a percentage by which the credits authorized by subparagraphs b, c and d of paragraph 2 of subsection A of this section shall be reduced so the total amount of credits used to offset tax or paid as a refund does not exceed Five Hundred Thousand Dollars (\$500,000.00) per year. The formula to be used for the percentage adjustment shall be Five Hundred Thousand Dollars (\$500,000.00) divided by the credits claimed in the second preceding year.

J. Pursuant to subsection I of this section, in the event the total tax credits authorized by this section with respect to eligible renewable resources described by subparagraphs b, c and d of paragraph 2 of subsection A of this section exceed Five Hundred Thousand Dollars (\$500,000.00) in any calendar year, the Tax Commission shall permit any excess over Five Hundred Thousand Dollars (\$500,000.00) but shall factor such excess into the percentage adjustment formula for subsequent years.

K. Any credits authorized by this section with respect to eligible renewable resources described by subparagraphs b, c and d of paragraph 2 of subsection A of this section not used or unable to be used because of the provisions of subsection I or J of this section may be carried over until such credits are fully used.

L. The Tax Commission shall prepare an annual report and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit it to the Office of the State Secretary of Energy and Environment, the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate summarizing the amount of credits allowed pursuant to subparagraphs b, c, and d of paragraph 2 of subsection A of this section. The Secretary of Energy and Environment shall, utilizing such centralized filing system, electronically submit recommendations for changes to the tax credit to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate within sixty (60) days after receipt of the report from the Oklahoma Tax Commission.

SECTION 224. AMENDATORY 68 O.S. 2021, Section 2357.65, is amended to read as follows:

Section 2357.65. On or before November 1 of each year subsequent to the effective date of this act, the Oklahoma Tax Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the House of Representatives and the President Pro Tempore of the Senate. The report shall state the amount of credits actually claimed and allowed pursuant to the provisions of this act during the previous calendar year, statistical information on the qualified investments made by qualified small business capital companies during the previous year, an estimate of the number of jobs created in this state during the previous year, and such other information as the Tax Commission may deem relevant.

SECTION 225. AMENDATORY 68 O.S. 2021, Section 2357.76, is amended to read as follows:

Section 2357.76. On or before November 1 of each year subsequent to the effective date of the Rural Venture Capital Formation Incentive Act, the Oklahoma Tax Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the House of Representatives and the President Pro Tempore of the Senate. The report shall state the amount of credits actually claimed and allowed pursuant to the provisions of this act during the previous calendar year, statistical information on the qualified investments made by qualified rural small business capital companies during the previous year, an estimate of the number of jobs created in this state during the previous year, and such other information as the Tax Commission may deem relevant to the effective administration of the Rural Venture Capital Formation Incentive Act.

SECTION 226. AMENDATORY 68 O.S. 2021, Section 2370.1, as amended by Section 1, Chapter 223, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2370.1), is amended to read as follows:

Section 2370.1. A. There shall be allowed a credit against the tax imposed by Section 2370 of this title for any state banking association, national banking association and credit union organized under the laws of this state and whose main office is located in the state, for the amount of the guaranty fee paid by the banking association or credit union to the United States Small Business Administration pursuant to the "7(a)" loan guaranty program.

B. The credit authorized by this section may be claimed for guaranty fees paid to the Small Business Administration on behalf of the borrower.

C. No credit may be claimed pursuant to this section if, pursuant to the agreement between the banking association or credit union and the entity to which proceeds are made available, the banking association or credit union adds the amount of the SBA 7(a) loan guaranty fee to the amount financed by the borrower or in any other way recovers the guaranty fee amount from the borrower.

D. The credit authorized by this section may be claimed and if not fully used in the initial year for which the credit is claimed may be carried over, in order, to each of the five (5) succeeding taxable years. The credit authorized by this section may not be

used to reduce the tax liability of the credit claimant below zero (0).

E. The Oklahoma Tax Commission shall prepare a report regarding the amount of tax credits claimed as authorized by this section. The report shall be electronically submitted to the Speaker of the House of Representatives and ~~to~~ the President Pro Tempore of the Senate not later than March 31 of each year utilizing the centralized filing system provided for in Section 378 of this act.

F. Pursuant to Section 46A of Title 62 of the Oklahoma Statutes, there shall be a measurable goal of retaining ~~and/or~~ or creating two thousand jobs per year in Oklahoma for the credit against the tax imposed by Section 2370 of this title.

SECTION 227. AMENDATORY 68 O.S. 2021, Section 3507, is amended to read as follows:

Section 3507. A. A political subdivision receiving an incentive payment pursuant to the provisions of this act shall deposit such payment in a separate fund and shall not be permitted to use such monies for any purpose other than payment of expenses associated with a qualified federal facility.

A political subdivision shall be permitted to invest the monies accruing to such fund in such manner as is authorized by law for investment of other monies of the political subdivision; provided, the interest earned from such investments shall be deposited to the fund and shall be used solely for payment of expenses associated with a qualified federal facility.

B. A political subdivision receiving an incentive payment pursuant to the provisions of this act shall annually cause an independent financial audit of such fund to be made and shall submit such audit to the Department of Commerce, the Oklahoma Tax Commission, and the State Auditor and Inspector. The State Auditor and Inspector shall review such audit and, utilizing the centralized filing system provided for in Section 378 of this act, electronically report his or her findings to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

C. At the end of the project term or at the end of the period of time for which the qualified federal facility is leased or conveyed to the government of the United States, whichever is later, any assets of the qualified federal facility owned by the political subdivision, including, but not limited to any property or any monies remaining in the fund created pursuant to the provisions of subsection A of this section, shall be disposed of between the political subdivision and the state according to the proportions of funding provided by the state through incentive payments authorized by this act and funding provided by the political subdivision.

SECTION 228. AMENDATORY 68 O.S. 2021, Section 3610, is amended to read as follows:

Section 3610. The Oklahoma Department of Commerce shall prepare triennially a report which shall include, but not be limited to, documentation of the new direct jobs created under the Oklahoma Quality Jobs Program Act and a fiscal analysis of the costs and benefits of the Program to the state. The report shall be electronically submitted to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor of this state no later than March 1, 1996, and every three (3) years thereafter utilizing the centralized filing system provided for in Section 378 of this act. The report may be used for the purpose of determining whether to continue or sunset the Oklahoma Quality Jobs Program Act.

SECTION 229. AMENDATORY 68 O.S. 2021, Section 3633, as amended by Section 2, Chapter 341, O.S.L. 2025 (68 O.S. Supp. 2025, Section 3633), is amended to read as follows:

Section 3633. A. There is hereby created an incentive rebate program for certain film projects and eligible television series projects filmed or produced in Oklahoma who meet the requirements of this act.

B. The rebate program shall be administered by the Oklahoma Department of Commerce and the Oklahoma Tax Commission.

C. By October 1 of each year, the Oklahoma Department of Commerce shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report

to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Chair of the Appropriations and Budget Committee of the House of Representatives, the Chair of the Appropriations Committee of the Senate, and the Director of the Legislative Office of Fiscal Transparency detailing the program and incentive rebate payments.

D. The Oklahoma Department of Commerce and the Oklahoma Tax Commission may promulgate rules to implement the provisions of this act.

E. To be eligible for a rebate payment a production company shall:

1. Submit an application and documentation to the Oklahoma Department of Commerce as required by the Department;

2. Have filed any Oklahoma tax returns and tax documents required by law;

3. Provide evidence that all Oklahoma crew and local vendors have been paid and that there are no pending liens against the production company in this state;

4. Provide evidence of financing for production prior to the commencement of principal photography;

5. Provide evidence of a certificate of general liability insurance with a minimum coverage of One Million Dollars (\$1,000,000.00) and a workers' compensation policy in compliance with law, which shall include coverage of employer's liability;

6. Provide evidence, as required by the Department, that the projects pursuant to this act are completed; and

7. The production company, or its payroll service provider, shall withhold Oklahoma income tax at the highest percentage rate found in the withholding statutes, on all payments to loan-out companies for services performed in Oklahoma. The amounts so withheld shall be allocated to the loan-out company's employees based on the payments made to the loan-out company's employees for services performed in Oklahoma. The loan-out company employees

performing services in Oklahoma shall be considered taxable and the loan-out company shall be subject to income taxation in the taxable year in which the loan-out company's employees perform services in Oklahoma.

F. A production company shall not be eligible to receive both a rebate payment pursuant to the provisions of this act and an exemption from sales tax pursuant to the provisions of paragraph 23 of Section 1357 of Title 68 of the Oklahoma Statutes. If a production company has received the exemption from sales taxes and submits a claim for rebate pursuant to the provisions of this act, the company shall be required to fully repay the amount of the exemption to the Tax Commission. A claim for a rebate shall include documentation from the Tax Commission that repayment has been made as required in this subsection or shall include an affidavit from the production company that the company has not received an exemption from sales tax pursuant to the provisions of paragraph 23 of Section 1357 of Title 68 of the Oklahoma Statutes.

G. The Department of Commerce shall approve or disapprove all claims for rebate and shall notify the Tax Commission subject to the limitations set forth in Section 4 of this act. Upon notification of approval from the Department, the Commission shall issue payment for all approved claims from funds held in the Filmed in Oklahoma Program Revolving Fund created pursuant to Section 9 of this act and subject to the limitations set forth in Section 4 of this act. If the amount of approved claims exceeds the balance of the revolving fund, payments shall be made in the order the claims are approved by the Department. If an approved claim is not paid in whole, the unpaid claim or unpaid portion of the claim shall be paid upon the availability of funds.

SECTION 230. AMENDATORY Section 4, Chapter 66, O.S.L. 2022, as amended by Section 1, Chapter 1, O.S.L. 2023 (68 O.S. Supp. 2025, Section 3645.4), is amended to read as follows:

Section 3645.4. A. 1. There is hereby created until July 1, 2032, an investment rebate program for the cost of qualified capital expenditures by establishments which create not less than a threshold number of new direct jobs as provided in this section.

2. a. The threshold number of new direct jobs required for establishments to qualify and remain qualified for investment rebate payments created in paragraph 1 of this subsection shall be as follows:
 - (1) five hundred (500) new direct jobs in year one of the rebate payment period,
 - (2) one thousand (1,000) cumulative new direct jobs in year two of the rebate payment period,
 - (3) two thousand five hundred (2,500) cumulative new direct jobs in year three of the rebate payment period,
 - (4) three thousand five hundred (3,500) cumulative new direct jobs in year four of the rebate payment period, and
 - (5) three thousand five hundred (3,500) cumulative new direct jobs in year five of the rebate payment period.
- b. For establishments qualifying for investment rebate payments pursuant to division (2) of subparagraph a of paragraph 1 of subsection E of this section, the threshold numbers provided in this paragraph shall be reduced proportionally to reflect the lesser capital expenditure of such establishment. Such reduction shall be achieved by multiplying the thresholds in paragraph 2 of this subsection by a fractional equivalent equal to the following: the capital expenditure plan amount of the establishment qualifying pursuant to division (2) of subparagraph a of paragraph 1 of subsection E of this section, divided by the capital expenditure plan amount of the establishment qualifying pursuant to division (1) of subparagraph a of paragraph 1 of subsection E of this section.

3. New direct jobs in this state of a subsidiary of a primary establishment, if such subsidiary is defined or classified in the

NAICS Manual under Industry Group No. 5132, 5222, or 5413, shall be aggregated with the number of new direct jobs in the state of the primary establishment for the purpose of determining if the thresholds provided in paragraph 2 of this subsection are met.

B. The investment rebate program shall be administered by the Oklahoma Department of Commerce and the Oklahoma Tax Commission.

C. By October 1 of each year, the Oklahoma Department of Commerce shall, utilizing the centralized filing system provided for in Section 378 of this act, submit electronically an annual report to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Chair of the Appropriations and Budget Committee of the House of Representatives, the Chair of the Appropriations Committee of the Senate, and the Executive Director of the Legislative Office of Fiscal Transparency detailing the program and investment rebate payments.

D. The Oklahoma Department of Commerce and the Oklahoma Tax Commission may promulgate rules to implement the provisions of the Large-scale Economic Activity and Development Act of 2022 (LEAD Act).

E. To be eligible for consideration for an investment rebate payment awarded under the provisions of the LEAD Act, a primary establishment shall:

1. a. (1) Submit an application and documentation to the Oklahoma Department of Commerce, as required by the Department, outlining a capital expenditure plan in this state associated with qualified capital expenditures totaling no less than Three Billion Six Hundred Six Million Dollars (\$3,606,000,000.00), or
- (2) Submit an application and documentation to the Oklahoma Department of Commerce, as required by the Department, outlining a capital expenditure plan in this state associated with qualified capital expenditures totaling no less than Five Hundred Million Dollars (\$500,000,000.00), provided a separate establishment has been

approved by the Oklahoma Department of Commerce to participate in the investment rebate program pursuant to division (1) of this subparagraph, and such establishment participating pursuant to division (1) of this subparagraph remains in compliance with such approved application, and

- b. Have made qualified capital expenditures of no less than twenty percent (20%) of the capital expenditure plan outlined in the application submitted by the primary establishment and approved by the Oklahoma Department of Commerce, pursuant to the provisions of the LEAD Act.

New investment in this state of a subsidiary of a primary establishment, if such subsidiary is defined or classified in the NAICS Manual under Industry Group No. 5132, 5222, or 5413, shall be aggregated with the investment in this state of the primary establishment for the purpose of determining if the thresholds provided in this paragraph are met;

2. Be qualified to receive payments pursuant to the provisions of the Oklahoma Quality Jobs Program Act created pursuant to Section 3601 of Title 68 of the Oklahoma Statutes; and

3. Have filed all Oklahoma tax returns and tax documents required by law.

F. 1. Notwithstanding any other provision of law, if a primary establishment receives an investment rebate payment pursuant to the provisions of the LEAD Act, neither the qualified establishment nor its subsidiaries shall be eligible to receive the credits provided for in Section 2357.4 of Title 68 of the Oklahoma Statutes, in connection with the project or development for which the investment rebate payment was based; provided, however, the limitation provided in this paragraph, on claiming credits, shall not apply to the amount of qualifying capital expenditure in excess of Four Billion Five Hundred Million Dollars (\$4,500,000,000.00) made by an establishment on a project or development in this state.

2. Notwithstanding any other provision of law, no investment expenditure shall be utilized for calculation purposes in a way that

results in the qualification of more than one establishment under the provisions of the LEAD Act, for investment rebate payments based on the same expenditure.

3. Notwithstanding any other provision of law, no investment rebate payment amount pre-qualified or pre-encumbered by the Oklahoma Department of Commerce for an establishment qualifying for payment under the provisions of division (1) of subparagraph a of paragraph 1 of subsection E of this section, shall be reallocated to an establishment that at such time is participating under an approved application pursuant to division (2) of subparagraph a of paragraph 1 of subsection E of this section.

G. 1. Except as limited by paragraph 2 of this subsection, the Oklahoma Department of Commerce shall approve or disapprove claims for rebates and shall notify the Tax Commission subject to the limitations set forth in Section 3645.5 of this title. Upon notification of approval from the Department, the Commission shall issue payment for all approved claims from funds held in the Large-scale Economic Activity and Development Fund created pursuant to Section 3645.6 of this title and subject to the limitations set forth in Section 3645.5 of this title.

2. The Department shall disapprove all applications and claims, as well as portions of applications and claims, for rebates that would exceed the balance of available funds in the Large-scale Economic Activity and Development Fund.

H. The total amount of applications approved and investment rebate payments awarded under the provisions of the LEAD Act shall not exceed the total amount of monies designated by law for deposit to the Large-scale Economic Activity and Development Fund.

SECTION 231. AMENDATORY 68 O.S. 2021, Section 3808, is amended to read as follows:

Section 3808. The Oklahoma Department of Commerce shall prepare triennially a report which shall include, but not be limited to, documentation of the new direct jobs created under the Former Military Facility Development Act and a fiscal analysis of the costs and benefits of the act to the state. The report shall be electronically submitted to the President Pro Tempore of the Senate,

the Speaker of the House of Representatives, and the Governor of this state no later than March 1, 1996, and every three (3) years thereafter utilizing the centralized filing system provided for in Section 378 of this act. The report may be used for the purpose of determining whether to continue or sunset the Former Military Facility Development Act.

SECTION 232. AMENDATORY 68 O.S. 2021, Section 3910, is amended to read as follows:

Section 3910. The Oklahoma Department of Commerce shall prepare triennially a report which shall include, but not be limited to, documentation of the new direct jobs created under the Small Employer Quality Jobs Incentive Act and a fiscal analysis of the costs and benefits of the act to the state. The report shall be electronically submitted to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor no later than March 1, 2001, and every three (3) years thereafter utilizing the centralized filing system provided for in Section 378 of this act. The report may be used for the purpose of determining whether to continue or sunset the Small Employer Quality Jobs Incentive Act.

SECTION 233. AMENDATORY 68 O.S. 2021, Section 3920, is amended to read as follows:

Section 3920. The Oklahoma Department of Commerce shall prepare a report which shall include, but not be limited to, documentation of the new direct jobs created under this act and a fiscal analysis of the costs and benefits of the act to the state. The report shall be electronically submitted to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor no later than March 1, 2011, and every three (3) years thereafter utilizing the centralized filing system provided for in Section 378 of this act. The report may be used for the purpose of determining whether to continue or sunset the 21st Century Quality Jobs Incentive Act.

SECTION 234. AMENDATORY 68 O.S. 2021, Section 4206, is amended to read as follows:

Section 4206. A. The Quality Investment Committee shall meet not less than once per quarter and consider applications for Quality Investment Contracts from at-risk establishments. The Committee shall review each application received since its last meeting and consider for each application economic impacts, historical contributions trends, and tax revenue projections analyses conducted by or on behalf of the Oklahoma Department of Commerce; whether the establishment is located in an economically distressed area of the state; whether loss of the establishment would cause the local community to become an economically distressed area; the number of jobs of Oklahoma citizens which are at risk; and the average salary of the jobs which are at risk.

B. Based on its review of applications, the Committee shall ~~make,~~ utilizing the centralized filing system provided for in Section 378 of this act, electronically submit its recommendations to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate as to which applications for investment contracts should be approved and the percentage of investment the state should make as an incentive payment to the at-risk establishment for those contracts which are approved. In making such recommendations, the Committee shall not make recommendations for Quality Investment Contracts which could require payments in any year in excess of the amount allowed by the Oklahoma Quality Investment Act or the provisions of Section 23 of Article X of the Oklahoma Constitution.

C. The Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate shall meet as often as is necessary to consider recommendations of the Quality Investment Committee. The Governor shall schedule and chair such meetings. Quality Investment Contracts shall only be entered into upon the unanimous approval by the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate of the terms of the contract. A decision on recommendations of the Quality Investment Committee shall be made within thirty (30) days of receipt of such recommendations.

D. For any fiscal year, the incentives shall not exceed ten percent (10%) of the amount invested by an establishment in capital assets to be utilized in this state. The contract shall make payment of any incentives in any fiscal year contingent on the

balance at the beginning of such fiscal year in the Constitutional Reserve Fund being equal to or greater than Eighty Million Dollars (\$80,000,000.00) and on the certification by the State Board of Equalization for such fiscal year General Revenue Fund being greater than that of the preceding fiscal year certification. Investment contracts authorized by this act shall provide that if any incentive payment is payable during a fiscal year in which either the balance at the beginning of the fiscal year in the Constitutional Reserve Fund is not equal to or greater than Eighty Million Dollars (\$80,000,000.00) or when the certification by the State Board of Equalization for such fiscal year General Revenue Fund is less than that of the immediately prior fiscal year certification, then any incentive payments which would have been payable during such fiscal year shall be payable in the first fiscal year when funds are available pursuant to the provisions of division 1 of subparagraph (b) of paragraph 6 of Section 23 of Article X of the Oklahoma Constitution. In the event that the amount of incentives due in any year under investment contracts authorized by this subsection is less than the amounts available for payment under this subsection in such year, then incentives payments for such year shall be reduced pro rata.

SECTION 235. AMENDATORY 68 O.S. 2021, Section 4210, is amended to read as follows:

Section 4210. A. The Oklahoma Department of Commerce shall, using its own resources or through a contract with a service provider, conduct a five-year performance review of the Oklahoma Quality Investment Act. The performance review may include measures of economic productivity in areas or regions affected by the business activity of any recipient of a payment authorized pursuant to this act. Such measures of economic productivity may include, but shall not be limited to, total payroll statistics, business activity supported by the business activity of the payment recipients, growth in property tax values attributable to capital expansion, growth in state or local tax sources attributable to capital expansion, increased investment activity by other business entities, business site location inquiries related to the business activity of a recipient or such other indicators of the net benefits to the State of Oklahoma or an economic region as the Department of Commerce or its service provider may select.

B. The results of the five-year performance review shall be provided in a written report to be submitted not later than January 31, 2012, and not later than January 31 each successive five-year period covering the results of performance measurement of the Oklahoma Quality Investment Act as conducted pursuant to subsection A of this section. The first such report shall only be required to address the performance measures for the period of July 1, 2006, through December 31, 2011. The report shall be electronically provided to the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the State Senate, and to each member of the Quality Investment Committee utilizing the centralized filing system provided for in Section 378 of this act.

C. The Quality Investment Committee shall use the results of the five-year performance report in making determinations required of it pursuant to the Oklahoma Quality Investment Act.

SECTION 236. AMENDATORY 68 O.S. 2021, Section 4310, is amended to read as follows:

Section 4310. The Executive Director of the Oklahoma Department of Commerce shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically make a report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate not later than December 1, 2013, and each December 1 thereafter if this act is in force and effect, regarding the effect and impact of the Oklahoma Quality Events Incentive Act.

SECTION 237. AMENDATORY 68 O.S. 2021, Section 4510, is amended to read as follows:

Section 4510. The Oklahoma Department of Commerce shall prepare triennially a report which shall include, but not be limited to, documentation of the new direct jobs created under the Oklahoma Remote Quality Jobs Incentive Act and a fiscal analysis of the costs and benefits of this act to the state. The report shall be electronically submitted to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor of this state no later than March 1, 2023, and every three (3) years thereafter utilizing the centralized filing system provided for in Section 378 of this act. The report may be used for the purpose of

determining whether to continue or sunset the Oklahoma Remote Quality Jobs Incentive Act.

SECTION 238. AMENDATORY 68 O.S. 2021, Section 50016, is amended to read as follows:

Section 50016. The Department of Tourism and Recreation shall develop, periodically revise, and maintain a comprehensive state master capital improvement plan for state park and recreation facilities under its jurisdiction, and shall prioritize projects within the plan. Prior to the expenditure of funds in the Oklahoma Tourism Capital Improvement Revolving Fund, the Department shall identify and list the specific projects for which such funds will be used, which shall be taken from the state master plan in the order of priority. If the Department determines that an emergency exists which could adversely affect the public peace, health, and safety, it may identify and list a project not taken from the state master plan in the order of priority. In such instance, the Department shall include a determination of the existence of such emergency and a justification therefor.

The list of such projects shall be electronically submitted to the President Pro Tempore of the Oklahoma State Senate and the Speaker of the Oklahoma House of Representatives utilizing the centralized filing system provided for in Section 378 of this act. The Legislature may, within thirty (30) legislative days after submission of the list, in a bill or joint resolution approved by a vote of not fewer than two-thirds (2/3) of the members in each house thereof, disapprove one or more projects on the list and direct the Department to revise and resubmit the list as provided herein.

SECTION 239. AMENDATORY 69 O.S. 2021, Section 322, is amended to read as follows:

Section 322. A. There is hereby created the Office of Mobility and Public Transit within the Department of Transportation. All current Transit Division responsibilities, including oversight and management of Federal Transit Administration (FTA) grants and resources and the State Management Plan, are moved to the Office of Mobility and Public Transit. Notwithstanding this subsection, the Office of Mobility and Public Transit will not be responsible for oversight and management of FTA grants and resources received by

transit agencies as a direct recipient of the FTA as that is not a current responsibility of the Transit Division. All Federal Transit Administration program implementations not currently managed by the Department of Transportation shall be moved to the Office of Mobility and Public Transit from other state agencies and other state programs. The Office of Mobility and Public Transit is charged with overseeing a network of public transit systems that receive adequate funding to ensure the mobility needs of all Oklahomans are met in a safe, affordable, reliable, consistent, and coordinated fashion.

B. The Office of Mobility and Public Transit shall promulgate rules and procedures to:

1. Implement innovative pilot programs including, but not limited to, microtransit and autonomous vehicles in the following systems:

- a. EMBARK,
- b. Tulsa Transit,
- c. Little Dixie Transit, and
- d. other transit systems as determined by the Department of Transportation; and

2. Implement expansion of the current Veterans' Ride Connect call center at Pelivan Transit to create a "one call/one click" statewide system for all citizens; ~~and~~

~~3. Develop the Oklahoma Public Transit Policy Plan. The plan will be developed jointly by the Department of Transportation and the Oklahoma Transit Association.~~

- ~~a. A copy of the plan shall be submitted to the Governor, the Speaker of the House of Representatives and the President Pro Tempore of the Senate by July 1, 2020.~~
- ~~b. The plan shall:~~

- ~~(1) be all-inclusive of the public transit systems in the state,~~
- ~~(2) reflect the results of the 2018 Oklahoma Transit Needs Assessment conducted by the Small Urban and Rural Transit Center,~~
- ~~(3) include all stakeholder input,~~
- ~~(4) provide for future collaboration and coordination of an effective network of public transit systems across the state,~~
- ~~(5) provide for future collaboration and coordination among all public transit agencies and systems and all stakeholders with an interest in public transit, and~~
- ~~(6) provide for future collaboration and coordination among all state agencies with an interest in public transit including, but not limited to, the:~~
 - ~~(a) Oklahoma Department of Commerce,~~
 - ~~(b) Oklahoma Department of Rehabilitation Services,~~
 - ~~(c) Oklahoma Department of Human Services,~~
 - ~~(d) Oklahoma Department of Mental Health and Substance Abuse Services,~~
 - ~~(e) Oklahoma Department of Veterans Affairs,~~
 - ~~(f) Oklahoma Association of Centers for Independent Living,~~
 - ~~(g) Oklahoma Health Care Authority,~~
 - ~~(h) Oklahoma Employment Security Commission,~~

~~(i) Oklahoma State Department of Education,~~

~~(j) Oklahoma Department of Environmental
Quality, and~~

~~(k) Oklahoma Department of Labor.~~

SECTION 240. AMENDATORY 69 O.S. 2021, Section 1705.6, is amended to read as follows:

Section 1705.6. The Oklahoma Turnpike Authority shall be authorized to construct and it is the intent of the Legislature that they do construct, by December 31, 1994, an interchange with a tollgate and full entry and exit ramps in the vicinity of Luther on the turnpike in Oklahoma County, provided that all right-of-way, grading, base preparation, drainage and structures other than tollgates and paving, are constructed without cost to the Authority and ownership thereof transferred to the Authority upon completion thereof. Such construction shall be in accordance with the most recent edition of the geometric design standards of the American Association of State Highway and Transportation Officials (AASHTO). ~~The Authority shall issue a progress report on the Luther interchange by December 31, 1992, to the Speaker of the House of Representatives and the President Pro Tempore of the Senate.~~

SECTION 241. AMENDATORY 69 O.S. 2021, Section 1728, is amended to read as follows:

Section 1728. It is hereby declared to be the intent of the Legislature, and the Authority is therefor directed, to hold payments for engineering and legal services to the barest minimum, and it is further the intent of the Legislature that in regard to bonds hereafter issued, so far as possible, the service of the chief engineer of the Authority to be utilized as the consulting engineer and the service of the Attorney General be utilized as legal counsel for the Authority. The Authority is hereby directed to, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor and the Legislature a complete detailed and itemized annual report of all sums, expended for engineering and legal services, showing the amounts of and to whom paid. Such report shall be submitted within thirty (30) days after the convening of the Legislature for general sessions.

SECTION 242. AMENDATORY 69 O.S. 2021, Section 1912, is amended to read as follows:

Section 1912. With monies made available, the Department of Transportation shall create and maintain an on-line, updateable, real-time, and interactive mapping system for the road and highway systems for this state. The Department shall promulgate rules that will provide for accessing the mapping system information. ~~The Department shall submit an annual report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate on the progress for the design and implementation of the mapping system until the system is operational.~~

SECTION 243. AMENDATORY 70 O.S. 2021, Section 3-104, as last amended by Section 1, Chapter 445, O.S.L. 2025 (70 O.S. Supp. 2025, Section 3-104), is amended to read as follows:

Section 3-104. A. The supervision of the public school system of Oklahoma shall be vested in the State Board of Education and, subject to limitations otherwise provided by law, the State Board of Education shall:

1. Adopt policies and make rules for the operation of the public school system of the state;
2. Appoint, prescribe the duties, and fix the compensation of a secretary, an attorney, and all other personnel necessary for the proper performance of the functions of the State Board of Education. The secretary shall not be a member of the Board;
3. Submit to the Governor a departmental budget based upon major functions of the State Department of Education as prepared by the Superintendent of Public Instruction and supported by detailed data on needs and proposed operations as partially determined by the budgetary needs of local school districts filed with the State Board of Education for the ensuing fiscal year. Appropriations therefor shall be made in lump-sum form for each major item in the budget as follows:

- a. State Aid to schools,

- b. the supervision of all other functions of general and special education including general control, free textbooks, school lunch, Indian education, and all other functions of the Board and an amount sufficient to adequately staff and administer these services, and
- c. the Board shall determine the details by which the budget and the appropriations are administered. Annually, the Board shall make preparations to consolidate all of the functions of the Department in such a way that the budget can be based on two items, administration and aid to schools. A maximum amount for administration shall be designated as a part of the total appropriation;

4. On the first day of December preceding each regular session of the Legislature, prepare and deliver electronically to the Governor and the Legislature a report for the year ending June 30 immediately preceding the regular session of the Legislature. The report shall contain:

- a. detailed statistics and other information concerning enrollment, attendance, expenditures including State Aid, and other pertinent data for all public schools in this state,
- b. reports from each and every division within the State Department of Education as submitted by the Superintendent of Public Instruction and any other division, department, institution, or other agency under the supervision of the Board,
- c. recommendations for the improvement of the public school system of the state,
- d. a statement of the receipts and expenditures of the State Board of Education for the past year, and
- e. a statement of plans and recommendations for the management and improvement of public schools and such other information relating to the educational

interests of the state as may be deemed necessary and desirable;

5. Provide for the formulation and adoption of curricula, courses of study, and other instructional aids necessary for the adequate instruction of pupils in the public schools;

6. Have authority in matters pertaining to the licensure and certification of persons for instructional, supervisory, and administrative positions and services in the public schools of the state subject to the provisions of Section 6-184 of this title, and shall formulate rules governing the issuance and revocation of certificates for superintendents of schools, principals, supervisors, librarians, clerical employees, school nurses, school bus drivers, visiting teachers, classroom teachers, and for other personnel performing instructional, administrative, and supervisory services, but not including members of boards of education and other employees who do not work directly with pupils, and may charge and collect reasonable fees for the issuance of such certificates:

- a. the State Department of Education shall not issue a certificate to and shall revoke the certificate of any person who has been convicted, whether upon a verdict or plea of guilty or upon a plea of nolo contendere, or received a suspended sentence or any probationary term for a crime or an attempt to commit a crime provided for in Section 843.5 of Title 21 of the Oklahoma Statutes if the offense involved sexual abuse or sexual exploitation as those terms are defined in Section 1-1-105 of Title 10A of the Oklahoma Statutes, Section 741, 843.1, if the offense included sexual abuse or sexual exploitation, 865 et seq., 885, 888, 891, 1021, 1021.2, 1021.3, 1040.13a, 1087, 1088, 1111.1, 1114, or 1123 of Title 21 of the Oklahoma Statutes or who enters this state and who has been convicted, received a suspended sentence, or received a deferred judgment for a crime or attempted crime which, if committed or attempted in this state, would be a crime or an attempt to commit a crime provided for in any of the laws,

- b. except as provided for in subparagraph a of this paragraph, the State Board of Education shall have the authority to revoke or suspend a license or certificate only for the following reasons:
 - (1) a willful violation of any federal or state law,
 - (2) the abuse or neglect of a child,
 - (3) moral turpitude, or
 - (4) a conviction for any of the offenses or basis for revocation set forth in this section and Section 3-104.1 of this title,
- c. the State Board of Education shall not have the authority to summarily revoke or suspend a license or certificate pending an individual proceeding for revocation or other action unless for a valid emergency as defined in the Administrative Procedures Act. Upon initiating a formal investigation, the State Department of Education shall notify via certified mail and electronic mail the superintendent of the school district where the license or certificate holder is employed. In no event shall the State Board of Education move to revoke or suspend a license or certificate, for an emergency or otherwise, unless the license or certificate holder and any employing school district received notice via certified mail and electronic mail within three (3) days of the date the application was filed with the State Board of Education, and
- d. all funds collected by the State Department of Education for the issuance of certificates to instructional, supervisory, and administrative personnel in the public schools of the state shall be deposited in the "Teachers' Certification Fund" in the State Treasury and may be expended by the State Board of Education to finance the activities of the State Department of Education necessary to administer the program, for consultative services, publication costs,

actual and necessary travel expenses as provided in the State Travel Reimbursement Act incurred by persons performing research work, and other expenses found necessary by the State Board of Education for the improvement of the preparation and certification of teachers in this state. Provided, any unobligated balance in the Teachers' Certification Fund in excess of Ten Thousand Dollars (\$10,000.00) on June 30 of any fiscal year shall be transferred to the General Revenue Fund of this state. Until July 1, 1997, the State Board of Education shall have authority for approval of teacher education programs. The State Board of Education shall also have authority for the administration of teacher residency and professional development, subject to the provisions of the Oklahoma Teacher Preparation Act;

7. Promulgate rules governing the classification, inspection, supervision, and accrediting of all public nursery, kindergarten, elementary and secondary schools, and on-site educational services provided by public school districts or state-accredited private schools in partial hospitalization programs, day treatment programs, and day hospital programs as defined in Section 3-104.7 of this title and Section 175.20 of Title 10 of the Oklahoma Statutes for persons between the ages of three (3) and twenty-one (21) years of age in the state. However, no school shall be denied accreditation solely on the basis of average daily attendance.

Any school district which maintains an elementary school and faces the necessity of relocating its school facilities because of construction of a lake, either by state or federal authority, which will inundate the school facilities, shall be entitled to receive probationary accreditation from the State Board of Education for a period of five (5) years after June 12, 1975, and any school district, otherwise qualified, shall be entitled to receive probationary accreditation from the State Board of Education for a period of two (2) consecutive years to attain the minimum average daily attendance. The Head Start and public nurseries or kindergartens operated from community action agency funds shall not be subjected to the accrediting rules of the State Board of Education. Neither will the State Board of Education make rules affecting the operation of the public nurseries and kindergartens

operated from federal funds secured through community action agencies even though they may be operating in the public schools of the state. However, any of the Head Start or public nurseries or kindergartens operated under federal regulations may make application for accrediting from the State Board of Education but will be accredited only if application for the approval of the programs is made. The status of no school district shall be changed which will reduce it to a lower classification until due notice has been given to the proper authorities thereof and an opportunity given to correct the conditions which otherwise would be the cause of such reduction.

Private and parochial schools may be accredited and classified in like manner as public schools or, if an accrediting association is approved by the State Board of Education, by procedures established by the State Board of Education to accept accreditation by such accrediting association, if application is made to the State Board of Education for such accrediting;

8. Be the legal agent of this state to accept, in its discretion, the provisions of any Act of Congress appropriating or apportioning funds which are now, or may hereafter be, provided for use in connection with any phase of the system of public education in Oklahoma. It shall prescribe such rules as it finds necessary to provide for the proper distribution of such funds in accordance with the state and federal laws;

9. Be and is specifically hereby designated as the agency of this state to cooperate and deal with any officer, board, or authority of the United States Government under any law of the United States which may require or recommend cooperation with any state board having charge of the administration of public schools unless otherwise provided by law;

10. Be and is hereby designated as the state educational agency referred to in Public Law 396 of the 79th Congress of the United States, as amended, which may be known as the Richard B. Russell National School Lunch Act, and the State Board of Education is hereby authorized and directed to accept the terms and provisions of the act and to enter into such agreements, not in conflict with the Constitution of Oklahoma or the Constitution and Statutes of the United States, as may be necessary or appropriate to secure for this

state the benefits of the school lunch program established and referred to in the act;

11. Have authority to secure and administer the benefits of the Richard B. Russell National School Lunch Act, Public Law 396 of the 79th Congress of the United States, as amended, in this state and is hereby authorized to employ or appoint and fix the compensation of such additional officers or employees and to incur such expenses as may be necessary for the accomplishment of the above purpose, and administer the distribution of any state funds appropriated by the Legislature required as federal matching to reimburse on children's meals;

12. Accept and provide for the administration of any land, money, buildings, gifts, donations, or other things of value which may be offered or bequeathed to the schools under the supervision or control of the Board;

13. Have authority to require persons having administrative control of all school districts in Oklahoma to make such regular and special reports regarding the activities of the schools in the districts as the Board may deem needful for the proper exercise of its duties and functions. Such authority shall include the right of the State Board of Education to withhold all state funds under its control, to withhold official recognition including accrediting, until such required reports have been filed and accepted in the office of the Board and to revoke the certificates of persons failing or refusing to make such reports;

14. Have general supervision of the school lunch program. The State Board of Education may sponsor workshops for personnel and participants in the school lunch program and may develop, print, and distribute free of charge or sell any materials, books, and bulletins to be used in the school lunch programs. There is hereby created in the State Treasury a revolving fund for the Board, to be designated the "School Lunch Workshop Revolving Fund". The fund shall consist of all fees derived from or on behalf of any participant in any such workshop sponsored by the State Board of Education, or from the sale of any materials, books, and bulletins, and funds shall be disbursed for expenses of such workshops and for developing, printing, and distributing of the materials, books, and bulletins relating to the school lunch program. The fund shall be

administered in accordance with Section 155 of Title 62 of the Oklahoma Statutes;

15. Prescribe all forms for school district and county officers to report to the State Board of Education where required. The State Board of Education shall also prescribe a list of appropriation accounts by which the funds of school districts shall be budgeted, accounted for, and expended; and it shall be the duty of the State Auditor and Inspector in prescribing all budgeting, accounting, and reporting forms for school funds to conform to such lists;

16. Provide for the establishment of a uniform system of pupil and personnel accounting, records, and reports;

17. Have authority to provide for the health and safety of school children and school personnel while under the jurisdiction of school authorities;

18. Provide for the supervision of the transportation of pupils;

19. Have authority, upon request of the local school board, to act in behalf of the public schools of the state in the purchase of transportation equipment;

20. Have authority and is hereby required to perform all duties necessary to the administration of the public school system in Oklahoma as specified in the Oklahoma School Code; and, in addition thereto, those duties not specifically mentioned herein if not delegated by law to any other agency or official;

21. Administer the State Public Common School Building Equalization Fund established by Section 32 of Article X of the Oklahoma Constitution. Any monies as may be appropriated or designated by the Legislature, other than ad valorem taxes, any other funds identified by the State Department of Education, which may include, but not be limited to, grants-in-aid from the federal government for building purposes, the proceeds of all property that shall fall to the state by escheat, penalties for unlawful holding of real estate by corporations, and capital gains on assets of the permanent school funds, shall be deposited in the State Public Common School Building Equalization Fund. The fund shall be used to

aid school districts and charter schools in acquiring buildings, subject to the limitations fixed by Section 32 of Article X of the Oklahoma Constitution. It is hereby declared that redbud school grants disbursed from the State Public Common School Building Equalization Fund shall be used for the same purposes as a building fund, as provided for in Section 1-118 of this title. It is hereby declared that the term "school districts" as used in Section 32 of Article X of the Oklahoma Constitution shall mean school districts and eligible charter schools as defined in subsection B of this section. The State Board of Education shall disburse redbud school grants annually from the State Public Common School Building Equalization Fund to public schools and eligible charter schools pursuant to subsection B of this section. The Board shall promulgate rules for the implementation of disbursing redbud school grants pursuant to this section. The State Board of Education shall prescribe rules for making grants of aid from, and for otherwise administering, the fund pursuant to the provisions of this paragraph, and may employ and fix the duties and compensation of technicians, aides, clerks, stenographers, attorneys, and other personnel deemed necessary to carry out the provisions of this paragraph. The cost of administering the fund shall be paid from monies appropriated to the State Board of Education for the operation of the State Department of Education. From monies apportioned to the fund, the State Department of Education may reserve not more than one-half of one percent (1/2 of 1%) for purposes of administering the fund;

22. Recognize that the Director of the Department of Corrections shall be the administrative authority for the schools which are maintained in the state reformatories and shall appoint the principals and teachers in such schools. Provided, that rules of the State Board of Education for the classification, inspection, and accreditation of public schools shall be applicable to such schools; and such schools shall comply with standards set by the State Board of Education; and

23. Have authority to administer a revolving fund which is hereby created in the State Treasury, to be designated the "Statistical Services Revolving Fund". The fund shall consist of all monies received from the various school districts of the state, the United States Government, and other sources for the purpose of furnishing or financing statistical services and for any other

purpose as designated by the Legislature. The State Board of Education is hereby authorized to enter into agreements with school districts, municipalities, the United States Government, foundations, and other agencies or individuals for services, programs, or research projects. The Statistical Services Revolving Fund shall be administered in accordance with Section 155 of Title 62 of the Oklahoma Statutes.

B. 1. The redbud school grants shall be determined by the State Department of Education as follows:

- a. divide the county four-mill levy revenue by four to determine the nonchargeable county four-mill revenue for each school district,
- b. determine the amount of new revenue generated by the five-mill building fund levy as authorized by Section 10 of Article X of the Oklahoma Constitution for each school district as reported in the Oklahoma Cost Accounting System for the preceding fiscal year,
- c. add the amounts calculated in subparagraphs a and b of this paragraph to determine the nonchargeable millage for each school district,
- d. add the nonchargeable millage in each district statewide as calculated in subparagraph c of this paragraph and divide the total by the average daily membership in public schools statewide based on the preceding school year's average daily membership, according to the provisions of Section 18-107 of this title. This amount is the statewide nonchargeable millage per student, known as the baseline local funding per student,
- e. all eligible charter schools shall be included in these calculations as unique school districts, separate from the school district that may sponsor the eligible charter school, and the total number of districts shall be used to determine the statewide average baseline local funding per student,

- f. for each school district or eligible charter school which is below the baseline local funding per student, the Department shall subtract the baseline local funding per student from the average nonchargeable millage per student of the school district or eligible charter school to determine the nonchargeable millage per student shortfall for each district, and
- g. the nonchargeable millage per student shortfall for a school district or eligible charter school shall be multiplied by the average daily membership of the preceding school year of the eligible school district or eligible charter school. This amount shall be the redbud school grant amount for the school district or eligible charter school.

2. For fiscal year 2022, monies for the redbud school grants shall be expended from the funds apportioned pursuant to Section 426 of Title 63 of the Oklahoma Statutes. For fiscal year 2023 and each subsequent fiscal year, monies for the redbud school grants shall be appropriated pursuant to Section 426 of Title 63 of the Oklahoma Statutes, not to exceed three-fourths ($\frac{3}{4}$) of the tax collected in the preceding fiscal year pursuant to Section 426 of Title 63 of the Oklahoma Statutes as determined by the Oklahoma Tax Commission. For fiscal year 2023 and each subsequent fiscal year, if such appropriated funds are insufficient to fund the redbud school grants, then an additional apportionment of funds shall be made from sales tax collections as provided by subsection D of Section 1353 of Title 68 of the Oklahoma Statutes. If both funds are insufficient, the Department shall promulgate rules to permit a decrease to the baseline local funding per student to the highest amount allowed with the funding available.

3. As used in this section, "eligible charter school" shall mean a charter school which is sponsored pursuant to the provisions of the Oklahoma Charter Schools Act. Provided, however, eligible charter school shall not include a statewide virtual charter school sponsored by the Statewide Charter School Board but shall only include those which provide in-person or blended instruction, as provided by Section 1-111 of this title, to not less than two-thirds ($\frac{2}{3}$) of students as the primary means of instructional service delivery.

4. The Department shall develop a program to acknowledge the redbud school grant recipients and shall include elected members of the House of Representatives and Senate who represent the school districts and eligible charter schools.

5. The Department shall create a dedicated page on its website listing annual redbud school grant recipients, amount awarded to each recipient, and other pertinent information about the Redbud School Funding Act.

6. The Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the chair of the House Appropriations and Budget Committee and the chair of the Senate Appropriations Committee no later than February 1 of each year with an estimate of the upcoming year's redbud school grant allocation as prescribed by this section.

SECTION 244. AMENDATORY 70 O.S. 2021, Section 3-104.10, is amended to read as follows:

Section 3-104.10. A. The Imagination Library Revolving Fund created pursuant to Section 2 of this act shall be used to promote and foster the development of the Oklahoma Imagination Library Program, which shall be a statewide program for encouraging pre-school children to read by providing age-appropriate books to children at their homes from birth to age five (5) on a monthly basis.

B. Contingent upon funds appropriated to the Imagination Library Revolving Fund created pursuant to Section 2 of this act, the State Department of Education shall:

1. Manage the daily operations of the Oklahoma Imagination Library Program and provide oversight of the Imagination Library Revolving Fund including but not limited to establishing county-based programs in all seventy-seven counties and advancing and strengthening the programs to ensure enrollment growth;

2. Develop, promote, and coordinate a public awareness program to make donors aware of the opportunity to donate to the Imagination Library Revolving Fund; and

3. Develop, promote, and coordinate a public awareness program to make the public aware of the opportunity to register children to receive age-appropriate books on a monthly basis. To receive books on a monthly basis, a child shall be under the age of five (5) and shall have an Oklahoma residence.

C. The State Department of Education may establish a volunteer advisory committee to assist with implementing the provisions of paragraphs 2 and 3 of subsection B of this section.

D. The State Department of Education is authorized to retain up to ten percent (10%) of the funds appropriated, gifted, granted, donated, or bequested to the Imagination Library Revolving Fund for administrative and operating expenses related to implementation of the Oklahoma Imagination Library Program.

E. The Oklahoma Imagination Library Program shall be funded by fifty percent (50%) private funds and fifty percent (50%) appropriated funds. The State Department of Education shall include in its annual budget request the estimated need to fund the Oklahoma Imagination Library Program for the following fiscal year.

F. The State Department of Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report by July 1, 2021, and each July 1 thereafter to the chair of the Senate Education Committee and the chair of the House of Representatives Common Education Committee detailing the status of implementing the Oklahoma Imagination Library Program.

SECTION 245. AMENDATORY 70 O.S. 2021, Section 3-117.3, is amended to read as follows:

Section 3-117.3. A. The School Finance Review Commission shall conduct a review of all matters related to school finance, including but not limited to teacher compensation, benefits, and administration costs.

B. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report of its findings to the Governor, the President Pro

Tempore of the Senate, and the Speaker of the House of Representatives no later than December 31, 2023, and every subsequent four (4) years by December 31.

SECTION 246. AMENDATORY 70 O.S. 2021, Section 3-118, is amended to read as follows:

Section 3-118. The Secretary of Education shall:

1. Oversee the Office of Educational Quality and Accountability;
2. Employ necessary personnel according to procedures established for the employment of personnel by the Office of Management and Enterprise Services;
3. Monitor the efforts of the public school districts to comply with the provisions of this act and of Enrolled Senate Bill No. 183 of the 1st Session of the 42nd Oklahoma Legislature which relate to common education;
4. Identify districts not making satisfactory progress toward compliance with the provisions and recommend appropriate corrective actions to the State Board of Education concerning each district so identified;
5. Have executive responsibility for the Oklahoma Educational Indicators Program and the annual report required pursuant to Section 1210.531 of this title;
6. Review and make periodic public comment on the progress and effectiveness of the State Board and State Department of Education, the Office of the State Superintendent of Public Instruction, other bodies created by this act, and the public schools of this state concerning the implementation of the provisions of this act and of Enrolled Senate Bill No. 183 of the 1st Session of the 42nd Oklahoma Legislature which relate to common education;
7. Analyze the revenues for all systems of education and the expenditure of common education revenue, giving close attention to expenditures for administrative expenses relating to the common schools;

8. Make reports to the public concerning these matters whenever appropriate; and

9. ~~Submit~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically submit recommendations regarding funding for education or statutory changes to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor whenever appropriate.

SECTION 247. AMENDATORY 70 O.S. 2021, Section 3-127, is amended to read as follows:

Section 3-127. A. Prior to the adoption of a resolution by the local board of education as required in subsection A of Section 3-126 of this title, the local board of education shall provide for a period of public review and comment on the proposed educational improvement plan and shall notify and allow comment from the district bargaining agent of the plan. If no bargaining agent exists for that district, the teachers directly effected shall be notified and allowed to make comments. All comments, recommendations, and objections made by the bargaining agent and others to the local board of education shall be forwarded to the State Board of Education for consideration prior to review of the plan.

B. Each educational improvement plan shall be approved by the State Board of Education before implementation.

C. Approval of a plan shall be for no longer than three (3) years. If a plan is approved, the school district shall be required to submit an annual report and the Board shall provide for an annual assessment of the plan.

D. The Board shall notify the Speaker of the House of Representatives and the President Pro Tempore of the Senate of the approval of plans on a quarterly basis and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the Speaker and the President Pro Tempore with copies of the annual reports and assessments.

E. If the Board determines through the annual assessment process that the school district is not complying with the requirements of the Educational Deregulation Act or is not meeting the goals of the plan, it shall first provide notice to the district of its findings. If the school district does not come into compliance or take action to meet the goals of the plan, the Board shall withdraw approval and terminate the plan.

SECTION 248. AMENDATORY 70 O.S. 2021, Section 3-129.10, is amended to read as follows:

Section 3-129.10. A. By March 1, 2011, and each year thereafter, the State Board of Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor, the President Pro Tempore of the State Senate, the Speaker of the House of Representatives, and to the members of the education committees of the Senate and the House of Representatives, or any successor committees, a report concerning the empowered districts. At a minimum, the report shall include:

1. The number of school districts designated as empowered districts in the preceding academic year and the total number of empowered districts in the state;

2. The number of empowered schools and the number of empowered school zones, including the number of schools in the zone, in each empowered district and the number of students served in the empowered schools and empowered school zones, expressed as a total number and as a percentage of the students enrolled in the empowered district;

3. An overview of the innovations implemented in each empowered school, zone, and district;

4. An overview of the academic performance of the students served in empowered schools, zones, and districts, including a comparison between the academic performance of the students before and since implementation of the innovations;

5. Any recommendations for legislative changes based on the innovations implemented or to further enhance the ability of school district boards of education to implement innovations; and

6. Any additional information requested by the Governor or a member of the Legislature.

B. The State Superintendent of Public Instruction shall ensure that the annual report submitted pursuant to this section is promptly posted on the State Department of Education website.

SECTION 249. AMENDATORY 70 O.S. 2021, Section 5-141, is amended to read as follows:

Section 5-141. A. Each school district of this state shall adopt a minimum salary schedule and shall transmit a copy of it to the State Board of Education within thirty (30) days after adoption. A school district shall not calculate salaries of teachers solely as a proportion of the salaries of the administrators of the district.

B. Districts shall be encouraged to provide compensation schedules to reflect district policies and circumstances, including differential pay for different subject areas and special incentives for teachers in districts with specific geographical attributes. Districts may also adopt a salary schedule that provides additional compensation for achieving certain ratings under the Oklahoma Teacher and Leader Effectiveness Evaluation System (TLE) as set forth in Section 6 of this act. Any salary schedule adopted by a district pursuant to this section shall not set salaries at amounts less than those set pursuant to Section 18-114.12 of this title.

C. The State Department of Education shall compile a report of the minimum salary schedules for every school district in the state and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit the report to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate no later than December 15 of each year.

D. Each school district shall file within fifteen (15) days of signing the contract, the employment contract of the superintendent of the school district with the State Department of Education. The Department shall keep all contracts available for inspection by the

public. The school district shall not be authorized to pay any salary, benefits or other compensation to a superintendent which are not specified in the contract on file and shall not pay administrators any amounts for accumulated sick leave that are not calculated on the same formula used for determining payment for accumulated sick leave benefits for other full-time employees of that school district and shall not pay administrators any amounts for accumulated vacation leave benefits that are not calculated on the same formula used for determining payment for accumulated vacation leave benefits for other twelve-month full-time employees of that school district.

E. By October 1 of each year each district board of education shall prepare a schedule of salaries and fringe benefits paid administrators employed by the district, including a description of the fringe benefits. The schedule shall be a public record and shall be disclosed as required by the Oklahoma Open Records Act. The board shall file a copy of the schedule with the State Department of Education within one week of completion.

F. For purposes of this section the term "administrator" shall include employees who are employed and certified as superintendents, assistant superintendents, principals, and assistant principals and who have responsibilities for supervising classroom teachers.

SECTION 250. AMENDATORY 70 O.S. 2021, Section 5-146, is amended to read as follows:

Section 5-146. A. Any school employee, as defined by subsection A of Section 650.7 of Title 21 of the Oklahoma Statutes, upon whom an assault, battery, assault and battery, or aggravated battery or aggravated assault and battery is committed while in the performance of any duties as a school employee shall notify either the superintendent, building administrator, or one member of a Safe School Committee of the school district employing the school employee. The building administrator or member of the Safe School Committee shall notify the superintendent of the assault, battery, assault and battery, aggravated battery or aggravated assault and battery.

B. The superintendent shall notify the State Department of Education of all incidents described in subsection A of this section

for the previous year on July 1 of each year. The report shall include a description of the battery or assault and battery, and the final disposition of each incident.

C. The State Department of Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor on December 1 of each year.

D. For purposes of this section, "assault" shall be defined by Section 641 of Title 21 of the Oklahoma Statutes, "battery" shall be defined by Section 642 of Title 21 of the Oklahoma Statutes, and "aggravated assault and battery" shall be defined by Section 646 of Title 21 of the Oklahoma Statutes.

E. No school employee shall be subject to any civil liability for any statement, report, or action taken in reporting or assisting in reporting a battery or assault and battery which is committed upon the school employee while in the performance of any duties unless such report or assistance was made in bad faith or with malicious purpose.

F. Every school district shall have and deliver to each school employee a written policy that such employee shall follow if an assault, battery, or assault and battery is committed upon the school employee while in the performance of any school duties.

SECTION 251. AMENDATORY 70 O.S. 2021, Section 6-186, is amended to read as follows:

Section 6-186. A. Criteria for the approval and accreditation of teacher education programs in Oklahoma institutions of higher education shall include, but not be limited to, substantial evidence that persons who enter teacher education programs demonstrate:

1. Competency in the oral and written use of the English language;

2. A minimum grade point average as established by the Commission for Educational Quality and Accountability; and

3. The ability to meet criteria established pursuant to the Oklahoma Teacher Preparation Act at the completion of the teacher education program and provide evidence of having worked with children or youth in a variety of situations.

Criteria shall also include a greater emphasis upon field work in accredited schools by prospective teachers under the supervision of higher education faculty.

B. The Commission for Educational Quality and Accountability shall work with the Oklahoma State Regents for Higher Education and the various institutions of higher education in developing guidelines for a paid teacher internship program which may be offered at each institution for prospective teachers. The purpose of each program shall be to provide mentorship and support for prospective teachers. Students enrolled in a teacher education program shall be eligible to participate in the program.

C. It is hereby declared to be the intent of the Legislature that the Commission for Educational Quality and Accountability work with the Oklahoma State Regents for Higher Education and the various institutions of higher education in establishing a procedure whereby full-time teacher education faculty continue their professional development during their tenure at an institution of higher education to ensure that the future teachers of this state are taught by professional educators fully trained in their area of expertise. Each approved or accredited program of teacher education shall have a system for documenting and reporting the annual professional development activities of all teacher education faculty members. Faculty professional development reports shall be reviewed by the Commission along with professional development activities as a normal part of the accreditation process.

It is further declared to be the intent of the Legislature that such professional development plans provide alternative means of education including, but not limited to:

1. Professional development programs;
2. Higher education courses;

3. Exchange programs with public school classroom teachers, administrators, and other school personnel; and

4. Programs whereby all full-time teacher education faculty members directly involved in the teacher education process including all administrators of the teacher education program, are required to serve in a state accredited public school for at least ten (10) clock hours per school year in responsibilities related to their respective teacher education teaching fields.

All public school systems shall participate in the programs provided for in this subsection when needed.

D. The Commission for Educational Quality and Accountability shall adopt rules requiring specific improvements to strengthen the screening of student applicants and field activity and placement as set out in subsection A of this section. Such rules shall be reviewed and amended or readopted by the Commission at least once every five (5) years.

E. To assist the Commission in setting specific requirements as set out in subsections A and D of this section, the Commission shall annually prepare a statistical report showing the percentage of students from each of the Oklahoma institutions of higher education who have successfully completed or who have failed the competency examination for certification. The annual report shall show the percentages for each institution of higher education and each assessment area separately by student degree status and shall be electronically distributed annually to each member of the Commission for Educational Quality and Accountability, the Oklahoma State Regents for Higher Education, the governing board of each institution which has an approved or state accredited teacher education program, the State Board of Education, the State Board of Career and Technology Education, and the Legislature utilizing the centralized filing system provided for in Section 378 of this act.

F. By November 1, 2017, the Commission shall adopt rules requiring coursework or training in the use of digital and other instructional technologies as a requisite for program accreditation.

SECTION 252. AMENDATORY 70 O.S. 2021, Section 6-211, is amended to read as follows:

Section 6-211. The State Board of Education in cooperation with the Commission for Educational Quality and Accountability, the Oklahoma State Regents for Higher Education and institutions of higher education shall conduct an educator supply-and-demand study every three (3) years. The study shall identify areas of teacher shortage and make recommendations for addressing the areas of most critical need. The Board shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report outlining the findings to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate.

SECTION 253. AMENDATORY 70 O.S. 2021, Section 11-103.6, as last amended by Section 1, Chapter 384, O.S.L. 2024 (70 O.S. Supp. 2025, Section 11-103.6), is amended to read as follows:

Section 11-103.6. A. 1. The State Board of Education shall adopt subject matter standards for instruction of students in the public schools of this state that are necessary to ensure there is attainment of desired levels of competencies in a variety of areas to include language, mathematics, science, social studies, communication, and health and physical education.

2. School districts shall develop and implement curriculum, courses and instruction in order to ensure that students meet the skills and competencies as set forth in this section and in the subject matter standards adopted by the State Board of Education.

3. All students shall gain literacy at the elementary and secondary levels. Students shall develop skills in reading, writing, speaking, computing, and critical thinking. For purposes of this section, critical thinking means a manner of analytical thinking which is logical and uses linear factual analysis to reach a conclusion. They shall learn about cultures and environments - their own and those of others with whom they share the earth. All students shall receive the instruction needed to lead healthy and physically active lifestyles. Students, therefore, shall study social studies, literature, languages, the arts, health, mathematics, and science. Such curricula shall provide for the teaching of a hands-on career exploration program in cooperation with technology center schools.

4. The subject matter standards shall be designed to teach the competencies for which students shall be tested as provided in Section 1210.508 of this title and shall be designed to prepare all students for active citizenship, employment, ~~and/or~~ or successful completion of postsecondary education without the need for remedial coursework at the postsecondary level.

5. The subject matter standards shall be designed with rigor as defined in paragraph 6 of subsection F of this section.

6. The subject matter standards for English Language Arts shall give Classic Literature and nonfiction literature equal consideration to other literature. In addition, emphasis shall be given to the study of complete works of literature.

7. At a minimum, the subject matter standards for mathematics shall require mastery of the standard algorithms in mathematics, which is the most logical, efficient way of solving a problem that consistently works, and for students to attain fluency in Euclidian geometry.

8. The subject matter standards for history, social studies, and United States Government shall include the content of the United States naturalization test, with an emphasis on the specific content of the test and the ideas and concepts it references. The United States naturalization test shall be made available in physical and electronic online formats as an optional assessment tool for teachers.

9. The subject matter standards for United States Government shall include an emphasis on civics. For the purposes of this section, "civics" means the study of the rights and duties of Oklahoma and United States citizens and of how those governments work.

10. The subject matter standards for health and physical education shall include but not be limited to the domains of physical, emotional, social, and intellectual health. Health literacy shall include the ability to obtain, process, and understand basic health information and services needed to make appropriate health decisions. Health shall also include the

importance of proper nutrition and exercise, mental health and wellness, substance abuse, coping skills for understanding and managing trauma, establishing and maintaining positive relationships, and responsible decision making. Physical literacy shall include the ability to move with competence and confidence in a wide variety of physical activities in multiple environments that benefit the healthy development of the whole person.

B. Subject to the provisions of subsection C or subsection D of this section, in order to graduate from a public high school accredited by the State Board of Education with a standard diploma, students enrolled in grades eight through twelve in the 2024-2025 school year shall complete the following college preparatory/work ready curriculum units or sets of competencies at the secondary level:

1. Four units or sets of competencies of English to include Grammar, Composition, Literature, or any English course approved for college admission requirements;

2. Three units or sets of competencies of mathematics, limited to Algebra I, Algebra II, Geometry, Trigonometry, Math Analysis, Calculus, Advanced Placement Statistics, or any mathematics course with content ~~and/or~~ or rigor above Algebra I and approved for college admission requirements;

3. Three units or sets of competencies of laboratory science approved for college admission requirements including one unit or set of competencies of life science meeting the standards for Biology I; one unit or set of competencies of physical science meeting the standards for Physical Science, Chemistry, or Physics; and one unit or set of competencies from the domains of physical science, life science, or earth and space science such that the content and rigor is above Biology I or Physical Science;

4. Three units or sets of competencies of history and citizenship skills including one unit of American History, 1/2 unit of Oklahoma History, 1/2 unit of United States Government, and one unit from the subjects of History, Government, Geography, Economics, Civics, or non-Western culture and approved for college admission requirements;

5. Two units or sets of competencies of the same world or non-English language or two units of computer technology approved for college admission requirements, whether taught at a high school or a technology center school including computer programming, hardware, and business computer applications, such as word processing, databases, spreadsheets, and graphics, excluding keyboarding or typing courses;

6. One additional unit or set of competencies selected from paragraphs 1 through 5 of this subsection or career and technology education courses, concurrently enrolled courses, advanced placement courses, or International Baccalaureate courses approved for college admission requirements; and

7. One unit or set of competencies of fine arts, such as music, art, or drama, or one unit or set of competencies of speech.

C. In lieu of the requirements of subsection B or subsection D of this section which requires a college preparatory/work ready curriculum, a student enrolled in grades eight through twelve in the 2024-2025 school year may enroll in the core curriculum as provided in this subsection upon written approval of the parent or legal guardian of the student. For students under the age of eighteen (18) school districts shall require a parent or legal guardian of the student to meet with a designee of the school prior to enrollment in the core curriculum. The State Department of Education shall develop and distribute to school districts a form suitable for this purpose, which shall include information on the benefits to students of completing the college preparatory/work ready curriculum as provided for in subsection B of this section.

In order to graduate from a public high school accredited by the State Board of Education with a standard diploma, students enrolled in grades eight through twelve in the 2024-2025 school year shall complete the following core curriculum units or sets of competencies at the secondary level:

1. Language Arts - 4 units or sets of competencies to consist of 1 unit or set of competencies of grammar and composition, and 3 units or sets of competencies which may include, but are not limited to, the following courses:

- a. American Literature,
- b. English Literature,
- c. World Literature,
- d. Advanced English Courses, or
- e. other English courses with content ~~and/or~~ or rigor equal to or above grammar and composition;

2. Mathematics - 3 units or sets of competencies to consist of 1 unit or set of competencies of Algebra I or Algebra I taught in a contextual methodology, and 2 units or sets of competencies which may include, but are not limited to, the following courses:

- a. Algebra II,
- b. Geometry or Geometry taught in a contextual methodology,
- c. Trigonometry,
- d. Math Analysis or Precalculus,
- e. Calculus,
- f. Statistics ~~and/or~~ or Probability,
- g. Computer Science or acceptance and successful completion of one (1) year of a full-time, three-hour career and technology program leading to an industry credential/certificate or college credit. The State Board of Career and Technology Education shall promulgate rules to define the provisions of this section related to the accepted industry-valued credentials which are industry-endorsed or industry-aligned. The list of accepted industry-valued credentials shall be reviewed annually and updated at least every three (3) years by the Board,

- h. (1) contextual mathematics courses which enhance technology preparation, or
- (2) a science, technology, engineering, and math (STEM) block course meeting the requirements for course competencies listed in paragraph 2 of subsection B of this section, whether taught at a:
 - (a) comprehensive high school, or
 - (b) technology center school when taken in the tenth, eleventh, or twelfth grade, taught by a certified teacher, and approved by the State Board of Education and the independent district board of education,
- i. mathematics courses taught at a technology center school by a teacher certified in the secondary subject area when taken in the tenth, eleventh, or twelfth grade upon approval of the State Board of Education and the independent district board of education, or
- j. any other mathematics course with content ~~and/or~~ or rigor equal to or above Algebra I;

3. Science - 3 units or sets of competencies to consist of 1 unit or set of competencies of Biology I or Biology I taught in a contextual methodology, and 2 units or sets of competencies in the areas of life, physical, or earth science or technology which may include, but are not limited to, the following courses:

- a. Chemistry I,
- b. Physics,
- c. Biology II,
- d. Chemistry II,
- e. Physical Science,

- f. Earth Science,
- g. Botany,
- h. Zoology,
- i. Physiology,
- j. Astronomy,
- k. Applied Biology/Chemistry,
- l. Applied Physics,
- m. Principles of Technology,
- n. qualified agricultural education courses,
- o. (1) contextual science courses which enhance technology preparation, or
(2) a science, technology, engineering, and math (STEM) block course meeting the requirements for course competencies listed in paragraph 3 of subsection B of this section, whether taught at a:
 - (a) comprehensive high school, or
 - (b) technology center school when taken in the tenth, eleventh, or twelfth grade, taught by a certified teacher, and approved by the State Board of Education and the independent district board of education,
- p. science courses taught at a technology center school by a teacher certified in the secondary subject area when taken in the tenth, eleventh, or twelfth grade upon approval of the State Board of Education and the independent district board of education, or

- q. other science courses with content ~~and/or~~ or rigor equal to or above Biology I;

4. Social Studies - 3 units or sets of competencies to consist of 1 unit or set of competencies of United States History, 1/2 to 1 unit or set of competencies of United States Government, 1/2 unit or set of competencies of Oklahoma History, and 1/2 to 1 unit or set of competencies which may include, but are not limited to, the following courses:

- a. World History,
- b. Geography,
- c. Economics,
- d. Anthropology, or
- e. other social studies courses with content ~~and/or~~ or rigor equal to or above United States History, United States Government, and Oklahoma History;

5. Arts - 1 unit or set of competencies which may include, but is not limited to, courses in Visual Arts and General Music; and

6. Computer Education or World Language - 1 unit or set of competencies of computer technology, whether taught at a high school or a technology center school including computer programming, hardware, and business computer applications, such as word processing, databases, spreadsheets, and graphics, excluding keyboarding or typing courses, or 1 unit or set of competencies of world or non-English language.

D. Beginning with the 2024-2025 school year, students whose parent or legal guardian approve modification of the existing graduation track as outlined in subsections B and C of this section, subject to school approval, may complete a minimum of twenty-three (23) curriculum units or sets of competencies at the secondary level as listed below; and students entering the eighth grade in the 2025-2026 school year, in order to graduate from a public high school accredited by the State Board of Education with a standard diploma,

students shall complete a minimum of the following twenty-three (23) curriculum units or sets of competencies at the secondary level:

1. Four units or sets of competencies of English to include Grammar, Composition, Literature, or any English course;

2. Four units or sets of competencies of mathematics, two of which shall be Algebra I and either Algebra II or Geometry. The other two units may include Algebra II, Geometry, Trigonometry, Math Analysis, Calculus, Statistics, Math of Finance, Computer Science, college courses approved for dual credit, an approved full-time postsecondary career and technology program, or locally approved math based application course, or any mathematics course with content ~~and/or~~ or rigor above Algebra I;

3. Three units or sets of competencies of laboratory science approved for college admission requirements including one unit or set of competencies of life science meeting the standards for Biology I; one unit or set of competencies of physical science meeting the standards for Physical Science, Chemistry, or Physics; and one unit or set of competencies from the domains of physical science, life science, or earth and space science, or approved full-time postsecondary career and technology program or locally approved science based application course, or any science course with content ~~and/or~~ or rigor above Biology I or Physical Science;

4. Three units or sets of competencies of history and citizenship skills including one unit of American History, 1/2 unit of Oklahoma History, 1/2 unit of United States Government, and one unit from the subjects of History, Government, Geography, Economics, Civics, or non-Western culture;

5. Six pathway units or sets of competencies approved at the discretion of the school district board of education which align with each student's Individual Career and Academic Plan (ICAP) and may include, but are not limited to, any additional units or sets of competencies as provided in paragraphs 1 through 4 of this subsection, world or non-English language, computer technology, Junior Reserve Officers' Training Corps (JROTC), internship or apprenticeship programs, career and technology education courses, concurrently enrolled courses, advanced placement courses, International Baccalaureate courses approved for college admission

requirements, music, art, drama, speech, dance, media arts, or other approved courses; and

6. Three units or sets of competencies of elective courses approved by the school district board of education.

E. A school district shall determine the specific description of the locally approved math and science based application courses allowed pursuant to paragraphs 2 and 3 of subsection D of this section. Formal notification with the specific course description shall be provided to the State Department of Education prior to July 1 of each school year. The notification shall include what courses will be coded as locally approved math and science based application courses for the ensuing school year.

F. 1. In addition to the curriculum requirements of subsection B, C, or D of this section, in order to graduate from a public high school accredited by the State Board of Education students shall complete the requirements for a personal financial literacy passport as set forth in the Passport to Financial Literacy Act and any additional course requirements or recommended elective courses as may be established by the State Board of Education and the district school board. School districts shall strongly encourage students to complete two units or sets of competencies of world languages and two units or sets of competencies of physical and health education.

2. No student shall receive credit for high school graduation more than once for completion of the same unit or set of competencies to satisfy the curriculum requirements of this section.

3. A school district shall not be required to offer every course listed in subsections B, C, and D of this section but shall offer sufficient courses to allow a student to meet the graduation requirements during the secondary grade years of the student.

G. For purposes of this section:

1. "Contextual methodology" means academic content and skills taught by utilizing real-world problems and projects in a way that helps students understand the application of that knowledge;

2. "Locally approved" means approved by the local school district board of education;

3. "Math based application course" means a course that teaches math content within a real-world application;

4. "Pathway unit" means a course taken by a high school student that is aligned with the student's current Individualized Career and Academic Plan (ICAP);

5. "Qualified agricultural education courses" means courses that have been determined by the State Board of Education to offer the sets of competencies for one or more science content areas and which correspond to academic science courses. Qualified agricultural education courses shall include, but are not limited to, horticulture, plant and soil science, natural resources and environmental science, and animal science. The courses shall be taught by teachers certified in agricultural education and comply with all rules of the Oklahoma Department of Career and Technology Education;

6. "Rigor" means a level of difficulty that is thorough, exhaustive and accurate and is appropriate for the grade level;

7. "Science based application course" means a course that teaches science content within a real-world application;

8. "Sets of competencies" means instruction in those skills and competencies that are specified in the subject matter standards adopted by the State Board of Education and other skills and competencies adopted by the Board, without regard to specified instructional time; and

9. "Unit" means a Carnegie Unit as defined by the North Central Association's Commission on Schools.

~~H. 1. The State Board of Education, State Board of Career and Technology Education, and State Regents for Higher Education shall adopt a joint plan and electronically submit it to the Speaker of the Oklahoma House of Representatives and the President Pro Tempore of the Oklahoma State Senate by January 1, 2025, to ensure that rigor is maintained in the content, teaching methodology, level of~~

~~expectations for student achievement, and application of learning in all the courses taught to meet the graduation requirements specified in subsection D of this section.~~

~~2.~~ The State Board of Education shall allow as much flexibility at the district level as is possible without diminishing the rigor or undermining the intent of providing these courses. To accomplish this purpose, the State Department of Education shall work with school districts in reviewing and approving courses taught by districts that are not specifically listed in subsections B, C, and D of this section. Options may include, but shall not be limited to, courses taken by concurrent enrollment, advanced placement, or correspondence, or courses bearing different titles.

~~3.~~ 2. Technology center school districts may offer programs designed in cooperation with institutions of higher education. Students in the tenth grade may be allowed to attend these programs for up to one-half (1/2) of a school day and credit for the units or sets of competencies required in paragraphs 2, 3, and 6 of subsection B or C and paragraphs 2 and 3 of subsection D of this section shall be given if the courses are taught by a teacher certified in the secondary subject area; provided, credit for units or sets of competencies pursuant to subsection B of this section shall be approved for college admission requirements.

~~4.~~ 3. If a student enrolls in a concurrent course, the school district shall not be responsible for any costs incurred for that course, unless the school district does not offer enough course selection during the student's secondary grade years to allow the student to receive the courses needed to meet the graduation requirements of this section. If the school district does not offer the necessary course selection during the student's secondary grade years, it shall be responsible for the cost of resident tuition at an institution in The Oklahoma State System of Higher Education, fees, and books for the concurrent enrollment course, and providing for transportation to and from the institution to the school site.

It is the intent of the Legislature that for students enrolled in a concurrent enrollment course which is paid for by the school district pursuant to this paragraph, the institution charge only the supplementary and special service fees that are directly related to the concurrent enrollment course and enrollment procedures for that

student. It is further the intent of the Legislature that fees for student activities and student service facilities including the student health care and cultural and recreational service fees not be charged to such students.

~~5.~~ 4. Credit for the units or sets of competencies required in subsection B, C, or D of this section shall be given when such units or sets of competencies are taken prior to ninth grade if the teachers are certified or authorized to teach the subjects for high school credit and the required rigor is maintained.

~~6.~~ 5. The units or sets of competencies in mathematics required in subsection B, C, or D of this section may be completed at any time during the eighth through twelfth grades. If a student completes any required courses or sets of competencies in mathematics prior to eighth grade, the student may take any other mathematics courses or sets of competencies to fulfill the requirement to complete the units or sets of competencies in grades eight through twelve after the student has satisfied the requirements of subsection B, C, or D of this section.

~~7.~~ 6. All units or sets of competencies required for graduation may be taken in any sequence recommended by the school district.

I. As a condition of receiving accreditation from the State Board of Education, all students in grades nine through twelve shall enroll in a minimum of six periods, or the equivalent in block scheduling or other scheduling structure that allows for instruction in sets of competencies, of rigorous academic ~~and/or~~ or rigorous vocational courses each day, which may include arts, vocal and instrumental music, speech classes, and physical education classes.

J. 1. Academic and vocational-technical courses designed to offer sets of competencies integrated or embedded within the course that provide for the teaching and learning of the appropriate skills and knowledge in the subject matter standards, as adopted by the State Board of Education, may upon approval of the Board, in consultation with the Oklahoma Department of Career and Technology Education if the courses are offered at a technology center school district, be counted for academic credit and toward meeting the graduation requirements of this section.

2. Internet-based courses offered by a technology center school that are taught by a certified teacher and provide for the teaching and learning of the appropriate skills and knowledge in the subject matter standards may, upon approval of the State Board of Education and the independent district board of education, be counted for academic credit and toward meeting the graduation requirements of this section.

3. Internet-based courses or vocational-technical courses utilizing integrated or embedded skills for which no subject matter standards have been adopted by the State Board of Education may be approved by the Board, in consultation with the Oklahoma Department of Career and Technology Education if the courses are offered by a technology center school district, if such courses incorporate standards of nationally recognized professional organizations and are taught by certified teachers.

4. Courses offered by a supplemental education organization that is accredited by a national accrediting body and that are taught by a certified teacher and provide for the teaching and learning of the appropriate skills and knowledge in the subject matter standards may, upon approval of the State Board of Education and the school district board of education, be counted for academic credit and toward meeting the graduation requirements of this section.

K. The State Board of Education shall provide an option for high school graduation based upon attainment of the desired levels of competencies as required in tests pursuant to the provisions of Section 1210.508 of this title. Such option shall be in lieu of the amount of course credits earned.

L. The State Board of Education shall prescribe, adopt, and approve a promotion system based on the attainment by students of specified levels of competencies in each area of the core curriculum.

M. Children who have individualized education programs pursuant to the Individuals with Disabilities Education Act (IDEA), and who satisfy the graduation requirements through the individualized education program for that student shall be awarded a standard diploma.

N. Any student who completes the curriculum requirements of the International Baccalaureate Diploma Program shall be awarded a standard diploma.

O. Any student who successfully completes an advanced mathematics or science course offered pursuant to Section 1210.404 of this title shall be granted academic credit toward meeting the graduation requirements pursuant to paragraph 2 or 3, as appropriate, of subsection B, C, or D of this section.

P. For purposes of this section, the courses approved for college admission requirements shall be courses which are approved by the Oklahoma State Regents for Higher Education for admission to an institution within The Oklahoma State System of Higher Education.

Q. Students who have been denied a standard diploma by the school district in which the student is or was enrolled for failing to meet the requirements of this section may re-enroll in the school district that denied the student a standard diploma following the denial of a standard diploma. The student shall be provided remediation or intervention and the opportunity to complete the curriculum units or sets of competencies required by this section to obtain a standard diploma. Students who re-enroll in the school district to meet the graduation requirements of this section shall be exempt from the hourly instructional requirements of Section 1-111 of this title and the six-period enrollment requirements of this section.

SECTION 254. AMENDATORY 70 O.S. 2021, Section 11-103.6a, is amended to read as follows:

Section 11-103.6a. A. Beginning with the 2014-15 school year, each area of subject matter standards, except for standards for career and technology education adopted pursuant to Section 14-103 of this title, shall be adopted by the State Board of Education and shall be subject to legislative review and approval as provided for in Section 4 of this act. The subject matter standards shall be implemented statewide by every public school district in this state. The subject matter standards shall be thoroughly reviewed by the State Board every six (6) years according to and in coordination with the existing subject area textbook adoption cycle. After

review, the State Board shall adopt any revisions in such subject matter standards deemed necessary to achieve further improvements in the quality of education for the students of this state. Any revisions adopted by the State Board of Education shall be subject to review and approval as provided for in Section 4 of this act. The adoption of subject matter standards or revisions to the standards by the State Board of Education pursuant to this section shall not be promulgated as rules and shall not be subject to Article I of the Administrative Procedures Act.

B. 1. In addition to the requirements set forth in subsection A of this section, on or before August 1, 2016, the State Board of Education, in consultation with the State Regents for Higher Education, the State Board of Career and Technology Education and the Oklahoma Department of Commerce, shall adopt subject matter standards for English Language Arts and Mathematics which are college- and career-ready and will replace current standards. To be considered college- and career-ready, the standards shall be evaluated by the State Department of Education, the State Regents for Higher Education, the State Board of Career and Technology Education and the Oklahoma Department of Commerce and be determined to be such that the standards will address the goals of reducing the need for remedial coursework at the postsecondary level and increasing successful completion of postsecondary education. The subject matter standards and corresponding student assessments for English Language Arts and Mathematics shall be solely approved and controlled by the state through the State Board of Education.

2. Upon the effective date of this act, the State Board of Education shall begin the process of adopting the English Language Arts and Mathematics standards and shall provide reasonable opportunity, consistent with best practices, for public comment on the revision of the standards, including but not limited to comments from students, parents, educators, organizations representing students with disabilities and English language learners, higher education representatives, career technology education representatives, subject matter experts, community-based organizations, Native American tribal representatives, and business community representatives.

3. Until the statewide student assessments for English Language Arts and Mathematics are implemented as provided for in paragraph 1

of subsection C of this section, the State Board of Education shall implement the subject matter standards for English Language Arts and Mathematics which were in place prior to the revisions adopted by the Board in June 2010.

4. Upon the effective date of this act, the State Board of Education shall seek certification from the State Regents for Higher Education that the subject matter standards for English Language Arts and Mathematics which were in place prior to the revisions adopted by the Board in June 2010 are college- and career-ready as defined in the Federal Elementary and Secondary Education Act (ESEA) Flexibility document issued by the United States Department of Education and referenced in Option B of Principle 1: College and Career-Ready Expectations for All Students. The State Regents shall provide the Board a detailed description of the certification process and results, including a list of deficiencies if the State Regents conclude that the standards are not college- and career-ready. The Board shall post all documents, materials, reports, descriptions, and correspondence produced by the State Regents or used by the State Regents in the certification process on the website for the State Department of Education.

C. 1. On or before the 2017-18 school year, the State Board of Education, in consultation with the State Regents for Higher Education, the State Board of Career and Technology Education and the Oklahoma Department of Commerce, shall direct the process of the development of annual high-quality statewide student assessments for English Language Arts and Mathematics as provided for in Section 1210.508 of this title that align with the college- and career-ready subject matter standards developed pursuant to subsection B of this section.

2. The statewide student assessments for English Language Arts and Mathematics shall continue to assess standards and objectives found in the subject matter standards for English Language Arts and Mathematics which were in place prior to the revisions adopted by the Board in June 2010 and the test blueprints shall continue to align to the standards and objectives found in such subject matter standards for English Language Arts and Mathematics until the new assessments are implemented as provided for in paragraph 1 of this subsection.

D. 1. The State Board of Education shall not enter into any agreement, memorandum of understanding, or contract with any federal agency or private entity which in any way cedes or limits state discretion or control over the process of development, adoption, or revision of subject matter standards and corresponding student assessments in the public school system, including, but not limited to, agreements, memoranda of understanding, and contracts in exchange for funding for public schools and programs. If the State Board of Education is a party to such an agreement, memorandum of understanding, or contract on the effective date of this act, the State Board of Education shall initiate necessary efforts to amend the agreement, memorandum of understanding, or contract to comply with the requirements of this subsection.

2. Nothing in this section shall be construed to prohibit the State Board of Education from seeking and being granted a waiver from federal law, provided that the conditions for the waiver do not require the state to cede or limit its discretion or control over the process of development, adoption, or revision of subject matter standards and corresponding statewide student assessments.

3. The State Department of Education may participate in a multistate or multigovernmental cooperative pursuant to the requirements of the Oklahoma Central Purchasing Act, but shall not bind the state, contractually or otherwise, to the authority of any other state, organization, or entity which may supersede the authority of the State Board of Education.

E. The content of all subject matter standards and corresponding student assessments shall be solely approved and controlled by the state through the State Board of Education. The State Board of Education shall maintain independence of all subject matter standards referenced in Section 11-103.6 of this title and corresponding statewide student assessments and shall not relinquish authority over Oklahoma subject matter standards and corresponding statewide student assessments. Nothing in this section shall prohibit benchmarking the state subject matter standards and corresponding student assessments with those of other states or nations to allow comparison of Oklahoma subject matter standards and corresponding student assessments with those of other states and nations.

F. School districts shall exclusively determine the instruction, curriculum, reading lists, and instructional materials and textbooks, subject to any applicable provisions or requirements as set forth in law, to be used in meeting the subject matter standards. School districts may, at their discretion, adopt supplementary student assessments which are in addition to the statewide student assessments.

G. ~~1.~~ Upon completion of the adoption of English Language Arts and Mathematics subject matter standards pursuant to subsection B of this section, the State Board of Education shall compare such English Language Arts and Mathematics standards with the English Language Arts and Mathematics standards that were adopted by the State Board of Education prior to implementation of this act. The State Board of Education shall consider public comments, the use of best practices, evidence, and research in the evaluation of both sets of standards. The State Board of Education shall compare the standards in the areas of:

a. ~~effective~~

1. Effective preparation for active citizenship and postsecondary education or the workforce~~7i~~

b. ~~subject~~

2. Subject matter content~~7i~~

c. ~~sequencing~~

3. Sequencing of subject matter content and relationship to measurement of student performance and the application of subject matter standards~~7i~~

d. ~~developmental~~

4. Developmental appropriateness of grade-level expectations, academic content, and instructional rigor~~7i~~

e. ~~clarity~~

5. Clarity for educators and parents~~7i~~

~~f. — exemplars~~

6. Exemplars tied to the standards~~7i~~

~~g. — measurability~~

7. Measurability of student proficiency in the subject matter~~7i~~

~~h. — pedagogy,~~

8. Pedagogy;

~~i. — development~~

9. Development of critical thinking skills~~7i~~ and

~~j. — demonstration~~

10. Demonstration of application of acquired knowledge and skills.

~~2. Upon completion of the comparison of the English Language Arts and Mathematics subject matter standards, the State Board of Education shall submit to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Minority Leader of the House of Representatives and the Minority Leader of the Senate a report outlining the results of the comparison of the standards.~~

H. All subject matter standards and corresponding statewide student assessments adopted by the State Board of Education shall be carefully circumscribed to reflect direct application to subject matter proficiency and shall not include standards or assessment questions that are designed to collect or measure noncognitive, emotional or psychological characteristics, attributes, or skills of students.

I. Any rule, including but not limited to Rules 210:15-4-1 through 210:15-4-3 of the Oklahoma Administrative Code, which conflicts with the requirements of this section, shall be amended or

repealed by the State Board of Education as necessary to comply with the requirements of this section.

SECTION 255. AMENDATORY Section 1, Chapter 280, O.S.L. 2022, as last amended by Section 45, Chapter 59, O.S.L. 2024 (70 O.S. Supp. 2025, Section 11-202), is amended to read as follows:

Section 11-202. A. A school district, charter school, virtual charter school, state agency, public library, or institution of higher education within The Oklahoma State System of Higher Education may offer digital or online library database resources to students in kindergarten through twelfth grade only if the vendor, person, or entity providing the resources verifies that all the resources comply with the provisions of subsection B of this section.

B. Digital or online library database resources offered by school districts, charter schools, virtual charter schools, state agencies, public libraries, or universities to students in kindergarten through twelfth grade shall have safety policies and technology protection measures that:

1. Prohibit and prevent a user of the resource from sending, receiving, viewing, or downloading materials that are child sexual abuse material or obscene materials, as defined in Section 1024.1 of Title 21 of the Oklahoma Statutes, or materials that depict child sexual exploitation, as defined in Section 843.5 of Title 21 of the Oklahoma Statutes; and

2. Filter or block access to child sexual abuse material or obscene materials, as defined in Section 1024.1 of Title 21 of the Oklahoma Statutes, or materials that depict child sexual exploitation, as defined in Section 843.5 of Title 21 of the Oklahoma Statutes.

C. Notwithstanding any contract provision to the contrary, if a provider of digital or online library resources fails to comply with the requirements of subsection B of this section, the school district, public charter school, state agency, public library, or institution of higher education shall withhold further payments, if any, to the provider pending verification of compliance.

D. If a provider of digital or online library database resources fails to timely verify that the provider is in compliance with the safety policies and requirements of subsection B of this section, the school district, public charter school, state agency, public library, or institution of higher education shall consider the provider's act of noncompliance a breach of contract.

E. No later than December 1 of each year, libraries shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Speaker of the Oklahoma House of Representatives and President Pro Tempore of the Oklahoma State Senate an aggregate written report on any issues related to provider compliance with technology protection measures required by subsection B of this section.

F. Employees of school districts, charter schools, virtual charter schools, state agencies, public libraries, and universities shall not be exempt from prosecution for willful violations of state law prohibiting indecent exposure to obscene material or child sexual abuse material as provided in Section 1021 of Title 21 of the Oklahoma Statutes.

G. Nothing in this act shall be construed in a manner that applies to digital or online library database resources offered by institutions of higher education when the primary purpose of the resources is for education or research.

SECTION 256. AMENDATORY Section 1, Chapter 336, O.S.L. 2022 (70 O.S. Supp. 2025, Section 14-201), is amended to read as follows:

Section 14-201. A. There is hereby created until November 1, 2027, the Oklahoma Education Commission.

B. The Commission shall consist of seventeen (17) members to be appointed as follows:

1. A member of the Oklahoma House of Representatives shall be appointed by the Speaker of the Oklahoma House of Representatives;

2. A member of the Oklahoma State Senate shall be appointed by the President Pro Tempore of the Oklahoma State Senate;

3. The Director of the Department of Corrections, or his or her designee;

4. The Director of the Oklahoma Department of Libraries, or his or her designee;

5. The Executive Director of the Oklahoma Educational Television Authority, or his or her designee;

6. Four members with expertise in online and educational innovation shall be appointed by the Chancellor of Higher Education, one of whom shall be a representative of the Oklahoma State Regents for Higher Education, one of whom shall be a representative of a research institution within The Oklahoma State System of Higher Education, one of whom shall be a representative of a regional institution within The Oklahoma State System of Higher Education, and one of whom shall be a representative of a community college within The Oklahoma State System of Higher Education;

7. Four members with expertise in effective approaches to classroom instruction and learning or educational innovation shall be appointed by the State Superintendent of Public Instruction, one of whom shall represent the State Department of Education, one of whom shall be a school district administrator, one of whom shall be a certified classroom teacher, and one of whom shall be a high school student; and

8. Four members with expertise in effective approaches to career and technology education instruction and learning or educational innovation shall be appointed by the Director of the Oklahoma Department of Career and Technology Education, one of whom shall represent the Oklahoma Department of Career and Technology Education, one of whom shall be an administrator of a state technology center school or college, one of whom shall be a certified teacher at a state technology center school or college, and one of whom shall be a student enrolled at a state technology center school or college.

C. The Commission shall hold an organizational meeting not later than ninety (90) days after the effective date of this act. The member of the Oklahoma House of Representatives shall serve as

chair of the Commission and the member of the Oklahoma State Senate shall serve as vice-chair. A quorum of the membership of the Commission shall be required to approve any final action of the Commission. For purposes of this section, nine members shall constitute a quorum.

D. The Commission may meet as often as required to perform the duties imposed upon it, but shall meet at least quarterly.

E. The Commission shall engage multiple stakeholders in research, evaluation, and information sharing to conduct a study on how to improve the quality of instruction and learning through distance and remote modalities. Topic areas of the study shall include, but not be limited to:

1. Support infrastructure;
2. Open education resources;
3. Compliance with the federal Americans with Disabilities Act;
4. Professional development; and
5. Modality research.

F. The Commission shall be subject to the Oklahoma Open Meeting Act and the Oklahoma Open Records Act.

G. Members of the Commission shall not receive compensation or travel reimbursement.

H. The Oklahoma House of Representatives shall provide staff and administrative support for the Commission.

I. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report of its findings and recommendations no later than November 1, 2027, to the Governor, the President Pro Tempore of the Oklahoma State Senate, and the Speaker of the Oklahoma House of Representatives.

SECTION 257. AMENDATORY 70 O.S. 2021, Section 17-106.1,
is amended to read as follows:

Section 17-106.1. A. The Board of Trustees of the Teachers' Retirement System of Oklahoma shall discharge their duties with respect to the System solely in the interest of the participants and beneficiaries and:

1. For the exclusive purpose of:

- a. providing benefits to participants and their beneficiaries, and
- b. defraying reasonable expenses of administering the System;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

3. By diversifying the investments of the System so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

4. In accordance with the laws, documents and instruments governing the System.

B. The Board of Trustees of the Teachers' Retirement System of Oklahoma may invest the assets of the System in real property owned or to be acquired by the State of Oklahoma. It is further authorized to acquire, exchange, and grant any real property under its jurisdiction as is necessary to carry out the investment in the real property. The Board of Trustees of the Teachers' Retirement System of Oklahoma is authorized to invest not more than ten percent (10%) of the total value of assets of the System in connection with such investments. Limitations on investment of the assets of the System provided herein shall be determined as of the date of its making or acquisition.

C. The Board of Trustees may procure insurance indemnifying the members of the Board of Trustees from personal loss or

accountability from liability resulting from a member's action or inaction as a member of the Board.

D. The Board of Trustees may establish an investment committee. The investment committee shall be composed of not more than five (5) members of the Board of Trustees appointed by the chairman of the Board of Trustees. The committee shall make recommendations to the full Board of Trustees on all matters related to the choice of custodians and managers of the assets of the System, on the establishment of investment and fund management guidelines, and in planning future investment policy. The committee shall have no authority to act on behalf of the Board of Trustees in any circumstances whatsoever. No recommendation of the committee shall have effect as an action of the Board of Trustees nor take effect without the approval of the Board of Trustees as provided by law.

E. The Board of Trustees may retain qualified investment managers to provide for the investment of the monies of the System. The investment managers shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Board of Trustees. Subject to the overall investment guidelines set by the Board of Trustees, the investment managers shall have full discretion in the management of those monies of the System allocated to the investment managers. The Board of Trustees shall manage those monies not specifically allocated to the investment managers. The monies of the System allocated to the investment managers shall be actively managed by the investment managers, which may include selling investments and realizing losses if such action is considered advantageous to longer term return maximization. Because of the total return objective, no distinction shall be made for management and performance evaluation purposes between realized and unrealized capital gains and losses.

F. Funds and revenues for investment by the investment managers or the Board of Trustees shall be placed with a custodian selected by the Board of Trustees. The custodian shall be a bank or trust company offering pension fund master trustee and master custodial services. The custodian shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Board of Trustees. In compliance with the investment policy guidelines of the Board of Trustees, the custodian bank or trust company shall be contractually responsible for ensuring that all

monies of the System are invested in income-producing investment vehicles at all times. If a custodian bank or trust company has not received direction from the investment managers of the System as to the investment of the monies of the System in specific investment vehicles, the custodian bank or trust company shall be contractually responsible to the Board of Trustees for investing the monies in appropriately collateralized short-term interest-bearing investment vehicles.

G. By November 1, 1988, and prior to August 1 of each year thereafter, the Board of Trustees shall develop a written investment plan for the System.

H. The Board of Trustees shall compile a quarterly financial report of all the funds of the System on a fiscal year basis. The report shall be compiled pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall include several relevant measures of investment value, including acquisition cost and current fair market value with appropriate summaries of total holdings and returns. The report shall contain combined and individual rate of returns of the investment managers by category of investment, over periods of time. The Board of Trustees shall include in the quarterly reports all commissions, fees or payments for investment services performed on behalf of the Board. The report shall be electronically distributed to the Governor, the Oklahoma State Pension Commission, the Legislative Service Bureau, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act. In lieu of compiling and distributing the quarterly report, the Board may provide the Oklahoma State Pension Commission with direct access to the same data from the custodian bank for the System.

I. After July 1 and before December 1 of each year, the Board of Trustees shall publish widely an annual report presented in simple and easily understood language pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall be submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Oklahoma State Pension Commission, and the members of the System. The annual report shall cover the

operation of the System during the past fiscal year, including income, disbursements, and the financial condition of the System at the end of the fiscal year. The annual report shall also contain the information issued in the quarterly reports required pursuant to subsection H of this section as well as a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or over funded status, contributions, and any other information deemed relevant by the Board of Trustees. The annual report shall be written in such a manner as to permit a readily understandable means for analyzing the financial condition and performance of the System for the fiscal year.

SECTION 258. AMENDATORY 70 O.S. 2021, Section 17-116.7, is amended to read as follows:

Section 17-116.7. A. After the effective date of this act, before entering into any type of contract that creates an unfunded liability and is for the purpose of enhancing pension benefits for employees beyond the provisions of the Teachers' Retirement System of Oklahoma, a state institution of higher education, technology center school district, or public school district, unless otherwise provided by law, shall forward to the Office of the Attorney General a copy of the contract and a copy of an actuarial report indicating the amount of unfunded liability that would be created pursuant to the contract. The Attorney General shall review the contract to ensure that the contract conforms to state law. No such contract shall be signed by the education entity until the Attorney General approves the contract. Any such contract entered into without complying with the requirements of this section shall be void.

B. In order to make the Legislature and Governor more aware of the effect of unfunded pension benefits and other post-employment benefits on state finances, annual audits conducted pursuant to law on state institutions of higher education, technology center school districts, and school districts shall be prepared in accordance with appropriate accounting standards pertaining to unfunded pension benefits and other post-employment benefits. The State Regents for Higher Education, the State Board of Career and Technology Education and the State Board of Education, jointly, shall have the information pertaining to benefits compiled into an annual report that shall be electronically distributed to the Governor, the

Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 259. AMENDATORY 70 O.S. 2021, Section 18-162, is amended to read as follows:

Section 18-162. No later than the first day of October of each year, the State Board of Education shall submit with the itemized budget request and estimates for the ensuing fiscal year, a Schools Capital Improvements Budget. Such Schools Capital Improvements Budget shall be electronically submitted to the Director of the Office of Management and Enterprise Services, the Director of the Legislative Service Bureau, and the Oklahoma Development Finance Authority utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 260. AMENDATORY 70 O.S. 2021, Section 24-158, as amended by Section 2, Chapter 281, O.S.L. 2022 (70 O.S. Supp. 2025, Section 24-158), is amended to read as follows:

Section 24-158. A. The "Oklahoma Prevention Needs Assessment Survey" means the biennial mental health prevention survey of public school students in grades six, eight, ten, and twelve managed by the Department of Mental Health and Substance Abuse Services.

B. Beginning in the 2022-2023 school year, and biennially thereafter, public schools shall administer the Oklahoma Prevention Needs Assessment Survey, or an alternative survey as provided in subsection D of this section, for the purpose of providing direction to schools, school districts, and communities to effectively improve the lives of students regarding a variety of issues with a focus on alcohol, tobacco, other drug use, mental health, academic failure, and violence.

C. The Department of Mental Health and Substance Abuse Services shall maintain the Oklahoma Prevention Needs Assessment Survey and shall provide technical assistance for schools in survey administration, reporting, planning, and development of school mental health prevention and intervention strategies informed by the survey results.

D. If a school or school district chooses to administer an alternative survey or assessment tool to fulfill the purpose described in subsection B of this section, it may apply for a waiver through the Department of Mental Health and Substance Abuse Services.

E. The school district superintendent or his or her designee shall provide prior written notification to the parents or legal guardians of students to be administered the Oklahoma Prevention Needs Assessment Survey or an alternative survey or assessment tool adopted pursuant to subsection D of this section. The notification shall include information to parents and legal guardians that they may opt their student out of the survey or assessment tool by providing written notice to the school district.

F. Prior to the biennial administration of the Oklahoma Prevention Needs Assessment Survey, the Department of Mental Health and Substance Abuse Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit the survey to the President Pro Tempore of the Oklahoma State Senate, the Speaker of the Oklahoma House of Representatives, the chairs of the committees with responsibility over common education in both houses of the Legislature, and the chairs of the committees with responsibility over public health in both houses of the Legislature.

G. The provisions of this section shall be subject to the availability of federal funding. If federal funding is insufficient to provide the Oklahoma Prevention Needs Assessment Survey to public schools on a biennial basis, administration of the survey shall not be required.

H. The Board of Mental Health and Substance Abuse Services and the State Board of Education may promulgate rules as necessary to carry out the provisions of this section.

SECTION 261. AMENDATORY 70 O.S. 2021, Section 625.14, as amended by Section 15, Chapter 407, O.S.L. 2022 (70 O.S. Supp. 2025, Section 625.14), is amended to read as follows:

Section 625.14. The Health Care Workforce Training Commission shall establish and administer cost-sharing programs for internship

and residency physician training. The Commission shall provide for state assistance by sharing the cost on a percentage basis, as may be prescribed by law or as determined by the Commission, of the salary, fringe benefits, training, and program administration of the interns and residents as may be arranged by contract for reimbursement with an accredited and approved hospital and accredited clinical programs throughout the state in cooperation with the University of Oklahoma College of Medicine and the University of Oklahoma College of Medicine at Tulsa. Such physician training institutions in the state shall serve as the administrative agent for internship and residency programs which are located in hospitals and clinical training programs throughout the state. Such programs are affiliated with the institutions and are approved for funding by the Commission. The Commission shall conduct the planning, coordination, and selection of the training programs to assure the effective and efficient operation of these programs. Not less than seventy-five percent (75%) of the subsidy for these programs shall be used in the training of primary health care and family practice physicians for the rural and medically underserved areas of the state. Provided that such subsidy may be used for the primary purpose of increasing the total number of residencies funded by this state, wherever located within the state, during that period in which residency programs are being established in rural areas; provided further, that as the residency programs are established and accredited in rural hospitals, residency positions in such programs shall be first provided for by the Commission. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically present a report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate within one (1) month of the beginning of each regular legislative session on the operation of the programs including the progress made in accomplishing the goals of physician training as to type of specialties and workforce placement of the kind necessary to provide adequate health care to the people throughout this state. The subsidy to the participating hospital, clinical situation or training institution per resident or intern shall not exceed any maximum or minimum amount as may be prescribed by law or as determined by the Commission. The actual amount of subsidy for physician training program situations shall be based upon a determination by the Commission of:

1. The type of primary care residency and internship programs involved and being conducted;

2. The extent of reimbursement available through third-party payers and all other sources; and

3. The program and salary costs incurred in the given training situation.

SECTION 262. AMENDATORY 70 O.S. 2021, Section 695.20, is amended to read as follows:

Section 695.20. The State Auditor and Inspector shall perform a special audit on the Oklahoma Student Loan Authority during the fiscal year beginning July 1, 1992, and at least once each five (5) years thereafter. The State Auditor and Inspector shall have the power to take custody of any records necessary to the performance of the audit but shall minimize actual physical removal of or denial of access to such records. At the conclusion of the audit, the State Auditor and Inspector shall meet with the chief executive officer and the audit committee of the board of trustees of the Authority to review the audit report to be issued. The report, when issued, shall include any responses to the audit which the chief executive officer or the audit committee wishes to have included. The State Auditor and Inspector shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file the report with the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the chairs of the Education Committees of the Senate and the House of Representatives, and the Oklahoma State Regents for Higher Education. The costs of the audit shall be borne by the Authority.

SECTION 263. AMENDATORY 70 O.S. 2021, Section 697.2, as amended by Section 17, Chapter 407, O.S.L. 2022 (70 O.S. Supp. 2025, Section 697.2), is amended to read as follows:

Section 697.2. The Health Care Workforce Training Commission is authorized to establish and administer cost-sharing programs for internship and residency physician training. The Commission shall provide for state assistance by sharing the cost on a percentage basis, as may be prescribed by law or as determined by the Commission, of the salary, fringe benefits, training, and program

administration of the interns and residents as may be arranged by contract for reimbursement with an accredited and approved hospital and accredited clinical programs throughout the state in cooperation with the Oklahoma State University College of Osteopathic Medicine. Such physician training institutions in the state shall serve as the administrative agent for internship and residency programs which are located in hospitals and clinical training programs throughout the state. Such programs are affiliated with the institutions and approved for funding by the Commission. The Commission shall conduct the planning, coordination, and selection of the training programs to assure the effective and efficient operation of these programs. Not less than seventy-five percent (75%) of the subsidy for these programs shall be used in the training of primary health care and family/general practice physicians for the rural and medically underserved areas of the state. Provided that such subsidy may be used for the primary purpose of increasing the total number of residencies funded by this state, wherever located within the state, during that period in which residency programs are being established in rural areas; provided further, that as the residency programs are established and accredited in rural hospitals, residency positions in such programs shall be first provided for by the Commission. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically present a report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate within one (1) month of the beginning of each regular legislative session on the operation of the programs including the progress made in accomplishing the goals of physician training as to type of specialties and workforce placement of the kind necessary to provide adequate health care to the people throughout this state. The subsidy to the participating hospital, clinical situation or training institution per resident or intern shall not exceed any maximum or minimum amount as may be prescribed by law or as determined by the Commission. The actual amount of subsidy for physician training program situations shall be based upon a determination by the Commission of:

1. The type of primary care residency and internship programs involved and being conducted;

2. The extent of reimbursement available through third-party payers and all other sources; and

3. The program and salary costs incurred in the given training situation.

SECTION 264. AMENDATORY 70 O.S. 2021, Section 697.25, is amended to read as follows:

Section 697.25. A. The Oklahoma Health Care Authority shall, in consultation with the Oklahoma State University College of Osteopathic Medicine and the University of Oklahoma College of Medicine, designate eligible hospitals for the creation of new residency training programs to serve medically underserved areas.

B. The Oklahoma Health Care Authority is authorized to contract with the Oklahoma State University of Osteopathic Medicine and the University of Oklahoma College of Medicine to provide funding for the establishment of new residency training programs created under the Oklahoma Hospital Residency Training Program Act.

C. The Oklahoma Health Care Authority shall, with the assistance of the Oklahoma State University College of Osteopathic Medicine and the University of Oklahoma College of Medicine, provide technical assistance and funding for the colleges' costs incurred in supporting the programs to ensure that residency training programs established pursuant to the Oklahoma Hospital Residency Training Program Act become funded by the Centers for Medicaid and Medicare Services. Any student who is a resident of this state or who is in good academic standing with an accredited medical college in this state shall receive priority consideration in the process of assigning clinical rotations at a health care facility that accepts state funding. For purposes of this section, "resident" means an individual who resided in this state at the time of graduation from an Oklahoma high school.

D. The Oklahoma Health Care Authority shall establish reporting mechanisms for eligible hospitals for the monitoring of progress of the new residency training programs.

E. The Oklahoma Health Care Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically present a report on the operation of the Oklahoma Hospital Residency Training Program to the Governor, the President

Pro Tempore of the Senate, and the Speaker of the House of Representatives within one (1) month of the beginning of each regular session of the Legislature which shall include, but shall not be limited to, information on the progress made in implementing the Oklahoma Hospital Residency Training Program Act.

SECTION 265. AMENDATORY 70 O.S. 2021, Section 698.1, as last amended by Section 1, Chapter 249, O.S.L. 2023 (70 O.S. Supp. 2025, Section 698.1), is amended to read as follows:

Section 698.1. A. The Oklahoma State Regents for Higher Education shall establish and maintain an incentive scholarship program and teacher employment incentive program, as funding is available, to encourage the preparation of public school teachers for prekindergarten through twelfth grade, including minority teachers, at all state public higher education institutions or private higher education institutions accredited pursuant to Section 4103 of this title and incentivize employment as public teachers for prekindergarten through twelfth grade in the state for at least five (5) years, to be known as the Inspired to Teach Program. Prospective teachers planning to pursue an undergraduate teacher education program at an accredited Oklahoma teacher preparation program shall be considered if they graduated from high school, completed high-school level instruction at home, or completed General Educational Development (GED) test requirements; meet the higher education admission standards; and declare a pre-education major or major in an approved Oklahoma teacher preparation degree program leading to a standard teaching certificate.

B. To the extent that funds are available, scholarships, renewable for up to three (3) additional years for qualified students meeting satisfactory academic progress standards in completing a teacher preparation degree program leading to a standard teaching certificate, shall be awarded to cover costs of tuition, general enrollment fees, other fees, books, materials, and services provided by the institution, including room and board, in the following manner:

1. One Thousand Dollars (\$1,000.00) per academic year for up to three (3) academic years for full-time students who have earned less than ninety (90) credit hours; and

2. Two Thousand Five Hundred Dollars (\$2,500.00) for the final academic year for full-time students who have earned ninety (90) or more credit hours.

The maximum amount of scholarship funds awarded as provided in this subsection to any qualified student shall not exceed Five Thousand Five Hundred Dollars (\$5,500.00).

C. As used in this section, "full-time student" means:

1. An undergraduate student enrolled in twelve (12) or more semester credits toward teacher education degree requirements;

2. An undergraduate student who is a teacher education major who is enrolled in or has completed an internship or student teaching credit hours in order to complete the degree program prior to certification and who has been approved to take less than twelve (12) credit hours; or

3. An undergraduate student who is a teacher education major with an approved reasonable accommodation from Student Accessibility Services at the institution due to a documented disability and who has been approved to take less than twelve (12) credit hours.

D. It is the intent of the Oklahoma Legislature that the Oklahoma State Regents for Higher Education create a committee composed of educators, teacher educators from the participating institutions, and representatives of the public schools and the State Department of Education to provide recommendations to the State Regents to improve effectiveness of the Inspired to Teach Program. The committee shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically deliver a report on the program to the Legislature on or before July 1 of each year.

E. Each scholarship participant, prior to entry into the Inspired to Teach Program, shall have agreed to teach in an Oklahoma public prekindergarten through twelfth grade school for a minimum of five (5) consecutive years upon graduation and licensure as a teacher. Any scholarship participant failing to maintain a 2.5 grade point average throughout matriculation, changing to an ineligible area of study, failing to meet satisfactory academic

progress standards, withdrawing, or otherwise leaving school, or failing to meet requirements for licensure and certification to teach as established by law shall be subject to disqualification from the program.

F. The Oklahoma State Regents for Higher Education are authorized to make employment incentive payments pursuant to the provisions of this section to Inspired to Teach Program participants who are employed as traditionally certified teachers in Oklahoma public prekindergarten through twelfth grade schools following graduation. Incentive payments may be awarded following each consecutive year of satisfactory service as documented by the employing school district, up to five (5) years of service for scholarship recipients as provided in subsection A of this section, upon graduation from an accredited Oklahoma teacher preparation degree program. The maximum amount of employment incentive payments for any qualified participant shall be Four Thousand Dollars (\$4,000.00) per year for up to five (5) years, not to exceed a total of Twenty Thousand Dollars (\$20,000.00) per participant.

G. The Oklahoma State Regents for Higher Education shall require the execution of appropriate contracts with eligible Inspired to Teach Program participants. Participants failing to comply with the requirements of this section or failing to provide current contact information shall not be eligible for the employment incentive payments provided for in this section. The Chancellor of the Oklahoma State Regents for Higher Education, with the approval of the State Regents, may contract with any other appropriate organization or unit of government for the administration of the provisions of this section.

H. If sufficient funds are not available for employment incentive payments to qualified participants during any fiscal year, the Chancellor may make reductions in the payments made to qualified participants.

I. The Oklahoma State Regents for Higher Education may, at the time an award is made on behalf of the Inspired to Teach Program, set aside funds for the full commitment made to an eligible student.

J. The Oklahoma State Regents for Higher Education may utilize Inspired to Teach Program designated funds for administration of the program.

SECTION 266. AMENDATORY Section 1, Chapter 155, O.S.L. 2023 (70 O.S. Supp. 2025, Section 1210.210), is amended to read as follows:

Section 1210.210. A. The State Department of Education Office of Federal Programs shall, in conjunction with the Office of Planning and Coordination for Services to Children and Youth Steering Committee established in Section 601.6c of Title 10 of the Oklahoma Statutes, adopt a standard form to be used by all school districts to identify students who are homeless children and youth as defined in Section 600 of Title 10 of the Oklahoma Statutes. Beginning with the 2024-2025 school year, the form shall be completed annually at enrollment by the parent or guardian of a student or by the student if he or she is not in the physical custody of a parent or guardian. Districts shall report the results to the Department, in a manner prescribed by the Department, no later than June 1 of each year.

B. Beginning July 1, 2025, the Department shall compile a report of the number of students identified as being homeless, by district and grade level. The report shall be electronically distributed annually to the Governor, Speaker of the Oklahoma House of Representatives, Chair of the House Common Education Committee, President Pro Tempore of the Oklahoma State Senate, Chair of the Senate Education Committee, and the Oklahoma Commission on Children and Youth utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 267. AMENDATORY 70 O.S. 2021, Section 1210.228, is amended to read as follows:

Section 1210.228. The State Department of Education shall, ~~at least thirty (30) days prior to the 1973 regular session of the Legislature and each regular session thereafter, transmit~~ utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the members of the State Board of Education, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Chairmen Chairs of the Senate

and House Education Committees, a report as to the status of the drug abuse education program together with any recommendations for further improvement, modification, or additional legislation. Such submission shall be made annually at least thirty (30) days prior to the regular session of the Legislature.

SECTION 268. AMENDATORY 70 O.S. 2021, Section 1210.258, is amended to read as follows:

Section 1210.258. The State Department of Education shall, ~~at least thirty (30) days prior to the 1975 regular session of the Legislature and each regular session thereafter, transmit~~ utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the members of the State Board of Education, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the ~~Chairmen~~ Chairs of the Senate and House Education Committees, a report as to the status of the economic education program together with any recommendations for further improvement, modification or additional legislation. Such submission shall be made annually at least thirty (30) days prior to the regular session of the Legislature.

SECTION 269. AMENDATORY 70 O.S. 2021, Section 1210.307, is amended to read as follows:

Section 1210.307. A. It shall be the duty of each school district to provide gifted child educational programs and to serve those children, as defined in Section 1210.301 of this title, who reside in that school district. This duty may be satisfied by:

1. The district directly providing gifted child educational programs for such children;
2. The district joining in a cooperative program with another district or districts to provide gifted child educational programs for such children;
3. The district joining in a cooperative program with a private or public institution within such district; or
4. The district transferring identified gifted and talented children to other school districts which provide the appropriate

gifted child educational programs, provided, no transfer shall be made without the consent of the board of education of the receiving school district. The district in which the child resides shall provide transportation for the transferred student and pay an amount of tuition equal to the proportion of the operating costs of the program to the receiving district. Transfers authorized by this section shall be made under such rules and regulations as the State Board of Education may prescribe.

B. Each district shall, regardless of the method used for accomplishing the duty set forth in subsection A of this section, notify in writing the parents of each child identified as gifted of the fact that the child has been so identified. The district shall also provide each such parent a summary of the program to be offered such child.

C. Beginning with the 1994-95 school year, and each year thereafter, each board of education shall submit a plan for gifted child educational programs as defined in Section 1210.301 of this title to the State Department of Education which shall include:

1. A written policy statement which specifies a process for selection and assessment of children for placement in gifted and talented programs that is consistent for grades one through twelve;

2. A description of curriculum for the gifted child educational program. Such description shall demonstrate that the curriculum is differentiated from the normal curriculum in pace ~~and/or~~ or depth and that it has scope and sequence;

3. Criteria for evaluation of the gifted child educational program;

4. Evidence of participation by the local advisory committee on education for gifted and talented children in planning, child identification process, and program evaluation;

5. Required competencies and duties of gifted child educational program staff;

6. Number and percentage of students identified by the district as gifted children pursuant to subparagraph g of paragraph 2 of subsection B of Section 18-201 of this title; and

7. A budget for the district gifted child educational programs.

D. The board of education of each school district shall prepare a report which outlines the expenditures made by the district during that year for gifted child educational programs pursuant to the Oklahoma Cost Accounting System, as adopted by the State Board of Education pursuant to Section 5-135 of this title.

E. The State Department of Education shall, after each school year and utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the President Pro Tempore of the Senate and the Speaker of the House of Representatives concerning the number of children identified for the programs, number of children served by the programs, type of programs provided, type of screening procedures utilized, cost analysis of the programs, and the estimated number of gifted and talented children unserved by the programs.

SECTION 270. AMENDATORY 70 O.S. 2021, Section 1210.405, is amended to read as follows:

Section 1210.405. A. The Board of Trustees of the Oklahoma School of Science and Mathematics, upon a finding of unused capacity within the Oklahoma School of Science and Mathematics (OSSM), shall have the authority to:

1. Establish a policy providing for the acceptance of students residing outside of Oklahoma and outside the United States for enrollment in courses offered by OSSM in an amount not to exceed ten percent (10%) of the total enrollment of OSSM. The policy shall include but not be limited to:

- a. a method of calculating rates for nonresident tuition and room and board which ~~must~~ shall meet or exceed the cost of attendance, subject to limits prescribed by the Legislature, and

- b. a provision that residents of Oklahoma seeking acceptance to OSSM be given priority for enrollment over students who are not residents of the state, if all other qualifications are equal;

2. Offer for rent dormitories, classrooms, laboratories or other OSSM facilities located in Oklahoma City; and

3. Establish educational programs and professional development workshops to be offered during summer periods for which tuition and fee rates may be established.

B. By January 1 of each year, the Board shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the President Pro Tempore and the Minority Leader of the Senate, the Speaker and the Minority Leader of the House of Representatives, the chair of the Senate Education Committee, and the chair of the House Common Education Committee that includes the nonresident tuition and room and board rates approved by the Board for the current academic year. The annual report shall include data on the impact of any tuition increases on the ability of students to meet the costs of attendance, enrollment patterns, and any other data considered relevant by the Board.

C. The Board shall promulgate rules to implement the provisions of this section.

SECTION 271. AMENDATORY 70 O.S. 2021, Section 1210.407, is amended to read as follows:

Section 1210.407. A. 1. There is hereby created a mechanism for establishing criteria and a process for designation as a STEM Community or STEM Region. The STEM Community or STEM Region is one of several recommendations on improving Oklahoma Science, Technology, Engineering and Mathematics (STEM) education in the Governor's Science and Technology Council's "OneOklahoma" report.

2. The criteria for designation as a STEM Community or STEM Region shall include a requirement that educators, administrators, business leaders, students, parents, government officials, and business and industry groups within a community or region create

awareness, promote partnerships with education and industry, develop and execute action plans for improving STEM education and training, identify and acquire the needed resources to improve STEM education and training, and identify and accumulate STEM data within the community or region, including but not limited to kindergarten through twelfth grade test results, the number of STEM-related degree holders in the local workforce, the number of STEM-related degrees conferred, and the number of STEM-related certifications or credentials obtained. The region or community shall also develop a plan to recognize and promote successes in both student and teacher accomplishments in the STEM area within the community or region. The concept of creating a STEM Community or STEM Region is incorporated in the Department of Education's STEM strategy and will include and support STEM programs in many of the Department of Career and Technology Education's technology centers.

3. The process for designation as a STEM Community or STEM Region shall require that state legislators initiate designation of a STEM Community or STEM Region through an application process. The final approval and designation of an Oklahoma STEM Community or STEM Region shall reside with the Governor.

4. The application process shall be outlined by a subcommittee of an existing STEM education or workforce committee or board, to be identified by the Governor. The creation, sustainment, and execution of the subcommittee shall be the responsibility of the Department of Career and Technology Education. The application process shall be based on criteria established by the subcommittee.

B. The subcommittee shall also study issues related to the promotion and growth of STEM education and training in the state and create specific recommendations to address the current and pending shortage of highly skilled employees in the energy, agriculture and biosciences, aerospace and defense, transportation and distribution, and information technology and financial services sectors in Oklahoma.

C. The subcommittee shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report of its findings and recommendations to the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives on an annual basis.

SECTION 272. AMENDATORY 70 O.S. 2021, Section 1210.508C, as last amended by Section 2, Chapter 297, O.S.L. 2025 (70 O.S. Supp. 2025, Section 1210.508C), is amended to read as follows:

Section 1210.508C. A. To identify students who have characteristics of dyslexia that lead to or cause reading difficulty, each student enrolled in kindergarten and first, second, and third grade in a public school in this state shall be screened at the beginning, middle, and end of each school year for reading skills including, but not limited to, phonological awareness, decoding, fluency, vocabulary, and comprehension. A screening instrument approved by the State Board of Education, in consultation with the Commission for Educational Quality and Accountability and the Secretary of Education, shall be utilized for the purposes of this section. In determining which screening instrument to approve, the State Board of Education, the Commission for Educational Quality and Accountability, and the Secretary of Education shall take into consideration at a minimum the following factors:

1. The time required to conduct the screening instrument with the intention of minimizing the impact on instructional time;

2. The timeliness in reporting screening instrument results to teachers, administrators, and parents and legal guardians of students; and

3. The integration of the screening instrument into reading curriculum.

B. Beginning in the 2025-2026 school year, the State Board of Education shall approve no fewer than three screening instruments for use at the beginning, middle, and end of the school year for monitoring of progress and for measurement of reading skills as required in subsection A of this section. The screening instruments shall meet the following criteria:

1. Assess for phonological awareness, decoding, fluency, vocabulary, and comprehension;

2. Document the validity and reliability of each assessment;

3. Can be used for identifying students who are at risk for reading deficiency and progress monitoring throughout the school year;

4. Can be used to assess students with disabilities and English language learners; and

5. Accompanied by a data management system that provides profiles of each student, class, grade level, and school building. The profiles shall identify each student's instructional point of need and reading achievement level. The State Board shall also determine other comparable reading assessments for diagnostic purposes to be used for students at risk of reading failure.

C. 1. Exemptions to the screening requirements of this section may be provided to students who have documented evidence that they meet at least one of the following criteria as related to the provision of classroom instruction:

- a. the student participates in the Oklahoma Alternate Assessment Program (OAAP) and is taught using alternate methods,
- b. the student's primary expressive or receptive communication is sign language,
- c. the student's primary form of written or read text is Braille, or
- d. the student's primary expressive or receptive language is not English, the student is identified as an English learner using a state-approved identification assessment, and the student has had less than one (1) school year of instruction in an English-learner program.

2. A public school that grants an exemption pursuant to paragraph 1 of this subsection shall provide ongoing evidence of student progression toward English language acquisition with the same frequency as administration of screening assessments. Evidence may include, but not be limited to, student progression toward OAAP

reading essential elements, proficiency in sign language and reading comprehension, and proficiency in Braille and reading comprehension.

D. 1. Students who are administered a screening instrument pursuant to subsection A of this section and are found not to be meeting grade-level targets shall be provided a program of reading instruction designed to enable students to acquire the appropriate grade-level reading skills. The program of reading instruction shall be based on scientific reading research and align with the subject matter standards adopted by the State Board of Education. A program of reading instruction shall include:

- a. sufficient additional in-school instructional time for the acquisition of phonological awareness, decoding, fluency, vocabulary, and comprehension,
- b. if necessary and if funding is available, tutorial instruction after regular school hours, on Saturdays, and during summer; however, such instruction may not be counted toward the one-hundred-eighty-day or one-thousand-eighty-hour school year required in Section 1-109 of this title,
- c. assessments identified for diagnostic purposes and periodic monitoring to measure the acquisition of reading skills including, but not limited to, phonological awareness, decoding, fluency, vocabulary, and comprehension, as identified in the student's program of reading instruction,
- d. high-quality instructional materials grounded in scientifically based reading research, and
- e. a means of providing every family of a student in prekindergarten, kindergarten, and first, second, and third grade access to free online evidence-based literacy instruction resources to support the student's literacy development at home.

2. A student enrolled in kindergarten or first, second, or third grade who exhibits a deficiency in reading at any time based on the screening instrument administered pursuant to subsection A of

this section shall receive an individual reading intervention plan no later than thirty (30) days after the identification of the deficiency in reading. The reading intervention plan shall be provided in addition to core reading instruction that is provided to all students. The reading intervention plan shall:

- a. describe the research-based reading intervention services the student will receive to remedy the deficiency in reading,
- b. provide explicit and systematic instruction in phonological awareness, decoding, fluency, vocabulary, and comprehension, as applicable,
- c. monitor the reading progress of each student's reading skills throughout the school year and adjust instruction according to the student's needs, and
- d. continue until the student is determined to be meeting grade-level targets in reading based on screening instruments administered pursuant to subsection A of this section or assessments identified for diagnostic purposes and periodic monitoring pursuant to subparagraph c of paragraph 1 of this subsection.

3. The reading intervention plan for each student identified with a deficiency in reading shall be developed by a Student Reading Proficiency Team and shall include supplemental instructional services and supports. Each team shall be composed of:

- a. the parent or legal guardian of the student,
- b. the teacher assigned to the student who had responsibility for reading instruction in that academic year,
- c. a teacher who is responsible for reading instruction and is assigned to teach in the next grade level of the student, and

- d. a certified reading specialist or an individual with advanced training or specialization in literacy instruction, if one is available.

4. A school district shall notify the parent or legal guardian of any student in kindergarten or first, second, or third grade who exhibits a deficiency in reading at any time based on the screening instrument administered pursuant to subsection A of this section. The notification shall occur no later than thirty (30) days after the identification of the deficiency in reading.

E. 1. Every school district shall adopt and implement a district strong readers plan which has had input from school administrators, teachers, and parents and legal guardians and if possible a reading specialist, and which shall be submitted electronically to and approved by the State Board of Education. The plan shall be updated annually. School districts shall not be required to electronically submit the annual updates to the Board if the last plan submitted to the Board was approved and expenditures for the program include only expenses relating to individual and small group tutoring, purchase of and training in the use of screening and assessment measures, summer school programs, and Saturday school programs. If any expenditure for the program is deleted or changed or any other type of expenditure for the program is implemented, the school district shall be required to submit the latest annual update to the Board for approval. The district strong readers plan shall include a plan for each site which includes an analysis of the data provided by the Oklahoma School Testing Program and other reading assessments utilized as required in this section, and which outlines how each school site will comply with the provisions of the Strong Readers Act.

2. The State Board of Education shall adopt rules for the implementation and evaluation of the provisions of the Strong Readers Act. The evaluation shall include, but not be limited to, an analysis of the data required in subsection L of this section.

F. 1. Any first-grade, second-grade, or third-grade student who demonstrates proficiency in reading through a grade-level appropriate screening instrument approved pursuant to subsection B of this section shall not require a program of reading instruction or an individual reading intervention plan. After a student has

demonstrated proficiency through a screening instrument, the district shall provide notification to the parent or legal guardian of the student that he or she has satisfied the requirements of the Strong Readers Act. The district shall continue to monitor the student in the next successive grade level to ensure he or she maintains proficiency.

2. Beginning with the 2025-2026 school year, if a third-grade student is identified at any point of the academic year as having a significant reading deficiency, which shall be defined as not meeting grade-level targets on a screening instrument administered pursuant to subsection A of this section, the district shall provide the student with intensive intervention services for the appropriate amount of the instructional day consistent with the individual reading intervention plan developed pursuant to paragraph 2 of subsection D of this section and as determined by the Student Reading Proficiency Team. Intensive intervention services shall continue until the student demonstrates proficiency at his or her grade level based on a screening instrument administered pursuant to subsection A of this section.

G. Each school district shall annually report in an electronic format to the State Department of Education, the Office of Educational Quality and Accountability, and the Secretary of Education the number of students in kindergarten through third grade per grade level who exhibit grade-level reading proficiency, the number of students per grade level who received intensive intervention services pursuant to paragraph 2 of subsection F of this section, the number of students per grade level who attended a summer academy as provided for in Section 1210.508E of this title, the number of students per grade level who exhibited improved reading proficiency after completion of intensive intervention services, and the number of students per grade level who are still in need of intensive intervention services. The State Department of Education shall publicly report the aggregate and district-specific numbers submitted pursuant to this subsection on its website and shall, utilizing the centralized filing system provided for in Section 378 of this act, provide electronic copies of the report to the Governor, Secretary of Education, President Pro Tempore of the Senate, Speaker of the House of Representatives, and to the respective chairs of the committees with responsibility for common education policy in each legislative chamber.

H. The parent of any student who is found to have a reading deficiency and is not meeting grade-level reading targets and has been provided a program of reading instruction as provided for in paragraph 1 of subsection D of this section shall be notified in writing of the following:

1. That the student has been identified as having a substantial deficiency in reading;

2. A description of the current services that are provided to the student pursuant to subsection D of this section;

3. A description of the proposed intensive intervention services and supports that will be provided to the student that are designed to remediate the identified area of reading deficiency as provided for in paragraph 2 of subsection F of this section;

4. That a student who is promoted to the fourth grade shall receive supplemental intensive intervention services;

5. Strategies for parents to use in helping their child succeed in reading proficiency; and

6. The grade-level performance scores of the student.

I. No student may be assigned to a grade level based solely on age or other factors that constitute social promotion.

J. 1. Each school district board of education shall annually publish on the school website and report electronically to the State Department of Education, the Office of Educational Quality and Accountability, and the Secretary of Education by September 1 of each year the following information on the prior school year:

- a. the policies and procedures adopted by the school district board of education to implement the provisions of this section. The information submitted shall include expenditures related to implementing the provisions of this section, the number of staff implementing the provisions of this section, and

average daily classroom time devoted to implementing the provisions of this section,

- b. by grade, the number and percentage of all students in kindergarten through third grade who did not meet grade-level targets based on a screening instrument administered pursuant to subsection A of this section,
- c. by grade, the number and percentage of all students in kindergarten through third grade who have been enrolled in the district for fewer than two (2) years,
- d. by grade, the number and percentage of students in kindergarten through third grade who demonstrated grade-level proficiency based on a screening instrument administered pursuant to subsection A of this section, and
- e. by grade, the number and percentage of students in kindergarten through third grade who are on an individualized education program (IEP) in accordance with the Individuals with Disabilities Education Act (IDEA) and who demonstrated grade-level proficiency based on a screening instrument administered pursuant to subsection A of this section or an alternative assessment prescribed by the student's IEP.

2. The State Department of Education shall establish a uniform format for school districts to report the information required in this subsection. The format shall be developed with input from school districts and shall be provided not later than ninety (90) days prior to the annual due date. The Department shall annually compile the information required, along with state-level summary information, and, utilizing the centralized filing system provided for in Section 378 of this act, electronically report the information to the public, the Governor, the Secretary of Education, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

K. The State Department of Education shall provide technical assistance as needed to aid school districts in administering the provisions of the Strong Readers Act.

L. On or before January 31 of each year, the State Department of Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and members of the committees with responsibility over common education in both houses of the Legislature a Strong Readers Report which shall include, but is not limited to, trend data detailing three (3) years of data, disaggregated by student subgroups to include economically disadvantaged, major racial or ethnic groups, students with disabilities, and English language learners, as appropriate for the following:

1. The statewide aggregate number and percentage of students in kindergarten through third grade determined to be at risk for reading difficulties compared to the total number of students enrolled in each grade;

2. The statewide aggregate number and percentage of students in kindergarten who continue to be at risk for reading difficulties as determined by the year-end administration of the screening instrument required in subsection A of this section;

3. The statewide aggregate number and percentage of students in kindergarten through third grade who have successfully completed their program of reading instruction and are reading on grade level as determined by the results of screening instruments administered pursuant to subsection A of this section;

4. The statewide aggregate and district-specific number and percentage of students that meet or do not meet grade-level targets for reading based on screening instruments administered pursuant to subsection A of this section;

5. The amount of funds received by each district for implementation of the Strong Readers Act;

6. An evaluation and narrative interpretation of the report data analyzing the impact of the Strong Readers Act on students' ability to read at grade level;

7. The type of reading instruction practices and methods currently being used by school districts in the state;

8. Socioeconomic information, access to reading resources outside of school, and screening for and identification of learning disabilities for students not reading at the appropriate grade level in kindergarten and first through third grade;

9. By grade level, the types of intensive intervention efforts being conducted by school districts for students who are not on an IEP and who are not reading at the appropriate grade level and for students who are on an IEP and who are not reading at the appropriate grade level; and

10. Any recommendations for improvements or amendments to the Strong Readers Act.

The State Department of Education may contract with an independent entity for the reporting and analysis requirements of this subsection.

M. Copies of the results of the screening instruments administered pursuant to subsection A of this section shall be made a part of the permanent record of each student.

SECTION 273. AMENDATORY Section 2, Chapter 288, O.S.L. 2023, as amended by Section 9, Chapter 411, O.S.L. 2024 (70 O.S. Supp. 2025, Section 1210.508H), is amended to read as follows:

Section 1210.508H. A. Beginning with the 2023-2024 school year, the State Department of Education shall establish a three-year pilot program to employ a literacy instructional team to support school districts in implementation of the requirements of Section 1210.508C of this title. The Department shall provide technical assistance for literacy instruction, dyslexia, and related disorders, and serve as a primary source of information and support for schools in addressing the needs of students struggling with literacy, dyslexia, and related disorders.

B. The Department shall employ a literacy instructional team with team members who are placed regionally across the state. The literacy instructional teams shall assist general education and

special education teachers in recognizing educational needs to improve literacy outcomes for all students including those with dyslexia or identified with the risk characteristics associated with dyslexia. The role of the literacy instructional team shall also include increasing professional awareness and instructional competencies to meet the educational needs of all students including those with dyslexia or identified with risk characteristics associated with dyslexia. The Department shall prioritize supports and interventions including enrollment in reading trainings and professional development for schools which have the highest percentage of students who do not demonstrate sufficient reading skills as established by the State Board of Education.

C. Literacy instructional team members employed by the Department shall have training in:

1. The science of how students learn to read including phonological awareness, phonics, fluency, vocabulary, comprehension, writing, and language;
2. Foundation of multisensory, explicit, systematic, and structured reading instruction;
3. Identification of and the appropriate interventions, accommodations, and teaching techniques for struggling students;
4. The requirements of the Strong Readers Act;
5. Special education laws and procedures; and
6. Appropriate interventions, accommodations, and assistive technology supports for students with dyslexia or a related disorder.

D. The literacy instructional team members employed by the Department shall report to the Program Director for Literacy at the Department and have:

1. A minimum of five regional literacy leads, at least one who shall be designated by the Department as a dyslexia specialist to provide school districts with support and resources that are necessary to assist students with dyslexia. The Department shall

give preference to educators applying for regional literacy lead who:

- a. have an endorsement or certification as a certified structured literacy dyslexia specialist or certified academic language therapist,
- b. are knowledgeable of multitiered systems of support, and
- c. have been trained in the identification of and intervention for dyslexia and related disorders including best practice interventions and treatment models for dyslexia; and

2. A minimum of ten literacy specialists. The Department shall give preference to educators applying for literacy specialist who:

- a. have training in the science of reading,
- b. are knowledgeable of multitiered systems of support, and
- c. have been trained in the identification of and intervention for dyslexia and related disorders including best practice interventions and treatment models for dyslexia.

E. The State Department of Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives by December 31, 2026, that includes an evaluation of the pilot program by school districts, data on whether the program had an impact on increasing the number of students who demonstrate proficiency in reading, and recommendations for changes to the Strong Readers Act.

SECTION 274. AMENDATORY 70 O.S. 2021, Section 1210.509, is amended to read as follows:

Section 1210.509. A. The Department shall provide in-service training for local school personnel who administer tests required by the Oklahoma School Testing Program Act, Section 1210.505 et seq. of this title.

B. The Board shall require the company or companies providing tests required ~~by the~~ by the Oklahoma School Testing Program Act, Section 1210.505 et seq. of this title, to submit summary reports of the results by school district to the Department and the respective local school district. Individualized results of the test shall be made available by the local school district to the classroom teachers who instruct the students in the academic areas tested. In every year, prior to the convening of the Legislature, the Board shall ~~give,~~ utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a summary report on the testing results to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate.

SECTION 275. AMENDATORY 70 O.S. 2021, Section 1210.516, is amended to read as follows:

Section 1210.516. A. The State Board of Education shall establish the Oklahoma Bridge to Literacy Program. The purpose of the Program is to improve reading skills of children up through the fourth grade, as measured by mastery of the skills identified in the subject matter standards adopted by the State Board of Education, by training and assisting private entities, as defined in subsection C of this section, to offer reading instruction to children before school, after school, on Saturdays, and during summer periods.

B. The State Department of Education shall issue a request for proposals on or before October 1, 2012, and each October 1 thereafter for which the Oklahoma Bridge to Literacy Program is funded, seeking applications for the Oklahoma Bridge to Literacy Program. The Department shall review the applications for compliance with the established requirements.

C. Private entities eligible to submit applications for the Oklahoma Bridge to Literacy Program shall include the following:

1. Nonprofit organizations or programs which are exempt from taxation pursuant to the provisions of Section 501(c)(3) of the Internal Revenue Code, 26 U.S.C., Section 501(c)(3);

2. Community-based programs, centers, organizations, or services which maintain community participation or supervision in their planning, operation, and evaluation; and

3. Churches or religious organizations, associations, or societies or nonprofit organizations or programs operated, supervised, or controlled by or in conjunction with a religious organization, association, or society.

D. The State Board of Education may approve applications that meet the requirements set forth in this subsection and as established by the Board. Approved applications shall establish reading programs for children up through the fourth grade. The reading programs may be offered before school, after school, on Saturdays or during summer periods. The reading programs shall offer reading instruction designed to enable the children to acquire the appropriate level reading skills and shall provide diagnostic assessments and measurement of reading skills to determine reading success. The reading program shall focus on the acquisition of reading skills including, but not limited to, phonological awareness, phonics, spelling, reading fluency, vocabulary, and comprehension.

E. On or before December 1, 2012, and each December 1 thereafter for which the Oklahoma Bridge to Literacy Program is funded, the Department shall forward applications that the Department has determined meet the requirements of this section to the Board. On or before February 1, 2013, and each February 1 thereafter for which the Oklahoma Bridge to Literacy Program is funded, the Board shall award, through a competitive bid process, one or more grants to private entities to provide reading instruction programs through the Oklahoma Bridge to Literacy Program. To the extent possible, grants shall be awarded on a statewide basis. The grant funding shall be used to provide the reading instruction program, provide employees and volunteers for the program and to purchase materials for the program.

F. In addition to the grant funding, the Department shall provide to the private entities awarded grants pursuant to this section the following:

1. Reading instruction training, academies, or courses designed to train the private entity employees or volunteers in reading instruction and remediation strategies;
2. Resources and materials on reading instruction and remediation; and
3. Any other appropriate assistance.

G. The Board shall provide for independent evaluations of programs funded pursuant to this section.

H. Beginning June 30, 2013, and each year thereafter for which the Oklahoma Bridge to Literacy Program is funded, the Board shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate containing:

1. Descriptions of the reading programs approved and funded through the Oklahoma Bridge to Literacy Program;
2. Number and amount of grants awarded;
3. Number of children served through approved programs; and
4. Achievement data for children served through approved programs.

SECTION 276. AMENDATORY 70 O.S. 2021, Section 1210.544, is amended to read as follows:

Section 1210.544. A. Notwithstanding any other provision of law, the State Board of Education shall establish a process to identify schools in the state that are listed as in need of improvement in accordance with 20 U.S.C., Section 6301 et seq. A school district board of education with a school identified as being among the schools in the state that are in need of improvement shall

implement a locally developed, evidence-based intervention model for the school site determined by the Board to be low performing

B. 1. Consistent with 20 U.S.C., Section 6301 et seq., for schools that are identified for school improvement by the Board for four (4) consecutive years, the district board of education shall seek support from the State Department of Education. Such support may include academic intervention, professional development, restructuring of the governance arrangement of the school or any other plan that is reasonably calculated to improve student academic achievement in the school. State support plans shall be designed to provide a substantial assurance of enabling the school to appropriately serve all students. If after two (2) years of implementing the state support plan, improvements to student achievement remain insufficient and, in accordance with 20 U.S.C., Section 6301 et seq., the school continues to be identified by the Board as low performing, the Board may exercise the option of assuming control of the school as provided for in this subsection.

2. If the Board assumes control of a school, the Board shall retain all funds that otherwise would have been allocated to the school district based on the average daily membership of the school which shall be used to operate the school.

C. 1. A district board of education for a district with an average daily membership of more than 30,000 which implements an alternative governance arrangement as provided for in this section may utilize the following procedures, upon approval of the district board and concurrence of the executive committee of the appropriate local bargaining unit:

- a. any teacher not retained at the school site shall be given status as a full-time substitute teacher within the school district for a period of not to exceed two (2) years,
- b. if the teacher is not offered a contract teaching position at a school in the district within the two-year period specified in subparagraph a of this paragraph, the district board shall be authorized to not reemploy the teacher, and

- c. the district board shall designate trained, certified, instructional staff to provide teacher support, development, and evaluation, which may include certified personnel other than administrators.

2. Any actions taken pursuant to this subsection shall not be subject to the Teacher Due Process Act of 1990. The decision by the district board for renewal or nonrenewal shall be final.

3. For purposes of this subsection, a full-time substitute teacher shall perform the duties assigned by the district superintendent and shall continue to receive the same salary, benefits, and step increases that the teacher would otherwise be entitled to for the time period the teacher serves as a full-time substitute.

D. 1. Each school district subject to the provisions of subsection B of this section shall submit a plan for compliance with this section to the State Department of Education, in a manner prescribed by the Department.

2. The State Department of Education shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report of the district plans received as provided in paragraph 1 of this subsection to the members of the Senate and House Education Committees.

SECTION 277. AMENDATORY 70 O.S. 2021, Section 1210.591, is amended to read as follows:

Section 1210.591. The State Board of Education shall establish a project review and evaluation process and shall make an annual report to the Legislature analyzing and evaluating all pilot projects in operation. ~~Said~~ Such report shall be electronically furnished to the President Pro Tempore of the Senate and the Speaker of the House of Representatives not later than the tenth legislative day of each legislative session utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 278. AMENDATORY 70 O.S. 2021, Section 2120, as amended by Section 3, Chapter 18, O.S.L. 2022 (70 O.S. Supp. 2025, Section 2120), is amended to read as follows:

Section 2120. A. As used in this act:

1. "Campus community" means students, administrators, faculty, and staff at the public institution of higher education and their invited guests;

2. "Harassment" means only that expression that is unwelcome, so severe, pervasive, and subjectively and objectively offensive that a student is effectively denied equal access to educational opportunities or benefits provided by the public institution of higher education;

3. "Materially and substantially disrupts" means when a person, with the intent to or with knowledge of doing so, significantly hinders another person's or group's expressive activity, prevents the communication of the message, or prevents the transaction of the business of a lawful meeting, gathering or procession by:

- a. engaging in fighting, violent or other unlawful behavior, or
- b. physically blocking or using threats of violence to prevent any person from attending, listening to, viewing, or otherwise participating in an expressive activity. Conduct that "materially disrupts" shall not include conduct that is protected under the First Amendment to the United States Constitution or Section 22 of Article 2 of the Oklahoma Constitution. Such protected conduct includes but is not limited to lawful protests in the outdoor areas of campus generally accessible to the members of the public, except during times when those areas have been reserved in advance for other events, or minor, brief or fleeting nonviolent disruptions of events that are isolated and short in duration;

4. "Outdoor areas of campus" means the generally accessible outside areas of campus where members of the campus community are commonly allowed, such as grassy areas, walkways or other similar common areas and does not include outdoor areas where access is restricted from a majority of the campus community;

5. "Public institution of higher education" means any institution within The Oklahoma State System of Higher Education or technology center schools overseen by the State Board of Career and Technology Education; and

6. "Student organization" means an officially recognized group at a public institution of higher education, or a group seeking official recognition, comprised of admitted students that receive or are seeking to receive benefits through the public institution of higher education.

B. Expressive activities protected under the provisions of this section include but are not limited to any lawful verbal, written, audio-visual or electronic means by which individuals may communicate ideas to one another, including all forms of peaceful assembly, protests, speeches and guest speakers, distribution of literature, carrying signs, and circulating petitions.

C. 1. The outdoor areas of campuses of public institutions of higher education in this state shall be deemed public forums for the campus community, and public institutions of higher education shall not create "free speech zones" or other designated areas of campus outside of which expressive activities are prohibited. Public institutions of higher education may maintain and enforce reasonable time, place, and manner restrictions narrowly tailored in service of a significant institutional interest only when such restrictions employ clear, published, content- and viewpoint-neutral criteria and provide for ample alternative means of expression. Any such restrictions shall allow for members of the campus community to spontaneously and contemporaneously assemble and distribute literature.

2. Nothing in this subsection shall be interpreted as limiting the right of student expression elsewhere on campus.

D. 1. Any person who wishes to engage in noncommercial expressive activity on campus shall be permitted to do so freely, as long as the person's conduct is not unlawful and does not materially and substantially disrupt the functioning of the public institutions of higher education, subject only to the requirements of subsection C of this section.

2. Nothing in this subsection shall prohibit public institutions of higher education from maintaining and enforcing reasonable time, place, and manner restrictions that are narrowly tailored to serve a significant institutional interest only when such restrictions employ clear, published, content- and viewpoint-neutral criteria. Any such restrictions shall allow for members of the campus community to spontaneously and contemporaneously assemble, speak, and distribute literature.

3. Nothing in this subsection shall be interpreted as preventing public institutions of higher education from prohibiting, limiting or restricting expression that the First Amendment does not protect or prohibiting harassment as defined by this section.

4. Nothing in this section shall enable individuals to engage in conduct that intentionally, materially, and substantially disrupts another person's expressive activity if that activity is occurring in a campus space reserved for that activity under the exclusive use or control of a particular group.

E. Public institutions of higher education shall make public in their handbooks, on their websites and through their orientation programs for students the policies, regulations, and expectations of students regarding free expression on campus consistent with this section.

F. Public institutions of higher education shall develop materials, programs, and procedures to ensure that those persons who have responsibility for discipline or education of students, including but not limited to administrators, campus police officers, residence life officials and professors, understand the policies, regulations, and duties of public institutions of higher education regarding free expression on campus consistent with this section.

G. 1. Each public institution of higher education shall publicly post on its website, as well as electronically submit to the Governor, the Legislature, and the Chancellor of The Oklahoma State System of Higher Education annually by December 31 utilizing the centralized filing system provided for in Section 378 of this act, a report that details the course of action implemented to be in compliance with the requirements of this section. A report shall

also be given in the instance of any changes or updates to the chosen course of action. The information required in the report shall be:

- a. accessible from the institution's website home page by use of not more than three links,
- b. searchable by key words and phrases, and
- c. accessible to the public without requiring registration or use of a user name, password or another user identification.

2. The report shall include:

- a. a description of any barriers to or incidents of disruption of free expression occurring on campus, including but not limited to attempts to block or prohibit speakers and investigations into students or student organizations for their speech. The description shall include the nature of each barrier or incident, as well as what disciplinary action, if any, was taken against members of the campus community determined to be responsible for those specific barriers or incidents involving students without revealing those students' personally identifiable information, and
- b. any other information each public institution of higher education deems valuable for the public to evaluate whether free expression rights for all members of the campus community have been equally protected and enforced consistent with this act.

3. If a public institution of higher education is sued for an alleged violation of First Amendment rights, a supplementary report with a copy of the complaint, or any amended complaint, shall be electronically submitted to the Governor and the Legislature within thirty (30) days utilizing the centralized filing system provided for in Section 378 of this act.

H. Any person or student organization aggrieved by a violation of this section may bring an action against the public institution of higher education and its employees acting in their official capacities responsible for the violation and seek appropriate relief, including but not limited to injunctive relief, monetary damages, reasonable attorneys' fees, and court costs. Any person or student organization aggrieved by a violation of this section may assert such violation as a defense or counter claim in any disciplinary action or in any civil or administrative proceedings brought against such student or student organization. Nothing in this subsection shall be interpreted to limit any other remedies available to any person or student organization.

I. A person shall be required to bring suit for violation of this section no later than one year after the day the cause of action occurs. For purposes of calculating the one-year limitation period, each day that the violation persists and each day that a policy in violation of this section remains in effect shall constitute a new day that the cause of action has occurred.

J. If any provision of this section or any application of such provision to any person or circumstance is held to be unconstitutional, the remainder of the section and the application of the provision to any other person or circumstance shall not be affected.

SECTION 279. AMENDATORY 70 O.S. 2021, Section 2607, is amended to read as follows:

Section 2607. A. Beginning December 31, 2022, and each December 31 thereafter, the Oklahoma State Regents for Higher Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the President Pro Tempore of the Senate and the Speaker of the House of Representatives an annual report on the impact of the Oklahoma Higher Learning Access Program, also known as Oklahoma's Promise, created pursuant to Sections 2601 et seq. of Title 70 of the Oklahoma Statutes. The report shall include:

~~A.~~ 1. Year-to-year cohort retention and five-year graduation rates of all students enrolled in institutions within The Oklahoma State System of Higher Education compared to the year-to-year cohort

retention and five-year graduation rates of students who receive Oklahoma Higher Learning Access Program awards who are enrolled in institutions within The Oklahoma State System of Higher Education. The data shall include the degree programs in which the students are enrolled-i

2. Year-to-year cohort retention and five-year graduation rates of students who receive Oklahoma Higher Learning Access Program awards who are enrolled in private institutions of higher learning located within this state and accredited pursuant to Section 4103 of Title 70 of the Oklahoma Statutes. The data shall include the degree programs in which the students are enrolled-i; and

3. Certificate attainment rates of all students enrolled in technology center schools compared to the certificate attainment rates of students who receive Oklahoma Higher Learning Access Program awards who are enrolled in technology center schools. The data shall include the career areas in which the students are enrolled.

B. The financial impact and enrollment impact of the Oklahoma Higher Learning Access Program on two-year and four-year institutions within The Oklahoma State System of Higher Education, private institutions of higher learning located within this state and accredited pursuant to Section 4103 of Title 70 of the Oklahoma Statutes and technology center schools.

C. Data on Oklahoma Higher Learning Access Program participants who graduate from an institution of higher education within The Oklahoma State System of Higher Education or a private institution of higher learning located within this state and accredited pursuant to Section 4103 of Title 70 of the Oklahoma Statutes or who attain a certificate from a technology center school, including:

1. The number of participants who are residents of the state one year after graduation or certificate attainment; and

2. The industry or career area in which the participant is employed.

D. Data from surveys completed pursuant to the provisions of subsection B of Section 2606 of Title 70 of the Oklahoma Statutes.

SECTION 280. AMENDATORY 70 O.S. 2021, Section 2632, as amended by Section 1, Chapter 129, O.S.L. 2025 (70 O.S. Supp. 2025, Section 2632), is amended to read as follows:

Section 2632. A. To be eligible for an Oklahoma Tuition Equalization Grant, a student shall:

1. Be an Oklahoma resident as defined by the Oklahoma State Regents for Higher Education;

2. Have enrolled as a full-time undergraduate student in an eligible institution of higher education as prescribed in subsection D of this section;

3. Meet the income eligibility level, which is the student's parents' income from taxable sources which shall not be more than Fifty Thousand Dollars (\$50,000.00) per year or the student's income if the student is independent and self-supporting as determined by the State Regents consistent with federal financial aid regulations;

4. Pay more tuition than is required at a comparable public institution of higher education and pay no less than the regular tuition required of all students enrolled at the institution where the student is enrolled; and

5. Maintain at least minimum standards of academic performance as required by the enrolling institution.

B. The enrolling institution shall forward a completed student application, documentation of full-time enrollment status, and certification of resident status to the State Regents no later than October 15 for the fall semester and March 15 for the spring semester of each academic year.

C. Subject to the availability of funds in the Oklahoma Tuition Equalization Grant Trust Fund, an Oklahoma Tuition Equalization Grant in the amount of Two Thousand Dollars (\$2,000.00) per academic year, or One Thousand Dollars (\$1,000.00) per academic semester shall be awarded by the State Regents by allocation from the Oklahoma Tuition Equalization Grant Trust Fund, beginning with eligible students enrolled in the 2003-2004 school year. No grants

pursuant to this act shall be provided to students for attending summer terms or intersessions.

D. The State Regents shall implement policies and procedures for the administration of this act. The State Regents shall approve as eligible institutions of higher education only those private or independent, not-for-profit colleges or universities that are domiciled within this state, meet approved program and accreditation standards as determined by the State Regents, and are fully accredited by the Higher Learning Commission of the North Central Association on Colleges and Schools or a national accrediting body recognized by the United States Department of Education. To be eligible, institutions ~~must~~ shall have been granted not-for-profit status by the Internal Revenue Service and the U.S. Department of Education prior to July 1, 2012. Additionally, eligible institutions shall adhere to the complaint process policies and procedures administered by the State Regents. The State Regents shall review and take action, as authorized, on complaints concerning eligible institutions. The eligible institutions shall include Family of Faith College, Mid-America Christian University, Oklahoma Baptist University, Oklahoma Christian University, Oklahoma City University, Oklahoma Wesleyan University, Oral Roberts University, Southern Nazarene University, Southwestern Christian University, the University of Tulsa, and Randall University.

E. If funds are not sufficient in the Oklahoma Tuition Equalization Grant Trust Fund to provide grants for all eligible applicants, the State Regents shall award grants on the basis of need and take into consideration other grants and scholarships received by an eligible applicant when awarding grants. Students who have previously received a tuition equalization grant and who continue to meet the requirements for eligibility shall have absolute priority for continued financial support superior to any student who is applying for a grant for the first time.

F. Students enrolling as first-time freshmen for the 2003-2004 school year shall be the first class of students eligible to apply for Oklahoma Tuition Equalization Grants. In subsequent years, all previously eligible students and the first-time enrolling freshmen students shall be entitled to apply for a grant pursuant to this section. Beginning in the 2007-2008 school year, all eligible

students shall be entitled to apply for a grant pursuant to this section.

G. A grant provided by this section shall not be allowed for courses or other postsecondary units taken in excess of the requirements for completion of a baccalaureate program or taken more than five (5) years after the student's first grant is received. The State Regents may award an Oklahoma Tuition Equalization Grant for courses of postsecondary units taken more than five (5) years after the student's first grant is received only in hardship circumstances. No Oklahoma Tuition Equalization Grant recipient may receive benefits beyond a cumulative time period of five (5) years.

H. On or before February 1 after the first semester in which grants are awarded pursuant to this act and every year thereafter, the State Regents shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report to the Governor, President Pro Tempore of the Senate, and the Speaker of the House of Representatives to include, but not be limited to the number of students awarded grants, grade point average, persistence rates, degree completion rates, demographic data, and any other indicators the State Regents deem appropriate.

SECTION 281. AMENDATORY 70 O.S. 2021, Section 3206, is amended to read as follows:

Section 3206. As provided in Article XIII-A of the Constitution of Oklahoma, the State Regents shall constitute a coordinating board of control for all state educational institutions, with the following specific powers:

(a) It shall prescribe standards of higher education applicable to each institution.

(b) It shall determine the functions and courses of study in each of the institutions to conform to the standards prescribed.

(c) It shall grant degrees and other forms of academic recognition for completion of the prescribed courses in all of such institutions.

(d) It shall recommend to the State Legislature the budget allocations to each institution.

(e) It shall have the power to recommend to the Legislature proposed fees for all of such institutions, and any such fees shall be effective only within the limits prescribed by the Legislature, after taking due cognizance of expressed legislative intent.

(f) It shall allocate funds to each institution according to its needs and functions from appropriations made by the Legislature.

(g) It may coordinate private, denominational, and other institutions of higher learning with the State System under regulations set forth by the State Regents.

Among other powers and duties, the State Regents shall:

(h) Prescribe standards for admission to, retention in, and graduation from state educational institutions.

(i) Accept federal funds and grants and use the same in accordance with federal requirements; and accept and disburse grants, gifts, devises, bequests, and other monies and property from foundations, corporations, and individuals; and establish, award, and disburse scholarships and scholarship funds and rewards for merit from any funds available for such purpose.

(j) Allocate revolving and other non-state-appropriated educational and general funds.

(k) Transfer from one institution to another any property belonging to such institution when no longer needed by it and when needed by another institution to accomplish its functions.

(l) Prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically publish annually a report to the Governor, the Legislature, and institutions, setting forth the progress, needs, and recommendations of state educational institutions and of the State Regents; conduct studies, surveys, and research projects to gather information about the needs of state educational institutions and make such additional reports and recommendations as it deems necessary or as the Governor

or the Legislature may direct, and publish such information obtained as may be considered worthy of dissemination.

(m) Any monies which it is authorized to invest shall be invested with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims.

(n) Issue, on behalf of institutions within The Oklahoma State System of Higher Education, other than the University of Oklahoma and Oklahoma State University, and with the powers enumerated by this act, its obligations for purposes of such capital projects as the Regents may deem to be proper for the benefit of such institutions. The obligations issued pursuant to the authority of this paragraph shall be part of a comprehensive program for capital maintenance of such institutions and the obligations shall be special and limited obligations of the Oklahoma State Regents for Higher Education and shall not constitute general obligations of the State of Oklahoma.

(o) Exercise all powers necessary or convenient to accomplish the purposes and objectives of Article XIII-A of the Constitution of Oklahoma.

SECTION 282. AMENDATORY 70 O.S. 2021, Section 3206.6a, as amended by Section 2, Chapter 84, O.S.L. 2025 (70 O.S. Supp. 2025, Section 3206.6a), is amended to read as follows:

Section 3206.6a. A. The Oklahoma State Regents for Higher Education may finance acquisition of or improvements to, or refinance or restructure outstanding obligations for real property pursuant to the master lease program. The funds used by the Regents for the purposes authorized by this section shall be available for lease transactions having a term that is no more than the useful life of any real property or improvements acquired by institutions pursuant to the provisions of this section, and in no event, more than thirty (30) years.

B. After May 24, 2005, any bonds issued pursuant to this section shall be subject to the approval of the Legislature as provided by this subsection. The Oklahoma State Regents for Higher

Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an itemized list of the proposed projects and the terms of the financing to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and all members of the Legislature within the first seven (7) legislative days of an annual legislative session and prior to the time any such obligations are sold. The submission to such elected officials shall occur upon the same date for purposes of computing the time within which action ~~must~~ shall be taken as further prescribed by this subsection. The Legislature shall have a period of forty-five (45) calendar days from the date on which the information is submitted to pass a concurrent resolution disapproving all or part of the proposed issuance. If the Legislature does not disapprove the proposed issuance by concurrent resolution by the end of the forty-fifth day following the date upon which the proposed issuance is submitted, the proposed issuance shall be deemed to have been approved by the Legislature.

C. The amount of transactions financed in a calendar year through the real property master lease program authorized by this section shall not exceed the combined total of:

1. The submission described in subsection B of this section, or portion thereof, approved by the Legislature;
2. Any issuance for additional proposed individual projects submitted by institutions under the coordination of the Oklahoma State Regents for Higher Education and approved by the Legislature;
3. Any projects approved by the Legislature in a prior calendar year for which no financing action was taken in the prior calendar year; and
4. Any projects refunded from a previous issuance.

SECTION 283. AMENDATORY 70 O.S. 2021, Section 3218.2, is amended to read as follows:

Section 3218.2. A. Resident tuition, nonresident tuition, and other fees to be required of students receiving instruction or other academic services provided by institutions of The Oklahoma State System of Higher Education shall be established by the Oklahoma

State Regents for Higher Education with due regard for the provisions of Section 3218.14 of this title within limits prescribed by the Legislature. Nothing in this act shall be construed as limiting or prohibiting the requirement of payment for goods or services provided by auxiliary enterprises operated by or in conjunction with institutions of The Oklahoma State System of Higher Education and authorized by the Oklahoma State Regents for Higher Education.

B. By January 1 of each year, the Oklahoma State Regents for Higher Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the minority floor leaders and education committee chairs of both houses of the Oklahoma Legislature. The annual report shall include the following information:

1. Actions taken in regard to and the schedule of tuition and fees approved for The Oklahoma State System of Higher Education for the current academic year;

2. Data on the impact of any tuition or fee increases on the ability of students to meet the costs of attendance, enrollment patterns, availability of financial aid;

3. The budget prepared by the State Regents setting out in detail the necessary expenses of the State Regents for the next fiscal year;

4. The budget requests or proposals submitted by each institution to the State Regents for the next fiscal year;

5. The funding formula or allotment system used by the State Regents to allocate money to each institution, including a description of the functional goals of the formula or system for distributing funds to each institution;

6. A calculation of any differences in the budget requests amounts for each institution and the actual amounts allocated to each institution, including an explanation for any differences; and

7. Any other data considered relevant by the State Regents.

C. By January 1 of each year, each institution of The Oklahoma State System of Higher Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the minority floor leaders and education committee chairs of both houses of the Oklahoma Legislature. The annual report shall include the following information:

1. A copy of reports submitted to the State Regents which itemizes the tuition and fees for each institution by campus or location; and

2. The total budget of each institution for the previous fiscal year including the amount of revenue received from tuition and fees and other sources and expenses for each campus or location.

SECTION 284. AMENDATORY 70 O.S. 2021, Section 3219.1, is amended to read as follows:

Section 3219.1. A. The Oklahoma State Regents for Higher Education may establish any special fee not specified by law if the Regents determine that such fee is necessary for academic services or other activities, facilities or services provided by any institution of The Oklahoma State System of Higher Education.

Within thirty (30) days of the establishment by the Regents of such fee, the Regents shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Chairperson of the Higher Education Committee of the House of Representatives, and the Chairperson of the Education Committee of the Senate. The report shall specify the reasons the Regents determined such fee was necessary and any other information concerning the fee.

B. Each educational institution within The Oklahoma State System of Higher Education shall annually publish all tuition and fees charged at that institution. The institution shall provide

that publication free of charge to any person requesting any information relating to tuition or fees at that institution.

SECTION 285. AMENDATORY 70 O.S. 2021, Section 3224, is amended to read as follows:

Section 3224. A. It is the intent of the Oklahoma Legislature that all instructors, including all graduate teaching assistants, now employed or being considered for employment at institutions within The Oklahoma State System of Higher Education shall be proficient in speaking the English language so that they may adequately instruct students.

B. Exceptions to this statement of intent shall include the instruction of courses that are:

1. Designed to be taught predominantly in a foreign language; and

2. Elective, special arrangement courses such as individualized instruction and independent study courses.

C. It is further the intent of the Legislature that each institution within The Oklahoma State System of Higher Education evaluate its instructional faculty for oral, aural, and written fluency in the English language in the classroom. By September 1 of each year, each state institution shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file with the Oklahoma State Regents for Higher Education a certification stating that the instructional faculty members, whose native language is other than English, hired either after July 1, 1995, or hired subsequent to the last annual certification, are proficient in the English language.

D. Each college and university of the State System shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide an annual report to the President Pro Tempore of the Senate and the Speaker of the House of the Oklahoma Legislature by January 1 of each year setting forth the following information:

1. Procedures established to guarantee faculty members have proficiency in both written and spoken English; and

2. Procedures established to inform students of grievance procedures regarding instructors who are not able to speak the English language.

SECTION 286. AMENDATORY 70 O.S. 2021, Section 3903, is amended to read as follows:

Section 3903. (a) The Oklahoma State System of Higher Education shall operate an allotment system similar to the procedure set out in the Oklahoma State Finance Act, Section 34 et seq. of Title 62 of the Oklahoma Statutes, for other agencies of the state except that the State Regents shall be substituted for the Director of the Office of Management and Enterprise Services in connection with approving allotment requests of the constituent institutions and agencies comprising the State System. The account classification for the State System shall conform as nearly as possible with the classification of accounts recommended by the publications of the National Association of College and University Business Officers. The State Regents shall allocate to each institution and agency in the State System, from the consolidated or lump-sum appropriation made by the Legislature, an amount sufficient to meet the needs and functions of the institution or agency for the entire year. Upon such allocation, monies appropriated for educational and general purposes shall be transferred to the Educational and General Operations Revolving Fund of the institution or agency and monies appropriated for capital improvement purposes shall be transferred to the Capital Improvement Revolving Fund of the institution or agency. The amount allocated to an institution or agency for each fiscal year shall be made in a lump sum without regard to uniform budget or accounting classifications, but shall not be available for expenditure until subsequently allotted by the State Regents.

(b) The State Regents, with the approval of the Director of the Office of Management and Enterprise Services, may allot money to any such institution or agency to establish and operate a petty cash fund at the institution or agency; said fund shall only be reimbursed upon the filing of claims showing the purposes for which the money was expended. No single expenditure from any petty cash

fund so established and operated shall exceed Five Hundred Dollars (\$500.00). Splitting of invoices for the purpose of avoiding this limitation is prohibited. Except for payments to sports officials, research participants, refunds to students, competition judges, and temporary farm crews employed at Oklahoma Agricultural Experiment Stations, expenditures from such fund for personal services, travel reimbursement, or professional services are prohibited. Further, the exemption for payments to sports officials and refunds to students is limited to only those institutions which have previously been authorized to participate in both the "Alternate Claims Processing", by the Director of the Office of Management and Enterprise Services, and "Remote Warrant Printing", by the State Treasurer. The Oklahoma State Regents for Higher Education shall publish uniform guidelines applicable to all institutions of higher education for expenditures from petty cash funds, which shall be strictly adhered to.

(c) Governing boards of control are integral parts of institutions under their respective jurisdiction; therefore, the expenses of boards in carrying out their respective duties shall be paid from the operating budgets of the institutions and other budget agencies under their jurisdiction. In cases where a board is the governing board for two or more institutions ~~and/or~~ or other budget agencies, the board shall prorate its operating expenses among the institutions ~~and/or~~ or other budget agencies so governed. Prior to the beginning of the fiscal year, each board shall prepare a budget, setting out in detail its necessary expenses for the entire fiscal year and shall, not later than July 1 and utilizing the centralized filing system provided for in Section 378 of this act, electronically file a copy of its budget with the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the Director of the Office of Management and Enterprise Services, and the Legislative Service Bureau. Said budget shall include all full-time-equivalent positions in each activity or division and an itemization of all sources of income used for operations and programs. Each board shall revise its budget, if necessary, and provide said revisions to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the Director of the Office of Management and Enterprise Services, and the Legislative Service Bureau not later than January 1 of each year. In cases where a board has jurisdiction over two or more institutions or budget agencies, it shall, not later than July 1, notify the

President of each institution as to the amount of its pro rata share of the board's expense budget that will be assessed against the institution ~~and/or~~ or other budget agency during the fiscal year.

(d) Prior to the beginning of the fiscal year, the coordinating board of the Oklahoma State Regents for Higher Education shall prepare a budget setting out in detail its necessary expenses for the entire fiscal year, and, not later than July 1 and utilizing the centralized filing system provided for in Section 378 of this act, shall electronically file a copy of its budget with the Director of the Office of Management and Enterprise Services and the Legislative Service Bureau. The State Regents shall allocate the money required to fund its budget prior to making distribution of appropriated monies to the various institutions of The Oklahoma State System of Higher Education.

(e) The Division of Central Accounting and Reporting shall make cash allocations of revenue in accordance with Section 23 of Article X of the Oklahoma Constitution, to each institution and agency, considering the total allocation made by the State Regents from the lump-sum legislative appropriation as the total appropriation for the institution or agency, in lieu of legislative appropriations. All income available to an institution or agency for educational and general purposes, as defined in the uniform budget and accounting classifications recommended by the publications of the National Association of College and University Business Officers, and including income defined by law as revolving fund income, shall operate as a continuing nonfiscal appropriation which may be expended for any educational and general purpose for which appropriated funds may be expended, if allocated and allotted in accordance with the Oklahoma State Finance Act, as provided in this section; provided that no obligation shall be incurred in excess of the unencumbered balance of cash on hand.

(f) At least thirty (30) days prior to the beginning of each fiscal year, each of the constituent institutions and agencies shall file with the State Regents its request for appropriation allotments for each of the purposes for which expenditures are to be made. Such requests shall be in conformity with the uniform budget or accounting classifications recommended by the publications of the National Association of College and University Business Officers. Each request for appropriation allotments shall show the amount

required to finance each item of the request for the entire year and for each quarter or each six-month period within the fiscal year, as required by the Director of the Office of Management and Enterprise Services. The State Regents, or their designated official or employee who has been authorized to approve itemized allotment requests, shall consider the allotment requests for the purpose of making a determination that: (1) the current financial requirements of the institution or agency concerned justify the allotment to be made; (2) the accounting classification is sufficient to reflect the purpose for which expenditures are to be made and that such classification is in accordance with the budget classifications adopted by the Director of the Office of Management and Enterprise Services and the State Regents, which shall conform as nearly as possible to the account classification recommended by the publications of the National Association of College and University Business Officers; and (3) the realization of estimated revenues determined by the Director of the Office of Management and Enterprise Services is sufficient to allow the commitments to be made. In allotting appropriations and other funds, and approving subsequent allotments, which may be required by each institution and agency the State Regents shall follow the same general procedure as other agencies of the state not under the control of the State Regents, except as otherwise provided in this section. All forms and account classifications shall be mutually agreed upon by the Director of the Office of Management and Enterprise Services and the State Regents. The State Regents shall file approved requests of constituent institutions and agencies with the Division of Central Accounting and Reporting. The State Regents and the Director of the Office of Management and Enterprise Services shall approve any request from the administrative head of a constituent institution or agency for amendment of the approved schedule of positions and salaries or transfers between items, so long as the currently approved allotment for such purposes is not exceeded and each such amendment shall be filed with the Director of the Office of Management and Enterprise Services, in such detail as he or she may require, prior to the date on which the first payroll or other disbursement affected by such amendments is submitted for payment. In the event that the realization of estimated revenues at any time during the fiscal year indicates that the total revenue from that fiscal year to any state fund will be insufficient at the end of the fiscal year to meet the total appropriations from that fund, the Director of the Office of Management and Enterprise Services shall

notify the State Regents as to the amount of reduction necessary against the consolidated, or lump-sum appropriation, made to the State Regents.

(g) The State Regents in making itemized allotments during the fiscal year, may reserve an amount sufficient to meet a reasonable failure of revenue until receipt of notice from the Director of the Office of Management and Enterprise Services that the realization of estimated revenues indicates that the total appropriations may be allotted for expenditure. Upon receipt of notice from the Director of the Office of Management and Enterprise Services of a necessary reduction in the consolidated, or lump-sum appropriation, to meet a failure in revenue, the State Regents shall immediately take action to control the approval of subsequent allotment requests sufficient to make the aggregate reduction in allotments of all constituent institutions under their control equal the amount of reduction ordered against the lump-sum appropriation made by the Legislature. Such reductions against the lump-sum appropriation shall not exceed the percentage reduction ordered against other agencies of the state, in accordance with Section 23 of Article X of the Oklahoma Constitution.

SECTION 287. AMENDATORY 70 O.S. 2021, Section 3909, as amended by Section 575, Chapter 486, O.S.L. 2025 (70 O.S. Supp. 2025, Section 3909), is amended to read as follows:

Section 3909. A. In addition to such other audits as may be required of or desired by the various boards of regents responsible for the institutions of The Oklahoma State System of Higher Education, each board shall annually obtain the services of an independent accounting firm or individual holding a permit to practice public accounting in this state to perform a complete financial audit for the preceding fiscal year of each institution for which the board is responsible. The Oklahoma State Regents for Higher Education shall likewise annually obtain the services of an independent accounting firm or individual holding a permit to practice public accounting in this state to perform a complete financial audit of all the offices, operations, and accounts of the State Regents which are not subject to the control of other boards of regents. The audits shall be filed in accordance with the requirements set forth for financial statement audits in Section 212A of Title 74 of the Oklahoma Statutes.

B. Each board of regents shall appoint a standing Audit Committee of the board consisting of not fewer than three (3) board members. The Audit Committee shall be responsible for establishing the qualifications of any accounting firm or individual seeking to be hired to perform an audit for the board and shall recommend to the board the firms or individuals whom the board shall invite to submit competitive bids. The full board shall select the auditor from among the competitive bidders. Audit committees shall not recommend any firm or individual unwilling to meet the following specifications. The specifications shall be among the terms and conditions of any contract awarded:

1. All revolving fund accounts, special accounts, special agency accounts, auxiliary enterprise accounts, and technical area school district accounts, if any, shall be included within the scope of the audit;

2. Where operations of constituent agencies or technical area school districts are relevant to the complete financial audit of the institution, records of those enterprises shall be included within the scope of the audit;

3. To the extent required by subsection (d) of Section 4306 of this title, records of college- or university-related foundations shall be included within the scope of the audit;

4. At the conclusion of the audit, the auditor shall meet with the president of the institution and the Audit Committee to review the audit report to be issued, the management letter or other comments or suggestions to be issued, and any other findings; and

5. Findings of material weaknesses, qualifications of the auditor's report other than those deriving from inadequate plant records, and of defalcations, or a report of lack of such findings, shall be electronically communicated in writing to the board, the State Auditor and Inspector, the Legislative Service Bureau, and the Oklahoma State Regents for Higher Education with or in advance of the filing of the audit report required by Section 452.10 of Title 74 of the Oklahoma Statutes utilizing the centralized filing system provided for in Section 378 of this act; and such written

communications shall include any responses or other comments which the president or the Audit Committee wishes to have included.

C. The State Auditor and Inspector whenever he or she deems it appropriate, or upon receiving a written request to do so by the Governor, Attorney General, President Pro Tempore of the Senate, the Speaker of the House of Representatives, the governing board of an institution of higher education, the Oklahoma State Regents for Higher Education or the president of an institution of higher education, shall conduct a special audit of any institution of higher education within The Oklahoma State System of Higher Education. The special audit shall include, but not necessarily be limited to, a compliance audit as defined in subsection C of Section 213 of Title 74 of the Oklahoma Statutes. The State Auditor and Inspector shall have the power to take custody of any records necessary to the performance of the audit but shall minimize actual physical removal of or denial of access to such records. At the conclusion of the audit, the State Auditor and Inspector shall meet with the president of the institution and the Audit Committee of the board which governs the component audited to review the audit report to be issued. The report, when issued, shall include any responses to the audit which the president or the Audit Committee wishes to have included and shall be electronically presented to the full board, the Legislative Service Bureau, and the Oklahoma State Regents for Higher Education with or in advance of the filing required by Section 452.10 of Title 74 of the Oklahoma Statutes utilizing the centralized filing system provided for in Section 378 of this act. The cost of such audit shall be borne by the audited entity and may be defrayed in whole or in part by any federal funds available for that purpose.

D. Each board of regents shall require the employment of a sufficient number of internal auditors to meet the board's fiduciary responsibilities. Internal audits shall be conducted in accordance with the provisions of Sections 228 and 229 of Title 74 of the Oklahoma Statutes. The internal auditors shall submit a report directly and simultaneously to the audit committee of the board and the president of the institution; all members of the board of regents governing the institution, however, shall receive all internal audit reports and the board of regents shall, at least annually, review and prescribe the plan of work to be performed by the internal auditors.

E. Any person who alters or destroys records needed for the performance of an audit or causes or directs a subordinate to do such acts shall be guilty of a Class D1 felony offense punishable by imprisonment as provided for in subsections B through F of Section 20N of Title 21 of the Oklahoma Statutes, or by a fine of not more than Twenty Thousand Dollars (\$20,000.00), or by both such fine and imprisonment. Such person shall also be subject to immediate removal from office or employment.

SECTION 288. AMENDATORY 70 O.S. 2021, Section 3954, is amended to read as follows:

Section 3954. A. The Oklahoma State Regents for Higher Education shall discharge their duties as trustees of the Oklahoma State Regents' Endowment Trust Fund, as trustees of the Oklahoma State Regents' Academic Scholars Trust Fund, as trustees of the Oklahoma Higher Learning Access Trust Fund, as trustees of the Oklahoma GEAR UP Scholarship Trust Fund, and as trustees of the Oklahoma Tuition Equalization Grant Trust Fund, hereafter "Trust Funds":

1. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

2. By diversifying the investments of the Trust Funds so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

3. In accordance with the laws, documents and instruments governing the Trust Funds.

B. The State Regents may procure insurance indemnifying the members of the State Regents from personal loss or accountability from liability resulting from a member's action or inaction as a trustee.

C. The State Regents may establish an investment committee for any of the Trust Funds or any combination of such Trust Funds. Such investment committee shall be composed of members of the State

Regents appointed by the chair of the State Regents. The committee shall make recommendations to the entire membership of the State Regents on all matters related to the choice of custodians and managers of the assets of the Trust Funds, on the establishment of investment and fund management guidelines, and in planning future investment policy. The committee shall have no authority to act on behalf of the State Regents in any circumstances whatsoever. No recommendation of the committee shall have effect as an action of the State Regents nor take effect without the approval of the State Regents.

D. The State Regents may retain qualified investment managers to provide for the investment of the monies of the Trust Funds and may pay the fees for the services of such investment managers from the investment proceeds attributable to each of the Trust Funds. The investment managers shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the State Regents. Subject to the overall investment guidelines set by the State Regents, the investment managers shall have full discretion in the management of those monies of the Trust Funds allocated to the investment managers. The State Regents shall manage those monies not specifically allocated to the investment managers. The monies of the Trust Funds allocated to the investment managers shall be actively managed by the investment managers, which may include selling investments and realizing losses if such action is considered advantageous to longer term return maximization. Because of the total return objective, no distinction shall be made for management and performance evaluation purposes between realized and unrealized capital gains and losses.

E. Funds and revenues for investment by the investment managers or the State Regents shall be placed with a custodian selected by the State Regents. Payment of the fees for the custodians' services may be paid from the applicable Trust Fund. The custodian shall be a bank or trust company offering pension fund master trustee and master custodial services. The custodian shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the State Regents. In compliance with the investment policy guidelines of the State Regents, the custodian bank or trust company shall be contractually responsible for ensuring that all monies of the Trust Funds are invested in income-producing investment vehicles at all times. If a custodian bank or

trust company has not received direction from the investment managers of the Trust Funds as to the investment of the monies of the Trust Funds in specific investment vehicles, the custodian bank or trust company shall be contractually responsible to the State Regents for investing the monies in appropriately collateralized short-term interest-bearing investment vehicles.

F. By November 1, 1989, and prior to August 1 of each year thereafter, the State Regents shall develop written investment plans for the Trust Funds.

G. The State Regents shall compile quarterly financial reports of all the funds and accounts of the Oklahoma State Regents' Endowment Trust Fund, the Oklahoma State Regents' Academic Scholars Trust Fund, the Oklahoma Higher Learning Access Trust Fund, the Oklahoma GEAR UP Scholarship Trust Fund, and the Oklahoma Tuition Equalization Grant Trust Fund on a fiscal year basis. The reports shall include several relevant measures of investment value, including acquisition cost and current fair market value with appropriate summaries of total holdings and returns. The reports shall contain combined and individual rates of returns of the investment managers by category of investment, over periods of time. The reports shall be electronically distributed to the Director of the Legislative Service Bureau and the Chair of the Joint Committee on Fiscal Operations utilizing the centralized filing system provided for in Section 378 of this act.

H. After July 1 and before October 1 of each year, the State Regents shall publish four annual reports presented in simple and easily understood language. The reports shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Director of the Legislative Service Bureau, and the Chair of the Joint Committee on Fiscal Operations utilizing the centralized filing system provided for in Section 378 of this act. The annual reports shall cover the operation of the Oklahoma State Regents' Endowment Trust Fund, the Oklahoma State Regents' Academic Scholars Trust Fund, the Oklahoma Higher Learning Access Trust Fund, the Oklahoma GEAR UP Scholarship Trust Fund, and the Oklahoma Tuition Equalization Grant Trust Fund during the past fiscal year, including income, disbursements, and the financial condition of the Trust Funds at the end of the fiscal year. The annual reports shall also

contain the information issued in the quarterly reports required pursuant to subsection G of this section as well as a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or over-funded status, contributions and any other information deemed relevant by the State Regents.

SECTION 289. AMENDATORY 70 O.S. 2021, Section 3970.11, is amended to read as follows:

Section 3970.11. The Board of Trustees of the Oklahoma College Savings Plan shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report summarizing any findings and recommendations concerning the program to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Governor by February 1 of each year.

SECTION 290. AMENDATORY 70 O.S. 2021, Section 3980.4, as amended by Section 4, Chapter 186, O.S.L. 2023 (70 O.S. Supp. 2025, Section 3980.4), is amended to read as follows:

Section 3980.4. A. The Oklahoma State Regents for Higher Education shall be authorized to issue indebtedness for capital projects to benefit each and every institution within The Oklahoma State System of Higher Education except the University of Oklahoma and Oklahoma State University.

B. The Board of Regents of the University of Oklahoma shall be authorized to issue indebtedness for capital projects to benefit the University of Oklahoma as provided by paragraph (n) of Section 3305 of this title. The Board of Regents of the University of Oklahoma, acting for the benefit of the University of Oklahoma, shall be authorized to pledge any lawfully available source of revenue other than revenues appropriated by the Legislature from tax receipts, but inclusive of revenues derived from the Oklahoma Education Lottery Act accruing to the credit of the University of Oklahoma to the repayment of obligations issued pursuant to this subsection and, with respect to obligations issued for the purpose specified in Section 160.1 of Title 62 of the Oklahoma Statutes, inclusive of monies accruing to the credit of the Comprehensive Cancer Center Debt Service Revolving Fund.

C. The Board of Regents for the Oklahoma Agricultural and Mechanical Colleges shall be authorized to issue indebtedness for capital projects to benefit Oklahoma State University pursuant to paragraph 16 of Section 3412 of this title. The Board of Regents for the Oklahoma Agricultural and Mechanical Colleges, acting for the benefit of Oklahoma State University, shall be authorized to pledge any lawfully available source of revenue, other than revenues appropriated by the Legislature from tax receipts, but inclusive of revenues derived from the Oklahoma Education Lottery Act, accruing to the credit of Oklahoma State University to the repayment of obligations issued pursuant to this subsection.

D. The Board of Regents of Oklahoma Colleges, also known as the Regional University System of Oklahoma (RUSO) pursuant to Section 3507.1 of this title, shall be authorized to issue indebtedness for capital projects to benefit the institutions supervised and managed by RUSO. RUSO shall be authorized to pledge any lawfully available source of revenue, other than revenue appropriated by the Legislature from tax receipts, but inclusive of revenues derived from the Oklahoma Education Lottery Act, accruing to the credit of institutions supervised and managed by RUSO to the repayment of obligations issued pursuant to this subsection.

E. The Oklahoma State Regents for Higher Education shall be required to affirmatively approve the issuance of obligations pursuant to the provisions of the Oklahoma Higher Education Promise of Excellence Act of 2005 by either the Board of Regents of the University of Oklahoma, acting for the benefit of the University of Oklahoma, the Board of Regents for the Oklahoma Agricultural and Mechanical Colleges, acting for the benefit of Oklahoma State University, or RUSO, acting for the benefit of institutions supervised and managed by RUSO. For each of the proposed bond issues authorized pursuant to the Oklahoma Higher Education Promise of Excellence Act of 2005, a Statement of Essential Facts shall be prepared by the issuing Board of Regents for the use and information of prospective bond purchasers. It shall be the duty of the Oklahoma State Regents for Higher Education to examine such Statement of Essential Facts and determine that, based upon such facts and projections, the projected revenue will satisfy the financial obligation to be incurred under the proposed bond issue. If the facts are found by the State Regents to be substantially accurate and if the State Regents find that, based upon such facts

and projections, the projected revenue will satisfy the financial obligation to be incurred under the proposed bond issue, then the Oklahoma State Regents for Higher Education shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically certify such to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate. The certificate shall be made in substantially the following form:

The Oklahoma State Regents for Higher Education do hereby certify that the provisions of this section have been complied with in proper order, for the bond issue mentioned above.

F. All obligations except refunding or defeasance obligations proposed to be issued by an authorized issuer pursuant to the Oklahoma Higher Education Promise of Excellence Act of 2005 shall be subject to final approval by the Legislature as provided by this subsection. The authorized issuer shall communicate the proposed projects and the terms of the financing to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate prior to the time any such obligations are sold. The communication required by this subsection shall be made not later than April 1 each year. The communication to such elected officials shall occur upon the same date for purposes of computing the time within which action ~~must~~ shall be taken as further prescribed by this subsection. The Legislature shall have a period of forty-five calendar days from the date as of which the information is communicated to the presiding officers of both chambers in order to pass a Concurrent Resolution disapproving the proposed issuance. If the Concurrent Resolution has not received a majority of votes of those elected to and constituting both the House of Representatives and the Senate by the end of the forty-fifth day following the date upon which the proposed issuance is communicated to the presiding officers of both chambers, the proposed issuance shall be deemed to have been approved by the Legislature.

G. With the approval of the Oklahoma State Regents for Higher Education, the total revenues described by subsection B and subsection C of this section may be pledged to the repayment of obligations issued by either the Board of Regents of the University of Oklahoma or obligations issued by the Board of Regents for the Oklahoma Agricultural and Mechanical Colleges in order to obtain the

highest possible credit rating. If the Board of Regents of the University of Oklahoma and the Board of Regents for the Oklahoma Agricultural and Mechanical Colleges agree to the use of the total revenues available to each such Board of Regents pursuant to this subsection for a project that benefits either the University of Oklahoma or Oklahoma State University or both such comprehensive universities, there shall be an agreement executed by both such Boards of Regents describing the project, the principal amount of the indebtedness, the terms of the financing, and such other matters as the two Boards of Regents may mutually agree. Such agreement shall be executed prior to the sale of any obligations by either Board of Regents with respect to the proposed project or projects. The agreement shall provide for one or the other Board of Regents to be the authorized issuer with respect to the project or projects. The agreement shall also provide for the ownership or control of any real or personal property to be improved or acquired with the proceeds from the sale of any such obligations including any requirements for the transfer of real or personal property from one comprehensive university to the other comprehensive university if such transfer is required in order to promote or ensure the marketability of any obligations sold by either Board of Regents.

H. The Oklahoma State Regents for Higher Education may pledge all lawfully available revenues, other than revenues appropriated by the Legislature from tax receipts, but inclusive of revenues derived from the Oklahoma Education Lottery Act, and other than the revenues described by subsection B, C, or D of this section, to the repayment of obligations issued by the State Regents.

I. The authorized issuers shall be subject to the following restrictions governing the issuance of the obligations authorized by the Oklahoma Higher Education Promise of Excellence Act of 2005:

1. Obligations used to pay for the following assets shall be repaid in a period not to exceed five (5) years:

- a. computers,
- b. portable telecommunications equipment costing less than Fifty Thousand Dollars (\$50,000.00),
- c. motor vehicles, and

- d. any other item of tangible personal property with an original useful life of six (6) years or less;

2. Obligations used to pay for the following assets shall be repaid in a period not to exceed ten (10) years:

- a. equipment with an original cost of less than One Hundred Thousand Dollars (\$100,000.00) per item, and
- b. renovation of existing structures, unless the cost of the renovation exceeds the fair market value of the existing structure or unless the improvement extends the useful life of the existing structure, but in no case shall the maturity period exceed the period by which the life of the existing structure is extended; and

3. Obligations used to pay for all other assets shall be repaid in a period not to exceed thirty (30) years and in no case shall the latest maturity date of an obligation exceed the expected useful life of the asset.

SECTION 291. AMENDATORY 70 O.S. 2021, Section 4705, is amended to read as follows:

Section 4705. The State Regents for Higher Education are hereby authorized to study developing a program to create at least one trust fund whereby Oklahoma residents will be able to pre-pay all or part of enrollment fees or tuition to any Oklahoma institution of higher education recognized by the Oklahoma State Regents for Higher Education. This program shall require that monies paid in shall be held in trust and used to pay all or part of the enrollment fees for the beneficiaries designated by the contributor to the trust. The program shall allow payments to be made either in a lump sum or in installments, with the amounts of money due being determined based on the age of the beneficiary. The program shall require the Oklahoma State Regents for Higher Education to, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a report with the Speaker of the House of Representatives and the President Pro Tempore of the Senate prior to January 31 of each year, detailing the activity of the trust in the

previous year. The Oklahoma State Regents for Higher Education are authorized to model the ~~plan on~~ plan on the Michigan education trust act. The Regents shall, prior to January 31, 1988, file a report with the Speaker of the House of Representatives and the President Pro Tempore of the Senate, outlining the program.

SECTION 292. AMENDATORY 71 O.S. 2021, Section 1-601, as last amended by Section 1, Chapter 225, O.S.L. 2023 (71 O.S. Supp. 2025, Section 1-601), is amended to read as follows:

Section 1-601. A. The Administrator shall administer the Oklahoma Uniform Securities Act of 2004.

B. There are hereby created the Oklahoma Securities Commission and the Department of Securities. The Commission shall be the policy making and governing authority of the Department, shall appoint the Administrator and shall be responsible for the enforcement of the Oklahoma Uniform Securities Act of 2004.

C. 1. The Commission shall consist of five (5) members, including the State Banking Commissioner who shall serve as an ex officio voting member. Four (4) members shall be appointed by the Governor by and with the advice and consent of the Senate. One member will be a member of the Oklahoma Bar Association appointed from a list of five nominees submitted by the Oklahoma Bar Association; one member shall be an active officer of a bank or trust company operating in the State of Oklahoma appointed from a list of five nominees submitted by the Oklahoma Bankers Association; and one member shall be a certified public accountant appointed from a list of five nominees submitted by the Oklahoma Society of Certified Public Accountants; and one member shall be a resident of this state actively engaged in the securities industry with the qualifications set forth in paragraph 3 of this subsection.

2. Except for appointment of the member engaged in the securities industry as provided for in subsection C of this section, no person may be appointed to or by the Commission while such person is registered as a broker-dealer, agent, investment adviser, or investment adviser representative under the Oklahoma Uniform Securities Act of 2004, or while he or she is an officer, director, or partner of any person so registered, or while he or she is an officer, director, or partner of an issuer which has a registration

statement effective under the Oklahoma Uniform Securities Act of 2004, or while he or she is occupying a similar status or performing similar functions.

3. The member appointed as a representative of the securities industry shall:

- a. be currently registered as an agent, investment adviser, or investment adviser representative under the requirements of this title,
- b. have at least ten (10) years of experience in the industry immediately preceding appointment, and
- c. have not been subject to a regulatory action requiring disclosure on the uniform applications for registration for agents, investment advisers, or investment adviser representatives.

The member may be removed from office by the Governor when the member has ceased to be qualified based on subparagraph a or c of this paragraph.

4. It is unlawful for any member of the Commission, the Administrator, or any other officer or employee of the Department to use for personal benefit any information which is filed with or obtained by the Administrator and which is not made public. No provision of the Oklahoma Uniform Securities Act of 2004 authorizes any member of the Commission, the Administrator or any other officer or employee of the Department to disclose any such information except among themselves or when necessary or appropriate in a proceeding or investigation under the Oklahoma Uniform Securities Act of 2004 or in connection with a proceeding or investigation conducted by any state, federal or foreign law enforcement agency, securities agency, or self-regulatory organization. No provision of the Oklahoma Uniform Securities Act of 2004 either creates or derogates from any privilege which exists at common law or otherwise when documentary or other evidence is sought under a subpoena directed to any member of the Commission, the Administrator, or any other officer or employee of the Department.

5. Except on proof of corruption, no Commissioner shall for his or her acts or failure to act be civilly liable to any investor, applicant for registration, or any other person.

D. The Governor shall biennially appoint Commission members to serve for a staggered term of six (6) years. Upon the expiration of initial terms, the term of each member shall be six (6) years from the date of his or her appointment and qualification, and until his or her successor shall qualify. Vacancies shall be filled by the Governor for the unexpired term. Members shall be eligible for reappointment.

E. The Commission shall select a chair and is hereby authorized to adopt rules for conducting its proceedings. Any three members shall constitute a quorum for transacting Commission business. The Commission shall meet bimonthly on such date as it may designate and may meet at such other times as it may deem necessary, or when called by the chair or by any two members. Complete minutes of each meeting shall be kept and filed in the Department and shall be available for public inspection during reasonable office hours. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report annually to the Governor, to the Speaker of the House of Representatives, and to the President Pro Tempore of the Senate. The report shall contain the minutes of each meeting held during the year, legislative recommendations, a summary of violations of the Oklahoma Uniform Securities Act of 2004 and action taken thereon, a list of securities registered under the Oklahoma Uniform Securities Act of 2004 and such other data and information as may be deemed necessary or appropriate. The Commission is hereby authorized to publish such report, and the Administrator may sell copies of such report at such price as is reasonably sufficient to defray the expenses of the Department in preparing, publishing, and disseminating the same. Each member of the Commission shall have unrestricted access to all offices and records under the jurisdiction of the Department. The Commission, or a majority thereof, may exercise any power or perform any act authorized for the Administrator under the provisions of the Oklahoma Uniform Securities Act of 2004.

F. The Commission shall appoint a full-time Administrator, who shall serve at the pleasure of the Commission. The Administrator shall administer the Oklahoma Uniform Securities Act of 2004 under

the supervision of the Commission and in accordance with its policies.

G. The Administrator shall be a person of good moral character, at least thirty (30) years of age, a resident taxpayer of Oklahoma, and thoroughly familiar with corporate organization, investment banking, investment trusts, the sale of securities, and the statistical details of the manufacturing industries and commerce of this state. In addition, the Administrator shall:

1. Be a graduate of an accredited law school and a member of the Oklahoma Bar Association, or shall have had ten (10) years' experience as a certified public accountant; and

2. Have at least three (3) years' work experience involving some aspect of the securities industry. The Commission may also require additional qualifications. The salary of the Administrator shall be fixed by the Commission.

H. The Administrator, with the approval of the Commission, may designate a Deputy Securities Administrator, who shall possess the same qualifications, including bond, required for the Administrator and who shall perform all the duties required to be performed by the Administrator when the Administrator is absent or unable to act for any reason.

I. Before assuming office, the Administrator shall give a bond in the sum of Fifty Thousand Dollars (\$50,000.00) payable to the State of Oklahoma, to be approved by the Attorney General of the State of Oklahoma, conditioned that he or she will faithfully execute the duties of the office. The Administrator may by rule or order require any employee of the Department to be bonded on the same condition and in the same or such lesser amount as he or she determines. The expense of all such bonds shall be paid from funds available to the Department.

J. 1. The internal administrative organization of the Department shall be determined by the Commission in such manner as to promote the efficient and effective enforcement of the Oklahoma Uniform Securities Act of 2004. The Department shall include, but not be limited to, divisions relating to:

- a. registration of broker-dealers, agents, investment advisers, and investment adviser representatives,
- b. registration of securities,
- c. investigation and enforcement, and
- d. investor education.

2. Within the division of investor education, the Department may provide the following services at the discretion of the Administrator:

- a. informing investors of all rights and remedies available under this act,
- b. informing investors of the availability of private dispute resolution, including arbitration and mediation, as an alternative to other courses of action,
- c. acting as a liaison between investors and the other divisions of the Department, and
- d. acting as a liaison between investors and issuers of securities, broker-dealers or investment advisers subject to the jurisdiction of the Department under this act.

Nothing in this subsection shall authorize any employee of the Department to represent the interests of, or to serve as counsel for, investors in any proceeding or action to include an administrative or civil proceeding brought by the Department or the Securities and Exchange Commission, a proceeding brought by the Financial Industry Regulatory Authority, Inc., or an arbitration or mediation proceeding. Further, no employee of the Department may advise any person about the value of securities or as to the advisability of investing in, purchasing or selling securities, or as to the value or merits of pursuing a particular course of action.

3. Records of the division of investor education shall not be exempt from the provisions of the Open Records Act and Section 1-607

of this title except as provided for in subparagraph 8 of paragraph B of Section 1-607 of this title.

K. The Administrator shall prepare in writing a manual of necessary employee positions for the Department, including job classifications, personnel qualifications, duties, maximum and minimum salary schedules, and other personnel information, which shall be approved by the Commission. The Administrator may select, appoint, and employ such attorneys, accountants, auditors, examiners, investigators, clerks, and other personnel as he or she deems necessary for the proper administration of the Oklahoma Uniform Securities Act of 2004, and may fix their compensation and the salary of the Deputy Administrator. The Deputy Administrator and other employees of the Department shall serve at the pleasure of the Administrator.

L. The Commission and the Securities Department shall be assigned offices in Oklahoma City, Oklahoma, by the Office of Management and Enterprise Services, and all records of the Commission and Department shall be kept in those offices, unless and until transferred to the Records Management Division of the Oklahoma Department of Libraries.

M. 1. Neither the Administrator nor any employee of the Department, during their respective terms of employment, shall serve as a director, officer, shareholder, member, partner, agent, or employee of any person who, during the period of such Administrator's or employee's employment with the Department:

- a. was licensed or applied for registration as a broker-dealer, agent, investment adviser, or investment adviser representative under this act, or
- b. applied for or secured the registration of securities under the Oklahoma Uniform Securities Act of 2004.

2. Nothing in paragraph 1 of this subsection shall prohibit the holding, purchasing, or selling of any securities by the Administrator or any employee of the Department in accordance with regulations adopted by the Commission for the purpose of protecting the public interest and avoiding conflicts of interest.

3. Nothing contained in paragraph 1 of this subsection shall prohibit the holding, purchasing, or selling of any securities of any issuer described in subparagraph b of paragraph 1 of this subsection of this section by the Administrator if either:

- a. the Administrator together with his or her spouse, or minor children, owns less than one percent (1%) of any class of outstanding securities of any such issuer so long as such securities are not purchased in an initial public offering, or
- b. such securities are held or purchased through a management account or trust administered by a bank or trust company authorized to do business in this state that has sole investment discretion regarding the holding, purchasing or selling of such securities and the Administrator or employee did not, directly or indirectly, advise, counsel, or command the holding, purchasing or selling of any securities or furnish any information relating to any such securities to such bank or trust company and further, such account or trust does not at any time have more than ten percent (10%) of its total assets invested in the securities of any one issuer or hold more than five percent (5%) of the outstanding securities of any class of securities of any one issuer.

N. The Oklahoma Uniform Securities Act of 2004 does not create or diminish a privilege or exemption that exists at common law, by statute or rule, or otherwise.

O. The Administrator may develop and implement investor education initiatives to inform the public about investing in securities, with particular emphasis on the prevention and detection of securities fraud. In developing and implementing these initiatives, the Administrator may collaborate with public and nonprofit organizations with an interest in investor education. The Administrator may accept a grant or donation from a person that is not affiliated with the securities industry or from a nonprofit organization, regardless of whether the organization is affiliated with the securities industry, to develop and implement investor education initiatives. This subsection does not authorize the

Administrator to require participation or monetary contributions of a registrant in an investor education program.

SECTION 293. AMENDATORY 73 O.S. 2021, Section 179, is amended to read as follows:

Section 179. A. There is hereby created in the State Treasury a revolving fund for the Oklahoma Tourism and Recreation Department, to be designated the "1995 Tourism Bond Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all revenues generated pursuant to the provisions of Section 178 of this title, which are not otherwise committed for other lawful purposes. All monies accruing to the credit of the fund are hereby appropriated and may be budgeted and expended by the Oklahoma Tourism and Recreation Department for purposes of retiring the debt created pursuant to Section 178 of this title. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. Any revenues generated pursuant to Section 178 of this title, and not expended for purposes of meeting the requirements of subsection A of this section, may be expended for paying the operations and maintenance expenses for facilities created pursuant to Section 178 of this title.

C. The Oklahoma Tourism and Recreation Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor detailing the revenues generated and detailing the operating and maintenance expenses in the previous fiscal year which are attributable to the repairs, refurbishments and improvements to Oklahoma Tourism and Recreation Department properties pursuant to Section 178 of this title. Such report shall be submitted before August 1 of each year.

SECTION 294. AMENDATORY Section 2, Chapter 1, 1st Extraordinary Session, O.S.L. 2023, as amended by Section 1, Chapter 393, O.S.L. 2024 (73 O.S. Supp. 2025, Section 187B), is amended to read as follows:

Section 187B. A. There is hereby created in the State Treasury a revolving fund for the Oklahoma Capitol Improvement Authority to be designated the "Legacy Capital Financing Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the Oklahoma Capitol Improvement Authority eligible under law and directed for deposit. All monies accruing to the credit of ~~said~~ such fund are hereby appropriated and may be budgeted and expended by the Oklahoma Capitol Improvement Authority for capital projects specifically and exclusively as authorized by law. Such budgeting and expenditure shall strictly adhere to the specific terms, limitations, purposes, and requirements described in such authorizations and in this act. Expenditures from said fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. 1. The Oklahoma Capitol Improvement Authority shall be authorized to enter into memoranda of understanding with agencies, departments, and subdivisions of the state as provided by law and as deemed necessary by the Authority to administer expenditures from and deposits to the Legacy Capital Financing Fund; provided that such memoranda of understanding do not conflict with or impede the administration of capital projects specifically authorized by law. Such memoranda of understanding shall not constitute a legal obligation of the State of Oklahoma.

2. a. Unless specified otherwise in the applicable authorizing legislation, all distributions from the Legacy Capital Financing Fund shall be returned to the Fund over a twenty-year period. Such distributions shall be returned in the form of LCF Recapitalization Payments as provided in subparagraph b of this paragraph.

b. The annual LCF Recapitalization Payment required of entities in receipt of Legacy Capital Financing Fund distributions shall be equal to one-twentieth (1/20) of the amount distributed to the entity. Such payment shall be collected by the Oklahoma Capitol Improvement Authority in equal monthly installments and deposited

to the Legacy Capital Financing Fund; provided, that in the year of initial distribution no monthly payment shall be made until the second month after such distribution. Upon such second month, all monthly payments for such state fiscal year up to that point shall become payable.

- c. (1) By authorizing distributions from the Legacy Capital Financing Fund and making recipients of such funds responsible for LCF Recapitalization Payments, the Legislature voluntarily subjects itself to the moral obligation that the Legislature shall appropriate to recipient state agencies, otherwise receiving legislative appropriations, the first annual required LCF Recapitalization Payment for the state fiscal year for which the distribution was authorized, and that such appropriated amount shall remain in the agency's appropriation base for the duration of the LCF Recapitalization period for such project.
- (2) The Legislature, as it deems necessary for the best interests of the state, may suspend or restructure for a period of time such LCF Recapitalization Payments through the adoption of a concurrent resolution.

C. Limited to the extent required for projects specifically authorized through the Legacy Capital Financing Act, the Oklahoma Capitol Improvement Authority shall be authorized to:

1. Acquire real property together with improvements located thereon and personal property;

2. Provide for the construction of improvements to real property and to provide funding for repairs, refurbishments, and improvements to real and personal property;

3. Hold title to property and improvements as necessary to comply with legal directives and authorizations; and

4. Lease, transfer, and otherwise legally dispose of property and improvements as necessary to comply with legal directives and authorizations.

D. No later than January 15 annually, the Oklahoma Capitol Improvement Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, submit electronically to the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, the Appropriations and Budget Chair of the Oklahoma House of Representatives, and the Appropriations Chair of the Oklahoma State Senate a report detailing impacts to the balance of the Legacy Capital Financing Fund occurring in the prior calendar year, including, but not limited to, all distributions, expenditures, collections, deposits and investment returns of the Legacy Capital Financing Fund.

E. Notwithstanding any provision of law to the contrary, all interest and income derived from deposits to the Legacy Capital Financing Fund shall be credited to the Legacy Capital Financing Fund.

SECTION 295. AMENDATORY Section 3, Chapter 441, O.S.L. 2024, as amended by Section 2, Chapter 439, O.S.L. 2025 (73 O.S. Supp. 2025, Section 188A), is amended to read as follows:

Section 188A. A. The Long-Range Capital Planning Commission shall develop plans and adopt authorizations directing the Oklahoma Capitol Improvement Authority on the utilization of Oklahoma Capital Assets Maintenance and Protection Fund monies.

B. 1. The Commission shall develop and adopt the following five-year plans to provide for allocations and expenditures of the Oklahoma Capital Assets Maintenance and Protection Fund as follows:

- a. the OCAMP Higher Education Five-year Plan, for the maintaining and repairing of state-owned properties and buildings of public institutions of higher learning,
- b. the OCAMP Tourism and Recreation Five-year Plan, for the maintaining and repairing of properties and

buildings of state parks operated by the Oklahoma Tourism and Recreation Department, and

- c. the OCAMP State Five-year Plan, for the maintaining and repairing of all state-owned properties and buildings.

2. For fiscal year 2026, the Commission shall allocate Oklahoma Capital Assets Maintenance and Protection Fund monies to such five-year plans in the following proportions:

- a. the OCAMP Higher Education Five-year Plan shall be allocated forty-five percent (45%) of such monies for the following:
 - (1) twenty percent (20%) of those monies allocated shall be for four-year colleges and universities receiving a Research Colleges and Universities designation from the Carnegie Classification of Institutions of Higher Education to be further allocated as follows:
 - (a) fifty percent (50%) for those colleges and universities defined as a historically black college or university pursuant to the federal Higher Education Act of 1965, as amended, and
 - (b) fifty percent (50%) of those monies allocated shall be for other colleges and universities,
 - (2) thirty-five percent (35%) of those monies allocated shall be for two-year institutions of higher education within The Oklahoma State System of Higher Education, and
 - (3) forty-five percent (45%) of those monies allocated shall be for all 4-year colleges and universities except the University of Oklahoma located in Norman, Oklahoma, and Oklahoma State University located in Stillwater, Oklahoma,

- b. the OCAMP Tourism and Recreation Five-year Plan shall be allocated ten percent (10%) of such monies, and
- c. the OCAMP State Five-year Plan shall be allocated forty-five percent (45%) of such monies.

C. The Commission shall update each five-year plan no less often than biennially. Upon the adoption of such plans and upon each update to such plans, a report detailing such plans shall be submitted by electronic means to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

D. The Office of Management and Enterprise Services, with the advice and assistance of the Oklahoma Capitol Improvement Authority, shall provide staffing for the Commission and other such assistance as the Commission may require.

E. The Commission may direct the Oklahoma Capitol Improvement Authority to allocate, budget, and expend, either directly or under the terms of memoranda of understanding lawfully entered into with other state entities, monies from the Oklahoma Capital Assets Maintenance and Protection Fund on any project or item that has been included in an applicable five-year plan authorized under the provisions of the Oklahoma Capital Assets Maintenance and Protection Act for no less than one (1) year.

SECTION 296. AMENDATORY Section 2, Chapter 441, O.S.L. 2024, as amended by Section 3, Chapter 439, O.S.L. 2025 (73 O.S. Supp. 2025, Section 188B), is amended to read as follows:

Section 188B. A. There is hereby created in the State Treasury a revolving fund for the Oklahoma Capitol Improvement Authority to be designated the "Oklahoma Capital Assets Maintenance and Protection Fund" (OCAMP Fund). The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the Oklahoma Capitol Improvement Authority eligible under law and directed for deposit to the fund. All monies accruing to the credit of the fund are hereby appropriated and, except for the transfer required pursuant to Enrolled Senate Bill

No. 1125 of the 2nd Session of the 59th Oklahoma Legislature, may be allocated, budgeted, and expended by the Oklahoma Capitol Improvement Authority as directed by the Long-Range Capital Planning Commission. Such allocations, budgeting, and expenditures shall strictly adhere to the specific terms, limitations, purposes, and requirements described in the directive adopted by the Commission. Expenditures from the fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

B. The Oklahoma Capitol Improvement Authority shall be authorized to enter into memoranda of understanding with agencies, departments, and subdivisions of the state as provided by law and as deemed necessary by the Authority to administer expenditures from and allocations and deposits to and from the Oklahoma Capital Assets Maintenance and Protection Fund, provided that such memoranda of understanding do not conflict with or impede the administration of capital projects specifically authorized by law or directed by the Commission. Such memoranda of understanding shall not constitute a legal obligation of this state.

C. Limited to the extent required for projects specifically authorized under the provisions of the Oklahoma Capital Assets Maintenance and Protection Act, the Oklahoma Capitol Improvement Authority shall be authorized to:

1. Acquire real property together with improvements located thereon and personal property;

2. Provide for the construction of improvements to real property and to provide funding for repairs, refurbishments, deferred maintenance, and improvements to real and personal property;

3. Hold title to property and improvements as necessary to comply with legal directives and authorizations; and

4. Lease, transfer, and otherwise legally dispose of property and improvements as necessary to comply with legal directives and authorizations.

D. No later than January 15 annually, the Oklahoma Capitol Improvement Authority shall, utilizing the centralized filing system provided for in Section 378 of this act, submit electronically to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the Chair of the Appropriations Committee of the Senate, and the Chair of the Appropriations and Budget Committee of the House of Representatives a report detailing impacts to the balance of the Oklahoma Capital Assets Maintenance and Protection Fund occurring in the prior calendar year, including, but not limited to, all distributions, expenditures, collections, and deposits of the Oklahoma Capital Assets Maintenance and Protection Fund.

SECTION 297. AMENDATORY 74 O.S. 2021, Section 18b, as last amended by Section 2, Chapter 335, O.S.L. 2025 (74 O.S. Supp. 2025, Section 18b), is amended to read as follows:

Section 18b. A. The duties of the Attorney General as the chief law officer of the state shall be:

1. To appear for the state and prosecute and defend all actions and proceedings, civil or criminal, in the Supreme Court and Court of Criminal Appeals in which the state is interested as a party;

2. To appear for the state and prosecute and defend all actions and proceedings in any of the federal courts in which the state is interested as a party;

3. To initiate or appear in any action in which the interests of the state or the people of the state are at issue, or to appear at the request of the Governor, the Legislature, or either branch thereof, and prosecute and defend in any court or before any commission, board, or officers any cause or proceeding, civil or criminal, in which the state may be a party or interested; and when so appearing in any such cause or proceeding, the Attorney General may, if the Attorney General deems it advisable and to the best interest of the state, take and assume control of the prosecution or defense of the state's interest therein;

4. To consult with and advise district attorneys, when requested by them, in all matters pertaining to the duties of their offices, when the district attorneys shall furnish the Attorney

General with a written opinion supported by citation of authorities upon the matter submitted;

5. To give an opinion in writing upon all questions of law submitted to the Attorney General by the Legislature or either branch thereof, or by any state officer, board, commission or department, provided, that the Attorney General shall not furnish opinions to any but district attorneys, the Legislature or either branch thereof, or any other state official, board, commission, or department, and to them only upon matters in which they are officially interested;

6. At the request of the Governor, State Auditor and Inspector, State Treasurer, or either branch of the Legislature, to prosecute any official bond or any contract in which the state is interested, upon a breach thereof, and to prosecute or defend for the state all actions, civil or criminal, relating to any matter connected with either of their Departments;

7. Whenever requested by any state officer, board or commission, to prepare proper drafts for contracts, forms and other writing which may be wanted for the use of the state;

8. To prepare drafts of bills and resolutions for individual members of the Legislature upon their written request stating the gist of the bill or resolution desired;

9. To enforce the proper application of monies appropriated by the Legislature and to prosecute breaches of trust in the administration of such funds;

10. To institute actions to recover state monies illegally expended, to recover state property and to prevent the illegal use of any state property, upon the request of the Governor or the Legislature;

11. To pay into the State Treasury, immediately upon its receipt, all monies received by the Attorney General belonging to the state;

12. To settle, compromise and dispose of an action in which the Attorney General represents the interests of the state, so long as

the consideration negotiated for such settlement, compromise or disposition is payable to the state or one of its agencies which is a named party of the action and any monies, any property or other item of value is paid first to the State Treasury;

13. To keep and file copies of all opinions, contracts, forms, and letters of the office, and to keep an index of all opinions, contracts, and forms according to subject and section of the law construed or applied;

14. To keep a register or docket of all actions, demands and investigations prosecuted, defended, or conducted by the Attorney General in behalf of the state. The register or docket shall give the style of the case or investigation, where pending, court number, office number, the gist of the matter, result, and the names of the assistants who handled the matter;

15. To keep a complete office file of all cases and investigations handled by the Attorney General on behalf of the state;

16. To, utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Legislature or either branch thereof whenever requested upon any business relating to the duties of the Attorney General's office;

17. To institute civil actions against members of any state board or commission for failure of such members to perform their duties as prescribed by the statutes and the Constitution and to prosecute members of any state board or commission for violation of the criminal laws of this state where such violations have occurred in connection with the performance of such members' official duties;

18. To respond to any request for an opinion of the Attorney General's office, submitted by a member of the Legislature, regardless of subject matter, by written opinion determinative of the law regarding such subject matter;

19. To convene multicounty grand juries in such manner and for such purposes as provided by law; provided, such grand juries are composed of citizens from each of the counties on a pro rata basis by county;

20. To investigate any report by the State Auditor and Inspector filed with the Attorney General pursuant to Section 223 of this title and prosecute all actions, civil or criminal, relating to such reports or any irregularities or derelictions in the management of public funds or property which are violations of the laws of this state;

21. To represent and protect the collective interests of all utility consumers of this state in rate-related proceedings before the Corporation Commission or in any other state or federal judicial or administrative proceeding;

22. To represent and protect the collective interests of insurance consumers of this state in rate-related proceedings before the Insurance Commissioner or in any other state or federal judicial or administrative proceeding;

23. To investigate and prosecute any criminal action relating to insurance fraud, if in the opinion of the Attorney General a criminal prosecution is warranted, or to refer such matters to the appropriate district attorney;

24. To monitor and evaluate any action by the federal government including, but not limited to, executive orders by the President of the United States, rules or regulations promulgated by an agency of the federal government or acts of Congress to determine if such actions are in violation of the Tenth Amendment to the Constitution of the United States;

25. To cross-deputize police officers of the police department of any municipality or any officer deputized by the county sheriff or a designee subject to an interlocal governmental agreement with the Attorney General's Office in an effort to combine city, county, and state law enforcement efforts and to encourage cooperation between city, county, and state law enforcement officials. Liability for the conduct of any municipal police officer cross-deputized under the terms and conditions of an interlocal governmental agreement or any officer deputized by the county sheriff under the terms and conditions of an interlocal governmental agreement shall remain the responsibility of the respective employer for that officer;

26. To maintain data related to human trafficking and to assist law enforcement, social service agencies, and victim services programs in identifying and supporting victims of human trafficking; and

27. To investigate and prosecute any civil or criminal action relating to violations of the Oklahoma Open Records Act, Section 24A.1 et seq. of Title 51 of the Oklahoma Statutes, or the Oklahoma Open Meeting Act, Section 301 et seq. of Title 25 of the Oklahoma Statutes, if the Attorney General determines that a civil or criminal prosecution is warranted or to defer such matters to a district attorney.

B. Nothing in this section shall be construed as requiring the Attorney General to appear and defend or prosecute in any court any cause or proceeding for or on behalf of the Oklahoma Tax Commission, the Board of Managers of the State Insurance Fund, or the Commissioners of the Land Office.

C. In all appeals from the Corporation Commission to the Supreme Court of Oklahoma in which the state is a party, the Attorney General shall have the right to designate counsel of the Corporation Commission as the Attorney General's legally appointed representative in such appeals, and it shall be the duty of the Corporation Commission counsel to act when so designated and to consult and advise with the Attorney General regarding such appeals prior to taking action therein.

SECTION 298. AMENDATORY 74 O.S. 2021, Section 20i, as last amended by Section 1, Chapter 212, O.S.L. 2024 (74 O.S. Supp. 2025, Section 20i), is amended to read as follows:

Section 20i. A. An agency or official of the executive branch may obtain legal representation by one or more attorneys by means of one of the following:

1. Employing an attorney as such if otherwise authorized by law;

2. Contracting with the Office of the Attorney General; or

3. If the Attorney General is unable to represent the agency, or official due to a conflict of interest, or the Office of the Attorney General is unable or lacks the personnel or expertise to provide the specific representation required by such agency or official, contracting with a private attorney or attorneys pursuant to this section.

B. When entering into a contract for legal representation by one or more private attorneys or law firms, an agency or official of the executive branch shall select an attorney or attorneys or a law firm or law firms from a list of attorneys and firms maintained by the Attorney General. An agency may contract for legal representation with one or more attorneys who are not on the list only when there is no attorney or firm on the list capable of providing the specific representation and only with the approval of the Attorney General. The list shall include any attorney or firm who desires to furnish services to an agency or official of the executive branch and who has filed a schedule of fees for services with and on a form approved by the Attorney General. The list of attorneys and firms desiring to furnish services and a schedule of fees for each attorney and firm shall be maintained and made available to the public.

C. An agency or official may agree to deviate from the schedule of fees only with the approval of the Attorney General and if the new schedule of fees would not violate the fee schedules set forth in subsections D and E of this section.

D. An agency or official of the executive branch shall not enter into a contingency fee contract that provides for the private attorney or firm to receive an aggregate contingency fee that exceeds:

1. Twenty-five percent (25%) of that portion of any amount recovered that is Ten Million Dollars (\$10,000,000.00) or less;

2. Twenty percent (20%) of that portion of any amount recovered that is more than Ten Million Dollars (\$10,000,000.00) but less than or equal to Fifteen Million Dollars (\$15,000,000.00);

3. Fifteen percent (15%) of that portion of any amount recovered that is more than Fifteen Million Dollars (\$15,000,000.00) but less than or equal to Twenty Million Dollars (\$20,000,000.00);

4. Ten percent (10%) of that portion of any amount recovered that is more than Twenty Million Dollars (\$20,000,000.00) but less than or equal to Twenty-five Million Dollars (\$25,000,000.00); and

5. Five percent (5%) of that portion of any amount recovered that is more than Twenty-five Million Dollars (\$25,000,000.00).

E. Notwithstanding subsection D of this section, the total fee payable to all retained private attorneys in any contingency fee contract shall not exceed Fifty Million Dollars (\$50,000,000.00), exclusive of any costs and expenses provided by the contract and actually incurred by the retained private attorneys, regardless of the number of actions or proceedings or the number of retained private attorneys involved in the matter.

F. The Attorney General shall develop a standard clause for inclusion in every contract for contingent fee attorney services that shall be used in all cases, describing in detail what is expected of both the contracted private attorney and the state including, but not limited to, the requirements as provided in this subsection. The state shall not enter into a contract for contingency fee attorney services that does not incorporate such requirements:

1. The government attorneys shall retain complete control over the course and conduct of the case;

2. A government attorney with supervisory authority shall be personally involved in oversight of the case;

3. The government attorneys shall retain veto power over any decision made by outside counsel related to the case;

4. Any defendant in the case may contact the lead government attorneys directly, without having to confer with outside counsel;

5. A government attorney with supervisory authority for the case shall attend all settlement conferences; and

6. Decisions regarding settlement of the case shall be reserved exclusively to the discretion of the government attorneys and the state.

G. Copies of any executed contingency fee contract with the private attorney shall be posted on the Attorney General's website for public inspection within five (5) business days after the date the contract is executed and shall remain posted on the website for the duration of the contingency fee contract including any extensions or amendments to the contract. Any payment of contingency fees shall be posted on the Attorney General's website within fifteen (15) days after the payment of the contingency fees to the private attorney or law firm and shall remain posted on the website for at least three hundred sixty-five (365) days after the payment is made.

H. Any private attorney or law firm under contract to provide services to the state on a contingency fee basis shall from the inception of the contract until at least four (4) years after the contract expires or is terminated, maintain detailed current records including documentation of all expenses, disbursements, charges, credits, underlying receipts and invoices and other financial transactions related to the attorney services. The private attorney or law firm shall make all such records available for inspection and copying upon request of the Attorney General. In addition, the private attorney or law firm shall maintain detailed contemporaneous time records for the attorneys and paralegals working on the matter in increments of no greater than one-tenth (1/10) of an hour and shall promptly provide such records to the Attorney General upon request.

I. Before entering into a contract for legal representation by one or more private attorneys, an agency or official of the executive branch shall furnish a copy of the proposed contract to the Attorney General and notify the Attorney General of the following:

1. The nature and scope of the representation including, but not limited to, a description of any pending or anticipated litigation or of the transaction requiring representation;

2. The reason or reasons for not obtaining the representation from an attorney employed by the agency or official, if an attorney is employed by the agency or official;

3. The reason or reasons for not obtaining the representation from the Attorney General by contract;

4. The anticipated cost of the representation including the following:

- a. the basis for or method of calculation of the fee including, when applicable, the hourly rate for each attorney, paralegal, legal assistant, or other person who will perform services under the contract, and
- b. the basis for and method of calculation of any expenses which will be reimbursed by the agency or official under the contract;

5. An estimate of the anticipated duration of the contract;

6. The past or present relationship, if any, between such attorney, law firm or any partner or other principal in such law firm and the state agency or state agent proposing to enter into the contract;

7. If the contract contemplates that all or part of the fee is contingent on the outcome of the legal proceeding, the reasons the contingent fee arrangement is believed to be in the state's interest and any efforts undertaken to obtain private counsel on a noncontingent fee basis; and

8. The justification for the determination that the selection of a contract for legal representation by one or more private attorneys or firms was made based on the ability of the private attorney or firm to provide the most economical and most competent service which furthers the best interest of the state.

J. After the approval of the contract by the Attorney General for legal representation by one or more private attorneys or law firms, the Attorney General shall make available to the public on

the Attorney General's website the information required pursuant to paragraphs 1 through 8 of subsection I of this section.

K. 1. Before entering into a contract for legal representation by one or more private attorneys or firms where the agency has reason to believe that the case, transaction or matter will equal or exceed Twenty Thousand Dollars (\$20,000.00) or after employment when it becomes apparent that the case, transaction or matter will equal or exceeds Twenty Thousand Dollars (\$20,000.00), an agency or official of the executive branch shall obtain the approval of the Attorney General when the total cost including fees and expenses, of all contracts relating to the same case, transaction, or matter will equal or exceed Twenty Thousand Dollars (\$20,000.00).

2. Before entering into a contract for legal representation by one or more private attorneys or firms to initiate a legal action on behalf of the state where the agency has reason to believe that the total cost of the case, transaction or matter including fees and expenses will equal or exceed One Million Dollars (\$1,000,000.00), an agency or official of the executive branch shall initiate a request for proposal from at least three qualified private attorneys or firms, when possible, engaged in providing such services. Notice of the request for proposal shall be published on the Attorney General's website. The request for proposal shall solicit a billable hourly rate, regardless of whether a contingency fee is ultimately agreed upon, and shall specify the importance of price, quality, ability and experience. The selection of a contract for legal representation by one or more private attorneys or firms shall be made using the criteria established in the request for proposal and shall be based on the response to the request which is the most economical and provides the most competent service which furthers the best interests of the state. Most economical and most competent shall not be construed to mean the least expensive proposal.

3. Any amendment, modification or extension of a contract which, had it been a part of the original contract would have required approval by the Attorney General, shall also require approval by the Attorney General.

L. After entering into a contract for legal representation by one or more private attorneys or firms where the agency has reason to believe that the case, transaction or matter will equal or exceed

One Million Dollars (\$1,000,000.00), an agency or official of the executive branch shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a copy of the contract to the Legislative Oversight Committee overseeing the operations of the Legislative Office of Fiscal Transparency (LOFT) along with the following:

1. A description of the litigation or of the transaction requiring representation;
2. The reason or reasons for not obtaining the representation from an attorney employed by the agency or official;
3. The justification for selecting an attorney or firm contracted to represent the state; and
4. An estimate of the anticipated duration of the contract.

M. A settlement agreement shall not contemplate the ultimate use and destination of recovered funds unless done in accordance with paragraphs 11 and 12 of Section 18b of this title.

N. Within ten (10) days of an agency or official of the executive branch entering into a settlement agreement where a private attorney or firm was hired on a contingency fee contract and the settlement was equal to or greater than One Million Dollars (\$1,000,000.00), the agency or official of the executive branch shall present the settlement agreement to the Legislative Oversight Committee with oversight of the operations of the Legislative Office of Fiscal Transparency (LOFT), unless otherwise postponed by LOFT.

O. When an agency or official of the executive branch enters into a contract for professional legal services pursuant to this section, the agency shall also comply with the applicable provisions of Section 85.41 of this title.

P. The provisions of this section shall not apply to the Oklahoma Indigent Defense System created pursuant to Section 1355 et seq. of Title 22 of the Oklahoma Statutes.

Q. Upon request of an agency or official of the executive branch, the Governor, the President Pro Tempore of the Oklahoma

State Senate and the Speaker of the Oklahoma House of Representatives may exempt a legal matter from the requirements of this section if an exemption is deemed to be in the best interest of the state. Such exemption shall be issued at their discretion, in writing and by unanimous consent, and shall be submitted to LOFT.

R. By February 1 of each year, the Attorney General shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the Chair of the Appropriations and Budget Committee of the House of Representatives, and the Chair of the Appropriations Committee of the Senate, that describes the use of contracts with private attorneys or law firms in the preceding fiscal year. At a minimum, the report shall identify all new contracts entered into during the fiscal year being reported and all previously executed contracts that remain current during any part of the fiscal year. For each contract, the report shall contain:

1. The name of the private attorney with whom the agency has contracted including the name of the attorney's law firm;
2. The nature and status of the legal matter;
3. The name of the parties to the legal matter;
4. The amount of any recovery;
5. The amount of any hourly rate;
6. The amount of any contingency fee paid, if applicable; and
7. The amount paid under the contract for the fiscal year.

S. The provisions of subsections B through R of this section shall not apply to any agency that invests funds on behalf of its beneficiaries and, as part of its fiduciary duty, retains one or more private attorneys or law firms to pursue individual, derivative or class litigation concerning its investments or assets.

T. The provisions of this section shall not apply to any entity exempted from Article I of the Administrative Procedures Act

pursuant to paragraphs 6 and 7 of subsection A of Section 250.4 of Title 75 of the Oklahoma Statutes.

SECTION 299. AMENDATORY 74 O.S. 2021, Section 51.1a, as last amended by Section 2, Chapter 257, O.S.L. 2024 (74 O.S. Supp. 2025, Section 51.1a), is amended to read as follows:

Section 51.1a. A. In addition to the powers and duties as defined elsewhere in statute, the Office of Homeland Security has the duty and responsibility for interoperable public safety communications planning within this state. As part of this duty the Office of Homeland Security shall:

1. Annually develop and, utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives, the Statewide Communications Interoperability Plan;

2. Coordinate statewide planning for public safety communication needs of state government and state emergency responders, including a migration plan for state agency use of public safety communications technologies and rendering of aid between state government and its political subdivisions for organizing and use of disparate public safety communications systems;

3. Serve as a focal point for all state-level projects involving public safety communications vendors where the focus of such authority can substantially enhance the state communications plan or savings;

4. Apply for, receive and hold, or assist state agencies in applying for, receiving or holding such authorizations, licenses, and allocations of channels and frequencies to carry out the purposes of this section;

5. Establish minimum standards and protocols for acquisition, development, or enhancement of public safety communications technologies. These standards shall be utilized by the Information Services Division of the Office of Management and Enterprise

Services pursuant to the provisions of Section 34.20 of Title 62 of the Oklahoma Statutes; and

6. Accomplish such other purposes as may be necessary or incidental to the administration of its authority or functions pursuant to law.

B. It is the intent of the Legislature that all state public entities comply with the provisions of the Statewide Communications Interoperability Plan issued by the Office of Homeland Security. All state agencies are required to review the provisions of the Statewide Communications Interoperability Plan and the public safety communications standards issued by the Office of Homeland Security prior to the purchase, acquisition, development, or enhancement of any public safety communications system. Local public safety agencies and political subdivisions of the state are encouraged, but not required, to review the provisions of the Statewide Communications Interoperability Plan and the public safety communications standards issued by the Office of Homeland Security prior to the purchase, acquisition, development, or enhancement of any public safety communications system to assist the local public safety agency or political subdivision in purchasing decisions.

C. No state agency shall use state funds or enter into any agreement for the acquisition, development, or enhancement of a public safety communication system unless the request is consistent with the Statewide Communications Interoperability Plan and the public safety communications standards issued by the Office of Homeland Security.

SECTION 300. AMENDATORY 74 O.S. 2021, Section 51.2b, as last amended by Section 5, Chapter 257, O.S.L. 2024 (74 O.S. Supp. 2025, Section 51.2b), is amended to read as follows:

Section 51.2b. A. This section shall be known and may be cited as the "Oklahoma School Security Grant Program Act".

B. The Office of Homeland Security shall solicit proposals for and make grants for the enhancement of campus security at institutions of higher learning, technology center schools, public schools, and private schools.

C. The goals and objectives of the Oklahoma School Security Grant Program are to:

1. Increase the awareness of the public and educational institutions of the risks, threats, and vulnerabilities of school campuses as well as mitigation strategies;

2. Incentivize participation in school security training programs designed to assess campus risks, threats, and vulnerabilities;

3. Provide assistance to institutions of higher learning, technology center schools, public schools, and private schools initiating or implementing school security plans, programs, and activities; and

4. Build upon the success of the pilot education grant program established by the Office of Homeland Security.

D. The Office of Homeland Security shall determine grant project criteria and establish a process for the consideration of proposals. The proposals shall be considered on a statewide competitive basis among peer institutions. To be eligible for an Oklahoma School Security Grant Program award, an institution of higher learning, technology center school, public school, or private school shall:

1. Complete a risk and vulnerability assessment conducted by the Oklahoma School Security Institute or a nationally qualified risk and vulnerability assessor; and

2. Agree to expend grant funds on items recommended by the risk and vulnerability assessment ~~and/or~~ or to provide de-escalation and behavioral threat assessment and management training to employees. Recommended items eligible for grant fund expenditures may include, but shall not be limited to, physical security enhancements such as cameras, gates, lighting, locks, doors, windows, security geofencing, and ballistic storm shelters.

E. Each year the Office of Homeland Security shall prepare an annual report on the Oklahoma School Security Grant Program and, utilizing the centralized filing system provided for in Section 378

of this act, submit the report electronically to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives. The report shall include a list of the recipients of Oklahoma School Security Grant Program awards and information on how grant funds were used during the previous year.

SECTION 301. AMENDATORY 74 O.S. 2021, Section 61.8, as amended by Section 1, Chapter 194, O.S.L. 2025 (74 O.S. Supp. 2025, Section 61.8), is amended to read as follows:

Section 61.8. A. The Long-Range Capital Planning Commission shall work to decrease the amount of property owned by Oklahoma state government, return state-owned property to private sector ownership, better maintain and utilize the state's needed capital assets, and, whenever possible, eliminate the practice of state agencies leasing real property not owned by the state.

B. Each year, the Director of the Office of Management and Enterprise Services, at the direction of the Long-Range Capital Planning Commission, shall take action to approve the privatization of state-owned real property as identified pursuant to the Oklahoma State Government Asset Reduction and Cost Savings Program. Proceeds from the liquidation of real properties shall be deposited into the Maintenance of State Buildings Revolving Fund.

C. Prior to entering into or renewing a lease for real property, each state agency, board, commission, and public trust having the state as a beneficiary shall receive approval for entering into the lease from the Office of Management and Enterprise Services.

D. Prior to making a purchase of real property or constructing a building, each state agency, board, commission, and public trust having the state as a beneficiary shall receive approval for the purchase or construction from the Director of the Office of Management and Enterprise Services; provided, if such purchase or construction is deemed by the Director of the Office of Management and Enterprise Services to be within the authority of the Long-Range Capital Planning Commission, the Director shall not approve the purchase or construction and shall refer the request to the Commission for action.

E. Prior to approval or referral pursuant to subsection C or D of this section, the Office of Management and Enterprise Services shall determine if the applicant entity can utilize already existing state-owned real property as an alternative to leasing non-state-owned real property or purchasing or constructing new real property. If such existing state-owned real property is owned by the Oklahoma Historical Society, is listed on the National Register of Historic Places or with the National Trust for Historic Preservation, or is potentially of historical significance, the Office of Management and Enterprise Services shall notify the Oklahoma Historical Society and obtain its approval prior to approving an application for its reuse.

F. No state agency, board, commission, or public trust having the state as its beneficiary shall transfer any real property owned by the agency, board, commission, or trust to any other state agency, board, commission, state beneficiary trust, or any public or private entity unless the transfer is first approved by the Long-Range Capital Planning Commission. Any transfer made without the prior approval of the Long-Range Capital Planning Commission as required by this subsection may be reversed by the Long-Range Capital Planning Commission and if a transfer is reversed the agency, board, commission, state beneficiary trust, or other state government entity to which the real property has been impermissibly transferred shall take such actions to convey the subject property to the entity from which the asset was acquired not later than thirty (30) days from the date an order for such transfer is entered by the Long-Range Capital Planning Commission. The Commission shall not approve any transfer unless proceeds from the sale shall be deposited within the Maintenance of State Buildings Revolving Fund as established by Section 908 of Title 62 of the Oklahoma Statutes.

G. By February 1 of each year, the Office of Management and Enterprise Services shall publish a report for the preceding calendar year listing the parcels of previously state-owned property sold, detailing the reduction in the amount of space leased by the state, describing the source of funds and expenditures from the Maintenance of State Buildings Revolving Fund, and showing the manner in which deferred maintenance needs are being met. The report shall be electronically provided to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate utilizing the centralized filing system provided for in

Section 378 of this act and placed on the documents.ok.gov web portal.

H. This section shall not be applicable to the following or their lands, properties, buildings, funds, or revenue:

1. The Oklahoma Ordnance Works Authority;
2. The Commissioners of the Land Office;
3. The Department of Transportation;
4. The Oklahoma Turnpike Authority; and
5. The Grand River Dam Authority.

I. The Director of the Office of Management and Enterprise Services may make recommendations to the Long-Range Capital Planning Commission for liquidation of underutilized properties that have environmental issues, create a liability for the state, or create expenses that make the continued ownership of the underutilized property undesirable and the property has been offered through two public auctions or sealed bids and no viable bids were received. If the Long-Range Capital Planning Commission approves the liquidation of the property, the Office of Management and Enterprise Services may accept a bid of less than ninety percent (90%) of the appraised value in accordance with Section 327 of Title 61 of the Oklahoma Statutes.

SECTION 302. AMENDATORY 74 O.S. 2021, Section 63.3, is amended to read as follows:

Section 63.3. A. The Office of Management and Enterprise Services shall establish and maintain adequate records and information on all underground storage tank systems owned and operated by the state or any agency of the state, including but not limited to school districts or any agency thereof and institutions of higher learning.

B. Upon the effective date of this act, every state agency and school district and institution of higher education owning or operating an underground storage tank system shall furnish and

deliver to the Office of Management and Enterprise Services a report of the underground tanks owned and operated by the agency, district, or institution detailing location of the tank, the age, condition of any such tank, and installation methods, if known.

C. Prior to the report, each agency, district, or institution shall:

1. Make a visual assessment of the tanks owned and operated by them to determine whether evidence of leakage from the tank has occurred;

2. An examination of fuel records during the past year to determine if input equals output; and

3. Determine based upon visible assessment and upon information the condition of the tank, expected life of the tank, present and future need for the tank.

D. Based on the information received from the agencies, districts and institutions, the Office of Management and Enterprise Services shall establish and maintain a priority list on state owned and operated underground storage tank systems with the tanks needing removal or repair due to leakage given the greatest priority.

E. Upon establishment of the priority list, as funds become available for such purposes, the Office of Management and Enterprise Services shall provide for the upgrade, repair or removal of tanks owned and operated by said state agencies, districts, or institutions so as to meet the federal protection standards for underground storage tank systems by 1999. When possible an internal assessment of the tanks shall be made and as a preference over removal except in cases of economics or extent of deterioration of the tank, or future need of the tank, and when needed the tank shall be upgraded pursuant to the most current edition of the National Leak Prevention Association Standard No. 631.

F. Except in an emergency situation no tank shall be removed without the approval of the Office of Management and Enterprise Services after determination that removal would be more cost effective than repairing or upgrading the tank.

G. By January 15 of each year, the Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically make a written report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate listing:

1. The number of tanks owned and operated by state agencies, districts, and institutions; and

2. How many tanks were removed and replaced or removed, or upgraded and an estimated cost of bringing the tanks into compliance with federal law requirements by 1999.

SECTION 303. AMENDATORY 74 O.S. 2021, Section 63.5, is amended to read as follows:

Section 63.5. Upon receipt of reports required by Section 2 of this act, the Office of Management and Enterprise Services shall cause the reports to be posted on the documents.ok.gov website. The Office shall also, utilizing the centralized filing system provided for in Section 378 of this act, electronically send a notice of such posting to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

SECTION 304. AMENDATORY 74 O.S. 2021, Section 78, as amended by Section 1, Chapter 351, O.S.L. 2023 (74 O.S. Supp. 2025, Section 78), is amended to read as follows:

Section 78. A. There is hereby created and established within the Office of Management and Enterprise Services, the Fleet Management Division. The Division shall provide oversight of and advice to state agencies that own, operate, and utilize motor vehicles. All agencies shall be subject to Fleet Management Division reporting requirements. The following agencies are exempt from Fleet Management Division oversight and advice, but are still subject to required reporting from Fleet Management Division to provide full transparency of the statewide fleet: Department of Public Safety, the Department of Transportation, the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, the Military Department of the State of Oklahoma, the Oklahoma State Bureau of Investigation, the Commissioners of the Land Office and The Oklahoma State System of Higher Education.

B. The Director of the Office of Management and Enterprise Services shall:

1. Appoint and fix duties and compensation for a Fleet Manager who shall serve as the administrative head of the division;

2. Hire personnel as necessary to provide fleet services;

3. Acquire facilities to maintain vehicles;

4. Promulgate rules for efficient and economical operations to provide fleet services; and

5. ~~Report~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate those agencies that fail to comply with the provisions of law and the rules of the Fleet Management Division regarding submission of reports, vehicle use, and vehicle maintenance.

C. The rules shall include provisions to:

1. Establish uniform written vehicle acquisition, leasing, maintenance, repairs, and disposal standards for use by all state agencies to justify actual need for vehicles;

2. Establish standards for routine vehicle inspection and maintenance;

3. Provide standards and forms for recordkeeping of fleet operation, maintenance, and repair costs for mandatory use by all state agencies to report the data to the Fleet Management Division on a monthly basis;

4. Provide standards and utilize methods for disposal of vehicles pursuant to the Oklahoma Surplus Property Act and any other applicable state laws;

5. Establish mandatory maintenance contracts throughout the state for all agencies to access for vehicle repairs and service at discounted rates and parts;

6. Require all agencies with in-house repair and service facilities to assign a value to the preventive maintenance services, track those services with a dollar value, and report costs to the Fleet Manager for the prior month no later than the twentieth day following the close of each month;

7. Promulgate rules requiring all state-owned motor vehicles to be marked in a uniform, highly visible manner, except for certain vehicles driven by law enforcement agencies or other agencies requiring confidentiality;

8. Require agencies to produce and maintain written justification for any vehicle that travels fewer than twelve thousand (12,000) miles annually and report to the Fleet Manager such information by October 1 of each year; and

9. Address any other matter or practice which relates to the responsibilities of the Director of the Office of Management and Enterprise Services.

D. The Fleet Manager shall:

1. Develop specifications for contracts for vehicle maintenance for state vehicles not serviced or maintained by state agencies;

2. Conduct on-site inspections to verify state agency or supplier compliance with Division standards for inspections, maintenance and recordkeeping;

3. Assess state agency needs for vehicles and types of vehicles;

4. Assign, transfer, or lease vehicles to a state agency to meet the needs of the state agency;

5. Unless otherwise provided by law, determine whether a state agency may use or operate a vehicle without state identifying markings, bearing a license plate used by a privately owned vehicle to perform the duties of the state agency without hindrance;

6. Report to the Director of the Office of Management and Enterprise Services occurrences of agencies failing to comply with the provisions of law and the rules of the Fleet Management Division regarding submission of reports, vehicle use, and vehicle maintenance;

7. Offer guidelines to agencies to assist in determining the most cost-effective and reasonable modes of travel for single trips from the following options: state vehicle, private rental, or mileage reimbursement; and

8. ~~Provide~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically provide, upon the request of the Governor, the President Pro Tempore of the Senate, or the Speaker of the House of Representatives, reports from data the Fleet Manager collects.

E. The Director of the Office of Management and Enterprise Services may enter into agreements with any political subdivision of this state for the purpose of providing fleet services established by the Fleet Management Division pursuant to this section and rules promulgated pursuant to this section.

F. The Director of the Office of Management and Enterprise Services, through the Fleet Management Division, may enter into partnership agreements with political subdivisions and private entities for the purposes of applying for, participating in, and administering federal grant funds. The partnership agreements and activities authorized in this subsection are hereby declared to be a public purpose.

G. The Office may offer public access to alternative fueling infrastructure owned and operated by the Office in areas of the state in which access to an alternative fueling infrastructure is not readily available to the public. The Office shall cease allowing public access to an alternative fueling infrastructure operated by the Office if a privately owned alternative fueling infrastructure locates within a five-mile radius of the infrastructure operated by the Department.

H. When used in relation to the Fleet Management Division:

1. "Alternative fueling infrastructure" shall mean a fill station or charge station used to deliver or provide alternative fuels as defined in Section 130.2 of this title; and

2. "Alternative fuel vehicle" shall mean a motor vehicle originally designed by the manufacturer to operate lawfully and principally on streets and highways which is propelled by an alternative fuel as defined in Section 130.2 of this title.

SECTION 305. AMENDATORY 74 O.S. 2021, Section 78d, as amended by Section 2, Chapter 351, O.S.L. 2023 (74 O.S. Supp. 2025, Section 78d), is amended to read as follows:

Section 78d. The Fleet Management Division shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically furnish to the Governor, President Pro Tempore of the Senate, and the Speaker of the House of Representatives, at the close of each fiscal year a statement showing the financial condition of the Division, an inventory of all motor vehicles regardless of exemption or oversight status, and such other information regarding the state motor vehicle transportation system as is necessary for a proper understanding of the operation of such system and of the financial condition of the motor pool operations.

SECTION 306. AMENDATORY 74 O.S. 2021, Section 85.5, as amended by Section 1, Chapter 102, O.S.L. 2024 (74 O.S. Supp. 2025, Section 85.5), is amended to read as follows:

Section 85.5. A. Except as otherwise provided in this section, the State Purchasing Director, under the supervision of the Director of the Office of Management and Enterprise Services, shall have sole and exclusive authority and responsibility for all acquisitions by state agencies. In order to carry out the powers and duties of the Chief Information Officer and the Information Services Division, the Chief Information Officer shall have sole and exclusive authority and responsibility for all acquisitions of information and telecommunications technology, equipment, software, products and related peripherals and services by state agencies. Public construction contracts are awarded pursuant to Title 61 of the Oklahoma Statutes and are not subject to the Oklahoma Central Purchasing Act.

B. Every state agency shall determine its own quantitative needs for acquisitions and the general class or nature of the acquisitions. The State Purchasing Director, after consultation with the requisitioning state agency, shall have authority to determine the particular brand, model, or other specific classification of each acquisition and to draft or invoke pursuant to the Oklahoma Central Purchasing Act specifications establishing the requirements for all necessary contracts or purchase orders.

C. The Director of the Office of Management and Enterprise Services shall have authority and responsibility to promulgate rules in connection with provisions of the Oklahoma Central Purchasing Act for:

1. The time, manner, authentication, and form of making requisitions for acquisitions;

2. Inspection, analysis and testing of acquisitions or samples bidders submit prior to contract award;

3. The form and manner of submission for bids or proposals a bidder submits and the manner of accepting and opening bids or proposals;

4. The conditions under which the Office of Management and Enterprise Services shall require written contracts for acquisitions, the conditions under which acquisitions may be made on an open account basis, and the conditions and manner of negotiating such contracts;

5. Obtaining acquisitions produced by state institutions;

6. Conditions under which any of the rules herein authorized may be waived;

7. The amounts of and deposits on any bond or other surety required to be submitted with a bid or contract for the furnishing of acquisitions and the conditions under which such bond or other surety shall be required;

8. The manner and conditions of delivery, which shall include the designation of the common carrier of property to be used to

transport acquisitions whenever a common carrier is used, and the acceptance, or rejection, including check of quantities, of any acquisitions;

9. The form of any estimate, order or other information required in connection with an acquisition;

10. State agency acquisitions not exceeding the acquisition threshold amount requiring competitive bid to ensure competitiveness, fairness, compliance with the Oklahoma Central Purchasing Act and Section 3001 et seq. of this title, which relates to the State Use Committee. The rules shall include separate provisions based on acquisition amounts as follows:

- a. state agencies shall make acquisitions not exceeding Twenty-five Thousand Dollars (\$25,000.00), provided the acquisition process is fair and reasonable and is conducted pursuant to rules authorized pursuant to this section, and
- b. state agencies with certified procurement officers and internal purchasing procedures found compliant by the State Purchasing Director may make acquisitions in excess of the fair and reasonable acquisition threshold amount provided for in this section and not exceeding Two Hundred Fifty Thousand Dollars (\$250,000.00), pursuant to rules authorized by this section;

11. Training by the State Purchasing Director of state agency procurement officers;

12. Review and audit by the State Purchasing Director of state agency acquisitions;

13. The conditions for increasing acquisition limits for state agencies which have had a prior reduction in acquisition limit by the Director of the Office of Management and Enterprise Services;

14. Use of a state purchase card to make acquisitions;

15. Any other matter or practice which relates to the responsibilities of the State Purchasing Director;

16. Conditions for determination and authorization of acquisition threshold amounts of state agencies;

17. The form and manner of verification by suppliers that the supplier is eligible to do business in the State of Oklahoma and has obtained all necessary permits and licenses, pursuant to applicable provisions of law; and

18. Payment procedure rules for state agencies to adhere to regarding statewide contracts.

D. The State Purchasing Director shall provide training for state agency procurement officials, and other procurement staff, and is authorized to require retraining of such procurement personnel found not to be in compliance with provisions of the Oklahoma Central Purchasing Act or associated rules. The training may include any matters related to state procurement practices. State agency purchasing officials that demonstrate proficiency shall be certified as "certified procurement officers" by the State Purchasing Director and shall be authorized to make acquisitions pursuant to provisions of the Oklahoma Central Purchasing Act and associated rules. The State Purchasing Director may assess a fee to state agencies for the training that does not exceed each state agency's pro rata share of the costs the State Purchasing Director incurs to provide the training.

E. The State Purchasing Director shall review state agency acquisitions for the purposes of:

1. Ensuring state agency compliance with provisions of the Oklahoma Central Purchasing Act;

2. Ensuring state agency compliance with rules promulgated by the Office of Management and Enterprise Services pursuant to the Oklahoma Central Purchasing Act;

3. Ensuring state agency compliance with provisions of Section 3001 et seq. of this title pertaining to the State Use Committee;

4. Reporting any acquisition by any state agency found not to be in compliance with those sections or rules to the Director of the Office of Management and Enterprise Services;

5. A determination by the State Purchasing Director to reduce a state agency's acquisition authority amount when the state agency is found not to be in compliance with the Oklahoma Central Purchasing Act or associated rules or requirements of the State Purchasing Director pursuant to this section; and

6. A determination by the State Purchasing Director to increase a state agency's acquisition authority amount after the agency cures deficiencies in connection with a prior reduction in the authority amount by the State Purchasing Director.

F. Based on written findings and when recommended by the State Purchasing Director, the Director of the Office of Management and Enterprise Services may:

1. Transmit written findings by the State Purchasing Director to the State Auditor and Inspector for further investigation, indicating purchasing procedures that do not conform to the Oklahoma Central Purchasing Act or associated rules; or

2. Transmit to the Attorney General or the State Auditor and Inspector for further investigation a report made by the State Purchasing Director that the Director of the Office of Management and Enterprise Services reasonably believes indicates that an action that constitutes a criminal violation pursuant to the Oklahoma Central Purchasing Act or other laws has been taken by any state agency, state agency official, bidder, or supplier.

G. 1. Pursuant to the requirements of the Oklahoma Central Purchasing Act, the State Purchasing Director shall have authority to enter into any statewide, multistate, or multigovernmental contract. The state entity designated by law, as specified in Section 1010.3 of Title 56 of the Oklahoma Statutes, shall participate in the purchase of pharmaceuticals available through such multistate or multigovernmental contracts entered into by the State Purchasing Director.

2. Whenever it appears advantageous to the state or to any state agency to purchase or otherwise acquire any acquisition which may be offered for sale by the United States government or any agency thereof, the State Purchasing Director may execute a contract for the acquisition with the federal government or federal agency and may also utilize contracts awarded by other governmental agencies including, but not limited to, agencies of the United States of America.

3. The State Purchasing Director may designate, for use by state agencies, contracts described in this subsection and contracts awarded on behalf of one or more state agencies.

4. Prior to exercising the authority to cancel a contract, the State Purchasing Director may authorize renegotiation of an existing contract with an incumbent supplier for the purposes of obtaining more favorable terms for the state.

5. The State Purchasing Director shall have the authority to designate certain contracts for state agencies as statewide contracts and mandatory statewide contracts. In order to carry out the powers and duties of the Chief Information Officer and Information Services Division, the Chief Information Officer shall have the authority to designate certain information technology and telecommunication contracts as statewide contracts and mandatory statewide contracts and may negotiate consolidation contracts, enterprise agreements and high technology system contracts in lieu of or in conjunction with competitive bidding procedures to reduce acquisition cost.

6. The State Purchasing Director may publish such specifications relating to materials, supplies, equipment, and services to be acquired for the state as may best promote competition and apprise potential suppliers of the type of product desired.

H. 1. The State Purchasing Director may develop and test new contracting policies, procedures and innovations that hold potential for making state procurement more effective and efficient and identify, and make recommendations to the Legislature of, any appropriate changes in law. Such development and testing, proof of

concept, pilot project or other similar test shall not be considered an acquisition subject to the Oklahoma Central Purchasing Act.

2. The State Purchasing Director is authorized to explore and investigate cost savings in energy, resource usage and maintenance contracts and to identify and negotiate contract solutions including, but not limited to, pilot projects to achieve cost savings for this state.

I. The State Purchasing Director shall endeavor to satisfy state agencies in terms of cost, quality, and timeliness of the delivery of acquisitions by using bidders who have a record of successful past performance, promoting competition, minimizing administrative operating costs and conducting business with integrity, fairness, and openness.

J. The State Purchasing Director shall undertake the following:

1. The use of electronic commerce pursuant to the Oklahoma Online Bidding Act for solicitation, notification and other purchasing processes;

2. Monitoring rules promulgated pursuant to the Oklahoma Central Purchasing Act to ensure that the rules satisfy the interests of the state, are clear and succinct and encourage efficiency in purchasing processes;

3. A program to identify suppliers' performance records;

4. Development of criteria for the use of sealed bid contracting procedures, negotiated contracting procedures, selection of types of contracts, postaward administration of purchase orders and contracts, addendums, termination of contracts, and contract pricing;

5. Continual improvement in the quality of the performance of the Purchasing Division through training programs, management seminars, development of benchmarks and key management indicators, and development of standard provisions, clauses, and forms;

6. The State Purchasing Director shall prescribe standardized contract forms and all other forms or certifications requisite or

deemed necessary by the State Purchasing Director to effectuate the provisions of the Oklahoma Central Purchasing Act and associated rules;

7. Development of programs to improve customer relations through training, improved communications, and appointment of technical representatives;

8. Provide for public two-way communication between procurement officers and potential bidders who have questions regarding a request for proposal or invitation to bid; and

9. Determine whether and to what extent information included in a bid or similar offer is confidential and reject all requests to disclose the information so designated.

K. The State Purchasing Director may utilize and authorize state agencies to utilize reverse auctions to obtain acquisitions.

L. Prior to the award of a contract to a supplier, the State Purchasing Director shall verify, pursuant to applicable provisions of law, that the supplier is eligible to do business in this state by confirming registration with the Secretary of State and franchise tax payment status pursuant to Sections 1203 and 1204 of Title 68 of the Oklahoma Statutes. The provisions of this subsection shall be applicable only if the contract amount is Two Hundred Fifty Thousand Dollars (\$250,000.00) or greater.

M. On an annual basis, the State Purchasing Director shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically transmit to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate a report documenting the savings realized by each agency through the application of best spend practices including the collection and tracking of spend data, strategic sourcing programs and implementation of managed and mandatory statewide contracts and include in the report information regarding emergency acquisitions.

N. The acquisition threshold amount applicable to an acquisition made pursuant to this act or associated rules shall not apply to state agency purchases; provided, the State Purchasing Director determines the agency has subject matter experts on staff

having the specialized expertise to purchase goods or services, the agency possesses the necessary legal and procurement staff to procure and monitor the contracts and provided the Director of the Office of Management and Enterprise Services shall certify that the proposed purchase does not conflict with consolidated statewide spend initiatives.

1. Nothing in this subsection shall give an agency authority to issue statewide, multistate, or multigovernmental contracts.

2. Agencies making purchases pursuant to this subsection shall:

- a. be responsible for contracts awarded pursuant to this subsection, which includes, but may not be limited to, contract management, protest costs, all costs connected with or incurred as a result of the contract, including legal representation,
- b. comply with rules and policies of the Office of Management and Enterprise Services, and
- c. report contracts issued pursuant to this subsection to the Office of Management and Enterprise Services, Central Purchasing Division, on a quarterly basis.

3. Purchases made in accordance with this subsection shall be made pursuant to rules authorized by this section.

O. The State Purchasing Director, with approval by the Director of the Office of Management and Enterprise Services, is authorized to make use of any state laboratories for the tests and analyses authorized in this section wherever practicable and to use private laboratories or the laboratories of another government agency if it is impracticable to use state laboratories. The State Purchasing Director is further authorized to cooperate in test and analysis programs or agreements with other states or the United States government and to accept federal funds and funds donated by private endowments or foundations for the purpose of participation in such testing programs.

P. The State Purchasing Director shall require all contractors or subcontractors who have entered into a contract with a public

employer to submit an affidavit that the contractor or subcontractor is in compliance with the provisions of Section 1313 of Title 25 of the Oklahoma Statutes. If the State Purchasing Director determines that a contractor or subcontractor has knowingly submitted a false affidavit:

1. The contractor or subcontractor shall be liable for an administrative penalty of Five Thousand Dollars (\$5,000.00) for the first offense, which shall increase by Two Thousand Dollars (\$2,000.00) for each subsequent offense; and

2. The public employer or the Office of Management and Enterprise Services may terminate the contract with the contractor or subcontractor.

SECTION 307. AMENDATORY 74 O.S. 2021, Section 85.7, as last amended by Section 1, Chapter 339, O.S.L. 2023 (74 O.S. Supp. 2025, Section 85.7), is amended to read as follows:

Section 85.7. A. 1. Except as otherwise provided by the Oklahoma Central Purchasing Act, or associated rules:

- a. every state agency shall initiate all acquisitions by the submission of a requisition to the Purchasing Division, and
- b. no state agency shall make an acquisition for an amount exceeding Fifty Thousand Dollars (\$50,000.00) or the limit determined by the State Purchasing Director pursuant to rules authorized by Section 85.5 of this title, not to exceed Two Hundred Fifty Thousand Dollars (\$250,000.00), without submission of a requisition to the Purchasing Division for issuance of a solicitation for the acquisition on behalf of the agency. Any exemption from competitive bid requirements of the Oklahoma Central Purchasing Act further exempts the acquisition from requisition requirements of the act.

2. The State Purchasing Director may request additional information necessary to adequately review a requisition to ensure compliance with the Oklahoma Central Purchasing Act and associated

rules. If the State Purchasing Director determines that an acquisition is not necessary, excessive or not justified, the State Purchasing Director shall deny the requisition.

3. The provisions of the Oklahoma Central Purchasing Act shall not preclude a state agency from:

- a. accepting gifts or donations in any manner authorized by law, or
- b. making an acquisition for itself without submitting a requisition under this section when authorized in writing by the State Purchasing Director.

4. Any acquisition a state agency makes shall be made pursuant to the Oklahoma Central Purchasing Act and associated rules. No agency shall use split purchasing for the purpose of evading the requirement of competitive bidding or other requirement of the Oklahoma Central Purchasing Act or associated rules. Violation of this provision shall be cause for discipline of a state employee up to and including termination.

5. The State Purchasing Director may waive or increase the limit authorized for a state agency acquisition made pursuant to its own competitive procedures. To perfect an otherwise valid acquisition inadvertently exceeding the limit due to administrative error by a state agency or unforeseeable circumstances, the state agency shall request a limited waiver or increase upon the discovery of the error or circumstance to the State Purchasing Director. The State Purchasing Director shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report requests for waivers or increases, stating the amount and whether the request was granted or denied, upon request by the Governor, President Pro Tempore of the Senate, or Speaker of the House of Representatives.

6. Competitive bidding requirements of this section shall not be required for the following:

- a. contracts for master custodian banks or trust companies, investment managers, investment consultants, and actuaries for the state retirement

systems, and Oklahoma Employees Insurance and Benefits Board, pension fund management consultants of the Oklahoma State Pension Commission and the Commissioners of the Land Office, examiners, experts, or consultants for the Insurance Department whose job duties are tied to Market Conduct Exams, Financial Exams, and Insurance Business Transfers, financial institutions to act as depositories, and managers of the Oklahoma College Savings Plan accounts and other professional services as defined in Section 803 of Title 18 of the Oklahoma Statutes. When requested by the Oklahoma Employees Insurance and Benefits Board or the governing board of a state retirement system authorized to hire investment managers, the Purchasing Division shall assist in the process of selecting investment managers,

- b. a state agency making such an acquisition shall notify the State Purchasing Director within fifteen (15) days following completion of the acquisition. A list of the exempt contracts shall be electronically provided, upon request, to a member of the Appropriations and Budget Committee of the House of Representatives or Appropriations Committee of the Senate utilizing the centralized filing system provided for in Section 378 of this act,
- c. purchases of postage by state agencies made pursuant to Sections 90.1 through 90.4 of this title,
- d. a sole source acquisition made in compliance with Section 85.44D.1 of this title,
- e. an acquisition for design, development, communication or implementation of the state employees flexible benefits plan; provided, procedures used for the acquisition are consistent with competitive bid requirements of the Oklahoma Central Purchasing Act and associated rules,
- f. any acquisition of a service which the Office of Management and Enterprise Services has approved as

qualifying for a fixed and uniform rate, subject to the following:

- (1) the Purchasing Division shall establish criteria and guidelines for those services which may qualify for a fixed and uniform rate,
- (2) fixed and uniform rate contracts authorized by this subsection shall be limited to contracts for those services furnished to persons directly benefiting from such services and shall not be used by a state agency to employ consultants or to make other acquisitions,
- (3) any state agency desiring to have a service qualified for a fixed and uniform rate shall make a request for service qualification to the State Purchasing Director and submit documentation to support the request. The State Purchasing Director shall approve or deny the request. If approved, the state agency shall establish a fixed and uniform rate for the service. No contracts shall be entered into by the state agency until the rate has been approved by the state agency in a public hearing. The proposed rate shall be clearly and separately identified in the agenda of the state agency for the hearing and shall be openly and separately discussed during such hearing. The state agency shall notify the State Purchasing Director of its pending consideration of the proposed rate at least thirty (30) days before the state agency is to meet on the proposed rate and deliver a copy of the agenda items concerning the proposed rate with supporting documentation. The State Purchasing Director shall communicate any observation, reservation, criticism, or recommendation to the agency, either in person at the time of the hearing or in writing delivered to the state agency before or at the time of the hearing. The State Purchasing Director shall specifically note in the written communications

whether the Director has determined the rate to be excessive. Any written communication presented in the absence of the State Purchasing Director shall be presented orally during the public hearing. Whether made in person or in writing, any comment made by the State Purchasing Director shall be made a part of the minutes of the hearing in full,

- (4) within two (2) weeks after the convening of the Legislature, the administrative officer of the state agency shall furnish to the Speaker of the House of Representatives, the President Pro Tempore of the Senate and to any member of the House or Senate, if requested by the member, a complete list of all of the types of services paid for by uniform fixed rates, the amount of the rate last approved by the agency for the service and the number of contracts then in existence for each type of service. Any rate which has been determined to be excessive by the State Purchasing Director shall be specifically identified in the list by the state agency, and
- (5) at any time, the State Purchasing Director may review, suspend, or terminate a contract entered into pursuant to the provisions of this paragraph if the Director determines the contract is not necessary, is excessive or is not justified,

- g. an acquisition for a client of the State Department of Rehabilitation Services; provided, the agency develops and maintains standards for such an acquisition. The agency may elect to utilize the Purchasing Division for an acquisition. The standards shall foster economy, provide a short response time, include appropriate safeguards, require written records, ensure appropriate competition for economical and efficient purchasing and shall be approved by the State Purchasing Director,

- h. structured settlement agreements entered into by the Attorney General's office in order to settle any lawsuit involving the state, the Legislature, any state agency or any employee or official of the state if:
 - (1) prior to entering into any contract for the services of an entity to administer a structured settlement agreement, the Attorney General receives proposals from at least three entities engaged in providing such services, and
 - (2) the selection of a particular entity is made on the basis of the response to the request which is the most economical and provides the most competent service which furthers the best interests of the state,
- i. an acquisition by a state agency pursuant to a contract the State Purchasing Director enters into on behalf of a state agency or awards and designates for use by state agencies,
- j. an acquisition by the Committee for Sustaining Oklahoma's Energy Resources pursuant to a contract with a local supplier for the purpose of holding a special event or an exhibition throughout the state, and
- k. contracts for the study, analysis, and planning, as reasonably necessary, to aid in determining the feasibility of leasing, selling, or privately managing or developing the property or facilities under control of the Oklahoma Tourism and Recreation Commission. The Commission shall be exempt from the competitive bidding requirements of the Oklahoma Central Purchasing Act for the purpose of soliciting, negotiating, and effectuating such a contract or contracts; provided, that the State Purchasing Director shall review and audit all uses of the exemptions provided in this subparagraph biannually.

7. Notwithstanding any other provision of law, an acquisition may be exempted from requirements of this section by the State Purchasing Director when in the State Purchasing Director's discretion unusual, time-sensitive or unique circumstances exist which make such exemption in the best and immediate interest of the state. As used in this subsection, "State Purchasing Director" shall not mean a designee. Any such acquisitions shall be described in detail and publicly posted as a data feed. The description shall include the name of the supplier, cost of the acquisition, reason for exemption and, as applicable, detailed comparison of the acquisition with comparable items, any identified cost savings resulting from the acquisition and a description of benefits to the state. The State Purchasing Director shall take no action under the provisions of this subsection prior to such public posting.

B. Competitively bid acquisitions shall be awarded to the lowest and best, or best value, bidder, or bidders.

C. Bids for an amount requiring submission of requisitions to the Purchasing Division shall be evaluated by the Purchasing Division and the state agency receiving the acquisition. At a minimum, cost and technical expertise shall be considered in determining the lowest and best, or best value, bid. Further, the state agency shall present its evaluation and recommendation to the State Purchasing Director. A documented evaluation report containing the evaluations of the Purchasing Division or the state agency shall be completed prior to the contract award and such report shall be a matter of public record.

D. Except as otherwise specifically provided by law, the acquisition of food items or food products by a state agency from a public trust created pursuant to Sections 176 through 180.56 of Title 60 of the Oklahoma Statutes shall comply with competitive bidding requirements of this section.

E. Cooperative contracts shall not be utilized unless the purchasing cooperative and its affiliated suppliers have complied with competitive bid requirements of the Oklahoma Central Purchasing Act and associated rules.

F. Notwithstanding any provision of the Oklahoma Central Purchasing Act, in all cases where federal granted funds are

involved, the federal laws, rules and regulations thereto shall govern to the extent necessary to inure to the benefit of such funds to this state.

G. A court order requiring an acquisition by a state agency, whether or not such state agency is subject to the Oklahoma Central Purchasing Act, shall not invalidate competitive bidding procedures required by this section if such court order does not specify a specific supplier. Any such acquisition shall comply with competitive bid procedures.

SECTION 308. AMENDATORY 74 O.S. 2021, Section 85.43, is amended to read as follows:

Section 85.43. A. Each chief administrative officer of a state agency shall submit to the State Purchasing Director by November 1 of each year a report listing all acquisitions exceeding the agency's acquisition threshold amount for the preceding fiscal year and identify the following:

1. Professional services contracts;
2. Nonprofessional services contracts;
3. Sole source and sole brand acquisitions; and
4. Contracts for the leasing of personal property other than a lease acquisition utilizing a statewide contract.

B. The report shall contain:

1. The name of the supplier;
2. A description of each acquisition;
3. The purchase price of the acquisition; and
4. The total amount expended to date for the preceding fiscal year for the acquisition.

C. The state agency shall additionally submit the report to the State Auditor and Inspector and, upon request, electronically submit

such report to any member of the Appropriations and Budget Committee of the House of Representatives or Appropriations Committee of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

D. The State Auditor and Inspector shall review the report for compliance with statutes and rules or other provisions of law applicable to sole source and sole brand acquisitions.

SECTION 309. AMENDATORY 74 O.S. 2021, Section 85.44D.1, is amended to read as follows:

Section 85.44D.1. A. 1. A sole source acquisition is exempt from competitive bidding procedures as a sole source or requirements of this act, but a sole brand acquisition is subject to such competitive bidding requirements.

2. For each sole source or sole brand acquisition, the state agency shall retain in the state agency's acquisition file and attach to the requisition, a certification signed by the chief administrative officer of the state agency, in the following form:

SOLE SOURCE OR SOLE BRAND ACQUISITION

CERTIFICATION

STATE AGENCY _____

SUPPLIER NAME _____

SUPPLIER ADDRESS _____

SUPPLIER CONTACT INFORMATION _____

In connection with the attached requisition or contract, I hereby affirm that

(Name of Supplier)

is the only business entity singularly qualified to provide the acquisition, or is the only brand satisfying the acquisition requirements, for the following reasons:

The following is a brief description of all efforts made to verify that the acquisition qualifies as a sole source or sole brand acquisition:

I understand that the signing of this certification knowing such information to be false may result in forfeiture of my position and ineligibility for appointment to or employment in state service for a period of five (5) years following forfeiture of position.

(Chief administrative officer)

3. A court order requiring a particular acquisition, but which does not specify a brand or supplier shall not substitute for the certification required by this section or otherwise invalidate acquisition procedures required by the Oklahoma Central Purchasing Act.

4. Upon a determination by the Director of the Office of Management and Enterprise Services that there are reasonable grounds

to believe that a violation of this section has occurred, the Director shall send findings to the Attorney General that support the determination. The Attorney General shall review the findings and determine whether to investigate or prosecute the person.

5. Prior to approving a requisition for a sole source or sole brand acquisition, the Purchasing Division shall require the signed certification documenting the need for a sole source or sole brand acquisition and shall retain the certification in accordance with state record retention requirements.

6. For a sole source or sole brand acquisitions exceeding the fair and reasonable acquisition threshold amount and not requiring submission of a requisition to the Purchasing Division, the state agency's certified procurement officer shall retain, in the acquisition file, the signed certification documenting the need for the sole source or sole brand acquisition in accordance with state record retention requirements.

B. By the fifteenth day of each month, or the first working day thereafter, the Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report to:

1. The Speaker of the House of Representatives and the President Pro Tempore of the Senate; and

2. Any member of the Legislature requesting the report.

The report shall detail sole source and sole brand acquisitions by state agencies for the month prior to the month preceding the submission of the report. The report shall be titled "Monthly Sole Source and Sole Brand Contracting Report of Oklahoma State Agencies" and indicate the time period of the report. The report shall be provided by the Director of the Office of Management and Enterprise Services or the Director's designee. The report shall be in columnar database format and shall include at least the following fields of information: state agency number; state agency name; date created by the Office of Management and Enterprise Services for the requisition; date of either approval or disapproval of the requisition; if disapproved, the reason why such contract requisition was disapproved; estimated amount of the requisition

acquisition; purchase order amount; purchase order number; actual business name of supplier; supplier federal employer identification number; and the commodity classification listing at the appropriate level to distinguish between similar acquisitions. Information required by this subsection shall be reported and maintained on each report through the next reporting period after an acquisition is made. The applicable data in the fields of information specified in this subsection shall be listed even if the state agency requisition is disapproved.

SECTION 310. AMENDATORY 74 O.S. 2021, Section 85.45f, is amended to read as follows:

Section 85.45f. On or before July 15 of each year, the State Purchasing Director shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate on the status of the percentile of state funds expended on contracts awarded to minority business in the preceding fiscal year and provide any report, statistic or information concerning the compliance of the Office of Management and Enterprise Services with the Oklahoma Minority Business Enterprise Assistance Act.

SECTION 311. AMENDATORY 74 O.S. 2021, Section 85.45j.11, is amended to read as follows:

Section 85.45j.11. A. There is hereby created the "Oklahoma Supplier Diversity Initiative", which shall be a state-sponsored supplier diversity program to provide a resource for state agencies and private businesses to utilize diverse firms in procurement opportunities to encourage growth in the economy of the state. The program shall provide convenience for qualified and certified small business enterprises and minority business enterprises in contracting projects in underserved areas.

B. The program shall allow diverse business enterprises to register with the Office of Management and Enterprise Services and allow registered vendors to be automatically notified of opportunities to do business with the state for specific commodities. The program shall provide for simplified vendor registration processes.

C. The program shall authorize the Oklahoma Department of Commerce to develop a diversity certification program to qualify and certify diverse business enterprises for the state.

D. To qualify for the program, businesses shall have less than five hundred total employees, an annual revenue equal to or less than Twenty-five Million Dollars (\$25,000,000.00), and be certified as one of the following:

1. An Oklahoma Department of Transportation Disadvantaged Business Enterprise;

2. Any of the following entities certified by the United States Small Business Administration:

- a. Woman-Owned Small Business,
- b. Minority-Business Enterprise,
- c. Small Disadvantaged Business,
- d. Service-disabled Veteran-Owned Small Business,
- e. HUBZone Small Business Concern, and
- f. 8(a) Business Development Program;

3. A Native American-owned Business; or

4. A Veteran-owned Business.

E. The Central Purchasing Division of the Office of Management and Enterprise Services shall:

1. Amend the vendor registration process to require diversity certification check off and size standard information; and

2. Create a search tool for all state agencies and public or private entities to utilize to obtain contact information for diverse firms for the purpose of promoting procurement opportunities within the state.

F. On or before September 1 of each year, the State Purchasing Director shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate on the status of the percentile of state funds expended on contracts awarded to a certified Oklahoma Department of Transportation Disadvantaged Business Enterprise and all of the entities certified by the United States Small Business Administration mentioned in subsection D of this section in the preceding fiscal year. The report may include related economic impacts when applicable. The report, statistics, or other information concerning the participation in the program shall be retained by the Office of Management and Enterprise Services.

G. The Oklahoma Department of Commerce shall promulgate rules to create and administer the Oklahoma Supplier Diversity Initiative.

SECTION 312. AMENDATORY 74 O.S. 2021, Section 150.5, is amended to read as follows:

Section 150.5. A. 1. Oklahoma State Bureau of Investigation investigations not covered under Section 150.2 of this title shall be initiated at the request of the following persons:

- a. the Governor,
- b. the Attorney General,
- c. the Council on Judicial Complaints upon a vote by a majority of the Council,
- d. the chair of any Legislative Investigating Committee which has been granted subpoena powers by resolution, upon authorization by a vote of the majority of the Committee,
- e. the Director of the Department of Human Services, or designee, as authorized by Section 1-2-105 of Title 10A of the Oklahoma Statutes, or

- f. a district court judge as authorized by Section 1-2-103 of Title 10A of the Oklahoma Statutes.

2. Requests for investigations shall be submitted in writing and shall contain specific allegations of wrongdoing under the laws of the State of Oklahoma.

B. The Governor may initiate special background investigations with the written consent of the person who is the subject of the investigation.

C. The chair of any Senate committee which is fulfilling the statutory responsibility for approving nominations made by the Governor may, upon a vote by a majority of the committee and with the written consent of the person who is to be the subject of the investigation, initiate a special background investigation of any nominee for the Oklahoma Horse Racing Commission as established by Section 201 of Title 3A of the Oklahoma Statutes or any nominee for the Board of Trustees of the Oklahoma Lottery Commission as established by Section 704 of Title 3A of the Oklahoma Statutes. The Bureau shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the committee within thirty (30) days of the receipt of the request. Any consideration by the committee of a report from the Bureau shall be for the exclusive use of the committee and shall be considered only in executive session.

D. 1. All records relating to any investigation being conducted by the Bureau, including any records of laboratory services provided to law enforcement agencies pursuant to paragraph 1 of Section 150.2 of this title, shall be confidential and shall not be open to the public or to the Commission except as provided in Section 150.4 of this title; provided, however, officers and agents of the Bureau may disclose, at the discretion of the Director, such investigative information to:

- a. officers and agents of federal, state, county, or municipal law enforcement agencies and to district attorneys, in the furtherance of criminal investigations within their respective jurisdictions,

- b. employees of the Department of Human Services in the furtherance of child abuse investigations, and
- c. appropriate accreditation bodies for the purposes of the Bureau's obtaining or maintaining accreditation.

2. Any unauthorized disclosure of any information contained in the confidential files of the Bureau shall be a misdemeanor. The person or entity authorized to initiate investigations in this section, and the Attorney General in the case of investigations initiated by the Insurance Commissioner, shall receive a report of the results of the requested investigation. The person or entity requesting the investigation may give that information only to the appropriate prosecutorial officer or agency having statutory authority in the matter if that action appears proper from the information contained in the report, and shall not reveal or give such information to any other person or agency. Violation hereof shall be deemed willful neglect of duty and shall be grounds for removal from office.

E. It shall not be a violation of this section to reveal otherwise confidential information to outside agencies or individuals who are providing interpreter services, questioned document analysis, laboratory services, or other specialized services that are necessary in the assistance of Bureau investigations. Individuals or agencies receiving the confidential and investigative information or records or results of laboratory services provided to the Bureau by those agencies or individuals, shall be subject to the confidentiality provisions and requirements established in subsection D of this section.

F. It shall not be a violation of this section to reveal for training or educational purposes otherwise confidential information from records relating to any investigation previously conducted by the Bureau, including any records of laboratory services provided to law enforcement agencies pursuant to paragraph 1 of Section 150.2 of this title, so long as ten (10) or more years have passed since the production of the information or record.

G. It shall not be a violation of this section to reveal otherwise confidential information from records relating to any investigation being conducted by the Bureau, including any records

of laboratory services provided to law enforcement agencies pursuant to paragraph 1 of Section 150.2 of this title or to the public, provided, release of the confidential information has been authorized by the Director of the Bureau for the purposes of developing or obtaining further information reasonably necessary to the successful conclusion of a criminal investigation being conducted by the Bureau or authorized by the Director of the Bureau for the purpose of advising crime victims or family representatives of homicide victims regarding the status of a pending investigation.

H. The State Treasurer shall initiate a complete background investigation of the positions with the written consent of the persons who are the subject of the investigation pursuant to subsection I of Section 71.1 of Title 62 of the Oklahoma Statutes. The Bureau shall advise the State Treasurer and the Cash Management and Investment Oversight Commission in writing of the results of the investigation.

SECTION 313. AMENDATORY 74 O.S. 2021, Section 150.38, is amended to read as follows:

Section 150.38. A. Subject to the availability of funds, there is hereby established within the Oklahoma State Bureau of Investigation the Child Abuse Response Team (CART) for the purpose of investigating cases of physical and sexual abuse of a child. For the purpose of implementing CART, the Bureau shall employ at least eight Law Enforcement Special Agents assigned to the CART, which shall be full-time-equivalent positions within the Bureau. The previously unclassified positions of CART investigator and CART forensic interviewer shall be transferred to and placed in the classified service without a loss in salary.

B. In addition to any other law or rule specifying requirements or qualifications for an OSBI agent to be employed by the Bureau, the Child Abuse Response Team employees shall be qualified for the respective positions as follows:

1. Every CART Agent shall:

- a. have at least three (3) years of experience as a criminal investigator in a law enforcement agency or agencies,

- b. be currently certified as a peace officer by the Council on Law Enforcement Education and Training (CLEET),
- c. have served as the primary criminal investigative officer in a law enforcement agency or agencies on cases of physical or sexual abuse of a child,
- d. have graduated from an accredited college or university with a bachelor degree,
- e. have experience in conducting forensic interviews of children in cases of physical or sexual abuse of a child,
- f. have experience testifying in cases of physical or sexual abuse of a child, and
- g. have completed at least one hundred (100) hours of education or training on forensic interviewing of a child.

2. If the director of the Oklahoma State Bureau of Investigation is unable to find a person whose qualifications meet or exceed the qualifications specified for the position of Law Enforcement Special Agent assigned to the CART, the director is authorized to offer such position to a person whose qualifications substantially meet the qualifications specified for the position.

C. The Bureau may promulgate rules, procedures and forms necessary to establish and implement the functions of the Child Abuse Response Team and to coordinate responsibilities with other persons or agencies having responsibilities relating to child abuse investigation and response to child abuse. Members of the Child Abuse Response Team are authorized, when available, to be involved and utilized in investigations of crimes other than cases of physical and sexual abuse of a child.

~~D. On or before July 1, 2015, the Bureau shall submit to the Governor, President Pro Tempore of the Senate, and Speaker of the~~

~~House of Representatives a statistical report regarding the activities of the CART.~~

SECTION 314. AMENDATORY 74 O.S. 2021, Section 212, as amended by Section 1, Chapter 93, O.S.L. 2022 (74 O.S. Supp. 2025, Section 212), is amended to read as follows:

Section 212. A. STATE TREASURER AND OKLAHOMA TAX COMMISSION

1. The State Treasurer shall prepare annual financial statements in accordance with the reporting requirements set forth by the Governmental Accounting Standards Board (GASB). The State Treasurer shall prescribe and implement sound internal control, accounting and recordkeeping practices consistent with and to facilitate compliance with all reporting requirements as set forth by law.

2. The annual financial statements of the State Treasurer shall be delivered by the State Treasurer to the State Auditor and Inspector within ninety (90) calendar days after the close of the state fiscal year.

3. The State Auditor and Inspector shall perform an audit of the annual financial statements of the State Treasurer for each state fiscal year. Such audits shall be conducted in accordance with auditing standards generally accepted in the United States and the standards applicable to financial audits contained in Government Auditing Standards, latest revised edition, issued by the Comptroller General of the United States. The State Auditor and Inspector shall complete the audits not later than ninety (90) calendar days after the financial statements are delivered to the State Auditor and Inspector. The annual audit reports and related financial statements shall be electronically delivered by the State Auditor and Inspector to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act. The annual audit report and related financial statements of the State Treasurer shall also be delivered to the Attorney General and the members of the Cash Management and Investment Oversight Commission created by Section 71.1 of Title 62 of the Oklahoma Statutes. The State Auditor and Inspector shall conduct unannounced cash audits of the State Treasury at least once each quarter.

4. The audit of the Tax Commission shall be an operational audit performed annually. To the extent of the amount included in the Tax Commission's appropriation, the Tax Commission shall pay the expenses of the audit including personal services, equipment and supplies, from the appropriation.

B. STATE AGENCIES

1. Except as otherwise provided by law, the State Auditor and Inspector shall audit at least once every two (2) fiscal years the books and accounts of all state agencies whose duty it is to collect, disburse or manage funds of the state. The State Auditor and Inspector shall audit a state agency each fiscal year if that state agency is required to be audited on an annual basis pursuant to the federal Single Audit Act of 1984, as amended, 31 U.S.C., Section 7501 et seq. If the state agency is audited only once every two (2) fiscal years, the audit shall cover both fiscal years.

2. Except as otherwise provided by law, the scope of audits performed by the State Auditor and Inspector shall include all funds collected, disbursed, or managed by a state agency including, but not limited to, all special, revolving, depository, canteen, or other nonstate funds.

3. As used in this section, "state agency" means every agency, board, or commission included in the primary government of the State of Oklahoma. For purposes of this paragraph, the primary government of the State of Oklahoma includes all agencies, boards, and commissions included in the primary government in the State of Oklahoma Comprehensive Annual Financial Report. The agencies, boards, and commissions included in the primary government of the State of Oklahoma shall be determined using criteria set by the Governmental Accounting Standards Board.

4. As used in this subsection, "audit" means any of the following:

- a. "financial audit", which means an audit of financial statements in order to express an opinion on the fairness with which they are presented in conformity with generally accepted accounting principles or any

other comprehensive basis of accounting, as defined by the American Institute of Certified Public Accountants' Professional Standards, latest revised edition. Financial audits ~~must~~ shall be conducted in accordance with auditing standards generally accepted in the United States and the standards applicable to financial audits contained in Government Auditing Standards, latest revised edition, issued by the Comptroller General of the United States,

- b. "operational audit", which means an audit conducted in accordance with applicable Government Auditing Standards, the purpose of which is to evaluate management's performance in administering assigned responsibilities in accordance with applicable laws, administrative rules, and other policies and guidelines and to determine the extent to which the internal control, as designed and placed in operation, promotes and encourages the achievement of management's control objectives in the categories of compliance, reliability of financial records and reports, and safeguarding of assets,
- c. "performance audit", which means an audit of a program, activity, or function of a state agency conducted in accordance with applicable Government Auditing Standards. The term includes, but is not limited to, an audit to assess program, activity, or function effectiveness, economy and efficiency, internal control, or compliance,
- d. "special or investigative audit", which means an audit with respect to a particular situation which may be, but is not required to be, conducted in accordance with applicable Government Auditing Standards,
- e. any other type of engagement conducted in accordance with Government Auditing Standards, and
- f. engagements not conducted in accordance with Government Auditing Standards, when engagements

involve state agencies that collect less than Three Million Dollars (\$3,000,000.00) annually.

C. GUBERNATORIAL REQUEST

Whenever called upon to do so by the Governor, it shall be the duty of the State Auditor and Inspector to examine the books and accounts of any officer of the state or any of the officer's predecessors. The cost of the audit shall be borne by the entity to be audited.

D. COUNTY TREASURER

The State Auditor and Inspector shall examine without notice all books and accounts of each county treasurer of the state twice each year.

E. DISTRICT ATTORNEYS

1. The State Auditor and Inspector shall annually audit the books and accounts of the several offices of the district attorneys of this state. The audits shall be reported in separate reports for each entity. The audit may include, but shall not be limited to, the audit of the financial records, performance measures, and compliance with state or federal statutes and rules, and compliance with any regulations of state or federal programs. The expense of the audits shall be paid by the entity audited.

2. The State Auditor and Inspector shall examine and file a report of the accounts established within the office of each district attorney for bogus check programs, drug task force programs, child support collection programs, and any other programs receiving any nonstate funds. The reports shall be filed with the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Executive Coordinator of the District Attorneys Council.

F. DEPARTMENT OF CORRECTIONS

The State Auditor and Inspector shall perform an annual audit, as defined in paragraph 4 of subsection B of this section, of the books and accounts of the Department of Corrections. The scope of

the audit shall be determined by the State Auditor and Inspector using a risk-based approach. The audit may include, but shall not be limited to, the audit of the financial records, performance measures, and compliance with any state or federal statutes and rules, and compliance with any regulations of state or federal programs. The expense of the audits shall be paid by the Department of Corrections.

G. OKLAHOMA EMPLOYEES INSURANCE AND BENEFITS BOARD

The State Auditor and Inspector shall cause to be audited the books and accounts of the office of the Oklahoma Employees Insurance and Benefits Board. The audit may include, but shall not be limited to, the audit of the financial records, performance measures, compliance with any state or federal statutes and rules, and compliance with any regulations of state programs. The audit shall be contracted out to private audit firms. The cost of the audit shall be borne by the Oklahoma Employees Insurance and Benefits Board.

H. DISTRICT ATTORNEY REQUEST

Whenever called upon to do so by any of the several district attorneys of the state, it shall be the duty of the State Auditor and Inspector to examine the books and accounts of any officer of any public entity. The cost of the audit shall be borne by the entity audited.

I. COUNTY OFFICERS BY REQUEST

Upon request of the county commissioners of any county or the Governor, the State Auditor and Inspector shall examine the books and accounts of all or any of the officers or custodians of the various funds of the county; and payment for such examination shall be made by the county so examined.

J. AUDITORS

The State Auditor and Inspector shall have power to employ auditors. No auditor shall examine the books or records of the county of the auditor's residence in counties of under two hundred thousand (200,000) population according to the most recent Federal

Decennial Census. The State Auditor and Inspector may employ on an as-needed basis only, legal counsel to carry out the statutory duties of the Office of the State Auditor and Inspector.

K. EXAMINATION OF LEVIES

It shall be the duty of the State Auditor and Inspector to examine all levies to raise public revenue to see that they are made according to law and constitutional provisions. The State Auditor and Inspector shall have the power to order all excessive or erroneous lines (levies) to be corrected by the proper officers, and shall report any irregularities to the Governor, the Speaker of the House of Representatives and the President Pro Tempore of the Senate.

L. PETITION AUDITS

1. The State Auditor and Inspector shall audit the books and records of any subdivision of the State of Oklahoma upon petition signed by the requisite number of voters registered in the subdivision and meeting the requirements set out in this subsection.

2. The petition ~~must~~ shall contain the number of signatures equivalent to ten percent (10%) of the registered voters of the subdivision as determined by the county election board or, if the county election board determines that the number of registered voters in the subdivision cannot be determined due to boundary lines not conforming to precinct lines, the required number of petitioners shall be twenty-five percent (25%) of the total number of persons voting in the last general election. If the subdivision is a public trust, the required number of petitioners shall be the same as those required for an audit of its beneficiary. The appropriate county election board shall provide the number of signatures so required upon request.

3. The petition shall be in the form of an affidavit wherein the signatory shall declare upon oath or affirmation that the information given is true and correct and that he or she is a citizen of the entity to be audited. The petition shall clearly state that falsely signing shall constitute perjury. It shall include the signature of the individual, the name of the signatory in printed form, the individual's residential address, the date of

signing, the public entity to be audited and the anticipated range of the cost of the audit provided by the State Auditor and Inspector.

4. Any person desiring to petition for an audit shall list the areas, items or concerns they want to be audited, and request from the State Auditor and Inspector the anticipated range of cost of the audit. Within thirty (30) days from the receipt of the request, the State Auditor and Inspector shall mail a petition form to the person requesting the information which shall state the anticipated range of the cost and the items or concerns to be audited. The circulators of the petition shall have thirty (30) days from the date the petition is mailed by the State Auditor and Inspector to obtain the requisite number of signatures and return it to the State Auditor and Inspector.

5. Upon collection of the required number of signatures, the person desiring the audit shall present the signed petitions to the State Auditor and Inspector. Within thirty (30) days of receipt of the petitions, the State Auditor and Inspector shall present the petitions to the county election board located in the county in which the subdivision is located.

6. The county election board shall determine whether the signers of the petition are registered voters of the county in which the subdivision to be audited is located and whether the petition has the requisite number of signatures of such registered voters. The county election board shall certify the petition as having the required number of signatures or as failing to have the required number of signatures and return it to the State Auditor and Inspector.

7. The cost of the audit shall be borne by the public entity audited. Upon notification by the State Auditor and Inspector of receipt of the petition, certified by the county election board as having the required number of signatures, the public entity shall encumber funds in an amount specified by the State Auditor and Inspector, which shall be within the range of anticipated cost stated on the petition from any funds not otherwise specifically appropriated or allocated. Payment for the audit from such encumbered funds shall be made as work progresses, and final payment shall be made on or before its publication.

8. The names of the signers of any petition shall be confidential and neither the State Auditor and Inspector, the county election board nor the county treasurer may release them to any other person or entity except upon an order from a court of competent jurisdiction.

M. PENALTIES FOR NONPAYMENT

Except as otherwise provided by law, the cost of any services provided by the State Auditor and Inspector or as specified in an audit contract shall be borne by the entity or fund audited and shall be due and payable upon receipt of progress billing during the course of an audit. Any such costs not paid within ninety (90) days of the date of receipt of billing shall incur a penalty of Ten Dollars (\$10.00) per day for each day from the date of receipt of billing.

SECTION 315. AMENDATORY 74 O.S. 2021, Section 213.2, is amended to read as follows:

Section 213.2. A. There is hereby created in the Office of the State Auditor and Inspector a Performance Audit Division, subject to the discretion of the State Auditor and Inspector. An Assistant State Auditor and Inspector may be appointed to direct the operations of the Division, subject to the supervision and control of the State Auditor and Inspector at all times.

B. The State Auditor and Inspector, deputies and agents of the Performance Audit Division may examine all books and accounts of all public officers, institutions and other governmental entities specified in Sections 212 through 227.9 of this title to instruct the proper officers thereof in the performance of their duties and to prescribe cost-effective methods of operating such governmental entities; provided, however, the State Auditor and Inspector shall perform the examinations authorized in this subsection upon receiving a written request to do so by the Governor, the chief executive officer of a governmental entity or pursuant to a joint or concurrent resolution of the Legislature. A copy of the examination shall be given to the examined entity. A copy of any examination conducted pursuant to this subsection shall be electronically submitted to the Governor, the Speaker of the House of

Representatives, the President Pro Tempore of the Senate, the appropriations and budget chairs of the House of Representatives and the Senate, and the Minority Leader of the House of Representatives and of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

C. The cost of the examinations authorized pursuant to subsection B of this section shall be borne by the examined agency in an amount not to exceed the actual costs of the examination. Prior to the start of such an examination, the State Auditor and Inspector shall prepare in writing and present to the affected state agency an estimate of the cost of the examination. If the estimate requires revision, the State Auditor and Inspector shall notify the agency in a prompt manner. Except as otherwise provided, the State Auditor and Inspector shall recover its costs for the examination pursuant to monthly progress billings presented by the State Auditor and Inspector to the Office of Management and Enterprise Services detailing current monthly costs for each examination. In addition, the State Auditor and Inspector shall provide a copy of the billing to the affected state agency. The Office of Management and Enterprise Services may deduct the amounts billed from the next subsequent allotment for the corresponding state agency and transfer the funds to the State Auditor and Inspector Revolving Fund.

D. The salaries and traveling expenses of the Assistant State Auditor and Inspector, deputies and agents of the Performance Audit Division and the costs of material, supplies and equipment for the Division shall be paid from funds made available through appropriation by the Legislature.

E. The State Auditor and Inspector shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report of the Performance Audit Division to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, appropriations and budget chairs of the House of Representatives and the Senate, and the Minority Leader of the Senate and of the House of Representatives.

SECTION 316. AMENDATORY 74 O.S. 2021, Section 214, is amended to read as follows:

Section 214. The State Auditor and Inspector shall prescribe a uniform system of bookkeeping for the use of all county officials to afford a suitable check upon their mutual acts and ensure a thorough inspection, and to ensure the safety of the state and county funds. He or she shall have full authority to prescribe a system of bookkeeping for all county officers which shall be in accordance with generally accepted accounting principles, as applied to governmental units, except when in conflict with Oklahoma Statutes, and when necessary instruct or cause to be instructed the state and county officers in the proper mode of keeping the accounts. Provided however, when a conflict with Oklahoma Statutes arises concerning accounting systems for those counties utilizing electronic data processing, the county may request in writing that the State Auditor and Inspector approve an alternate accounting procedure. The State Auditor and Inspector shall have the authority to approve or disapprove such requests. Annually, the State Auditor and Inspector shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report of those counties requesting alternate accounting systems to the Speaker of the House of Representatives and the President Pro Tempore of the Senate. The State Auditor and Inspector shall not change any accounting systems or procedures during the last year of his or her term of office that would have an impact on the ability of any independent licensed public accountant to provide auditing services to such officers. He or she shall make a thorough examination of the books, accounts, and vouchers of such officers, ascertaining in detail the various items of receipts and expenditures. He or she shall report to the Governor the refusal or neglect of any state or county officer to obey his or her instruction. He or she shall make a report of the result of his or her examination, which shall be filed in the Office of the State Auditor and Inspector, as well as any failure of duty by any financial officers, and the Governor may cause the result of such examination to be published. Provided, that no county officer shall be required to discard any books or supplies on hand.

SECTION 317. AMENDATORY 74 O.S. 2021, Section 324.2, is amended to read as follows:

Section 324.2. The Commission shall select a chair. The Commission is hereby authorized to adopt rules necessary for the licensure, regulation, and enforcement of the fire extinguishers

pursuant to the Fire Extinguisher Licensing Act and for conducting its proceedings. Any four members shall constitute a quorum. The Commission shall meet monthly on such date as it may designate and may meet at such other times as it may deem necessary, or when called by the chairman or by any four members. Complete minutes of each meeting shall be kept and filed in the office of the State Fire Marshal and shall be available for public inspection during reasonable office hours. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report annually to the Governor and to the Speaker of the House of Representatives and the President Pro Tempore of the Senate of the affairs of the Commission and the office of the State Fire Marshal.

SECTION 318. AMENDATORY 74 O.S. 2021, Section 325.1, is amended to read as follows:

Section 325.1. A. The Oklahoma Council on Firefighter Training is hereby abolished and all powers, duties, and responsibilities of the Oklahoma Council on Firefighter Training shall be transferred to the Office of the State Fire Marshal. All equipment, vehicles, records, furniture, and fixtures of the Oklahoma Council on Firefighter Training shall be turned over to the Office of the State Fire Marshal by January 1, 2018. Any unexpended balance of the Oklahoma Council on Firefighter Training's operational funds as of January 1, 2018, shall be transferred to the State Fire Marshal Revolving Fund.

B. There is hereby established within the Office of the State Fire Marshal, the Firefighter Training Advisory Committee.

C. The Committee shall consist of representatives of the Oklahoma State Fire Service, with the total number and length of appointments to be determined by the State Fire Marshal Commission.

D. The Committee shall:

1. Advise and assist the State Fire Marshal Commission in identifying firefighter training needs and setting the firefighter training goals for the State of Oklahoma;

2. Advise and assist the State Fire Marshal Commission in interacting with the Homeland Security Department's Preparedness and Awareness Division on firefighter training and grants;

3. Advise and assist the State Fire Marshal Commission in administering and maintaining the incentive and recognition programs established for Oklahoma firefighters; and

4. Advise and assist the State Fire Marshal Commission in ensuring that the state has consistent basic and continuing education programs that include steps for all ranks or positions of career and volunteer firefighters, by setting minimum standards for career, recommended levels for volunteer, identifying training programs and courses required for fire service members to achieve those levels.

E. The Committee shall assist the State Fire Marshal Commission in advising the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the State Senate, and the Oklahoma State Fire Service on fire and emergency service training needs for the state. The State Fire Marshal Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report or recommendations regarding fire and emergency service training needs to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the State Senate not later than December 31 each year.

F. The Committee shall meet at the discretion of the State Fire Marshal Commission.

SECTION 319. AMENDATORY 74 O.S. 2021, Section 450, is amended to read as follows:

Section 450. A. The State Legislative Council, the Executive Committee, and all standing and special committees thereof are hereby abolished. Except as otherwise provided in this section, all powers, duties, responsibilities, property, assets, and liabilities administered by the State Legislative Council for the benefit of the Oklahoma Legislature shall be transferred to either the Senate or the House of Representatives as determined by the President Pro

Tempore of the Senate and the Speaker of the House of Representatives acting jointly.

B. All annual reports or other reports required by law to be submitted to the State Legislative Council, after July 1, 1981, shall be electronically submitted to the President Pro Tempore of the Senate and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 320. AMENDATORY 74 O.S. 2021, Section 452.8, is amended to read as follows:

Section 452.8. A. The Legislature may hold public hearings on the proposals submitted by state agencies, boards, and commissions including those established by statute or Constitution for use of federal monies.

B. Prior to any public hearing on a proposal by the Joint Committee on Federal Funds, ten copies of each proposal shall be electronically filed with the Speaker of the House of Representatives and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act. Additional complete copies shall be provided to the Legislature and individuals by the agencies, boards, and commissions at no charge.

C. The Speaker of the House of Representatives and President Pro Tempore of the Senate may refer proposals to the Joint Committee on Federal Funds or other committees of the Legislature for public hearings. Said committees may take facts and make findings and recommendations on the proposals regarding the use and distribution of federal monies as provided by the plans.

D. If a proposal is referred to committees of the Legislature other than the Joint Committee on Federal Funds, such committees, by August 1, may make written reports regarding their findings and recommendations and submit such reports to the Joint Committee on Federal Funds. Said reports shall include a summary of public comments received through written or oral testimony during public hearings if a public hearing had been conducted. Where appropriate,

the report may recommend amendments to the proposals for consideration by the Joint Committee on Federal Funds.

E. The Joint Committee on Federal Funds may hold further public hearings on the proposals.

SECTION 321. AMENDATORY 74 O.S. 2021, Section 452.10, is amended to read as follows:

Section 452.10. A. Each state agency shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically furnish copies of financial audits, compliance audits, and program reviews on its entity to the Office of Management and Enterprise Services, the State Auditor and Inspector, and the Legislative Service Bureau.

B. Each state agency shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically furnish copies of all audits performed on its entity to the Legislature as required by the Legislative Review of State Audits Act.

C. Copies of audits furnished to the State Auditor and Inspector shall be furnished in accordance with the provisions of Section 212A of this title.

SECTION 322. AMENDATORY 74 O.S. 2021, Section 452.13, is amended to read as follows:

Section 452.13. A. Upon the completion of the audit report, the agency shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically deliver ~~two copies~~ a copy of the audit report to the Speaker of the House of Representatives and ~~two copies of the audit report to,~~ the President Pro Tempore of the Senate.

~~B. 1. Upon receipt of any audit report, the Speaker of the House of Representatives shall submit one copy of the audit report to, the Chairman Chair of the House Appropriations and Budget Committee, or successor committee. The President Pro Tempore of the Senate shall submit one copy of the audit report to, the Chairman Chair of the Senate Appropriations Committee, or successor~~

~~committee. The Speaker of the House of Representatives, and the President Pro Tempore of the Senate shall each send a copy of the audit report to the appropriate standing committee of the respective body having oversight of the agency submitting the audit report.~~

~~2.~~ Each committee shall review the audit report.

~~C.~~ B. 1. The members of the legislative committee or any other member of the Legislature reviewing the audit report shall have access to all documents and working papers and any agency documents and records relating to the audit unless specifically precluded by state or federal law.

2. Any contract or agreement with an auditor to perform an audit authorized or required by state or federal law or rule shall contain a provision informing the auditor that all documents, working papers and records relating to the audit shall be made available for inspection, upon request, to the legislative committee or to any other member of the Legislature reviewing the final audit report unless specifically precluded by state or federal law.

~~D.~~ C. In reviewing any audit report, or in the performance of reviewing any supporting documents and working papers relating to the audit, members of the Legislature shall be subject to the statutory provisions or other laws or rules regarding the confidentiality of records of the agency under review.

SECTION 323. AMENDATORY 74 O.S. 2021, Section 452.14, is amended to read as follows:

Section 452.14. A. Each agency body responsible, pursuant to law, for governing and administering an agency shall review each audit report submitted to the Legislature pursuant to Section 4 of this act and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a written agency response regarding the audit pursuant to this section.

B. The written agency response shall include:

1. The name and address of the agency;

2. Identification of the audit performed and the name of the auditor;

3. Any changes implemented or changes proposed to an agency program, financial operation, management process or other agency operation as a result of the audit;

4. A plan of action for achieving any recommendation of the auditor;

5. A statement for each recommendation in the audit report explaining the reasons for not implementing such recommendation including, but not limited to, need for statutory changes to implement additional costs or a showing that the recommended change would not be a cost benefit to the agency or the state; and

6. Any other information requested by the Speaker of the House of Representatives or by the President Pro Tempore of the Senate or by a standing committee reviewing the audit.

C. The written response shall be electronically submitted to the Speaker of the House of Representatives and the President Pro Tempore of the Senate within thirty (30) days after the audit report has been submitted to the Legislature pursuant to Section ~~4 of this act~~ 452.13 of this title.

SECTION 324. AMENDATORY 74 O.S. 2021, Section 464, is amended to read as follows:

Section 464. Whenever any provision of law directs that a ~~report~~, an administrative rule, budget work program, budget request, or any other document be filed with the Governor, President Pro Tempore of the Senate, or the Speaker of the House of Representatives, such documents shall be filed electronically, except as otherwise provided in this section. The Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives shall each create or cause to be created on the official websites for the Governor, Senate, and House of Representatives, respectively, a mechanism for such filings to be made, with an electronic return receipt provided to the person making the filing. If for any reason the person required to file such document determines that it cannot be filed electronically, the

person shall file a printed copy in lieu of such electronic filing and shall include an explanation of the reason that the document could not be filed electronically.

SECTION 325. AMENDATORY 74 O.S. 2021, Section 471, is amended to read as follows:

Section 471. There is hereby established an advisory committee to the Legislature of Oklahoma and to the Governor of Oklahoma. Such committee shall be composed of four (4) members of the Oklahoma Bar to be appointed by the Governor with the advice of the President of the Oklahoma Bar Association and two (2) members, at least one of whom is a member of the House of Representatives, to be appointed by the Speaker of the House of Representatives and two (2) members, at least one of whom is a member of the Senate, to be appointed by the President Pro Tempore of the Senate. Each member shall serve for four (4) years or until his or her death, resignation, or failure or refusal, certified by the remaining members, to perform his or her duties, renders his or her place vacant, whereupon the vacancy shall be filled in the same manner as the original appointment. In the event a legislative member fails to retain his seat in his or her respective house prior to the expiration of his term on the committee, his or her place on the committee shall be rendered vacant. The members of such committee, hereafter called commissioners, shall be the official commissioners of the State of Oklahoma to the National Conference of Commissioners on Uniform State Laws. They shall attend the annual meetings of such national conference. They shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report annually to the Legislature and to the Governor concerning the work of said conference and all other matters relating to their duties. They shall advise the Legislature and its committees concerning proposals for uniform and model state laws, the effect which such proposals would have on the law of this state, and such other matters as may be pertinent to desirable uniformity in legislation between this state and other states.

SECTION 326. AMENDATORY 74 O.S. 2021, Section 484, is amended to read as follows:

Section 484. ~~A.~~ The Advisory Committee on Intergovernmental Relations shall issue reports of its findings and recommendations

from time to time and shall issue an annual report on its work. Copies of the annual report shall be electronically submitted to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act.

~~B. The Committee shall report to the Speaker of the House of Representatives and President Pro Tempore of the Senate on or before the first day of the 1990 regular session of the Legislature regarding the work of the Committee. The report shall also make recommendations as to the continuation of the Committee and any structural or staffing changes that the Committee deems necessary to the best interest of the state in the area of improving intergovernmental relations.~~

SECTION 327. AMENDATORY 74 O.S. 2021, Section 500.2, as amended by Section 1, Chapter 63, O.S.L. 2022 (74 O.S. Supp. 2025, Section 500.2), is amended to read as follows:

Section 500.2. A. Officials and employees of the state, traveling on authorized state business, may be reimbursed for expenses incurred in such travel in accordance with the provisions of the State Travel Reimbursement Act and existing statutes relating to state travel. Persons who are not state employees, but who are performing substantial and necessary services to the state which have been directed or approved by the appropriate department official, shall enjoy the protection of the sovereign immunity of the state to the same extent as a paid employee. Such persons may be reimbursed for expenses incurred during authorized official travel under these same statutory provisions; provided, it is indicated on the claim the person is not a state employee, a description of services performed is entered, and the agency head by approval of the claim certifies such services were substantial and necessary, and germane to the duties and functions of the reimbursing agency. Travel expenses incurred by a person during the course of seeking employment with a state agency, unless such travel is performed at the request of the employing agency, shall not be considered expenses incurred in performing substantial and necessary services to the state and shall not be reimbursed under the provisions of the State Travel Reimbursement Act.

B. The chief administrative officer of the Department of Public Safety, the Oklahoma State Bureau of Investigation, the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, the Military Department of the State of Oklahoma, the Department of Corrections, the Office of Management and Enterprise Services, the Alcoholic Beverage Laws Enforcement Commission, the Oklahoma Department of Agriculture, Food, and Forestry, the Oklahoma Department of Emergency Management, the State Fire Marshal, and the State Department of Health may arrange for and charge meals and lodging for a contingent of state personnel moved into an area for the purpose of preserving the public health, safety, or welfare or for the protection of life or property. The cost for meals or lodging so charged shall not exceed the amount authorized in the State Travel Reimbursement Act. The chief administrative officer of each agency involved in such an operation shall require the vendor furnishing meals, lodging, or both meals and lodging to submit an itemized statement for payment. When a claim for lodging is made for a contingent of state personnel, individual members of the contingent may not submit a claim for lodging. When a claim for meals is made for a contingent of state personnel, individual members of the contingent may not submit a claim for meals.

C. The Oklahoma Department of Commerce, the Oklahoma Center for the Advancement of Science and Technology, and the Oklahoma Department of Agriculture, Food, and Forestry are hereby authorized to enter into contracts and agreements for the payment of food, lodging, meeting facility, and beverage expenses as may be necessary for sponsoring seminars and receptions relating to economic development and science and technology issues. Such expenses may be paid directly to the contracting agency or business establishment. The Director of the Oklahoma Department of Commerce, the President of the Oklahoma Center for the Advancement of Science and Technology, and the Commissioner of Agriculture shall, utilizing the centralized filing system provided for in Section 378 of this act, each electronically provide a quarterly report of such expenditures to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate.

D. The Native American Cultural and Educational Authority is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and meeting facility as may be necessary to pursue the promotion of fundraising, marketing, and development

of Native American educational programs and cultural projects, or to sponsor luncheons, seminars, and receptions relating to Native American educational, cultural, museum, and economic development issues. Such expenses may be paid directly to the contracting agency or business establishment. The Executive Director of the Native American Cultural and Educational Authority shall provide a monthly report of expenditures to the Native American Cultural and Educational Authority Board.

E. For purposes of this section:

1. "State agency" means any constitutionally or statutorily created state board, commission, or department, including the Legislature and the Courts;

2. State agencies are authorized to enter into contracts and agreements for the payment of food and lodging expenses as may be necessary for employees or other persons who are performing substantial and necessary services to the state by attending official conferences, meetings, seminars, workshops, or training sessions or in the performance of their duties. Such expenses may be paid directly to the contracting agency or business establishment; provided the meeting qualifies for overnight travel for the employees and the cost for food and lodging for each employee shall not exceed the total daily rate as provided in the State Travel Reimbursement Act;

3. State agencies are authorized to enter into contracts and agreements for the payment of conference registration expenses as may be necessary for employees or other persons who are performing substantial and necessary services to the state by attending official conferences, meetings, seminars, workshops, or training sessions. Such expenses may be paid directly to the contracting agency or business establishment; and

4. State agencies are authorized to enter into contracts and agreements for the payment of food and lodging expenses as may be necessary for employees attending an official course of instruction or training conducted or sponsored by any state agency. Expenses may be paid directly to the contracting agency or business establishment. The cost for food and lodging for each employee

shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

F. State agencies are authorized to make direct purchases of commercial airline tickets for use by employees in approved out-of-state travel. Each claim or invoice submitted to the Director of the Office of Management and Enterprise Services for the payment of the purchase shall bear the airline identifying ticket number, the name of the airline, total cost of each ticket purchased, class of accommodation and name of the employee for whom the ticket was purchased and shall be filed on claim forms as prescribed by the Director of the Office of Management and Enterprise Services. The employee shall sign an affidavit stating that the employee used a direct purchase commercial airline ticket received for his or her approved out-of-state travel, or in lieu of the affidavit, the employee may file a travel claim in connection with ~~said~~ such airline flight.

G. 1. The Director of the Office of Management and Enterprise Services is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and other authorized expenses as may be necessary to host, conduct, sponsor, or participate in conferences, meetings, or training sessions. The Director may establish accounts as necessary for the collection and distribution of funds, including funds of sponsors and registration fees, related to such conferences, meetings, and training sessions. Expenses incurred may be paid directly to the contracting agency or business establishment.

2. The cost of food for persons attending any conferences, meetings, and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

H. 1. The Commissioner of the Department of Mental Health and Substance Abuse Services is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and other authorized expenses as may be necessary to host, conduct, sponsor, or participate in conferences, meetings, or training sessions. The Commissioner may establish accounts as necessary for the collection and distribution of funds, including funds of sponsors and registration fees, related to such conferences, meetings, and

training sessions. Any expenses incurred may be paid directly to the contracting agency or business establishment.

2. The cost of food for persons attending any conferences, meetings, and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

I. The Oklahoma Indigent Defense System is hereby authorized to enter into contracts and agreements for the payment of lodging as necessary for employees to carry out their duties in representing any client whom the System has been properly appointed to represent. Such expenses may be paid directly to the contracting agency or business establishment. The cost for lodging for each employee shall not exceed the daily rate as provided in the State Travel Reimbursement Act.

J. The Oklahoma Tourism and Recreation Department is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and meeting facility and beverage expenses as may be necessary for seminars and receptions relating to familiarization tours and tourism development. The expenses may be paid directly to the contracting agency or business establishment. The Executive Director of the Oklahoma Tourism and Recreation Department shall provide a monthly report of any such expenditures to the Oklahoma Tourism and Recreation Commission.

K. The Oklahoma Tourism and Recreation Department is hereby authorized to enter into contracts and agreements for the payment of exhibitor fees and display space charges at expositions to promote the Department's recreational facilities and the tourism and recreation industry. The expenses may be paid directly to the contracting agency or business establishment; provided that no payment shall be made prior to the event unless it conveys a property right to the state for future availability and use.

L. 1. The Oklahoma Highway Safety Office of the Department of Public Safety is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and other authorized expenses as may be necessary to host, conduct, sponsor, or participate in highway-safety-related conferences, workshops, seminars, meetings, or training sessions. The payments shall be for

all persons in attendance, including, but not limited to, employees of political subdivisions or employees of the state or federal government. For purposes specified in this paragraph, only federal highway safety funds may be used in accordance with federal guidelines and regulations, and no appropriated state funds shall be used.

2. The cost of food for persons attending any highway safety conferences, workshops, seminars, meetings, and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

M. 1. The Director of the Oklahoma State Bureau of Investigation is hereby authorized to enter into contracts and agreements for the payment of food, lodging and other authorized expenses as may be necessary to host, conduct, sponsor or participate in any conference, meeting, training session or initiative to promote the mission and purposes of the Bureau. The payments may be for all persons in attendance, including, but not limited to, employees of political subdivisions or employees of the state or federal government.

2. The cost of food for persons that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

N. The Oklahoma Homeland Security Director is hereby authorized to enter into contracts and agreements for the payment of food, lodging and other authorized expenses as may be necessary to host, conduct, sponsor, or participate in homeland-security-related conferences, meetings, workshops, seminars, exercises or training sessions. The expenses may be paid directly to the contracting agency or business establishment.

O. The State Department of Education is hereby authorized to enter into contracts and agreements for the payment of food, lodging and other authorized expenses as may be necessary to host, conduct, sponsor or participate in conferences, meetings or training sessions. The State Department of Education may establish accounts as necessary for the collection and distribution of funds, including funds of sponsors and registration fees, related to such conferences, meetings and training sessions. Any expenses incurred

may be paid directly to the contracting agency or business establishment.

P. 1. The Insurance Commissioner of the Insurance Department of the State of Oklahoma is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and other authorized expenses as may be necessary to host, conduct, sponsor, or participate in conferences, meetings, or training sessions. The Commissioner may establish accounts as necessary for the collection and distribution of funds, including funds of sponsors and registration fees, related to such conferences, meetings, and training sessions. Any expenses incurred may be paid directly to the contracting agency or business establishment.

2. The cost of food for persons attending any conferences, meetings, and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

Q. 1. The State Regents for Higher Education is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and other authorized expenses as may be necessary to host, conduct, sponsor, or participate in conferences, meetings, or training sessions. The State Regents for Higher Education may establish accounts as necessary for the collection and distribution of funds, including funds of sponsors and registration fees, related to such conferences, meetings, and training sessions. Any expenses incurred may be paid directly to the contracting agency or business establishment.

2. The cost of food for persons attending any conferences, meetings, and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

R. 1. The Office of Educational Quality and Accountability is hereby authorized to enter into contracts and agreements for the payment of food, lodging, and other authorized expenses as may be necessary to host, conduct, sponsor, or participate in conferences, meetings, or training sessions. The Office of Educational Quality and Accountability may establish accounts as necessary for the collection and distribution of funds, including funds of sponsors

and registration fees, related to such conferences, meetings, and training sessions. Any expenses incurred may be paid directly to the contracting agency or business establishment.

2. The cost of food for persons attending any conferences, meetings, and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

S. 1. The Department of Securities is hereby authorized to enter into contracts and agreements for the payment of food, lodging, meeting facility, facilitator fees and travel expenses, exhibitor fees and other authorized expenses as may be necessary to host, conduct, sponsor or participate in conferences, meetings, training sessions or initiatives promoting or otherwise relating to investor education. The Department of Securities may establish accounts as necessary for the collection and distribution of funds, including funds of sponsors and registration fees, related to such conferences, meetings, training sessions or initiatives. The payments may be for all persons in attendance, including, but not limited to, employees of the state or federal government or employees of political subdivisions of the state, including employees of boards of public education. Expenses incurred may be paid directly to the contracting agency or business establishment.

2. The cost of food for persons attending any conferences, meetings and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

3. The Department of Securities is hereby authorized to pay stipends to teachers participating in the investor education program and monetary achievement awards to select participating students. No appropriated state funds shall be used.

T. 1. The Oklahoma Department of Veterans Affairs is hereby authorized to enter into contracts and agreements for the payment of food, lodging, meeting facility, beverage and other authorized expenses as may be necessary to host, conduct, sponsor or participate in seminars, receptions, conferences, meetings or training sessions related to the support of veterans and the development of veterans' services. Expenses incurred may be paid

directly to the contracting agency or business establishment. The Executive Director of the Oklahoma Department of Veterans Affairs shall provide a monthly report of any such expenditures to the Oklahoma Veterans Commission.

2. The cost of food for persons attending any conferences, meetings and training sessions that do not require overnight travel shall not exceed the total daily rate as provided in the State Travel Reimbursement Act.

U. Whenever possible it shall be the policy of each state agency to prepay airline fares and lodging expenses using a purchase card issued to the agency. This policy shall apply to instances where employees of the agency are traveling on behalf of state government.

SECTION 328. AMENDATORY 74 O.S. 2021, Section 500.18, as last amended by Section 1, Chapter 325, O.S.L. 2022 (74 O.S. Supp. 2025, Section 500.18), is amended to read as follows:

Section 500.18. A. Except for members of the Legislature, the Governor, and the Lieutenant Governor, provisions of Sections 500.1 through 500.18 of this title shall be mandatory for all officials and employees of all departments, boards, commissions, and institutions of the state, regardless of the provisions of any other act of the Legislature, except as provided by this section. The enactment of any measure in the future providing for travel reimbursement of state officers and employees on the basis of "actual and necessary" expenses or in any other manner inconsistent with Sections 500.1 through 500.18 of this title shall be deemed to provide for reimbursement in accordance with Sections 500.1 through 500.18 of this title unless a contrary intent is explicitly expressed in this section. Sections 500.1 through 500.18 of this title shall not apply, however, to travel reimbursements made by political subdivisions of this state, except as otherwise provided by law.

B. The agencies listed below are authorized certain exceptions ~~and/or~~ or exemptions to the provisions of Sections 500.1 through 500.18 of this title to the extent specified:

1. Oklahoma Department of Agriculture, Food, and Forestry:

- a. The actual and reasonable expenses of travel and subsistence in pursuing and developing markets for Oklahoma agricultural products incurred by the Commissioner, Deputy Commissioner and such employees designated by the State Board of Agriculture within the marketing development programs of the Oklahoma Department of Agriculture, Food, and Forestry shall be reimbursed to the employee incurring such expenses. Reimbursement of such expenses shall be in accordance with rules adopted by the Board. Expenses claimed shall, prior to reimbursement, be reviewed by the Board at a regular meeting and individually approved or disapproved.
- b. The actual and necessary expenses of out-of-state travel and subsistence incurred by employees of the Forestry Division authorized to evaluate and acquire federal excess property or surplus property in other states for use in its fire protection program shall be reimbursed to the employee incurring such expenses.

2. Department of Public Safety:

When traveling with the Governor or at the Governor's request, personnel assigned by the Commissioner for executive security and pilots on executive assignment shall be allowed their actual and necessary traveling expenses, upon claims approved by the Commissioner.

3. Department of Corrections:

The Department of Corrections shall be exempt from limitations of reimbursement for rented automobiles, as set forth in Section 500.5 of this title, when the rental is by a Correctional Officer or Transportation Officer for the limited purpose of transporting inmates. Reimbursement for the expense shall be on the basis of actual cost.

4. Oklahoma Tourism and Recreation Department:

The Oklahoma Tourism and Recreation Commission and Department staff who promote in-state and out-of-state business for Oklahoma's state-operated or state-owned parks, lodges, and golf courses and the tourism and recreation industry may be reimbursed for the actual and necessary expense of travel, subsistence and entertainment for this purpose. The Director of the Oklahoma Tourism and Recreation Department may reimburse the Publisher of Oklahoma Today magazine and its staff for expenses for meals and other entertainment in order to gain advertising and promotion for Oklahoma Today magazine.

5. Oklahoma Department of Commerce:

- a. The actual and necessary expenses incurred by the Director and other employees of the Department authorized by the Director for the purpose of business recruitment shall be reimbursed. Reimbursement of expenses shall be in accordance with rules adopted by the Director of the Oklahoma Department of Commerce. Expenses claimed shall, prior to reimbursement, be reviewed by the Director and individually approved or disapproved.
- b. The Department, at the discretion of the Director, may charter aircraft for the purposes of carrying out its duties and responsibilities related to business recruitment and performing the duties of the Director. The cost of such charter shall be exempt from the provisions of Section 500.6 of this title. Claims filed with the Office of Management and Enterprise Services shall bear the following certification:

The best interests of the citizens of Oklahoma were better served in that conventional ground transportation was not practical or feasible for this trip, aircraft from the Department of Public Safety were not available for this trip, and no other claim has been or will be filed as a payment for the cost of transportation in connection with this trip.

- c. The Oklahoma Department of Commerce may reimburse the Oklahoma Film and Music Office staff for the actual and necessary expenses for meals and other

entertainment in order to promote the film and music industries in this state. Reimbursement of all actual and necessary expenses shall be in accordance with rules adopted by the Oklahoma Department of Commerce.

6. Office of Management and Enterprise Services:

The actual and necessary expenses of travel and subsistence incurred by the Director, any state employee approved by his or her appointing authority, or state officials, for travel outside the state in performance of duties related to bond financing shall be reimbursed to the employee or state official incurring such expenses. Reimbursement for lodging expenses shall be supported by three telephone bids from hotels within a reasonable distance of the activity for which the travel was approved.

7. Oklahoma Futures:

The actual and necessary expenses incurred by the members of Oklahoma Futures in the performance of their duties shall be reimbursed to the members incurring such expenses. Reimbursement of all actual and necessary expenses shall be in accordance with rules adopted by Oklahoma Futures.

8. Oklahoma Development Finance Authority:

The actual and necessary expenses incurred by the members and employees of the Oklahoma Development Finance Authority in the performance of their duties shall be reimbursed to the person incurring such expenses. Reimbursement of all actual and necessary expenses shall be in accordance with the bylaws of the Authority.

9. Oklahoma Center for the Advancement of Science and Technology:

The actual and necessary expenses incurred by the members and employees of the Oklahoma Center for the Advancement of Science and Technology in the performance of their duties shall be reimbursed to the person incurring such expenses. Reimbursement of all actual and necessary expenses shall be in accordance with the bylaws of the Center.

10. Center for International Trade Development:

The actual and necessary expenses of travel, lodging and subsistence incurred by the Director and authorized employees of the Center for International Trade Development for performance of their duties for the purpose of business recruitment and assistance shall be reimbursed to the person incurring such expenses. Reimbursement of such expenses shall be in accordance with the rules adopted by the Director of the Center for International Trade Development. Expenses claimed shall be reviewed and individually approved or disapproved, prior to reimbursement, first by the Director, and finally by either the Vice President, Business and Finance of Oklahoma State University or the President of Oklahoma State University.

11. Oklahoma State Bureau of Investigation:

The actual and necessary expenses incurred by the Director and other employees of the Bureau authorized by the Director as a result of conducting investigations shall be reimbursed to each such employee incurring the expenses. Reimbursement of the expenses shall be in accordance with rules adopted by the Director of the Oklahoma State Bureau of Investigation. Prior to reimbursement, expenses claimed shall be reviewed by the Director and individually approved or disapproved.

12. Department of Human Services:

The actual and necessary expenses of travel, lodging and subsistence incurred by employees of the Legal Division in the performance of their duties for the purpose of representing the Department of Human Services or any of its officials, employees, institutions or hospitals at any proceeding including depositions, held before any court, administrative body or representative thereof, shall be reimbursed to the employee incurring such expenses. Expenses claimed shall be approved by the General Counsel and the Director of Human Services prior to reimbursement.

13. Oklahoma Health Care Authority:

The actual and necessary expenses of travel, lodging and subsistence incurred by employees of the Legal Division in the

performance of their duties for the purpose of representing the Authority or any of its officials or employees, at any proceeding including depositions, held before any court, administrative body or representative thereof, shall be reimbursed to the employee incurring such expenses. Expenses claimed shall be approved by the Administrator prior to reimbursement.

14. Oklahoma State Bureau of Narcotics and Dangerous Drugs Control:

The actual and necessary expenses incurred by the Director and other employees of the Bureau authorized by the Director as a result of conducting investigations shall be reimbursed to each employee incurring the expenses. Reimbursement of the expenses shall be in accordance with rules adopted by the Director of the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control. Prior to reimbursement, expenses claimed shall be reviewed by the Director and individually approved or disapproved.

15. University Hospitals:

The actual and necessary expenses of travel, lodging and subsistence incurred by employees of the Legal Office in the performance of their duties for the purpose of representing the University Hospitals or any of its officials, employees, institutions or hospitals at any proceeding including depositions, held before any court, administrative body or representative thereof, shall be reimbursed to the employee incurring such expenses. Expenses shall be approved by the Chief Executive Officer of the University Hospitals or by the University Hospitals Authority.

16. Oklahoma Historical Society:

The actual and necessary expenses of travel, subsistence and entertainment incurred by the Executive Director, Deputy Director and any employees designated by the Executive Committee of the Oklahoma Historical Society Board of Directors in pursuing and developing programs and projects for the preservation and marketing of Oklahoma history shall be reimbursed to the person incurring the expenses. Reimbursement of expenses shall be in accordance with rules adopted by the Oklahoma Historical Society Board of Directors.

Prior to reimbursement, expenses claimed shall be reviewed by the Executive Committee at a regularly scheduled meeting and each claim shall be individually approved or disapproved.

17. The Oklahoma Department of Mines:

The actual and necessary expenses of travel, lodging and subsistence incurred by employees of the Department in the performance of their duties for the purpose of representing the Department or any of its officials or employees, at any proceeding, hearing or meeting with federal agencies, boards, commissions, congressional representatives, congressional committees or staff, shall be reimbursed to the employee incurring such expenses. Expenses claimed shall be approved by the Executive Director prior to reimbursement.

18. The Office of Attorney General:

The actual and necessary expenses of travel, lodging and subsistence incurred by its employees in the performance of their duties for the purpose of representing the state, the Legislature, any state board, agency or commission, or any employee or official of the state entitled to representation, at any proceeding including depositions, held before any court, administrative body or any representative thereof, and the actual and necessary expenses incurred by employees as a result of conducting investigations shall be reimbursed to the employee incurring the expenses. The expenses shall be approved by the Attorney General prior to reimbursement.

19. District Attorneys Council:

The actual and necessary expenses of travel, lodging and subsistence incurred by each district attorney and other employees of the district attorney authorized by the district attorney in the performance of their duties for any district other than the district for which they are employed for the purpose of representing the state, any county, or any employee or official of the state entitled to representation at any proceeding including depositions held before any court, administrative body or any representative of a court or administrative body, and the actual and necessary expenses incurred as a result of conducting investigations shall be reimbursed to each employee incurring the expenses. Reimbursement

of the expenses shall be in accordance with rules adopted by the District Attorneys Council. Prior to reimbursement, expenses claimed shall be reviewed by the Council and individually approved or disapproved.

20. The Department of Securities:

The actual and necessary expenses of travel, lodging and subsistence incurred by the Administrator and other employees of the Department of Securities in the performance of their duties for the purpose of representing the Department of Securities, at any proceeding including depositions, held before any court, administrative body or any representative thereof, conducting on-site examinations, or conducting investigations, shall be reimbursed to each employee incurring the expenses. The expenses shall be approved by the Administrator of the Department of Securities prior to reimbursement.

21. Corporation Commission:

The actual and necessary travel expenses incurred by the staff of the Public Utility Division as a result of conducting audits ~~and/or~~ or reviews of utility service providers shall be reimbursed to each employee incurring the expense. Reimbursement of the expenses shall be as set forth in procedures established by the appointing authority.

22. The Department of Human Services:

Employees of the Department of Human Services may be reimbursed for their actual and necessary expenses of travel, lodging and meals and incidentals incurred in the performance of their duties for the purpose of escorting and transporting children or adults in the care or custody of the Department, subject to approval by the Department:

- a. for out-of-state visitation, care, treatment and placement of a child welfare client,
- b. for out-of-state treatment for or placement of an adult protective services client,

- c. for out-of-state treatment for or placement of a resident of a state resource center,
- d. for out-of-state treatment for or placement of an individual with a developmental disability who is living in the community in community residential services, or
- e. for meals and incidental expenses necessary for the care of children or adults in the care or custody of the Department.

Expenses claimed shall be approved by the appropriate Division Director or Deputy prior to reimbursement.

23. The Banking Department:

The actual and necessary expenses of travel and lodging incurred by the Commissioner and other employees of the Banking Department in the performance of their duties for the Banking Department shall be paid or reimbursed by the Banking Department to each employee incurring the expenses. The expenses shall be approved by the Banking Commissioner prior to payment or reimbursement.

24. Oklahoma Office of Homeland Security:

The actual and necessary expenses of travel, lodging, and subsistence incurred by the Oklahoma Homeland Security Director, as a result of the duties and responsibilities of the Director, shall be paid or reimbursed by the Oklahoma Office of Homeland Security.

25. The Grand River Dam Authority:

The actual and necessary expenses of travel and lodging incurred by the Board of Directors and other employees of the district in the performance of their duties for the Grand River Dam Authority shall be paid or reimbursed by the district to each Director or employee incurring the expenses. The expenses shall be approved by the General Manager of the Grand River Dam Authority prior to payment or reimbursement.

26. ~~The Native American Cultural and Educational Authority:~~

~~The actual and necessary expenses incurred by the Directors and employees of the Native American Cultural and Educational Authority in performances of duties. The expenses shall be approved by the Director prior to payment or reimbursement.~~

~~27.~~ Oklahoma Department of Career and Technology Education:

The actual and necessary expenses incurred by the Director and other employees of the Department, authorized by the Director, for the purpose of business recruitment, training, and the provision of technical assistance shall be reimbursed. Reimbursement of expenses shall be in accordance with rules adopted by the State Board of Career and Technology Education. Expenses claimed, prior to the reimbursement, will be reviewed by the Board and individually approved or disapproved.

~~28.~~ 27. Oklahoma Military Department:

The actual and necessary travel expenses incurred by the Director, other employees of the Department and persons performing substantial and necessary services to the state in support of the Oklahoma National Guard shall be reimbursed to the individual incurring such expenses. The expenses claimed shall be approved by the Director or Chief Financial Officer prior to reimbursement.

C. The agencies listed in subsection B of this section shall be required to, utilizing the centralized filing system provided for in Section 378 of this act, electronically report annually the actual expenses excepted or exempted from Sections 500.1 through 500.18 of this title to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives. The report shall be submitted no later than the first day of September following the end of each fiscal year.

SECTION 329. AMENDATORY Section 3, Chapter 414, O.S.L. 2024 (74 O.S. Supp. 2025, Section 583.1), is amended to read as follows:

Section 583.1. A. The purpose of the Oklahoma-Israel Exchange Commission shall be to advance, promote, and encourage business and

other mutually beneficial activities between Oklahoma and Israel, including:

1. Bilateral trade and investment;
2. Joint action on policy issues of mutual interest;
3. Business and academic exchanges;
4. Mutual economic support;
5. Mutual investment in the respective infrastructure; and
6. Other opportunities for mutual benefit and economic growth as identified by the Commission.

B. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report its findings, activities, results, and recommendations to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate within one (1) year of its initial meeting and by February 1 of each succeeding year for the activities of the preceding calendar year. The report shall be in writing and may include recommendations or proposed legislation as deemed appropriate by the Commission to effectuate its purposes.

C. The Oklahoma-Israel Exchange Commission shall be authorized to raise funds, through direct solicitation or other fundraising events, alone, or with other groups, and accept gifts, grants, and bequests from individuals, corporations, foundations, governmental agencies, and public and private organizations and institutions, to carry out its purposes.

SECTION 330. AMENDATORY 74 O.S. 2021, Section 589, is amended to read as follows:

Section 589. A. Upon a finding by the Office of Management and Enterprise Services pursuant to Section 588.1 of this title that the agency has complied with the requirements of the Oklahoma Privatization of State Functions Act, and before any agency can

contract to privatize a function, program, service, unit, or division, the agency ~~must~~ shall provide:

1. Notification to employees impacted by the proposed privatization by the agency of its intent to privatize a function, program, service, unit, or division of the agency;

2. Notification to affected employees that they will have the opportunity to submit cost-savings recommendations for improving the operations, efficiency or organization of the entity being considered for privatization; and

3. Notification by the agency simultaneously with the notice required pursuant to paragraph 1 of this subsection, to the Director of the Office of Management and Enterprise Services of the intent of the agency to privatize a state function.

B. Upon a request by the affected employees, the agency shall provide information about the delivery of services to its employees as they develop recommendations to be considered. This information shall include revenue expenditure data, wage and salary data, an inventory of the supplies, equipment, and facilities associated with the program being privatized, and the cost analysis performed by the agency.

C. Any recommendations submitted by agency employees shall be considered by the agency, separate and apart from the bid process, with nonemployee bids. The agency shall make the final determination whether to accept the winning nonemployee bid or accept the employee recommendations in lieu of the winning bid.

D. After an agency has met the requirements of subsection A of this section, the agency shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically notify the Director of the Office of Management and Enterprise Services, the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives of the intent of the agency to solicit bids in accordance with this section.

E. The agency shall provide, alongside the notification required in subsection D of this section, a comprehensive written analysis of the contract cost based upon the designated bid,

specifically including the costs of transition from public to private operation, severance payments to agency employees, and monitoring and otherwise administering contract performance.

F. The agency shall require the following information prior to entering into a contract to privatize a function, program, service, unit, or division:

1. Financial stability of the vendor, past and present litigation, and references related to past government contract performance information; and

2. Detail how the vendor will perform the contract, including staffing and equipment information.

G. The agency shall establish a plan and cost analysis on how to return the privatized function, program, service, unit, or division to the state if there is a contract cancellation.

H. Any contract with a vendor to privatize a function, program, service, unit, or division shall require that the payment to the contractor be linked to performance. The contract shall provide that the amount agreed upon in the contract may be reduced if the agency experiences a budget shortfall.

I. Each privatization contract shall contain provisions requiring the contractor to offer available employee positions pursuant to the contract to qualified regular employees of the agency whose state employment is terminated because of the privatization contract and who satisfy the hiring criteria of the contractor.

SECTION 331. AMENDATORY 74 O.S. 2021, Section 669, is amended to read as follows:

Section 669. The Oklahoma Commission on the Status of Women shall have the power and the duty to:

1. Advise on equity issues relating to gender bias, state agencies and employees, communities, organizations, and businesses of this state which desire the services of the Commission;

2. Monitor legislation as to whether the legislation is discriminatory toward one gender or whether the gender of an individual would have an effect on the enforcement of the legislation;

3. Act as a resource and a clearinghouse for research on issues related to women and gender bias;

4. Conduct meetings and seminars within the state as appropriate to support the goals and duties of the Commission; and

5. ~~Report~~ Utilizing the centralized filing system provided for in Section 378 of this act, electronically report to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives of its activities. The report recommendations may include recommendations concerning needed legislation or regulatory changes relating to equity and gender bias.

SECTION 332. AMENDATORY Section 2, Chapter 201, O.S.L. 2024 (74 O.S. Supp. 2025, Section 692), is amended to read as follows:

Section 692. A. The purpose of the Oklahoma Ireland Trade Commission shall be to advance, promote, and encourage business and other mutually beneficial activities between Oklahoma and Ireland, including:

1. Bilateral trade and investment;
2. Joint action on policy issues of mutual interest;
3. Business and academic exchanges;
4. Mutual economic support;
5. Mutual investment in the respective infrastructure; and

6. Other opportunities for mutual benefit and economic growth as identified by the Commission.

B. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report its findings, activities, results, and recommendations to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate within one (1) year of its initial meeting and by February 1st of each succeeding year for the activities of the preceding calendar year. The report shall be in writing and may include recommendations or proposed legislation as deemed appropriate by the Commission to effectuate its purpose.

C. The Oklahoma Ireland Trade Commission shall be authorized to raise funds, through direct solicitation or other fundraising events, alone, or with other groups, and accept gifts, grants, and bequests from individuals, corporations, foundations, governmental agencies, and public and private organizations and institutions, to carry out its purposes.

SECTION 333. AMENDATORY 74 O.S. 2021, Section 840-1.6A, as amended by Section 4, Chapter 243, O.S.L. 2022 (74 O.S. Supp. 2025, Section 840-1.6A), is amended to read as follows:

Section 840-1.6A. The Office of Personnel Management Division of the Office of State Finance was consolidated into and renamed the Office of Management and Enterprise Services. Where the term "Office of Personnel Management" is used within the Oklahoma Statutes, it shall mean the Office of Management and Enterprise Services. The chief administrative officer shall be the Director of the Office of Management and Enterprise Services. In addition to the other duties imposed by law, the Director shall:

1. Be responsible for the development of an efficient and effective system of personnel administration that meets the management needs of the various agencies;

2. Organize the Office to provide both service and regulatory functions that are effective and efficient in meeting the management needs of various state agencies. The Director is directed to establish an agency service function to assist agencies with human resource needs based upon the administrative capacity and resources of the various agencies;

3. Prepare, maintain, and revise a system of employment designed to ensure the impartial consideration of applicants for employment and to protect state employees from arbitrary dismissal or unfair treatment;

4. Develop and maintain a classification and compensation system for all positions in the executive branch of state government including those established by the Oklahoma Constitution;

5. Conduct an analysis of the rates of pay prevailing in the state in the public and private sectors for comparable jobs and, utilizing the centralized filing system provided for in Section 378 of this act, electronically report the findings to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives no later than December 1 of each year. Such analysis shall include all forms of compensation including fringe benefits. Information solicited by the Office of Management and Enterprise Services from public and private sector employers for such analysis, including but not limited to salaries, benefits, and compensation policies and procedures, shall be confidential and shall not be subject to disclosure under the Oklahoma Open Records Act;

6. Assist state agencies in implementing their duties and obligations and provide standard forms to the agencies if necessary;

7. Develop, in cooperation with appointing authorities, employee training programs, management training programs, a certified public manager program, a recruiting program, and a system of performance appraisals, and assist appointing authorities in the setting of productivity goals. The Director may establish and collect fees for participation in training programs. The Director is authorized to purchase awards for presentation to state employees as part of employee recognition activities sponsored by the Office of Management and Enterprise Services;

8. Establish rules for leave and pay including, but not limited to, rules for leave, furloughs, performance pay increases, rates for pay differentials, on-call pay, and other types of pay incentives and salary adjustments consistent with this act and reduction-in-force;

9. Be responsible for the development and maintenance of a uniform occupation code system, grouped by job titles or duties, for all state positions. The responsibility shall include the establishment of rules governing the identification, tracking, and reporting of all state positions as provided in Section 840-2.13 of this title;

10. Be responsible for advising state agencies on personnel policy and administration;

11. Establish standards for continuing training and certification of personnel professionals in the executive branch of state government, excluding institutions within The Oklahoma State System of Higher Education. Employees appointed to professional personnel positions shall complete an initial training program within one (1) year after assuming the professional personnel position. Thereafter, they shall complete annual training requirements. Each appointing authority shall ensure that all professional personnel employees are notified of, and scheduled to attend, required training programs and shall make time available for employees to complete the programs. The Director shall be authorized to bill agencies for the training of personnel professionals pursuant to this paragraph to recover reasonable costs associated with the training. Monies received for such training shall be deposited in the Human Capital Management Revolving Fund. Expenditure of such funds collected for the training shall be exempt from any expenditure limit on the Office of Management and Enterprise Services established by law;

12. Not less than once during each two-year period, conduct a study identifying the following, by job family descriptors:

- a. selected jobs with a turnover rate in excess of ten percent (10%),
- b. selected jobs identified by the Director of the Office of Management and Enterprise Services with salaries and benefits that are ten percent (10%) or more below the market for such positions, and

- c. selected jobs identified by the Director in which recruitment efforts have yielded a low number of qualified applicants;

13. Establish a workforce planning function within the Office of Management and Enterprise Services to assist state agencies in analyzing the current workforce, determining future workforce needs, and implementing solutions so that agencies may accomplish their missions; and

14. Establish a quality management function within the Office of Management and Enterprise Services and shall assist state agencies in fully integrating quality management concepts and models into their business practices for the purpose of improving the overall efficiency and effectiveness of state government.

SECTION 334. AMENDATORY 74 O.S. 2021, Section 840-2.17, as amended by Section 13, Chapter 243, O.S.L. 2022 (74 O.S. Supp. 2025, Section 840-2.17), is amended to read as follows:

Section 840-2.17. A. Unless otherwise provided by the Oklahoma Constitution, statutory authority to set or fix compensation, pay or salary of state officers and employees shall not be construed to authorize any agency, board, commission, department, institution, bureau, executive officer or other entity of the executive branch of state government to award, grant, give, authorize, or promise any officer or employee of the State of Oklahoma a raise that is inconsistent with the compensation schedules established by the Office of Management and Enterprise Services for all state officers and employees in the executive branch, including, but not limited to, a cost-of-living raise or any other type of raise that would be given to state employees on an across-the-board basis, except as herein provided. Such raises are prohibited unless authorized by the Legislature and by rules promulgated by the Director. This prohibition applies to all officers and employees in the executive branch of state government, excluding institutions under the administrative authority of the Oklahoma State Regents for Higher Education.

B. However, nothing in this section shall be construed to prohibit the following actions if the action is made in good faith and not for the purpose of circumventing subsection A of this

section, and if the appointing authority certifies that the action can be implemented for the current fiscal year and the subsequent fiscal year without the need for additional funding to increase the personal services budget of the agency, and if the Office of Management and Enterprise Services certifies that the action is consistent with the compensation schedules established pursuant to the provisions of this act:

1. Salary advancements on promotion;
2. Salary adjustments resulting from a pay change for a job level adopted by the Office of Management and Enterprise Services;
3. Increases in longevity payments pursuant to Section 840-2.18 of this title;
4. Payment of overtime, special entrance rates, pay differentials;
5. Payment of wages, salaries, or rates of pay established and mandated by law;
6. Market adjustments for jobs tied to market competitiveness;
7. Skill-based adjustments;
8. Equity-based adjustments;
9. Performance-based adjustments; or
10. Career progression increases as an employee advances through job levels.

C. Provided, however, any salary increase for one of the purposes provided in subsection B of this section that would require additional funding by the Legislature shall not be implemented without approval of the Legislature.

D. Appointing authorities may implement the pay movement mechanisms subject to the availability of funds within the agency's budget for the current fiscal year and subsequent fiscal year without the need for additional funding to increase the personal

services budget of the agency. Failure by the appointing authority to follow the provisions of this subsection may cause the withdrawal of the use of the pay movement mechanisms of this section within the agency during the next appropriations cycle.

E. The Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a quarterly report with the Offices of the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives listing, by agency, all increases in wages, salaries, or rates of pay and any changes to title or classification of each employee.

SECTION 335. AMENDATORY 74 O.S. 2021, Section 840-2.27C, as last amended by Section 1, Chapter 341, O.S.L. 2024 (74 O.S. Supp. 2025, Section 840-2.27C), is amended to read as follows:

Section 840-2.27C. A. At least thirty (30) days before the scheduled beginning of reduction-in-force separations or as otherwise provided by law, the appointing authority shall post in each office of executive branch agencies affected by the proposed reduction-in-force notice that a reduction-in-force will be conducted. The reduction-in-force implementation plan shall be provided to the Director of the Office of Management and Enterprise Services and any state employee association representing state employees at such time. The notice shall not be posted unless approved by the cabinet secretary for the agency conducting the reduction-in-force. If there is no incumbent cabinet secretary for the agency, the cabinet-secretary-notice-approval requirement shall not be applicable. If the appointing authority is governed by an elected official, the cabinet-secretary-notice-approval requirement shall not be applicable. The approved notice shall be posted in each office affected by the proposed plan for five (5) days. The appointing authority shall provide a copy of the notice to the Administrator. A reduction-in-force shall not be used as a disciplinary or retaliatory action; provided, that a low job performance evaluation, within the past twelve (12) months, may be a factor considered by the appointing authority during a reduction-in-force.

B. The reduction-in-force implementation plan shall:

1. Provide for the appointing authority to determine the specific position or positions to be abolished within specified units, divisions, facilities, agency-wide or any parts thereof; and

2. Provide outplacement assistance and employment counseling from the Oklahoma Employment Security Commission and any other outplacement assistance and employment counseling made available by the agency to affected employees regarding the options available pursuant to the State Government Reduction-in-Force and Severance Benefits Act prior to the date that a reduction-in-force is implemented.

C. The Director of the Office of Management and Enterprise Services shall review the fiscal components of the reduction-in-force implementation plan and within five (5) business days of receipt reject any plan that does not:

1. Demonstrate that funds are available to cover projected costs; and

2. Contain an estimate of the cost savings or reduced expenditures likely to be achieved by the agency.

If the reduction-in-force is conducted pursuant to a reorganization, the fiscal components of the reduction-in-force implementation plan shall contain reasons for the reorganization, which may include, but not be limited to, increased efficiency, improved service delivery, or enhanced quality of service.

D. When the Legislature is not in session, the Contingency Review Board may, upon the request of the Governor, direct agencies, boards and commissions to reduce the number of employees working for the agency, board or commission whenever it is deemed necessary and proper. Such reduction shall be made pursuant to reduction-in-force plans as provided in this section.

E. 1. When the Legislature is not in session, the Contingency Review Board may, upon the request of the Governor, direct and require mandatory furloughs for all state employees whenever it is deemed necessary and proper. The Contingency Review Board shall specify the effective dates for furloughs and shall note any exceptions to state employees affected by the same. All employees,

including those employees of agencies or offices established by statute or the Constitution, shall be affected by such actions.

2. Mandatory furlough means the involuntary temporary reduction of work hours or the placement of an employee on involuntary leave without pay. Rules governing leave, longevity pay and participation in the State Employees Group Health, Dental, Disability, and Life Insurance program shall not be affected by mandatory furloughs. Furlough, as provided for in this section or by rules adopted by the Director of the Office of Management and Enterprise Services, shall not be appealable under the provisions of this act.

3. Notwithstanding existing laws or provisions to the contrary, members of state boards and commissions shall not receive per diem expenses during periods of mandatory furlough. The Contingency Review Board shall additionally call upon elected officials, members of the judiciary, and other public officers whose salary or emoluments cannot be altered during current terms of office, to voluntarily donate to the General Revenue Fund any portion of their salary which would otherwise have been affected by a mandatory furlough.

F. All agencies directed by the Contingency Review Board to terminate or furlough employees, shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report the cumulative cost savings achieved by the reductions-in-force or furloughs to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives on a quarterly basis for one (1) year following the effective date of the action.

G. The appointing authority of an agency which has an approved reduction-in-force plan pursuant to the State Government Reduction-in-Force and Severance Benefits Act may request the Director of the Office of Management and Enterprise Services to appoint an interagency advisory task force for the purpose of assisting the agency and its employees with the implementation of the reduction-in-force. The appointing authority of state agencies requested by the Administrator to participate on a task force shall assign appropriate administrative personnel necessary to facilitate the necessary assistance required for the efficient implementation of the approved reduction-in-force.

SECTION 336. AMENDATORY 74 O.S. 2021, Section 909.1, is amended to read as follows:

Section 909.1. A. The Oklahoma Public Employees Retirement System Board of Trustees shall discharge their duties with respect to the System solely in the interest of the participants and beneficiaries and:

1. For the exclusive purpose of:

- a. providing benefits to participants and their beneficiaries, and
- b. defraying reasonable expenses of administering the System;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

3. By diversifying the investments of the System so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

4. In accordance with the laws, documents and instruments governing the System.

B. The Board of Trustees may procure insurance indemnifying the members of the Board of Trustees from personal loss or accountability from liability resulting from a member's action or inaction as a member of the Board of Trustees.

C. The Board of Trustees may establish an investment committee. The investment committee shall be composed of not more than five (5) members of the Board of Trustees appointed by the chairman of the Board of Trustees. The committee shall make recommendations to the full Board of Trustees on all matters related to the choice of custodians and managers of the assets of the System, on the establishment of investment and fund management guidelines, and in planning future investment policy. The committee shall have no

authority to act on behalf of the Board of Trustees in any circumstances whatsoever. No recommendation of the committee shall have effect as an action of the Board of Trustees nor take effect without the approval of the Board of Trustees as provided by law.

D. The Board of Trustees shall retain qualified investment managers to provide for the investment of the monies of the System. The investment managers shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Board of Trustees. Subject to the overall investment guidelines set by the Board of Trustees, the investment managers shall have full discretion in the management of those monies of the System allocated to the investment managers. The Board of Trustees shall manage those monies not specifically allocated to the investment managers. The monies of the System allocated to the investment managers shall be managed by the investment managers, which may include selling investments and realizing losses if such action is considered advantageous to longer term return maximization. Because of the total return objective, no distinction shall be made for management and performance evaluation purposes between realized and unrealized capital gains and losses.

E. Funds and revenues for investment by the investment managers or the Board of Trustees shall be placed with a custodian selected by the Board of Trustees. The custodian shall be a bank or trust company offering pension fund master trustee and master custodial services. The custodian shall be chosen by a solicitation of proposals on a competitive basis pursuant to standards set by the Board of Trustees. In compliance with the investment policy guidelines of the Board of Trustees, the custodian bank or trust company shall be contractually responsible for ensuring that all monies of the System are invested in income-producing investment vehicles at all times. If a custodian bank or trust company has not received direction from the investment managers of the System as to the investment of the monies of the System in specific investment vehicles, the custodian bank or trust company shall be contractually responsible to the Board of Trustees for investing the monies in appropriately collateralized short-term interest-bearing investment vehicles.

F. By November 1, 1988, and prior to August 1 of each year thereafter, the Board of Trustees shall develop a written investment plan for the System.

G. The Board of Trustees shall compile a quarterly financial report of all the funds of the System on a fiscal year basis. The report shall be compiled pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall include several relevant measures of investment value, including acquisition cost and current fair market value with appropriate summaries of total holdings and returns. The report shall contain combined and individual rate of returns of the investment managers by category of investment, over periods of time. The Board of Trustees shall include in the quarterly reports all commissions, fees or payments for investment services performed on behalf of the Board. The report shall be electronically distributed to the Governor, the Oklahoma State Pension Commission, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act. In lieu of compiling and distributing the quarterly report, the Board may provide the Pension Commission with direct access to the same data from the custodian bank for the System.

H. After July 1 and before December 1 of each year, the Board of Trustees shall publish widely an annual report presented in simple and easily understood language pursuant to uniform reporting standards prescribed by the Oklahoma State Pension Commission for all state retirement systems. The report shall be submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Oklahoma State Pension Commission and the members of the System. The annual report shall cover the operation of the System during the past fiscal year, including income, disbursements, and the financial condition of the System at the end of the fiscal year. The annual report shall also contain the information issued in the quarterly reports required pursuant to subsection G of this section as well as a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or over funded status, contributions and any other information deemed relevant by the Board of Trustees. The annual report shall be written in such a manner as to permit a

readily understandable means for analyzing the financial condition and performance of the System for the fiscal year.

I. The Board shall distribute the corpus and income of the System to the members and their beneficiaries in accordance with the System's laws and rules and regulations. At no time prior to the satisfaction of all liabilities with respect to members and their beneficiaries shall any part of the corpus and income be used for, or diverted to, purposes other than the exclusive benefit of the members and their beneficiaries.

SECTION 337. AMENDATORY 74 O.S. 2021, Section 942, is amended to read as follows:

Section 942. A. The Oklahoma State Pension Commission shall:

1. Publish, on a quarterly basis, a performance report analyzing the performance of the Oklahoma Firefighters Pension and Retirement System, the Oklahoma Police Pension and Retirement System, the Uniform Retirement System for Justices and Judges, the Oklahoma Law Enforcement Retirement System, the Teachers' Retirement System of Oklahoma, the Oklahoma Public Employees Retirement System and the retirement plan adopted by the Wildlife Conservation Commission on an individual and consolidated basis. The Commission shall establish a format for use by each of the state retirement systems in submitting the information requested by the Commission for the report. The report shall contain:

- a. combined and individual rates of return of the investment managers by category of investment, over periods of time,
- b. the data obtained pursuant to subparagraph a of this paragraph compared with similar data for a larger population of investment managers by asset class as well as by style of management, and
- c. any other information that the Commission may include;

2. Publish widely an annual report in simple and easily understood language containing:

- a. on an individual and consolidated basis, a report of the changes in the investment policy statements adopted by each retirement system in the prior year,
- b. an analysis of the performance of the securities lending program and short-term investment fund of the custodian employed by each governing body of the retirement systems specified in paragraph 1 of this subsection with regard to short-term investment funds, if any, containing retirement system monies,
- c. recommendations on administrative and legislative changes which are necessary to improve the performance of the retirement systems in accordance with current standards for large public fund portfolio management,
- d. a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or over funded status, contributions and any other information deemed relevant by the Commission. The results shall be determined using the standards prescribed by the Government Accounting Standards Board or any successor entity, and
- e. a listing by category of the expenses of the Commission;

3. Make recommendations to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the State Senate, based upon the advice of pension consultants, for updating or standardizing retirement system benefit designs; and

4. Make recommendations to the Governor, the Speaker of the House of Representatives and the President Pro Tempore of the State Senate regarding the methods for the adequate financing of benefits authorized or required by law for performance of service upon behalf of employers participating in any of the retirement systems administered by the entities identified in paragraph 1 of this subsection, including, but not limited to, recommendations regarding the use of dedicated tax or other revenue sources or the modification of such tax or other revenue sources to provide

additional funding to retirement systems the actuarial condition of which would benefit from such sources.

B. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically distribute its reports and recommendations to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the ~~chairman~~ chair and ~~vice-chairman~~ vice chair of the Joint Committee on Fiscal Operations. The Commission shall make the reports widely available to the members of the Legislature, members of the retirement systems, and the general public.

C. The Commission shall hire one or more pension fund management consultants to assist the Commission in accomplishing its objectives specified in subsection A of this section. Consultants shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Commission. A consultant:

1. Shall be experienced in providing unbiased third-party consulting services;

2. Shall have in its client base individual clients that are comparable in size to the combined total assets of the retirement systems specified in paragraph 1 of subsection A of this section; and

3. Shall not be under contract with any of the individual governing bodies of the various state retirement systems.

D. For purposes of this subsection, pension fund management consultants hired by the Commission are hereby considered fiduciaries of the state retirement systems.

1. A fiduciary with respect to the state retirement systems shall not cause or advise a retirement system to engage in a transaction if the fiduciary knows or should know that such transaction constitutes a direct or indirect:

- a. sale or exchange, or leasing of any property from a retirement system to a party in interest for less than adequate consideration or from a party in interest to

a retirement system for more than adequate consideration,

- b. lending of money or other extension of credit from a retirement system to a party in interest without the receipt of adequate security and a reasonable rate of interest, or from a party in interest to a retirement system with provision of excessive security or an unreasonably high rate of interest,
- c. furnishing of goods, services or facilities from a retirement system to a party in interest for less than adequate consideration, or from a party in interest to a retirement system for more than adequate consideration, or
- d. transfer to, or use by or for the benefit of, a party in interest of any assets of a retirement system for less than adequate consideration.

2. A fiduciary with respect to the state retirement systems shall not:

- a. deal with the assets of a retirement system in the fiduciary's own interest or for the fiduciary's own account,
- b. in the fiduciary's individual or any other capacity act in any transaction involving a retirement system on behalf of a party whose interests are adverse to the interests of a retirement system or the interests of its participants or beneficiaries, or
- c. receive any consideration for the fiduciary's own personal account from any party dealing with a retirement system in connection with a transaction involving the assets of a retirement system.

SECTION 338. AMENDATORY 74 O.S. 2021, Section 1207, is amended to read as follows:

Section 1207. A. The State of Oklahoma recognizes the status of the federally recognized tribal governments residing in the geographical boundaries of the state as sovereign nations and the state recognizes the need for further cooperation between the state and the tribes and their citizens and the importance of the government-to-government relationship between the state and the tribes.

B. There is hereby created the position of Oklahoma Native American Liaison who shall be appointed by the Governor. The Oklahoma Native American Liaison may also serve as the Secretary of Native American Affairs or a successor cabinet position and shall have jurisdictional areas of responsibility related to Native American issues and state and tribal relations. The first Oklahoma Native American Liaison shall be appointed no later than December 1, 2012.

C. Any person appointed to the position of Oklahoma Native American Liaison shall be a member or citizen of a federally recognized American Indian tribe or nation that has its primary tribal headquarters located in Oklahoma and shall have valid proof of membership or citizenship.

D. The salary and any other expenses for the Oklahoma Native American Liaison shall be budgeted as a separate line item through the Governor. The Governor shall provide adequate office space, equipment, and support necessary to enable the Oklahoma Native American Liaison to carry out the duties and responsibilities of the position.

E. The Oklahoma Native American Liaison shall:

1. Have the powers and duties over Native American issues and state and tribal relation areas designated to the position by the Governor;

2. Monitor all compacts, including gaming, tobacco, and motor vehicle fuel compacts, entered into by the state and political subdivisions with federally recognized Indian tribal governments within this state;

3. Coordinate with the Office of Tribal Relations within the Oklahoma Historical Society on the gathering, preserving and maintaining of all compacts and agreements between federally recognized Indian tribal governments and the state and political subdivisions and all related records, documents and materials;

4. Monitor state agency consultation policies with tribal governments;

5. Monitor the interactions of state agencies with tribal governments;

6. Provide coordination between tribes and state agencies for any activities of the state agency that will directly affect tribal governments or their property;

7. Inform tribes about ongoing or proposed state programs that will affect tribal governments or their property;

8. Coordinate with tribal governments to determine priorities of interest for possible cooperation between the various agencies and the tribal governments;

9. Inform tribes on funding opportunities through partnerships with state agencies to address locally determined priorities of interest agreed to by both the state and tribal governments;

10. Ensure continuing outreach to tribes and shall establish and maintain relationships with tribes and tribal organizations; and

11. Make an annual report on the interaction between the state and state agencies and tribal governments and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit the report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate.

SECTION 339. AMENDATORY 74 O.S. 2021, Section 1332.1, as amended by Section 8, Chapter 245, O.S.L. 2024 (74 O.S. Supp. 2025, Section 1332.1), is amended to read as follows:

Section 1332.1. A. The Oklahoma Employees Insurance and Benefits Board shall collect from state agencies each month, the premium amount, as determined by the Board, for each employee of a state agency that participates in the Disability Insurance Program. Said sum shall be deposited in the State Employees Disability Insurance Reserve Fund for use in accordance with law.

B. The Oklahoma Employees Insurance and Benefits Board shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a monthly statement of the revenues and disbursements of the Disability Insurance Program to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Legislative Service Bureau. The Legislative Service Bureau shall distribute copies of such monthly statements to the fiscal staff of the House of Representatives and the State Senate.

C. On or before March 1 of each year, the Oklahoma Employees Insurance and Benefits Board shall submit a report of the actuarially-determined future needs of the Disability Insurance Program. ~~Said~~ Such report shall be submitted and distributed as provided for in subsection B of this section.

D. The Board shall provide for the continuation of dependent health coverage to disability recipients for that period of time when the employee is qualified as disabled but not yet received disability benefit income.

E. The Board shall deduct all dependent health coverage premiums due and owing from the first retroactive disability payment and each payment thereafter.

SECTION 340. AMENDATORY 74 O.S. 2021, Section 2109, is amended to read as follows:

Section 2109. On or before March 1 of each year, the Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate which shall include, but not be limited to:

1. ~~the~~ The number of applications for export trading companies submitted;

2. ~~the~~ The number of applications for export trading companies approved; and

3. ~~the~~ The number of jobs created by each export trading company and the dollar value of export trade generated by each export trading company.

SECTION 341. AMENDATORY 74 O.S. 2021, Section 2205, is amended to read as follows:

Section 2205. The Commission shall prepare and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit to the Governor and to the Legislature on the first day of each legislative session a report of the activities of the Department, together with all information and data in the possession of the Department as the Commission shall deem of value to the Governor, the Legislature, and the people of the State of Oklahoma. Each report may contain recommendations for legislation as the Commission may deem necessary to give full effect to all the provisions of the Oklahoma Tourism, Parks and Recreation Enhancement Act.

SECTION 342. AMENDATORY 74 O.S. 2021, Section 2220, is amended to read as follows:

Section 2220. A. The Commission may prescribe and collect reasonable rates and fees pursuant to the provisions of this section for the services, facilities, and commodities rendered by all property of the Commission.

1. The Commission may establish maximum rates for rooms at the state lodges and cabins, for recreational activities, for recreational vehicles and camping sites, and for community facilities under control of the Commission. The method whereby the rates are determined shall be promulgated pursuant to Article I of the Administrative Procedures Act. At least twenty (20) days prior to the adoption or approval of any rate changes by the Commission, the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a

copy of the proposed rates, for informational purposes, to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate. Any change in the rates during the year when the Legislature is not in session shall be electronically reported in writing to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate utilizing the centralized filing system provided for in Section 378 of this act within five (5) business days of such Commission action.

2. The Commission may establish maximum charges for all activities at state-owned golf courses. The charges may vary among the different golf courses according to the practices of the golf industry. The method whereby the maximum charges are determined shall be in accordance with rules promulgated pursuant to Article I of the Administrative Procedures Act. At least twenty (20) days prior to the adoption or approval of any rate changes by the Commission, the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a copy of such proposed charges, for informational purposes, to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate.

3. The Commission may establish entrance or day-use charges for the state park system. All monies collected from entrance or day-use charges shall be used at the state parks where the charges were collected. The Commission may establish an annual pass, or other varied passes as appropriate to that park, for visitors. The method whereby the maximum charges are determined, sold, and collected shall be in accordance with rules promulgated pursuant to Article I of the Administrative Procedures Act. At least twenty (20) days prior to the adoption or approval of any rate changes by the Commission, the Department shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a copy of such proposed charges, for informational purposes, to the Governor, Speaker of the House of Representatives, and President Pro Tempore of the Senate.

4. Fees shall be promulgated pursuant to Article I of the Administrative Procedures Act.

5. Fees may reflect the seasonal usage of the parks and facilities and for promotional purposes and goals.

B. All fees, licenses, and other charges shall be posted in a convenient place in each park. Every person using any of the facilities in a park shall be charged the same fees, licenses, and every other charge except:

1. Residents of this state sixty-two (62) years of age and over and their spouses shall not be charged any admission fees for entrance into any state-owned and -operated park. The Commission may promulgate rules establishing different fees for residents and nonresidents sixty-two (62) years of age and over. Identification may be established by presentation of proof of age, residency, a state driver license, a state license for identification only, birth certificate or any other form of identification authorized by the Commission;

2. Individuals who have been certified as totally disabled under state or federal law and their spouses shall be entitled to a fifty percent (50%) reduction of fees which apply to recreational-use facilities;

3. Children's groups, volunteer groups as specified by the Commission, or governmental entities that provide beneficial services at the facility for which the fee may be reduced or waived; and

4. Special discount rates as authorized in this section may be waived for individuals who are members of a group being provided a special group rate as allowed by law.

C. The failure to collect such fees, licenses and other charges shall subject an employee of the Commission to a fine of Twenty-five Dollars (\$25.00) for each and every violation.

SECTION 343. AMENDATORY 74 O.S. 2021, Section 2236, is amended to read as follows:

Section 2236. A. There is hereby created within the Oklahoma Department of Commerce, the Oklahoma Film and Music Office. The Office shall have the primary responsibility in state government for promoting the state as a location for producing motion pictures, television programs, videos and recording or performing music. The

Office shall assist the motion picture, television and video film and music industries by providing production contacts in the state, suggesting possible filming, performing, publishing, and recording locations, and other activities that may be required to promote the state as a filming and music center. The Office shall develop resource guides, a database, and a web site. The Office shall develop listings of music festivals and music events being held in Oklahoma.

B. The Oklahoma Film and Music Office shall cooperate with other state and local offices as required to promote the film and music industries in this state.

C. The Oklahoma Film and Music Office shall establish a film production registration program. Under the program, film production companies shall be required to register with the Office prior to starting production on a film located in the state. The Office shall not require production companies to pay a fee for registration. The purpose of the program shall be to allow the Office to accurately track the number of filming productions occurring in the state and the economic impact of those productions.

D. The Oklahoma Film and Music Office shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate prior to July 1 of each year regarding the activities of the Office. The report shall state the number of filming productions that the Office has helped bring to the state and the economic impact of those productions, and provide similar information concerning the efforts of the Office to promote the music industry in this state.

E. On the effective date of this act, all administrative rules promulgated by the Oklahoma Tourism and Recreation Department regarding the Oklahoma Film and Music Office shall be transferred to and become a part of the administrative rules of the Oklahoma Department of Commerce. The Office of Administrative Rules in the Office of the Secretary of State shall provide adequate notice in the Oklahoma Register of the transferred rules and shall place the transferred rules under the Administrative Code section of the Oklahoma Department of Commerce. On the effective date of this act,

any amendment, repeal, or addition to the transferred rules shall be under the rulemaking authority of the Oklahoma Department of Commerce. The Department of Commerce may enact rules to administer programs within the Oklahoma Film and Music Office.

SECTION 344. AMENDATORY 74 O.S. 2021, Section 2276.2, is amended to read as follows:

Section 2276.2. A. The Oklahoma Tourism and Recreation Commission shall discharge their duties as trustees of the Oklahoma State Park Trust Fund created in Section 2276.1 of this title, hereafter referred to as the "Trust Fund":

1. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use in the conduct of an enterprise of a like character and with like aims;

2. By diversifying the investments of the Trust Fund so as to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so; and

3. In accordance with the laws, documents and instruments governing the Trust Fund.

B. The Commission may procure insurance indemnifying the members of the Commission from personal loss or accountability from liability resulting from the action or inaction of a member as a trustee.

C. The Commission may utilize the written investment policy developed by the State Treasurer for the investment of public funds for the investment and management of the Trust Fund. Investments of the Trust Fund may be consistent with the guidelines set forth in Section 89.2 of Title 62 of the Oklahoma Statutes which establishes the investment requirements for public funds by the State Treasurer.

D. Funds and revenues for investment by the Commission shall be placed with a custodian selected by the Commission. Payment of any fees for the services of a custodian may be paid from the income and investment return on the Trust Fund. The custodian may be the State Treasurer or a bank or trust company offering pension fund master

trustee and master custodial services. If other than the State Treasurer is utilized, the custodian shall be chosen by a solicitation of proposals on a competitive bid basis pursuant to standards set by the Commission. In compliance with the investment policy guidelines of the Commission, the custodian bank or trust company shall be contractually responsible for ensuring that all monies of the Trust Fund are invested in income-producing investment vehicles at all times. If a custodian bank or trust company has not received direction from the Commission as to the investment of the monies of the Trust Fund in specific investment vehicles, the custodian bank or trust company shall be contractually responsible to the Commission for investing the monies in appropriately collateralized short-term interest-bearing investment vehicles. If the State Treasurer is utilized as the custodian and has not received direction from the Commission as to the investment of the monies of the Trust Fund in specific investment vehicles, the State Treasurer shall invest the monies in accordance with the investment policy developed by the State Treasurer for investment of public funds and in a manner consistent with the guidelines for the investment of public funds set forth in Section 89.2 of Title 62 of the Oklahoma Statutes.

E. By November 1, 2006, and prior to August 1 of each year thereafter, the Commission shall develop a written investment plan for the Trust Fund.

F. The Commission shall compile quarterly financial reports of all the funds and accounts of the Trust Fund on a fiscal year basis. The reports shall include several relevant measures of investment value, including acquisition cost and current fair market value with appropriate summaries of total holdings and returns. The report shall be electronically distributed to the Director of the Legislative Service Bureau utilizing the centralized filing system provided for in Section 378 of this act.

G. After July 1 and before October 1 of each year, the Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically publish an annual report presented in simple and easily understood language. The report shall be submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the Director of the Legislative Service Bureau. The annual report shall

cover the operation of the Trust Fund during the past fiscal year, including income, disbursements, and the financial condition of the Trust Fund at the end of the fiscal year. The annual report shall also contain the information issued in the quarterly reports required pursuant to subsection F of this section as well as a summary of the results of the most recent actuarial valuation to include total assets, total liabilities, unfunded liability or overfunded status, contributions and any other information deemed relevant by the Commission.

SECTION 345. AMENDATORY 74 O.S. 2021, Section 2901.4, is amended to read as follows:

Section 2901.4. A. 1. The Oklahoma Department of Commerce and the Oklahoma Housing Finance Agency shall develop a statewide affordable housing strategy and update such strategy periodically.

2. The strategy shall include the real-time data collected and analyzed on the current condition of affordable housing in Oklahoma.

3. The strategy shall identify needs for affordable housing particularly in nonmetropolitan areas of the state and in areas experiencing growth.

4. The strategy shall be coordinated with federal, state, and local housing providers to leverage new resources for affordable housing in Oklahoma.

B. ~~An initial~~ A report on such housing strategy shall be electronically provided to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Secretary of Commerce no later than January 1, ~~1999, and shall be updated no later than January 1~~ of each year utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 346. AMENDATORY Section 2, Chapter 22, 1st Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section 2903.1), is amended to read as follows:

Section 2903.1. The Oklahoma Homebuilder Program shall be administered by the Oklahoma Housing Finance Agency (OHFA). The program shall create more affordable single family housing units

across the State of Oklahoma. The program shall be a loan program for homebuilders at interest rates as low as zero percent (0%), providing loans to build single family housing units. The program shall fund both urban and rural housing developments across the state. The program shall give preference to applicants seeking to build homes in communities that have been under a federally declared natural disaster within the last twelve (12) months. Additionally, participants in this program shall not be eligible for the Oklahoma Affordable Housing Tax Credit as found in Section 2357.403 of Title 68 of the Oklahoma Statutes. OHFA may promulgate rules to administer the Oklahoma Homebuilder Program. OHFA shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a yearly report beginning July 1, 2024, to the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, the House Appropriations and Budget Chair, and the Senate Appropriations Chair detailing how many awards have been made and how many single family housing units have been built to date, along with other program information deemed relevant by OHFA.

SECTION 347. AMENDATORY Section 4, Chapter 22, 1st Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section 2903.3), is amended to read as follows:

Section 2903.3. The Oklahoma Increased Housing Program shall be administered by the Oklahoma Housing Finance Agency (OHFA). The goal of the program is to help create more affordable housing across the State of Oklahoma. The program shall help both developers and homebuyers. Developers may apply for gap financing in building both single family and multi-family homes across the state. Homebuyers may apply for a grant assisting in making their down payments in purchasing a home. The program shall fund both urban and rural housing developments across the state. The program shall give preference to applicants who are looking to develop or buy housing in communities that have been under a federally declared disaster within the last twelve (12) months. Additionally, participants in the program shall not be eligible for the "Oklahoma Affordable Housing Tax Credit" as found in Section 2357.403 of Title 68 of the Oklahoma Statutes. OHFA may promulgate rules to develop the Oklahoma Increased Housing Program. OHFA shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a yearly report beginning July 1, 2024, to

the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, the House Appropriations and Budget Chair, and the Senate Appropriations Chair detailing how many awards have been made to both developers and to homebuyers, how many additional housing units have been built, along with other program information deemed relevant by OHFA.

SECTION 348. AMENDATORY 74 O.S. 2021, Section 3117, is amended to read as follows:

Section 3117. No agency, constitutionally or statutorily created state board, bureau, commission, office, authority, public trust in which the state is a beneficiary, or interstate commission, except governing boards for entities within The Oklahoma State System of Higher Education, shall establish or increase fees, except during such times as the Legislature is in session, unless specifically mandated by the Legislature or federal legislation, or when the failure to establish or increase fees would conflict with an order issued by a court of law.

Prior to the establishment or increase of a fee, the agency, constitutionally or statutorily created state board, bureau, commission, office, authority, public trust in which the state is a beneficiary, or interstate commission, except governing boards for entities within The Oklahoma State System of Higher Education for which fees are reported pursuant to Section 3218.2 of Title 70 of the Oklahoma Statutes, shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically notify, in writing, the Governor, the Speaker of the House of Representatives, the Government Operations, Agency Oversight and Administrative Rules Committee, and the President Pro Tempore of the Senate of the intended action. The notice shall include justification for the fee or fee increase and all supportive documentation.

SECTION 349. AMENDATORY 74 O.S. 2021, Section 3122, is amended to read as follows:

Section 3122. A. For purposes of the Government Transparency Act of 2019, "state agency" shall have the same meaning pursuant to Section 3301 of Title 74 of the Oklahoma Statutes.

B. Upon the effective date of this act, a state agency entering into a Memorandum of Understanding or Memorandum of Agreement with any agency, department or any organization receiving appropriated money, grants, contracts from the State of Oklahoma, or any other state or funds from the government of the United States shall publish a report on its website and the documents.ok.gov website of all Memorandums of Understanding or Memorandums of Agreement within fifteen (15) business days of the Memorandum's effective date. The report shall contain a detailed accounting of each Memorandum of Understanding or Memorandum of Agreement which shall include:

1. The effective date of the Memorandum of Understanding or Memorandum of Agreement;

2. The duration of the Memorandum of Understanding or Memorandum of Agreement;

3. The entities subject to the Memorandum of Understanding or Memorandum of Agreement;

4. The purpose of the Memorandum of Understanding or Memorandum of Agreement; and

5. The constitutional or statutory provisions allowing for the subject addressed in the Memorandum of Understanding or Memorandum of Agreement.

C. When any state agency enters into a Memorandum of Understanding or Memorandum of Agreement, and when the state Legislature is in session, the state agency shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide the chair of the appropriate legislative committee, based on the subject matter or agency executing the document, with a copy of the Memorandum of Understanding or Memorandum of Agreement.

D. Provided, the state agency may not publish any such report on a Memorandum of Understanding or Memorandum of Agreement that is privileged under law pursuant to the Oklahoma Open Records Act. However, a report shall still be published to indicate what entities are subject to the privileged Memorandum of Understanding or Memorandum of Agreement and its duration.

E. Memorandums of Understanding or Memorandums of Agreement solely between departments or agencies of this state shall cite the state constitutional or statutory authority granted for the subject addressed in the Memorandum of Understanding or Memorandum of Agreement. Memorandums of Understanding or Memorandums of Agreement between any agencies, departments and any organizations receiving appropriated money, grants, contracts from the State of Oklahoma or any other state, or funds from the government of the United States shall cite the authority granted by federal or state statute ~~and/or~~ or in the Constitution of the United States as well as the Constitution of the State of Oklahoma for the subject addressed in the Memorandum of Understanding or Memorandum of Agreement.

SECTION 350. AMENDATORY 74 O.S. 2021, Section 3601.2, is amended to read as follows:

Section 3601.2. A. Beginning July 1, 2013, each agency, board, commission, department, or program in the executive branch of state government shall establish the salary of each of the chief executive officers for which they have appointing authority. Such salary shall be set between the minimum and maximum of the range specified in the annual compensation reports required by paragraph 5 of Section 840-1.6A of this title, for full-time employees only.

B. All increases require certification of the appointing authority that said action can be implemented for the current fiscal year and subsequent fiscal year without the need for additional funding. The agency, board, commission, department, or program shall report increases granted under this section to the Office of Management and Enterprise Services on an annual basis by August 1 of each year. The Office of Management and Enterprise Services shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically forward a report of such increases to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives no later than September 1 of each year.

C. Every three (3) years beginning with fiscal year 2013, the Office of Management and Enterprise Services shall review these salary ranges and report on and make recommendations on proposed salary ranges in its annual compensation reports mandated by paragraph 5 of Section 840-1.6A of this title. Such recommendations

shall be made no later than February 1 for chief executive officers in all state agencies, boards, commissions, departments, or programs in the executive branch of state government, including but not limited to those specified in Section 3601.1 of this title.

SECTION 351. AMENDATORY 74 O.S. 2021, Section 3602, is amended to read as follows:

Section 3602. The following agencies, boards, commissions, departments, and institutions shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a quarterly report with the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate, showing the increase or decrease in employees employed by them during the fiscal quarter immediately preceding the filing of the report:

1. Oklahoma State Regents for Higher Education;
2. Board of Regents of Oklahoma Colleges; and

3. Every institution comprising the Oklahoma State System of Higher Education.

SECTION 352. AMENDATORY 74 O.S. 2021, Section 3917, is amended to read as follows:

Section 3917. A. Any statutory entity enumerated in the Oklahoma Sunset Law shall, if re-created, be placed in this act to be terminated or re-created not more than six (6) years thereafter.

B. The Oklahoma Department of Libraries shall monitor actions of the State Legislature and maintain a list of all agencies, boards, commissions, committees, or other entities created or authorized by law, and all entities created by a Governor's Executive Order. The updated list shall be electronically provided to the Governor, the President Pro Tempore of the Oklahoma Senate, the Speaker of the Oklahoma House of Representatives, and the chairs of the appropriate House or Senate sunset committee within thirty (30) days after sine die adjournment of each legislative session utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 353. AMENDATORY 74 O.S. 2021, Section 5003.7, as last amended by Section 3, Chapter 133, O.S.L. 2025 (74 O.S. Supp. 2025, Section 5003.7), is amended to read as follows:

Section 5003.7. A. The Oklahoma Department of Commerce shall prepare, with the cooperation of the Oklahoma business community, agricultural community, financial community, universities, labor, the state executive and legislative branches, and the Oklahoma Workforce Commission, a five-year economic development plan and annual updates for this state.

1. The purpose of the plan shall be to identify significant economic, social, and demographic trends which may have both short-term and long-term impacts on the state and local economy and to present strategies and recommendations that the state and local political subdivisions might adopt to improve or stabilize the economy.

2. The goals of the plan shall include the development of a diversified state economy; the increase of employment; the maximum use of federal, state, and local funds to achieve the goals or recommendations included in the plan; the maximum investment of capital in the economy of the state; and the improvement of the quality of life in the state.

3. The plan wherever possible shall make recommendations to encourage intergovernmental cooperation and public and private cooperation.

4. The plan shall include an economic development strategy for the state that addresses target industries, site development, and workforce needs to meet the state goals.

5. Copies of the plan and the annual updates shall be submitted electronically to the Oklahoma Advisory Committee on Intergovernmental Relations, the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate and the members of the Legislative Evaluation and Development Committee, as created in Section 5090.1 of this title, utilizing the centralized filing system provided for in Section 378 of this act, and be made

available to the public on the Department's website on the first day of each legislative session.

6. The Department shall develop and manage a complete economic information system which will support the five-year planning process, and which will make available complete and timely information on the state economy. The economic information system shall be operated by public or private Oklahoma universities or an Oklahoma enterprise capable of providing such services in a cost-effective manner.

B. The Chief Executive Officer of the Oklahoma Department of Commerce shall present the strategic plan to the Oklahoma Department of Commerce Board, as created in Section 4 of this act, for approval.

C. The Department, in conjunction with the Oklahoma Development Finance Authority, is authorized to develop an infrastructure program which will enable political subdivisions of this state to finance public works projects in order to modify or improve existing public facilities for purposes of bringing such facilities, and the operation thereof, into compliance with and maintaining compliance with federal, state and local laws and regulations pertaining to the protection of the public health and the environment.

D. The Chief Executive Officer shall develop an annual business plan for the Department. The business plan shall include the need and mission of each division of the Department created by law or the Chief Executive Officer and an analysis of past costs and benefits and future projected costs and benefits to the state of the programs of each division of the Department. The business plan shall be consistent with the goals of the recurring five-year plan specified in this section. The Chief Executive Officer shall distribute copies of the business plan by such means that will make it widely available to communities, firms, and local economic development managers throughout this state.

SECTION 354. AMENDATORY 74 O.S. 2021, Section 5003.9, is amended to read as follows:

Section 5003.9. The Oklahoma Department of Commerce shall submit to the Legislature performance review information for the

programs it operates or funds. This information shall be compiled into a report that shall be electronically submitted to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the ~~Chairman~~ Chair of the Senate Appropriations Committee, and the ~~Chairman~~ Chair of the House of Representatives Appropriations and Budget Committee by February 1 of each year utilizing the centralized filing system provided for in Section 378 of this act. The report shall be designed to assist the appropriation committees in determining funding priorities and should provide the best available information regarding the effectiveness of these programs. This report shall complement the Department's annual budget request.

The report shall be structured so that:

1. The need for the program is clearly established;
2. The goals of the program are clearly defined;
3. Measurable objectives are set forth;
4. Actual performance data is provided and explained;
5. Performance is evaluated against objectives; and
6. Future funding recommendations and program benefits are outlined.

SECTION 355. AMENDATORY 74 O.S. 2021, Section 5003.10, as amended by Section 6, Chapter 377, O.S.L. 2024 (74 O.S. Supp. 2025, Section 5003.10), is amended to read as follows:

Section 5003.10. The Oklahoma Department of Commerce shall have the authority to:

1. Disseminate information concerning the industrial, commercial, governmental, educational, cultural, agricultural, business, and other advantages and attractions of the state;
2. Assist public and private agencies in the preparation of informational and publicity programs designed to attract or retain business and industry for the state;

3. Obligate and expend funds for services performed by local political subdivisions of the state, state agencies, including universities and colleges within and without the state, and federal agencies for research and training in conformity with the general state laws governing such activity; and apply for, accept, administer and expend grants from the federal government and any other public or private sources for research and training purposes;

4. Conduct, publish, and disseminate or encourage research designed to further new and more extensive uses of the natural and other resources of the state and designed to develop and commercialize new products and commercial processes;

5. Study trends and developments in the industries of the state and analyze the reasons underlying such trends; study costs within the state; and make recommendations regarding circumstances promoting or hampering business and industrial development;

6. Generally gather, compile and make available economic analyses and statistical information relating to business, trade, commerce, industry, transportation, communication, natural resources, population, and other like subjects in this state, with authority to call upon other agencies, universities, and colleges of the state for statistical data and results obtained by them, and to arrange and compile such economic analyses and statistical information in such a manner as it deems advisable;

7. Study such other scientific, industrial, financial, and economic issues as, in the judgment of the Department, shall be deemed of value to the people of the state;

8. Support and assist the efforts of state, regional and local development organizations, industrial committees, chambers of commerce, agricultural organizations, labor organizations, and other similar public and private agencies to obtain new and to foster expansion of existing service, industrial and manufacturing facilities, businesses and enterprises; and to foster community improvements in leadership, expertise, human development, infrastructure, public facilities and quality of life; and to expand data availability and utilization opportunities;

9. Maintain a continuing evaluation of the sources available for the financing of the development or expansion of industrial, agricultural, and commercial facilities in this state through both public and private agencies;

10. Assist in obtaining financing for the development and expansion of industrial, agricultural, and commercial facilities in the state;

11. Serve as the state's official liaison agency between persons interested in locating new economic enterprises in Oklahoma and state and local groups seeking new enterprises. In this respect, the Department shall aid communities in organizing for and obtaining new businesses and expanding existing businesses and shall process requests which reflect interest in locating economic enterprises in the state;

12. Promote the sale and facilitate the marketing of Oklahoma products including agricultural and value-added products in the international market;

13. Encourage the location of foreign manufacturing plants and other industries in Oklahoma;

14. Coordinate the international efforts of the various state agencies without violating the individual authority given those agencies by statute;

15. Coordinate and serve as liaison to the private sector as needed;

16. Establish, subject to an annual appropriation or private gifts, offices outside the state boundaries. The offices may be operated by the state or may be operated pursuant to contract which shall not be subject to the competitive bid laws of the State of Oklahoma. The Department shall prepare an annual report concerning the activities of the offices and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit it to the Governor and the Legislature. The Chief Executive Officer of the Oklahoma Department of Commerce shall notify in writing the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives that the Department

intends to establish a new office pursuant to this paragraph at least thirty (30) days prior to the establishment of the new office or execution of a contract;

17. Establish a system of not less than six geographic regions for promoting new or existing businesses, assisting in the expansion of small and medium sized manufacturers through a modernization program, creating new jobs, and assisting local businesses, political subdivisions, or other entities to better utilize the services of the Department;

18. Solicit, accept and expend donations and contributions from any source, whether public or private, in order to advertise, promote or disseminate information which may assist in the recruitment of companies, firms or jobs to Oklahoma, including but not limited to the Oklahoma Quality Jobs Program Act, and any other acts which the Department administers or which may assist the Department in the performance of its mission. The Department shall deposit any funds collected pursuant to this paragraph in the "Oklahoma Department of Commerce Revolving Fund" created by Section 5012 of this title; and

19. Enter into contracts at fair market value for the rental of office space in any facility under its control to entities engaged in activities related to the export of goods produced in Oklahoma. The Department shall deposit any funds collected pursuant to this paragraph in the "Oklahoma Department of Commerce Revolving Fund" created by Section 5012 of this title.

SECTION 356. AMENDATORY 74 O.S. 2021, Section 5003.10a, as amended by Section 7, Chapter 377, O.S.L. 2024 (74 O.S. Supp. 2025, Section 5003.10a), is amended to read as follows:

Section 5003.10a. An office established by the Oklahoma Department of Commerce outside the State of Oklahoma pursuant to paragraph 16 of Section 5003.10 of this title shall not be terminated until the Chief Executive Officer of the Oklahoma Department of Commerce, utilizing the centralized filing system provided for in Section 378 of this act, electronically provides a written report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate of the intent of the Chief Executive Officer to terminate the office.

Termination of the office pursuant to this section shall not occur earlier than sixty (60) days following the date the report is filed as provided in this section. For purposes of this section, "termination" means a reduction in funding for an office or a change in representation.

SECTION 357. AMENDATORY 74 O.S. 2021, Section 5010.3, is amended to read as follows:

Section 5010.3. A. There is hereby created within the Oklahoma Department of Commerce, the Office for Minority and Disadvantaged Business Enterprises. The Director of the Oklahoma Department of Commerce shall appoint a director for the Office for Minority and Disadvantaged Business Enterprises. The appointed director shall employ such persons as are necessary to implement the powers and duties of the Office.

B. In performing the services set out in subsection A of this section, the Office shall:

1. Promote the establishment of minority and disadvantaged businesses with technical assistance;

2. Serve as a focal point and ombudsman in state government for minority and disadvantaged business entrepreneurs and coordinate efforts by state agencies, business development organizations, and the private sector as they relate to the development of minority and disadvantaged business enterprises;

3. Serve as an information clearinghouse and disseminator of data for minority and disadvantaged businessmen by:

- a. compiling and keeping updated a listing of all minority and disadvantaged businesses in the State of Oklahoma,
- b. furnishing to all minority and disadvantaged business enterprises that request it information relating to the state procurement system, state-supported construction, and state-supported subcontracting opportunities, and

- c. upon request by such a businessman, reviewing the licensure process, regulations, and administrative procedures of state agencies relating to private enterprise;

4. Encourage development of capital resources for minority and disadvantaged business entrepreneurs;

5. Strengthen the communication link between minority and disadvantaged businessmen and the Governor's office;

6. Assist business development organizations and activities which require the cooperation of state agencies;

7. Provide assistance to minority and disadvantaged businesses by advising and counseling on all phases of procurement policies, by obtaining information concerning prime contractors in letting subcontracts and by encouraging subcontracting by prime contractors to minority and disadvantaged businesses;

8. Receive funding from sources other than the state to further this assistance;

9. Make studies and conduct workshops, conferences and seminars with owners and employees of minority and disadvantaged businesses to enhance their understanding of business management, bidding, licensing procedures, procurement procedures, and any other activities incident to their positions in business;

10. Develop training and educational programs in cooperation with institutions, associations and other state, local and federal agencies, and coordinate the training efforts of the various organizations presently providing technical assistance to minority and disadvantaged businesses;

11. Encourage and provide the direction and coordination to secure franchises and dealerships from private firms for minority and disadvantaged businesses;

12. Continually evaluate the progress of minority and disadvantaged businesses through monitoring and techniques of evaluations such as surveys and feasibility studies; and

13. Review and evaluate pertinent legislation and determine its effect upon minority and disadvantaged businesses and make appropriate recommendations to the Governor and the Legislature.

C. The Office shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate prior to January 1 of each year. The report shall describe the Office's activities on behalf of minority and disadvantaged businesses, including but not limited to research and development, technical assistance, and dissemination of data and information; furthermore, such report shall make recommendations for strengthening or improving the business climate for minority and disadvantaged businesses in this state through legislation or other means. Additionally, the report shall list all businesses to which assistance was rendered during the period covered by the report and the nature of such assistance.

SECTION 358. AMENDATORY 74 O.S. 2021, Section 5040.4, as amended by Section 7, Chapter 375, O.S.L. 2024 (74 O.S. Supp. 2025, Section 5040.4), is amended to read as follows:

Section 5040.4. A. The State Department of Health shall establish, through a competitive bid process, a statewide program to assist medically indigent residents of Oklahoma to receive prescriptions from drug manufacturer assistance programs.

B. Agencies including, but not limited to, the following shall be encouraged by the Department to submit bids:

1. County offices of the Department of Human Services;
2. County health departments;
3. Community action agencies designated by the Oklahoma Department of Commerce pursuant to Section 5038 of this title;
4. Community mental health centers;
5. Private nonprofit agencies; and

6. Public entities engaged in the delivery of social services.

C. Agencies selected by the Department to provide services pursuant to the Rx for Oklahoma Act shall, at a minimum, demonstrate their ability to:

1. Deliver services in a community or geographic area of the state that is not currently receiving services pursuant to the Rx for Oklahoma Act;

2. Maintain a dedicated telephone line and computer with Internet access with appropriate software during normal business hours; and

3. Have staff or volunteers available who can:

- a. develop and implement community awareness initiatives about the prescription assistance services offered by the agency,
- b. determine whether a pharmaceutical program is offered for the drug or drugs a person needs,
- c. determine whether a person is eligible for assistance through a pharmaceutical program,
- d. assist a person to make application to and enroll in a pharmaceutical assistance program,
- e. keep accurate records of the number of clients served,
- f. maintain the confidentiality of all client information including, but not limited to, the client's identity, application information, and other records, and
- g. estimate the value of prescriptions provided to clients under the program.

D. Eligibility for the Rx for Oklahoma Act shall be residents of Oklahoma who:

1. Are medically indigent; or

2. Are not medically indigent but cannot reasonably afford to pay for prescription medications.

E. The State Department of Health shall promulgate rules or establish procedures necessary to implement the program established by the Rx for Oklahoma Act and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Legislature and the Governor no later than January 1 of each year. The report shall include, but not be limited to, the following:

1. A listing of entities awarded grants and the amount of each award;

2. The number of residents served who were eligible for a drug manufacturer assistance program and the average amount of savings per resident;

3. The number of residents who sought assistance pursuant to the Rx for Oklahoma Act, but were determined not to be eligible for a drug manufacturer assistance program; and

4. A report by the Department of total expenditures. Included within the report shall be a summary of each grantee's administrative, personnel, and direct services expenditures by category relative to the grantee's administration of the program.

SECTION 359. AMENDATORY 74 O.S. 2021, Section 5060.22, is amended to read as follows:

Section 5060.22. A. The Oklahoma Science and Technology Research and Development Board is authorized and instructed to, utilizing the centralized filing system provided for in Section 378 of this act, electronically make an annual report no later than November 1 to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives that shall describe the accomplishments, the expenditures, and the activities of the prior fiscal year. The report shall include elements the Board identifies as hampering the state's economic progress and recommendations for changes. The report shall include an

independent audit in accordance with auditing standards generally accepted in the United States and the standards applicable to financial audits contained in Government Auditing Standards, latest revised edition, issued by the Comptroller General of the United States, which shall examine, among other things, actions governed by the administrative policies adopted by the Board on behalf of the Oklahoma Center for the Advancement of Science and Technology. The annual report shall specifically account for the ways in which the need, mission and programs of the Center have been carried out, including but not limited to a review of the results of the operations and transactions according to objective measures set forth in the business plan. The report shall recommend specific changes in the activities of the Center which are necessary to better carry out the need and mission described in the Oklahoma Center for the Advancement of Science and Technology Act. The Board shall distribute its annual report by such means that will make it widely available to those innovative enterprises of special importance to the Oklahoma economy.

B. The Board shall annually review and prepare a report showing how and at what level other states fund technology-based economic development programs. The Board shall recommend an appropriate funding level for Oklahoma which will make these programs nationally competitive with those of other states. The Board's findings and recommendations shall be included in the annual report to be submitted to the Governor and the Legislature.

C. The Center shall adopt a threshold funding level for each of the programs provided for by law. The threshold amount shall provide for funding that is great enough to have a significant impact and carry out the intent of the Legislature. If the funding for these programs falls below the threshold, then no funding shall be provided by the Center to the program funded below threshold level.

D. The Board, on behalf of the Center, shall fund areas of research and development that the Board selects as most likely to stimulate information technology, biotechnology, genetics, meteorology and climate studies, and emerging or developing technology and related jobs; foster patents; result in new patents, copyrights, trademarks, and licenses of value; pursue world-class research teams that support the state's primary economic development

thrusts or focus areas; and stimulate private and public investments with the intent to encourage economic development in Oklahoma.

SECTION 360. AMENDATORY 74 O.S. 2021, Section 5062.19, is amended to read as follows:

Section 5062.19. A. Within sixty (60) days after the end of each fiscal year, the Oklahoma Development Finance Authority shall, in its annual report, account for:

1. The manner in which the purpose as described in Section 5062.1 et seq. of this title has been carried out by the Oklahoma Development Finance Authority;

2. A list of all bonds issued by the Authority and an itemized list of costs of issuance and an evaluation of the extent to which the purposes of the bond proceeds have been realized;

3. A list of all loans made by the Authority and a description of projects financed;

4. Documentation and estimates of jobs created and jobs preserved as a result of loans made by the Authority;

5. Estimates of the multiplier effects on the local ~~and/or~~ or statewide economy of loans made by the Authority;

6. An analysis by size, sector, and location of the targeting of loans by the Authority to agricultural enterprises, industrial enterprises, and to the state and any of its political subdivisions;

7. A preliminary financial report showing the financial condition of the Authority at the end of the fiscal year; provided, an independent audit in accordance with generally accepted accounting principles shall be undertaken by an accounting firm or individual holding a permit to practice public accounting in this state and shall be electronically submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, Oklahoma Futures, and the Office of the State Auditor and Inspector utilizing the centralized filing system provided for in Section 378 of this act and in accordance with the requirements

set forth for financial statement audits in Section 212A of this title. The audit shall include:

- a. a statement of the aggregate dollar amount, if any, of obligations which are backed by the Credit Enhancement Reserve Fund and which are more than ninety (90) days delinquent in their payments, ~~and~~
- b. a statement of payments made from the Credit Enhancement Reserve Fund, and
- c. a statement on the loss rate percentage derived by dividing the outstanding principal balance of unpaid obligations of the Credit Enhancement Reserve Fund by the amount of payments made from the fund during the fiscal year; and

8. Policy recommendations for programs which will enhance the economic growth and development of the state.

B. All public accountants and certified public accountants, as a condition of being approved by the Oklahoma Development Finance Authority to perform the annual independent audit required pursuant to this section, shall comply with the most recent "Governmental Auditing Standards" of the Standards for Audit of Governmental Organizations, Programs, Activities, and Functions, issued by the United States General Accounting Office. A copy of the peer review performed in accordance with the above standards shall be filed with the Authority. Should the results of the peer review indicate that material deficiencies exist in the audit work performed by the reviewed auditing firm, the Oklahoma State Board of Public Accountancy shall so notify the Authority, which shall immediately remove the reviewed firm from any approved list of auditors maintained by the Authority for a period of at least two (2) years or until such time as the firm has demonstrated satisfactory correction of the deficiencies reported in the peer review.

SECTION 361. AMENDATORY 74 O.S. 2021, Section 5066.7, is amended to read as follows:

Section 5066.7. The Director of the Oklahoma Department of Commerce shall, utilizing the centralized filing system provided for

in Section 378 of this act, electronically submit an annual report on or before December 31 of each year to the Governor and the Oklahoma State Legislature which shall include but not be limited to:

1. The number of products and description thereof of products developed to the commercial stage; and
2. The total fees collected and donations received.

SECTION 362. AMENDATORY 74 O.S. 2021, Section 5079, is amended to read as follows:

Section 5079. On or before December 31 of each year, the Director of the Oklahoma Department of Commerce shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report to both the Speaker of the House of Representatives and the President Pro Tempore of the Senate which shall include, but not be limited to:

1. The number of applications for incubators submitted;
2. The number of applications for incubators approved;
3. The number of incubators created under this act;
4. The number of tenants occupying each incubator;
5. The number of jobs provided by each incubator and tenants of each incubator; and
6. The number of firms still operating in the state after ending their tenancy in incubators and the number of jobs they have provided.

SECTION 363. AMENDATORY 74 O.S. 2021, Section 5156, is amended to read as follows:

Section 5156. A. Partnership contracts shall be signed by both the Director of the Office of Management and Enterprise Services (OMES) and the authorized representative of the responsible state

agency for which the public service at issue in the contract relates.

B. The Director of OMES is authorized to receive and deposit any money received under the contract. Any such contract shall be sufficient to effect its purpose notwithstanding any provision of law to the contrary, including other laws governing the sale, lease or other disposition of property or interests therein, service contracts or financial transactions by or for the state.

C. The Office of Public-Private Partnerships shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a report to the Speaker of the House of Representatives and the President Pro Tempore of the Senate explaining the value of the contract to the state and describing the procurement process by which the contract was reached.

SECTION 364. AMENDATORY 74 O.S. 2021, Section 5402, is amended to read as follows:

Section 5402. A. The purpose of the Oklahoma Strategic Military Planning Commission shall be to analyze state policies affecting military facilities currently in use by the United States Department of Defense and the Oklahoma Army and Air National Guard located within the state and such infrastructure as may support or be affected by these Department of Defense or National Guard facilities or any activity therein. Provided further that the Commission may assist financially with projects designed to enhance the operation, security, or support of such facilities and associated activities, pursuant to the provisions of Section 5403 of this title. The Commission shall also examine methods for improving the private sector market value or potential for such military facilities.

B. The Commission shall advise and recommend to the Governor and to the Legislature, by reporting to the Speaker of the House of Representatives and the President Pro Tempore of the Senate, state policies which would:

1. Prevent Oklahoma's military facilities from being targeted for closing or downsizing;

2. Maximize Oklahoma's input into the federal base closing and realignment process;

3. Protect, to the greatest extent possible, the interests of the communities and residents of areas located within and adjacent to such military facilities in connection with such process;

4. Mitigate the effect of a reduction in military personnel housed or assigned to such facilities, reduction in military activity associated with such facilities, or other changes in either civilian or military activity which have the potential to reduce employment, business activity, personal income, or other economic growth in the affected areas; and

5. Encourage and facilitate the relocation of mission responsibilities and resources to Oklahoma military facilities from military bases located outside Oklahoma.

C. Responsibility for the administrative direction, coordination and support of the Commission shall be with the Office of the Governor.

D. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual written report of its findings, conclusions and recommendations to the Governor, the Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the Oklahoma State Senate not later than December 31.

E. The Oklahoma Department of Commerce, the Oklahoma Tax Commission, the Oklahoma Employment Security Commission, and other agencies of state government shall provide such assistance to the Commission as the Commission may require in order to perform the duties imposed upon it.

F. Members of the Commission shall be reimbursed by their appointing authority, except that members appointed from the municipalities shall be reimbursed by the Oklahoma Department of Commerce, for travel to meetings of the Commission pursuant to the State Travel Reimbursement Act.

Legislators who serve as members of the Commission shall be reimbursed for travel to meetings pursuant to Section 456 of Title 74 of the Oklahoma Statutes.

SECTION 365. AMENDATORY 74 O.S. 2021, Section 6112, is amended to read as follows:

Section 6112. ~~A.~~ The Red River Boundary Commission shall confer and act in conjunction with the representatives to be appointed on behalf of the State of Texas for the following purposes:

1. To evaluate the methods, surveys, historical maps, and other information used to establish the boundary line between this state and the State of Texas in the Texoma Area, as such area is defined in the Texoma Area Boundary Agreement;

2. To determine the location of the south bank of the Red River as the bank was located and marked by the United States Army Corps of Engineers before the beginning of construction of Lake Texoma, in accordance with subsection C of Article II of Section 6106 of Title 74 of the Oklahoma Statutes;

3. To redraw the boundary line between this state and the State of Texas on any real property for which the United States Army Corps of Engineers granted an easement, prior to August 31, 2000, to at least two districts or authorities created under Section 59 of Article XVI of the Texas Constitution for the construction, operation, and maintenance of a water pipeline and related facilities in the Texoma Area in order to negate any effects the boundary as it is currently drawn has on property interests associated with such easements in the Texoma Area, and to redraw the boundary on such real property so that there is no net loss of property between either state so as to ensure that the redrawn boundary does not increase the political power or influence of either state, in accordance with:

- a. the Lake Texoma preconstruction survey of the south bank of the Red River prepared by the United States Army Corps of Engineers, or

- b. other historical records or documentation of the United States Army Corps of Engineers identifying the location of the south bank of the Red River, if the survey described by subparagraph a of this paragraph is unavailable;

4. To hold hearings and conferences in this state and in the State of Texas as necessary to accomplish the purposes of this act; and

5. To take other action, alone or in cooperation with the State of Texas or the United States, necessary to accomplish the purposes of this act.

~~B. No later than January 15, 2022, the Commission shall report to the Governor, the Lieutenant Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and appropriate committees of the Legislature the Commission's findings and recommendations concerning joint action by this state and the State of Texas regarding the amendment of the Texoma Area Boundary Agreement to incorporate the boundary between this state and the State of Texas in the Texoma Area as redrawn. No later than July 30, 2025, the Commission shall issue a final report to the Governor, the Lieutenant Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and appropriate committees of the Legislature.~~

SECTION 366. AMENDATORY 74 O.S. 2021, Section 8303, is amended to read as follows:

Section 8303. A. There is hereby created within the Oklahoma Department of Commerce the Rural Action Partnership Program.

B. The Rural Action Partnership Program shall be responsible for coordinating and assisting in:

1. Establishing a statewide toll free telephone program to serve as a point of first contact between persons, business entities, groups, associations, organizations, state and local government officials, and others for purposes of facilitating contact with service providers, providing information regarding primarily rural economic development entities, programs, resources,

and activities and to provide assistance to persons, firms and representatives of governmental entities attempting to establish or expand a for-profit business in a rural area of the state;

2. Assisting in the coordination of primarily rural economic development programs offered within the state;

3. Administering a rural economic development and employer regional outreach program that divides the state into at least four areas with each such area to be served by at least one rural regional economic development coordinator who shall assist in the establishment and coordination of rural economic development partnerships;

4. The accumulation and organization of information to be used as a rural economic development resource database, including, but not limited to, contact information for persons, firms, groups, organizations and others involved in rural economic development issues, availability of federal, state and local incentive programs, and, subject to available funding, the development and maintenance of a rural development Internet web site to promote access to such information;

5. A comprehensive survey of natural resources located or available in primarily rural areas of the state in order to match potential value-added business activity with such resources;

6. The sponsorship, with key economic development partners, of periodic rural development summits or conferences for purposes of communicating about the existence of the Rural Action Partnership Program, availability of assistance, development of additional services consistent with the mission of the Program and such matters as may be conducive to improving the delivery of services with respect to rural development programs and rural economic development; and

7. Providing such services and developing such programs, functions or initiatives that may be necessary for or that would promote the development of rural resources and the rural economy.

C. The mission of the Rural Action Partnership Program shall be to foster healthy and sustainable rural communities through small business retention, expansion, and entrepreneurial development.

D. The primary emphasis for the regional economic development outreach specialists shall be to serve the needs of the communities or regions with declining populations or with economic indicators that suggest additional information and resources would be of benefit to improve the economic conditions of such community.

E. The Oklahoma Department of Commerce, in support of the mission of the Rural Action Partnership Program, may request the assistance of the Oklahoma Water Resources Board, Department of Environmental Quality, Oklahoma Corporation Commission, Oklahoma Tax Commission, Oklahoma Employment Security Commission, Oklahoma Department of Agriculture, Food, and Forestry, Oklahoma Department of Tourism, Department of Transportation, the Oklahoma State Regents for Higher Education, the Oklahoma Department of Career and Technology Education, or such other agencies, boards, commissions, departments, or other entities of state government as may be required in order to assist with the implementation of the programs for which the Rural Action Partnership Program is responsible.

F. The Oklahoma Department of Commerce shall conduct an annual evaluation of the Rural Action Partnership Program. Not later than December 31, 2007, and not later than December 31 annually thereafter, the Executive Director of the Oklahoma Department of Commerce shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically make a report regarding the actions and functions of the Rural Action Partnership Program to the Governor, Speaker of the Oklahoma House of Representatives, and the President Pro Tempore of the State Senate. The report shall summarize the activity and results of the Program and may contain recommendations for changes in the functions of the Program, including changes in funding.

SECTION 367. AMENDATORY 74 O.S. 2021, Section 9053, is amended to read as follows:

Section 9053. A. In addition to all other powers expressly conferred upon the Oklahoma Development Finance Authority pursuant to Section 5062.8 of Title 74 of the Oklahoma Statutes, the

Authority is hereby authorized and empowered to take the following action:

1. To provide, with assistance from the Public Utility Division of the Oklahoma Corporation Commission, a pooled loan program for the efficient financing of qualified costs of unregulated utilities pursuant to Section 6 of this act for the purposes of mitigating the significant impact of extreme purchase costs and extraordinary costs to customers of an unregulated utility;

2. To assess an administrative fee for the costs associated with the Authority carrying out its power and duties under this act; and

3. To do all things necessary or convenient to carry out the powers expressly granted in this act.

B. The Authority shall take the following action:

1. To, utilizing the centralized filing system provided for in Section 378 of this act, electronically notify the Governor, President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Oklahoma Corporation Commission upon issuance of a loan pursuant to this act. The notification shall be in writing and include the amount and terms of the loan; and

2. To prepare a report annually regarding financing activity related to the provisions of this act to be electronically submitted to the Governor, the Attorney General, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives as of December 1 each year, utilizing the centralized filing system provided for in Section 378 of this act, until the debt is retired.

SECTION 368. AMENDATORY 74 O.S. 2021, Section 9076, is amended to read as follows:

Section 9076. A. In addition to all other powers expressly conferred upon the Oklahoma Development Finance Authority pursuant to Section 5062.8 of Title 74 of the Oklahoma Statutes, the Authority is hereby authorized and empowered to take the following actions:

1. To issue ratepayer-backed bonds as provided in this act;

2. To establish and adjust from time to time the actual cost of an administrative fee for the costs associated with the Authority carrying out its power and duties under this act, to include costs of the Corporation Commission incurred under Section 4 of this act. The fee shall be included in the calculation of utility customer payments created by the financing order; and

3. To do all things necessary or convenient to carry out the powers expressly granted in this act.

B. The Authority shall take the following actions:

1. To, utilizing the centralized filing system provided for in Section 378 of this act, electronically notify the Governor, President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Oklahoma Corporation Commission upon issuance of a ratepayer-backed bond. The notification shall be in writing and include the amount and terms of the bond; and

2. To prepare a report annually regarding the bond activity related to the provisions of this act, to be electronically submitted to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the Attorney General, and the Oklahoma Corporation Commission as of December 1 each year, utilizing the centralized filing system provided for in Section 378 of this act, until the debt is retired.

SECTION 369. AMENDATORY Section 5, Chapter 229, O.S.L. 2022, as amended by Section 1, Chapter 336, O.S.L. 2023 (74 O.S. Supp. 2025, Section 9204), is amended to read as follows:

Section 9204. A. There is hereby created until June 30, 2028, the Oklahoma Broadband Office, to serve as the state's sole administrator of the functions, powers, and duties assigned to the Office in the Oklahoma Broadband Expansion Act or under law. Effective June 30, 2028, the Office shall terminate and all personnel positions shall be abolished. The Office shall utilize the year prior to the termination date for the purpose of ceasing the Office's affairs.

B. The Office shall receive administrative assistance from the Office of Management and Enterprise Services (OMES), which shall provide, through existing OMES resources, administrative assistance upon request in writing or electronic correspondence from the Office's Executive Director. OMES shall provide assistance in the manner requested within thirty (30) days of determination by the Agency that the request is able to be fulfilled. If for any reason the request cannot be fulfilled within thirty (30) days, the Office and OMES shall enter into a written agreement expressing an agreed upon timeline for fulfilling the needs of the Office. In the event that the request cannot be fulfilled, OMES shall respond in writing within ten (10) days of the request providing the reasoning for denial. If the request cannot be fulfilled utilizing existing resources, OMES may charge the Office for the actual cost to fulfill the request.

C. The Office shall be governed by the Broadband Governing Board, created pursuant to Section 9202 of this title.

D. The Office shall be advised by the Broadband Expansion Council, created pursuant to Section 9203 of this title.

E. The Office shall have an Executive Director who shall oversee the operations of the Office including, but not limited to:

1. Overseeing the creation, maintenance, and completion of the Statewide Broadband Plan;

2. Communicating the state's progress in achieving the goals and implementation of the Statewide Broadband Plan;

3. The creation, housing, and updating of a statewide broadband services map;

4. Overseeing of grant applications and awards for connectivity and affordability projects;

5. Making recommendations to the Board regarding procedural and administrative rules for the Office; and

6. Employment and management of Office staff subject to the limitations and requirements of the Oklahoma Broadband Expansion Act

and subject to the limitations and requirements of the Broadband Governing Board.

F. The Executive Director shall regularly report to the Council and the Board and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit an annual report to the Office of the Speaker of the House of Representatives and the Office of the President Pro Tempore of the Senate.

G. The Office may hire legal counsel as it is deemed necessary by the hiring entity. The Office shall be subject to the provisions of Section 20i of this title.

SECTION 370. AMENDATORY Section 6, Chapter 229, O.S.L. 2022 (74 O.S. Supp. 2025, Section 9205), is amended to read as follows:

Section 9205. A. The Oklahoma Broadband Office shall:

1. Conduct a study of and continually monitor broadband access in the state to assess:

- a. existing capabilities to access broadband telecommunication services,
- b. the costs of obtaining broadband services from existing providers,
- c. the estimated cost to improve broadband access, and
- d. the likelihood of changes in broadband access in the near and intermediate future based on available information regarding public and private programs to enhance access and adoption; and

2. Maintain, update, and execute the Statewide Broadband Plan as necessary.

B. The Office shall incorporate the information as described in subsection A of this section into a mapping system that depicts resources, broadband coverage, connectivity speeds, and other such

features as the Office deems relevant. The Office may also purchase data sets it deems necessary to complete such mapping system.

C. The Office shall establish policies and regulations as may be necessary to implement the provisions of this act.

D. The Office shall establish policy as needed to implement a process whereby impacted parties may challenge or protest data and information published on the Office's mapping system. The process shall include, but not be limited to, features that:

1. Are heard and ruled on at the Office level;

2. Provide for a ruling by the Office within sixty (60) days of the submitted challenge or protest; and

3. Upon successful protest action, result in a timely correction of the map.

E. The Office shall perform and maintain a study of existing grants, incentives, and programs that may improve physical access to broadband along with adoption of broadband technologies. The grants, incentives, and programs may include federal funds, state funds or resources, tribal funds or resources, donated funds, or funding available from foundations, endowments or similar resources, state or local tax incentives, state or local financing incentives or options, or federal, tribal, state, or local regulatory policies that would be conducive to improving existing broadband access or establishing access where it does not currently exist. The Office shall regularly report on the currently available grants, incentives, and programs and how best to utilize each.

F. The Office shall create, and update no less than biannually, a Statewide Broadband Plan. The Plan shall detail what areas are served, underserved, or unserved according to the prevailing definitions of the FCC, and how best to improve the infrastructure and connectivity in underserved and unserved areas. The Plan shall include, but shall not be limited to, detailing a pathway for ninety-five percent (95%) of the state's population to be adequately served by June 30, 2028.

G. The Office shall create the Capital Projects Fund Grant Report or provide the necessary information to the state entity drafting the Report. The Report shall be submitted to the Department of the Treasury no later than September 24, 2022. The Office shall maintain the Report and submit any and all additional information as required. The Office shall work with the Joint Committee to ensure all approved broadband projects utilizing funds from the Capital Projects Fund follow the correct reporting requirements based on Department of Treasury guidance.

H. Additionally, the Office is authorized to seek, apply for, and administer funding through grant opportunities. The Office is also authorized to administer grant funding awards to recipients and subrecipients.

~~I. On or before October 31, 2022, the Office, with the advice of the Council, shall develop a set of broadband grants or incentive awards guidelines to be approved by the Board. The grants and incentive awards shall be for unserved and underserved areas. The Office shall submit a copy of the guidelines to the Office of the Speaker of the Oklahoma House of Representatives, the Office of the President Pro Tempore of the Oklahoma State Senate, and to the offices of the chairs of the appropriate legislative committees. The guidelines shall:~~

~~1. Consider a weighted approach for awards based upon the following:~~

- ~~a. the area's need for services, including, but not limited to, whether the area is underserved or unserved,~~
- ~~b. whether there are existing broadband assets in the area, based on the statewide map,~~
- ~~c. whether existing federal, state, local, tribal, or private resources have been allocated to broadband services in the area,~~
- ~~d. a preference for federal, state, local, tribal, or private partnerships, and~~

~~e. the capacity of the provider to maintain assets for an extended period of time;~~

~~2. Recommend any necessary controls including, but not limited to, capping the dollar amount of awards, allowing for an auditing process, and a process that allows for award clawbacks. These controls shall be in place to ensure the maximum efficiency of the incentive award and to protect against waste, fraud, or abuse; and~~

~~3. Include annual reporting requirements of award recipients to assess effectiveness of such incentives which shall include, but not be limited to, changes in coverage resulting from implementing awarded grants and incentives.~~

SECTION 371. AMENDATORY Section 3, Chapter 231, O.S.L. 2022 (74 O.S. Supp. 2025, Section 12003), is amended to read as follows:

Section 12003. A. 1. The Treasurer shall prepare and maintain and provide to each state governmental entity a list of financial companies that boycott energy companies. In maintaining the list, the Treasurer may:

- a. review and rely, as appropriate in the Treasurer's judgment, on publicly available information regarding financial companies including information provided by the state, nonprofit organizations, research firms, international organizations, and governmental entities, and
- b. request written verification from a financial company that it does not boycott energy companies and rely, as appropriate in the Treasurer's judgment and without conducting further investigation, research, or inquiry, on a financial company's written response to the request.

2. A financial company that fails to provide to the Treasurer a written verification under subparagraph b of paragraph 1 of this subsection before the sixty-first day after receiving the request from the Treasurer is presumed to be boycotting energy companies.

3. The Treasurer shall update the list annually or more often as the Treasurer considers necessary, but not more often than quarterly, based on information from, among other sources, those listed in subparagraph a of paragraph 1 of this subsection.

4. Not later than the thirtieth day after the date the list of financial companies that boycott energy companies is first provided or updated, the Treasurer shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file the list with the presiding officer of each house of the Legislature and the Attorney General and post the list on a publicly available Internet website.

5. The Treasurer may retain third-party consultants to assist in the implementation of the provisions of this act.

B. Not later than the thirtieth day after the date a state governmental entity receives the list provided under paragraph 1 of subsection A of this section, the state governmental entity shall notify the Treasurer of the listed financial companies in which the state governmental entity owns direct holdings or indirect holdings.

C. 1. For each listed financial company identified under paragraph 1 of subsection A of this section, the state governmental entity shall send a written notice:

- a. informing the financial company of its status as a listed financial company,
- b. warning the financial company that it may become subject to divestment by state governmental entities after the expiration of the period described by paragraph 2 of this subsection, and
- c. offering the financial company the opportunity to clarify its activities related to companies described by paragraph 1 of subsection A of this section.

2. Not later than the ninetieth day after the date the financial company receives notice under paragraph 1 of this subsection, the financial company shall cease boycotting energy

companies to avoid qualifying for divestment by state governmental entities.

3. If, during the time provided by paragraph 2 of this subsection, the financial company ceases boycotting energy companies, the Treasurer shall remove the financial company from the list maintained under paragraph 1 of subsection A of this section, and this subsection will no longer apply to the financial company unless it resumes boycotting energy companies.

4. If, after the time provided by paragraph 2 of this subsection expires, the financial company continues to boycott energy companies, the state governmental entity shall sell, redeem, divest, or withdraw all publicly traded securities of the financial company, except securities described by subsection E of this section, according to the schedule provided under subsection D of this section.

D. 1. A state governmental entity required to sell, redeem, divest, or withdraw all publicly traded securities of a listed financial company shall comply with the following schedule:

- a. at least fifty percent (50%) of those assets shall be removed from the state governmental entity's assets under management not later than the one-hundred-eightieth day after the date the financial company receives notice pursuant to paragraph 1 of subsection C of this section unless the state governmental entity determines, based on a good-faith exercise of its fiduciary discretion and subject to subparagraph b of this subsection, that a later date is more prudent, and
- b. one hundred percent (100%) of those assets shall be removed from the state governmental entity's assets under management not later than the three-hundred-sixtieth day after the date the financial company receives notice pursuant to paragraph 1 of subsection C of this section.

2. If a financial company that ceased boycotting energy companies after receiving notice pursuant to paragraph 1 of

subsection C of this section resumes its boycott, the state governmental entity shall send a written notice to the financial company informing it that the state governmental entity will sell, redeem, divest, or withdraw all publicly traded securities of the financial company according to the schedule in paragraph 1 of subsection D of this section.

3. Except as provided by paragraph 1 of subsection D of this section, a state governmental entity may delay the schedule for divestment under that subsection only to the extent that the state governmental entity determines, in the state governmental entity's good-faith judgment, and consistent with the entity's fiduciary duty, that divestment from listed financial companies will likely result in a loss in value or a benchmark deviation described by paragraph 1 of subsection F of this section.

4. If a state governmental entity delays the schedule for divestment, the state governmental entity shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report to the Treasurer, the presiding officer of each house of the Legislature, and the Attorney General stating the reasons and justification for the delay in divestment by the state governmental entity from listed financial companies. The report shall include documentation supporting its determination that the divestment would result in a loss in value or a benchmark deviation described by paragraph 1 of subsection F of this section including objective numerical estimates. The state governmental entity shall update the report every six (6) months.

E. A state governmental entity is not required to divest from any indirect holdings in actively or passively managed investment funds or private equity funds. The state governmental entity shall submit letters to the managers of each investment fund containing listed financial companies requesting that they remove those financial companies from the fund or create a similar actively or passively managed fund with indirect holdings devoid of listed financial companies. If a manager creates a similar fund with substantially the same management fees and same level of investment risk and anticipated return, the state governmental entity may replace all applicable investments with investments in the similar fund in a time frame consistent with prudent fiduciary standards but

not later than the four-hundred-fiftieth day after the date the fund is created.

F. 1. A state governmental entity may cease divesting from one or more listed financial companies only if clear and convincing evidence shows that:

- a. the state governmental entity has suffered or will suffer a loss in the value of assets under management by the state governmental entity as a result of having to divest from listed financial companies under this subsection, or
- b. an individual portfolio that uses a benchmark-aware strategy would be subject to an aggregate expected deviation from its benchmark as a result of having to divest from listed financial companies under this subsection.

2. A state governmental entity may cease divesting from a listed financial company as provided by this section only to the extent necessary to ensure that the state governmental entity does not suffer a loss in value or deviate from its benchmark as described by paragraph 1 of this subsection.

3. Before a state governmental entity may cease divesting from a listed financial company under this section, the state governmental entity shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a written report to the Treasurer, the presiding officer of each house of the Legislature, and the Attorney General setting forth the reason and justification, supported by clear and convincing evidence, for deciding to cease divestment or to remain invested in a listed financial company. The state governmental entity shall update the report required by this subsection semiannually, as applicable.

4. This section does not apply to reinvestment in a financial company that is no longer a listed financial company.

G. Except as provided in subsection F of this section, a state governmental entity shall not acquire securities of a listed financial company.

SECTION 372. AMENDATORY Section 4, Chapter 231, O.S.L. 2022 (74 O.S. Supp. 2025, Section 12004), is amended to read as follows:

Section 12004. A. Not later than January 1 of each year, each state governmental entity shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file a publicly available report with the Treasurer, the presiding officer of each house of the Legislature, and the Attorney General that:

1. Identifies securities sold, redeemed, divested, or withdrawn in compliance with subsection D of Section 3 of this act;
2. Identifies prohibited investments under subsection F of Section 3 of this act; and
3. Summarizes any changes made under subsection E of Section 3 of this act.

B. The Attorney General may bring any action necessary to enforce the Energy Discrimination Elimination Act of 2022.

SECTION 373. AMENDATORY 75 O.S. 2021, Section 250.6, is amended to read as follows:

Section 250.6. A. 1. The Commission for Human Services may promulgate a preemptive rule pursuant to the provisions of this section:

- a. when the Commission for Human Services is required by federal law, federal rules, a state law enacted pursuant to federal law or federal rule, or order of a court of competent jurisdiction to adopt a rule, or an amendment, revision, or revocation of an existing rule, and

- b. which if such rule is not immediately adopted would result in the imposition of a financial penalty, or a reduction, withholding, or loss of federal funds.

2. A preemptive rule ~~must~~ shall be approved by the Governor pursuant to this section.

3. The website of the Commission shall provide a link to the website of the Secretary of State where the preemptive rules of the Commission are published.

4. The conditions specified in this subsection for the promulgation of a preemptive rule shall be the only conditions authorized for promulgation of such rule by the Commission for Human Services.

B. 1. Upon the adoption of such preemptive rule by the Commission, the Director of the Department of Human Services shall request the Governor to approve the rules on the basis that such rules are required to comply with a federal law, federal rule, a state law enacted pursuant to federal law or rule, or order of a court of competent jurisdiction and which if such rules are not immediately adopted would result in a financial penalty, or a reduction, withholding, or loss of federal funds.

2. Upon the filing of the request for approval of a preemptive rule, the Governor shall review such rule and decide as to whether such rule should be approved. Prior to approval of a preemptive rule, the Governor shall submit the preemptive rule to the Office of the Secretary of State for review of proper formatting unless the preemptive rule has been reviewed by the Office prior to agency submission to the Governor. Failure of the Governor to approve such rule within twenty-eight (28) calendar days shall constitute denial of the rule as a preemptive rule.

3. Upon approval of a preemptive rule, the Governor shall immediately notify the Commission. Upon receipt of notice of the approval of the preemptive rule, the Commission shall file the number of copies specified by the Secretary of the approval issued by the Governor and the number of copies specified by the Secretary of the preemptive rule with the Office pursuant to Section 251 of this title.

4. The preemptive rule shall be published in accordance with the provisions of Section 255 of this title in "The Oklahoma Register" following approval by the Governor. The Governor's approval and the approved rules shall be retained as official records by the Office of Administrative Rules.

5. For informational purposes only, a copy of the Governor's approval and the preemptive rule shall be electronically submitted by the Commission to the Speaker of the House of Representatives and the President Pro Tempore of the Senate within ten (10) days of the approval of the preemptive rule by the Governor utilizing the centralized filing system provided for in Section 378 of this act.

6. Upon approval by the Governor, the rule shall be considered promulgated and shall be in force immediately, or if a later date is required by statute or specified in the rule, the later date is the effective date.

C. A preemptive rule shall be considered to be a permanent rule and shall remain in full force and effect unless and until specifically disapproved during the first thirty (30) legislative days of the next regular legislative session following promulgation of such preemptive rule or unless an earlier expiration date is specified by the Commission. The Legislature may disapprove such rule pursuant to Section 308 of this title. Any resolution introduced for the purpose of disapproving such rule shall not be subject to regular legislative cut off dates.

D. Except as otherwise provided by this section, preemptive rules shall be promulgated and published in compliance with Article I of the Administrative Procedures Act. Preemptive rules promulgated pursuant to the provisions of this section shall be exempt from the provisions of Sections 253, 303, 303.1, 303.2, 304, 308 and 308.1 of this title.

SECTION 374. AMENDATORY 75 O.S. 2021, Section 252, is amended to read as follows:

Section 252. A. Any rule, amendment, revision, or revocation of an existing rule made by an agency on or after October 16, 1987, may be held void and of no effect pursuant to Sections 306 and 307

of this title. All provisions herein shall also apply to all agencies that may hereafter be created. All courts, boards, commissions, agencies, authorities, instrumentalities, and officers of the State of Oklahoma shall take judicial or official notice of any rule, amendment, revision, or revocation of an existing rule promulgated pursuant to the provisions of the Administrative Procedures Act.

B. Upon failure of an agency to comply with the provisions of Sections 251 through 256 of this title except when not applicable, the Secretary shall forward a written notice of the failure to comply to the chief administrative officer of the agency. The notice shall state a reasonable time, not to exceed thirty (30) calendar days, in which the agency shall fully comply. Further failure to comply shall be electronically reported in writing to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the Governor, and the Attorney General utilizing the centralized filing system provided for in Section 378 of this act. Upon such notification, the Attorney General shall immediately seek agency compliance and if required, to institute mandamus proceedings to secure compliance by said agency.

SECTION 375. AMENDATORY 75 O.S. 2021, Section 253, as last amended by Section 6, Chapter 258, O.S.L. 2025 (75 O.S. Supp. 2025, Section 253), is amended to read as follows:

Section 253. A. 1. If an agency finds that a rule is necessary as an emergency measure, the rule may be promulgated pursuant to the provisions of this section, if the rule is first approved by the Governor. The Governor shall not approve the adoption, amendment, revision, or revocation of a rule as an emergency measure unless the agency submits substantial evidence that the rule is necessary as an emergency measure to do any of the following:

- a. protect the public health, safety, or welfare,
- b. comply with deadlines in amendments to an agency's governing law or federal programs,
- c. avoid violation of federal law or regulation or other state law,

- d. avoid imminent reduction to the agency's budget, or
- e. avoid serious prejudice to the public interest.

As used in this subsection, "substantial evidence" shall mean credible evidence which is of sufficient quality and probative value to enable a person of reasonable caution to support a conclusion.

2. In determining whether a rule is necessary as an emergency measure, the Governor shall consider whether the emergency situation was created due to the agency's delay or inaction and could have been averted by timely compliance with the provisions of this chapter.

B. An emergency rule adopted by an agency shall:

1. Be prepared in the format required by Section 251 of this title;

2. a. Include an impact statement which meets the requirements set forth in subparagraph b of this paragraph, unless the Governor waives the initial requirement in writing upon a finding that the rule impact statement or the specified contents thereof are unnecessary or contrary to the public interest. Provided, the rule impact statement shall be submitted no more than forty-five (45) days from the date of such waiver.

b. The rule impact statement shall include, but not be limited to:

(1) a statement of the need for the rule and legal basis supporting it,

(2) a classification of the rule as major or nonmajor, with a justification for the classification, including an estimate of the total annual implementation and compliance costs that are reasonably expected to be incurred by or passed along to businesses, state or local

government units, or individuals and a determination of whether those costs will exceed One Million Dollars (\$1,000,000.00) over the initial five-year period following the promulgation of the proposed rule. Provided, if the costs exceed One Million Dollars (\$1,000,000.00), the agency shall classify the rule as a major rule,

- (3) a description of the proposed rule, including a determination of whether the proposed rule is mandated by federal law, or as a requirement for participation in or implementation of a federally subsidized or assisted program, and whether the proposed rule exceeds the requirements of the applicable federal law,
- (4) a description of the classes of persons who most likely will be affected by the proposed rule, including classes that will bear the costs of the proposed rule, and any information on cost impacts received by the agency from any private or public entities,
- (5) a description of the classes of persons who will benefit from the proposed rule,
- (6) a comprehensive analysis of the rule's economic impact, including any anticipated impacts on the full-time-employee count of the agency, any costs or benefits, and a detailed quantification of implementation and compliance costs on the affected businesses, business sectors, public utility ratepayers, individuals, state or local government units, and on the state economy as a whole. The analysis shall include a listing of all fee changes and, whenever possible, a separate justification for each fee change,
- (7) a detailed explanation of the methodology and assumptions used to determine the economic impact, including the dollar amounts calculated,

- (8) a determination of whether implementation of the proposed rule will have an economic impact on any political subdivisions or require their cooperation in implementing or enforcing the rule,
- (9) a determination of whether implementation of the proposed rule may have an adverse economic effect on small business as provided by the Oklahoma Small Business Regulatory Flexibility Act,
- (10) any measures taken by the agency to minimize the cost and impact of the proposed rule on business and economic development in this state, local government units of this state, and individuals,
- (11) a determination of the effect of the proposed rule on the public health, safety, and environment and, if the proposed rule is designed to reduce significant risks to the public health, safety, and environment, an explanation of the nature of the risk and to what extent the proposed rule will reduce the risk,
- (12) a determination of any detrimental effect on the public health, safety, and environment if the proposed rule is not implemented, and
- 13) the date the rule impact statement was prepared and, if modified, the date modified.

c. The rule impact statement shall be prepared on or before the date the emergency rule is adopted; and

3. Be electronically transmitted pursuant to Section 464 of Title 74 of the Oklahoma Statutes to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the chief legislative officer of each chamber, along with the information required by this subsection within ten (10) days after the rule is adopted, utilizing the centralized filing system provided for in Section 378 of this act.

C. 1. Within forty-five (45) calendar days of receipt of a proposed emergency rule filed with the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the chief legislative officer of each chamber, the Governor shall review the demonstration of emergency pursuant to subsection A of this section, and shall separately review the rule in accordance with the standards prescribed in paragraph 3 of this subsection.

2. Prior to approval of emergency rules, the Governor shall submit the emergency rule to the Secretary of State for review of proper formatting.

3. If the Governor determines the agency has established the rule is necessary as an emergency measure pursuant to subsection A of this section, the Governor shall approve the proposed emergency rule if the rule is:

- a. clear, concise, and understandable,
- b. within the power of the agency to make and within the enacted legislative standards, and
- c. made in compliance with the requirements of the Administrative Procedures Act.

4. If an emergency rule is adopted under this section due to a declared state of emergency pursuant to Section 683.1 et seq. of Title 63 of the Oklahoma Statutes, an agency may request the Governor waive the provisions of subsection B of this section. Such request shall be in writing and shall state the agency's findings and the justification for such findings. The agency shall have forty-five (45) days to comply with the provisions of subsection B of this section for any adopted emergency rules where such provisions are waived. Any rules which do not comply with the requirements of this section shall expire following such time period. Nothing in this paragraph shall be construed to waive any other requirements of this section for emergency rule promulgation by an agency.

D. 1. Within the forty-five-calendar-day period set forth in paragraph 1 of subsection C of this section, the Governor may

approve the emergency rule or disapprove the emergency rule. Failure of the Governor to approve an emergency rule within the specified period shall constitute disapproval of the emergency rule.

2. If the Governor disapproves the adopted emergency rule, the Governor shall return the entire document to the agency with reasons for the disapproval. If the agency elects to modify the rule, the agency shall adopt the modifications, and shall file the modified rule in accordance with the requirements of subsection B of this section.

3. Upon disapproval of an emergency rule, the Governor shall, within fifteen (15) days, make written notification to the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the chief legislative officer of each chamber, and the Office of Administrative Rules.

E. 1. Upon approval of an emergency rule, the Governor shall immediately make written notification to the agency, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, the chief legislative officer of each chamber, and the Office of Administrative Rules. Upon receipt of the notice of the approval, the agency shall file with the Office of Administrative Rules as many copies of the notice of approval and the emergency rule as required by the Secretary.

2. Emergency rules shall be subject to legislative review pursuant to Section 308 of this title.

3. The emergency rule shall be published in accordance with the provisions of Section 255 of this title in "The Oklahoma Register" following the approval by the Governor. The Governor's approval and the approved rules shall be retained as official records by the Office of Administrative Rules.

F. 1. Upon approval by the Governor, an emergency rule shall be considered promulgated and shall be in force immediately, or on such later date as specified therein. An emergency rule shall only be applied prospectively from its effective date.

2. Except as otherwise provided in this subsection, the emergency rule shall remain in full force and effect through the

first day of the next succeeding regular session of the Legislature following promulgation of such emergency rule until September 14 following such session, unless it is made ineffective pursuant to subsection H of this section.

G. No agency shall adopt any emergency rule which establishes or increases fees, except during such times as the Legislature is in session, unless specifically mandated by the Legislature or federal legislation, or when the failure to establish or increase fees would conflict with an order issued by a court of law.

H. 1. If an emergency rule is of a continuing nature, the agency promulgating such emergency rule shall initiate proceedings for promulgation of a permanent rule pursuant to Sections 303 through 308.3 of this title. If an emergency rule is superseded by another emergency rule prior to the enactment of a permanent rule, the latter emergency rule shall retain the same expiration date as the superseded emergency rule, unless otherwise authorized by the Legislature.

2. Any promulgated emergency rule shall be made ineffective if:

- a. disapproved by the Legislature,
- b. superseded by the promulgation of permanent rules,
- c. any adopted rules based upon such emergency rules are subsequently disapproved pursuant to Section 308 of this title, or
- d. an earlier expiration date is specified by the agency in the rules.

3. a. Emergency rules in effect on the first day of the session shall be null and void on September 15 following sine die adjournment of the Legislature unless otherwise specifically provided by the Legislature.

- b. Unless otherwise authorized by the Legislature, an agency shall not adopt any emergency rule, which has become null and void pursuant to subparagraph a of

this paragraph, as a new emergency rule or adopt any emergency rules of similar scope or intent as the emergency rules which became null and void pursuant to subparagraph a of this paragraph.

I. Emergency rules shall not become effective unless approved by the Governor pursuant to the provisions of this section.

J. 1. The requirements of Section 303 of this title relating to notice and hearing shall not be applicable to emergency rules promulgated pursuant to the provisions of this section. Provided, this shall not be construed to prevent an abbreviated notice and hearing process determined to be necessary by an agency.

2. The rule report required pursuant to Section 303.1 of this title shall not be applicable to emergency rules promulgated pursuant to the provisions of this section. Provided, this shall not be construed to prevent an agency from complying with such requirements at the discretion of such agency.

3. The statement of submission required by Section 303.1 of this title shall not be applicable to emergency rules promulgated pursuant to the provisions of this section.

K. Prior to approval or disapproval of an emergency rule by the Governor, an agency may withdraw from review an emergency rule submitted pursuant to the provisions of this section. Notice of such withdrawal shall be given to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate in accordance with the requirements set forth in Section 464 of Title 74 of the Oklahoma Statutes, and to the Office of Administrative Rules as required by the Secretary of State. In order to be promulgated as emergency rules, any replacement rules shall be resubmitted pursuant to the provisions of this section.

L. Upon completing the requirements of this section, an agency may promulgate a proposed emergency rule. No emergency rule is valid unless promulgated in substantial compliance with the provisions of this section.

M. Emergency rules adopted by an agency or approved by the Governor shall be subject to review pursuant to the provisions of Section 306 of this title.

SECTION 376. AMENDATORY 75 O.S. 2021, Section 303.1, as amended by Section 3, Chapter 38, O.S.L. 2023 (75 O.S. Supp. 2025, Section 303.1), is amended to read as follows:

Section 303.1. A. Within ten (10) days after adoption of a permanent rule, the agency shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically file two copies of the following with the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the chief legislative officer of each chamber: all such new rules or amendments; revisions or revocations to an existing rule proposed by an agency; and the agency rule report as required by subsection E of this section.

B. If the agency determines in the rule impact statement prepared as part of the agency rule report that the proposed rule will have an economic impact on any political subdivisions or require their cooperation in implementing or enforcing a proposed permanent rule, a copy of the proposed rule and rule report shall be filed within ten (10) days after adoption of the permanent rule with the Oklahoma Advisory Committee on Intergovernmental Relations for its review. The Committee may communicate any recommendations that it may deem necessary to the Governor, the Speaker of the House of Representatives, and President Pro Tempore of the Senate during the period that the permanent rules are being reviewed.

C. When the rules have been submitted to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and the chief legislative officer of each chamber, the agency shall also submit to the Office of Administrative Rules for publication in "The Oklahoma Register", a statement that the adopted rules have been submitted to the Governor and the Legislature.

D. The text of the adopted rules shall be submitted to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate in the same format as required by the Secretary pursuant to Section 251 of this title.

E. The report required by subsection A of this section shall include:

1. The date the notice of the intended rulemaking action was published in "The Oklahoma Register" pursuant to Section 255 of this title;
2. The name and address of the agency;
3. The title and number of the rule;
4. A citation to the constitutional or statutory authority for the rule;
5. The citation to any federal or state law, court ruling, or any other authority requiring the rule;
6. A statement of the gist of the rule or a brief summary of the content of the adopted rule;
7. A statement explaining the need for the adopted rule;
8. The date and location of the meeting, if held, at which such rules were adopted or the date and location when the rules were adopted if the rulemaking agency is not required to hold a meeting to adopt rules;
9. A summary of the comments and explanation of changes or lack of any change made in the adopted rules as a result of testimony received at all hearings or meetings held or sponsored by an agency for the purpose of providing the public an opportunity to comment on the rules or of any written comments received prior to the adoption of the rule. The summary shall include all comments received about the cost impact of the proposed rules;
10. A list of persons or organizations who appeared or registered for or against the adopted rule at any public hearing held by the agency or those who have commented in writing before or after the hearing;

11. A rule impact statement if required pursuant to Section 303 of this title;

12. An incorporation by reference statement if the rule incorporates a set of rules from a body outside the state, such as a national code;

13. The members of the governing board of the agency adopting the rules and the recorded vote of each member;

14. The proposed effective date of the rules, if an effective date is required pursuant to paragraph 1 of subsection B of Section 304 of this title; and

15. Any other information requested by the Governor, the Speaker of the House of Representatives, or the President Pro Tempore of the Senate.

SECTION 377. AMENDATORY 75 O.S. 2021, Section 308, as last amended by Section 2, Chapter 420, O.S.L. 2025 (75 O.S. Supp. 2025, Section 308), is amended to read as follows:

Section 308. A. Upon receipt of any proposed permanent rules, the Speaker of the House of Representatives and the President Pro Tempore of the Senate shall assign such rules to the appropriate committees of each house of the Legislature for review. Except as otherwise provided by this section:

1. If such rules are received on or before April 1, the Legislature shall have until the last day of the regular legislative session of that year to review such rules. Provided, proposed permanent rules for consideration by the 2nd Session of the 59th Legislature shall be submitted on or before March 1. For each legislative session thereafter, proposed permanent rules shall be submitted on or before February 1 of the given year; and

2. If such rules are received after the date established pursuant to paragraph 1 of this subsection, the Legislature shall have until the last day of the regular legislative session of the next year to act on such rules.

B. By the adoption of joint resolutions during the review period specified in subsection A of this section, the Legislature may disapprove or approve any rule and disapprove all or part of a rule or rules. Any rules not acted upon by the adoption of a joint resolution shall be deemed disapproved.

C. Unless otherwise authorized by the Legislature, whenever a rule is disapproved as provided in subsection B of this section, the agency adopting such rules shall not have authority to resubmit an identical rule, except during the first sixty (60) calendar days of the next regular legislative session. Any effective emergency rule which would have been superseded by a disapproved permanent rule shall be deemed null and void on the date the Legislature disapproves the permanent rule. Rules may be disapproved in part or in whole by the Legislature. Upon enactment of any joint resolution disapproving a rule, the agency shall file notice of such legislative disapproval with the Secretary for publication in "The Oklahoma Register".

D. Unless otherwise provided by specific vote of the Legislature, joint resolutions introduced for purposes of disapproving or approving a rule shall not be subject to regular legislative cutoff dates, shall be limited to such provisions as may be necessary for disapproval or approval of a rule, and any such other direction or mandate regarding the rule deemed necessary by the Legislature. The resolution shall contain no other provisions.

E. A proposed permanent rule shall only be deemed finally adopted if:

1. Approved by a joint resolution pursuant to subsection B of this section, provided that any such resolution becomes law in accordance with Section 11 of Article VI of the Oklahoma Constitution; or

2. Disapproved by a joint resolution pursuant to subsection B of this section which has been vetoed by the Governor in accordance with Section 11 of Article VI of the Oklahoma Constitution and the veto has not been overridden.

F. Prior to final adoption of a rule, an agency may withdraw a rule from legislative review. Notice of such withdrawal shall be

electronically given to the Governor, the Speaker of the House of Representatives, the President Pro Tempore of the Senate, and to the Secretary, utilizing the centralized filing system provided for in Section 378 of this act, for publication in "The Oklahoma Register".

G. An agency may promulgate an emergency rule only pursuant to Section 253 of this title.

H. Any rights, privileges, or interests gained by any person by operation of an emergency rule, shall not be affected by reason of any subsequent disapproval or rejection of such rule by either house of the Legislature.

SECTION 378. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 600 of Title 75, unless there is created a duplication in numbering, reads as follows:

A. The Office of the Secretary of State shall create and maintain a centralized filing system for all reports required by statute to be submitted to such system. Such filing system shall provide:

1. An index of all statutorily required reports, sortable by agency name, policy area, title of law, and other information;

2. The dates of the last submitted report by an agency or entity and the due date of the next report;

3. Notification to the statutorily designated report recipients when a report is submitted;

4. Confirmation of successful submission to the agency or entity submitting a report using such system; and

5. A dashboard reflecting whether a report has been submitted or is overdue.

B. The Secretary of State shall, when newly enacted legislation requires an agency or entity of this state to submit a report, electronically notify such agency or entity of such requirement within five (5) business days of the date when such enacted

legislation is filed in the Office of the Secretary of State, as provided for in Section 12a of Title 75 of the Oklahoma Statutes.

C. The Secretary of State shall, utilizing the centralized filing system provided for in this section, electronically report to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor if an agency or entity has not submitted a statutorily required report to the centralized filing system by the date of submission provided in statute.

SECTION 379. AMENDATORY 76 O.S. 2021, Section 17, is amended to read as follows:

Section 17. Whenever a claim of personal injury is made against any practitioner of the healing arts or a licensed hospital, a report shall be made to the appropriate licensing board or agency by the liability insurer of such practitioner or hospital within sixty (60) days after receipt of information that a claim is being made. In the event that such claim is made against a party not insured, the report shall be made by the party. The report shall be in writing on a form containing the following information:

1. The name and address of the practitioner or hospital;
2. The name, age, and address of the claimant;
3. A brief statement of the nature of the injury, illness or condition complained of and the act or omission complained of; and
4. Whether a suit is pending and, if so, the court, style and docket number of the action.

And whenever such claim or suit is concluded, the disposition shall be reported to the appropriate board or agency promptly.

This report shall be privileged except as hereinafter provided.

The licensing board or agency shall take any remedial, disciplinary, or corrective action as it may deem warranted by the facts contained in the report.

Any person or liability insurer failing to furnish a report on a claim as required in this section shall be guilty of a misdemeanor.

Further, the board or agency shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically furnish the President Pro Tempore of the Senate and the Speaker of the House of Representatives a full report of all such claims except that names and addresses of all parties shall be omitted. Such report shall include disposition of the claim as well as a report of all action taken by the board or agency and the reason therefor.

SECTION 380. AMENDATORY 82 O.S. 2021, Section 863.3, is amended to read as follows:

Section 863.3. A. There is hereby created the Joint Legislative Task Force on the Grand River Dam Authority for the purpose of studying the functions, activities, policies, procedures, and expenditures performed by the district and any related issues the task force deems appropriate. Members of the task force shall be appointed in January of each year following a state general election by the President Pro Tempore of the Senate and the Speaker of the House of Representatives. Membership shall be made up of five members of the Senate and five members of the House of Representatives whose legislative districts include a portion of the Grand River Dam Authority district to be appointed by the President Pro Tempore of the Senate and the Speaker of the House of Representatives, respectively. The President Pro Tempore and Speaker shall each designate one of their members to be cochairs of the task force. The task force shall be required to meet at least once biennially during the first session of each new legislature. Additional meetings may be called as the cochairs determine necessary. Meetings of the task force shall be called by the cochairs. A majority of the appointed members shall constitute a quorum for any meeting of the task force. Staffing assistance shall be provided by the staff of the Senate and House of Representatives.

B. The members of the task force created herein shall continue to serve until new members are appointed pursuant to the provisions of subsection A of this section. The task force is authorized to adopt any recommendations or issue any report it deems necessary. Any recommendations or reports shall be approved by a majority of

the appointed members. Copies of any recommendations or reports issued by the task force shall be distributed to the Governor, the President Pro Tempore of the Senate, the Speaker of the House of Representatives, the members of the Grand River Dam Authority Board of Directors, and the Chief Executive Officer of the Grand River Dam Authority.

C. The Grand River Dam Authority shall annually, utilizing the centralized filing system provided for in Section 378 of this act, electronically provide a copy of the district's most recent annual report to the members of the task force in addition to any information requested pursuant to the provisions of this section.

D. Members serving on the task force shall not be entitled to travel reimbursement.

SECTION 381. AMENDATORY 82 O.S. 2021, Section 1085.14, is amended to read as follows:

Section 1085.14. In addition to its other powers, the Oklahoma Water Resources Board is authorized and directed, within the limits of funds available to it, to engage in a continuing study of the water laws of this state, and of changes therein required in order to carry out to the greatest practicable extent the policies, goals, objectives and recommendations contained in the "Oklahoma Comprehensive Water Plan" and to make recommendations and prepare proposed legislation for such purposes. Such recommendations and proposed legislation shall, as they are completed, be electronically filed with the President Pro Tempore of the Senate and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

SECTION 382. AMENDATORY 82 O.S. 2021, Section 1085.62, is amended to read as follows:

Section 1085.62. In order to comply with the requirements of federal and state laws, the Board shall complete the following:

1. Establish criteria for determining the interest rates on loans to be made from the Clean Water State Revolving Fund Loan Account. Such criteria may incorporate applicable United States

Environmental Protection Agency and Rural Development Administration guidelines for financial assistance.

- a. In determining interest rates on loans made from the fund, in addition to other information, due consideration shall be given to:
 - (1) providing for the maintenance of the account in perpetuity,
 - (2) statewide needs for the assistance available pursuant to the provisions of this act,
 - (3) five-year demand projections of the Board for assistance available pursuant to the provisions of this act,
 - (4) prevailing market interest rates, and
 - (5) debt service requirements of investment certificates issued by the Board to provide funds for the Clean Water State Revolving Fund Loan Account.
- b. In developing criteria for the determination of interest rates available to individual entities, in addition to other information, due consideration shall be given to:
 - (1) financial resources of the entity,
 - (2) the ability of the entity to repay the loan,
 - (3) those entities that discharge into those streams and rivers designated as scenic river areas pursuant to the provisions of Section 1452 of this title or outstanding resource waters under Oklahoma's Water Quality Standards, and
 - (4) prevailing market interest rates; and

2. ~~Submission~~ Electronic submission of an annual report by the Board to the Governor and to the Speaker of the House of Representatives and the President Pro Tempore of the Senate, utilizing the centralized filing system provided for in Section 378 of this act, within one hundred twenty (120) days of the end of each fiscal year concerning the Clean Water State Revolving Fund Loan Account and implementation of the provisions of Sections 1085.51 through 1085.65 of this title. The report shall contain information to show the actual use and the recipients of loans made from the Clean Water State Revolving Fund Loan Account. In addition, the report shall contain five-year demand projections on anticipated loan funds required and ten-year and twenty-year projections as to possible funding needs for water quality projects which may be eligible for financial assistance under Sections 1085.51 through 1085.65 of this title.

SECTION 383. AMENDATORY 82 O.S. 2021, Section 1085.82, is amended to read as follows:

Section 1085.82. In order to comply with the requirements of federal and state laws, the Department of Environmental Quality and the Oklahoma Water Resources Board shall enter into a written joint operating agreement to carry out with efficiency their respective duties under this act. At a minimum, the agreement shall provide for the following:

1. Joint procedures consistent with this act to establish criteria for determining the interest rates on loans to be made from the Drinking Water Treatment Revolving Loan Account. Such criteria may incorporate applicable United States Environmental Protection Agency and Rural Development Administration guidelines for financial assistance; and

2. ~~Submission~~ Electronic submission of an annual joint report by the Department and the Board to the Governor and to the Speaker of the House of Representatives and the President Pro Tempore of the Senate, utilizing the centralized filing system provided for in Section 378 of this act, within one hundred twenty (120) days of the end of each fiscal year concerning the Drinking Water Treatment Revolving Loan Account and implementation of the provisions of this act. The report shall contain information to show the actual use and the recipients of loans made from the Drinking Water Treatment

Revolving Loan Account. In addition, the report shall contain five-year demand projections on anticipated loan funds required and ten-year and twenty-year projections as to possible funding needs for drinking water treatment projects which may be eligible for financial assistance pursuant to this act.

SECTION 384. AMENDATORY Section 1, Chapter 268, O.S.L. 2023 (82 O.S. Supp. 2025, Section 1086.7), is amended to read as follows:

Section 1086.7. A. The Oklahoma Flood and Drought Management Task Force is hereby established and shall be comprised of two groups, the management group and the advisory group.

B. 1. The management group shall be comprised of designees from the following state agencies:

- a. the Oklahoma Water Resources Board, which shall serve as the lead agency,
- b. the Oklahoma Department of Emergency Management and Homeland Security,
- c. the Oklahoma Department of Agriculture, Food, and Forestry,
- d. the State Department of Health,
- e. the Department of Environmental Quality,
- f. the Oklahoma Conservation Commission,
- g. the Department of Wildlife Conservation,
- h. the Oklahoma Climatological Survey, and
- i. the Oklahoma Military Department.

2. The advisory group shall be comprised of designees of the following state associations and entities:

- a. Association of County Commissioners of Oklahoma,

- b. Oklahoma Rural Water Association, and
- c. Oklahoma Municipal League.

The advisory group shall also include the resources of all remaining state agencies and departments available to provide advice and assistance to the Oklahoma Flood and Drought Management Task Force, including the Oklahoma State Regents for Higher Education.

C. The Oklahoma Water Resources Board shall formally coordinate with the following federal agencies:

- 1. Federal Emergency Management Agency (FEMA);
- 2. U.S. Army Corps of Engineers;
- 3. U.S. Forest Service;
- 4. The United States Geological Survey;
- 5. Bureau of Reclamation;
- 6. Farm Service Agency;
- 7. National Weather Service;
- 8. U.S. Fish and Wildlife Service;
- 9. U.S. Small Business Administration;
- 10. Bureau of Indian Affairs;
- 11. U.S. Department of Housing and Urban Development;
- 12. United States Environmental Protection Agency; and
- 13. Any other federal agency available to provide advice and assistance.

D. The Oklahoma Flood and Drought Management Task Force shall have the following duties:

1. Developing and recommending state drought and flood response, recovery, and mitigation initiatives for conditions determined to be detrimental to the state economy and public health;

2. Identifying drought and flood management areas in the state;

3. Providing coordination and communication among federal, state, and local entities as deemed appropriate for drought and flood assistance programs, education, and information; and

4. Performing such other drought- and flood-related assessments and response functions as deemed necessary.

E. Beginning in 2025, and every ten (10) years thereafter, in conjunction with the update of the Oklahoma Comprehensive Water Plan and State Flood Plan, the Oklahoma Water Resources Board shall coordinate with the Oklahoma Flood and Drought Management Task Force to update the Oklahoma Drought Management Plan.

F. The Oklahoma Water Resources Board shall prepare an annual update of drought and flood conditions within the state and planning and mitigation activities being conducted by the Task Force and shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit such report to the Speaker of the Oklahoma House of Representatives and President Pro Tempore of the Oklahoma State Senate.

SECTION 385. AMENDATORY 82 O.S. 2021, Section 1623, is amended to read as follows:

Section 1623. A. Contingent on available funding, the Oklahoma Water Resources Board shall prepare and adopt a comprehensive state flood plan. The plan shall:

1. Provide for orderly preparation for and response to flood conditions to protect against the loss of life and property;

2. Be a guide to state and local flood control policy; and

3. Contribute to water development when possible.

B. The state flood plan shall include:

1. An evaluation of the condition and adequacy of flood control infrastructure on a watershed basis;

2. A statewide list of ongoing and proposed flood control and mitigation projects and strategies necessary to protect against the loss of life and property from flooding and a discussion of how those projects and strategies might further water development where applicable;

3. An analysis of completed, ongoing and proposed flood control projects included in previous state flood plans including which projects received funding;

4. An analysis of development in special flood hazard areas, as defined by the Federal Emergency Management Agency; and

5. Legislative recommendations the Board considers necessary to facilitate flood control planning and project construction.

C. On adoption of a state flood plan, the Oklahoma Water Resources Board shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically deliver the plan to the Governor, President Pro Tempore of the Senate, and Speaker of the House of Representatives.

SECTION 386. AMENDATORY 85 O.S. 2021, Section 380, as amended by Section 1, Chapter 256, O.S.L. 2024, and as renumbered by Section 3, Chapter 256, O.S.L. 2024 (74 O.S. Supp. 2025, Section 85.70), is amended to read as follows:

Section 85.70. A. 1. Except as provided for in subsections E through I of this section, volunteer fire departments organized pursuant to state law may obtain workers' compensation insurance for volunteer firefighters through the Volunteer Firefighter Group Insurance Pool pursuant to requirements established by CompSource Mutual Insurance Company which shall administer the Pool. For the premium set by CompSource Mutual Insurance Company, the state shall provide Fifty-five Dollars (\$55.00) per firefighter per year. Except as otherwise provided by subsection D of this section, the total amount paid by the state shall not exceed Three Hundred Twenty

Thousand Three Hundred Thirty-eight Dollars (\$320,338.00) per year or so much thereof as may be necessary to fund the Volunteer Firefighter Group Insurance Pool.

2. CompSource Mutual Insurance Company shall collect the premium from state agencies, public trusts, and other instrumentalities of the state. Any funds received by CompSource Mutual Insurance Company from any state agency, public trust, or other instrumentality for purposes of workers' compensation insurance pursuant to this section shall be deposited to the credit of the Volunteer Firefighter Group Insurance Pool. CompSource Mutual Insurance Company shall collect premiums, pay claims, and provide for excess insurance as needed.

B. CompSource Mutual Insurance Company shall electronically report, annually, to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate the number of enrollees in the Volunteer Firefighter Group Insurance Pool, and the amount of any anticipated surplus or deficiency of the Pool; and shall also provide to the Governor, the Speaker of the House of Representatives and the President Pro Tempore of the Senate sixty (60) days' advance notice of any proposed change in rates for the Volunteer Firefighter Group Insurance Pool.

C. The amount of claims paid, claim expenses, underwriting losses, loss ratio, or any other financial aspect of the Volunteer Firefighter Group Insurance Pool shall not be considered when determining or considering bids for the amount of any premiums, rates, or expenses owed by, or any discounts, rebates, dividends, or other financial benefits owed to any other policyholder of CompSource Mutual Insurance Company.

D. Except as otherwise provided by law, any increase in the state payment rate for volunteer firefighters under the Volunteer Firefighter Group Insurance Pool shall not exceed five percent (5%) per annum. Any proposed change in rates for the Volunteer Firefighter Group Insurance Pool ~~must~~ shall be approved by the Board of Directors of CompSource Mutual Insurance Company with notice provided pursuant to subsection B of this section. CompSource Mutual Insurance Company shall not increase premiums for the Volunteer Firefighter Group Insurance Pool more than once per annum.

E. 1. The provisions of subsections A through D of this section shall apply only to workers' compensation claims for volunteer firefighters incurred prior to the effective date of this act.

2. Not later than the effective date of this act, the Volunteer Firefighter Group Insurance Pool shall be transferred to the Office of Management and Enterprise Services Comprehensive Professional Risk Management Program. Provided, existing reserves from the Pool shall remain with CompSource Mutual Insurance Company for the purpose of managing claims incurred prior to the effective date of this act. All claims incurred on and after the effective date of this act shall be administered by the Office of Management and Enterprise Services (OMES).

3. OMES may contract with a third-party administrator or hire not more than two full-time personnel for the purposes of administering the Pool.

4. Nothing in this section shall be construed to permit OMES to administer workers' compensation to a paid fire department as such term is defined in Section 29-104.1 of Title 11 of the Oklahoma Statutes.

F. 1. Volunteer fire departments organized pursuant to state law may obtain workers' compensation insurance for volunteer firefighters through the Volunteer Firefighter Group Insurance Pool pursuant to requirements established by the Office of Management and Enterprise Services Comprehensive Professional Risk Management Program.

2. OMES shall collect a premium of One Hundred Twenty Dollars (\$120.00) per firefighter per year from state agencies, public trusts, and other instrumentalities of the state. Any funds received by OMES from any state agency, public trust, or other instrumentality for purposes of workers' compensation insurance pursuant to this section shall be deposited to the credit of the Volunteer Firefighter Group Insurance Pool. OMES shall collect premiums, pay claims, and provide for excess insurance as needed.

G. OMES shall electronically report, annually, to the Governor, the Speaker of the House of Representatives, and the President Pro

Tempore of the Senate, utilizing the centralized filing system provided for in Section 378 of this act, the number of enrollees in the Volunteer Firefighter Group Insurance Pool, and the amount of any anticipated surplus or deficiency of the Pool; and shall also provide to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate sixty (60) days' advance notice of any proposed change in rates for the Volunteer Firefighter Group Insurance Pool.

H. The amount of claims paid, claim expenses, underwriting losses, loss ratio, or any other financial aspect of the Volunteer Firefighter Group Insurance Pool shall not be considered when determining or considering bids for the amount of any premiums, rates, or expenses owed by, or any discounts, rebates, dividends, or other financial benefits owed to any other policyholder of OMES.

I. Except as otherwise provided by law, any increase in the state payment rate for volunteer firefighters under the Volunteer Firefighter Group Insurance Pool shall not exceed five percent (5%) per annum. Any proposed change in rates for the Volunteer Firefighter Group Insurance Pool ~~must~~ shall be approved by the Director of the Office of Management and Enterprise Services with notice provided pursuant to subsection G of this section. OMES shall not increase premiums for the Volunteer Firefighter Group Insurance Pool more than once per annum.

J. For purposes of this section, the term "volunteer fire departments" includes those volunteer fire departments which have authorized voluntary or uncompensated workers rendering services as firefighters and are created by statute pursuant to Section 592 of Title 18 of the Oklahoma Statutes, Sections 29-201 through 29-206 of Title 11 of the Oklahoma Statutes, and those defined by Section 351 of Title 19 of the Oklahoma Statutes.

SECTION 387. AMENDATORY 85A O.S. 2021, Section 17, as amended by Section 10, Chapter 199, O.S.L. 2025 (85A O.S. Supp. 2025, Section 17), is amended to read as follows:

Section 17. A. There is hereby created a Physician Advisory Committee comprised of nine (9) members to be appointed as follows:

1. The Governor shall appoint three members, one of whom shall be licensed in this state as a doctor of medicine and surgery, one of whom shall be engaged in the practice of family medicine in a rural community of the state, and one of whom shall be an osteopathic physician;

2. The President Pro Tempore of the Senate shall appoint three members, one of whom shall be licensed in this state as a doctor of medicine and orthopedic surgery, one of whom shall be licensed in this state either as a doctor of medicine or a doctor of osteopathy and a neurosurgeon, and one of whom shall be licensed in this state as a podiatric physician; and

3. The Speaker of the House of Representatives shall appoint three members, one of whom shall be licensed in this state as an osteopathic physician, one of whom shall be licensed in this state either as a doctor of medicine or a doctor of osteopathy and shall be engaged in the practice of occupational medicine, and one of whom shall be licensed in this state as a chiropractic physician.

Any member serving on the effective date of this section shall serve the remainder of his or her term. Thereafter, each position will be filled by the appointing official for a term of three (3) years. Members shall be subject to reappointment, with any new appointee to serve out the remainder of the unexpired term of the Committee member so replaced.

B. The Committee shall:

1. Assist and advise the Workers' Compensation Commission regarding utilization review as it relates to the medical practice and treatment of work-related injuries. Such utilization review shall include a review of reasonable and necessary medical treatment; abusive practices; needless treatments, testing, or procedures; or a pattern of billing in excess of or in violation of the Schedule of Medical Fees. The Physician Advisory Committee shall review and make findings and recommendations to the Commission with respect to charges of inappropriate or unnecessary treatment or procedures, abusive practices, or excessive billing disclosed through utilization review;

2. Assist the Commission in reviewing medical practices of health care providers, including evaluations of permanent disability provided by health care providers. The Committee shall review and make findings and recommendations to the Commission with respect to charges of abusive practices by health care providers providing medical services or evaluations of permanent partial disability through the workers' compensation system;

3. After public hearing, review and make recommendations for acceptable deviations from the American Medical Association's "Guides to the Evaluation of Permanent Impairment";

4. After public hearing, adopt Physician Advisory Committee Guidelines (PACG) and protocols for only medical treatment not addressed by the latest edition of the Official Disability Guidelines;

5. After public hearing, adopt Physician Advisory Committee Guidelines for the prescription and dispensing of any controlled substance included in Schedule II of the Uniform Controlled Dangerous Substances Act if not addressed by the current edition of the Official Disability Guidelines;

6. Review utilization on cases or of providers when requested by any employer, injured employee or insurer. The Committee may issue a public or private censure to any provider for utilization which is excessive or inadequate, or recommend the Commission order treatment within the treatment guidelines;

7. Provide general recommendations to the Commission on the issues of injury causation and apportionment;

8. Conduct educational seminars for the Commission, employers, employees, and other interested parties;

9. Assist the Commission in accessing medical information from scientific literature; and

10. ~~Report~~ Electronically report its progress annually to the Governor, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives utilizing the centralized filing system provided for in Section 378 of this act.

C. The Commission shall recognize the latest edition of the Official Disability Guidelines as the primary standard of reference, at the time of treatment, in determining the frequency and extent of services presumed to be medically necessary and appropriate for compensable injuries under this act, or in resolving such matters in the event a dispute arises.

D. Members of the Physician Advisory Committee shall receive no compensation for serving on the Committee but shall be reimbursed by the Commission for their necessary travel expenses incurred in the performance of their duties in accordance with the State Travel Reimbursement Act.

E. Meetings of the Physician Advisory Committee shall be called by the Commission but held at least quarterly. The presence of a majority of the members shall constitute a quorum. No action shall be taken by the Physician Advisory Committee without the affirmative vote of at least a majority of the members.

F. The Commission shall provide office supplies and personnel of the Commission to assist the Committee in the performance of its duties.

G. Upon written request, the Insurance Commissioner, CompSource Mutual Insurance Company, and every approved self-insured employer in Oklahoma shall provide the Committee with data necessary to the performance of its duties.

H. Any health care provider acting in good faith and within the scope of the provider's duties as a member of the Physician Advisory Committee shall be immune from civil liability for making any report or other information available to the judges of the Commission or to the Commission or for assisting in the origination, investigation, or preparation of the report or other information so provided.

SECTION 388. AMENDATORY 85A O.S. 2021, Section 50, is amended to read as follows:

Section 50. A. The employer shall promptly provide an injured employee with medical, surgical, hospital, optometric, podiatric, chiropractic, and nursing services, along with any medicine,

crutches, ambulatory devices, artificial limbs, eyeglasses, contact lenses, hearing aids, and other apparatus as may be reasonably necessary in connection with the injury received by the employee. The employer shall have the right to choose the treating physician or chiropractor.

B. If the employer fails or neglects to provide medical treatment within five (5) days after actual knowledge is received of an injury, the injured employee may select a physician or chiropractor to provide medical treatment at the expense of the employer; provided, however, that the injured employee, or another in the employee's behalf, may obtain emergency treatment at the expense of the employer where such emergency treatment is not provided by the employer.

C. Diagnostic tests shall not be repeated sooner than six (6) months from the date of the test unless agreed to by the parties or ordered by the Commission for good cause shown.

D. Unless recommended by the treating doctor or chiropractor at the time claimant reaches maximum medical improvement or by an independent medical examiner, continuing medical maintenance shall not be awarded by the Commission. The employer or insurance carrier shall not be responsible for continuing medical maintenance or pain management treatment that is outside the parameters established by the Physician Advisory Committee or ODG. The employer or insurance carrier shall not be responsible for continuing medical maintenance or pain management treatment not previously ordered by the Commission or approved in advance by the employer or insurance carrier.

E. An employee claiming or entitled to benefits under the Administrative Workers' Compensation Act, shall, if ordered by the Commission or requested by the employer or insurance carrier, submit himself or herself for medical examination. If an employee refuses to submit himself or herself to examination, his or her right to prosecute any proceeding under the Administrative Workers' Compensation Act shall be suspended, and no compensation shall be payable for the period of such refusal.

F. For compensable injuries resulting in the use of a medical device, ongoing service for the medical device shall be provided in

situations including, but not limited to, medical device battery replacement, ongoing medication refills related to the medical device, medical device repair, or medical device replacement.

G. The employer shall reimburse the employee for the actual mileage in excess of twenty (20) miles round trip to and from the employee's home to the location of a medical service provider for all reasonable and necessary treatment, for an evaluation of an independent medical examiner and for any evaluation made at the request of the employer or insurance carrier. The rate of reimbursement for such travel expense shall be the official reimbursement rate as established by the State Travel Reimbursement Act. In no event shall the reimbursement of travel for medical treatment or evaluation exceed six hundred (600) miles round trip.

H. Fee Schedule.

1. The Commission shall conduct a review and update of the Current Procedural Terminology (CPT) in the Fee Schedule every two (2) years pursuant to the provisions of paragraph 14 of this subsection. The Fee Schedule shall establish the maximum rates that medical providers shall be reimbursed for medical care provided to injured employees including, but not limited to, charges by physicians, chiropractors, dentists, counselors, hospitals, ambulatory and outpatient facilities, clinical laboratory services, diagnostic testing services, and ambulance services, and charges for durable medical equipment, prosthetics, orthotics, and supplies. The most current Fee Schedule established by the Administrator of the Workers' Compensation Court prior to February 1, 2014, shall remain in effect, unless or until the Legislature approves the Commission's proposed Fee Schedule.

2. Reimbursement for medical care shall be prescribed and limited by the Fee Schedule. The director of the Employees Group Insurance Division of the Office of Management and Enterprise Services shall provide the Commission such information as may be relevant for the development of the Fee Schedule. The Commission shall develop the Fee Schedule in a manner in which quality of medical care is assured and maintained for injured employees. The Commission shall give due consideration to additional requirements for physicians treating an injured worker under the Administrative Workers' Compensation Act, including, but not limited to,

communication with claims representatives, case managers, attorneys, and representatives of employers, and the additional time required to complete forms for the Commission, insurance carriers, and employers.

3. In making adjustments to the Fee Schedule, the Commission shall use, as a benchmark, the reimbursement rate for each Current Procedural Terminology (CPT) code provided for in the fee schedule published by the Centers for Medicare and Medicaid Services of the U.S. Department of Health and Human Services for use in Oklahoma (Medicare Fee Schedule) on the effective date of this section, workers' compensation fee schedules employed by neighboring states, the latest edition of "Relative Values for Physicians" (RVP), usual, customary and reasonable medical payments to workers' compensation health care providers in the same trade area for comparable treatment of a person with similar injuries, and all other data the Commission deems relevant. For services not valued by CMS, the Commission shall establish values based on the usual, customary and reasonable medical payments to health care providers in the same trade area for comparable treatment of a person with similar injuries.

- a. No reimbursement shall be allowed for any magnetic resonance imaging (MRI) unless the MRI is provided by an entity that meets Medicare requirements for the payment of MRI services or is accredited by the American College of Radiology, the Intersocietal Accreditation Commission or the Joint Commission on Accreditation of Healthcare Organizations. For all other radiology procedures, the reimbursement rate shall be the lesser of the reimbursement rate allowed by the 2010 Oklahoma Fee Schedule and two hundred seven percent (207%) of the Medicare Fee Schedule.
- b. For reimbursement of medical services for Evaluation and Management of injured employees as defined in the Fee Schedule adopted by the Commission, the reimbursement rate shall not be less than one hundred fifty percent (150%) of the Medicare Fee Schedule.
- c. Any entity providing durable medical equipment, prosthetics, orthotics or supplies shall be accredited

by a CMS-approved accreditation organization. If a physician provides durable medical equipment, prosthetics, orthotics, prescription drugs, or supplies to a patient ancillary to the patient's visit, reimbursement shall be no more than ten percent (10%) above cost.

- d. The Commission shall develop a reasonable stop-loss provision of the Fee Schedule to provide for adequate reimbursement for treatment for major burns, severe head and neurological injuries, multiple system injuries, and other catastrophic injuries requiring extended periods of intensive care. An employer or insurance carrier shall have the right to audit the charges and question the reasonableness and necessity of medical treatment contained in a bill for treatment covered by the stop-loss provision.

4. The right to recover charges for every type of medical care for injuries arising out of and in the course of covered employment as defined in the Administrative Workers' Compensation Act shall lie solely with the Commission. When a medical care provider has brought a claim to the Commission to obtain payment for services, a party who prevails in full on the claim shall be entitled to reasonable attorney fees.

5. Nothing in this section shall prevent an employer, insurance carrier, group self-insurance association, or certified workplace medical plan from contracting with a provider of medical care for a reimbursement rate that is greater than or less than limits established by the Fee Schedule.

6. A treating physician may not charge more than Four Hundred Dollars (\$400.00) per hour for preparation for or testimony at a deposition or appearance before the Commission in connection with a claim covered by the Administrative Workers' Compensation Act.

7. The Commission's review of medical and treatment charges pursuant to this section shall be conducted pursuant to the Fee Schedule in existence at the time the medical care or treatment was provided. The judgment approving the medical and treatment charges pursuant to this section shall be enforceable by the Commission in

the same manner as provided in the Administrative Workers' Compensation Act for the enforcement of other compensation payments.

8. Charges for prescription drugs dispensed by a pharmacy shall be limited to ninety percent (90%) of the average wholesale price of the prescription, plus a dispensing fee of Five Dollars (\$5.00) per prescription. "Average wholesale price" means the amount determined from the latest publication designated by the Commission. Physicians shall prescribe and pharmacies shall dispense generic equivalent drugs when available. If the National Drug Code, or "NDC", for the drug product dispensed is for a repackaged drug, then the maximum reimbursement shall be the lesser of the original labeler's NDC and the lowest-cost therapeutic equivalent drug product. Compounded medications shall be billed by the compounding pharmacy at the ingredient level, with each ingredient identified using the applicable NDC of the drug product, and the corresponding quantity. Ingredients with no NDC area are not separately reimbursable. Payment shall be based on a sum of the allowable fee for each ingredient plus a dispensing fee of Five Dollars (\$5.00) per prescription.

9. When medical care includes prescription drugs dispensed by a physician or other medical care provider and the NDC for the drug product dispensed is for a repackaged drug, then the maximum reimbursement shall be the lesser of the original labeler's NDC and the lowest-cost therapeutic equivalent drug product. Payment shall be based upon a sum of the allowable fee for each ingredient plus a dispensing fee of Five Dollars (\$5.00) per prescription. Compounded medications shall be billed by the compounding pharmacy.

10. Implantables are paid in addition to procedural reimbursement paid for medical or surgical services. A manufacturer's invoice for the actual cost to a physician, hospital or other entity of an implantable device shall be adjusted by the physician, hospital or other entity to reflect, at the time implanted, all applicable discounts, rebates, considerations and product replacement programs and shall be provided to the payer by the physician or hospital as a condition of payment for the implantable device. If the physician, or an entity in which the physician has a financial interest other than an ownership interest of less than five percent (5%) in a publically traded company, provides implantable devices, this relationship shall be disclosed

to patient, employer, insurance company, third-party commission, certified workplace medical plan, case managers, and attorneys representing claimant and defendant. If the physician, or an entity in which the physician has a financial interest other than an ownership interest of less than five percent (5%) in a publicly traded company, buys and resells implantable devices to a hospital or another physician, the markup shall be limited to ten percent (10%) above cost.

11. Payment for medical care as required by the Administrative Workers' Compensation Act shall be due within forty-five (45) days of the receipt by the employer or insurance carrier of a complete and accurate invoice, unless the employer or insurance carrier has a good-faith reason to request additional information about such invoice. Thereafter, the Commission may assess a penalty up to twenty-five percent (25%) for any amount due under the Fee Schedule that remains unpaid on the finding by the Commission that no good-faith reason existed for the delay in payment. If the Commission finds a pattern of an employer or insurance carrier willfully and knowingly delaying payments for medical care, the Commission may assess a civil penalty of not more than Five Thousand Dollars (\$5,000.00) per occurrence.

12. If an employee fails to appear for a scheduled appointment with a physician or chiropractor, the employer or insurance company shall pay to the physician or chiropractor a reasonable charge, to be determined by the Commission, for the missed appointment. In the absence of a good-faith reason for missing the appointment, the Commission shall order the employee to reimburse the employer or insurance company for the charge.

13. Physicians or chiropractors providing treatment under the Administrative Workers' Compensation Act shall disclose under penalty of perjury to the Commission, on a form prescribed by the Commission, any ownership or interest in any health care facility, business, or diagnostic center that is not the physician's or chiropractor's primary place of business. The disclosure shall include any employee leasing arrangement between the physician or chiropractor and any health care facility that is not the physician's or chiropractor's primary place of business. A physician's or chiropractor's failure to disclose as required by this section shall be grounds for the Commission to disqualify the

physician or chiropractor from providing treatment under the Administrative Workers' Compensation Act.

14. a. Beginning on May 28, 2019, the Commission shall conduct an evaluation of the Fee Schedule, which shall include an update of the list of Current Procedural Terminology (CPT) codes, a line item adjustment or renewal of all rates, and amendment as needed to the rules applicable to the Fee Schedule.
- b. The Commission shall contract with an external consultant with knowledge of workers' compensation fee schedules to review regional and nationwide comparisons of Oklahoma's Fee Schedule rates and date and market for medical services. The consultant shall receive written and oral comment from employers, workers' compensation medical service and insurance providers, self-insureds, group self-insurance associations of this state and the public. The consultant shall submit a report of its findings and a proposed amended Fee Schedule to the Commission.
- c. The Commission shall adopt the proposed amended Fee Schedule in whole or in part and make any additional updates or adjustments. The Commission shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a proposed updated and adjusted Fee Schedule to the President Pro Tempore of the Senate, the Speaker of the House of Representatives, and the Governor. The proposed Fee Schedule shall become effective on July 1 following the legislative session, if approved by Joint Resolution of the Legislature during the session in which a proposed Fee Schedule is submitted.
- d. Beginning on May 28, 2019, an external evaluation shall be conducted and a proposed amended Fee Schedule shall be submitted to the Legislature for approval during the 2020 legislative session. Thereafter, an external evaluation shall be conducted and a proposed amended Fee Schedule shall be submitted to the Legislature for approval every two (2) years.

I. Formulary. The Commission by rule shall adopt a closed formulary. Rules adopted by the Commission shall allow an appeals process for claims in which a treating doctor determines and documents that a drug not included in the formulary is necessary to treat an injured employee's compensable injury. The Commission by rule shall require the use of generic pharmaceutical medications and clinically appropriate over-the-counter alternatives to prescription medications unless otherwise specified by the prescribing doctor, in accordance with applicable state law.

SECTION 389. AMENDATORY 85A O.S. 2021, Section 60, is amended to read as follows:

Section 60. The Physician Advisory Committee may recommend the adoption of a method or system to evaluate permanent disability that shall deviate from, or be used in place of or in combination with the Guides. Such recommendation shall be made to the Workers' Compensation Commission which may adopt the recommendation in part or in whole. The adopted method or system shall be electronically submitted by the Executive Director of the Commission to the Governor, the Speaker of the House of Representatives, and the President Pro Tempore of the Senate within the first ten (10) legislative days of a regular session of the Legislature utilizing the centralized filing system provided for in Section 378 of this act. Such method or system so submitted shall be subject to disapproval by joint or concurrent resolution of the Legislature during the legislative session in which submitted. If disapproved, the existing method of determining permanent partial disability shall continue in effect. If the Legislature takes no action on the method or system submitted by the Executive Director, the method or system shall become operative thirty (30) days following the adjournment of the Legislature.

SECTION 390. AMENDATORY 85A O.S. 2021, Section 101, is amended to read as follows:

Section 101. A. On or before the first day of July each year, the Workers' Compensation Commission shall prepare, make public and, utilizing the centralized filing system provided for in Section 378 of this act, electronically submit a report for the prior calendar year to the Governor, the President Pro Tempore of the Senate, the

Speaker of the House of Representatives, and each member of the Legislature, containing a statement of the number of awards made and the causes of the accidents leading to the injuries for which the awards were made, total work load data of the administrative law judges, including a detailed report of the work load and judgments written by each judge, a detailed statement of the expenses of the Commission, together with any other matter which the Commission deems proper to report.

B. After public hearing and consultation with representatives of employers, insurance carriers, and employees, the Commission shall implement, with the assistance of the Insurance Commissioner, an electronic data interchange (EDI) system that provides relevant data concerning the Oklahoma workers' compensation system and the delivery of benefits to injured workers on a timetable to be reasonably determined by the Commission.

C. To assist the Commission in developing and implementing the EDI system, there is hereby created the Oklahoma Workers' Compensation Electronic Data Interchange Advisory Committee. The Governor shall appoint five persons to serve as members of the advisory committee, one of whom shall be selected by the Governor as chair. The chair shall provide adequate notice of meetings of the advisory committee and public hearings as required by law.

SECTION 391. AMENDATORY 85A O.S. 2021, Section 121, is amended to read as follows:

Section 121. A. There is hereby created an Advisory Council on Workers' Compensation.

B. The voting membership of the Advisory Council shall consist of nine (9) members. Any member serving on the effective date of this section shall serve the remainder of his or her term. The chair of the Workers' Compensation Commission shall be an ex officio nonvoting member.

1. The Governor shall appoint three members representing employers in this state, one of whom shall be from a list of nominees provided by the predominant statewide broad-based business organization.

2. The Speaker of the House of Representatives shall appoint three members representing employees in this state, one of whom shall be from a list of nominees provided by the most representative labor organization in the state.

3. The President Pro Tempore of the Senate shall appoint three members, two who are attorneys representing the legal profession in this state, one of whom shall be an attorney who practices primarily in the area of defense of workers' compensation claims, and one of whom shall be an attorney who primarily represents claimants, and a medical doctor or doctor of osteopathy actively engaged in the treatment of injured workers.

C. The term of office for appointees shall be as follows:

1. The term of office for three positions, one each appointed by the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives shall expire on January 1, 2015;

2. The term of office for three positions, one each appointed by the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives shall expire on January 1, 2016; and

3. The term of office for three positions, one each appointed by the Governor, the President Pro Tempore of the Senate and the Speaker of the House of Representatives shall expire on January 1, 2017.

D. Thereafter, successors in office shall be appointed for a three-year term. Members shall be eligible to succeed themselves in office.

E. Any person appointed to fill a vacancy shall be appointed for the unexpired portion of the term.

F. The chair and the vice-chair of the Advisory Council shall be appointed by the Governor.

G. Members shall receive their traveling and other necessary expenses incurred in the performance of their duties as provided in the State Travel Reimbursement Act.

H. Meetings of the Advisory Council shall be quarterly or as called by the chair or upon petition by a majority of the voting members. The presence of five voting members constitutes a quorum. No action shall be taken by the Advisory Council without the affirmative vote of at least five members.

I. The Commission shall provide office supplies and personnel of the Commission to carry out any of the duties that have been entrusted to the Advisory Council.

J. The Advisory Council shall analyze and review the workers' compensation system, the reports of the Commission, and trends in the field of workers' compensation. The Advisory Council may recommend improvements and proper responses to developing trends. The Advisory Council shall, utilizing the centralized filing system provided for in Section 378 of this act, electronically report its findings annually to the Governor, the Chief Justice of the Supreme Court, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives.

K. In addition to other duties required by this section, the Advisory Council shall consult with the Commission regarding oversight of independent medical examiners as provided in Section 45 of this title.

SECTION 392. AMENDATORY 85A O.S. 2021, Section 400, as amended by Section 3, Chapter 279, O.S.L. 2024 (85A O.S. Supp. 2025, Section 400), is amended to read as follows:

Section 400. A. The Workers' Compensation Court of Existing Claims (CEC) shall have exclusive jurisdiction over all disputes relating to claims that arise before February 1, 2014.

B. Effective July 1, 2024, the Workers' Compensation Court of Existing Claims shall consist of one judge to be appointed by the Chief Justice of the Supreme Court from a list of retired judges on a rotational basis. An active retired judge appointed to serve as a CEC trial judge may receive per diem and travel reimbursement as

authorized by subsection F of Section 1104B of Title 20 of the Oklahoma Statutes. A judge serving on the CEC Division of the Court of Civil Appeals shall receive no additional compensation other than the compensation provided by law.

C. 1. Effective July 1, 2024, the position of the Administrator of the Court of Existing Claims shall terminate. All administrative duties of the CEC shall be transferred to the Oklahoma Workers' Compensation Commission including docketing, filing, preparation of appellate records, preparation of orders, and all other duties previously performed by the Administrator and the court clerk of the CEC. The Commission shall provide the use of a courtroom to the CEC judge to conduct hearings on claims for compensation and other proceedings.

2. All judicial functions of the CEC shall remain under the authority of the Supreme Court. The Administrative Director of the Courts shall assist the Commission with the transfer of any duties determined to be judicial functions. The Director shall contract with the Commission to provide support services or personnel needs necessary to carry out the purposes of the CEC and shall supervise the work of any such personnel as necessary to maintain the CEC as a court of record. The Director shall assist the CEC trial judge and the CEC Division of the Court of Civil Appeals as needed and may expend funds for personnel, contracts for court reporting, and other support services.

D. The Commission shall maintain the case management and records information technology system of the CEC as part of the system of the Commission and such system shall be utilized by the CEC trial judge. The Commission shall be entitled to any fees generated for the retrieval of such data. The Director shall enter into an agreement with the Commission for the CEC to share in the cost for annual maintenance attributed to case management, docketing, and recordkeeping on behalf of the CEC.

E. The non-CEC case management system, docketing, appellate records, and other records maintained in the normal course of business of the Court of Civil Appeals shall remain with the Oklahoma Court Information System (OCIS) of the Supreme Court. The Director may contract and expend funds as needed to modify the OCIS

to support the CEC trial judge and the CEC Division of the Court of Civil Appeals.

F. The CEC shall operate by the rules adopted by the Workers' Compensation Court prior to February 1, 2014. The CEC Division of the Court of Civil Appeals shall adopt rules of practice and procedure for appeals to the CEC Division.

G. The CEC shall continue as a court of record, with respect to any matter within the limits of its jurisdiction. Any party to a hearing on a claim for compensation before the CEC trial judge or the CEC Division shall be entitled to the services of a court reporter. The cost of transcripts shall be borne by the requesting party unless otherwise determined by order of the CEC trial judge.

H. The Director shall contract with the Commission for office and courtroom space for the CEC trial judge. The CEC trial judge may hold hearings and other proceedings in facilities provided by the Director or the Commission.

I. 1. The CEC trial judge shall be vested with jurisdiction over all claims filed pursuant to the Workers' Compensation Code or previous statute in effect on the date of an injury that occurred before February 1, 2014. All claims so filed shall be heard by the judge sitting without a jury. The CEC trial judge shall have full power and authority to determine all questions in relation to payment of claims for compensation under the provisions of the Workers' Compensation Code or previous statute in effect on the date of an injury that occurred before February 1, 2014.

2. The Commission shall coordinate with the Director to schedule a docket for hearings on claims for compensation and other proceedings requested by either party, including all cases pending on the effective date of this act. Hearings on claims for compensation and other proceedings may be conducted in person or remotely at the discretion of the CEC trial judge. The CEC trial judge may conduct other proceedings on preliminary or supplemental matters as needed. If any claim or proceeding is assigned to the Commission by the CEC trial judge for a preliminary review, the chair of the Commission may assign the matter to any Commission administrative law judge (ALJ), or other hearing officer. Any party

may present evidence and be represented by counsel before the CEC trial judge, the ALJ, or other hearing officer.

3. Upon receipt of the recommendation of the ALJ or other hearing officer, any party may request a de novo rehearing with the CEC trial judge or may waive the rehearing. If both parties waive the rehearing, any recommendation by the ALJ or other hearing officer shall not become a final determination until approved by order of the CEC trial judge. Only the final order based upon the decision of the CEC trial judge shall be appealable.

4. The decision of the CEC trial judge shall be final as to all questions of fact and law; provided, the decision of the CEC trial judge may be appealed to the CEC Division of the Court of Civil Appeals within ten (10) days or the Supreme Court as provided by the Workers' Compensation Code or previous statute in effect on the date of an injury that occurred before February 1, 2014. The Commission shall coordinate with the Director to schedule a docket for hearings on appeals to the CEC Division of the Court of Civil Appeals, including all cases pending on the effective date of this act. The parties may appeal a decision of the CEC Division to the Supreme Court as provided by the Supreme Court rules in the same manner as from the three-judge en banc panel. The decision of the CEC trial judge shall be issued within thirty (30) days following the submission of the case by the parties. The power and jurisdiction of the CEC trial judge over each case shall be continuing and he or she may, from time to time, make such modifications or changes with respect to former findings or orders relating thereto if, in his or her opinion, it may be justified.

J. For an injury occurring before February 1, 2014, all benefits and procedures to obtain benefits shall be determined by the workers' compensation law of this state in effect on the date of the injury.

K. All accrued rights and penalties incurred pursuant to a final order of the CEC trial judge shall be preserved. No accrued right, penalty incurred, or proceeding begun by virtue of a statute repealed by this act shall be abrogated by the terms of this act.

L. 1. On or before July 1 of each year, the Administrator of the Commission shall prepare and electronically submit a report for

the prior calendar year to the Governor, the Chief Justice of the Supreme Court, the President Pro Tempore of the Senate, and the Speaker of the House of Representatives, utilizing the centralized filing system provided for in Section 378 of this act, which shall include a statement of the number of awards made and the causes of the accidents leading to the injuries for which the awards were made, total work load data of the CEC trial judge, a detailed statement of the expenses of the Commission for all administrative duties performed on behalf of the CEC, together with any other matter which the Commission deems proper to report to the Governor including any recommendations he or she may desire to make.

2. On or before July 1 of each year, the Director shall electronically submit to the officials listed in paragraph 1 of this subsection, utilizing the centralized filing system provided for in Section 378 of this act, a report for the prior calendar year which shall include the total workload of the CEC Division of the Court of Civil Appeals and a detailed statement of expenses incurred because of three-judge en banc panel appeals.

M. Subject to the availability of funds, the Director may enter into a contract to employ one part-time attorney to assist parties without representation with duties and assignments to be determined by the CEC trial judge and Director.

SECTION 393. REPEALER Section 6, Chapter 222, O.S.L. 2024 (2 O.S. Supp. 2025, Section 5-606), is hereby repealed.

SECTION 394. REPEALER 2 O.S. 2021, Section 18-34, is hereby repealed.

SECTION 395. REPEALER 2 O.S. 2021, Section 18-192, is hereby repealed.

SECTION 396. REPEALER 10 O.S. 2021, Section 630.2, is hereby repealed.

SECTION 397. REPEALER Section 1, Chapter 288, O.S.L. 2024 (17 O.S. Supp. 2025, Section 294), is hereby repealed.

SECTION 398. REPEALER 19 O.S. 2021, Section 547.2, is hereby repealed.

SECTION 399. hereby repealed.	REPEALER	20 O.S. 2021, Section 127, is
SECTION 400. hereby repealed.	REPEALER	20 O.S. 2021, Section 1103H, is
SECTION 401. 2023, as amended by Section 4, Chapter 329, O.S.L. 2025 (21 O.S. Supp. 2025, Section 2200), is hereby repealed.	REPEALER	Section 1, Chapter 333, O.S.L.
SECTION 402. hereby repealed.	REPEALER	36 O.S. 2021, Section 6057.5, is
SECTION 403. hereby repealed.	REPEALER	36 O.S. 2021, Section 6060.9c, is
SECTION 404. hereby repealed.	REPEALER	36 O.S. 2021, Section 6060.13, is
SECTION 405. 2022 (36 O.S. Supp. 2025, Section 6060.44), is hereby repealed.	REPEALER	Section 5, Chapter 151, O.S.L.
SECTION 406. amended by Section 1, Chapter 401, O.S.L. 2022 (40 O.S. Supp. 2025, Section 800.1), is hereby repealed.	REPEALER	40 O.S. 2021, Section 800.1, as
SECTION 407. 2023 (47 O.S. Supp. 2025, Section 173.1), is hereby repealed.	REPEALER	Section 1, Chapter 232, O.S.L.
SECTION 408. hereby repealed.	REPEALER	56 O.S. 2021, Section 162.1b, is
SECTION 409. hereby repealed.	REPEALER	56 O.S. 2021, Section 245, is
SECTION 410. hereby repealed.	REPEALER	56 O.S. 2021, Section 245.1, is
SECTION 411. hereby repealed.	REPEALER	56 O.S. 2021, Section 3121, is

SECTION 412. hereby repealed.	REPEALER	57 O.S. 2021, Section 521.1, is
SECTION 413. hereby repealed.	REPEALER	62 O.S. 2021, Section 46.5, is
SECTION 414. hereby repealed.	REPEALER	63 O.S. 2021, Section 2-112, is
SECTION 415. hereby repealed.	REPEALER	63 O.S. 2021, Section 2175.1, is
SECTION 416. hereby repealed.	REPEALER	63 O.S. 2021, Section 5009.6, is
SECTION 417. hereby repealed.	REPEALER	63 O.S. 2021, Section 5030.4A, is
SECTION 418. hereby repealed.	REPEALER	70 O.S. 2021, Section 3-116.5, is
SECTION 419. hereby repealed.	REPEALER	70 O.S. 2021, Section 3-123.1, is
SECTION 420. hereby repealed.	REPEALER	70 O.S. 2021, Section 628.19, is
SECTION 421. hereby repealed.	REPEALER	70 O.S. 2021, Section 7001, is
SECTION 422. hereby repealed.	REPEALER	74 O.S. 2021, Section 201, is
SECTION 423. hereby repealed.	REPEALER	74 O.S. 2021, Section 30c, is
SECTION 424. hereby repealed.	REPEALER	74 O.S. 2021, Section 30.2, is
SECTION 425. hereby repealed.	REPEALER	74 O.S. 2021, Section 2900.3, is

SECTION 426. REPEALER 74 O.S. 2021, Section 9100, is
hereby repealed.

SECTION 427. REPEALER 82 O.S. 2021, Section 1088.14, is
hereby repealed.

SECTION 428. This act shall become effective January 1, 2027.

Passed the Senate the 17th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 6th day of May, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____